

Diploma in International Financial Reporting

Tuesday 11 June 2013

**Time allowed**

Reading and planning: 15 minutes

Writing: 3 hours

ALL FOUR questions are compulsory and MUST be attempted.

Do NOT open this paper until instructed by the supervisor.

During reading and planning time only the question paper may be annotated. You must NOT write in your answer booklet until instructed by the supervisor.

This question paper must not be removed from the examination hall.

The Association of Chartered Certified Accountants

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ALL FOUR questions are compulsory and MUST be attempted

- 1 Alpha holds investments in two other entities, Beta and Gamma. The statements of financial position of the three entities at 31 March 2013 were as follows:

	Alpha \$'000	Beta \$'000	Gamma \$'000
ASSETS			
Non-current assets:			
Property, plant and equipment (Note 1)	280,000	225,000	200,000
Investments (Notes 1, 2 and 3)	78,500	40,000	10,000
	<u>358,500</u>	<u>265,000</u>	<u>210,000</u>
Current assets:			
Inventories (Note 4)	85,000	56,000	42,000
Trade receivables (Note 5)	70,000	42,000	38,000
Cash and cash equivalents	14,000	11,000	9,000
	<u>169,000</u>	<u>109,000</u>	<u>89,000</u>
Total assets	<u>527,500</u>	<u>374,000</u>	<u>299,000</u>
EQUITY AND LIABILITIES			
Equity			
Share capital (\$1 shares)	160,000	120,000	100,000
Retained earnings	211,396	115,000	76,000
Other components of equity (Notes 2, 3 and 6)	5,604	4,000	2,000
Total equity	<u>377,000</u>	<u>239,000</u>	<u>178,000</u>
Non-current liabilities:			
Provision (Note 7)	1,500	Nil	Nil
Long-term borrowings (Note 8)	60,000	50,000	60,000
Deferred tax	22,000	25,000	17,000
Total non-current liabilities	<u>83,500</u>	<u>75,000</u>	<u>77,000</u>
Current liabilities:			
Trade and other payables (Note 5)	45,000	40,000	34,000
Short-term borrowings	22,000	20,000	10,000
Total current liabilities	<u>67,000</u>	<u>60,000</u>	<u>44,000</u>
Total equity and liabilities	<u>527,500</u>	<u>374,000</u>	<u>299,000</u>

Note 1 – Alpha's investment in Beta

On 1 April 2012, Alpha acquired 90 million shares in Beta by means of a share exchange. The terms of the business combination were as follows:

- Alpha issued eight shares for every nine shares acquired in Beta. On 1 April 2012, the market value of an Alpha share was \$2.80.
- Alpha will make a further cash payment to the former shareholders of Beta on 30 June 2015. This payment will be based on the adjusted profits of Beta for the three-year period to 31 March 2015. On 1 April 2012, the fair value of this additional payment was estimated at \$25 million. This estimate had increased to \$28 million by 31 March 2013 due to changes in circumstances since the date of acquisition.
- Neither component of the investment in Beta has been recorded in the draft financial statements of Alpha presented above.

It is the group policy to value the non-controlling interest in subsidiaries at the date of acquisition at fair value. The market value of an equity share in Beta at 1 April 2012 can be used for this purpose. On 1 April 2012, the market value of a Beta share was \$2·60.

On 1 April 2012, the individual financial statements of Beta showed the following reserves balances:

- Retained earnings \$86 million.
- Other components of equity \$2·4 million.

The directors of Alpha carried out a fair value exercise to measure the identifiable assets and liabilities of Beta at 1 April 2012. The following matters emerged:

- Property having a carrying value of \$140 million (depreciable component \$80 million) had an estimated market value of \$160 million (depreciable component \$92 million). The estimated future economic life of the depreciable component at 1 April 2012 was 16 years and this estimate remains valid.
- Plant and equipment having a carrying value of \$111 million had an estimated market value of \$120 million. The estimated future economic life of the plant and equipment at 1 April 2012 was three years and this estimate remains valid. Beta has not disposed of any of this plant and equipment since 1 April 2012.
- Intangible assets with an estimated market value of \$8 million had not been recognised in the individual financial statements of Beta. The estimated future economic lives of these intangible assets at 1 April 2012 was four years.
- The fair value adjustments have not been reflected in the individual financial statements of Beta. In the consolidated financial statements, the fair value adjustments will be regarded as temporary differences for the purposes of computing deferred tax. The rate of deferred tax to apply to temporary differences is 20%.

No impairment of the goodwill on acquisition of Beta has occurred since 1 April 2012.

Note 2 – Alpha’s investment in Gamma

On 1 April 2012, Alpha acquired 40 million shares in Gamma for a cash payment of \$1·85 per share and debited \$74 million to investments in its own statement of financial position. This enabled Alpha to exercise significant influence over Gamma but not to control Gamma. In its own financial statements, Alpha treated the investment in Gamma as a financial asset and made an election to measure it at fair value through other comprehensive income.

On 1 April 2012, the individual financial statements of Gamma showed the following reserves balances:

- Retained earnings \$66 million.
- Other components of equity \$1·2 million.

On 1 April 2012, there were no material differences between the carrying values of the net assets of Gamma in the individual financial statements and the fair values of those net assets.

On 31 March 2013, the fair value of Alpha’s investment in Gamma was estimated at \$78·5 million and this is the balance recorded in Alpha’s individual financial statements. On 31 March 2013, Alpha credited \$4·5 million to other components of equity. No deferred tax was recognised when making this entry.

In the consolidated financial statements you can ignore deferred tax when measuring the investment in Gamma.

Note 3 – Investments by Beta and Gamma

These investments are financial assets that are measured at fair value through other comprehensive income and have been correctly treated by Beta and Gamma. The other components of equity of Beta and Gamma relate entirely to these investments.

Note 4 – Inter-company sale of inventories

The inventories of Beta and Gamma at 31 March 2013 included components produced by Alpha. The selling price of the components included in the inventories of Beta was \$14 million. The selling price of the components included in the inventories of Gamma was \$12 million. Alpha applied a mark-up of one-third of its production cost in arriving at the sales price of these components. You can ignore deferred tax when making any adjustments due to the information in this note.

Note 5 – Trade receivables and payables

The trade receivables of Alpha included \$9 million receivable from Beta and \$7.5 million receivable from Gamma in respect of the purchase of components (see Note 4). The trade payables of Beta and Gamma included equivalent amounts payable to Alpha.

Note 6 – Share based payment

On 1 April 2011, Alpha granted share options to senior executives that are due to vest on 31 March 2014. The maximum number of options that can vest is 10 million. However, there are vesting conditions that are service conditions. Each option allows the holder to purchase a share in Alpha for \$2.50. Further details are as follows:

Date	Share price	Fair value of an option	Number of options expected to vest on 31 March 2014
1 April 2011	\$2.50	36 cents	9 million
31 March 2012	\$2.80	55 cents	9.2 million
31 March 2013	\$3.00	90 cents	9.3 million

On 31 March 2012, the directors of Alpha correctly credited other components of equity and debited profit or loss with \$1,104,000 in respect of these share options. No entries have been made in the financial statements since then in respect of the options.

Ignore any deferred tax implications of the granting of these share options.

Note 7 – Provision

On 1 October 2011, Alpha entered into a 10-year lease of office premises at an annual rental of \$20 million. This lease was correctly classified as an operating lease and the rentals appropriately charged to profit or loss.

On 1 October 2011, Alpha began carrying out alterations to the premises. These alterations were completed on 31 March 2012 at a total cost of \$18 million. Alpha included \$18 million in its property, plant and equipment at 31 March 2012 and charged depreciation in the current year based on a 9½ year useful economic life.

The terms of the lease require Alpha to vacate the premises on 30 September 2021 and leave them in the same condition as they were on 1 October 2011. The directors estimate that this will require restoration expenditure of \$14,250,000 on 30 September 2021. Accordingly, the directors recognised a provision of \$1,500,000 ($\$14,250,000/9.5$) at 31 March 2013. The directors debited \$1,500,000 to profit or loss when recognising this provision.

A relevant discount rate to use in any discounting calculations is 8% per annum. The present value of \$1 payable in 9½ years at this discount rate is 48 cents.

Note 8 – Long-term borrowings

The long-term borrowings of Alpha include \$20 million that was received from a consortium of banks on 1 April 2012. The loan does not carry any interest but \$30.6 million is repayable on 31 March 2017. Alpha incurred incremental costs of \$1 million in arranging the loan which were charged to profit or loss in the year ended 31 March 2013. The effective annual rate of interest applicable to this loan is 10%.

Required:

Prepare the consolidated statement of financial position of Alpha at 31 March 2013.

Note: You should show all workings to the nearest \$'000.

(40 marks)

- 2 Delta is an entity which prepares financial statements to 31 March each year. The functional currency of Delta is the \$. During the year ended 31 March 2013 the following events occurred:
- (a) On 1 April 2012, Delta raised loan finance from European investors. The investors subscribed for 50 million €1 loan notes at par. Delta incurred incremental issue costs of €1 million. Interest of €4 million is payable annually on 31 March, starting on 31 March 2013. The loan is repayable in € on 31 March 2022 at a premium and the effective annual interest rate implicit in the loan is 10%. The appropriate measurement basis for this loan is amortised cost. Relevant exchange rates are as follows:
- 1 April 2012 – €1 = \$1.40.
 - 31 March 2013 – €1 = \$1.45.
 - Average for year ended 31 March 2013 – €1 = \$1.42. (7 marks)
- (b) On 1 April 2012, Delta began joint construction of a pipeline with another investor. Delta and the other investor have signed a contract that provides for joint operation and ownership of the pipeline. All of the ongoing expenditure, comprising maintenance plus borrowing costs, was to be shared equally. The pipeline was completed on 1 October 2012. It was first used on 1 January 2013, at which date its estimated useful economic life was 20 years. The total cash cost of constructing the pipeline was \$40 million. This cost was partly financed by a loan of \$10 million taken out on 1 April 2012. The loan carries interest at an annual rate of 10% with interest payable in arrears on 31 March each year. Between 1 January 2013 and 31 March 2013, it was necessary to spend \$400,000 on maintenance costs. (7 marks)
- (c) On 1 April 2012, the directors of Delta formed a new company, Epsilon. The directors of Delta own all the voting shares in Epsilon. In exercising their votes, the directors of Delta have agreed to act in Delta's best interests. Epsilon leased an asset from a financial institution and correctly classified this lease as a finance lease. Epsilon immediately leased the asset to Delta on a one year lease. The rentals payable by Delta to Epsilon were set at the same amount as the rentals payable by Epsilon to the financial institution. The terms of the lease from Epsilon to Delta gave Delta the option to extend the lease under exactly the same terms. This extension option will continue to be available on an annual basis until the lease between Epsilon and the financial institution expires. The asset is a vital one in Delta's production process. Epsilon does not undertake any other transactions. (6 marks)

Required:

Explain and show (where possible by quantifying amounts) how the three events would be reported in the financial statements of Delta for the year ended 31 March 2013.

Note: The mark allocation is shown against each of the three events above.

(20 marks)

- 3 (a) Revenue is often the largest single amount in the financial statements of a company and therefore it is very important to establish appropriate criteria for its recognition and measurement. IAS 18 – *Revenue* – was issued to establish such criteria.

Required:

- (i) State the meaning of the term 'revenue' as it is used in IAS 18 and describe the requirements of IAS 18 for the measurement of revenue;
- (ii) Summarise the criteria that need to be satisfied before revenue from the sale of goods can be recognised and identify any additional criteria that need to be satisfied in order to recognise revenue from the rendering of services.

Note: The total marks will be split equally between each part.

(6 marks)

- (b) Kappa prepares financial statements to 31 March each year. During the year ended 31 March 2013, Kappa entered into the following transactions:

- (i) On 1 January 2013, Kappa supplied goods on credit to a customer. The goods had a list price of \$450,000. Due to the size of the order, the customer received a volume discount of \$50,000 and the invoice to the customer showed an amount payable of \$400,000. The terms of sale allowed the customer a prompt payment discount of \$20,000 provided payment was made before 31 January 2013. On 30 January 2013, the customer paid \$380,000 in full and final settlement of the amount payable. (2 marks)
- (ii) On 31 March 2013, Kappa supplied two machines to a customer. Both machines were accepted by the customer on 31 March 2013. Machine 1 was a machine that was routinely supplied by Kappa to many customers and the installation process was very simple. Machine 1 was installed on 2 April 2013 by employees of the customer. Machine 2 was more specialised and the installation process more complicated, requiring significant assistance from Kappa. Machine 2 was installed between 2 and 5 April 2013. Details of costs and sales prices are as follows:

	Machine 1	Machine 2	
	\$'000	\$'000	
Sales price	320	300	
Cost of production	160	150	
Cost of installation (to Kappa)	Nil	10	(4 marks)

- (iii) On 30 September 2012, Kappa sold a property to a bank for \$2 million. The carrying amount of the property at the date of sale was \$1.5 million and its market value was \$3.5 million. Property prices are expected to rise at an annual rate of 5% for the foreseeable future. Kappa continued to occupy this property but paid no rent to the new owners. Kappa has the option to repurchase the property on 30 September 2017 for \$3.221 million. Kappa's credit rating is such that financial institutions would require an annual interest rate of 10% on loan finance to Kappa. (4 marks)
- (iv) On 30 September 2012, Kappa delivered a machine to a customer that had been manufactured to that customer's requirements. The machine cost Kappa \$600,000 to manufacture and the agreed selling price was \$1,007,557. Kappa agreed to accept payment on 30 September 2015. Kappa would expect an annual rate of return of 8% on loan investments. The present value of \$1 receivable in three years' time at an annual discount rate of 8% is approximately 79.4 cents. (4 marks)

Required:

Explain and show how the four transactions would be reported in the financial statements of Kappa for the year ended 31 March 2013 and (for transaction (ii) ONLY) the year ended 31 March 2014.

Note: The mark allocation is shown against each of the four transactions above.

(20 marks)

4 You are the financial controller of Omega, a listed company which prepares consolidated financial statements in accordance with International Financial Reporting Standards (IFRS). Your managing director, who is not an accountant, has recently attended a seminar and has prepared a number of questions for you concerning two issues raised at the seminar:

- (a) 'I was confused regarding a number of references to fair value and a new accounting standard on the subject. I thought financial statements were prepared on a historical cost basis. Please give me three examples of where fair value might be relevant for us. I was told the new standard removed an inconsistency in the definition of fair value and applied three levels of input into the measurement of fair value. Please explain how the new standard defines fair value and what the previous inconsistency was. Please also explain each level of input and how each level is applied in measuring the fair value of a particular item in the financial statements.' (10 marks)
- (b) 'One of the topics discussed at the seminar was segment reporting. I believe I heard someone say that segment reporting varies from company to company depending on its internal structure. Please explain how we should identify the segments we use to provide our segment reporting information. I do not need to know the detailed content of a segment report.' (10 marks)

Required:

Provide answers to the questions raised by the managing director.

Note: The mark allocation is shown against each of the two issues above.

(20 marks)

End of Question Paper

Answers

Marks

1 Consolidated statement of financial position of Alpha at 31 March 2013

ASSETS

\$'000

Non-current assets:

Property, plant and equipment (280,000 + 225,000 + 19,250 (W1) + 6,000 (W1) + 6,120 (W7))

536,370 $\frac{1}{2} + \frac{1}{2} + \frac{1}{2} + \frac{1}{2}$

Intangible assets (W1)

6,000 $\frac{1}{2}$

Goodwill (W2)

89,000 $6\frac{1}{2}$ (W2)

Investment in Gamma (W9)

77,120 2 (W9)

Other investments

40,000 $\frac{1}{2}$

748,490

Current assets:

Inventories (85,000 + 56,000 – 3,500 (W4))

137,500 $\frac{1}{2} + \frac{1}{2}$

Trade receivables (70,000 + 42,000 – 9,000 (intra-group) – nil (associate))

103,000 $\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$

Cash and cash equivalents (14,000 + 11,000)

25,000 $\frac{1}{2}$

265,500

Total assets

1,013,990

EQUITY AND LIABILITIES

Equity attributable to equity holders of the parent

Share capital (160,000 + 80,000 (shares issued to acquire Beta))

240,000 1

Retained earnings (W4)

224,201 15 (W4)

Other components of equity (W5)

147,752 $4\frac{1}{2}$ (W5)

611,953

Non-controlling interest (W3)

84,500 1 (W3)

Total equity

696,453

Non-current liabilities:

Contingent consideration

28,000 $\frac{1}{2}$

Provisions (W7)

7,387 $\frac{1}{2}$

Long-term borrowings (60,000 + 50,000 + 900 (W8))

110,900 $\frac{1}{2} + \frac{1}{2}$

Deferred tax (22,000 + 25,000 + 6,250 (W10))

53,250 $\frac{1}{2} + \frac{1}{2}$

199,537

Total non-current liabilities

Current liabilities:

Trade and other payables (45,000 + 40,000 – 9,000 (intra-group) – nil (associate))

76,000 $\frac{1}{2}$

Short-term borrowings (22,000 + 20,000)

42,000 $\frac{1}{2}$

Total current liabilities

118,000 **40**

Total equity and liabilities

1,013,990

WORKINGS – DO NOT DOUBLE COUNT MARKS. ALL NUMBERS IN \$'000 UNLESS OTHERWISE STATED
Working 1 – Net assets table – Beta

	1 April 2012 \$'000	31 March 2013 \$'000	For W2	For W4
Share capital	120,000	120,000	½	
Other components of equity	2,400	4,000	½	½
Retained earnings:				
Per accounts of Beta	86,000	115,000	½	½
Property adjustment	20,000	20,000	½	
Extra depreciation ((92,000 – 80,000)/16)		(750)		½
Plant and equipment adjustment	9,000	9,000	½	
Extra depreciation ((120,000 – 111,000)/3)		(3,000)		½
Intangible asset adjustment	8,000	8,000	½	
Extra amortisation (8,000/4)		(2,000)		½
Deferred tax on fair value adjustments	(7,400)	(6,250)	1 (W10)	1 (W10)
Net assets for the consolidation	<u>238,000</u>	<u>264,000</u>		

The post-acquisition increase in net assets is 26,000 (264,000 – 238,000). 1,600 of this increase relates to other components of equity and the balance (24,400) relates to retained earnings.

	1
<u>4</u>	<u>4½</u>
⇒W2	⇒W4

Working 2 – Goodwill on consolidation (Beta)

	\$'000	
Cost of investment:		
Share exchange (90 million x 8/9 x \$2.80)	224,000	1
Contingent consideration	25,000	½
Fair value of non-controlling interest at date of acquisition (30 million x \$2.60)	<u>78,000</u>	1
	327,000	
Net assets at 1 April 2012 (W1)	<u>(238,000)</u>	4 (W1)
Goodwill	<u>89,000</u>	<u>6½</u>

Working 3 – Non-controlling interest in Beta

	\$'000	
Fair value at date of acquisition (W2)	78,000	½
25% of post-acquisition increase in net assets (26,000 (W1))	<u>6,500</u>	½
	<u>84,500</u>	<u>1</u>

Working 4 – Retained earnings

	\$'000	
Alpha	211,396	½
Adjustment to fair value of contingent consideration (28,000 – 25,000)	(3,000)	½
Adjustment for share based payment (W6)	(1,128)	1½ (W6)
Adjustment for provision (W7)	233	3½ (W7)
Adjustment for carrying value of loan (W8)	(900)	1½ (W8)
Beta (75% x 24,400 (W1))	18,300	½ + 4½ (W1)
Gamma (40% x (76,000 – 66,000))	4,000	½
Unrealised profits on sales to Beta (14,000 x 1/4)	(3,500)	1
Unrealised profits on sales to Gamma (12,000 x 1/4 x 40%)	<u>(1,200)</u>	<u>1</u>
	<u>224,201</u>	<u>15</u>

Working 5 – Other components of equity

	\$'000	
Alpha	5,604	1/2
Premium on issue of shares to acquire Beta (80 million x \$1.80)	144,000	1
Reversal re: investment in Gamma	(4,500)	1
Adjustment re: share based payment (W6)	1,128	1/2
Beta (75% x 1,600 (W1))	1,200	1
Gamma (40% (2,000 – 1,200))	320	1/2
	<u>147,752</u>	<u>4 1/2</u>

Working 6 – Share based payment

	\$'000	
Expected total cost (9.3 million x \$0.36)	3,348	1/2
Cumulative cost recognised to 31 March 2013 (2/3)	2,232	1/2
Cumulative cost recognised in previous periods	(1,104)	1/2
So necessary adjustment equals	<u>1,128</u>	<u>1 1/2</u>

⇒W4

Working 7 – Provision adjustments

	\$'000	
Provision required at 31 March 2012 (14,250 x 0.48)	6,840	1/2
Unwinding of discount (6,840 x 8%)	547	1
So provision required at 31 March 2013	<u>7,387</u>	
Amount included in PPE on 31 March 2012	6,840	1/2
Depreciation to 31 March 2013 (1/9.5)	(720)	1/2
So added to PPE at 31 March 2013	<u>6,120</u>	
Amount chargeable to profit or loss (547 + 720)	1,267	1/2
Amount charged in financial statements	(1,500)	1/2
So necessary adjustment equals	<u>(233)</u>	<u>3 1/2</u>

⇒W4

Working 8 – Loan adjustment

	\$'000	
Initial carrying amount (20,000 – 1,000)	19,000	1/2
Finance cost (10%)	1,900	1/2
	<u>20,900</u>	
Included in draft financial statements	(20,000)	1/2
So adjustment equals	<u>900</u>	<u>1 1/2</u>

⇒W4

Working 9 – Investment in Gamma – equity accounting

	\$'000	
Cost	74,000	1/2
Share of post-acquisition change in net assets:		
Retained earnings (W4)	4,000	1/2
Other components of equity (W5)	320	1/2
Unrealised profit (W4)	(1,200)	1/2
	<u>77,120</u>	<u>2</u>

Working 10 – Deferred tax on fair value adjustments:

Fair value adjustments:

	1 April 2012 \$'000	31 March 2013 \$'000	
Property adjustment	20,000	19,250	½
Plant and equipment adjustment	9,000	6,000	½
Intangible asset adjustment	8,000	6,000	½
Net taxable temporary differences	37,000	31,250	
Related deferred tax (20%)	7,400	6,250	½
			<u>2</u>
			⇒W1

- 2 (a) The initial measurement of the loan in € is €49 million (€50 million – €1 million). ½
- The finance cost in € is €4.9 million (€49 million x 10%). ½
- The closing balance of the loan in € is €49.9 million (€49 million + €4.9 million – €4 million). ½
- IAS 21 – *The Effect of Changes in Foreign Exchange Rates* – states that foreign currency transactions are initially recorded at the rate of exchange in force when the transaction was first recognised. ½
- Therefore the loan would initially be recorded at \$68.6 million (€49 million x 1.40). ½
- The finance cost would be recorded at an average rate for the period since it accrues over a period of time. ½
- The finance cost would be \$6.958 million (€4.9 million x 1.42). ½
- The actual payment of interest would be recorded at \$5.8 million (€4 million x 1.45). ½
- The loan balance is a monetary item so it is translated at the rate of exchange at the reporting date. ½
- So the closing loan balance is \$72.355 million (€49.9 million x 1.45). ½
- The exchange differences that are created by this treatment are recognised in profit or loss. ½
- In this case, the exchange difference is ((€68.6 million + €6.958 million – €5.8 million) – \$72.355 million) = \$2.597 million. 1
- This exchange loss is taken to profit or loss. ½
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- (b) As provided in IFRS 11 – *Joint Arrangements* – this is a joint arrangement because two or more parties have joint control of the pipeline under a contractual arrangement. 1
- The arrangement will be regarded as a joint operation because Delta and the other investor have rights to the assets and obligations for the liabilities of this joint arrangement. 1
- This means that Delta and the other investor will each recognise 50% of the cost of constructing the asset in property, plant and equipment. ½
- The borrowing cost incurred on constructing the pipeline should, under the principles of IAS 23 – *Borrowing Costs* –, be included as part of the cost of the asset for the period of construction. ½
- In this case, the relevant borrowing cost to be included is \$500,000 (\$10 million x 10% x 6/12). 1
- The total cost of the asset is \$40.5 million (\$40 million + \$500,000). \$20.25 million is included in the property, plant and equipment of Delta and the same amount in the property, plant and equipment of the other investor. 1
- The depreciation charge for the year ended 31 March 2013 will therefore be \$1,012,500 (\$40.5 million x 1/20 x 6/12). \$506,250 will be charged in the statement of profit or loss of Delta and the same amount in the statement of profit or loss of the other investor. 1
- The other costs relating to the arrangement in the current year totalling \$900,000 (finance cost for the second half year of \$500,000 plus maintenance costs of \$400,000) will be charged to the statements of profit or loss of Delta and the other investor in equal proportions – \$450,000 each. 1
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7

		Marks
(c)	Under the principles of IFRS 10 – <i>Consolidated Financial Statements</i> – Delta has control over Epsilon. This is because:	1
	The purpose of setting up Epsilon is to enable Delta to achieve a specific purpose.	1/2
	Epsilon's dependence on Delta indicates that Delta has effective power over Epsilon.	1
	The directors of Delta are acting as <i>de facto</i> agents of Delta in terms of their shareholdings in Epsilon.	1/2
	Delta is exposed to variable returns (on the leased asset) which Delta has the power to affect through its use.	1
	Therefore Delta will consolidate Epsilon and the leased asset and associated liability will be included in the consolidated financial statements as a finance lease.	1
	The rental payments between Delta and Epsilon will be eliminated as an intra-group transaction.	1
		<u>6</u>
		<u>20</u>
3	(a) (i) Revenue is the gross inflow of economic benefits during a period arising in the course of the ordinary activities of a company. Revenue does not include recoverable sales taxes .	1/2 + 1/2 + 1/2
	Revenue is measured at the fair value of the consideration receivable. Fair value takes account of the time value of money and any trade or volume discounts associated with the transaction.	1/2 + 1/2 + 1/2
	(ii) Revenue from the sale of goods can be recognised when:	
	The company has transferred the significant risks and rewards of ownership of the goods to the buyer.	1/2
	The entity has transferred control of the goods to the buyer.	1/2
	The amount of revenue can be measured reliably.	1/2
	It is probable that associated economic benefits will flow to the company.	1/2
	The related costs can be measured reliably.	1/2
	As far as the rendering of services is concerned, an additional condition is that the stage of completion of the service at the end of the reporting period can be measured reliably.	1/2
		<u>6</u>
	(b) (i) \$400,000 is recognised as revenue. IAS 18 states that revenue is reduced to the extent that volume discounts are given.	1
	The prompt payment discount of \$20,000 would not reduce revenue but would be recognised either as part of cost of sales or as a financing expense.	1
		<u>2</u>
	(ii) Because the installation process is simple, revenue from Machine 1 will be recognised on 31 March 2013.	1/2
	Therefore, for Machine 1, \$320,000 will be recognised as revenue and \$160,000 as cost of sales.	1
	Revenue from Machine 2 will not be recognised until 5 April, the date the installation is complete. Until that date, Kappa has not transferred the risks and rewards of ownership.	1/2
	Therefore no revenue or cost of sales will be recognised on Machine 2 in the year ended 31 March 2013.	1
	The cost of producing Machine 2 (\$150,000) will be recognised in inventory at 31 March 2013 and the installation cost (\$10,000) will be recognised as part of cost of sales when the revenue is recognised on 5 April 2013 – within the year ended 31 March 2014.	1
		<u>4</u>
	(iii) No revenue would be recognised on the sale of the property as the risks and rewards of ownership have been retained by Kappa. This is so because the option to re-purchase is almost certain to be exercised, due to the transfer at substantially below market value and the expectation of a rise in property prices.	1

	Marks
This transaction will therefore be regarded as a secured loan.	½
The property will remain in the statement of financial position of Kappa.	½
The finance cost for the year ended 31 March 2013 will be \$100,000 (\$2 million x 10% x 6/12). This will be shown in the statement of profit or loss.	1
The closing borrowing will be \$2.1 million (\$2 million + \$100,000). This will be shown as a non-current liability.	1
	4
(iv) Kappa would recognise revenue on 30 September 2012 because the risks and rewards of ownership have been transferred and Kappa has no continuing managerial involvement with the machine.	½
The amount recognised should be the fair value of the consideration receivable which, under the principles of IFRS 13 – <i>Fair Value Measurement</i> –, involves discounting the consideration to present value.	½
The amount of revenue recognised is \$800,000 (\$1,007,557 x 0.794).	½
Kappa would recognise \$600,000 in cost of sales.	½
Kappa would recognise finance income of \$32,000 (\$800,000 x 8% x 6/12). This will be shown in the statement of profit or loss.	1
Kappa would recognise a closing receivable of \$832,000 (\$800,000 + \$32,000). This will be shown as a non-current asset.	1
	4
	20
4 (a) Although it is true that the majority of assets and liabilities that are recognised in financial statements are measured based on their original cost, there are a number that are measured at fair value. Three examples of the use of the 'fair value basis' are:	
The assets and liabilities of a newly acquired subsidiary are measured in the consolidated financial statements at their fair values at the date of acquisition.	1
Many financial instruments are measured at fair value.	1
Property, plant and equipment can be measured at fair value on a class by class basis.	1
(Tutorial note: Other valid examples – e.g. investment properties or biological assets – would also receive credit.)	
IFRS 13 – <i>Fair Value Measurement</i> – defines fair value as the amount that would be received to sell an asset , or paid to transfer a liability , in an orderly transaction between market participants .	½ + ½ + ½ + ½
The IFRS 13 definition removes the uncertainty that was previously an issue in that it confirms that fair value is an exit measure, not an entry measure.	½
The fair value hierarchy refers to three levels of input into the measurement of fair value. These three levels vary in their reliability, starting with the most reliable and ending with the least reliable:	
Level 1 inputs are market prices where the asset or liability is quoted in an active market. These inputs are given the highest priority when measuring fair values and are not normally subject to any adjustment. An example would be the use of quoted prices to measure the fair value of equity instruments.	1½
Level 2 inputs are inputs into the calculation of fair value that, whilst not market values, are observable to an external user. An example would be the quoted prices of shares in similar entities when measuring the fair value of an unquoted share. Level 2 inputs are sometimes adjusted to reflect differential circumstances.	1½
Level 3 inputs are those that are not observable to an external user. An example would be the assumptions regarding future profits when measuring the fair value of an unquoted share. When measuring fair values, use of Level 3 inputs should be kept to a minimum.	1½
	10

	Marks
(b) A reportable segment is an operating segment that satisfies certain materiality criteria.	$\frac{1}{2}$
An operating segment is a component of an entity:	
That engages in business activities from which it may earn revenues and incur expenses .	$\frac{1}{2} + \frac{1}{2}$
Whose operating results are regularly reviewed by the Chief Operating Decision Maker (CODM).	$\frac{1}{2} + \frac{1}{2}$
For which discrete financial information is available.	$\frac{1}{2}$
The CODM is a function , not a title. The function is to make decisions about allocating resources and assessing performance .	$\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$
The materiality criteria are any one of the following:	$\frac{1}{2}$
Reported revenue is 10% or more of the total revenue of all operating segments.	$\frac{1}{2}$
The absolute amount of its reported profit or loss is 10% or more of the greater of the combined reported profit of all the profit making segments and the combined reported loss of all the segments that reported a loss.	$\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$
Total assets are 10% or more of the total assets of all operating segments.	$\frac{1}{2}$
Two or more operating segments that exhibit similar economic characteristics can be combined into a single operating segment for reporting purposes.	$\frac{1}{2} + \frac{1}{2}$
Even if an operating segment does not meet any of the quantitative thresholds, it can be considered reportable if management believes that information about that segment would be useful to users of the financial statements.	$\frac{1}{2}$
As a minimum, the total external revenue of reportable segments should be at least 75% of total entity revenue . If this is not achieved by applying the size criteria to individual segments, additional reportable segments need to be added until this threshold is achieved .	$\frac{1}{2} + \frac{1}{2}$
	<u>10</u>
	<u>20</u>

Diploma in International Financial Reporting

Tuesday 10 December 2013

**Time allowed**

Reading and planning: 15 minutes

Writing: 3 hours

ALL FOUR questions are compulsory and MUST be attempted.

Do NOT open this paper until instructed by the supervisor.

During reading and planning time only the question paper may be annotated. You must NOT write in your answer booklet until instructed by the supervisor.

This question paper must not be removed from the examination hall.

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The question paper begins on page 3.

ALL FOUR questions are compulsory and MUST be attempted

- 1 Alpha holds investments in two other entities, Beta and Gamma. The statements of financial position of the three entities at 30 September 2013 were as follows:

	Alpha \$'000	Beta \$'000	Gamma \$'000
ASSETS			
Non-current assets:			
Property, plant and equipment (Notes 1 and 3)	320,000	235,000	220,000
Intangible assets (Notes 1 and 4)	55,000	60,000	Nil
Investments (Notes 1 and 2)	322,000	Nil	Nil
	<u>697,000</u>	<u>295,000</u>	<u>220,000</u>
Current assets:			
Inventories (Note 5)	88,000	61,000	42,000
Trade receivables (Note 6)	65,000	49,000	38,000
Cash and cash equivalents	12,000	10,000	9,000
	<u>165,000</u>	<u>120,000</u>	<u>89,000</u>
Total assets	<u>862,000</u>	<u>415,000</u>	<u>309,000</u>
EQUITY AND LIABILITIES			
Equity			
Share capital (\$1 shares)	195,000	150,000	120,000
Retained earnings	185,000	115,000	75,000
Other components of equity (Notes 2 and 3)	192,000	11,000	Nil
Total equity	<u>572,000</u>	<u>276,000</u>	<u>195,000</u>
Non-current liabilities:			
Long-term borrowings (Note 8)	170,000	54,000	50,000
Deferred tax	50,000	35,000	20,000
Total non-current liabilities	<u>220,000</u>	<u>89,000</u>	<u>70,000</u>
Current liabilities:			
Trade and other payables (Note 6)	48,000	45,000	34,000
Short-term borrowings	22,000	5,000	10,000
Total current liabilities	<u>70,000</u>	<u>50,000</u>	<u>44,000</u>
Total equity and liabilities	<u>862,000</u>	<u>415,000</u>	<u>309,000</u>

Note 1 – Alpha's investment in Beta

On 1 July 2012, Alpha acquired 120 million shares in Beta by means of a share exchange. The terms of the business combination were as follows:

- Alpha issued five shares for every six shares acquired in Beta. On 1 July 2012, the market value of an Alpha share was \$2.40. This share issue has been correctly reflected in the financial statements of Alpha.
- Alpha will make a further cash payment of \$50 million to the former shareholders of Beta on 30 June 2015. Alpha has made no entry in its financial statements in respect of this additional payment. At 1 July 2012, Alpha's credit rating was such that it could have borrowed funds at an annual interest rate of 10%.

It is the group policy to value the non-controlling interest in subsidiaries at the date of acquisition at fair value. The market value of an equity share in Beta at 1 July 2012 was \$1.70 and can be used for this purpose.

On 1 July 2012, the individual financial statements of Beta showed the following reserves balances:

- Retained earnings \$98 million.
- Other components of equity \$5 million (see Note 3 below).

The directors of Alpha carried out a fair value exercise to measure the identifiable assets and liabilities of Beta at 1 July 2012. The following matters emerged:

- Plant and equipment having a carrying value of \$120 million had an estimated market value of \$130 million. The estimated future economic life of the plant and equipment at 1 July 2012 was four years and this estimate remains valid. Beta has disposed of 20% of this plant and equipment since 1 July 2012.
- Intangible assets with an estimated market value of \$12 million had not been recognised in the individual financial statements of Beta. At 1 July 2012, the estimated future economic lives of these intangible assets was five years.

The fair value adjustments have not been reflected in the individual financial statements of Beta. In the consolidated financial statements the fair value adjustments will be regarded as temporary differences for the purposes of computing deferred tax. The rate of deferred tax to apply to temporary differences is 20%.

No impairment of the goodwill on acquisition of Beta has occurred since 1 July 2012.

Note 2 – Alpha’s investment in Gamma

On 1 October 2012, Alpha acquired 48 million shares in Gamma for a total cash payment of \$80 million. This share purchase followed an agreement with two other investors (who each purchased 36 million shares in Gamma on 1 October 2012) to exercise joint control over Gamma. All key operating and financial policies, including the distribution of profits, require the unanimous consent of the three investors. In its own financial statements Alpha treated the investment in Gamma as a financial asset and made an election to measure it at fair value through other comprehensive income. On 30 September 2013, the fair value of Alpha’s investment in Gamma was \$82 million. Alpha did not recognise any deferred tax in respect of this restatement to fair value. Therefore on 30 September 2013 Alpha credited \$2 million to other components of equity.

On 1 October 2012, the individual financial statements of Gamma showed the following reserves balances:

- Retained earnings \$66 million.
- Other components of equity \$Nil

On 1 October 2012, there were no material differences between the carrying values of the net assets of Gamma in the individual financial statements and the fair values of those net assets.

You do not need to consider the deferred tax implications of Alpha’s investment in Gamma when preparing the consolidated statement of financial position of the Alpha group.

Note 3 – Property, plant and equipment of Beta

Beta measures its land under the revaluation model. The other components of equity of Beta consist entirely of revaluation surpluses arising on the revaluation of its land. On 1 July 2012, the carrying value of Beta’s land in Beta’s own financial statements was the same as its fair value. On 30 September 2013, Beta revalued its land by \$7.5 million. As a result of this revaluation, Beta recognised an additional deferred tax liability of \$1.5 million and credited \$6 million to other components of equity. The policy of Alpha and Gamma is to use the cost model to measure all property, plant and equipment. This is the policy to be adopted in the consolidated financial statements.

Note 4 – Intangible assets of Alpha and Beta

The intangible assets of Alpha comprise expenditure incurred during the year on a project to reduce wastage incurred during the group’s production processes. The project began on 1 November 2012 and is expected to be complete by 31 May 2014. Expenditure to date has been \$5 million each month. On 1 June 2013, the directors were able to assess the technical feasibility and commercial viability of the project with reasonable certainty. At this date they also received assurance that the economic benefits the project was likely to bring to the group were likely to exceed the total project costs.

The intangible assets in the individual financial statements of Beta represent goodwill which arose on acquisition of an unincorporated business in 2008. No impairment of this goodwill has been necessary since the date of acquisition of Beta by Alpha.

Note 5 – Inter-company sale of inventories

The inventories of Beta and Gamma at 30 September 2013 included components produced by Alpha. The selling price of the components included in the inventories of Beta was \$14 million. The selling price of the components

included in the inventories of Gamma was \$12 million. Alpha applied a mark up of one-third of its production cost in arriving at the sales price of these components. You can ignore deferred tax when making any adjustments due to the information in this note.

Note 6 – Trade receivables and payables

The trade receivables of Alpha included \$8 million receivable from Beta and \$7 million receivable from Gamma in respect of the purchase of components (see Note 5). The trade payables of Beta and Gamma included equivalent amounts payable to Alpha.

Note 7 – Forward currency contract

During July and August 2013 Alpha conducted a large marketing effort in Country X. The currency in Country X is the Euro. Alpha made no sales to customers in Country X in the year ended 30 September 2013 but is very confident of making substantial sales to such customers in the year ended 30 September 2014. On 5 September 2013, Alpha entered into a contract to sell €20 million for \$28 million on 31 October 2013. Currency fluctuations in September 2013 were such that on 30 September 2013 the fair value of this currency contract was \$1.1 million (a financial asset). The draft financial statements of Alpha do not include any amounts in respect of this currency contract since it has a zero cost. Alpha wishes to use hedge accounting whenever permitted by International Financial Reporting Standards. Alpha expects sales to customers in Country X to be at least €22 million in October 2013.

Note 8 – Long-term borrowings

The long-term borrowings of Alpha include a loan at a carrying amount of \$60 million which was taken out on 1 October 2012. The loan does not carry any interest but \$75.6 million is repayable on 30 September 2015. This represents an effective annual rate of return for the investors of 8%. As an alternative to repayment, the investors can exchange their loan asset for equity shares in Alpha on 30 September 2015. The annual rate of return required by such investors on a non-convertible loan would have been 10%. Alpha has not charged any finance cost in respect of this loan for the year ended 30 September 2013.

The present value of \$1 payable/receivable in three years' time is as follows:

- 79.4 cents when the discount rate is 8% per annum.
- 75.1 cents when the discount rate is 10% per annum.

Required:

Prepare the consolidated statement of financial position of Alpha at 30 September 2013.

Note: You should show all workings to the nearest \$'000.

(40 marks)

2 Delta is an entity which prepares financial statements to 30 September each year. Each year the financial statements are authorised for issue on 30 November. During the year ended 30 September 2013 the following transactions occurred:

- (a) On 1 April 2013, Delta subscribed for 40 million \$1 loan notes in Epsilon. The loan notes were issued at 90 cents and under the terms of issue were redeemable at \$1.20 on 31 March 2018. Interest is payable on 31 March in arrears at 4% of par value. This represents an effective annual rate of return for Delta of 9.9%. Delta's intention is to hold the loan notes until redemption. Until 31 October 2013 Epsilon was a successful company with a good reputation for settling all its liabilities on their due dates. However, due to an event which occurred on 31 October 2013, three of Epsilon's major customers became insolvent and this caused liquidity problems for Epsilon. During November 2013 Epsilon entered into negotiations with all its creditors, including Delta. Delta agreed to forego the interest payments due on 31 March 2014 and 2015, with the payments from 31 March 2016 onwards resuming as normal. (8 marks)
- (b) On 1 June 2013, Delta decided to dispose of the trade and assets of a business it had acquired several years previously. This disposal does not involve Delta withdrawing from a particular market sector. The carrying values on 1 June 2013 of the assets to be disposed of were as follows:

	\$m
Goodwill	10
Property, plant and equipment	20
Patents and trademarks	8
Inventories	15
Trade receivables	10
	63

Delta offered the business for sale at a price of \$46.5 million, which was considered to be reasonably achievable. Delta estimated that the direct costs of selling the business would be \$500,000. These estimates have not changed since 1 June 2013 and Delta estimates that the business will be sold by 31 March 2014 at the latest.

None of the assets of the business had suffered obvious impairment at 1 June 2013. At that date the inventories and trade receivables of the business were already stated at no more than their recoverable amounts.

(7 marks)

- (c) On 1 April 2013 Delta sold a property for \$20 million. The carrying amount of the property was \$23 million and its market value on 1 April 2013 was \$25 million. On 1 April 2013, Delta entered into an agreement to lease the property on a five-year lease. On that date the useful economic life of the property was estimated at 25 years. Annual lease rentals of \$1.8 million were payable on 1 April in advance. These rentals reflected the fact that the property had been sold at a price which was lower than its fair value. (5 marks)

Required:

Explain and show (where possible by quantifying amounts) how the three events would be reported in the financial statements of Delta for the year ended 30 September 2013. You do not need to quantify amounts which are only shown in the notes to the financial statements.

Note: The mark allocation is shown against each of the three events above.

You should assume that all transactions described here are material.

(20 marks)

- 3 (a) When preparing financial statements it is important to ensure that the tax consequences of all transactions are appropriately recognised. IAS 12 – *Income Taxes* – prescribes the treatment of both current and deferred tax assets and liabilities.

Current tax is the amount of income tax payable or recoverable in respect of the taxable profit or tax loss for a period. Deferred tax is tax on temporary differences. A temporary difference is the difference between the carrying amount of an asset or liability and its tax base. A taxable temporary difference leads to a potential deferred tax liability and a deductible temporary difference leads to a potential deferred tax asset.

Required:

Explain how the tax base of both an asset and a liability is computed and state the general requirements of IAS 12 regarding the recognition of both deferred tax liabilities and deferred tax assets. You do not need to identify any of the exceptions to these general requirements which are set out in IAS 12. (5 marks)

- (b) Kappa prepares consolidated financial statements to 30 September each year. During the year ended 30 September 2013 Kappa entered into the following transactions:

- (i) On 1 October 2012, Kappa purchased an equity investment for \$200,000. The investment was designated as fair value through other comprehensive income. On 30 September 2013, the fair value of the investment was \$240,000. In the tax jurisdiction in which Kappa operates, unrealised gains and losses arising on the revaluation of investments of this nature are not taxable unless the investment is sold. Kappa has no intention of selling the investment in the foreseeable future. (5 marks)
- (ii) On 1 August 2013, Kappa sold products to Omega, a wholly owned subsidiary operating in the same tax jurisdiction as Kappa, for \$80,000. The goods had cost Kappa \$64,000. By 30 September 2013, Omega had sold 40% of these goods, selling the remaining 60% in October and November 2013. (6 marks)
- (iii) On 31 March 2013, Kappa received \$200,000 from a customer. This payment was in respect of services to be provided by Kappa from 1 April 2013 to 31 January 2014. Kappa recognised revenue of \$120,000 in respect of this transaction in the year ended 30 September 2013 and will recognise the remainder in the year ended 30 September 2014. Under the tax jurisdiction in which Kappa operates, the \$200,000 received on 31 March 2013 was included in the taxable profits of Kappa for the year ended 30 September 2013. (4 marks)

Required:

Explain and show how the tax consequences (current and deferred) of the three transactions would be reported in the statement of financial position of Kappa at 30 September 2013 and its statement of profit or loss and other comprehensive income for the year ended 30 September 2013.

Note: The mark allocation is shown against each of the three transactions above.

You should assume that:

- The rate of income tax in the jurisdiction in which Kappa operates is 25%.
- Both Kappa and Omega are profitable companies which consistently generate annual taxable profits of at least \$1,000,000.

In answering this part, you do NOT need to consider the possible offset of deferred tax assets against deferred tax liabilities.

(20 marks)

4 Omega is a listed company which prepares financial statements in accordance with International Financial Reporting Standards (IFRS).

(a) On 1 October 2012, Omega purchased some land for \$10 million (including legal costs of \$1 million) in order to construct a new factory. Construction work commenced on 1 November 2012. Omega incurred the following costs in connection with its construction:

- Preparation and levelling of the land – \$300,000.
- Purchase of materials for the construction – \$6.08 million in total.
- Employment costs of the construction workers – \$200,000 **per month**.
- Overhead costs incurred directly on the construction of the factory – \$100,000 **per month**.
- Ongoing overhead costs allocated to the construction project using Omega's normal overhead allocation model – \$50,000 **per month**.
- Income received during the temporary use of the factory premises as a car park during the construction period – \$50,000.
- Costs of relocating employees to work at the new factory – \$300,000.
- Costs of the opening ceremony on 31 July 2013 – \$150,000.

The factory was completed on 31 May 2013 and production began on 1 August 2013. The overall useful life of the factory building was estimated at 40 years from the date of completion. However, it is estimated that the roof will need to be replaced 20 years after the date of completion and that the cost of replacing the roof at current prices would be 30% of the total cost of the building. At the end of the 40-year period Omega has a legally enforceable obligation to demolish the factory and restore the site to its original condition. The directors estimate that the cost of demolition in 40 years' time (based on prices prevailing at that time) will be \$20 million. An annual risk adjusted discount rate which is appropriate to this project is 8%. The present value of \$1 payable in 40 years' time at an annual discount rate of 8% is 4.6 cents.

The construction of the factory was partly financed by a loan of \$17.5 million taken out on 1 October 2012. The loan was at an annual rate of interest of 6%. During the period 1 October 2012 to 28 February 2013 (when the loan proceeds had been fully utilised to finance the construction), Omega received investment income of \$100,000 on the temporary investment of the proceeds.

Required:

Compute the carrying amount of the factory in the statement of financial position of Omega at 30 September 2013. You should explain your treatment of all the amounts referred to in this part in your answer.

(14 marks)

(b) On 1 October 2011 Omega granted share options to 200 senior executives. The options will vest on 30 September 2014 subject to the following conditions:

- Each executive will be entitled to 1,000 options if the cumulative profit in the three-year period from 1 October 2011 to 30 September 2014 exceeds \$30 million. If the cumulative profit for this period is between \$35 million and \$40 million, then 1,500 options will vest. If the cumulative profit for the period exceeds \$40 million, then 2,000 options will vest.
- If an executive leaves during the three-year vesting period, then that executive would forfeit any rights to share options.
- Notwithstanding the above, no options will vest unless the share price at 30 September 2014 exceeds \$5.

Details of the fair values of the shares and share options at relevant dates are as follows:

Date	Fair value of	
	An Omega share	One of the options
	\$	\$
1 October 2011	4.00	0.50
30 September 2012	4.40	0.60
30 September 2013	4.60	0.75

The estimate of the cumulative profit for the three-year period ending 30 September 2014 was revised each year as follows:

Date	Expected profit for the three-year period
	\$m
1 October 2011	32
30 September 2012	39
30 September 2013	45

On 1 October 2011, none of the relevant executives were expected to leave in the three-year period from 1 October 2011 to 30 September 2014 and none left in the year ended 30 September 2012. However, 10 executives left unexpectedly on 30 June 2013. None of the other executives are expected to leave before 30 September 2014.

Omega correctly reflected this arrangement in its financial statements for the year ended 30 September 2012.

Required:

Prepare relevant extracts from the statement of financial position of Omega at 30 September 2013 and its statement of profit or loss and other comprehensive income for the year ended 30 September 2013. You should give appropriate explanations to support your extracts. (6 marks)

(20 marks)

End of Question Paper

Answers

Marks

1 Consolidated statement of financial position of Alpha at 30 September 2013

ASSETS	\$'000	
Non-current assets:		
Property, plant and equipment (W6)	553,000	1½ (W6)
Intangible assets (W7)	29,000	2 (W7)
Goodwill (W2)	117,966	7½ (W2)
Investment in Gamma (W11)	82,400	1½ (W11)
	<u>782,366</u>	
Current assets:		
Inventories (88,000 + 61,000 – 3,500 (W4))	145,500	½ + ½
Trade receivables (65,000 + 49,000 – 8,000 (intra-group) – nil (associate))	106,000	½ + ½
Financial asset (derivative)	1,100	1
Cash and cash equivalents (12,000 + 10,000)	22,000	½
	<u>274,600</u>	
Total assets	<u><u>1,056,966</u></u>	
EQUITY AND LIABILITIES		
Equity attributable to equity holders of the parent		
Share capital	195,000	½
Retained earnings (W4)	147,232	11½ (W4)
Other components of equity (W5)	194,324	3½ (W5)
	<u>536,556</u>	
Non-controlling interest (W3)	53,200	1 (W3)
Total equity	<u>589,756</u>	
Non-current liabilities:		
Deferred consideration (W8)	42,356	1½ (W8)
Long-term borrowings (170,000 + 54,000 – 60,000 + 62,454 (W9))	226,454	½ + ½ + ½ + 1½ (W9)
Deferred tax (50,000 + 35,000 – 1,500 (Note 3) + 2,900 (W12))	86,400	½ + 1 + ½
Total non-current liabilities	<u>355,210</u>	
Current liabilities:		
Trade and other payables (48,000 + 45,000 – 8,000 (intra-group) – nil (associate))	85,000	½
Short-term borrowings (22,000 + 5,000)	27,000	½
Total current liabilities	<u>112,000</u>	40
Total equity and liabilities	<u><u>1,056,966</u></u>	

WORKINGS –DO NOT DOUBLE COUNT MARKS. ALL NUMBERS IN \$'000 UNLESS OTHERWISE STATED. NB: ALPHA OWNS 80% OF THE SHARES IN BETA AND 40% OF THE SHARES IN GAMMA

Working 1 – Net assets table – Beta:

	1 July 2012 \$'000	30 September 2013 \$'000	For W2	For W5
Share capital	150,000	150,000	½	
Other components of equity	5,000	11,000	½	½
Reverse post-acquisition revaluation		(6,000)		½
Retained earnings:				
Per accounts of Beta	98,000	115,000	½	½
Adjustment for own goodwill	(60,000)	(60,000)	½	½
Plant and equipment adjustment	10,000	8,000	½	½
Extra depreciation (8,000 x 15/48)		(2,500)		½
Intangible asset adjustment	12,000	12,000	½	
Extra amortisation (12,000 x 15/60))		(3,000)		½
Deferred tax on fair value adjustments	(4,400)	(2,900)	1½ (W12)	1½ (W12)
Net assets for the consolidation	<u>210,600</u>	<u>221,600</u>		

The post-acquisition increase in net assets is 11,000 (221,600 – 210,600). All of this increase relates to retained earnings

	½
<u>4½</u>	<u>5½</u>
⇒W2	⇒W4

Working 2 – Goodwill on consolidation (Beta)

	\$'000	
Cost of investment:		
Share exchange (120 million x 5/6 x \$2.40)	240,000	1
Deferred consideration (50 million)/1·10 ³	37,566	1
Fair value of non-controlling interest at date of acquisition (30 million x \$1.70)	<u>51,000</u>	<u>1</u>
	328,566	
Net assets at 1 April 2012 (W1)	(210,600)	4½ (W1)
Goodwill	<u>117,966</u>	<u>7½</u>

Working 3 – Non-controlling interest in Beta

	\$'000	
Fair value at date of acquisition (W2)	51,000	½
20% of post-acquisition increase in net assets (11,000 (W1))	<u>2,200</u>	<u>½</u>
	<u>53,200</u>	<u>1</u>

Working 4 – Retained earnings

	\$'000	
Alpha	185,000	½
Finance costs on deferred consideration (939 (W8) + 3,851 (W8))	(4,790)	½ + ½
Adjustment for intangible asset (W7)	(35,000)	½
Adjustment for finance cost of loan (W9)	(5,678)	½
Beta (80% x 11,000 (W1))	8,800	½ + 5½ (W1)
Gamma (40% x (75,000 – 66,000))	3,600	½ + ½
Unrealised profits on sales to Beta (14,000 x 1/4)	(3,500)	1
Unrealised profits on sales to Gamma (12,000 x 1/4 x 40%)	<u>(1,200)</u>	<u>1</u>
	<u>147,232</u>	<u>11½</u>

Working 5 – Other components of equity – Alpha

	\$'000	
Alpha	192,000	½
Deduct gain on revaluation of investment in Gamma	(2,000)	1
Gain on fair value of hedge accounted derivative	1,100	½
Equity component of convertible loan (W10)	<u>3,224</u>	<u>1½ (W10)</u>
	<u>194,324</u>	<u>3½</u>

Marks

Working 6 – Property, plant and equipment

	\$'000	
Alpha + Beta	555,000	1/2
Reversal of post-acquisition revaluation – Beta	(7,500)	1/2
Fair value adjustment – Beta (8,000 – 2,500 – W1)	5,500	1/2
	<u>553,000</u>	<u>1 1/2</u>

Working 7 – Intangible assets

	\$'000	
Alpha (per own financial statements)	55,000	1/2
November – May expenditure inappropriately capitalised	(35,000)	1
Beta at fair value (12,000 – 3,000 – W1)	9,000	1/2
	<u>29,000</u>	<u>2</u>

Working 8 – Deferred consideration

	\$'000	
At 1 July 2012 (W1)	37,566	1/2
Finance cost to 30 September 2012 (10% x 3/12)	939	1/2
At 1 October 2012	38,505	
Finance cost to 30 September 2013 (10%)	3,851	1/2
At 30 September 2013	<u>42,356</u>	<u>1 1/2</u>

Working 9 – Convertible loan

	\$'000	
Initial carrying amount (75,600 x 0.751)	56,776	1
Finance cost to 30 September 2013 (10% x 56,776)	5,678	1/2
At 30 September 2013	<u>62,454</u>	<u>1 1/2</u>

Working 10 – Equity component of convertible loan

	\$'000	
Carrying amount is balancing figure (60,000 – 56,776 (W9))	<u>3,224</u>	<u>1</u>
		⇒W5

Working 11 – Investment in Gamma

	\$'000	
Cost	80,000	1/2
Share of post-acquisition profits (W4)	3,600	1/2
Unrealised profit (W4)	(1,200)	1/2
	<u>82,400</u>	<u>1 1/2</u>

Working 12 – Deferred tax on fair value adjustments

Fair value adjustments:

	1 July 2012 \$'000	30 September 2013 \$'000	
Plant and equipment adjustment	10,000	5,500	1
Intangible asset adjustment	12,000	9,000	1
Net taxable temporary differences	<u>22,000</u>	<u>14,500</u>	
Related deferred tax (20%)	<u>4,400</u>	<u>2,900</u>	<u>1</u>
			<u>3</u>
			⇒W1

	Marks
2 (a) IFRS 9 – <i>Financial Instruments</i> – requires entities to measure financial assets at either amortised cost or fair value depending on the reason for holding them and the nature of the expected returns from the asset.	1
In this case, amortised cost should be used because Delta's objective is to hold the assets to collect the contractual cash flows associated with it and those cash flows consist solely of the repayment of principal and interest by Epsilon.	1
The asset will initially be measured at \$36 million (\$40 million x 90 cents).	1/2
The finance income for the six months to 30 September 2013 will be \$1.782 million (\$36 million x 9.9% x 6/12).	1
The closing asset will be \$37.782 million (\$36 million + \$1.782 million).	1/2
This asset will be split into its current and non-current portions.	1/2
The interest payment due on 31 March 2014 of \$1.6 million (\$40 million x 4%) will be a current asset.	1
The remaining asset of \$36.182 million (\$37.782 million – \$1.6 million) will be non-current.	1/2
The information regarding the financial difficulty of Epsilon is an event after the reporting period.	1/2
It is a non-adjusting event as it gives evidence of conditions arising after the end of the reporting period.	1/2
Therefore the financial statements are not adjusted but Delta should disclose the nature of the event and an estimate of its financial effect as non-disclosure could influence the economic decisions users of the financial statements might make.	1
	8
(b) The business would be regarded as held for sale from 1 June 2013. The held for sale criteria apply because the business is being actively marketed at a reasonable price and the sale is expected to be completed within one year of the date of classification.	1
Given this classification, IFRS 5 – <i>Non-current Assets Held for Sale and Discontinued Operations</i> – requires that the assets be separately classified under current assets in the statement of financial position. No further depreciation would be charged on these assets.	1
The assets will be measured at the lower of their current carrying amounts at the date of classification and their fair value less costs to sell. In this case, the total carrying amount after re-measurement will be \$46 million (\$46.5 million – \$0.5 million).	1
The impairment loss of \$17 million (\$63 million – \$46 million) will first be allocated to goodwill taking its carrying amount to nil.	1
None of the remaining impairment loss will be allocated to inventories or trade receivables since their recoverable amounts are at least equal to their existing carrying amounts.	1
The remaining impairment loss of \$7 million (\$17 million – \$10 million) will be allocated to the property, plant and equipment and the patents on a pro-rata basis.	1
The closing carrying amounts of the property, plant and equipment and the patents will be \$15 million and \$6 million respectively.	1
	7
(c) Because the lease-back is a five-year lease of a property with a useful economic life of 25 years, the lease will be considered to be an operating lease.	1/2
Therefore the property will be removed from property, plant and equipment.	1/2
Because the property is being leased at a rental which is lower than market rentals, the apparent loss on sale of \$3 million (\$23 million – \$20 million) will be recognised over the lease term.	1/2
Therefore, in the year ended 30 September 2013, a loss on sale of \$300,000 (\$3 million x 6/60) will be recognised in profit or loss.	1
The unrecognised loss on sale of \$2.7 million (\$3 million – \$300,000) will be shown as a deferred expense.	1/2
\$600,000 (\$3 million x 12/60) of the above will be shown as a current asset and the balance of \$2.1 million (\$2.7 million – \$600,000) as a non-current asset.	1
A rental expense of \$900,000 (\$1.8 million x 6/12) will be recognised in profit or loss for the year ended 30 September 2013.	1/2
A pre-payment of \$900,000 will be shown in current assets at 30 September 2013.	1/2
	5
	20

3 (a)	The tax base of an asset is the amount which will be deductible for tax purposes against any taxable economic benefits which will flow to the entity when the asset is recovered. If these benefits are not taxable , the tax base equals the carrying amount .	$\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$
	The tax base of a liability is its carrying amount , less any amount which will be deductible for tax purposes in respect of that liability in future periods. If the 'liability' is revenue received in advance, the tax base is its carrying amount, less any revenue which will not be taxable in future periods .	$\frac{1}{2} + \frac{1}{2} + 1$
	The general requirements of IAS 12 are that deferred tax liabilities should be recognised on all taxable temporary differences.	$\frac{1}{2}$
	IAS 12 states that a deferred tax asset should be recognised for deductible temporary differences if it is probable that taxable profit will arise in future against which the deductible temporary difference can be utilised .	$\frac{1}{2} + \frac{1}{2}$
		<u>5</u>
(b) (i)	Because the unrealised gain on revaluation of the equity investment is not taxable until sold, there are no current tax consequences.	$\frac{1}{2}$
	Because the unrealised gain on revaluation of the equity investment is not taxable until sold, the tax base of the investment is \$200,000.	1
	The revaluation creates a taxable temporary difference of \$40,000 (\$240,000 – \$200,000).	$\frac{1}{2} + \frac{1}{2}$
	This creates a deferred tax liability of \$10,000 (\$40,000 x 25%). The liability would be non-current . The fact that there is no intention to dispose of the investment does not affect the accounting treatment .	$\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$
	Because the unrealised gain is reported in other comprehensive income, the related deferred tax expense is also reported in other comprehensive income .	$\frac{1}{2} + \frac{1}{2}$
		<u>5</u>
(ii)	When Kappa sold the products to Omega, Kappa would have generated a taxable profit of \$16,000 (\$80,000 – \$64,000). This would have created a current tax liability for Kappa and the group of \$4,000 (\$16,000 x 25%). This liability would be shown as a current liability and charged as an expense in arriving at profit or loss for the period .	$\frac{1}{2} + \frac{1}{2} + \frac{1}{2} + \frac{1}{2}$
	In the consolidated financial statements the carrying value of the unsold inventory would be \$38,400 (\$64,000 x 60%). The tax base of the unsold inventory would be \$48,000 (\$80,000 x 60%).	$\frac{1}{2} + \frac{1}{2}$
	In the consolidated financial statements there would be a deductible temporary difference of \$9,600 (\$38,400 – \$48,000) and a potential deferred tax asset of \$2,400 (\$9,600 x 25%). This would be recognised as a deferred tax asset since Omega is expected to generate sufficient taxable profits against which to utilise the deductible temporary difference.	$\frac{1}{2} + \frac{1}{2} + \frac{1}{2} + \frac{1}{2}$
	The deferred tax asset would be recognised as a current asset. The resulting credit would reduce consolidated deferred tax expense in arriving at profit or loss.	$\frac{1}{2} + \frac{1}{2}$
		<u>6</u>
(iii)	The receipt of revenue in advance on 31 March 2013 would create a current tax liability of \$50,000 (\$200,000 x 25%) as at 30 September 2013.	$\frac{1}{2} + \frac{1}{2}$
	The carrying value of the revenue received in advance at 30 September 2013 is \$80,000 (\$200,000 – \$120,000). Its tax base is nil (\$80,000 – \$80,000).	$\frac{1}{2} + \frac{1}{2}$
	The deductible temporary difference of \$80,000 would create a deferred tax asset of \$20,000 (\$80,000 x 25%). The asset can be recognised because Kappa has sufficient taxable profits against which to utilise the deductible temporary difference. It would be recognised as a current asset since the remaining revenue is recognised in the following accounting period.	$\frac{1}{2} + \frac{1}{2} + \frac{1}{2} + \frac{1}{2}$
		<u>4</u>
		<u>20</u>

4 (a) Computation of the cost of the factory

Description	Included in PPE \$'000	Explanation	
Purchase of land	10,000	Both the purchase of the land and the associated legal costs are direct costs of constructing the factory	1
Preparation and levelling	300	A direct cost of constructing the factory	1/2
Materials	6,080	A direct cost of constructing the factory	1/2
Employment costs of construction workers	1,400	A direct cost of constructing the factory for a seven-month period	1/2
Direct overhead costs	700	A direct cost of constructing the factory for a seven-month period	1/2
Allocated overhead costs	Nil	Not a direct cost of construction	1/2
Income from use as a car park	Nil	Not essential to the construction so recognised directly in profit or loss	1
Relocation costs	Nil	Not a direct cost of construction	1/2
Opening ceremony	Nil	Not a direct cost of construction	1/2
Finance costs	700	Capitalise the interest cost incurred in an eight-month period (purchase of land would trigger off capitalisation)	1 1/2
Investment income on temporary investment of the loan proceeds	(100)	Must offset against the amount capitalised	1/2
Demolition cost recognised as a provision	920	Where an obligation must recognise as part of the initial cost	1
Total	<u>20,000</u>		1/2
Computation of accumulated depreciation			
Total depreciable amount	<u>10,000</u>	All of the net finance cost of 600 (700 – 100) has been allocated to the depreciable amount. Also acceptable to reduce by allocating a portion to the non-depreciable land element	1
Depreciation must be in two parts		Principle	1/2
Depreciation of roof component	50	$10,000 \times 30\% \times 1/20 \times 4/12$	1 1/2
Depreciation of remainder	<u>58</u>	$10,000 \times 70\% \times 1/40 \times 4/12$	1
Total depreciation	<u>108</u>		1/2
Computation of carrying amount			
	<u><u>19,892</u></u>	20,000 – 108	1/2
			<u>14</u>

(b) Amount included in statement of financial position at 30 September 2013

	Amount	Explanation	
Number of executives	190	Use expected number based on latest estimates as a non-market vesting condition	1/2 + 1/2
Options vesting for each executive	2,000	Use expected number based on latest estimates as a non-market vesting condition	1/2
Impact of expected share price	None	This is a market-based vesting condition and is ignored for this purpose	1/2
Fair value of option	\$0.50	Use fair value on grant date per IFRS 2	1/2
Proportion vesting	2/3	Two years through a three-year vesting period	1/2
Included in equity	\$126,667	$190 \times 2,000 \times \$0.50 \times 2/3$	1
Amount included in statement of profit or loss and other comprehensive income for the year ended 30 September 2013			
Cumulative amount recognised in equity at 30 September 2013 (see above)	\$126,667		1/2
Amount recognised in previous year	<u>\$(50,000)</u>	$200 \times 1,500 \times \$0.50 \times 1/3$	1
So included in current year's profit or loss	<u>\$76,667</u>		1/2
			<u>6</u>
			<u>20</u>

Diploma in International Financial Reporting

Tuesday 10 June 2014

**Time allowed**

Reading and planning: 15 minutes

Writing: 3 hours

ALL FOUR questions are compulsory and MUST be attempted.

Do NOT open this paper until instructed by the supervisor.

During reading and planning time only the question paper may be annotated. You must NOT write in your answer booklet until instructed by the supervisor.

This question paper must not be removed from the examination hall.

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The question paper begins on page 3.

ALL FOUR questions are compulsory and MUST be attempted

- 1 Alpha holds investments in two other entities, Beta and Gamma. The statements of profit or loss and other comprehensive income of the three entities for the year ended 31 March 2014 were as follows:

Statements of profit or loss and other comprehensive income

	Alpha \$'000	Beta \$'000	Gamma \$'000
Revenue (note 4)	420,000	335,000	292,000
Cost of sales (note 4)	(240,000)	(192,000)	(168,000)
Gross profit	180,000	143,000	124,000
Distribution costs	(20,000)	(16,000)	(14,000)
Administrative expenses	(40,000)	(32,000)	(28,000)
Contributions to retirement benefit plan (note 5)	(5,000)	Nil	Nil
Finance costs	(20,000)	(15,000)	(12,000)
Investment income (note 6)	33,000	Nil	Nil
Profit before tax	128,000	80,000	70,000
Income tax expense	(32,000)	(20,000)	(16,000)
Profit for the year	96,000	60,000	54,000
Other comprehensive income:			
Items that will not be reclassified to profit or loss			
Gain on property revaluation (note 7)	25,000	Nil	12,000
Total comprehensive income for the year	121,000	60,000	66,000

Notes to the statements

Note 1 – Acquisition of Beta

On 1 April 2005, Alpha purchased 80% of the equity shares of Beta and gained control of Beta. Goodwill arising on the acquisition of Beta totalled \$80 million. At 1 April 2005, Beta had three cash-generating units and the goodwill on acquisition was allocated to the three units as follows:

- Unit 1 – 40%
- Unit 2 – 35%
- Unit 3 – 25%.

No impairment of this goodwill had occurred in the years ended 31 March 2006 to 2013 inclusive. However, in the year ended 31 March 2014, despite Beta making a profit overall, Beta suffered challenging trading conditions. Therefore the directors of Alpha carried out an impairment review on the goodwill at 31 March 2014 and obtained the following results:

Unit	Carrying value of net assets (excluding goodwill) at 31 March 2014 \$'000	Recoverable amount at 31 March 2014 \$'000
1	215,000	255,000
2	185,000	220,000
3	130,000	140,000
Total	530,000	615,000

None of the assets or liabilities of Beta which Alpha identified on 1 April 2005 remained in the statement of financial position of Beta at 31 March 2013 or 2014. Any impairment of goodwill should be charged to cost of sales.

Alpha measures all non-controlling interests based on their fair values at the date of acquisition of the relevant subsidiary.

Note 2 – Acquisition of Gamma

On 1 July 2013, Alpha acquired 40% of the equity capital of Gamma. The purchase consideration comprised the following:

- An issue of equity shares.
- A cash payment of \$65.34 million due on 30 June 2015. On 1 July 2013, Alpha's borrowing rate was 10% per annum. No entry has yet been made in Alpha's financial statements regarding this future cash payment.

The other 60% of Gamma's shares are held by a wide variety of investors, none of whom owns more than 0.5% individually. None of the other shareholders has any arrangements to consult any of the others or make collective decisions. Since 1 July 2013, Alpha has actively participated in establishing the operating and financial policies of Gamma.

When reviewing the net assets of Gamma as at 1 July 2013, the directors of Alpha ascertained the following:

- The properties of Gamma had been revalued at 31 March 2013 and there was no significant difference between their carrying values at 1 July 2013 and their fair values at 31 March 2013.
- The plant and equipment of Gamma had a carrying value at 1 July 2013 of \$70 million and a fair value at that date of \$78 million. The estimated future useful life of the property, plant and equipment at 1 July 2013 was four years, with zero residual value.
- On 1 July 2013, Gamma was in the process of completing the development of a new method of production which will significantly reduce wastage. As at 1 July 2013, Gamma had recognised an intangible asset of \$10 million in its financial statements in respect of this development. The directors of Alpha believed that, as at 1 July 2013, the process had a fair value of \$22 million and that the process will produce economic benefits evenly for ten years from 1 January 2014.
- On 1 July 2013, Gamma had a contingent liability which it did not recognise in its own financial statements. This contingent liability still existed, and was still unrecognised by Gamma, at 31 March 2014. As at 1 July 2013, the directors of Alpha believed that the contingent liability had a fair value of \$16 million. On 31 March 2014, they reassessed its fair value at \$12 million. The reassessment was due to a change in circumstances after 1 July 2013.

The directors of Alpha believe that the facts described in this note mean that Gamma has been a subsidiary of Alpha since 1 July 2013 and wish to consolidate it. Based on the assumption that Gamma is consolidated, no impairment of the goodwill on consolidation is required at 31 March 2014. The profit of Gamma for the year ended 31 March 2014 accrued evenly over the year. However, as noted above, all of the other comprehensive income of Gamma arose after 1 July 2013. Any consolidation adjustments which are necessary as a result of the information given in this note should be regarded as temporary differences for the purpose of computing deferred taxation. The rate of corporate income tax in the jurisdiction in which all three entities are located is 25%.

Note 3 – Presentation of depreciation and amortisation

All depreciation and amortisation charges should be presented as part of cost of sales

Note 4 – Trading between Alpha and Beta

1. Alpha supplies a component to Beta which is used by Beta in its production process. Alpha marks up its cost of production by one-third in arriving at the selling price. In the year ended 31 March 2014, the revenues of Alpha included \$30 million in respect of the sale of these components. On 31 March 2014, the inventories of Beta included \$6 million. On 31 March 2013, the inventories of Beta included \$4.4 million in respect of identical unsold components purchased from Alpha at the same mark up on cost.
2. During the year ended 31 March 2013, Alpha manufactured a machine which was to be used by Beta from 1 April 2013. The costs of manufacture totalled \$12 million. On 1 April 2013, Alpha transferred the machine to Beta for an invoiced price of \$16 million, including relevant amounts in revenue and cost of sales. Beta included the machine in its property, plant and equipment and depreciated the machine over its estimated useful life of four years, with no residual value.

Any consolidation adjustments which are necessary as a result of the information given in this note should be regarded as temporary differences for the purpose of computing deferred taxation.

Note 5 – Defined benefit retirement benefits plan

Certain senior executives of Alpha belong to a defined benefit retirement benefits plan. In the financial statements of Alpha, the contributions paid into this plan have been shown as an expense in the statement of profit or loss and other comprehensive income. Relevant information regarding this plan is as follows:

- The pension liability was \$60m at 31 March 2013. This liability increased to \$68m by 31 March 2014.
- The pension asset was \$40m at 31 March 2013. This asset increased to \$46m by 31 March 2014.
- The current service cost was \$4.5m.
- Alpha's borrowing rate at 31 March 2014 was 9% per annum. On that date market yields on government bonds were 8% per annum.

The salary costs of the senior executives who belong to this plan are presented in administrative expenses. You should ignore any adjustment to deferred tax as a result of the information included in this note.

Note 6 – Payment of dividends

On 31 December 2013, Beta paid a dividend of \$30 million and Gamma paid a dividend of \$20 million. Alpha recognised its share of both dividends in its investment income.

Note 7 – Property revaluations

It is the policy of the Alpha group to measure freehold properties using the fair value model and all freehold properties were revalued on 31 March 2014. Beta leases all of its properties and all of Beta's property leases are operating leases. The gains shown in the financial statements of Alpha and Gamma do not take account of the deferred tax implications of the revaluations.

Note 8 – Hedge of future property purchase

On 1 February 2014, Alpha entered into a firm commitment to purchase a property on 31 May 2014 for €40 million. In order to eliminate the impact of currency fluctuations, on 1 February 2014 Alpha entered into a contract to purchase €40 million for \$48 million on 31 May 2014. This contract had no cost and Alpha did not record it in the financial statements for the year ended 31 March 2014. On 31 March 2014, the contract had a fair value of \$3.6 million (financial asset). Alpha uses hedge accounting whenever permitted by International Financial Reporting Standards. Where a choice of hedge accounting method exists, Alpha uses cash-flow hedge accounting.

You should ignore any adjustment to deferred tax as a result of the information included in this note.

Required:

- (a) **Discuss the appropriateness of the directors' view that Gamma became a subsidiary of Alpha on 1 July 2013.**
(5 marks)
- (b) **Prepare the consolidated statement of profit or loss and other comprehensive income of Alpha for the year ended 31 March 2014. For this part you should assume that Gamma is a subsidiary of Alpha from 1 July 2013.**
(35 marks)

(40 marks)

- 2 Delta is an entity which prepares financial statements to 31 March each year. During the year ended 31 March 2014 the following events affected Delta:

- (a) On 1 April 2012, Delta had granted share appreciation rights to 200 senior executives. Each executive will receive 2,000 rights on 31 March 2015 provided he or she continues to be employed by Delta at that date. On 1 April 2012, the directors estimated that all the executives would remain employed by Delta for the three-year period ending on 31 March 2015. However, 10 executives left in the year ended 31 March 2013 and at 31 March 2013 the directors believed that a further 10 executives would leave in the following two years. Five executives actually left in the year ended 31 March 2014 and the directors now believe that seven more directors will leave in the year ended 31 March 2015. Since 1 April 2012, the fair value of the share appreciation rights has fluctuated as follows:

Date	Fair value of one right	
	\$	
1 April 2012	1.60	
31 March 2013	1.80	
31 March 2014	1.74	(8 marks)

- (b) On 1 April 2013, Delta completed the manufacture of some inventory at a total cost of \$800,000. In order to be suitable for sale in the ordinary course of business, the completed inventory needed to be stored in controlled conditions for a two-year period. The inventory is expected to sell for \$1,200,000 after the two-year storage period. On 1 April 2013, Delta sold the inventory to Epsilon, a bank. The agreed sales proceeds were \$810,000 but Epsilon charged Delta an administration fee of \$10,000, so the net amount received by Delta was \$800,000. Delta retained physical custody of the inventory and continued to ensure that it was stored in the appropriate conditions. Delta indemnified Epsilon against any losses caused by theft or inappropriate storage of the inventory. Delta has the option to repurchase the inventory on 31 March 2015 for \$933,120. On 1 April 2013, Epsilon would have required an annual return of 8% on loans made to customers such as Delta.

(7 marks)

- (c) On 1 April 2013, Delta leased a machine from Kappa on a three-year lease. The expected future economic life of the machine on 1 April 2013 was eight years. If the machine breaks down, then under the terms of the lease, Kappa would be required to repair the machine or provide a replacement. Kappa agreed to allow Delta to use the machine for the first six months of the lease without the payment of any rental as an incentive to Delta to sign the lease agreement. After this initial period, lease rentals of \$210,000 were payable six-monthly in arrears, the first payment falling due on 31 March 2014.

(5 marks)

Required:

Explain and illustrate (where possible by quantifying amounts) how the three events would be reported in the financial statements of Delta for the year ended 31 March 2014.

Note: The mark allocation is shown against each of the three events above.

(20 marks)

- 3 (a) Deferred tax is the tax on temporary differences. Temporary differences are identified on individual assets and liabilities in the statement of financial position. Temporary differences arise when the carrying value of an asset or liability differs from its tax base.

Required:

Explain:

- (i) **How IAS 12 – *Income Taxes* – defines the tax base of assets and liabilities.** (3 marks)
 - (ii) **How temporary differences are identified as taxable or deductible temporary differences.** (2 marks)
 - (iii) **The general criteria prescribed by IAS 12 for the recognition of deferred tax assets and liabilities. You do NOT need to identify any specific exceptions to these general criteria.** (2 marks)
- (b) Epsilon prepares consolidated financial statements to 31 March each year. During the year ended 31 March 2014, the following events affected the tax position of the group:
- (i) Lambda, a wholly owned subsidiary of Epsilon, made a loss adjusted for tax purposes of \$3 million. Lambda is unable to utilise this loss against previous tax liabilities and local tax legislation does not allow Lambda to transfer the tax loss to other group companies. Local legislation does allow Lambda to carry the loss forward and utilise it against its own future taxable profits. The directors of Epsilon do not consider that Lambda will make taxable profits in the foreseeable future. (2 marks)
 - (ii) Just before 31 March 2014, Epsilon committed itself to closing a division after the year end, making a number of employees redundant. Therefore Epsilon recognised a provision for closure costs of \$2 million in its statement of financial position as at 31 March 2014. Local tax legislation allows tax deductions for closure costs only when the closure actually takes place. In the year ended 31 March 2015, Epsilon expects to make taxable profits which are well in excess of \$2 million. On 31 March 2014, Epsilon had taxable temporary differences from other sources which were greater than \$2 million. (3 marks)
 - (iii) During the year ended 31 March 2014, Epsilon capitalised development costs which satisfied the criteria in paragraph 57 of IAS 38 – *Intangible Assets*. The total amount capitalised was \$1.6 million. The development project began to generate economic benefits for Epsilon from 1 January 2014. The directors of Epsilon estimated that the project would generate economic benefits for five years from that date. The development expenditure was fully deductible against taxable profits for the year ended 31 March 2014. (3 marks)
 - (iv) On 1 April 2013, the total goodwill arising on consolidation in Epsilon's consolidated statement of financial position was \$4 million. On 31 March 2014, the directors reviewed the goodwill for impairment and concluded that the goodwill was impaired by \$600,000. There was no tax deduction available for any group company as a consequence of this impairment charge as at 31 March 2014. (2 marks)
 - (v) On 1 April 2013, Epsilon borrowed \$10 million. The cost to Epsilon of arranging the borrowing was \$200,000 and this cost qualified for a tax deduction on 1 April 2013. The loan was for a three-year period. No interest was payable on the loan but the amount repayable on 31 March 2016 will be \$13,043,800. This equates to an effective annual interest rate of 10%. Under the tax jurisdiction in which Epsilon operates, a further tax deduction of \$3,043,800 will be claimable when the loan is repaid on 31 March 2016. (3 marks)

Required:

Explain and show how each of these events would affect the deferred tax assets/liabilities in the consolidated statement of financial position of the Epsilon group at 31 March 2014. Where relevant, you should assume the rate of corporate income tax is 25%

Note: The mark allocation is shown against each of the five transactions above.

(20 marks)

4 You are the financial controller of Omega, a listed company which prepares consolidated financial statements in accordance with International Financial Reporting Standards (IFRS). The year end of Omega is 31 March and its functional currency is the \$. Your managing director, who is not an accountant, has recently prepared a list of questions for you concerning current issues relevant to Omega:

- (a) One of my fellow directors has informed me that on 1 January 2014 his spouse acquired a controlling interest in one of our major suppliers, Sigma. He seemed to think that this would have implications for our financial statements. I cannot understand why. Our purchases from Sigma were \$1.5 million for each month of our year ended 31 March 2014 and I acknowledge this is a significant amount for us. However, I can't see how the share purchase on 1 January 2014 affects **our** financial statements – all the purchases from Sigma were made at normal market rates, so what's the issue? Please explain this to me and identify any impact on our financial statements. (7 marks)
- (b) You will be aware that we intend to open a new retail store in a new location in the next few weeks. As you know, we have spent a substantial sum on a series of television advertisements to promote this new store. We paid for advertisements costing \$800,000 before 31 March 2014. \$700,000 of this sum relates to advertisements shown before 31 March 2014 and \$100,000 to advertisements shown in April 2014. Since 31 March 2014, we have paid for further advertisements costing \$400,000. I was chatting to a colleague over lunch and she told me she thought **all** these costs should be written off as expenses in the year to 31 March 2014. I don't want a charge of \$1.2 million against my 2014 profits! Surely these costs can be carried forward as intangible assets? After all, our market research indicates that this new store is likely to be highly successful. Please explain and justify the treatment of these costs of \$1.2 million in the financial statements for the year ended 31 March 2014. (6 marks)
- (c) As you know, on 1 January 2014 we purchased a machine for 2 million kroner. At that date the exchange rate was \$1 = 10 kroner. We don't have to pay for this purchase until 30 June 2014. The kroner strengthened against the \$ in the three months following purchase and by 31 March 2014 the exchange rate was \$1 = 8 kroner. I thought these exchange fluctuations wouldn't affect our financial statements because we have an asset and a liability denominated in kroner which was initially the same amount. We're depreciating this machine over four years so the future year-end amounts won't be the same, of course. Something I heard at a seminar, but didn't really grasp, made me think I could be mistaken. Please explain the impact of this transaction on our financial statements for the year ended 31 March 2014. (7 marks)

Required:

Provide answers to the issues raised by the managing director.

Note: The mark allocation is shown against each of the three issues above.

(20 marks)

End of Question Paper

Answers

Marks

1 (a) Discussion of status of investment in Gamma

Under the principles of IFRS 10 – *Consolidated Financial Statements* – Gamma became a subsidiary of Alpha on 1 July 2013 if Alpha obtained **control** of Gamma on that date.

1

IFRS 10 states that an investor controls an investee if and only if the investor has:

Power over the investee. Given the absolute size of its shareholding relative to the other shareholdings and the absence of any collective agreements between the other shareholders, it would appear that Alpha does indeed have power over Gamma.

1½

Exposure to variable returns from its involvement with the investee. Alpha's shareholding will entitle Alpha to dividends which will vary with the level of Gamma's profits.

1

Ability to use its power to affect those returns. Given its effective control of the board of directors, Alpha is able to control the operating and financial policies of Gamma which will affect its profits and in turn its dividends.

1

Therefore Gamma would be regarded as a subsidiary of Alpha from 1 July 2013.

½

5

(b) Consolidated statement of profit or loss and other comprehensive income of Alpha for the year ended 31 March 2014

	\$'000	
Revenue (W1)	928,000	2½
Cost of sales (bal fig)	(527,200)	½
Gross profit (W2)	400,800	7½
Distribution costs (Alpha + Beta + 9/12 x Gamma)	(46,500)	½
Administrative expenses (W4)	(93,500)	2½
Finance costs (W5)	(49,650)	4½
Investment income (33,000 – 80% x 30,000 – 40% x 20,000)	1,000	½ + ½ + ½
Profit before tax	212,150	
Income tax expense (W8)	(62,700)	3
Profit for the year	149,450	
Other comprehensive income:		
Items that will not be reclassified to profit or loss		
Gain on property revaluation (W9)	27,750	2
Actuarial loss on defined benefit retirement benefit plan (W10)	(900)	3
Items that will subsequently be reclassified to profit or loss		
Cash flow hedges	3,600	½
Total comprehensive income for the year	179,900	1
Profit attributable to:		
Owners of the parent (bal fig)	115,960	½
Non-controlling interests (W11)	33,490	3½
	149,450	
Total comprehensive income attributable to:		
Owners of the parent (bal fig)	141,010	½
Non-controlling interests (W12)	38,890	1½
	179,900	
	<u>35</u>	
	<u>40</u>	

WORKINGS –DO NOT DOUBLE COUNT MARKS. ALL NUMBERS IN \$'000 UNLESS OTHERWISE STATED**Working 1 – Revenue**

	\$'000	
Principle consolidate Alpha + Beta + $9/12 \times$ Gamma		1
Alpha + Beta + $9/12 \times$ Gamma	974,000	$1\frac{1}{2}$
Sales of components by Alpha to Beta	(30,000)	$1\frac{1}{2}$
Sale of machine by Alpha to Beta	(16,000)	$1\frac{1}{2}$
	<u>928,000</u>	<u>$2\frac{1}{2}$</u>

Working 2 – Gross profit

	\$'000	
Alpha + Beta + $9/12 \times$ Gamma	416,000	$1\frac{1}{2}$
Movement in unrealised profit on sale of components: $\frac{1}{4} (6,000 - 4,400)$	(400)	$1\frac{1}{2}$
Unrealised profit on the sale of machine: $\frac{3}{4} (16,000 - 12,000)$	(3,000)	1
Extra depreciation of Gamma's plant: $(78,000 - 70,000) \times \frac{1}{4} \times 9/12$	(1,500)	1
Extra amortisation of Gamma's development project: $(22,000 - 10,000) \times 1/10 \times 3/12$	(300)	1
Impairment of goodwill on acquisition of Beta (W3)	(10,000)	$2\frac{1}{2}$ (W3)
	<u>400,800</u>	<u>$7\frac{1}{2}$</u>

Working 3 – Impairment of Beta goodwill

	Unit 1 \$'000	Unit 2 \$'000	Unit 3 \$'000	
Carrying value of net assets	215,000	185,000	130,000	$1\frac{1}{2}$
Allocated goodwill	<u>32,000</u>	<u>28,000</u>	<u>20,000</u>	1
	247,000	213,000	150,000	
Recoverable amount	255,000	220,000	140,000	$1\frac{1}{2}$
So impairment equals	<u>Nil</u>	<u>Nil</u>	<u>10,000</u>	$1\frac{1}{2}$
				<u>$2\frac{1}{2}$</u>
				$\Rightarrow$ W2

Working 4 – Administrative expenses

	\$'000	
Alpha + Beta + $9/12 \times$ Gamma	93,000	$1\frac{1}{2}$
Current service cost – defined benefit retirement benefit plan	4,500	1
Decrease in fair value of contingent liability of Gamma (16,000 – 12,000)	(4,000)	1
(Also acceptable to show as other income or adjustment to cost of sales)	<u>93,500</u>	<u>$2\frac{1}{2}$</u>

Working 5 – Finance costs

	\$'000	
Alpha + Beta + $9/12 \times$ Gamma	44,000	$1\frac{1}{2}$
Finance cost on deferred consideration (W6)	4,050	2 (W6)
Finance cost on defined benefit retirement benefit plan (W7)	1,600	2 (W7)
	<u>49,650</u>	<u>$4\frac{1}{2}$</u>

Working 6 – Finance cost on deferred consideration

	\$'000	
Present value of future payment $(65,340/(1 \cdot 10)^2)$	54,000	1
Annual finance cost (10%)	5,400	$1\frac{1}{2}$
Finance cost for nine month period	<u>4,050</u>	$1\frac{1}{2}$
		<u>2</u>
		$\Rightarrow$ W5

Marks

Working 7 – Finance cost on defined benefit retirement benefit plan

	\$'000	
Opening net liability (60,000 – 40,000)	20,000	1
Annual finance cost (8%)	1,600	1
		2
		⇒W5

Working 8 – Income tax expense

	\$'000	
Alpha + Beta + 9/12 x Gamma	64,000	1/2
Deferred tax consolidation adjustments:		
– PURP on components (25% x 400)	(100)	1/2
– Unrealised profit on sale of machine (25% x 3,000)	(750)	1/2
– Fair value adjustments (25% (1,500 + 300))	(450)	1
– Impairment of goodwill (outside scope)	Nil	1/2
	62,700	3

Working 9 – Gain on property revaluation

	\$'000	
Alpha + whole of Gamma (all post-acquisition)	37,000	1
Deferred tax on gain (25%)	(9,250)	1
	27,750	2

Working 10 – Actuarial loss on defined benefit retirement benefit plan

	\$'000	
Opening net liability (60,000 – 40,000)	20,000	1/2
Current service cost	4,500	1/2
Finance cost on net liability (W7)	1,600	1/2
Contributions	(5,000)	1/2
	21,100	
Closing net liability (68,000 – 46,000)	(22,000)	1/2
Actuarial loss (balancing figure)	900	1/2
		3

Working 11 – Non-controlling interests in profit

	\$'000	\$'000	
Beta			
Profit for the year	60,000		1/2
Impairment of goodwill	(10,000)		1/2
	50,000		
NCI (20%)		10,000	1/2
Gamma			
9/12 x profit for the year	40,500		1/2
Fair value adjustments (1,500 + 300 (W2))	(1,800)		1/2
Deferred tax on fair value adjustments (25% x 1,800)	450		1/2
	39,150		
NCI (60%)		23,490	1/2
		33,490	3 1/2

Working 12 – Non-controlling interests in total comprehensive income

	\$'000	
NCI in profit (W11)	33,490	1/2
NCI in Gamma's property revaluation (60% x (12,000 x 75% – the net of tax amount))	5,400	1
	38,890	1 1/2

	Marks
2 (a) Under the principles of IFRS 2 – <i>Share-based Payment</i> – the granting of share appreciation rights (SARs) to executives is a cash-settled share-based payment.	1
Cash-settled share-based payments create a liability in the statement of the financial position as they will ultimately be redeemed in cash.	1
The liability is recognised based on the fair value of the SAR at the reporting date and the expected number of rights which will vest.	$\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$
Under the principles of IFRS 2 this liability is built up over the vesting period.	1
Therefore the liability at 31 March 2014 would be \$412,960 ($2000 \times (200 - 10 - 5 - 7) \times \$1.74 \times \frac{2}{3}$).	1
Since the rights are not exercisable until after 31 March 2015, the liability would be shown as a non-current liability.	$\frac{1}{2}$
The liability at 31 March 2013 would have been \$216,000 ($2,000 \times (200 - 10 - 10) \times \$1.80 \times \frac{1}{3}$).	1
The charge to profit or loss would be \$196,960 – the difference between the closing liability (\$412,960) and the opening liability (\$216,000). This charge would be shown as an operating cost.	1
	<u>8</u>
(b) This transaction is governed by the principles of IAS 18 – <i>Revenue</i> .	$\frac{1}{2}$
One of the conditions which IAS 18 imposes before revenue on the sale of goods can be recognised is that the risks and rewards of ownership need to have been passed to the ‘buyer’.	$\frac{1}{2}$
Given Delta’s continued responsibility for the custody of the goods, and the fact that they are highly likely to be repurchased, this has clearly not happened here.	1
One of the illustrative examples in the appendix to IAS 18 states that in such circumstances what we effectively have is a financing transaction.	$\frac{1}{2}$
Therefore, the goods will remain in inventory at cost – being their manufactured cost of \$800,000 plus one year’s storage costs (or their net realisable value, if this is lower than cost).	1
The net proceeds of \$800,000, being a financial liability, are accounted for under the principles of IFRS 9 – <i>Financial Instruments</i> .	$\frac{1}{2}$
Under IFRS 9, most financial liabilities are measured at amortised cost using the effective interest method and this would certainly apply here.	1
The finance cost for the period would be \$64,000 ($\$800,000 \times 8\%$). This would be shown in the statement of profit or loss.	1
The closing financial liability would be \$864,000 ($\$800,000 + \$64,000$). This would be shown as a current liability since the ‘repurchase’ occurs on 31 March 2015 – 12 months after the reporting date.	1
	<u>7</u>
(c) Under the principles of IAS 17 – <i>Leases</i> – the lease of the machine is an operating lease because the risks and rewards of ownership of the machine remain with Epsilon. The lease is for only three years of the eight-year life and Epsilon is responsible for breakdowns, etc.	1
Therefore Delta will recognise lease rentals as an expense in the statement of profit or loss. IAS 17 states that this should normally be done on a straight-line basis.	1
The total lease rentals payable over the whole lease term are \$1,050,000 ($\$210,000 \times 5$). Therefore the charge for the current year is \$350,000 ($\$1,050,000 \times \frac{1}{3}$).	1
The difference between the charge for the period (\$350,000) and the rent actually paid (\$210,000) will be shown as a liability in the statement of financial position at 31 March 2014. This amount will be \$140,000.	1
\$70,000 ($2 \times \$210,000 - \$350,000$) of this liability will be current and \$70,000 non-current.	1
	<u>5</u>
	<u>20</u>

		Marks
3	(a) (i) The tax base of an asset is the tax deduction which will be available in future when the asset generates taxable economic benefits . If the future economic benefits will not be taxable , the tax base of an asset is its carrying value.	1 + 1/2
	The tax base of a liability is its carrying value, less the tax deduction which will be available when the liability is settled . For revenue received in advance (or deferred income), the tax base is its carrying value, less any amount of the revenue which will not be taxed in future periods .	1 + 1/2
		<u>3</u>
	(ii) A taxable temporary difference arises when the carrying value of an asset exceeds its tax base or the carrying value of a liability is less than its tax base.	1
	A deductible temporary difference arises in the reverse circumstances (when the carrying value of an asset is less than its tax base or the carrying value of a liability is greater than its tax base).	1
		<u>2</u>
	(iii) IAS 12 – <i>Income Taxes</i> – requires that (with specific exceptions) deferred tax liabilities are recognised on all taxable temporary differences.	1
	IAS 12 allows deferred tax assets to be recognised on deductible temporary differences when future taxable profits are expected to be available against which to offset the future tax deductions the deductible temporary differences are expected to generate.	1
		<u>2</u>
	(b) (i) The tax loss creates a potential deferred tax asset for the Kappa group since its carrying value is nil and its tax base is \$3 million.	1
	However, no deferred tax asset can be recognised because there is no prospect of being able to reduce tax liabilities in the foreseeable future as no taxable profits are anticipated.	1
		<u>2</u>
	(ii) The provision creates a potential deferred tax asset for the Kappa group since its carrying value is \$2 million and its tax base is nil.	1
	This deferred tax asset can be recognised because Kappa is expected to generate taxable profits in excess of \$2 million in the year to 31 March 2015.	1
	The amount of the deferred tax asset will be \$500,000 (\$2 million x 25%).	1/2
	This asset will be presented as a deduction from the deferred tax liabilities caused by the (larger) taxable temporary differences.	1/2
		<u>3</u>
	(iii) The development costs have a carrying value of \$1.52 million (\$1.6 million – (\$1.6 million x 1/5 x 3/12)).	1
	The tax base of the development costs is nil since the relevant tax deduction has already been claimed.	1
	The deferred tax liability will be \$380,000 (\$1.52 million x 25%). All deferred tax liabilities are shown as non-current .	1/2 + 1/2
		<u>3</u>
	(iv) No deferred tax liability arises in respect of goodwill on consolidation when it is created. This is a specific exception referred to in IAS 12.	1
	As a consequence of this, no adjustment is made for deferred tax purposes when goodwill is impaired. Therefore there are no deferred tax implications for the consolidated statement of financial position.	1
		<u>2</u>
	(v) The carrying value of the loan at 31 March 2014 is \$10.78 million (\$10 million – \$200,000 + (\$9.8 million x 10%)).	1
	The tax base of the loan is \$10 million (\$10.78 million – (\$980,000 – \$200,000)).	1/2
	This creates a deductible temporary difference of \$780,000 and a potential deferred tax asset of \$195,000 (\$780,000 x 25%).	1/2

		Marks
	Due to the availability of taxable profits next year (see part (ii) above), this asset can be recognised as a deduction from deferred tax liabilities.	<u>1</u>
		<u>3</u>
		20
4	(a) From 1 January 2014, Sigma would be regarded as a related party of Omega under IAS 24 – <i>Related Party Disclosures</i> .	1
	This is because Sigma is controlled by the close family member of one of Omega's key management personnel .	$\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$
	This means that, from 1 January 2014 , the purchases from Sigma would be regarded as related party transactions .	1
	Transactions with related parties need to be disclosed in the notes to the financial statements, together with the nature of the relationship . It is irrelevant whether or not these transactions are at normal market rates.	$\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$
	The disclosures would state that a company controlled by the spouse of a director supplied goods to the value of \$4.5 million (3 x \$1.5 million) in the current accounting period. It would not be necessary to name the company.	<u>1 + 1</u>
		<u>7</u>
	(b) Under IAS 38 – <i>Intangible Assets</i> – intangible assets can only be recognised if they are identifiable and have a cost which can be reliably measured.	$\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$
	These criteria are very difficult to satisfy for internally developed intangibles.	$\frac{1}{2}$
	For these reasons, IAS 38 specifically prohibits recognising advertising expenditure as an intangible asset.	1
	The issue of how successful the store is likely to be does not affect this prohibition.	$\frac{1}{2}$
	Therefore your colleague is correct in principle that such costs should be recognised as expenses.	$\frac{1}{2}$
	However, the costs would be recognised on an accruals basis.	$\frac{1}{2}$
	Therefore, of the advertisements paid for before 31 March 2014, \$700,000 would be recognised as an expense and \$100,000 as a pre-payment in the year ended 31 March 2014.	1
	The \$400,000 cost of advertisements paid for since 31 March 2014 would be charged as expenses in the year ended 31 March 2015.	$\frac{1}{2}$
		<u>6</u>
	(c) Under the principles of IAS 21 – <i>Foreign Currency Transactions</i> – the asset and liability would initially be recognised at the rate of exchange in force at the transaction date – 1 January 2014. Therefore the amount initially recognised would be \$200,000 (2 million kroner x 1/10).	$\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$
	The liability is a monetary item so it is retranslated using the rate of exchange in force at 31 March 2014 . This makes the closing liability \$250,000 (2 million kroner x 1/8).	$\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$
	The loss on re-translation of \$50,000 (\$250,000 – \$200,000) is recognised in the statement of profit or loss .	$\frac{1}{2} + \frac{1}{2}$
	The machine is a non-monetary asset carried at historical cost . Therefore it continues to be translated using the rate of 10 kroner to \$1.	$\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$
	Depreciation of \$12,500 (\$200,000 x $\frac{1}{4}$ x 3/12) would be charged to profit or loss for the year ended 31 March 2014.	$\frac{1}{2} + \frac{1}{2}$
	The closing balance in property, plant and equipment would be \$187,500 (\$200,000 – \$12,500). This would be shown as a non-current asset in the statement of financial position.	$\frac{1}{2}$
		<u>7</u>
		20

Diploma in International Financial Reporting

Tuesday 9 December 2014



Time allowed

Reading and planning: 15 minutes

Writing: 3 hours

ALL FOUR questions are compulsory and MUST be attempted.

Do NOT open this paper until instructed by the supervisor.

During reading and planning time only the question paper may be annotated. You must NOT write in your answer booklet until instructed by the supervisor.

This question paper must not be removed from the examination hall.

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ALL FOUR questions are compulsory and MUST be attempted

- 1 Alpha holds investments in two other entities, Beta and Gamma. The statements of profit or loss and other comprehensive income and summarised statements of changes in equity of the three entities for the year ended 30 September 2014 were as follows:

Statements of profit or loss and other comprehensive income

	Alpha \$'000	Beta \$'000	Gamma \$'000
Revenue (Note 3)	260,000	200,000	180,000
Cost of sales (Notes 1-3)	(130,000)	(110,000)	(90,000)
Gross profit	130,000	90,000	90,000
Distribution costs	(20,000)	(15,000)	(13,500)
Administrative expenses (Note 4)	(25,000)	(20,000)	(18,000)
Redundancy and reorganisation costs (Note 5)	(14,000)	Nil	Nil
Investment income (Note 6)	12,600	Nil	1,500
Finance costs (Note 7)	(26,000)	(15,000)	(12,000)
Profit before tax	57,600	40,000	48,000
Income tax expense	(14,000)	(10,000)	(12,000)
Profit for the year	43,600	30,000	36,000
Other comprehensive income:			
Items that will not be reclassified to profit or loss			
Gains on financial assets designated at fair value through other comprehensive income (Note 8)	9,000	Nil	1,400
Total comprehensive income	52,600	30,000	37,400
Summarised statements of changes in equity			
Balance on 1 October 2013	180,000	140,000	120,000
Comprehensive income for the year	52,600	30,000	37,400
Dividends paid on 31 December 2013	(30,000)	(10,000)	(14,000)
Balance on 30 September 2014	202,600	160,000	143,400

Note 1 – Alpha's investment in Beta

On 1 October 2001, Alpha acquired 75% of the equity shares of Beta. This gave Alpha control over Beta. On 1 October 2001, the net assets of Beta had a fair value of \$80 million. None of the assets and liabilities of Beta which existed on 1 October 2001 were still assets or liabilities of Beta on 30 September 2013. On 1 October 2001, Alpha measured the non-controlling interest in Beta at its fair value of \$22 million. Goodwill on consolidation of \$18 million arose on the acquisition of Beta. No impairment of goodwill on the acquisition of Beta has been necessary up to and including 30 September 2013.

Beta has four operating segments which are also cash generating units (CGUs) for the purposes of impairment reviews. On 1 October 2001, the goodwill on acquisition of Beta was allocated between these units on the following basis:

- Unit 1 – \$8 million.
- Unit 2 – \$4 million.
- Unit 3 – \$3 million.
- Unit 4 – \$3 million.

On 30 September 2014, the carrying amounts of the net assets (excluding goodwill) and recoverable amounts of the four CGUs of Beta were as follows:

	Unit 1 \$'000	Unit 2 \$'000	Unit 3 \$'000	Unit 4 \$'000	Total \$'000
Carrying amount	45,000	55,000	30,000	30,000	160,000
Recoverable amount	50,000	65,000	35,000	35,000	185,000

Any impairment of goodwill should be charged to cost of sales.

Note 2 – Alpha's investment in Gamma

On 1 February 2014, Alpha acquired 80% of the equity shares in Gamma and gained control of Gamma.

On 1 February 2014, the fair value of Gamma's property, plant and equipment exceeded the carrying amounts in the individual financial statements of Gamma as follows:

- Property **excess** \$20 million (land element of excess \$11 million). The estimated remaining useful life of the buildings element of the property at 1 February 2014 was 25 years.
- Plant and equipment **excess** \$7.2 million. The estimated remaining useful life of the plant and equipment of Gamma at 1 February 2014 was three years.

All depreciation of property, plant and equipment is charged to cost of sales.

Alpha measured the non-controlling interest in Gamma on 1 February 2014 at its fair value of \$28 million. There was no impairment of the goodwill arising on the acquisition of Gamma in the year ended 30 September 2014. The profit of Gamma for the year ended 30 September 2014 accrued evenly over the year, but see note 8 regarding the other comprehensive income of Gamma.

Note 3 – Intra-group trading

Alpha supplies a component used by both Beta and Gamma. Alpha applies a mark-up of 25% to cost when computing the intra-group selling price. All of the sales of this component by Alpha to Gamma occurred after the acquisition of Gamma on 1 February 2014. Details of the sales of the component, and the holdings of inventory of the component by group entities, are as follows:

	Beta \$'000	Gamma \$'000
Sales of the component	12,000	5,000
Inventory of component at 30 September 2014 (at cost to Beta/Gamma)	2,400	2,000
Inventory of component at 30 September 2013 (at cost to Beta/Gamma)	1,800	Nil

Note 4 – Post-employment benefits

The group makes contributions into both defined benefit and defined contribution retirement benefit plans. All the employees of Beta and Gamma are members of defined contribution plans but many of the employees of Alpha are members of a defined benefit plan. The following are relevant details regarding the defined benefit plan:

- Obligation at 30 September 2014: \$40 million (30 September 2013: \$32 million).
- Fair value of plan assets at 30 September 2014: \$34 million (30 September 2013: \$27 million).
- Current service cost for the year ended 30 September 2014: \$6 million.
- Contributions paid into the plan by Alpha in the year ended 30 September 2014: \$5.4 million.
- Benefits paid to retired members: \$2 million.
- Relevant market yield: 5% per annum throughout the period.

Alpha has charged the contributions paid into the defined benefit plan in the year ended 30 September 2014 (\$5.4 million) as an administrative expense. Alpha has made no other entries in respect of the plan in the statement of profit or loss and other comprehensive income. However, Alpha correctly accounted for the defined benefit plan in the financial statements for the year ended 30 September 2013.

Note 5 – Redundancy and reorganisation costs

Following the acquisition of Gamma on 1 February 2014, the directors of Alpha formulated a plan to reorganise the group. The plan involved some redundancies and some employees changing their roles within the group. As a result of the reorganisation, certain non-current assets of Alpha will no longer be required. The final version of the plan was agreed on 31 July 2014 and made public on 15 August 2014. The plan was implemented from 1 November 2014. The total cost of the plan will be borne by Alpha. The directors of Alpha made a provision, with a corresponding charge to profit or loss, in respect of the plan as follows:

	\$'000
Redundancy costs	10,000
Costs of training staff in new roles	5,500
Expected profit on the sale of surplus non-current assets	(1,500)
	14,000

Note 6 – Investment income

All of the investment income of Alpha, including dividends received from subsidiaries, has been correctly recognised in the individual financial statements of Alpha.

Note 7 – Bond issue

On 1 October 2013, Alpha issued 300 million \$1 bonds at par. The interest payable on the bonds is 5% per annum, payable on 30 September in arrears. The bonds are repayable at par on 30 September 2023. Alternatively, the investors have the option to convert the bonds into equity shares in Alpha on 30 September 2023.

On 1 October 2013, Alpha recognised a financial liability of \$300 million in its statement of financial position. On 30 September 2014, Alpha recognised the interest paid on that date as a finance cost in its statement of profit or loss.

On 1 October 2013, investors would have expected an annual return of 8% on non-convertible bonds. At a discount rate of 8% per annum, the present value of \$1 receivable at the end of year 10 is 46.3 cents and the present value of \$1 receivable at the end of each of years 1 to 10 is \$6.71.

Note 8 – Other comprehensive income

Both Alpha and Gamma have financial assets which are appropriately classified as fair value through other comprehensive income. On 1 February 2014, the fair value of the financial assets of Gamma had not changed from 30 September 2013.

Note 9 – Forward currency contract

On 15 August 2014, Alpha entered into a commitment to supply a large consignment of components to a foreign customer whose currency is the Kroner. The agreed value of the order was 25 million Kroner and this amount is expected to be paid by the customer on 30 November 2014. On 15 August 2014, Alpha entered into a contract to sell 25 million Kroner for \$13 million on 30 November 2014. Currency fluctuations in August and September 2014 were such that on 30 September 2014 the fair value of this currency contract was \$1.1 million (a financial liability). The draft financial statements of Alpha do not include any amounts in respect of this currency contract since it has a zero cost. Alpha wishes to use cash-flow hedge accounting whenever permitted by International Financial Reporting Standards. The directors of Alpha have estimated that the currency contract is a perfectly effective hedge of the commitment to supply the components.

Required:

- (a) Prepare the consolidated statement of profit or loss and other comprehensive income of Alpha for the year ended at 30 September 2014. You do not need to consider the deferred tax effects of any adjustments you make. (32 marks)
- (b) Prepare the summarised consolidated statement of changes in equity of Alpha for the year ended 30 September 2014, including a column for the non-controlling interest. (8 marks)

Note: You should show all workings to the nearest \$'000.

(40 marks)

2 Delta is an entity which prepares financial statements to 30 September each year. Each year the financial statements are authorised for issue on 30 November. During the year ended 30 September 2014, the following transactions occurred:

- (a) On 1 October 2013, Delta sold a machine to a customer for a total price of \$500,000. Delta invoiced the customer for \$500,000 on 1 October 2013 and the customer made a payment of \$500,000 to Delta on 15 October 2013. The terms of sale included an arrangement that Delta would service and maintain the machine for a four-year period from 1 October 2013. Delta would normally charge an annual fee of \$37,500 for a service and maintenance arrangement of this nature.

The normal selling price of the machine without a service and maintenance arrangement was \$450,000. The saving available to the customer as a result of purchasing the machine and the service and maintenance arrangement should be allocated to the two components of the transaction in proportion to their stand-alone fair values. (9 marks)

- (b) On 1 October 2013, Delta completed the construction of a factory at a total construction cost of \$40 million. The factory was constructed on land which was being leased on an operating lease until 30 September 2053. Annual lease rentals were \$800,000, payable on 30 September in arrears. The expected useful economic life of the factory at 1 October 2013 was 40 years. Under the terms of the leasing agreement, Delta is required to dismantle the factory on 30 September 2053 and return the land to its original state. The latest estimated cost of this process, **at 30 September 2053 prices**, is \$55 million. An appropriate discount rate to use in any relevant calculations is 5% per annum. At this discount rate, the present value of \$1 receivable in 40 years is 14.2 cents. (8 marks)

- (c) On 15 May 2014, Delta was notified that a customer (Chi) was taking legal action against Delta in respect of financial losses incurred by Chi. Chi alleged that the financial losses were caused due to the supply by Delta of faulty products on 30 November 2013. Delta defended the case but considered, based on the progress of the case up to 30 September 2014, that there was a 75% probability they would have to pay damages of \$20 million to the customer. The case was ultimately settled by Delta paying damages of \$18 million to Chi on 15 November 2014. (3 marks)

Required:

Explain and show (where possible by quantifying amounts) how the three events would be accounted for in the financial statements of Delta for the year ended 30 September 2014.

Note: The mark allocation is shown against each of the three events above. You should assume that all transactions described here are material.

(20 marks)

- 3 (a) IFRS 3 – *Business Combinations* – prescribes the method of accounting to be used when an entity (the acquirer) obtains control of a business. Control is not defined in IFRS 3 but a definition is provided in IFRS 10 – *Consolidated Financial Statements*.

Required:

- (i) Define 'control' as outlined in IFRS 10. Where relevant, you should provide appropriate explanations for the terms you use in your definition. (4 marks)
- (ii) Explain the way in which goodwill on acquisition and gains on bargain purchases should be initially computed and subsequently accounted for. (5 marks)
- (b) Epsilon prepares consolidated financial statements to 30 September each year. On 1 January 2014, Epsilon acquired 75% of the equity shares of Kappa and gained control of Kappa. Kappa has 12 million equity shares in issue. Details of the purchase consideration are as follows:
- On 1 January 2014, Epsilon issued two shares for every three shares acquired in Kappa. On 1 January 2014, the market value of an equity share in Epsilon was \$6.50 and the market value of an equity share in Kappa was \$6.00.
 - On 31 December 2014, Epsilon will make a cash payment of \$7.15 million to the former shareholders of Kappa who sold their shares to Epsilon on 1 January 2014. On 1 January 2014, Epsilon would have needed to pay interest at an annual rate of 10% on borrowings.
 - On 31 December 2015, Epsilon may make a cash payment of \$30 million to the former shareholders of Kappa who sold their shares to Epsilon on 1 January 2014. This payment is contingent upon the revenues of Epsilon growing by 15% over the two-year period from 1 January 2014 to 31 December 2015. On 1 January 2014, the fair value of this contingent consideration was \$25 million. On 30 September 2014, the fair value of the contingent consideration was \$22 million.

On 1 January 2014, the carrying values of the identifiable net assets of Kappa in the books of that company totalled \$60 million. On 1 January 2014, the fair values of these net assets totalled \$70 million. The rate of deferred tax to apply to temporary differences is 20%.

During the nine months ended on 30 September 2014, Kappa had a poorer than expected operating performance. Therefore on 30 September 2014 it was necessary for Epsilon to recognise an impairment of the goodwill arising on acquisition of Kappa, amounting to 10% of its total computed value.

Required:

Compute the impairment of goodwill and explain how this impairment should be recognised in the consolidated financial statements of Epsilon. You should do this under BOTH the methods permitted by IFRS 3 for the initial computation of the non-controlling interest in Kappa at the date of acquisition.

(11 marks)

(20 marks)

- 4 You are the financial controller of Omega, a listed entity which prepares consolidated financial statements in accordance with International Financial Reporting Standards (IFRS). The managing director, who is not an accountant, has recently been appointed. She formerly worked for Rival, one of Omega's key competitors. She has reviewed the financial statements of Omega for the year ended 30 September 2014 and has prepared a series of queries relating to those statements:

Query One

'I was very confused by the note that included financial information relating to our operating segments. This note bears very little resemblance to the equivalent note included in the financial statements of Rival. Please explain how the two notes can be so different.'

(8 marks)

Query Two

'The notes to our financial statements refer to equity settled share-based payments relating to the granting of share options. When I joined Omega, I was granted share options but I can only exercise those options if I achieve certain performance targets in my first three years as managing director. I know that other directors are also granted similar option arrangements. I don't see why they affect the financial statements when the options are granted though, because no cash is involved unless the options are exercised. Please explain to me exactly what is meant by an 'equity settled share-based payment'. Please also explain how, and when, equity settled share-based payments affect the financial statements of entities that grant them to their employees. I would like to know how such 'payments' are measured, over what period the 'payments' are recognised, and exactly what accounting entries are involved.'

(8 marks)

Query Three

'I was confused when I looked at the statement of financial position and saw that the assets and liabilities were divided up into three sections and not two. The current and non-current sections I understand but I don't understand the 'non-current assets held for sale' and 'liabilities directly associated with non-current assets held for sale' sections. Please explain the meaning and accounting treatment of a non-current asset held for sale. Please also explain how there can be liabilities directly associated with non-current assets held for sale.'

(4 marks)

Required:

Provide answers to the three queries raised by the managing director. Your answers should refer to relevant provisions of International Financial Reporting Standards

Note: The mark allocation is shown against each of the three issues above.

(20 marks)

End of Question Paper

Answers

Marks

- 1 (a) Consolidated statement of profit or loss and other comprehensive income of Alpha for the year ended 30 September 2014

	\$'000	
Revenue (W1)	563,000	1½ (W1)
Cost of sales (W2)	(288,360)	8½ (W2)
Gross profit	274,640	
Distribution costs (20,000 + 15,000 + 13,500 X 8/12)	(44,000)	½
Administrative expenses (W4)	(57,600)	1½ (W4)
Redundancy and reorganisation costs (W5)	(10,000)	1½ (W5)
Investment income (W6)	6,100	1½ (W6)
Finance costs (W7)	(53,414)	4½ (W7)
Profit before tax	115,726	
Income tax expense (14,000 + 10,000 + 8/12 X 12,000)	(32,000)	½
Profit for the year	83,726	
Other comprehensive income:		
Items that will not be reclassified to profit and loss		
Gains on financial assets designated at fair value through other comprehensive income (9,000 + 1,400)	10,400	1
Actuarial loss on defined benefit retirement benefits plan (W9)	(150)	4 (W9)
Items that may be reclassified subsequently to profit or loss:		½
Cash flow hedges	(1,100)	1
Total comprehensive income for the year	92,876	
Profit attributable to:		
Owners of Alpha (balancing figure)	72,544	½
Non-controlling interest (W10)	11,182	3 (W10)
	83,726	
Total comprehensive income attributable to:		
Owners of Alpha (balancing figure)	81,414	½
Non-controlling interest (W11)	11,462	1½ (W11)
	92,876	
		<u>32</u>

- (b) Consolidated statement of changes in equity of Alpha for the year ended 30 September 2014

	Alpha group	Non-controlling interest	Total	
	\$'000	\$'000	\$'000	
At 1 October 2013 (W12/13)	224,640 (W12)	37,000 (W13)	261,640	2½ (W12) + 1 (W13)
Increase due to acquisition		28,000	28,000	1
Equity element of bond issue (W14)	60,450		60,450	1 (W14)
Comprehensive income for the year	81,414	11,462	92,876	½ + ½
Dividends paid	(30,000)	(2,500)	(32,500)	½ + 1
At 30 September 2014	336,504	73,962	410,466	
				<u>8</u>
				<u>40</u>

WORKINGS – DO NOT DOUBLE COUNT MARKS. ALL NUMBERS IN \$'000 UNLESS OTHERWISE STATED.

Working 1 – Revenue

	\$'000	
Alpha + Beta + 8/12 X Gamma	580,000	½
Intra-group revenue (12,000 + 5,000)	(17,000)	½ + ½
	563,000	1½

Marks

Working 2 – Cost of sales

	\$'000	
Alpha + Beta + $8/12 \times \text{Gamma}$	300,000	$\frac{1}{2}$
Intra-group purchases (as W1)	(17,000)	$\frac{1}{2}$
Unrealised profit:		
Closing inventory ($25/125 \times (2,400 + 2,000)$)	880	1
Opening inventory ($25/125 \times 1,800$)	(360)	$\frac{1}{2} + \frac{1}{2}$
Impairment of Beta goodwill (W3)	3,000	$3\frac{1}{2}$
Extra depreciation on fair value adjustments:		
Property ($((20,000 - 11,000) \times \frac{1}{25} \times \frac{8}{12})$)	240	1
Plant and equipment ($7,200 \times \frac{1}{3} \times \frac{8}{12}$)	1,600	1
	<u>288,360</u>	<u>$8\frac{1}{2}$</u>

Working 3 – Impairment of Beta goodwill

	Unit 1 \$'000	Unit 2 \$'000	Unit 3 \$'000	Unit 4 \$'000	
Carrying amount (excluding goodwill)	45,000	55,000	30,000	30,000	$\frac{1}{2}$
Allocated goodwill	8,000	4,000	3,000	3,000	$\frac{1}{2}$
	<u>53,000</u>	<u>59,000</u>	<u>33,000</u>	<u>33,000</u>	
Recoverable amount	50,000	65,000	35,000	35,000	
So impairment equals	<u>3,000</u>	<u>Nil</u>	<u>Nil</u>	<u>Nil</u>	$\frac{1}{2} + \frac{1}{2} + \frac{1}{2} + \frac{1}{2}$
					<u>$3\frac{1}{2}$</u>
					$\Rightarrow \text{W2}$

Working 4 – Administrative expenses

	\$'000	
Alpha + Beta + $8/12 \times \text{Gamma}$	57,000	$\frac{1}{2}$
Contributions to defined benefit plan incorrectly charged	(5,400)	$\frac{1}{2}$
Current service cost of defined benefit plan	6,000	$\frac{1}{2}$
	<u>57,600</u>	<u>$1\frac{1}{2}$</u>

Working 5 – Redundancy and reorganisation costs

	\$'000	
Redundancy costs (valid as constructive obligation at year end)	10,000	$\frac{1}{2}$
Cost of new staff training (on-going costs cannot be included)	Nil	$\frac{1}{2}$
Expected profit on the sale of assets (cannot include)	Nil	$\frac{1}{2}$
	<u>10,000</u>	<u>$1\frac{1}{2}$</u>

Working 6 – Investment income

	\$'000	
Alpha + $8/12 \times \text{Gamma}$	13,600	$\frac{1}{2}$
Intra-group dividends eliminated:		
– Beta ($75\% \times 10,000$)	(7,500)	$\frac{1}{2}$
– Gamma (paid pre-acquisition)	Nil	$\frac{1}{2}$
	<u>6,100</u>	<u>$1\frac{1}{2}$</u>

Working 7 – Finance cost

	\$'000	
Alpha + Beta + $8/12 \times \text{Gamma}$	49,000	$\frac{1}{2}$
Reversal of interest paid on convertible loan incorrectly recognised as a finance cost ($300,000 \times 5\%$)	(15,000)	1
Correct finance cost on convertible loan (W8)	19,164	$2\frac{1}{2}$ (W8)
Interest cost on net defined benefit plan liability (W9)	250	$\frac{1}{2}$
	<u>53,414</u>	<u>$4\frac{1}{2}$</u>

Working 8 – Finance cost on convertible loan

	\$'000	
Liability element of loan (15,000 X 6.71 + 300,000 X 0.463)	239,550	$\frac{1}{2} + \frac{1}{2} + \frac{1}{2} + \frac{1}{2}$
So appropriate finance cost = 8% X 239,550	19,164	$\frac{1}{2}$
		<u>2½</u>
		⇒ W7

Working 9 – Actuarial loss on defined benefits retirement benefits plan

	Liability \$'000	Asset \$'000	Net \$'000	
Opening balance	32,000	(27,000)	5,000	$\frac{1}{2}$
Current service cost	6,000		6,000	$\frac{1}{2}$
Interest cost (5%)	1,600	(1,350)	250	1
Benefits paid	(2,000)	2,000	Nil	$\frac{1}{2}$
Contributions paid		(5,400)	(5,400)	$\frac{1}{2}$
Actuarial loss (gain) – balancing figure	2,400	(2,250)	150	$\frac{1}{2}$
Closing balance	<u>40,000</u>	<u>(34,000)</u>	<u>6,000</u>	$\frac{1}{2}$
				<u>4</u>

Working 10 – Non-controlling interest in profit

	Beta \$'000	Gamma (8/12) \$'000	Total \$'000	
Profit after tax	30,000	24,000		1
Extra depreciation – Gamma (240 + 1,600 (W2))	Nil	(1,840)		$\frac{1}{2}$
Impairment of Beta goodwill (W3)	(3,000)			$\frac{1}{2}$
Relevant profit	<u>27,000</u>	<u>22,160</u>		
Non-controlling interest (25%/20%)	<u>6,750</u>	<u>4,432</u>	<u>11,182</u>	$\frac{1}{2} + \frac{1}{2}$
				<u>3</u>

Working 11 – Non-controlling interest in total comprehensive income

	\$'000	
Non-controlling interest in profit (W10)	11,182	$\frac{1}{2}$
Non-controlling interest in Gamma's other comprehensive income (20% X 1,400)	280	$\frac{1}{2} + \frac{1}{2}$
	<u>11,462</u>	<u>1½</u>

Working 12 – Opening equity – Alpha group

	\$'000	
Alpha	180,000	$\frac{1}{2}$
Beta: 75% X (140,000 – 80,000)	45,000	$\frac{1}{2} + \frac{1}{2}$
Opening provision for unrealised profit (W2)	(360)	1
	<u>224,640</u>	<u>2½</u>

Working 13 – Opening non-controlling interest (in Beta)

	\$'000	
At date of acquisition	22,000	$\frac{1}{2}$
Increase since acquisition: 25% (140,000 – 80,000)	15,000	$\frac{1}{2}$
At start of the year	<u>37,000</u>	<u>1</u>

Working 14 – Equity element of bond issue

	\$'000	
Total proceeds	300,000	$\frac{1}{2}$
Loan element (W8)	(239,550)	$\frac{1}{2}$
So equity element equals	<u>60,450</u>	<u>1</u>

	Marks
2 (a) IAS 18 – <i>Revenue</i> – regards a transaction such as this as having two components – the supply of goods and the supply of services.	1/2
The total revenue of \$500,000 would need to be allocated between the two components and appropriate recognition criteria applied to each part.	1/2
The fair value of the supply of goods is \$450,000 and the fair value of the supply of services is \$150,000 (4 X \$37,500). The total stand-alone fair values therefore total \$600,000.	1
Revenue of \$375,000 (\$500,000 X 450,000/600,000) is allocated to the supply of goods. The balance of revenue of \$125,000 is allocated to the supply of services.	1 + 1/2
On 1 October 2013, Delta would recognise revenue from the supply of goods of \$375,000.	1/2
On the same date Delta would recognise a receivable of \$500,000.	1/2
The balance of \$125,000 would initially be recognised as deferred income.	1/2
On 15 October 2013, the receivable of \$500,000 would be de-recognised when the payment was received from the customer.	1/2
In the year ended 30 September 2014, service revenue of \$31,250 (\$125,000 X 1/4) can be recognised.	1
The closing balance of deferred income on 30 September 2014 will be \$93,750 (\$125,000 – \$31,250).	1/2
\$31,250 of this balance will be shown as a current liability as this refers to service revenue to be recognised in the year ended 30 September 2015.	1
The balance of deferred income of \$62,500 (\$125,000 – \$31,250 – \$31,250) would be shown as a non-current liability.	1
	9

Summary of reported amounts (for tutorial purposes)

- *Revenue from the supply of goods* – \$375,000.
- *Revenue from the provision of services* – \$31,250.
- *Cash balance* – \$500,000.
- *Deferred income in non-current liabilities* – \$62,500.
- *Deferred income in current liabilities* – \$31,250.

(b) No asset is recognised in respect of the land as it is being leased under an operating lease.	1/2
A rental expense of \$800,000 on the land is charged to profit or loss in the statement of profit or loss for the year ended 30 September 2014.	1/2
The construction cost of \$40 million is shown in property, plant and equipment (PPE) from 1 October 2013.	1/2
On 1 October 2013, the obligation to dismantle the factory and restore the land is a present obligation arising out of a past event. Therefore it should be recognised as a provision.	1/2
The initial carrying value of the provision is its discounted present value of \$7·81 million (\$55 million X 0·142).	1
The debit entry for this provision is to PPE as the relevant expenditure provides access to future economic benefits.	1/2
Therefore the carrying value of PPE at 1 October 2013 is \$47·81 million (\$40 million + \$7·81 million).	1/2
In the year ended 30 September 2014, Delta would charge depreciation of \$1,195,250 (\$47·81 million X 1/40).	1/2
The carrying value of PPE at 30 September 2014 (to be shown under non-current assets) would be \$46,614,750 (\$47·81 million – \$1,195,250).	1/2 + 1/2
As the date for the dismantling approaches, the discount unwinds. The unwinding is shown as a finance cost.	1/2
The finance cost for the year ended 30 September 2014 is \$390,500 (\$7·81 million X 5%).	1/2
This is added to the opening provision to give a closing provision of \$8,200,500 (\$7·81 million + \$390,500).	1/2 + 1/2

The closing provision is shown as a non-current liability.

Marks

$\frac{1}{2}$

8

Summary of reported amounts (for tutorial purposes)

- Rental expense – \$800,000.
- Depreciation – \$1,195,250.
- Finance cost – \$390,500.
- Provision in non-current liabilities – \$8,200,500.

- (c) The potential payment of damages to Chi is an **obligation arising out of a past event** which can be reliably estimated. Therefore, following IAS 37 – *Provisions, Contingent Liabilities and Contingent Assets* – a provision **is** required.

$\frac{1}{2} + \frac{1}{2}$

The provision should be for the **best estimate** of the expenditure required to settle the obligation at 30 September 2014.

$\frac{1}{2}$

Under the principles of IAS 10 – *Events After the Reporting Period* – evidence of the settlement amount is an adjusting event.

$\frac{1}{2}$

Therefore at 30 September 2014 a provision of **\$18 million** should be recognised as a **current liability**.

$\frac{1}{2} + \frac{1}{2}$

3

20

- 3 (a) (i) IFRS 10 defines control as **exposure, or rights to variable returns** from the acquired business and the ability to **affect** those returns through its **power** over the acquired business.

$\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$

To have power, the acquirer must have **existing rights** which give it the current ability to direct the '**relevant activities**' of the acquired business.

$\frac{1}{2} + \frac{1}{2}$

The 'relevant activities' of a business are activities which **significantly affect** the **returns** of the business. Where two or more investors have the ability to direct relevant activities, control is exercised by the investor who directs the activities which **most significantly** affect the returns to the acquired business.

$\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$

4

Note: Exact wordings NOT required for marks.

- (ii) Goodwill on acquisition is measured as the excess of the sum of the **fair value** of the **consideration transferred** in exchange for control of the acquired business, plus the **initial carrying value** of any **non-controlling interest** in the acquired business less the fair values of the **net assets** of the acquired business on the acquisition date.

$\frac{1}{2} +$

$\frac{1}{2} + \frac{1}{2} + \frac{1}{2} + \frac{1}{2}$

Goodwill is **not amortised** but must be tested **annually for impairment** in accordance with IAS 36 – *Impairment of Assets*. Unimpaired goodwill is shown under **non-current assets**.

$\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$

In the case of a bargain purchase (where 'goodwill is negative'), the acquirer should, **after ensuring that it has been appropriately measured**, recognise an **immediate gain** in profit or loss at the acquisition date.

$\frac{1}{2} + \frac{1}{2}$

5

			Marks
(b) Computation of goodwill impairment			
	NCI at fair value \$'000	NCI at % of net assets \$'000	$\frac{1}{2} + \frac{1}{2}$
Cost of investment			
Share exchange (12 million X 75% X $\frac{2}{3}$ X \$6.50)	39,000	39,000	$\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$
Deferred consideration (7.15 million/1.10)	6,500	6,500	1
Contingent consideration	25,000	25,000	1
Non-controlling interest at date of acquisition:			
Fair value – 3 million X \$6.00	18,000		1
% of net assets – 68,000 (working) X 25%		17,000	1
Net assets at date of acquisition (Working)	(68,000)	(68,000)	2 (working)
Goodwill on acquisition	<u>20,500</u>	<u>19,500</u>	
Impairment – 10%	<u>2,050</u>	<u>1,950</u>	$\frac{1}{2} + \frac{1}{2}$
Where the NCI is measured at fair value, the impairment should be attributed partly to retained earnings (\$153,750) and partly to NCI (\$51,250). The allocation is normally based on the group structure (75/25 in this case).			1
Where the NCI is measured at % of net assets, the impairment should be attributed wholly to retained earnings.			$\frac{1}{2}$
			<u>11</u>
			<u>20</u>

Working – Net assets at date of acquisition

	\$'000	
Fair value at acquisition date	70,000	$\frac{1}{2}$
Deferred tax on fair value adjustments (20% (70,000 – 60,000))	<u>(2,000)</u>	$\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$
	<u>68,000</u>	<u>2</u>

4 Query One

It is true that there is an International Financial Reporting Standard (IFRS) which deals with operating segments and lays down the content of segmental reports (**concept**). The relevant standard is IFRS 8 – *Operating Segments*.

$\frac{1}{2}$

However, differences between the segment reports of organisations will arise from how segments are identified and what exactly is reported for each segment (**concept**).

$\frac{1}{2} + \frac{1}{2}$

IFRS 8 defines an operating segment as a component of an entity which engages in **revenue earning** activities and whose results are regularly reviewed by the **chief operating decision maker (CODM)**.

$\frac{1}{2} + \frac{1}{2}$

The CODM is the **individual, or group of individuals**, who makes decisions about **segment performance** and **resource allocation**.

$\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$

This definition means that the operating segments of apparently similar organisations could be identified very differently, with a consequential impact on the nature of the report.

$\frac{1}{2}$

As stated above, differences also arise due to the reporting requirements for each segment. IFRS 8 requires that '**a measure**' of **profit or loss** is reported for each segment. However, the **measurement of revenues and expenses which are used in determining profit or loss is based on the principles used in the information the CODM sees**. This is so, **even if these principles do not correspond with IFRS**. This could **clearly cause differences** between reports from apparently similar organisations.

$\frac{1}{2} + \frac{1}{2} + \frac{1}{2} + \frac{1}{2}$

Additionally, IFRS 8 requires a measure of total **assets** and **liabilities** by operating segment if the **CODM sees this information**. Since **some CODMs may see this information and some may not**, this could once again cause differences between the reports of apparently similar organisations.

$\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$

8

Query Two

An equity settled share-based payment transaction is one in which an entity receives goods or services in exchange for a right over its equity instruments.

$\frac{1}{2}$

Marks

Where the payments involve the granting of share options, IFRS 2 – *Share-based Payment* – requires that the payments are measured at the **fair value** of the options at the **grant date**. No change is made to this measurement when the fair value **changes after the grant date**.

$\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$

Unless the entity has traded options which have exactly the same terms and conditions as those granted to employees (unlikely), then fair value is estimated using an option pricing model.

$\frac{1}{2}$

The first step in accounting for such payments is to estimate the total expected cost of the share-based payment.

$\frac{1}{2}$

This estimate takes account of any **conditions** attaching to the options vesting (**the employees becoming unconditionally entitled to exercise them**) other than **market** conditions (those based on the future share price, which are taken account of in estimating the fair value of the option at the grant date).

$\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$

The total expected cost is recognised in the financial statements over the vesting period (i.e. the period from the grant date to the vesting date).

$\frac{1}{2}$

In the case of options granted to employees, the debit entry would be recorded as **remuneration expense**. Normally this would mean the debit entry being shown in the statement of **profit or loss** but in theory the debit entry could be an asset depending on the work of the employee involved.

$\frac{1}{2} + \frac{1}{2}$

The credit entry is taken to **equity**. IFRS 2 is **silent** as to which component of equity this should be – normally it would be to an option reserve.

$\frac{1}{2} + \frac{1}{2}$

The above treatment is **unaffected** by whether or not employees subsequently exercise vested options. **If they do**, then the entity debits cash and credits equity with the cash proceeds.

$\frac{1}{2} + \frac{1}{2}$

8

Query Three

A non-current asset is classified as held for sale when its carrying amount will be recovered principally through a sale transaction, rather than through continuing use.

1

Such assets are measured at the lower of their **carrying amount** and **fair value less costs to sell**. Any write downs arising out of this process are treated as **impairment losses**.

$\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$

The 'held for sale' definition can apply to **groups of assets** as well as single assets where the group of assets is to be sold as a **single unit**. It is in situations **such as this** that liabilities associated with such groups of assets are separately identified.

$\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$

4

20

Diploma in International Financial Reporting

Tuesday 9 June 2015

**Time allowed**

Reading and planning: 15 minutes

Writing: 3 hours

ALL FOUR questions are compulsory and MUST be attempted.

Do NOT open this paper until instructed by the supervisor.

During reading and planning time only the question paper may be annotated. You must NOT write in your answer booklet until instructed by the supervisor.

This question paper must not be removed from the examination hall.

The Association of Chartered Certified Accountants

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The question paper begins on page 3.

ALL FOUR questions are compulsory and MUST be attempted

- 1 Alpha holds investments in two other entities, Beta and Gamma. The draft statements of financial position of the three entities at 31 March 2015 were as follows:

	Alpha \$'000	Beta \$'000	Gamma \$'000
Assets			
Non-current assets:			
Property, plant and equipment (Notes 1 and 6)	300,000	240,000	180,000
Investments (Notes 1, 2 and 3)	267,000	40,000	10,000
	<u>567,000</u>	<u>280,000</u>	<u>190,000</u>
Current assets:			
Inventories (Note 4)	90,000	60,000	45,000
Trade receivables (Note 5)	72,000	46,000	40,000
Cash and cash equivalents	15,000	10,000	8,000
	<u>177,000</u>	<u>116,000</u>	<u>93,000</u>
Total assets	<u>744,000</u>	<u>396,000</u>	<u>283,000</u>
Equity and liabilities			
Equity			
Share capital (\$1 shares)	200,000	150,000	120,000
Retained earnings (Notes 1 and 2)	367,500	115,000	51,000
Other components of equity (Notes 1, 2 and 3)	5,000	4,000	2,000
Total equity	<u>572,500</u>	<u>269,000</u>	<u>173,000</u>
Non-current liabilities:			
Provision (Note 6)	12,500	Nil	Nil
Long-term borrowings (Note 7)	60,000	45,000	50,000
Deferred tax	32,000	30,000	20,000
Total non-current liabilities	<u>104,500</u>	<u>75,000</u>	<u>70,000</u>
Current liabilities:			
Trade and other payables (Note 5)	45,000	42,000	33,000
Short term borrowings	22,000	10,000	7,000
Total current liabilities	<u>67,000</u>	<u>52,000</u>	<u>40,000</u>
Total equity and liabilities	<u>744,000</u>	<u>396,000</u>	<u>283,000</u>

Note 1 – Alpha's investment in Beta

On 1 April 2010, Alpha acquired 120 million shares in Beta by means of a cash payment of \$234.5 million. Alpha also incurred directly attributable costs of \$2.5 million associated with the acquisition of Beta and recognised the investment in its individual statement of financial position at \$237 million. There has been no change to the carrying value of this investment in Alpha's own statement of financial position since 1 April 2010.

It is the group policy to value the non-controlling interest in subsidiaries at the date of acquisition at fair value. The market value of an equity share in Beta at 1 April 2010 can be used for this purpose. On 1 April 2010, the market value of a Beta share was \$1.80.

On 1 April 2010, the individual financial statements of Beta showed the following reserves balances:

- Retained earnings \$75 million.
- Other components of equity \$1 million.

The directors of Alpha carried out a fair value exercise to measure the identifiable assets and liabilities of Beta at 1 April 2010. The following matters emerged:

- Property having a carrying value of \$150 million at 1 April 2010 (depreciable component \$80 million) had an estimated market value of \$180 million at that date (depreciable component \$90 million). The estimated future economic life of the depreciable component at 1 April 2010 was 20 years. This property is included in Beta's statement of financial position at 31 March 2015.
- Plant and equipment having a carrying value of \$110 million at 1 April 2010 had an estimated market value of \$123 million at that date. Beta has disposed of all of this plant and equipment since 1 April 2010.

The fair value adjustments have not been reflected in the individual financial statements of Beta. In the consolidated financial statements, the fair value adjustments will be regarded as temporary differences for the purposes of computing deferred tax. The rate of deferred tax to apply to temporary differences is 20%. No impairment of the goodwill on acquisition of Beta has occurred since 1 April 2010.

Note 2 – Alpha's investment in Gamma

On 1 July 2014, Alpha acquired 90 million shares in Gamma by means of a share exchange. Alpha issued two shares for every three shares acquired in Gamma. On 1 July 2014, the market value of an Alpha share was \$2.90 and the market value of a Gamma share was \$1.50. The share exchange has not been recorded in the draft financial statements of Alpha presented above. Alpha also incurred directly attributable costs of \$1.5 million associated with this acquisition and debited these costs to administrative expenses in its draft statement of profit or loss for the year ended 31 March 2015.

On 1 April 2014, the individual financial statements of Gamma showed the following reserves balances:

- Retained earnings \$45 million. The profits of Gamma for the year ended 31 March 2015 accrued evenly over the year.
- Other components of equity \$2 million. See also the information provided in note 3 regarding other components of equity.

Gamma leases all of its properties on operating leases and its plant and equipment comprises assets with relatively short useful economic lives. Therefore on 1 July 2014, there were no material differences between the carrying values of the net assets of Gamma in the individual financial statements and the fair values of those net assets.

No impairment of the goodwill on acquisition of Gamma has occurred since 1 July 2014.

Note 3 – Other investments

Apart from its investment in Beta, the investments of Alpha included in the statement of financial position at 31 March 2015 are all financial assets which Alpha has elected to measure at fair value through other comprehensive income. All of the investments held by Beta and Gamma are also financial assets which Beta and Gamma have elected to measure at fair value through other comprehensive income. None of these investments have been bought or sold in the year ended 31 March 2015. The fair values which are included in the draft statements of financial position above are the fair values at 31 March 2014 for Beta and 1 July 2014 for Gamma. Relevant fair values as at 31 March 2015 were as follows:

- Alpha – \$33 million.
- Beta – \$43 million.
- Gamma – \$11.6 million. The change in the fair value of Gamma's investments during the year ended 31 March 2015 was caused by events occurring AFTER 1 July 2014.

You do NOT need to consider the deferred tax implications of any gains arising on the remeasurement of these investments.

Note 4 – Inter-company sale of inventories

The inventories of Beta and Gamma at 31 March 2015 included components purchased from Alpha in the last three months of the financial year at a cost of \$15 million to Beta and \$10 million to Gamma. Alpha normally earns a profit margin of 30% on the sale of these components but supplies of these components to group companies are routinely made at a reduced margin of 20%.

In the consolidated financial statements, any adjustments required as a result of this note will be regarded as temporary differences for the purposes of computing deferred tax. The rate of deferred tax to apply to temporary differences is 20%. You can assume that sufficient taxable profits exist in each entity to allow the deferred tax implications of deductible temporary differences.

Note 5 – Trade receivables and payables

The trade receivables of Alpha included \$9 million receivable from Beta and \$6 million receivable from Gamma in respect of the purchase of components (see Note 4). On 30 March 2015, Beta and Gamma paid \$9 million and \$6 million respectively to Alpha and so eliminated their trade payables balance in respect of the purchase of components. Alpha recorded these receipts on 3 April 2015.

Note 6 – Provision

On 1 March 2015, the board of directors of Alpha finalised a plan to re-organise and reconstruct the group. The plan was publicly announced on 15 March 2015. The plan involved closing down one of Alpha's operating units – unit X (not a separate legal entity). The business of unit X will not be discontinued – the other operating units of Alpha will be able to supply the unit's existing customers. However, all of the property, plant and equipment being used in unit X will be disposed of. Some of the employees working in unit X will be made redundant, and others will be transferred to other operating units of Alpha.

The provision made by Alpha in its draft financial statements comprised the best estimate of the following:

	\$ million
Redundancy costs	8
Costs of relocating employees to new locations	2.5
Costs of retraining existing employees for work at new locations	2.0
	12.5

On 15 March 2015, the property, plant and equipment of unit X, which is included in the above statement of financial position, had a total carrying value of \$15 million. \$12 million of this amount relates to property, and \$3 million to plant and equipment. On 15 March 2015, all of the property, plant and equipment was offered for sale. The property was offered for sale at a price of \$16.5 million, and the plant and equipment at \$1.05 million. Both of these amounts are considered to be reasonable prices which are achievable within six months of the year end. The estimated costs of disposal of the property are \$500,000 and the costs of disposal of the plant \$50,000. However, none of the property, plant and equipment of unit X which was being offered for sale had actually been sold by 31 March 2015. You can assume that any change in carrying value of this property, plant and equipment between 15 and 31 March 2015 is immaterial.

Note 7 – Long-term borrowings

On 31 March 2015, Alpha issued 30 million \$1 convertible loan notes. The loan notes carry a coupon rate of 6% per annum payable annually in arrears and are redeemable at par on 31 March 2020. As an alternative to redemption, the loan note holders can elect to exchange their loan notes for equity shares in Alpha on 31 March 2020. If the option to exchange were not available, the investors in the loan notes would have required a return on their investment of 10% per annum.

Discount factors which may be relevant are as follows:

	Discount rate	
	6%	10%
	\$	\$
Present value of \$1 receivable in 5 years	0.747	0.621
Cumulative present value of \$1 receivable at the end of years 1–5	4.212	3.790

On 31 March 2015, Alpha debited cash and credited long-term borrowings with \$30 million in respect of this loan.

Required:

Prepare the consolidated statement of financial position of Alpha at 31 March 2015.

(40 marks)

- 2 Delta is an entity which prepares financial statements to 31 March each year. The financial statements for the year ended 31 March 2015 are to be authorised for issue on 30 June 2015. The following events are relevant to these financial statements:
- (a) On 1 April 2014, Delta purchased 1 million options to acquire shares in Epsilon, a listed entity. Delta paid 25c per option, which allows Delta to purchase shares in Epsilon for a price of \$2 per share. The exercise date for the options was 31 December 2014. On 31 December 2014, when the market value of a share in Epsilon was \$2.60, Delta exercised all its options to acquire shares in Epsilon. In addition to the purchase price, Delta incurred directly attributable acquisition costs of \$100,000 on the purchase of the 1 million shares in Epsilon. Delta regarded the shares it purchased in Epsilon as part of its trading portfolio. However, Delta did not dispose of any of the shares in Epsilon between 31 December 2014 and 31 March 2015. On 31 March 2015, the market value of a share in Epsilon was \$2.90. (9 marks)
- (b) On 1 April 2014, Delta sold a property for \$48 million to raise cash to expand its business. The carrying value of the property on 1 April 2014 was \$50 million and its fair value was \$55 million. The estimated future useful life of the property on 1 April 2014 was 40 years. On 1 April 2014, Delta began to lease this property on a 10 year lease. The annual lease rentals for the first five years of the lease were set at \$1 million. For the final five years of the lease, the rentals were set at \$1.5 million. Both of these rental amounts were below the market rental for a property of this nature. (7 marks)
- (c) On 31 March 2015, the inventories of Delta included a consignment of components which Delta had been supplying to a number of different customers for some years. The cost of the consignment was \$10 million and based on retail prices at 31 March 2015, the expected selling price of the consignment would have been \$12 million. On 15 May 2015, a competitor completed the development of an alternative component which seems likely to make Delta's consignment obsolete. The directors of Delta estimate that the consignment (all still currently unsold) will now be sold for only \$2 million. (4 marks)

Required:

Explain and show how the three events should be reported in the financial statements of Delta for the year ended 31 March 2015.

Note: The mark allocation is shown against each of the three events above.

(20 marks)

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Question 3 begins on page 8.

- 3 (a)** IFRS 2 – *Share-based Payment* – defines a share-based payment transaction as one in which an entity receives goods or services from a third party (including an employee) in a share-based payment arrangement. A share-based payment arrangement is an agreement between an entity and a third party which entitles the third party to receive either:

- Equity instruments of the entity (equity-settled share-based payments); or
- Cash or other assets based on the price of equity instruments of the entity (cash-settled share-based payments).

Share-based payment arrangements are often subject to vesting conditions which must be satisfied over a vesting period.

Required:

For both cash-settled AND equity-settled share-based payment arrangements, explain:

- (i) The basis on which the arrangements should be measured;**
 - (ii) The criteria which are used to allocate the total value of the arrangement to individual accounting periods;**
 - (iii) The accounting entries (debit and credit) required during the vesting period.** (6 marks)
- (b)** Kappa prepares financial statements to 31 March each year. The following share-based payment arrangements were in force during the year ended 31 March 2015:
- (i)** On 1 April 2013, Kappa granted options to 500 employees to subscribe for 400 shares each in Kappa on 31 March 2017, providing the employees still worked for Kappa at that time. On 1 April 2013, the fair value of each option was \$1.50.

In the year ended 31 March 2014, ten of these employees left Kappa and at 31 March 2014, Kappa expected that 20 more would leave in the three-year period from 1 April 2014 to 31 March 2017. Kappa's results for the year ended 31 March 2014 were below expectations and at 31 March 2014 the fair value of each option had fallen to 25 cents. Therefore, on 1 April 2014 Kappa amended the exercise price of the original options. This amendment caused the fair value of these options to rise from 25 cents to \$1.45.

During the year ended 31 March 2015, five of the employees left and at 31 March 2015, Kappa expected that ten more would leave in the two-year period from 1 April 2015 to 31 March 2017. The results of Kappa for the year ended 31 March 2015 were much improved and at 31 March 2015, the fair value of a re-priced option was \$1.60. (9 marks)
 - (ii)** On 1 April 2013, Kappa granted share appreciation rights to 50 senior employees. The number of rights to which each employee becomes entitled depends on the cumulative profit of Kappa for the three years ended 31 March 2016:
 - 1,000 rights per employee are awarded if the cumulative profit for the three-year period is below \$500,000.
 - 1,500 rights per employee are awarded if the cumulative profit for the three-year period is between \$500,000 and \$1 million.
 - 2,000 rights per employee are awarded if the cumulative profit for the three-year period exceeds \$1 million.
On 1 April 2013, Kappa expected that the cumulative profits for the three-year period would be \$800,000. After the disappointing financial results for the year ended 31 March 2014, this estimate was revised at that time to \$450,000. However, given the improvement in results for the year ended 31 March 2015, the estimate was revised again at 31 March 2015 to \$1,100,000.

On 1 April 2013, the fair value of one share appreciation right was \$1.10. This estimate was revised to \$0.90 at 31 March 2014 and to \$1.20 at 31 March 2015. All the senior employees are expected to remain employed by Kappa for the relevant three-year period. The rights are exercisable on 30 June 2016. (5 marks)

Required:

Show how and where transactions (i) and (ii) would be reported in the financial statements of Kappa for the year ended 31 March 2015.

Note: The mark allocation is shown against both of the two transactions above.

Ignore deferred tax.

(20 marks)

- 4** You are the financial controller of Omega, a listed company which prepares consolidated financial statements in accordance with International Financial Reporting Standards (IFRS). Your managing director, who is not an accountant, has recently attended a seminar and has the following questions for you concerning issues raised at the seminar:
- (a)** One of the delegates at the seminar was a director of an entity which operates a number of different farms. She informed me that there was a financial reporting standard which applied to farming entities. I think she said it was IAS 41. I'd like to know why a special standard is needed for farming entities. Given that we have IAS 41, does this mean that other IFRSs do not apply to farming entities? Please explain the main recognition and measurement requirements of IAS 41 – I'm not interested in details about disclosures. I am interested, though, in any areas where the provisions of IAS 41 differ from general IFRSs. I believe I heard that farming entities treat grants from the government in a different way than other entities do. I'm particularly interested to hear about this – assuming I'm correct. (12 marks)
- (b)** Another delegate, a director of a relatively small listed entity, stated that his entity did not need to comply with the detailed requirements of IFRS because of the relatively small size of the entity. Is it true that there are different accounting rules which are available for smaller entities? Can his entity take advantage of them? Please give me an outline explanation – I don't need the details of any different rules. (8 marks)

Required:

Provide answers to the questions raised by the managing director.

Note: The mark allocation is shown against each of the two questions above.

(20 marks)

End of Question Paper

Answers

Marks

1 (a) Consolidated statement of financial position of Alpha at 31 March 2015

Assets	\$'000	
Non-current assets:		
Property, plant and equipment (300,000 + 240,000 + 180,000 + 27,500 (W1) – (12,000 + 3,000 {held for sale assets – W5}))	732,500	$\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$
Goodwill (W3)	78,600	$9\frac{1}{2}$ (W3)
Other investments (33,000 + 43,000 + 11,600)	87,600	1
	<u>898,700</u>	
Current assets:		
Inventories (90,000 + 60,000 + 45,000 – 5,000 (W6))	190,000	$\frac{1}{2} + \frac{1}{2}$
Trade receivables (72,000 + 46,000 + 40,000 – (9,000 + 6,000 {intra-group}))	143,000	$\frac{1}{2} + \frac{1}{2}$
Cash and cash equivalents (15,000 + 10,000 + 8,000 + (9,000 + 6,000 {cash in transit}))	48,000	$\frac{1}{2} + \frac{1}{2}$
	<u>381,000</u>	
Non-current assets classified as held for sale (W5)	<u>13,000</u>	$\frac{1}{2}$
Total assets	<u><u>1,292,700</u></u>	
Equity and liabilities		
Equity attributable to equity holders of the parent		
Share capital (200,000 + 60,000 (shares issued to acquire Gamma))	260,000	1
Retained earnings (W6)	388,955	12 (W5)
Other components of equity (W8)	132,548	5 (W8)
	<u>781,503</u>	
Non-controlling interest (W4)	107,245	2 (W4)
Total equity	<u>888,748</u>	
Non-current liabilities:		
Provision	8,000	$\frac{1}{2}$
Long-term borrowings (60,000 + 45,000 + 50,000 + 25,452 (W7) – 30,000)	150,452	$\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$
Deferred tax (W10)	86,500	$1\frac{1}{2}$
Total non-current liabilities	<u>244,952</u>	
Current liabilities:		
Trade and other payables (45,000 + 42,000 + 33,000)	120,000	$\frac{1}{2}$
Short term borrowings (22,000 + 10,000 + 7,000)	39,000	$\frac{1}{2}$
Total current liabilities	<u>159,000</u>	40
Total equity and liabilities	<u><u>1,292,700</u></u>	

WORKINGS – DO NOT DOUBLE COUNT MARKS. ALL NUMBERS IN \$'000 UNLESS OTHERWISE STATED

Working 1 – Net assets table – Beta:

	1 April 2010 \$'000	31 March 2015 \$'000	For W3	For W6
Share capital	150,000	150,000	½	
Retained earnings:				
Per accounts of Beta	75,000	115,000	½	½
Property adjustment	30,000	30,000	½	
Extra depreciation		(2,500)		½
(90,000 – 80,000) X 5/20				½
Plant and equipment adjustment	13,000	–	½	½
Other components of equity	1,000	7,000 *	½	½
Deferred tax on fair value adjustments	(8,600)	(5,500)	1 (W9)	1 (W9)
Net assets for the consolidation	<u>260,400</u>	<u>294,000</u>		

The post-acquisition increase in net assets is 33,600 (294,000 – 260,400). 6,000 of this increase relates to other components of equity and the balance (27,600) relates to retained earnings.

	½
	<u>3½</u>
⇒W3	⇒W6

* The other components of equity balance of Beta at 31 March 2015 is 4,000 + [43,000 – 40,000] (the **current** year revaluation of Beta's investments).

Working 2 – Net assets table – Gamma:

	1 July 2014 \$'000	31 March 2015 \$'000	For W3	For W6
Share capital	120,000	120,000	½	
Retained earnings:	46,500 * ¹	51,000	1	½
Other components of equity	2,000	3,600 * ²	½	1
Net assets for the consolidation	<u>168,500</u>	<u>174,600</u>		

The post-acquisition increase in net assets is 6,100 (174,600 – 168,500). 1,600 of this increase relates to other components of equity and the balance (4,500) relates to retained earnings.

	½
	<u>2</u>
⇒W3	⇒W6

*¹ The retained earnings of Gamma at 1 July 2014 were 45,000 + 3/12 (51,000 – 45,000).

*² The other components of equity balance of Gamma at 31 March 2015 is 2,000 + [11,600 – 10,000] (the **current** year revaluation of Gamma's investments).

Working 3 – Goodwill on consolidation

	Beta \$'000	Gamma \$'000	
Costs of investment:			
Cash paid to acquire Beta (not including acquisition costs)	234,500		1
Shares issued to acquire Gamma 60,000 X \$2.90		174,000	1
Fair value of non-controlling interest at date of acquisition			
(30 million X \$1.80 – Beta; 30 million X \$1.50 – Gamma)	54,000	45,000	1 + 1
Net assets at date of acquisition (W1/W2)	<u>(260,400)</u>	<u>(168,500)</u>	3½ (W1) + 2 (W2)
Goodwill	<u>28,100</u>	<u>50,500</u>	<u>9½</u>

The total goodwill is 78,600 (28,100 + 50,500).

Marks

Working 4 – Non-controlling interest

	Beta \$'000	Gamma \$'000	
Fair value at date of acquisition (W3)	54,000	45,000	$\frac{1}{2} + \frac{1}{2}$
20%/25% of post-acquisition increase in net assets (33,600 (W1)/6,100 (W2))	<u>6,720</u>	<u>1,525</u>	$\frac{1}{2} + \frac{1}{2}$
	<u>60,720</u>	<u>46,525</u>	<u>2</u>

The total NCI is 107,245 (60,720 + 46,525).

Working 5 – Adjustment for assets held for sale

Asset	Existing carrying amount (E) \$'000	Lower of E and fair value less costs to sell \$'000	Adjustment \$'000	
Property	12,000	12,000	Nil	$\frac{1}{2}$
Plant	<u>3,000</u>	<u>1,000</u>	<u>2,000</u>	$\frac{1}{2}$
	<u>15,000</u>	<u>13,000</u>	<u>2,000</u>	<u>1</u>
				$\Rightarrow$ W6

Working 6 – Retained earnings

	\$'000	
Alpha	367,500	$\frac{1}{2}$
Adjustment for acquisition costs of Beta	(2,500)	$\frac{1}{2}$
Adjustment for disallowable provision (2,500 + 2,000)	4,500	$\frac{1}{2} + \frac{1}{2}$
Adjustment for held for sale asset (W5)	(2,000)	1 (W5)
Beta (80% X 27,600 (W1))	22,080	$\frac{1}{2} + 4$ (W1)
Gamma (75% X (4,500 (W2))	3,375	$\frac{1}{2} + 2$ (W2)
Unrealised profits on sales to Beta and Gamma (20% X (15,000 + 10,000))	(5,000)	1
Deferred tax on unrealised profits (20% X 5,000)	<u>1,000</u>	<u>1</u>
	<u>388,955</u>	<u>12</u>

Working 7 – Convertible loan

	\$'000	
Present value of interest payments (1,800 X 3.790)	6,822	$\frac{1}{2}$
Present value of principal repayment (30,000 X 0.621)	<u>18,630</u>	$\frac{1}{2}$
So loan element equals	25,452	
Equity component is the balancing figure	<u>4,548</u>	$\frac{1}{2}$
	<u>30,000</u>	<u>1\frac{1}{2}</u>
		$\Rightarrow$ W8

Working 8 – Other components of equity

	\$'000	
Alpha	5,000	$\frac{1}{2}$
Premium on issue of shares to acquire Gamma (60 million X \$1.90)	114,000	1
Revaluation of 'other investments' of Alpha (33,000 – (267,000 – 237,000))	3,000	1
Equity element of convertible loan (W7)	4,548	$1\frac{1}{2}$ (W7)
Beta (80% X 6,000 (W1))	4,800	$\frac{1}{2}$
Gamma (75% X 1,600 (W2))	<u>1,200</u>	<u>\frac{1}{2}</u>
	<u>132,548</u>	<u>5</u>

Working 9 – Deferred tax on fair value adjustments – Beta

Fair value adjustments:

	1 April 2014 \$'000	31 March 2015 \$'000	
Property adjustment	30,000	27,500	$\frac{1}{2}$
Plant and equipment adjustment	<u>13,000</u>	<u>Nil</u>	$\frac{1}{2}$
Net taxable temporary differences	43,000	27,500	$\frac{1}{2}$
Related deferred tax (20%)	<u>8,600</u>	<u>5,500</u>	$\frac{1}{2}$
			<u>2</u>
			$\Rightarrow$ W1

Working 10 – Deferred tax

	\$'000	
Alpha + Beta + Gamma	82,000	1/2
On fair value adjustments in Beta (W9)	5,500	1/2
On unrealised profits (W6)	(1,000)	1/2
	<u>86,500</u>	<u>1 1/2</u>

- 2 (a) Under the provisions of IFRS 9 – *Financial Instruments* – the option to acquire shares in Epsilon would be regarded as a derivative financial instrument. 1/2
- This is because the value of the option depends on the value of an underlying variable (Epsilon's share price), it requires a relatively small initial investment and it is settled at a future date. 1/2
- A derivative financial instrument is initially measured at its fair value. 1/2
- In this case fair value will be the price paid – which is \$250,000 at 1 April 2014. 1/2
- Derivative financial instruments are remeasured to fair value at the reporting date and gains or losses on remeasurement recognised in the statement of profit or loss. 1/2
- However, in this case the derivative is derecognised on 31 December 2014, when the option is exercised. 1/2
- On 31 December 2014, the investment in Epsilon's shares would be regarded as a financial asset. 1/2
- Under IFRS 9, financial assets are initially measured at fair value, so the initial carrying value of the shares in the books of Delta will be **\$2.6 million** (1 million X \$2.60). 1/2
- The difference between the carrying value of the new asset – \$2.6 million and the price paid plus the derecognised derivative – \$2.25 million (\$2 million + \$250,000) will be taken to **profit or loss** for the year ended 31 March 2015 as investment income. In this case **\$350,000** will be included as investment income. 1/2 + 1/2
- Because the investment in Epsilon is an equity investment, it will continue to be remeasured to fair value at each year end. 1
- Because the investment is part of a trading portfolio, the investment is measured at fair value through profit or loss. 1/2
- Therefore the acquisition costs of \$100,000 must be recognised as an expense in the statement of profit or loss for the year ended 31 March 2015. 1/2
- The investment is included in the statement of financial position at 31 March 2015 as a **current** asset at its fair value of **\$2.9 million**. 1/2 + 1/2
- The increase in fair value of **\$300,000** (\$2.9 million – \$2.6 million) is taken to **the statement of profit or loss**. 1/2 + 1/2
-
- 9**
-
- (b) The lease-back of the property will be regarded as an operating lease because the lease is for only 25% (10/40) of the future life of the property. 1
- Therefore the property will be derecognised by Delta. 1/2
- The apparent loss on sale of \$2 million (\$48 million – \$50 million) will **not** be recognised immediately because Delta is being compensated by reduced rentals for the whole lease term. The amount will instead be regarded as a **pre-payment**. 1/2 + 1/2
- The total lease rentals over the whole term are \$12.5 million (5 X \$1 million + 5 X \$1.5 million). 1
- Rental expense of \$1.25 million (\$12.5 million X 1/10) will be recognised in profit or loss for the year ended 31 March 2015. 1/2
- A **proportion** of the apparent loss on sale will be recognised in **profit or loss** for the year ended 31 March 2015. 1/2 + 1/2
- The amount recognised will be \$160,000 – (\$2 million X {\$1 million/\$12.5 million}). 1
- The closing pre-payment will be \$1,590,000 (\$2 million – \$160,000 + \$1 million (rent paid) – \$1.25million (rent charged)). 1
-
- 7**
-

		Marks
(c)	The information about the obsolescence of the components is an event after the reporting date because it occurs after the reporting date but before the financial statements are authorised for issue.	1
	This event would be a non-adjusting event because it does not give information about conditions existing at the reporting date.	1
	At the reporting date, the inventory should be measured at the lower of cost (\$10 million) and net realisable value (\$12 million).	1
	The after-date obsolescence of the inventory and its financial implications for Delta should be disclosed in a note to the financial statements.	1
		<u>4</u>
		<u>20</u>
3	(a) (i)	
	For equity-settled share-based payment arrangements, the transaction should be measured based on the fair value of the goods or services received, or to be received.	1/2
	Where the third party is an employee, 'fair value' should be based on the fair value of the equity instruments granted , measured at the grant date .	1/2 + 1/2
	For cash-settled share-based payment arrangements, the transaction should be measured based on the fair value of the liability at each reporting date.	1/2 + 1/2
	(ii)	
	The amount recognised should take account of all vesting conditions other than (in the case of equity-settled share-based payment arrangements) market conditions (which are reflected in the measurement of the fair value of the instruments granted).	1/2 + 1/2 + 1/2
	(iii)	
	For both types of arrangement, the debit entry will normally be to profit or loss unless the relevant expense would qualify for recognition as an asset.	1
	For an equity-settled share-based payment arrangement, the credit entry would be recognised in equity, either as share capital or (more commonly) as an option reserve.	1/2
	For cash-settled share-based payment arrangements, the credit entry would be recognised as a liability.	1/2
		<u>6</u>
	(b) (i)	
	The expected total cost of the arrangement at 31 March 2014 is 400 X \$1.50 X (500 – 10 – 20) = \$282,000.	1
	Therefore \$70,500 (\$282,000 X 1/4) would be credited to equity and debited to profit or loss for the year ended 31 March 2014.	1
	For the year ended 31 March 2015, the expected total cost of the originally granted options would be 400 X \$1.50 X (500 – 10 – 5 – 10) = \$285,000.	1
	The cumulative amount taken to profit or loss and recognised in equity at 31 March 2015 is \$142,500.	1
	The additional cost of the repriced options must also be recognised over the three -year period to 31 March 2017.	1/2 + 1/2
	The total additional cost is 400 X (\$1.45 – \$0.25) X 475 = \$228,000.	1
	Therefore the amount recognised in the year ended 31 March 2015 is \$76,000 (\$228,000 X 1/3).	
	Therefore the total recognised in equity at 31 March 2015 is \$218,500 (\$142,500 + \$76,000).	1
	The amount recognised in equity would be shown as 'other components of equity'.	1/2
	And the charge to profit or loss for the year ended 31 March 2015 is \$148,000 (\$142,500 + \$76,000 – \$70,500).	1
	The amount recognised in profit or loss would be shown as an employment expense.	1/2
		<u>9</u>

	Marks
(ii) For the year ended 31 March 2014, the expected total cost will be $50 \times 1,000 \times \$0.90 = \$45,000$.	1
The amount taken to profit or loss in the prior period, and recognised as a liability, will be \$15,000 ($\$45,000 \times 1/3$).	1
At 31 March 2015, the liability will be $50 \times 2,000 \times \$1.20 \times 2/3 = \$80,000$.	1
Since the rights are exercisable on 30 June 2016, the liability will be non-current.	1
The charge to profit or loss for the year ended 31 March 2015 will be \$65,000 ($\$80,000 - \$15,000$). This will be included in employment expenses.	1
	<u>5</u>
	<u>20</u>
4 (a) It is not true that, given the existence of IAS 41 – <i>Agriculture</i> – other IFRSs do not apply to farming companies. The general presentation requirements of IAS 1 – <i>Presentation of Financial Statements</i> , together with the specific recognition and measurement requirements of other IFRSs, apply to farming companies just as much as others.	1
IAS 41 deals with agricultural activity . Two key definitions given in IAS 41 are biological assets and agricultural produce .	$\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$
A biological asset is a living animal or plant. Examples of biological assets would be sheep and fruit trees.	1
The criteria for the recognition of biological assets are basically consistent with other IFRSs, and are based around the Framework definition of an asset.	1
A key issue dealt with in IAS 41 is that of measurement of biological assets. Given their nature (e.g. lambs born to sheep which are existing assets, the use of cost as a measurement basis is impracticable.	$\frac{1}{2} + \frac{1}{2}$
The IAS 41 requirement for biological assets is to measure them at fair value less costs to sell .	$\frac{1}{2} + \frac{1}{2}$
Changes in fair value less costs to sell from one period to another are recognised in profit or loss.	$\frac{1}{2}$
Agricultural produce is the harvested produce of a biological asset. Examples would be wool (from sheep) or fruit (from fruit trees).	1
The issue of measuring 'cost' of such assets is similar to that for biological assets. IAS 41 therefore requires that 'cost' should be fair value less costs to sell at the point of harvesting. This figure is then the deemed 'cost' for the purposes of IAS 2 – <i>Inventories</i> .	$\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$
A consequence of the above treatment is that government grants receivable in respect of biological assets are not treated in the way prescribed by IAS 20 – <i>Government Grants</i> . Where such a grant is unconditional , it should be recognised in profit or loss when it becomes receivable. If conditions attach to the grant, it should be recognised in profit or loss only when the conditions have been met.	$\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$
The IAS 20 treatment of grants is to recognise them in profit or loss as the expenditure to which they relate is recognised. This means that recognition of grants relating to property, plant and equipment takes place over the life of the asset rather than when the relevant conditions are satisfied.	1
	<u>12</u>
(b) The International Accounting Standards Board has developed an IFRS for small and medium sized entities (SMEs) which can be used as an alternative to full IFRS.	$\frac{1}{2} + \frac{1}{2}$
Despite the title of the IFRS for SMEs it is not available for all small and medium sized entities. The standard can only be used by entities which are not publicly accountable . Therefore the standard could not be used by your colleague as the entity is listed .	$\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$
The IFRS for SMEs is one single standard which, if adopted, is used instead of all IFRS .	$\frac{1}{2} + \frac{1}{2}$
The IFRS for SMEs omits completely the requirements of IFRS which are specifically relevant to listed entities, for example , earnings per share and segmental reporting.	$\frac{1}{2} + \frac{1}{2}$
In addition, the subject matter included in the IFRS for SMEs has been simplified compared with full IFRS. For example , research and development costs are always expensed and non-current assets are never revalued.	$\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$
In general terms, the disclosures required by the IFRS for SMEs are considerably less burdensome than for full IFRS.	1
A further benefit is that the IFRS for SMEs is only updated once every three years, thus reducing the extent of change to financial reporting practice.	1
	<u>8</u>
	<u>20</u>

Diploma in International Financial Reporting

Friday 11 December 2015

**Time allowed**

Reading and planning: 15 minutes

Writing: 3 hours

ALL FOUR questions are compulsory and MUST be attempted.

Do NOT open this question paper until instructed by the supervisor.

During reading and planning time only the question paper may be annotated. You must NOT write in your answer booklet until instructed by the supervisor.

This question paper must not be removed from the examination hall.

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The question paper begins on page 3.

ALL FOUR questions are compulsory and MUST be attempted

- 1 Alpha's investments include two subsidiaries, Beta and Gamma. The draft statements of financial position of the three entities at 30 September 2015 were as follows:

	Alpha \$'000	Beta \$'000	Gamma \$'000
Assets			
Non-current assets:			
Property, plant and equipment (Notes 1 and 3)	380,000	355,000	152,000
Intangible assets (Note 1)	80,000	40,000	20,000
Investments (Notes 1, 3 and 4)	497,000	Nil	Nil
	<u>957,000</u>	<u>395,000</u>	<u>172,000</u>
Current assets:			
Inventories (Note 5)	100,000	70,000	65,000
Trade receivables (Note 6)	80,000	66,000	50,000
Cash and cash equivalents (Note 6)	10,000	15,000	10,000
	<u>190,000</u>	<u>151,000</u>	<u>125,000</u>
Total assets	<u>1,147,000</u>	<u>546,000</u>	<u>297,000</u>
Equity and liabilities			
Equity			
Share capital (50c shares)	150,000	200,000	120,000
Retained earnings (Notes 1 and 3)	498,000	186,000	60,000
Other components of equity (Notes 1, 3 and 4)	295,000	10,000	2,000
Total equity	<u>943,000</u>	<u>396,000</u>	<u>182,000</u>
Non-current liabilities:			
Provision (Note 7)	34,000	Nil	Nil
Long-term borrowings (Note 8)	60,000	50,000	45,000
Deferred tax	35,000	30,000	25,000
Total non-current liabilities	<u>129,000</u>	<u>80,000</u>	<u>70,000</u>
Current liabilities:			
Trade and other payables (Note 6)	50,000	55,000	35,000
Short-term borrowings	25,000	15,000	10,000
Total current liabilities	<u>75,000</u>	<u>70,000</u>	<u>45,000</u>
Total equity and liabilities	<u>1,147,000</u>	<u>546,000</u>	<u>297,000</u>

Note 1 – Alpha's investment in Beta

On 1 October 2012, Alpha acquired 300 million shares in Beta by means of a share exchange of one share in Alpha for every two shares acquired in Beta. On 1 October 2012, the market value of an Alpha share was \$2.40. Alpha incurred directly attributable costs of \$2 million on acquisition of Beta. These costs comprised:

- \$0.8 million – cost of issuing own shares, debited to Alpha's share premium account within other components of equity;
- \$1.2 million due diligence costs – included in the carrying amount of the investment in Beta in Alpha's own statement of financial position.

There has been no change to the carrying amount of this investment in Alpha's own statement of financial position since 1 October 2012.

On 1 October 2012, the individual financial statements of Beta showed the following reserves balances:

- Retained earnings \$125 million.
- Other components of equity \$10 million.

The directors of Alpha carried out a fair value exercise to measure the identifiable assets and liabilities of Beta at 1 October 2012. The following matters emerged:

- Plant and equipment having a carrying amount of \$295 million had an estimated market value of \$340 million. The estimated remaining useful economic life of this plant at 1 October 2012 was five years. None of this plant and equipment had been disposed of between 1 October 2012 and 30 September 2015.
- An in-process research and development project existed at 1 October 2012 but did not meet the recognition criteria of IAS 38 – *Intangible Assets*. The fair value of the research and development project at 1 October 2012 was \$20 million. The project started to generate economic benefits on 1 October 2013 over an estimated period of four years.

The above two fair value adjustments have not been reflected in the individual financial statements of Beta. In the consolidated financial statements, these fair value adjustments will be regarded as temporary differences for the purposes of computing deferred tax. The rate of deferred tax to apply to temporary differences is 20%.

Alpha uses the proportion of net assets method to calculate non-controlling interests in Beta.

Note 2 – Impairment review of goodwill on acquisition of Beta

No impairment of the goodwill on acquisition of Beta was evident when reviews were carried out on 30 September 2013 and 2014. On 30 September 2015, the directors of Alpha concluded that the recoverable amount of the net assets (including the goodwill) of Beta at that date was \$450 million. Beta is regarded as a single cash generating unit for the purpose of measuring goodwill impairment.

Note 3 – Alpha's investment in Gamma

On 1 October 2014, Alpha acquired 144 million shares in Gamma by means of a cash payment of \$125 million. Alpha incurred costs of \$1 million associated with this purchase and debited these costs to administrative expenses in its draft statement of profit or loss for the year ended 30 September 2015. There has been no change in the carrying amount of this investment in the financial statements of Alpha since 1 October 2014.

On 1 October 2014, the individual financial statements of Gamma showed the following reserves balances:

- Retained earnings \$45 million.
- Other components of equity \$2 million.

On 1 October 2014, the fair values of the net assets of Gamma were the same as their carrying amounts with the exception of some land which had a carrying amount of \$100 million and a fair value of \$130 million. This land continued to be an asset of Gamma at 30 September 2015. The fair value adjustment has not been reflected in the individual financial statements of Gamma. In the consolidated financial statements, the fair value adjustment will be regarded as a temporary difference for the purposes of computing deferred tax. The rate of deferred tax to apply to temporary differences is 20%.

There was no impairment of the goodwill arising on acquisition of Gamma in the consolidated financial statements at 30 September 2015.

Alpha uses the proportion of net assets method to calculate non-controlling interests in Gamma.

Note 4 – Other investments

Apart from its investments in Beta and Gamma, the investments of Alpha included in the statement of financial position at 30 September 2015 are all financial assets which Alpha measures at fair value though other comprehensive income. These other investments are correctly measured in accordance with IFRS 9 – *Financial Instruments*.

Note 5 – Intra-group sale of inventories

The inventories of Alpha and Gamma at 30 September 2015 included components purchased from Beta in the last three months of the financial year at a cost of \$20 million to Alpha and \$16 million to Gamma. Beta supplied these goods to both Alpha and Gamma at a mark-up of 25% on the cost to Beta.

Note 6 – Trade receivables and payables

Group policy is to clear intra-group balances on a given date prior to each year end. All group companies had complied with this policy at 30 September 2015, so at that date there were no outstanding intra-group balances.

Note 7 – Provision

On 30 September 2015, Alpha finalised the construction of an energy generating facility. The facility has an expected useful economic life of 25 years and Alpha has a legal requirement to decommission the facility at the end of its estimated useful life. The directors of Alpha estimated the costs of this decommissioning to be \$34 million – based on prices prevailing at 30 September 2040. At an appropriate discount rate the present value of the cost of decommissioning the facility is \$10 million. The directors of Alpha made a provision of \$34 million and charged this amount as an operating cost in the financial statements of Alpha for the year ended 30 September 2015.

Note 8 – Long-term borrowings

On 1 October 2014, Alpha issued 40 million \$1 bonds at par. The cost of issuing the bonds was \$1 million and this cost was charged as a finance cost for the year ended 30 September 2015. No interest is payable on the bonds but they are redeemable at a large premium which makes their effective finance cost 8% per annum. The bonds are included at a carrying amount of \$40 million in the statement of financial position of Alpha at 30 September 2015.

Required:

- (a) **Prepare the consolidated statement of financial position of Alpha at 30 September 2015. You need only consider the deferred tax implications of any adjustments you make where the question specifically refers to deferred tax.** (36 marks)
- (b) On 15 November 2015, Alpha purchased shares in Theta which gave Alpha a 45% shareholding in Theta. On the same date, Alpha purchased an option which gave Alpha the right to acquire an additional 10% of the shares in Theta from the existing shareholders. This option is exercisable at any time between 15 November 2015 and 30 September 2017 at a price which makes it highly likely the option will be exercised during that period. The directors of Alpha are unsure how to treat Theta in the consolidated financial statements for the year ended 30 September 2016.

Required:

Advise the directors of Alpha on the appropriate treatment of Theta in the consolidated financial statements for the year ended 30 September 2016 PRIOR to any exercising of the option. (4 marks)

(40 marks)

2 Delta is an entity which is engaged in the construction industry and prepares financial statements to 30 September each year. The financial statements for the year ended 30 September 2015 are shortly to be authorised for issue. The following events are relevant to these financial statements:

(a) On 1 October 2000, Delta purchased a large property for \$20 million and immediately began to lease the property to Epsilon on an operating lease. Annual rentals were \$2 million. On 30 September 2014, the fair value of the property was \$26 million. Under the terms of the lease, Epsilon was able to cancel the lease by giving six months' notice in writing to Delta. Epsilon gave this notice on 30 September 2014 and vacated the property on 31 March 2015. On 31 March 2015, the fair value of the property was \$29 million. On 1 April 2015, Delta immediately began to convert the property into ten separate flats of equal size which Delta intended to sell in the ordinary course of its business. Delta spent a total of \$6 million on this conversion project between 31 March 2015 and 30 September 2015. The project was incomplete at 30 September 2015 and the directors of Delta estimate that they need to spend a further \$4 million to complete the project, after which each flat could be sold for \$5 million. Delta uses the fair value model to measure property whenever permitted by International Financial Reporting Standards. (9 marks)

(b) On 1 August 2015, Delta purchased a machine from a supplier located in a country whose local currency is the groat. The agreed purchase price was 600,000 groats, payable on 31 October 2015. The asset was modified to suit Delta's purposes at a cost of \$30,000 during August 2015 and brought into use on 1 September 2015. The directors of Delta estimated that the useful economic life of the machine from date of first use was five years. Relevant exchange rates were as follows:

- 1 August 2015 – 2.5 groats to \$1.
- 1 September 2015 – 2.4 groats to \$1.
- 30 September 2015 – 2.0 groats to \$1.
- 31 October 2015 – 2.1 groats to \$1.

(7 marks)

(c) On 1 October 2014, Delta granted share options to 100 senior executives. The options vest on 30 September 2017. The number of options granted per executive depend on the cumulative revenue for the three years ended 30 September 2017. Each executive will receive options as follows:

Cumulative revenue for the three years ended 30 September 2017	Number of options PER EXECUTIVE
Less than \$180 million	Nil
At least \$180 million but less than or equal to \$270 million	200
More than \$270 million	300

Delta's revenue for the year ended 30 September 2015 was \$50 million. The directors of Delta have produced reliable budgets showing that the revenues of Delta for the next two years are likely to be:

- Year ended 30 September 2016 – \$65 million.
- Year ended 30 September 2017 – \$75 million.

On 1 October 2014, the fair value of these share options was \$3 per option. This figure had increased to \$3.60 per option by 30 September 2015 and was expected to be \$5 per option by 30 September 2017. All of the 100 executives who were granted the options on 1 October 2014 were expected to remain as employees throughout the three-year period from 1 October 2014 to 30 September 2017. (4 marks)

Required:

Explain and show how the three events would be reported in the financial statements of Delta for the year ended 30 September 2015.

Note: The mark allocation is shown against each of the three events above.

(20 marks)

- 3 (a) IFRS 15 *Revenue from Contracts with Customers* was issued in 2014 and replaces the previous international financial reporting standard relating to revenue.

Required:

- (i) **Identify the five steps which need to be followed by entities when recognising revenue from contracts with a customer.**
(ii) **Explain how IFRS 15 is expected to improve the financial reporting of revenue.** (5 marks)

- (b) Kappa prepares financial statements to 30 September each year. During the year ended 30 September 2015, Kappa entered into the following transactions:

- (i) On 1 September 2015, Kappa sold a machine to a customer. Kappa also agreed to service the machine for a two-year period from 1 September 2015 for no additional charge. The total amount payable by the customer for this arrangement was agreed to be:
- \$800,000, if the customer paid by 31 December 2015.
 - \$810,000, if the customer paid by 31 January 2016.
 - \$820,000, if the customer paid by 28 February 2016.

The directors of Kappa consider that it is highly probable the customer will pay for the products in January 2016. The stand alone selling price of the machine was \$700,000 and Kappa would normally expect to receive \$140,000 in consideration for providing two years' servicing of the machine. The alternative amounts receivable are to be treated as variable consideration. (10 marks)

- (ii) On 20 September 2015, Kappa sold 100 identical items to a customer for \$2,000 each. The items cost Kappa \$1,600 each to manufacture. The terms of sale are that the customer has the right to return the goods for a full refund within three months. After the three-month period has expired the customer can no longer return the goods and payment becomes immediately due. Kappa has entered into transactions of this type with this customer previously and can reliably estimate that 4% of the products are likely to be returned within the three-month period. (5 marks)

Required:

Explain and show how both these transactions would be reported in the financial statements of Kappa for the year ended 30 September 2015.

Note: The mark allocation is shown against both of the two transactions above.

(20 marks)

- 4 You are the financial controller of Omega, a listed company which prepares consolidated financial statements in accordance with International Financial Reporting Standards (IFRS). Your managing director, who is not an accountant, has recently attended a seminar and has raised two questions for you concerning issues discussed at the seminar:
- (a) One of the delegates at the seminar was a director of an entity which is involved in the exploration for, and evaluation of, mineral resources. This delegate told me that under IFRS rules it is possible for individual entities to develop their own policies for when to recognise the costs of exploration for and evaluation of mineral resources as assets. This seems very strange to me. Surely IFRS requires consistent treatment for all tangible and intangible assets so that financial statements are comparable. Please explain the position to me and outline the relevant requirements of IFRS regarding accounting for exploration and evaluation expenditures. (10 marks)
- (b) Another delegate was discussing the fact that the entity of which she is a director is relocating its head office staff to a more suitable site and intends to sell its existing head office building. Apparently the existing building was advertised for sale on 1 July 2015 and the entity anticipates selling it by 31 December 2015. The year end of the entity is 30 September 2015. The delegate stated that in certain circumstances buildings which are intended to be sold are treated differently from other buildings in the financial statements. Please outline under what circumstances buildings which are being sold are treated differently and also what that different treatment is. (10 marks)

Required:

Provide answers to the questions raised by the managing director.

Note: The mark allocation is shown against each of the two questions above.

(20 marks)

End of Question Paper

Answers

Marks

1 (a) Consolidated statement of financial position of Alpha at 30 September 2015

Assets	\$'000	
Non-current assets:		
Property, plant and equipment (380,000 + 355,000 + 152,000 + 18,000 (W1) + 30,000 (W2) + 10,000 (re: provision))	945,000	$\frac{1}{2} + \frac{1}{2} + \frac{1}{2} + \frac{1}{2}$
Intangible assets (80,000 + 40,000 + 20,000 + 10,000 (W1))	150,000	$\frac{1}{2} + \frac{1}{2}$
Goodwill (W3)	39,500	11 (W3)
Other investments (W8)	10,800	2 (W8)
	<u>1,145,300</u>	
Current assets:		
Inventories (100,000 + 70,000 + 65,000 – 7,200 (unrealised profit))	227,800	$\frac{1}{2} + \frac{1}{2}$
Trade receivables (80,000 + 66,000 + 50,000)	196,000	$\frac{1}{2}$
Cash and cash equivalents (10,000 + 15,000 + 10,000)	35,000	$\frac{1}{2}$
	<u>458,800</u>	
Total assets	<u><u>1,604,100</u></u>	
Equity and liabilities		
Equity attributable to equity holders of the parent		
Share capital	150,000	$\frac{1}{2}$
Retained earnings (W6)	515,180	11 (W6)
Other components of equity (W7)	295,000	1 (W7)
	<u>960,180</u>	
Non-controlling interest (W4)	185,200	$1\frac{1}{2}$ (W5)
Total equity	<u>1,145,380</u>	
Non-current liabilities:		
Provision	10,000	$\frac{1}{2}$
Long-term borrowings (60,000 + 50,000 + 45,000 + 2,120 (W6))	157,120	$\frac{1}{2} + \frac{1}{2}$
Deferred tax (W9)	101,600	$1\frac{1}{2}$ (W9)
Total non-current liabilities	<u>268,720</u>	
Current liabilities:		
Trade and other payables (50,000 + 55,000 + 35,000)	140,000	$\frac{1}{2}$
Short-term borrowings (25,000 + 15,000 + 10,000)	50,000	$\frac{1}{2}$
Total current liabilities	<u>190,000</u>	36
Total equity and liabilities	<u><u>1,604,100</u></u>	

WORKINGS – DO NOT DOUBLE COUNT MARKS. ALL NUMBERS IN \$'000 UNLESS OTHERWISE STATED.

Working 1 – Net assets table – Beta:

	1 October 2012 \$'000	30 September 2015 \$'000	For W3	For W6
Share capital	200,000	200,000	1/2	
Retained earnings:				
Per accounts of Beta	125,000	186,000	1/2	1/2
Plant fair value adjustment	45,000	45,000	1/2	
Extra depreciation due to fair value adjustment (45,000 x 3/5)		(27,000)		1/2
Research project fair value adjustment	20,000	20,000	1/2	1/2
Extra amortisation due to fair value adjustment (20,000 x 2/4)		(10,000)		1/2 + 1/2
Unrealised profit on intra-group sales (1/5 x 36,000)		(7,200)		1/2 + 1/2
Other components of equity	10,000	10,000	1/2	
Deferred tax on fair value adjustments (20%)	(13,000)	(5,600)	1/2	1/2
Net assets for the consolidation	<u>387,000</u>	<u>411,200</u>		
The post-acquisition increase in net assets is 24,200 (411,200 – 387,000).				1/2
			<u>3</u>	<u>4 1/2</u>
			⇒W3	⇒W6

Working 2 – Net assets table – Gamma:

	1 October 2014 \$'000	30 September 2015 \$'000	For W3	For W6
Share capital	120,000	120,000	1/2	
Retained earnings:	45,000	60,000	1/2	1/2
Land adjustment	30,000	30,000	1/2	1/2
Other components of equity	2,000	2,000	1/2	
Deferred tax on fair value adjustment (20% x 30,000)	(6,000)	(6,000)	1/2	1/2
Net assets for the consolidation	<u>191,000</u>	<u>206,000</u>		
The post-acquisition increase in net assets is 15,000 (206,000 – 191,000).				1/2
			<u>2 1/2</u>	<u>2</u>
			⇒W3	⇒W6

Working 3 – Goodwill on consolidation

	Beta \$'000	Gamma \$'000	
Costs of investment:			
Shares issued to acquire Beta (150,000 x \$2.40)	360,000		1
Cash paid to acquire shares in Gamma		125,000	1/2
Non-controlling interests at date of acquisition:			
Beta – 25% x 387,000 (W1)	96,750		1/2 + 1/2
Gamma – 40% x 191,000 (W2)		76,400	
Net assets at date of acquisition (W1/W2)	<u>(387,000)</u>	<u>(191,000)</u>	3 (W1) + 2 1/2 (W2)
Goodwill before impairment	69,750	10,400	
Impairment of Beta goodwill (W4)	<u>(40,650)</u>	<u>Nil</u>	3 (W4)
	<u>29,100</u>	<u>10,400</u>	<u>11</u>

The total goodwill is 39,500 (29,100 + 10,400).

Marks

Working 4 – Impairment of Beta goodwill

	\$'000	
Net assets of Beta as per the consolidated financial statements (W1)	411,200	1/2
Grossed up goodwill on acquisition ($100/75 \times 69,750$)	93,000	1
	<u>504,200</u>	
Recoverable amount of Beta as a CGU	(450,000)	1/2
So gross impairment equals	<u>54,200</u>	1/2
75% thereof equals	<u>40,650</u>	1/2
		<u>3 W3</u>

Working 5 – Non-controlling interest (proportion of net assets method)

	Beta \$'000	Gamma \$'000	
Net assets at 30 September 2015 (W1/2)	<u>411,200</u>	<u>206,000</u>	1/2
Non-controlling interest (25%/40%)	<u>102,800</u>	<u>82,400</u>	1/2 + 1/2
			<u>1 1/2</u>

The total NCI is 185,200 (102,800 + 82,400).

Working 6 – Retained earnings

	\$'000	
Alpha	498,000	1/2
Adjustment for acquisition costs of Beta	(1,200)	1/2
Adjustment for decommissioning provision	34,000	1/2
Adjustment for finance cost on zero-coupon bond ($8\% \times (40,000 - 1,000) - 1,000$)	(2,120)	1 + 1/2
Beta ($75\% \times 24,200$ (W1))	18,150	1/2 + 4 1/2 (W1)
Gamma ($60\% \times (15,000$ (W2))	9,000	1/2 + 2 (W2)
Impairment of Beta goodwill (W4)	<u>(40,650)</u>	1/2 (W4)
	<u>515,180</u>	<u>11</u>

Working 7 – Other components of equity

	\$'000	
Alpha – per own financial statements	295,000	1/2
Beta and Gamma – post acquisition only	Nil	1/2
	<u>295,000</u>	<u>1</u>

Working 8 – 'Other investments' of Alpha

	\$'000	
Investments figure per Alpha statement of financial position	497,000	1/2
<i>Deduct:</i> investments to be eliminated on consolidation		
Shares issued to acquire Beta (W3)	(360,000)	1/2
Due diligence costs on Beta acquisition	(1,200)	1/2
Cash paid to acquire Gamma (W3)	<u>(125,000)</u>	1/2
Carrying value of remaining investments	<u>10,800</u>	<u>2</u>

Working 9 – Deferred tax

	\$'000	
Alpha + Beta + Gamma	90,000	1/2
On fair value adjustments in Beta (W1)	5,600	1/2
On fair value adjustments in Gamma (W2)	<u>6,000</u>	1/2
	<u>101,600</u>	<u>1 1/2</u>

	Marks
(b) Advice on appropriate treatment of Theta	
According to IFRS 10 – Consolidated Financial Statements – Theta is a subsidiary of Alpha if Alpha controls Theta.	½ + ½
A key aspect of determining control is considering whether Alpha has power to direct the relevant activities of Theta. Based on its current shareholding, Alpha cannot exercise that power by voting rights as Alpha owns only 45% of the shares.	½ + ½
However, IFRS 10 states that where potential voting rights (e.g. share options) are currently exercisable, they should be taken into account in considering whether control exists.	1
If Alpha exercised its options, this would take its total shareholding in Theta to 55%. On this basis, the directors of Alpha should regard Theta as a subsidiary.	1
	<u>4</u>
	40
2 (a) From 1 October 2000, the property would be regarded as an investment property since it is being held for its investment potential rather than being owner occupied or developed for sale.	½ + ½
The property would be measured under the fair value model . This means it will be measured at its fair value each year end, with any gains or losses on remeasurement recognised in profit or loss .	½ + ½
On 31 March 2015, the property ceases to be an investment property because Delta begins to develop it for sale as flats.	½ + ½
The increase in the fair value of the property from 30 September 2014 to 31 March 2015 of \$3 million (\$29 million – \$26 million) would be recognised in P/L for the year ended 30 September 2015.	½ + ½
Since the lease of the property is an operating lease, rental income of \$1 million ((\$2 million x 6/12) would be recognised in P/L for the year ended 30 September 2015.	½ + ½
When the property ceases to be an investment property, it is transferred into inventory at its then fair value of \$29 million. This becomes the initial 'cost' of the inventory.	½ + ½
The additional costs of \$6 million for developing the flats which were incurred up to and including 30 September 2015 would be added to the 'cost' of inventory to give a closing cost of \$35 million .	½
The total selling price of the flats is expected to be \$50 million (10 x \$5 million). Since the further costs to develop the flats total \$4 million , their net realisable value is \$46 million (\$50 million – \$4 million), so the flats will be measured at a cost of \$35 million.	½ + ½ + ½ + ½
The flats will be shown in inventory as a current asset .	½
	<u>9</u>
(b) The machine and the associated liability would be recorded in the financial statements using the rate of exchange in force at the transaction date – 2.5 groats to \$1. Therefore the initial carrying amount of both items is \$240,000 (600,000/2.5).	1
The liability is a monetary item so it would be retranslated at the year end of 30 September 2015 using the closing rate of 2 groats to \$1 at \$300,000 (600,000/2) and shown as a current liability .	1 + ½
The exchange difference of \$60,000 (\$300,000 – \$240,000) is recognised in profit or loss – in this case a loss.	1
The machine is a non-monetary asset measured under the cost model and so is not retranslated as the exchange rate changes.	1
The modification costs of \$30,000 are added to the cost of the machine to give a total cost figure of \$270,000.	½
The machine is depreciated from 1 September 2015 (the date it is brought into use) and so the depreciation for the year ended 30 September 2015 is \$4,500 (\$270,000 x 1/5 x 1/12).	1
The machine will be shown as a non-current asset at a closing carrying value of \$265,500 (\$270,000 – \$4,500).	1
	<u>7</u>

		Marks
(c)	This equity settled share based payment arrangement should be measured using the fair value of an option on the grant date – \$3·00 in this case.	1
	The revenue for the year ended 30 September 2015, plus the expected revenue for the next two years, indicates that the cumulative revenue for the three years ended 30 September 2017 is likely to be \$190 million. Therefore the number of options vesting for each director is likely to be 200.	1
	This means that the charge to P/L for the year ended 30 September 2015 should be \$20,000 (100 x 200 x \$3·00 x 1/3).	1
	The credit entry should be to other components of equity.	1
		<u>4</u>
		<u>20</u>
3	(a) (i) The five steps to be followed are to:	
	Identify the contract(s) with the customer.	1/2
	Identify the performance obligations the contract(s) create.	1/2
	Determine the transaction price.	1/2
	Allocate the transaction price to the separate performance obligations.	1/2
	Recognise the revenue associated with each performance obligation as the performance obligation is satisfied.	1/2
	(ii) The IASB issued IFRS 15 because the existing criteria for revenue recognition outlined in IASs 11 and 18 were considered to be very subjective . Therefore it was difficult to verify the accuracy of the reported figures for revenue and associated costs.	1/2 + 1/2
	One of the fundamental qualitative characteristics of useful financial information which is referred to in the IASB Conceptual Framework is faithful representation . Information needs to be verifiable in order to ensure it meets this fundamental characteristic. IFRS 15 provides a more robust framework upon which to base the revenue recognition decision, thus increasing the verifiability of the revenue figure and hence its usefulness.	1/2 + 1/2 + 1/2
		<u>5</u>
(b)	(i) Kappa has TWO performance obligations – to provide the machine and provide the servicing.	1
	The total transaction price consists of a fixed element of \$800,000 and a variable element of \$10,000 or \$20,000.	1
	The variable element should be included in the transaction price based on the probability of its occurrence. Therefore a variable element of \$10,000 should be included and the total transaction price will be \$810,000.	1
	The transaction price should be allocated to the performance obligations based on their stand alone fair values. In this case, these are \$700,000:\$140,000 or 5:1.	1
	Therefore \$675,000 (\$810,000 x 5/6) should be allocated to the obligation to supply the machine and \$135,000 (\$810,000 x 1/6) to the obligation to provide two years' servicing of the machine.	1/2 + 1/2
	The obligation to supply the machine is satisfied fully in the year ended 30 September 2015 and so revenue of \$675,000 in respect of this supply should be recognised.	1
	Only 1/24 of the obligation to provide the servicing is satisfied in the year ended 30 September 2015 and so revenue of \$5,625 (\$135,000 x 1/24) in respect of this supply should be recognised.	1
	On 30 September 2015, Kappa will recognise a receivable of \$810,000 based on the expected transaction price. This will be reported as a current asset .	1/2
	On 30 September 2015, Kappa will recognise deferred income of \$129,375 (\$810,000 – \$675,000 – \$5,625). \$67,500 (\$129,375 x 12/23) of this amount will be shown as a current liability. The balance of \$61,875 (\$129,375 – \$67,500) will be non-current.	1/2
		1/2 + 1/2 + 1/2 + 1/2
		<u>10</u>
	(ii) When the customer has a right to return products, the transaction price contains a variable element.	1
	Since this can be reliably measured, it is taken account of in measuring the revenue and the total revenue will be \$192,000 (96 x \$2,000).	1

	Marks
\$200,000 (100 x \$2,000) will be recognised as a trade receivable.	1
\$8,000 (\$200,000 – \$192,000) will be recognised as a refund liability. This will be shown as a current liability.	1
The total cost of the goods sold is \$160,000 (100 x \$1,600). Of this amount, only \$153,600 (96 x \$1,600) will be shown as a cost of sale. The other \$6,400 (\$160,000 – \$153,600) will be shown as a right of return asset under current assets.	1
	<u>5</u>
	<u>20</u>
4 (a) Expenditure on the exploration for, and evaluation of, mineral resources is excluded from the scope of standards which might be expected to provide guidance in this area. Specifically such expenditure is not covered by IAS 16 – Property, Plant and Equipment – or IAS 38 – Intangible Assets .	$\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$
This has meant that, in the absence of any alternative pronouncements, entities would determine their accounting policies for exploration and evaluation expenditures in accordance with the general requirements of IAS 8 – Accounting Policies, Changes in Accounting Estimates and Errors . This could lead to considerable divergence of practice given the diversity of relevant requirements of other standard setting bodies.	$\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$
Given other pressures on its time and resources, the International Accounting Standards Board (IASB) decided in 2002 that it was not able to develop a comprehensive standard in the immediate future.	1
However, recognising the importance of accounting for extractive industries generally the IASB issued IFRS 6 – <i>Exploration for and Evaluation of Mineral Resources</i> – to achieve some level of standardisation of practice in this area.	1
IFRS 6 requires relevant entities to determine a policy specifying which expenditures are recognised as exploration and evaluation assets and apply the policy consistently .	$\frac{1}{2} + \frac{1}{2}$
When recognising exploration and evaluation assets, entities shall consistently classify them as tangible or intangible according to their nature.	1
Subsequent to initial recognition, entities should consistently apply the cost model or the revaluation model to exploration and evaluation assets.	1
If the revaluation model is used, it should be applied according to IAS 16 (for tangible assets) or IAS 38 (for intangible assets).	1
Where circumstances suggest that the carrying amount of an exploration and evaluation asset may exceed its recoverable amount, such assets should be reviewed for impairment. Any impairment loss should basically be measured, presented and disclosed in accordance with IAS 36 – <i>Impairment of Assets</i> .	1
	<u>10</u>
(b) The accounting treatment of buildings to be sold is governed by IFRS 5 – <i>Non-Current Assets Held for Sale and Discontinued Operations</i> .	$\frac{1}{2}$
A building would be classified as held for sale if its carrying amount will be recovered principally through a sale transaction, rather than through continuing use.	$\frac{1}{2}$
For this to be the case, the asset must be available for immediate sale in its present condition. Also management must be committed to a plan to sell the asset and an active programme to locate a buyer must have been initiated. Further, the asset must be actively marketed for sale at a reasonable price. In addition, the sale should be expected to be completed within one year of the date of classification as held for sale (although there are certain circumstances in which the one-year period can be extended). Finally it should be unlikely that significant changes to the plan will be made or that the plan will be withdrawn .	$\frac{1}{2} + \frac{1}{2} + \frac{1}{2} + \frac{1}{2}$ $+ \frac{1}{2} + \frac{1}{2} + \frac{1}{2}$ $+ \frac{1}{2} + \frac{1}{2} + \frac{1}{2}$
Immediately prior to being classified as held for sale, assets should be stated (or re-stated) at their current carrying amount under relevant International Financial Reporting Standards. Assets then classified as held for sale should be measured at the lower of their current carrying amount and their fair value less costs to sell . Any write down of the assets due to this process would be regarded as an impairment loss and treated in accordance with IAS 36 – <i>Impairment of Assets</i> .	$\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$ $+ \frac{1}{2} + \frac{1}{2} + \frac{1}{2}$

Assets classified as held for sale should be presented separately from other assets in the statement of financial position

Marks

1

10

20

Diploma in International Financial Reporting

Friday 10 June 2016



Time allowed

Reading and planning: 15 minutes

Writing: 3 hours

ALL FOUR questions are compulsory and MUST be attempted.

Do NOT open this question paper until instructed by the supervisor.

During reading and planning time only the question paper may be annotated. You must NOT write in your answer booklet until instructed by the supervisor.

This question paper must not be removed from the examination hall.

REF
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Think Ahead

ACCA

The Association of
Chartered Certified
Accountants

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The question paper begins on page 3.

ALL FOUR questions are compulsory and MUST be attempted

- 1 Alpha's investments include subsidiaries, Beta and Gamma. The statements of profit or loss and other comprehensive income and summarised statements of changes in equity of the three entities for the year ended 31 March 2016 were as follows:

Statements of profit or loss and other comprehensive income

	Alpha \$'000	Beta \$'000	Gamma \$'000
Revenue (Notes 3 and 4)	360,000	210,000	190,000
Cost of sales (Notes 1–3)	(240,000)	(110,000)	(100,000)
Gross profit	120,000	100,000	90,000
Distribution costs	(20,000)	(16,000)	(15,000)
Administrative expenses	(30,000)	(19,000)	(18,000)
Investment income (Notes 5 and 6)	19,800	Nil	Nil
Finance costs (Note 7)	(12,000)	(17,000)	(13,000)
Profit before tax	77,800	48,000	44,000
Income tax expense	(15,000)	(12,000)	(11,000)
Profit for the year	62,800	36,000	33,000
Other comprehensive income:			
Items that will not be reclassified to profit or loss			
Gains/(losses) on financial assets designated at fair value through other comprehensive income (Note 5)	Nil	Nil	Nil
Total comprehensive income	62,800	36,000	33,000

Summarised statements of changes in equity

Balance on 1 April 2015	200,000	150,000	130,000
Comprehensive income for the year	62,800	36,000	33,000
Dividends paid on 31 December 2015	(30,000)	(12,000)	(11,000)
Balance on 31 March 2016	232,800	174,000	152,000

Note 1 – Alpha's investment in Beta

On 1 April 2004, Alpha acquired 80% of the equity shares of Beta and gained control of Beta. Alpha paid \$64 million in cash for these shares.

On 1 April 2004, the net assets of Beta had a fair value of \$70 million. None of the assets and liabilities of Beta which existed on 1 April 2004 were still assets or liabilities of Beta on 31 March 2015.

Alpha measured the non-controlling interest in Beta using the proportion of net assets method. The resulting goodwill on acquisition of Beta was correctly recognised in the consolidated financial statements of Alpha. No impairment of goodwill on acquisition of Beta has been necessary up to and including 31 March 2015.

On 31 March 2016, the annual impairment review of the goodwill on acquisition of Beta indicated that the recoverable amount of the total net assets of Beta (including the goodwill) at that date was \$180 million. Beta is regarded as a single cash generating unit for impairment purposes. Any impairment of goodwill should be charged to cost of sales.

Note 2 – Alpha's investment in Gamma

On 1 October 2015, Alpha acquired 60% of the equity shares in Gamma and gained control of Gamma. Gamma had 50 million equity shares in issue on 1 October 2015 and has not issued any new shares since that date. The acquisition was financed as follows:

- Alpha issued two new shares to the former shareholders of Gamma for every three shares Alpha acquired in Gamma. On 1 October 2015, the fair value of an equity share in Alpha was \$2.80 and the fair value of an equity share in Gamma was \$3.70.

- Alpha agreed to pay a total of \$24.2 million to the former shareholders of Gamma on 30 September 2017. Alpha's incremental borrowing rate at 1 October 2015 was 10% per annum.
- Alpha agreed to pay a further amount to the former shareholders of Gamma on 31 December 2019 if the cumulative profits of Gamma for the four-year period from 1 October 2015 to 30 September 2019 exceed \$150 million. On 1 October 2015, the fair value of this obligation was measured at \$40 million. On 31 March 2016, this fair value was remeasured at \$42 million.

Alpha has resolved to use the fair value method for measuring the non-controlling interest when recognising the goodwill on acquisition of Gamma. The fair value of an equity share in Gamma on 1 October 2015 can be used for this purpose. No impairment of the goodwill on acquisition of Gamma is necessary in the consolidated financial statements of Alpha for the year ended 31 March 2016.

On 1 October 2015, the fair values of the net assets of Gamma were the same as their carrying amounts in the financial statements of Gamma with the exception of:

- Property – whose fair value exceeded the carrying amount by \$25 million (\$10 million of this excess relates to land). The estimated remaining useful life of the buildings element of the property at 1 October 2015 was 20 years.
- Plant and equipment – whose fair value exceeded the carrying amount by \$8 million. The estimated remaining useful life of the plant and equipment of Gamma at 1 October 2015 was four years.

All depreciation of property, plant and equipment is charged to cost of sales. You can assume that the profit of Gamma for the year ended 31 March 2016 accrued evenly over the year.

Note 3 – Intra-group trading

Alpha supplies a component used by both Beta and Gamma. Alpha earns a profit margin of 10% on these supplies. Details of the sales of the component, and the holdings of inventory of the component by group entities, are as follows:

	Beta \$'000	Gamma \$'000
Sales of the component (for Gamma all sales since 1 October 2015)	15,000	8,000
Inventory of component at 31 March 2015 (at cost to Beta/Gamma)	2,000	Nil
Inventory of component at 31 March 2016 (at cost to Beta/Gamma)	3,000	2,800

Note 4 – Revenue of Alpha

On 1 October 2015, Alpha sold a large machine to a customer for a total price of \$51.2 million and credited \$51.2 million to revenue. As part of the sales agreement, Alpha agreed to provide annual servicing of the machine for four years from 1 October 2015 for no additional payment. The normal selling price of this without any annual servicing would have been \$60 million and Alpha would normally charge the customer an annual fee of \$1 million to service the machine. You should ignore the time value of money in respect of this transaction.

Note 5 – Alpha's other investment

Apart from its investments in Beta and Gamma, Alpha has one other investment – in entity X. Alpha purchased this equity investment on 1 July 2015 for \$40 million and designated the investment as fair value through other comprehensive income. In order to protect against a prolonged decline in the fair value of the investment in entity X, Alpha purchased a put option to sell this investment. The cost of the option was \$6 million and the option was regarded as an effective hedge against a prolonged decline in the fair value of the investment in entity X. On 31 March 2016, the fair value of the equity investment in entity X was \$37 million and the fair value of the put option was \$8.7 million. Apart from recognising the investment in entity X and the put option at cost, Alpha has made no other entries in its draft financial statements. Alpha wishes to use hedge accounting whenever permitted by International Financial Reporting Standards.

Note 6 – Investment income

All of the investment income of Alpha has been correctly recognised in the individual financial statements of Alpha.

Note 7 – Bond issue

On 1 April 2015, Alpha issued a convertible zero-coupon bond to a single institutional investor. The bond was issued for total proceeds of \$250 million and will be redeemed or converted into equity shares on 31 March 2020. If the

investor chooses to redeem the bond on 31 March 2020, the investor will receive \$362.32million. The incremental borrowing rate of Alpha on 1 April 2015 is 10% per annum. The present value of \$1 received in five years at a discount rate of 10% per annum is 62.1 cents.

Required:

- (a) Using the information in notes 1 and 2, compute the goodwill arising on the acquisitions of Beta at 1 April 2004 and Gamma at 1 October 2015. (8 marks)
- (b) Prepare the consolidated statement of profit or loss and other comprehensive income of Alpha for the year ended at 31 March 2016. You do not need to consider the deferred tax effects of any adjustments you make. (25 marks)
- (c) Prepare the summarised consolidated statement of changes in equity of Alpha for the year ended 31 March 2016, including a column for the non-controlling interest. (7 marks)

Note: You should show all workings to the nearest \$'000.

(40 marks)

- 2 Delta is an entity which prepares financial statements to 31 March each year. Each year the financial statements are authorised for issue on 20 May. The following events are relevant to the year ended 31 March 2016:

Event (a)

On 1 April 2014, Delta granted 2,000 employees 1,000 share options each. The options are due to vest on 31 March 2017 provided the relevant employees remain in employment over the three-year period ending on 31 March 2017.

On 1 April 2014, the directors of Delta estimated that 1,800 employees would qualify for the options on 31 March 2017. This estimate was amended to 1,850 employees on 31 March 2015, and further amended to 1,840 employees on 31 March 2016.

On 1 April 2014, the fair value of an option was \$1.20. The fair value increased to \$1.30 by 31 March 2015 but, due to challenging trading conditions, the fair value declined after 31 March 2015. On 30 September 2015, when the fair value of an option was 90 cents, the directors repriced the options and this caused the fair value to increase to \$1.05. Trading conditions improved in the second half of the year and by 31 March 2016 the fair value of an option was \$1.25. Any additional costs that have occurred as a result of the repricing of the options on 30 September 2015 should be spread over the remaining vesting period from 30 September 2015 to 31 March 2017. (9 marks)

Event (b)

On 1 August 2015, Delta supplied some products it had manufactured to customer C. The products were faulty and on 1 October 2015 C commenced legal action against Delta claiming damages in respect of losses due to the supply of the faulty products. Upon investigating the matter, Delta discovered that the products were faulty due to defective raw materials supplied to Delta by supplier S. Therefore on 1 December 2015, Delta commenced legal action against S claiming damages in respect of the supply of defective materials. Since that date Delta has consistently estimated that it is probable that both of the legal actions, the action of C against Delta and the action of Delta against S, will succeed.

On 1 October 2015, Delta estimated that the damages Delta would have to pay to C would be \$5 million. This estimate was updated to \$5.2 million as at 31 March 2016 and \$5.25 million as at 15 May 2016. This case was eventually settled on 1 June 2016, when Delta was required to pay damages of \$5.3 million to C.

On 1 December 2015, Delta estimated that they would receive damages of \$3.5 million from S. This estimate was updated to \$3.6 million as at 31 March 2016 and \$3.7 million as at 15 May 2016. This case was eventually settled on 1 June 2016, when S was required to pay damages of \$3.75 million to Delta. (6 marks)

Event (c)

On 1 June 2015, the spouse of one of the directors of Delta purchased a controlling interest in entity X, a long-standing customer of Delta. Sales of products from Delta to entity X in the two-month period from 1 April 2015 to 31 May 2015 totalled \$800,000. Following the share purchase by the spouse of one of the directors of Delta on 1 June 2015, Delta began to supply the products at a discount of 20% to their normal selling price and allow entity X three months' credit (previously entity X was only allowed one month's credit, Delta's normal credit policy). Sales of products from Delta to entity X in the ten-month period from 1 June 2015 to 31 March 2016 totalled \$6 million. On 31 March 2016, the trade receivables of Delta included \$1.8 million in respect of amounts owing by entity X. (5 marks)

Required:

Explain and show (where possible by quantifying amounts) how the three events would be reported in the financial statements of Delta for the year ended 31 March 2016.

Note: The mark allocation is shown against each of the three events above. You should assume that all amounts described here are material. When discussing event (a), you are not required to consider disclosure requirements.

(20 marks)

- 3 (a)** A deferred tax liability is the amount of income tax payable in respect of taxable temporary differences. A deferred tax asset is the amount of income tax recoverable in future periods in respect of deductible temporary differences. A temporary difference is the difference between the carrying amount of an asset or liability in the statement of financial position and its tax base.

Required:

- (i) **Define the tax base of an asset as outlined in IAS 12 – *Income Taxes*. Use your definition to compute the tax base of the following assets:**
- **A machine was purchased during the current accounting period for \$250,000. Depreciation of \$50,000 was charged in arriving at the accounting profit for the current period. A deduction of \$100,000 was given against taxable profits by the local tax authorities against the taxable profits of the current period. The remaining cost will be deductible in future periods, either as depreciation or as a deduction on disposal.**
 - **A current asset of \$60,000 relates to interest receivable. The related interest revenue will be taxed on a cash basis when it is received.** (4 marks)
- (ii) **Define the tax base of a liability as outlined in IAS 12. Use your definition to compute the tax base of the following liabilities:**
- **\$120,000 is included in trade payables. This amount relates to purchases which qualified for a tax deduction when the purchase was made.**
 - **\$40,000 is included in accrued liabilities. A tax deduction relating to this liability will be given when the liability is settled.** (4 marks)
- (b)** Epsilon prepares financial statements to 31 March each year. The rate of income tax applicable to Epsilon is 20%. The following information relates to transactions, assets and liabilities of Epsilon during the year ended 31 March 2016:
- (i) Epsilon has an investment property which it carries under the fair value model. The property originally cost \$30 million. The property had an estimated fair value of \$35 million on 31 March 2015 and \$38 million on 31 March 2016. In the tax jurisdiction in which Epsilon operates, gains on the fair value of investment properties are not subject to income tax until the properties are disposed of.
- (ii) Epsilon has a 40% shareholding in Lambda. Epsilon purchased this shareholding for \$45 million. The shareholding gives Epsilon significant influence over Lambda but not control and therefore Epsilon accounts for its interest in Lambda using the equity method. The equity method carrying value of Epsilon's investment in Lambda was \$70 million on 31 March 2015 and \$75 million on 31 March 2016. In the tax jurisdiction in which Epsilon operates, profits recognised under the equity method are taxed if and when they are distributed as a dividend or the relevant investment is disposed of.
- (iii) Epsilon measures its head office property using the revaluation model. The property is revalued every year on 31 March. On 31 March 2015, the carrying value of the property (after revaluation) was \$40 million and its tax base was \$22 million. During the year ended 31 March 2016, Epsilon charged depreciation in its statement of profit or loss of \$2 million and claimed a tax deduction for tax depreciation of \$1.25 million. On 31 March 2016, the property was revalued to \$45 million. In the tax jurisdiction in which Epsilon operates, revaluation of property, plant and equipment does not affect taxable income at the time of revaluation.

Required:

Assuming that there are no other temporary differences other than those indicated above, compute:

- **The deferred tax liability of Epsilon at 31 March 2016.**
- **The charge or credit to both profit or loss and other comprehensive income relating to deferred tax for the year ended 31 March 2016.**

You should include brief explanations to support your computations.

(12 marks)

(20 marks)

- 4 You are the financial controller of Omega, a listed entity which prepares consolidated financial statements in accordance with International Financial Reporting Standards (IFRS). The managing director, who is not an accountant, has recently attended a business seminar at which financial reporting issues were discussed. Following the seminar, she reviewed the financial statements of Omega for the year ended 31 March 2016. Based on this review she has prepared a series of queries relating to those statements:

Query One

'One of the issues discussed at the seminar was 'impairment of financial assets'. On reviewing our financial statements I have noticed that we have two types of financial assets – Type A (those measured at amortised cost) and Type B (those measured at 'fair value through profit or loss'). It appears we carry out impairment reviews of Type A assets but not Type B assets. Please explain to me why this is the case and also please explain exactly how an impairment review of Type A assets is carried out.'

(8 marks)

Query Two

'Another issue discussed at the seminar was financial reporting by farming entities. The issue of 'biological assets' was mentioned. I don't really understand what these are or how they're recognised and measured in the financial statements. Please explain this to me.'

(5 marks)

Query Three

'During a break-out session I heard someone talking about accounting policies and accounting estimates. He said that when there's a change of these items sometimes the change is made retrospectively and sometimes it's made prospectively. Please explain the difference between an accounting policy and an accounting estimate and give me an example of each. Please also explain the difference between retrospective and prospective adjustments and how this applies to accounting policies and accounting estimates.'

(7 marks)

Required:

Provide answers to the three questions raised by the managing director. Your answers should refer to relevant provisions of International Financial Reporting Standards.

Note: The mark allocation is shown against each of the three issues above.

(20 marks)

End of Question Paper

Answers

Marks

1 (a) Computation of goodwill on acquisition of Beta and Gamma

	\$'000	\$'000	Explanations (where needed)	
Beta				
Cost of investment:				
Cash paid		64,000		1/2
Non-controlling interest at the date of acquisition		14,000	20% of the net assets	1
Net assets at the date of acquisition		(70,000)		1/2
Goodwill on acquisition of Beta		<u>8,000</u>		
Gamma				
Cost of investment:				
Share exchange	56,000		50 million x 60% x 2/3 = 20 million shares issued at \$2.80	1
Deferred cash consideration	20,000		\$24.2 million/(1.10) ² – the present value of the cash payable	1
Contingent consideration	<u>40,000</u>		Measured at fair value at the date of acquisition	1
		116,000		
Non-controlling interest at the date of acquisition		<u>74,000</u>	50 million x 40% = 20 million shares at \$3.70	1
		190,000		
Net assets at the date of acquisition				
At 1 April 2015	130,000		As per Gamma's financial statements	1/2
Profits to 30 September 2015	16,500		6/12 of the profits for the year to 31 March 2016	1
Fair value uplifts	<u>33,000</u>		\$25 million + \$8 million as per note 2	1/2
		(179,500)		
Goodwill on acquisition of Gamma		<u>10,500</u>		

8

(b) Consolidated statement of profit or loss and other comprehensive income of Alpha for the year ended 31 March 2016

	\$'000	
Revenue (W1)	639,200	3½ (W1)
Cost of sales (W3)	(381,955)	8 (W3)
Gross profit	257,245	
Distribution costs (20,000 + 16,000 + 15,000 x 6/12)	(43,500)	½
Administrative expenses (30,000 + 19,000 + 18,000 x 6/12)	(58,000)	½
Investment income (W5)	3,600	1½ (W5)
Finance costs (W6)	(61,000)	4 (W6)
Profit before tax	98,345	
Income tax expense (15,000 + 12,000 + 6/12 x 11,000)	(32,500)	½
Profit for the year	65,845	
Other comprehensive income:		
Items that will not be reclassified to profit and loss		
Losses on financial assets designated at fair value through other comprehensive income (40,000 – 37,000)	(3,000)	1
Gains on derivatives classified as effective fair value hedges (8,700 – 6,000)	2,700	1
Total comprehensive income for the year	65,545	
Profit attributable to:		
Owners of Alpha (balancing figure)	52,595	½
Non controlling interest (W9)	13,250	3 (W9)
	65,845	
Total comprehensive income attributable to:		
Owners of Alpha (balancing figure)	52,295	½
Non controlling interest (as above)	13,250	½
	65,545	
		25

(c) Consolidated statement of changes in equity of Alpha for the year ended 31 March 2016

	Alpha group \$'000	Non-controlling interest \$'000	Total \$'000	
At 1 April 2015 (W10/11)	263,800 (W10)	30,000 (W11)	293,800	2 (W10) + ½ (W11)
Increase due to acquisition	56,000	74,000	130,000	½ + ½
Equity element of bond issue (W12)	25,000		25,000	1 (W12)
Comprehensive income for the year	52,295	13,250	65,545	½ + ½
Dividends paid	(30,000)	(6,800) (W13)	(36,800)	½ + 1 (W13)
At 31 March 2016	367,095	110,450	477,545	
				7
				40

WORKINGS. ALL NUMBERS IN \$'000 UNLESS OTHERWISE STATED.

Working 1 – Revenue

	\$'000	
Alpha + Beta + 6/12 x Gamma	665,000	½
Intra-group revenue (15,000 + 8,000)	(23,000)	½
Deferred service revenue (W2)	(2,800)	2½ (W2)
	639,200	3½

Marks

Working 2 – Deferred service revenue

	\$'000	
Actual price of 'package' (A)	51,200	1/2
Sum of fair values of individual components (60,000 + 4 x 1,000) (B)	64,000	1/2
A/B	80%	1/2
So 'service revenue' (4 x 1,000 x 80%)	3,200	1/2
Amount deferred (42/48)	2,800	1/2
		<u>2 1/2</u>
		⇒W1

Working 3 – Cost of sales

	\$'000	
Alpha + Beta + 6/12 x Gamma	400,000	1/2
Intra-group purchases (as W1)	(23,000)	1/2
Unrealised profit:		
Closing inventory (10% x (3,000 + 2,800))	580	1
Opening inventory (10% x 2,000)	(200)	1/2 + 1/2
Impairment of Beta goodwill (W4)	3,200	3 (W4)
Extra depreciation on fair value adjustments:		
Property ((25,000 – 10,000) x 1/20 x 6/12)	375	1
Plant and equipment (8,000 x 1/4 x 6/12)	1,000	1
	<u>381,955</u>	<u>8</u>

Working 4 – Impairment of Beta goodwill

	\$'000	
Net assets at 31 March 2016	174,000	1/2
Grossed up goodwill (8,000 x 100/80)	10,000	1/2 + 1/2
	<u>184,000</u>	
Recoverable amount	(180,000)	1/2
So gross impairment	<u>4,000</u>	1/2
Recognise group share (80%)	<u>3,200</u>	1/2
		<u>3</u>
		⇒W3

Working 5 – Investment income

	\$'000	
Alpha	19,800	1/2
Intra-group dividends eliminated:		
– Beta (80% x 12,000)	(9,600)	1/2
– Gamma (paid post-acquisition – 60% x 11,000)	(6,600)	1/2
	<u>3,600</u>	<u>1 1/2</u>

Working 6 – Finance cost

	\$'000	
Alpha + Beta + 6/12 x Gamma	35,500	1/2
Change in fair value of contingent consideration (42,000 – 40,000)	2,000	1
Finance cost on deferred consideration (W7)	1,000	1 (W7)
Finance cost on convertible bond (W8)	<u>22,500</u>	<u>1 1/2 (W8)</u>
	<u>61,000</u>	<u>4</u>

Tutorial note: It would be acceptable to show the change in fair value of the contingent consideration under a reasonable alternative expense heading, such as administrative expenses.

Working 7 – Finance cost on deferred consideration

	\$'000	
20,000 (amount included in goodwill calculation) x 10% x 6/12	<u>1,000</u>	<u>1</u>
		⇒W6

Working 8 – Finance cost on convertible bond

	\$'000	
Liability element of convertible loan (362,320 x 0.621)	225,000	1
So appropriate finance cost = 10% x 225,000	22,500	$\frac{1}{2}$
		$1\frac{1}{2}$
		$\Rightarrow$ W6

Working 9 – Non-controlling interest in profit

	Beta \$'000	Gamma (6/12) \$'000	Total \$'000	
Profit after tax	36,000	16,500		1
Extra depreciation – Gamma (375 + 1,000 (W3))		(1,375)		$\frac{1}{2} + \frac{1}{2}$
Relevant profit	36,000	15,125		
Non-controlling interest (20%/40%)	7,200	6,050	13,250	$\frac{1}{2} + \frac{1}{2}$
				3

Working 10 – Opening equity – Alpha group

	\$'000	
Alpha	200,000	$\frac{1}{2}$
Beta: 80% x (150,000 – 70,000)	64,000	$\frac{1}{2} + \frac{1}{2}$
Opening provision for unrealised profit (W2)	(200)	$\frac{1}{2}$
	263,800	2

Working 11 – Opening non-controlling interest (in Beta)

	\$'000	
20% x 150,000	30,000	$\frac{1}{2}$

Tutorial note: An alternative computation would be:

	\$'000	
At date of acquisition (20% x 70,000)	14,000	$\frac{1}{2}$
Increase since acquisition: 20% (150,000 – 70,000)	16,000	$\frac{1}{2}$
At start of the year	30,000	1

Working 12 – Equity element of bond issue

	\$'000	
Total proceeds	250,000	$\frac{1}{2}$
Loan element (W7)	(225,000)	$\frac{1}{2}$
So equity element equals	25,000	1

Working 13 – Dividends paid to non-controlling interest

	\$'000	
Beta (12,000 x 20%)	2,400	$\frac{1}{2}$
Gamma (11,000 x 40%)	4,400	$\frac{1}{2}$
Total	6,800	1

- 2 (a) IFRS 2 – *Share based Payments* – requires that equity settled share based payments should be measured based on their **fair value** at the **grant date**, based on the **number of options expected to vest** based on estimates at the **reporting date**.

$\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$
+ $\frac{1}{2}$

The cost should be spread over the **vesting period** – three years in this case.

$\frac{1}{2}$

This means that the charge to profit or loss in the year ended 31 March 2015 will be **\$740,000** (1,850 x 1,000 x \$1.20 x 1/3).

$\frac{1}{2}$

The credit entry will be to **equity**, probably to an **option reserve**.

$\frac{1}{2} + \frac{1}{2}$

Based on the **original** arrangements, the **cumulative** balance in equity on 31 March 2016 will be **\$1,472,000** (1,840 x 1,000 x \$1.20 x 2/3).

$\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$

Marks

The impact of the **repricing** on 30 September 2015 is to charge the **incremental** increase in fair value over the **remaining** vesting period on the same basis as the original charge.

$\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$

Therefore the additional credit to equity in respect of the repricing will be \$92,000 ($1,840 \times 1,000 \times \{ \$1.05 - \$0.90 \} \times 6/18$).

$\frac{1}{2}$

This means the closing balance in equity will be \$1,564,000 ($\$1,472,000 + \$92,000$).

$\frac{1}{2}$

The charge to profit or loss in the year ended 31 March 2016 will be **\$824,000** ($\$1,564,000 - \$740,000$). This will be shown as an **employment expense** under **operating costs**.

$\frac{1}{2}$

9

- (b) The potential liability to pay damages to C needs to be recognised as a provision because the event giving rise to the potential liability (the supply of faulty products) arose **prior** to 31 March 2016, there is a **probable** transfer of economic benefits and a **reliable** estimate can be made of the amount of the probable transfer.

$\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$

The amount recognised should be the best estimate of the amount required to settle the obligation at the reporting date. In this case, this estimate is the one made on **15 May** – just before the financial statements are authorised for issue. Therefore a provision of \$5.25 million should be recognised as a **current liability**. There should also be a **charge of \$5.25 million to profit or loss**.

$\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$

The potential amount receivable from S is a contingent asset as it arose from an event **prior** to the year end but **at the date the financial statements are authorised for issue**, the ultimate outcome is **uncertain**.

$\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$

Contingent assets are **not** recognised as assets in the statement of financial position. Their existence and estimated financial effect is **disclosed** where the future receipt of economic benefits is **probable**. This is the situation here.

$\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$

6

- (c) Delta would include the **total** revenue of \$6.8m ($\$6m + \$800,000$) from entity X receivable in the year ended 31 March 2016 within its revenue and show \$1.8m within trade receivables at 31 March 2016.

1

The spouse of a director of Delta would be regarded as a **related party** of Delta because he/she is a **close family member** of one of the **key management personnel** of Delta.

$\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$

From 1 June 2015, entity X would also be regarded as a related party of Delta because from that date entity X is an entity **controlled by another related party**.

$\frac{1}{2} + \frac{1}{2}$

Because entity X is a related party with whom Delta has transactions, then Delta should disclose:

- The nature of the related party relationship.
- The revenue of \$6m from entity X since 1 June 2015.
- The outstanding balance of \$1.8m at 31 March 2016. In the current circumstances it may well be necessary for Delta to also disclose the favourable terms under which the transactions are carried out.

$1\frac{1}{2}$

5

20

- 3 (a) (i) The tax base of an asset is the amount which will be deductible for tax purposes against any taxable economic benefits which will flow to the entity when it recovers the carrying amount of the asset. If those economic benefits will not be taxable, the tax base of the asset is equal to its carrying amount.

2

Where an asset is purchased for \$250,000 and has already received a tax deduction of \$100,000, then the future tax deduction which is available will be \$150,000 ($\$250,000 - \$100,000$). The tax base of the asset is \$150,000.

1

The interest receivable will generate a taxable economic benefit of \$60,000 when it is received in the following period. There is no related tax deduction against this taxable benefit so the tax base of this asset is nil.

$\frac{1}{2}$

4

Note: Exact wordings NOT required for marks.

- (ii) The tax base of a liability is its carrying amount, less any amount which will be deductible for tax purposes in respect of that liability in future periods. In the case of revenue which is received in advance, the tax base of the resulting liability is its carrying amount, less any amount of the revenue which will not be taxable in future periods.

2

For a trade payable which relates to a purchase which has already been fully deducted for tax purposes, there will be no further deduction when the payable is settled. Therefore in this case the tax base of the liability is \$120,000.

1

For an accrual of \$40,000 which relates to an expense which will qualify for a tax deduction only when the liability is settled, the tax base is nil (\$40,000 – \$40,000).

1

4

Note: Exact wordings NOT required for marks.

(b) Deferred tax liability at 31 March 2016

Component	Explanation/working	Amount \$'000	
Investment property	Carrying value is \$38 million. Tax base is \$30 million. Taxable temporary difference is \$8 million.	1,600	1½
Investment in Lambda	Carrying value is \$75 million. Tax base is \$45 million. Taxable temporary difference is \$30 million.	6,000	1½
Head office property	Carrying value is \$45 million. Tax base is \$20.75 million (\$22 million – \$1.25 million).	4,850	2
		<u>12,450</u>	

Deferred tax charge/(credit) to profit or loss for the year ended 31 March 2016

Component	Explanation/working	Amount \$'000	
Investment property	Opening deferred tax liability is \$1 million (20% x {\$35 million – \$30 million}). Fair value changes are recognised in profit or loss. Tax charge is the difference between the closing and opening liability.	600	1½
Investment in Lambda	Opening deferred tax liability is \$5 million (20% x {\$70 million – \$45 million}). Share of profits under the equity method is recognised in profit or loss. Tax charge is the difference between the closing and opening liability.	1,000	1½
Head office property	See working below	(150)	2½
		<u>1,450</u>	

Deferred tax charge/(credit) to other comprehensive income for the year ended 31 March 2016

Component	Explanation/working	Amount \$'000	
Head office property	See working below	1,400	1½

1220

Working for deferred tax on property revaluation

The deferred tax liability at 31 March 2015 is \$3.6 million (20% {\$40 million – \$22 million}).

At 31 March 2016, **prior** to revaluation, the carrying amount of the property is \$38 million and its tax base is \$20.75 million (\$22 million – \$1.25 million). The deferred tax liability at this point is \$3,450,000 (20% x {\$38 million – \$20.75 million}).

The reduction in this liability is \$150,000 (\$3.6 million – \$3,450,000). This would be credited to income tax expense in arriving at profit or loss.

Following revaluation the carrying value becomes \$45 million and the tax base stays the same. So the new deferred tax liability is \$4,850,000 (20% x (\$45 million – \$20.75 million)).

The increase in the deferred tax liability of \$1,400,000 (\$4,850,000 – \$3,450,000) is debited to other comprehensive income.

4 Query One

A financial asset is impaired when its carrying amount cannot be reasonably expected to be recovered through future generation of income or sale proceeds.

1

(Note: Exact words NOT needed here, just the sense of the point.)

IFRS 9 – *Financial Instruments* – classifies financial assets into three types. One of these types is ‘fair value through profit and loss’. Where financial assets are measured on this basis, any impairment of the asset is automatically reflected in the measurement basis so no further action is required.

1

As far as other financial assets are concerned, the general rule is that we should recognise a **loss allowance** for ‘expected credit losses’. The loss allowance should be recognised in **profit or loss** and **deducted from the carrying amount** of the financial asset in the statement of financial position.

 $\frac{1}{2} + \frac{1}{2} + \frac{1}{2} + \frac{1}{2}$

A credit loss is the difference between the cash flows we are contractually entitled to receive in respect of a financial asset and the cash flows which are expected based on current circumstances.

1

Unless the credit risk attaching to the financial asset has increased significantly since initial recognition, the loss allowance should be based on expected credit losses in the next 12 months.

1

Where the credit risk has increased significantly since initial recognition, the loss allowance should be based on lifetime expected credit losses.

1

As far as trade receivables and (by choice) lease receivables are concerned, as a simplifying measure IFRS 9 allows the loss allowance to always be measured based on the lifetime expected credit losses.

1

8

Query Two

A biological asset is defined in IAS 41 – *Agriculture* – as a living plant or animal.

1

The majority of non-biological assets of an entity have an initial acquisition cost which can be computed with sufficient reliability to be used as its initial carrying value. For biological assets (e.g. a new born calf) this is often not the case.

1

(Note: Exact words NOT needed here, just the sense of the point.)

For the vast majority of biological assets their **initial** measurement should be at its **fair value less costs to sell**. Gains or losses arising from such initial measurement should be recognised in **profit or loss**.

 $\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$

As the biological **asset transforms and its fair value less costs to sell changes**, the carrying amount of the asset should be **updated** with changes being recognised in **profit or loss**.

 $\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$

5

Query Three

IAS 8 – *Accounting Policies, Changes in Accounting Estimates and Errors* – defines an accounting policy as ‘the specific principles, bases, conventions, rules and practices applied by an entity in preparing and presenting financial statements’.

1½

(Note: Exact words NOT needed here, just the sense of the point.)

An example of an accounting policy would be the decision to apply the cost model or the fair value model when measuring investment properties.

1

(Note: ANY reasonable example accepted.)

When an entity changes an accounting policy, the change is applied **retrospectively**. This means that the **comparative** figures are based on the new policy (rather than last year’s actual figures). The **opening balance of retained earnings is restated** in the **statement of changes in equity**.

 $\frac{1}{2} + \frac{1}{2} + \frac{1}{2} + \frac{1}{2}$

Accounting estimates are made in order to implement accounting policies. An example of an accounting estimate would be (consistent with the above given example) the fair value of an investment property at the reporting date (where the fair value model was being applied).

1½

(Note: ANY reasonable example accepted.)

Changes in accounting estimates are made **prospectively**. This means applying the new estimates in **future financial statement preparation**, without amending any previously published amounts.

 $\frac{1}{2}$

(Note: Exact words NOT needed here, just the sense of the point.)

 $\frac{1}{2}$

7

20

Diploma in International Financial Reporting

Friday 9 December 2016



Time allowed 3 hours 15 minutes

ALL FOUR questions are compulsory and MUST be attempted.

Do NOT open this question paper until instructed by the supervisor.

This question paper must not be removed from the examination hall.

Think Ahead

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Accountants

REF
010

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The question paper begins on page 3.

ALL FOUR questions are compulsory and MUST be attempted

- 1 Alpha holds investments in two entities, Beta and Gamma. The draft statements of financial position of the three entities at 30 September 2016 were as follows:

	Alpha \$'000	Beta \$'000	Gamma \$'000
Assets			
Non-current assets:			
Property, plant and equipment (Notes 1 and 3)	524,000	370,000	162,000
Investments (Notes 1 and 3)	423,000	Nil	Nil
	<u>947,000</u>	<u>370,000</u>	<u>162,000</u>
Current assets:			
Inventories	120,000	75,000	60,000
Trade receivables (Note 4)	90,000	66,000	55,000
Cash and cash equivalents	15,000	12,000	10,000
	<u>225,000</u>	<u>153,000</u>	<u>125,000</u>
Total assets	<u>1,172,000</u>	<u>523,000</u>	<u>287,000</u>
Equity and liabilities			
Equity			
Share capital (\$1 shares)	140,000	100,000	80,000
Retained earnings (Notes 1 and 3)	573,000	210,000	90,000
Other components of equity (Notes 1 and 3)	250,000	10,000	Nil
Total equity	<u>963,000</u>	<u>320,000</u>	<u>170,000</u>
Non-current liabilities:			
Provisions (Note 5)	1,250	Nil	Nil
Long-term borrowings	82,750	90,000	48,000
Deferred tax	45,000	28,000	30,000
Total non-current liabilities	<u>129,000</u>	<u>118,000</u>	<u>78,000</u>
Current liabilities:			
Trade and other payables	60,000	50,000	30,000
Short-term borrowings	20,000	35,000	9,000
Total current liabilities	<u>80,000</u>	<u>85,000</u>	<u>39,000</u>
Total equity and liabilities	<u>1,172,000</u>	<u>523,000</u>	<u>287,000</u>

Note 1 – Alpha's investment in Beta

On 1 October 2013, Alpha acquired 80 million shares in Beta by means of a share exchange of one share in Alpha for every two shares acquired in Beta. On 1 October 2013, the market value of an Alpha share was \$7.00.

Alpha incurred directly attributable due diligence costs of \$3 million on acquisition of Beta. The directors of Alpha included these acquisition costs in the carrying amount of the investment in Beta in the draft statement of financial position of Alpha. There has been no change to the carrying amount of this investment in Alpha's own statement of financial position since 1 October 2013.

On 1 October 2013, the individual financial statements of Beta showed the following balances:

- Retained earnings \$150 million.
- Other components of equity \$5 million.

The directors of Alpha carried out a fair value exercise to measure the identifiable assets and liabilities of Beta at 1 October 2013. The following matters emerged:

- Property having a carrying amount of \$160 million (land component \$70 million, buildings component \$90 million) had an estimated fair value of \$200 million (land component \$80 million, buildings component \$120 million). The buildings component of the property had an estimated useful life of 30 years at 1 October 2013.
- Plant and equipment having a carrying amount of \$120 million had an estimated fair value of \$140 million. The estimated remaining useful life of this plant at 1 October 2013 was four years. None of this plant and equipment had been disposed of between 1 October 2013 and 30 September 2016.
- On 1 October 2013, the notes to the financial statements of Beta disclosed a contingent liability. On 1 October 2013, the fair value of this contingent liability was reliably measured at \$6 million. The contingency was resolved in the year ended 30 September 2014 and no payments were required to be made by Beta in respect of this contingent liability.
- The fair value adjustments have not been reflected in the individual financial statements of Beta. In the consolidated financial statements the fair value adjustments will be regarded as temporary differences for the purposes of computing deferred tax. The rate of deferred tax to apply to temporary differences is 20%.

The directors of Alpha used the proportion of net assets method when measuring the non-controlling interest in Beta in the consolidated statement of financial position.

Note 2 – Impairment review of goodwill on acquisition of Beta

No impairment of the goodwill on acquisition of Beta was evident when the reviews were carried out on 30 September 2014 and 2015. On 30 September 2016, the directors of Alpha carried out a further review and concluded that the recoverable amount of the net assets of Beta at that date was \$400 million. Beta is regarded as a single cash generating unit for the purpose of measuring goodwill impairment.

Note 3 – Alpha's investment in Gamma

On 1 October 2015, Alpha acquired 60 million shares in Gamma by means of a cash payment of \$140 million. The purchase agreement provided for an additional payment on 31 October 2017 to the former holders of the 60 million acquired shares. The amount of this additional payment is dependent on the financial performance of Gamma in the two-year period from 1 October 2015 to 30 September 2017. On 1 October 2015, the fair value of this additional payment was estimated to be \$20 million. This estimate was revised to \$24 million on 30 September 2016. Alpha has not made any entries in its draft financial statements to record this potential additional payment.

On 1 October 2015, the individual financial statements of Gamma showed a balance on retained earnings of \$75 million.

On 1 October 2015, the fair values of the net assets of Gamma were the same as their carrying amounts with the exception of some land which had a carrying amount of \$50 million and a fair value of \$70 million. This land continued to be an asset of Gamma at 30 September 2016. The fair value adjustment has not been reflected in the individual financial statements of Gamma. In the consolidated financial statements the fair value adjustment will be regarded as a temporary difference for the purposes of computing deferred tax. The rate of deferred tax to apply to temporary differences is 20%.

No impairment issues arose concerning the measurement of Gamma in the consolidated statement of financial position of Alpha at 30 September 2016.

The directors of Alpha used the full goodwill (fair value) method when measuring the non-controlling interest in Gamma in the consolidated statement of financial position. On 1 October 2015, the fair value of a share in Gamma was \$2.30.

Note 4 – Trade receivables and payables

Group policy is to clear intra-group balances on a given date prior to each year end. Beta complied with this policy at 30 September 2016 but Gamma was late in making the required payment of \$10 million to Alpha. The payment was made by Gamma on 29 September 2016 and received and recorded by Alpha on 2 October 2016.

Note 5 – Provision

On 1 October 2015, Alpha completed the construction of a non-current asset with an estimated useful life of 20 years. The costs of construction were recognised in property, plant and equipment and depreciated appropriately. Alpha has a legal obligation to restore the site on which the non-current asset is located on 30 September 2035. The estimated cost of this restoration work, at 30 September 2035 prices, is \$25 million. The directors of Alpha have made a provision of \$1·25 million ($1/20 \times \25 million) in the draft statement of financial position at 30 September 2016. An appropriate annual discount rate to use in any relevant calculations is 6% and at this rate the present value of \$1 payable in 20 years is 31·2 cents.

Required:

Prepare the consolidated statement of financial position of Alpha at 30 September 2016. You need only consider the deferred tax implications of any adjustments you make where the question specifically refers to deferred tax.

(40 marks)

2 Delta is an entity which prepares financial statements to 30 September each year. The financial statements for the year ended 30 September 2016 are shortly to be authorised for issue. The following events are relevant to these financial statements:

(a) On 1 October 2014, Delta purchased an asset for \$20 million. The estimated useful life of the asset was 10 years, with an estimated residual value of zero. Delta immediately leased the asset to Epsilon. The lease term was 10 years and the annual rental, payable in advance by Epsilon, was \$2,787,000. Delta incurred direct costs of \$200,000 in arranging the lease. The lease contained no early termination clauses and responsibility for repairs and maintenance of the asset rest with Epsilon for the duration of the lease. The directors of Delta correctly computed the annual rate of interest implicit in the lease as 8%. At an annual discount rate of 8% the present value of \$1 receivable at the start of years 1–10 is \$7·247. (8 marks)

(b) On 1 September 2016, Delta sold a product to Customer X. Customer X is based in a country whose currency is the florin and Delta has a large number of customers in that country to whom Delta sell similar products. The invoiced price of the product was 500,000 florins. The terms of the sale gave the customer the right to return the product at any time in the two-month period ending on 31 October 2016. On 1 September 2016, Delta estimated that there was a 22% chance the product would be returned during the two-month period. The product had not been returned to Delta by 15 October 2016 (the date the financial statements for the year ended 30 September 2016 were authorised for issue). On 15 October 2016, the directors estimated that there was an 8% chance the product would be returned before 31 October 2016. The directors of Delta considered that the most reliable method of measuring the price for this transaction was to estimate any variable consideration using a probability (expected value) approach. Exchange rates (florins to \$1) are as follows:

- 1 September 2016 – 2 florins to \$1.
- 30 September 2016 – 2·1 florins to \$1.
- 15 October 2016 – 2·15 florins to \$1.
- 31 October 2016 – 2·2 florins to \$1.

(7 marks)

(c) On 1 October 2014, Delta granted 250 share appreciation rights to 100 senior executives. The rights vest on 30 September 2017 provided the executives remain with Delta for the three-year period from 1 October 2014 to 30 September 2017. The rights can be exercised from 30 November 2017 to 31 December 2017. On 1 October 2014, it was expected that 10 executives would leave over the three-year period from 1 October 2014 to 30 September 2017. This estimate was confirmed on 30 September 2015 but two executives left unexpectedly during the year ended 30 September 2016 and Delta now expects that 12 executives will leave over the three-year period ending on 30 September 2017. Delta further estimated that all executives who were eligible to exercise the rights would do so. On 1 October 2014, the fair value of a share appreciation right was \$3·20. The fair value increased to \$3·50 by 30 September 2015 and to \$3·60 by 30 September 2016.

(5 marks)

Required:

Explain and show how the three events would be reported in the financial statements of Delta for the year ended 30 September 2016.

Notes:

1. The mark allocation is shown against each of the three events above.
2. In explaining event (b), you do not need to consider the impact on inventory and cost of sales.

(20 marks)

- 3 (a) One of the matters addressed in IFRS 9 – *Financial Instruments* is the initial and subsequent measurement of financial assets. IFRS 9 requires that financial assets are initially measured at their fair value at the date of initial recognition. However, subsequent measurement of financial assets depends on their classification for which IFRS 9 identifies three possible alternatives.

Required:

Explain the three classifications which IFRS 9 identifies for financial assets and the basis of measurement which is appropriate for each classification. You should also identify any exceptions to the normal classifications which may apply in specific circumstances. (8 marks)

- (b) Kappa prepares financial statements to 30 September each year. During the year ended 30 September 2016 Kappa entered into the following transactions:
- (i) On 1 October 2015, Kappa made an interest free loan to an employee of \$800,000. The loan is due for repayment on 30 September 2017 and Kappa is confident that the employee will repay the loan. Kappa would normally require an annual rate of return of 10% on business loans (5 marks)
 - (ii) On 1 October 2015, Kappa made a three-year loan of \$10 million to entity X. The rate of interest payable on the loan was 8% per annum, payable in arrears. On 30 September 2018, Kappa will receive a fixed number of shares in entity X in full settlement of the loan. Entity X paid the interest due of \$800,000 on 30 September 2016 and entity X has no liquidity problems. Following payment of this interest, the fair value of this loan asset at 30 September 2016 was estimated to be \$10.5 million. (4 marks)
 - (iii) On 1 October 2015, Kappa purchased an equity investment in entity Y for \$12 million. The investment did not give Kappa control or significant influence over entity Y but the investment is seen as a long-term one. On 30 September 2016, the fair value of Kappa's investment in entity Y was estimated to be \$13 million. (3 marks)

Required:

Explain and show how the above transactions would be reported in the financial statements of Kappa for the year ended 30 September 2016.

Note: The mark allocation for part (b) is shown against each of the three transactions above.

(20 marks)

- 4 You are the financial controller of Omega, a listed entity which prepares consolidated financial statements in accordance with International Financial Reporting Standards (IFRS). You have recently produced the final draft of the financial statements for the year ended 30 September 2016 and these are due to be published shortly. The managing director, who is not an accountant, reviewed these financial statements and prepared a list of queries arising out of the review.

Query One

One of the notes to the financial statements gives details of purchases made by Omega from entity X during the period. I own 100% of the shares in entity X but I do not understand why it is necessary for any disclosure whatsoever to be made in the Omega financial statements. The transaction is carried out on normal commercial terms and is totally insignificant to Omega, representing less than 1% of Omega's purchases. (5 marks)

Query Two

The notes to the financial statements say that plant and equipment is held under the 'cost model'. However, property which is owner occupied is revalued annually to fair value. Changes in fair value are sometimes reported in profit or loss but usually in 'other comprehensive income'. Also, the amount of depreciation charged on plant and equipment as a percentage of its carrying amount is much higher than for owner occupied property. Another note says that property we own but rent out to others is not depreciated at all but is revalued annually to fair value. Changes in value of these properties are always reported in profit or loss. I thought we had to be consistent in our treatment of items in the accounts. Please explain how all these treatments comply with relevant reporting standards. (7 marks)

Query Three

As you know, in the year to September 2016 we spent considerable sums of money designing a new product. We spent the six months from October 2015 to March 2016 researching into the feasibility of the product. We charged these research costs to profit or loss. From April 2016, we were confident that the product would be commercially successful and we fully committed ourselves to financing its future development. We spent most of the rest of the year developing the product, which we will begin to sell in the next few months. These development costs have been recognised as intangible assets in our statement of financial position. How can this be right when all these research and development costs are design costs? Please justify this with reference to relevant reporting standards. (5 marks)

Query Four

On reviewing our financial statements, I found a note giving information about the different segments of our business and also the disclosure of the earnings per share of our entity. Neither the segment note nor the earnings per share disclosure appears in the financial statements of entity X (see query 1 above). Even though entity X is unlisted, both entities report under full International Financial Reporting Standards so I do not understand how this difference can occur. Please explain this to me. (3 marks)

Required:

Provide answers to the queries raised by the managing director.

Note: The mark allocation is shown against each of the four queries above.

(20 marks)

End of Question Paper

Answers

Marks

1 Consolidated statement of financial position of Alpha at 30 September 2016

Assets	\$'000	
Non-current assets:		
Property, plant and equipment (524,000 + 370,000 + 162,000) + [(40,000 (W1) – 3,000 (W1)) + (20,000 (W1) – 15,000 (W1)) + 20,000 (W2) + (7,800 – 390) (W8)]	1,125,410	½ + 1½ + ½
Goodwill (W3)	72,120	13 (W3)
	<u>1,197,530</u>	
Current assets:		
Inventories (120,000 + 75,000 + 60,000)	255,000	½
Trade receivables (90,000 + 66,000 + 55,000 – 10,000 (intra-group))	201,000	½ + ½
Cash and cash equivalents (15,000 + 12,000 + 10,000 + 10,000 (cash in transit))	47,000	½ + ½
	<u>503,000</u>	
Total assets	<u><u>1,700,530</u></u>	
Equity and liabilities		
Equity attributable to equity holders of the parent		
Share capital	140,000	½
Retained earnings (W6)	613,642	13 (W6)
Other components of equity (W7)	254,000	1 (W7)
	<u>1,007,642</u>	
Non-controlling interest (W5)	120,470	2 (W5)
Total equity	<u>1,128,112</u>	
Non-current liabilities:		
Provision (7,800 + 468 (W8))	8,268	½ + ½
Long-term borrowings (82,750 + 90,000 + 48,000)	220,750	½
Deferred consideration (20,000 + 4,000)	24,000	½ + ½
Deferred tax (W9)	115,400	1½ (W9)
Total non-current liabilities	<u>368,418</u>	
Current liabilities:		
Trade and other payables (60,000 + 50,000 + 30,000)	140,000	½ + ½
Short-term borrowings (20,000 + 35,000 + 9,000)	64,000	½
Total current liabilities	<u>204,000</u>	40
Total equity and liabilities	<u><u>1,700,530</u></u>	

WORKINGS – DO NOT DOUBLE COUNT MARKS. ALL NUMBERS IN \$'000 UNLESS OTHERWISE STATED:

Working 1 – Net assets table – Beta:

	1 October 2013 \$'000	30 September 2016 \$'000	For W3	For W6
Share capital	100,000	100,000	½	
Retained earnings:				
Per accounts of Beta	150,000	210,000	½	½
Fair value adjustments:				
Property (200,000 – 160,000)	40,000	40,000	½	½
Extra depreciation due to buildings uplift ((120,000 – 90,000) x 3/30)		(3,000)		½
Plant and equipment (140,000 – 120,000)	20,000	20,000	½	½
Extra depreciation due to plant and equipment uplift (20,000 x ¾)		(15,000)		½
Contingent liability	(6,000)	Nil	½	½
Other components of equity	5,000	10,000	½	½
Deferred tax on fair value adjustments:				
Date of acquisition (20% x 54,000 (see above))	(10,800)		½	
Year end (20% x 42,000 (see above))		(8,400)		½
Net assets for the consolidation	<u>298,200</u>	<u>353,600</u>		
The post-acquisition increase in net assets is 55,400 (298,200– 353,600).				½
5,000 of this increase is due to changes in other components of equity and the remaining 50,400 to changes in retained earnings.				½
			<u>3½</u>	<u>5</u>
			⇒W3	⇒W6

Working 2 – Net assets table – Gamma:

	1 October 2013 \$'000	30 September 2016 \$'000	For W3	For W6
Share capital	80,000	80,000	½	
Retained earnings:	75,000	90,000	½	½
Land adjustment (70,000 – 50,000)	20,000	20,000	½	½
Deferred tax on fair value adjustment (20% x 20,000)	(4,000)	(4,000)	½	½
Net assets for the consolidation	<u>171,000</u>	<u>186,000</u>		
The post-acquisition increase in net assets is 15,000 (186,000 – 171,000).				½
			<u>2</u>	<u>2</u>
			⇒W3	⇒W6

Working 3 – Goodwill on consolidation

	Beta \$'000	Gamma \$'000	
Costs of investment:			
Shares issued to acquire Beta (40,000 x \$7.00)	280,000		1
Cash paid to acquire shares in Gamma		140,000	½
Contingent consideration re: Gamma acquisition		20,000	1
Non-controlling interests at date of acquisition:			
Beta – 20% x 298,200 (W1)	59,640		1
Gamma – 20,000 x \$2.30		46,000	1
Net assets at date of acquisition (W1/W2)	<u>(298,200)</u>	<u>(171,000)</u>	3½ (W1) + 2 (W2)
Goodwill before impairment	41,440	35,000	
Impairment of Beta goodwill (W4)	<u>(4,320)</u>	<u>Nil</u>	3 (W4)
	<u>37,120</u>	<u>35,000</u>	<u>13</u>

The total goodwill is 72,120 (37,120 + 35,000).

Marks

Working 4 – Impairment of Beta goodwill

	\$'000	
Net assets of Beta as per working 1	353,600	1/2
Grossed up goodwill on acquisition ($100/80 \times 41,440$)	51,800	1
	<u>405,400</u>	
Recoverable amount of Beta as a CGU	(400,000)	1/2
So gross impairment equals	<u>5,400</u>	1/2
80% thereof equals	<u>4,320</u>	1/2
	<u>3</u>	
	⇒W3	

Working 5 – Non-controlling interest

	Beta \$'000	Gamma \$'000	
At date of acquisition (W3)	59,640	46,000	1/2 + 1/2
Share of post-acquisition increase in net assets per workings 1 and 2:			
Beta – 20% x 55,400 (W1)	11,080		1/2
Gamma – 25% x 15,000 (W2)		3,750	1/2
	<u>70,720</u>	<u>49,750</u>	
		<u>2</u>	

The total NCI is 120,470 (70,720 + 49,750).

Working 6 – Retained earnings

	\$'000	
Alpha	573,000	1/2
Adjustment for acquisition costs	(3,000)	1/2
Adjustment for increase in contingent consideration re: Gamma (24,000 – 20,000)	(4,000)	1/2
Adjustment for restoration provision (W8)	392	3 (W8)
Beta (80% x 50,400 (W1))	40,320	1/2 + 5 (W1)
Gamma (75% x (15,000 (W2))	11,250	1/2 + 2 (W2)
Impairment of Beta goodwill (W4)	<u>(4,320)</u>	1/2
	<u>613,642</u>	<u>13</u>

Working 7 – Other components of equity

	\$'000	
Alpha – per own financial statements	250,000	1/2
Beta (80% x 5,000 (W1))	4,000	1/2
	<u>254,000</u>	<u>1</u>

Working 8 – Adjustment re: restoration provision

	\$'000	
Originally required provision ($25,000 \times 0.312$)	7,800	1
One year's unwinding of discount ($7,800 \times 6\%$)	(468)	1/2
One year's depreciation of capitalised cost ($7,800 \times 1/20$)	(390)	1
Original provision incorrectly made	<u>1,250</u>	1/2
So retained earnings adjustment equals	<u>392</u>	<u>3</u>

⇒W6

Working 9 – Deferred tax

	\$'000	
Alpha + Beta + Gamma	103,000	1/2
On fair value adjustments in Beta (W1)	8,400	1/2
On fair value adjustments in Gamma (W2)	<u>4,000</u>	1/2
	<u>115,400</u>	<u>1 1/2</u>

2 (a) All numbers in \$'000 unless otherwise stated

The lease of the asset by Delta to Epsilon would be regarded as a **finance lease** because the **risks and rewards of ownership** have been transferred to Epsilon. Evidence of this includes **the lease is for the whole of the life of the asset** and Epsilon being responsible for repairs and maintenance.

 $\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$

Since the lease is a finance lease and Delta is the lessor, Delta will recognise a **financial asset – the 'net investment in finance leases'**. The amount recognised will be the present value of the minimum lease payments which will be **2,787 x 7.247 which (subject to rounding) equals 20,200**.

 $\frac{1}{2} + 1$

[NB: This mark can also be awarded if candidates state that the initially recognised amount is the purchase cost of the asset plus the initial direct costs.]

The impact of the lease on the financial statements for the year ended 30 September 2016 can best be seen by preparing a profile of the net investment in the lease for the first three years of the lease and shown below:

Year to 30 September	Balance b/fwd	Rental	Balance in period	Finance income	Balance c/fwd	
2015	20,200	(2,787)	17,413	1,393	18,806	1½
2016	18,806	(2,787)	16,019	1,282	17,301	1
2017	17,301	(2,787)	14,514			½

During the year ended 30 September 2016, Delta will recognise income from finance leases of **1,282**.

 $\frac{1}{2}$

The net investment on 30 September 2016 will be 17,301.

 $\frac{1}{2}$

Of the closing net investment of 17,301, 2,787 will be shown as a current asset and 14,514 as a non-current asset.

 $\frac{1}{2} + \frac{1}{2}$

8

- (b) When the customer has a right to return products, the transaction price contains a **variable element**. When this element can be **reliably measured**, it is taken account of in measuring the revenue.

 $\frac{1}{2} + \frac{1}{2}$

The information regarding the change in likelihood of return after 30 September 2016 is an **adjusting event** as it gives more information about conditions existing at the reporting date.

 $\frac{1}{2}$

Therefore the revenue in florins for the year ended 30 September 2016 will be **460,000** (500,000 x 92%).

 $\frac{1}{2}$

This will be recognised in the financial statements of Delta using the rate of exchange in force at the date of the transaction (2 florins to \$1). Therefore revenue of **\$230,000** will be recognised.

 $\frac{1}{2}$

Delta will initially recognise a trade receivable of **500,000 florins**. This will be initially recognised in \$ as \$250,000. At the year end, the trade receivable will be re-translated using the closing rate of 2.1 florins to \$1 because it is a monetary item. The closing trade receivable will be **\$238,095** (500,000/2.1).

 $\frac{1}{2} + \frac{1}{2}$

The loss on re-translation of the trade receivable of **\$11,905** (\$250,000 – \$238,095) will be recognised in **profit or loss**.

 $\frac{1}{2} + \frac{1}{2}$

The difference (in florins) of 40,000 between the revenue recognised (460,000) and the trade receivable (500,000) will be recognised as a **refund liability**. This liability will initially be included in the financial statements at **\$20,000** (40,000/2).

 $\frac{1}{2} + \frac{1}{2}$

The refund liability is monetary so it will be re-translated to **\$19,048** (40,000/2.1).

 $\frac{1}{2}$

The gain on re-translation of **\$952** (\$20,000 – \$19,048) will be recognised in **profit or loss**.

 $\frac{1}{2} + \frac{1}{2}$

7

- (c) In accordance with IFRS 2 – *Share Based Payments* – this cash settled share based payment arrangement should be measured using the fair value of an option on the **reporting date**, with a debit to profit or loss and a corresponding credit to **liabilities**.

 $\frac{1}{2} + \frac{1}{2}$

The liability should be built up **over the vesting period** based on the estimated number of rights **ultimately estimated to vest**.

 $\frac{1}{2} + \frac{1}{2}$

The liability at 30 September 2015 would have been \$26,250 [1/3 (250 x 90 x \$3.50)].

1

The liability at 30 September 2016 would have increased to \$52,800 [2/3 (250 x 88 x \$3.60)].

This will be shown as a non-current liability.

1

		Marks
The increase in the liability over the year of \$26,550 (\$52,800 – \$26,250) will be shown as an expense in profit or loss for the year ended 30 September 2016.		1
		5
		20
3 (a)	The classification and measurement of financial assets is largely based on:	
	The business model for managing the asset – specifically whether or not the objective is to hold the financial asset in order to collect the contractual cash flows.	1
	Whether or not the contractual cash flows are solely payments of principal and interest on the principal amount outstanding.	1
	Where the business model for managing the asset is to hold the financial asset in order to collect the contractual cash flows and the contractual cash flows are solely payments of principal and interest on the principal amount outstanding, then the financial asset is normally measured at amortised cost.	1
	Where the business model for managing the asset is to both hold the financial asset in order to collect the contractual cash flows and to sell the financial asset and the contractual cash flows are solely payments of principal and interest on the principal amount outstanding, then the financial asset is normally measured at fair value through other comprehensive income. Interest income on such assets is recognised in the same way as if the asset were measured at amortised cost.	1 + 1
	In other circumstances, financial assets are normally measured at fair value through profit or loss.	1
	Notwithstanding the above, where equity investments are not held for trading, an entity may make an irrevocable election to measure such investments at fair value through other comprehensive income.	1
	Finally an entity may, at initial recognition, irrevocably designate a financial asset as measured at fair value through profit or loss if to do so eliminates or significantly reduces an accounting mismatch.	1
		8
(b) (i)	The loan is a financial asset which would initially be recognised at its fair value on 1 October 2015.	½
	Given the fact that Kappa normally requires a return of 10% per annum on business loans of this type, the loan asset should be initially recognised at \$661,157 (\$800,000/(1·10) ²).	1
	An amount of \$138,843 (\$800,000 – \$661,157) would be charged to profit or loss at 1 October 2015.	1
	Because of the business model and the contractual cash flows, this loan asset will subsequently be measured at amortised cost.	1
	Therefore \$66,116 (\$661,157 x 10%) will be recognised as finance income in the year ended 30 September 2016. The closing loan asset \$727,273 will be (\$661,157 + \$66,116). This will be shown as a current asset since repayment is due on 30 September 2017.	½ + ½ + ½
		5
(ii)	Since the loan is at normal commercial rates, the loan would initially be recognised at \$10 million – the amount advanced.	½
	The interest received and receivable of \$800,000 would be credited to profit or loss as finance income.	1
	In this case, the contractual cash flows are not solely payments of principal and interest on the principal amount outstanding. Therefore the asset would be measured at fair value through profit or loss.	1
	A fair value gain of \$500,000 (\$10·5 million – \$10 million) would be recognised in profit or loss.	1
	The loan asset of \$10·5 million would be shown as a non-current asset.	½
		4
(iii)	The equity investment would be initially recognised at its cost of purchase – \$12 million.	1

The contractual cash flows relating to an equity investment are not solely payments of principal and interest on the principal amount outstanding. Therefore the asset would normally be measured at fair value through profit or loss. This would result in a gain on remeasurement to fair value of \$1 million (\$13 million – \$12 million) being recognised in profit or loss.

1

Since the equity investment is being held for the long term, rather than as part of a trading portfolio, it is possible to make an irrevocable election on 1 October 2015 to classify the asset as fair value through other comprehensive income. In such circumstances, the remeasurement gain of \$1 million would be recognised in other comprehensive income rather than profit or loss.

1

3

20

4 Query One

The reason disclosure of this transaction is necessary is because entity X is a **related party** of Omega. Related parties are generally characterised by the presence of **control or influence** between the two parties.

 $\frac{1}{2} + \frac{1}{2}$

IAS 24 – *Related Party Disclosures* – identifies related parties as, inter alia, **key management personnel** and **companies controlled by key management personnel**. On this basis, entity X is a related party of Omega.

 $\frac{1}{2} + \frac{1}{2}$

Where related party relationships exist, IAS 24 requires the disclosure of the existence of the relationship where the related party controls the reporting entity. This is not the case here, so in the absence of transactions disclosure would not be required.

1

Where transactions occur with related parties, IAS 24 requires that details of the transactions are disclosed in a note to the financial statements. This is required even if the transactions are carried out on a normal arm's length basis.

1

Transactions with related parties are material by their nature, so the fact that the transaction may be numerically insignificant to Omega does not affect the need for disclosure.

1

5

Query Two

The accounting treatment of the majority of tangible non-current assets is governed by IAS 16 – *Property, Plant and Equipment* (PPE).

 $\frac{1}{2}$

IAS 16 states that the accounting treatment of PPE is determined on a class by class basis. For this purpose, property and plant would be regarded as separate classes.

1

IAS 16 requires that PPE is measured using either the cost model or the revaluation model. This model is applied on a class by class basis and must be applied consistently within a class.

1

IAS 16 states that when the revaluation model applies, surpluses are recorded in other comprehensive income, unless they are cancelling out a deficit which has previously been reported in profit or loss, in which case it is reported in profit or loss.

1

Where the revaluation results in a deficit, then such deficits are reported in profit or loss, unless they are cancelling out a surplus which has previously been reported in other comprehensive income, in which case they are reported in other comprehensive income.

 $\frac{1}{2}$

According to IAS 16, all assets having a **finite** useful life should be depreciated over that life. Where property is concerned, the only depreciable element of the property is the **buildings** element, since land normally has an indefinite life. The estimated useful life of a building tends to be much **longer** than for plant. These two reasons together explain why the depreciation charge of a property as a percentage of its carrying amount tends to be much lower than for plant.

 $\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$

Properties which are held for investment purposes are **not** accounted for under IAS 16, but under IAS 40 – *Investment Property*.

 $\frac{1}{2}$

Under the principles of IAS 40, investment properties can be accounted for under a cost or a fair value model. We apply the fair value model and thus our investment properties are revalued annually to fair value, with any changes being reported in profit or loss.

1

7

Marks

Query Three

Accounting for product design costs is governed by IAS 38 – *Intangible Assets*.

$\frac{1}{2}$

Under IAS 38, the treatment of expenditure on intangible items depends on how it arose.

$\frac{1}{2}$

Generally internal expenditure on intangible items cannot be recognised as assets.

1

The exception to the above rule is that once it can be demonstrated that a development project is likely to be **technically feasible, commercially viable, overall profitable** and can be **adequately resourced**, then **future** expenditure on the project can be recognised as an **intangible** asset. This explains the differing treatment of expenditure up to 31 March 2016 and expenditure after that date.

$\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$

$\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$

5

Query Four

Where two companies report under the same reporting framework, you would **generally** expect the same reporting requirements to apply to both companies. However, there are certain requirements of IFRS which **apply to listed companies only**.

$\frac{1}{2} + \frac{1}{2}$

The requirement to provide segmental information and to disclose earnings per share are both examples of requirements which only listed companies are forced to comply with.

1

If an unlisted entity voluntarily chooses to provide segmental information, or to disclose its earnings per share, then it must comply with the provisions of the relevant IFRS in both cases.

1

3

20

Diploma in International Financial Reporting

Friday 9 June 2017



Time allowed 3 hours 15 minutes

ALL FOUR questions are compulsory and MUST be attempted.

Do NOT open this question paper until instructed by the supervisor.

This question paper must not be removed from the examination hall.

Think Ahead

ACCA

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Accountants

REF
010

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The question paper begins on page 3.

ALL FOUR questions are compulsory and MUST be attempted

- 1 Alpha holds investments in a number of entities, including Beta and Gamma. The statements of profit or loss and other comprehensive income and summarised statements of changes in equity of the three entities for the year ended 31 March 2017 were as follows:

Statements of profit or loss and other comprehensive income

	Alpha \$'000	Beta \$'000	Gamma \$'000
Revenue (Note 3)	468,000	260,000	240,000
Cost of sales (Notes 1-3)	(312,000)	(135,000)	(120,000)
Gross profit	156,000	125,000	120,000
Distribution costs	(26,000)	(20,000)	(18,000)
Administrative expenses (Note 4)	(44,000)	(28,000)	(27,000)
Investment income (Note 5)	28,000	Nil	Nil
Finance costs	(20,000)	(22,000)	(21,000)
Profit before tax	94,000	55,000	54,000
Income tax expense	(24,000)	(14,000)	(13,500)
Profit for the year	70,000	41,000	40,500
Other comprehensive income:			
Items that will be reclassified to profit or loss			
Gains/(losses) on effective cash-flow hedges (Note 6)	Nil	Nil	Nil
Total comprehensive income	70,000	41,000	40,500

Summarised statements of changes in equity

Balance on 1 April 2016	250,000	193,000	166,500
Comprehensive income for the year	70,000	41,000	40,500
Dividends paid on 31 December 2016	(40,000)	(18,000)	(16,000)
Balance on 31 March 2017	280,000	216,000	191,000

Note 1 – Alpha's investment in Beta

On 1 April 2001, Alpha acquired 80 million of the 100 million \$1 equity shares of Beta and gained control of Beta. Alpha paid \$150 million in cash for these shares.

On 1 April 2001, the net assets of Beta had a fair value of \$147 million, all of which had been disposed of or settled by 31 March 2016.

Alpha used the fair value method for measuring the non-controlling interest when recognising the goodwill on acquisition of Beta. The fair value of an equity share in Beta on 1 April 2001, which was \$1.50, was used for this purpose. No impairments of goodwill on acquisition of Beta have been necessary in the consolidated financial statements of Alpha up to and including 31 March 2016.

Beta has three cash generating units. On 31 March 2017, the annual impairment review indicated that the recoverable amounts of the net assets, including goodwill, of the three cash generating units of Beta at that date were as follows:

- Unit 1 – \$87 million.
- Unit 2 – \$84 million.
- Unit 3 – \$80 million.

Net assets and goodwill are allocated equally to the three units and any impairments of goodwill should be charged to cost of sales.

Note 2 – Alpha's investment in Gamma

On 1 August 2016, Alpha acquired 60 million of the 80 million \$1 equity shares in Gamma and gained control of Gamma. The acquisition was financed as follows:

- Alpha issued two new shares to the former shareholders of Gamma for every three shares Alpha acquired in Gamma. On 1 August 2016, the fair value of an equity share in Alpha was \$4.50.
- Alpha agreed to pay a total of \$16.2 million in cash to the former shareholders of Gamma on 31 July 2017. Alpha's incremental borrowing rate at 1 August 2016 was 8% per annum.
- Alpha agreed to issue additional shares in Alpha to the former shareholders of Gamma on 30 September 2019 if the cumulative profits of Gamma for the three-year period from 1 August 2016 to 31 July 2019 exceed a target amount. On 1 August 2016, the fair value of this contingent equity consideration was \$26 million.

Alpha has not yet accounted for this acquisition in its individual financial statements. However, you can assume that no impairment of the goodwill on acquisition of Gamma is necessary in the consolidated financial statements of Alpha for the year ended 31 March 2017. Alpha has resolved to use the proportion of net assets method for measuring the non-controlling interest when recognising the goodwill on the acquisition of Gamma.

On 1 August 2016, the fair values of the net assets of Gamma were the same as their carrying amounts in the financial statements of Gamma with the exception of:

- Land – whose fair value exceeded the carrying amount by \$30 million.
- Plant and equipment – whose fair value exceeded the carrying amount by \$12 million. The estimated remaining useful life of the plant and equipment of Gamma at 1 August 2016 was five years.

All depreciation of property, plant and equipment is charged to cost of sales. You can assume that the profit of Gamma for the year ended 31 March 2017 accrued evenly over the year.

Note 3 – Intra-group trading

Alpha supplies a component used by both Beta and Gamma. Alpha earns a profit margin of 20% on these supplies. Details of the sales of the component, and the holdings of inventory of the component by group entities, are as follows:

	Beta \$'000	Gamma \$'000
Sales of the component (for Gamma all sales since 1 August 2016)	20,000	10,000
Inventory of component at 31 March 2016 (at cost to Beta/Gamma)	4,000	Nil
Inventory of component at 31 March 2017 (at cost to Beta/Gamma)	6,000	4,800

Note 4 – Decommissioning provision

On 1 April 2016, Alpha completed the construction of an energy generating facility and brought the facility into use immediately. The cost of construction of the facility was included in property, plant and equipment and was also appropriately depreciated over the useful life of the facility, which was estimated at 16 years at 1 April 2016. At the end of the useful life of the facility, Alpha has an obligation to decommission the facility and restore its location to its former condition. The estimated cost of this decommissioning and restoration is \$8 million, payable on 31 March 2032. The directors of Alpha made a provision of \$8 million in respect of this liability, and charged \$8 million to administrative expenses in the year ended 31 March 2017. An appropriate discount rate to use in any discounting calculations is 8% per annum. At 1 April 2016, the present value of \$1 payable in 16 years' time at 8% can be taken as 30 cents.

Note 5 – Investment income

The investment income which is shown in Alpha's statement of profit or loss represents dividends received from Beta and Gamma and also dividends received from a portfolio of other equity investments. This portfolio is classified by Alpha as fair value through profit or loss. The gain on remeasurement of the portfolio to fair value at 31 March 2017 was \$6.5 million. This gain has not yet been recognised in the financial statements of Alpha.

Note 6 – Cash flow hedge

On 1 January 2017, Alpha agreed to purchase goods from a foreign supplier. This purchase is due to be made and paid for on 30 June 2017. The directors of Alpha decided to hedge the cash-flow risk attaching to this future purchase by entering into a derivative contract and to formally designate the derivative as a hedging instrument. The hedge met all of the effectiveness requirements for the use of hedge accounting. On 31 March 2017, the derivative had a positive fair value resulting in a gain to Alpha of \$5 million. Between 1 January 2017 and 31 March 2017 the expected cash flows in respect of the purchase of goods on 30 June 2017 had increased by \$4.2 million. Alpha has not made any accounting entries in respect of this arrangement.

Required:

- (a) Using the information in notes 1 and 2, compute the goodwill arising on the acquisitions of Beta and Gamma in the consolidated financial statements of Alpha.** (7 marks)
- (b) Prepare the consolidated statement of profit or loss and other comprehensive income of Alpha for the year ended at 31 March 2017. You do not need to consider the tax effects of any adjustments you make.** (26 marks)
- (c) Prepare the summarised consolidated statement of changes in equity of Alpha for the year ended 31 March 2017, including a column for the non-controlling interest.** (7 marks)

Note: You should show all workings to the nearest \$'000.

(40 marks)

- 2 Delta is an entity which prepares financial statements to 31 March each year. Each year, the financial statements are authorised for issue on 25 May. The following events have occurred which are relevant to the year ended 31 March 2017:

Event (a)

On 1 April 2016, Delta purchased an asset for \$771,000 and immediately leased this asset to entity X. The lease term was for five years and the lease rental, receivable annually in arrears on 31 March, was \$200,000. Delta incurred direct costs of \$20,000 in arranging this lease. The annual rate of interest implicit in this lease was 10%. Under the terms of the lease, entity X is responsible for insuring the asset and for carrying out any necessary repairs and maintenance of the asset. At a discount rate of 10% per annum the present value of \$1 receivable annually in arrears for five years is \$3.80. (8 marks)

Event (b)

On 1 April 2016, Delta entered into a joint arrangement with entity Y to jointly operate a delivery depot. Entity Y is located, and has major customers in, the same geographical region as Delta. Delta and entity Y each made the following payments in respect of the arrangement on 1 April 2016:

- \$25 million each to purchase a joint 25-year leasehold interest in a depot which was close to both Delta and entity Y's business premises. This depot was to act as headquarters for the delivery vehicles (see below).
- \$7.5 million each to purchase a fleet of delivery vehicles. The vehicles have an expected useful life of five years, with no expected residual value.

Delta and entity Y agreed to jointly use the delivery vehicles to deliver products to their customers, and to share the operating costs of the depot equally. Any delivery charges to customers were levied by Delta and entity Y directly at the discretion of the individual entities. During the year ended 31 March 2017, the total cash cost of operating the depot was \$8 million. This was paid equally by Delta and entity Y. In the year ended 31 March 2017, Delta charged its customers a total of \$2 million in delivery charges. (7 marks)

Event (c)

On 31 March 2017, Delta was owed \$10m by entity Z. The amount was due for payment by 30 April 2017. Entity Z has been a customer for many years and has an excellent payment record. At 31 March 2017, there was no reason to suppose that entity Z would fail to pay the \$10m owed to Delta by 30 April 2017. By 20 April 2017, entity Z's going concern status was in considerable doubt. (5 marks)

Required:

Explain and state (where possible by quantifying amounts) how the three events would be reported in the financial statements of Delta for the year ended 31 March 2017.

Note: The mark allocation is shown against each of the three events above. You should assume that all amounts described here are material.

(20 marks)

- 3 (a) Non-current assets are often a highly significant component of the total assets of an entity. Therefore, a number of different International Financial Reporting Standards have been published which regulate their definition, recognition, measurement and disclosure. IAS 1 *Presentation of Financial Statements* distinguishes between current and non-current assets. IAS 16 *Property, Plant and Equipment* and IAS 38 *Intangible Assets* specifically regulate the recognition, measurement and disclosure of tangible and intangible assets respectively.

Required:

Explain how:

(i) **IAS 1 distinguishes between current and non-current assets.** (3 marks)

(ii) **IAS 16 defines property, plant and equipment and IAS 38 defines intangible assets.** (4 marks)

- (b) Epsilon prepares financial statements to 31 March each year. The following events have occurred which are relevant to the year ended 31 March 2017:

- (i) On 1 April 2016, Epsilon purchased a new head office property for \$60 million. On 1 April 2016, Epsilon leased out the top three floors of the property to a third party on a long-term operating lease. The annual rental receivable by Epsilon was \$2 million, starting on 31 March 2017. The top three floors of the property were capable of being sold in a separate transaction. On 1 April 2016, the directors of Epsilon estimated that the initial cost of the property should be allocated as follows for accounting purposes:

	\$ million
Top three floors of building	15
Remainder – buildings component	20
Remainder – land component	25
Total initial cost	60

On 31 March 2017, the property had an estimated total fair value of \$64 million. The directors consider that 25% of this fair value was attributable to the top three floors of the property. The directors of Epsilon wish to use the cost model for measuring property, plant and equipment and the fair value model for measuring investment property. Epsilon depreciates the buildings component of properties over an estimated useful life of 50 years, with no estimated residual value. The rental payable to Epsilon on 31 March 2017 was paid in accordance with the terms of the lease. (8 marks)

- (ii) On 1 April 2016, Epsilon purchased a brand from a competitor for an agreed price of \$80 million. The directors of Epsilon believe that the useful life of the brand is indefinite. On 31 March 2017, no reliable estimate of its selling price was available but the directors of Epsilon estimated that the value in use of the brand was \$85 million. The directors of Epsilon wish to use the fair value model for measuring intangible assets whenever permitted by International Financial Reporting Standards. (5 marks)

Required:

Explain and state how the two events should be reported in the financial statements of Epsilon for the year ended 31 March 2017.

Note: The mark allocation is shown against each of the two events above.

(20 marks)

- 4 You are the financial controller of Omega, a listed entity which prepares consolidated financial statements in accordance with International Financial Reporting Standards (IFRS). One of your assistants, a trainee accountant, is involved in the preparation of the consolidated financial statements for the year ended 31 March 2017. She is also involved in the preparation of the individual financial statements for the entities in the group. She has sent you an email with the following queries:

Query One

On 1 April 2016 we acquired a new subsidiary. This subsidiary has always prepared its financial statements in \$ but has used IFRS for the first time this year. Previously, they have used local standards. This means that the comparative figures (they present comparatives for one year only), taken from last year's financial statements, will be based on local standards not IFRS. How do I make sure we are comparing like with like in the current year individual financial statements of the subsidiary? Please just give me the general procedure, rather than dealing with any specialised exemptions. (7 marks)

Query Two

I notice that on 1 April 2016 we lent \$50 million to a key supplier. The loan has an annual rate of interest of 5%, with interest of \$2.5 million payable on 31 March each year in arrears. The loan is repayable on 31 March 2026 but I believe that if interest rates change, we might consider assigning the loan to a third party. As it turns out, interest rates have fallen since 1 April 2016 and the fair value of the loan asset at 31 March 2017 was \$52 million. I have been told that this loan asset should be measured at 'fair value through other comprehensive income'. Why is this? I thought loan assets were measured at amortised cost. If the loan asset is measured at fair value through other comprehensive income, does the interest income get recorded in other comprehensive income rather than profit or loss? (6 marks)

Query Three

I'm not sure whether we need to make any entries in respect of the equity settled share-based payment scheme we started on 1 April 2016. I believe we granted options to 1,000 employees to purchase 100 shares in Omega for a fixed price. The options vest on 31 March 2021 subject to two conditions. The first vesting condition is that the employees remain employed by Omega throughout the five-year period up to the date of vesting. Best estimates are that 900 of the 1,000 will stay for that period – only 25 left in the year ended 31 March 2017. The other condition is that the Omega share price on 31 March 2021 should be at least \$10. The share price on 31 March 2017 was only \$8.50 so it doesn't look like this condition is satisfied yet. I've also noticed that the fair value of one share option was \$1 on 1 April 2016, rising to \$1.05 on 31 March 2017. Do we need any accounting entries and, if so, what should they be? (7 marks)

Required:

Provide answers to the three queries raised by the trainee accountant. Your answers should refer to relevant provisions of International Financial Reporting Standards.

Note: The split of the mark allocation is shown against each of the items above.

(20 marks)

End of Question Paper

Answers

Marks

1 (a) Computation of goodwill on acquisition of Beta and Gamma

	\$'000	\$'000	Explanations (where needed)	
Beta				
Cost of investment:				
Cash paid		150,000		1/2
Non-controlling interest at the date of acquisition		30,000	20,000 x \$1.50	1/2
Net assets at the date of acquisition		(147,000)		1/2
Goodwill on acquisition of Beta		<u>33,000</u>		
Gamma				
Cost of investment:				
Share exchange	180,000		60 million x 2/3 x \$4.50	1
Deferred cash consideration	15,000		\$16.2 million/1.08 – the present value of the cash payable	1
Contingent consideration	<u>26,000</u>		Measured at fair value at the date of acquisition	1/2
		221,000		
Non-controlling interest at the date of acquisition		55,500	20/80 x \$222 million (net assets of Gamma at date of acquisition – see below)	1
		<u>276,500</u>		
Net assets at the date of acquisition				
At 1 April 2016	166,500		As per Gamma's financial statements	1/2
Profits to 31 July 2016	13,500		4/12 x \$40.5 million (the profit for the year to 31 March 2017)	1
Fair value uplifts	<u>42,000</u>		\$30 million + \$12 million as per note 2	1/2
		(222,000)		
Goodwill on acquisition of Gamma		<u>54,500</u>		<u>7</u>

(b) Consolidated statement of profit or loss and other comprehensive income of Alpha for the year ended 31 March 2017

	\$'000	
Revenue (W1)	858,000	1 (W1)
Cost of sales (W2)	(503,110)	9½ (W2)
Gross profit	354,890	
Distribution costs (26,000 + 20,000 + 18,000 x 8/12)	(58,000)	½
Administrative expenses (W5)	(82,000)	1½
Investment income (W6)	8,100	2½ (W6)
Other income (W7)	800	1 (W7)
Finance costs (W8)	(56,992)	3 (W8)
Profit before tax	166,798	
Income tax expense (24,000 + 14,000 + 8/12 x 13,500)	(47,000)	½
Profit for the year	119,798	
Other comprehensive income:		
Items that will be reclassified to profit and loss		
Effective portion of gains on derivatives classified as cash flow hedges	4,200	1
Total comprehensive income for the year	123,998	
Profit attributable to:		
Owners of Alpha (balancing figure)	105,848	½
Non-controlling interest (W9)	13,950	3½ (W9)
	119,798	
Total comprehensive income attributable to:		
Owners of Alpha (balancing figure)	110,048	½
Non-controlling interest (as above)	13,950	1
	123,998	
		26

(c) Consolidated statement of changes in equity of Alpha for the year ended 31 March 2017

	Alpha group	Non-controlling interest	Total	
	\$'000	\$'000	\$'000	
At 1 April 2016 (W10/11)	286,000 (W10)	39,200 (W11)	325,200	2 (W10) + 1 (W11)
Increase due to acquisition (W12)	206,000	55,500	261,500	1½ (W12)
Comprehensive income for the year	110,048	13,950	123,998	½ + ½
Dividends paid (W13)	(40,000)	(7,600) (W13)	(47,600)	½ + 1 (W13)
At 31 March 2017	<u>562,048</u>	<u>101,050</u>	<u>663,098</u>	
				7
				40

WORKINGS – DO NOT DOUBLE COUNT MARKS. ALL NUMBERS IN \$'000 UNLESS OTHERWISE STATED.

Working 1 – Revenue

	\$'000	
Alpha + Beta + $\frac{8}{12}$ x Gamma	888,000	$\frac{1}{2}$
Intra-group revenue (20,000 + 10,000)	(30,000)	$\frac{1}{2}$
	<u>858,000</u>	<u>1</u>

Working 2 – Cost of sales

	\$'000	
Alpha + Beta + $\frac{8}{12}$ x Gamma	527,000	$\frac{1}{2}$
Intra-group purchases (as W1)	(30,000)	$\frac{1}{2}$
Unrealised profit:		
Closing inventory ($20\% \times (6,000 + 4,800)$)	2,160	$\frac{1}{2} + \frac{1}{2}$
Opening inventory ($20\% \times 4,000$)	(800)	$\frac{1}{2} + \frac{1}{2}$
Impairment of Beta goodwill (W3)	3,000	$3\frac{1}{2}$ (W3)
Extra depreciation on fair value adjustments:		
Plant and equipment ($12,000 \times \frac{1}{5} \times \frac{8}{12}$)	1,600	1
Extra depreciation of capitalised provision (W4)	150	2 (W4)
	<u>503,110</u>	<u>$9\frac{1}{2}$</u>

Working 3 – Impairment of Beta goodwill

	Unit 1 \$'000	Unit 2 \$'000	Unit 3 \$'000	Total \$'000	
Net assets at 31 March 2017 (as per SOCIE)	72,000	72,000	72,000	216,000	$\frac{1}{2}$
Allocated goodwill	<u>11,000</u>	<u>11,000</u>	<u>11,000</u>	<u>33,000</u>	$\frac{1}{2}$
	83,000	83,000	83,000	249,000	$\frac{1}{2}$
Recoverable amount	<u>87,000</u>	<u>84,000</u>	<u>80,000</u>		$\frac{1}{2}$
So impairment equals	<u>Nil</u>	<u>Nil</u>	<u>3,000</u>	<u>3,000</u>	$\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$
					<u>$3\frac{1}{2} \Rightarrow W2$</u>

Working 4 – Provision

	\$'000	
Provision required at 1 April 2016 ($8,000 \times 0.30$)	<u>2,400</u>	1
So extra depreciation ($\frac{1}{16}$) equals	<u>150</u>	1
		<u>2 $\Rightarrow W2$</u>

Working 5 – Administrative expenses

	\$'000	
Alpha + Beta + $\frac{8}{12}$ x Gamma	90,000	$\frac{1}{2}$
Reversal of incorrectly charged provision	(8,000)	1
	<u>82,000</u>	<u>$1\frac{1}{2}$</u>

Working 6 – Investment income

	\$'000	
Alpha	28,000	$\frac{1}{2}$
Intra-group dividends eliminated:		$\frac{1}{2}$
– Beta ($80\% \times 18,000$)	(14,400)	$\frac{1}{2}$
– Gamma (paid post-acquisition – $75\% \times 16,000$)	(12,000)	$\frac{1}{2}$
Gain on remeasurement of FVTPL investments	<u>6,500</u>	$\frac{1}{2}$
	<u>8,100</u>	<u>$2\frac{1}{2}$</u>

Working 7 – Other income

	\$'000	
Ineffective portion of cash flow hedge ($5,000 - 4,200$)	<u>800</u>	1

Working 8 – Finance cost

	\$'000	
Alpha + Beta + $\frac{8}{12} \times \text{Gamma}$	56,000	$\frac{1}{2}$
Finance cost on deferred consideration ($15,000 \text{ (part(a))} \times 8\% \times \frac{8}{12}$)	800	$1\frac{1}{2}$
Finance cost on decommissioning provision ($2,400 \text{ (W4)} \times 8\%$)	192	1
	<u>56,992</u>	<u>3</u>

Working 9 – Non-controlling interest in profit

	Beta \$'000	Gamma (8/12) \$'000	Total \$'000	
Profit after tax	41,000	27,000		$\frac{1}{2} + \frac{1}{2}$
Impairment of Beta goodwill (W3)	(3,000)			$\frac{1}{2}$
Extra depreciation – Gamma (W2)		(1,600)		$\frac{1}{2}$
Relevant profit	<u>38,000</u>	<u>25,400</u>		$\frac{1}{2}$
Non-controlling interest (20%/25%)	<u>7,600</u>	<u>6,350</u>	<u>13,950</u>	$\frac{1}{2} + \frac{1}{2}$
				<u>$3\frac{1}{2}$</u>

Working 10 – Opening equity – Alpha group

	\$'000	
Alpha	250,000	$\frac{1}{2}$
Beta: $80\% \times (193,000 - 147,000)$	36,800	$\frac{1}{2} + \frac{1}{2}$
Unrealised profit on opening inventory (W2)	(800)	$\frac{1}{2}$
	<u>286,000</u>	<u>2</u>

Working 11 – Opening non-controlling interest (in Beta)

	\$'000	
At date of acquisition (part (a))	30,000	$\frac{1}{2}$
Increase since acquisition: $20\% (193,000 - 147,000)$	9,200	$\frac{1}{2}$
At start of the year	<u>39,200</u>	<u>1</u>

Working 12 – Increase to equity as a result of the acquisition of Gamma

	\$'000	
Equity shares issued (part (a))	180,000	$\frac{1}{2}$
Contingent equity consideration (part (a))	26,000	$\frac{1}{2}$
So group element equals	206,000	1
Non-controlling interest in Gamma at the date of acquisition (part (a))	55,500	$\frac{1}{2}$
So total increase equals	<u>261,500</u>	<u>$1\frac{1}{2}$</u>

Working 13 – Dividends paid to non-controlling interest

	\$'000	
Beta ($18,000 \times 20\%$)	3,600	$\frac{1}{2}$
Gamma ($16,000 \times 25\%$)	4,000	$\frac{1}{2}$
Total	<u>7,600</u>	<u>1</u>

- 2 (a)** It would appear that the lease of the asset to entity X is a finance lease. This is because entity X is responsible for repairs, maintenance and insurance of the asset and because the present value of the minimum lease payments by entity X is \$760,000 ($200,000 \times \3.80). This is 98.6% of the fair value of the asset at the inception of the lease (\$771,000).

1 (for decision)
+ 2 (for reasons)

Because the lease is a finance lease, Delta will show a lease receivable – net investment in finance leases under non-current assets.

1 (principle of this)

The carrying amount of the lease receivable on 1 April 2016 will be \$791,000 ($\$771,000 + \$20,000$).

1

During the year ended 31 March 2017, Delta will recognise income from finance leases in the statement of profit or loss. The amount recognised will be \$79,100 ($\$791,000 \times 10\%$).

1 (principle)
+ 1 (calculation)

Marks

Following recognition of the lease income and the rental payment from Delta on 31 March 2017, the net investment in finance leases in the statement of financial position of Delta at 31 March 2017 will be \$670,100 (\$791,000 + \$79,100 – \$200,000).

1

8

- (b) The joint arrangement with entity Y is a joint operation because Delta and entity Y have equal rights to the assets and joint obligations for the liabilities relating to the arrangement.

1 (principle)
+ 1 (reason)

In a joint operation, the operators include their share of any jointly held assets. Therefore the property, plant and equipment of Delta at 31 March 2017 will include:

- Leasehold property of \$25m x 24/25 = \$24m
- Plant and equipment of \$7.5m x 4/5 = \$6m

1 (principle)
+ 1 (computation)

In a joint operation, the operators include their share of jointly incurred costs. Therefore the statement of profit or loss of Delta for the year ended 31 March 2017 will include the following costs:

- Amortisation of lease premium \$1m.
- Depreciation of plant and equipment \$1.5m.
- Cash cost of operating the depot \$4m.

½ (principle)
+ 1½ (computation)

Delta will also include its own discretionary delivery charges of \$2m as a reduction in its operating costs.

1

7

- (c) Doubts regarding the going concern status of a customer would normally be regarded as *prima facie* evidence that any trade receivable had suffered impairment. In such circumstances an impairment allowance equal to the expected losses would normally be appropriate.

1

However, IFRS 9 *Financial Instruments* requires the impairment assessment to be made **at the reporting date**.

1

At the reporting date, the going concern status of Z was not in doubt, so in this case no allowance is necessary.

1

However, the information about the decline in the going concern status of Z after the reporting date is a non-adjusting event after the reporting date.

1

Therefore whilst no impairment allowance is necessary, it will be necessary to disclose details of the 20 April event at Z's business premises and its impact on the collectability of Delta's trade receivable.

1

5

20

- 3 (a) (i) IAS 1 distinguishes between current and non-current assets by identifying the meaning of the term 'current asset'.

½

An asset is classified as current when the entity:

- Expects to realise the asset, or intends to sell or consume it, in its normal operating cycle.
- Holds the asset primarily for the purpose of trading.
- Expects to realise the asset within 12 months after the reporting period.
- Has cash or a cash equivalent which is not subject to an exchange restriction.

½

½

½

½

An entity classifies all other assets as non-current.

½

3

NB: Exact wordings NOT required for marks.

- (ii) IAS 16 defines property, plant and equipment as **tangible** items which are held for **use** in the production or supply of goods and services, for **rental** to others, or for **administrative** purposes and are expected to be used for **more than one period**.

½ + ½

½

½ + ½

IAS 38 defines intangible assets as **identifiable**, **non-monetary** assets without **physical substance**.

½ + ½

½

4

NB: Exact wordings NOT required for marks.

	Marks
(b) (i) The property purchased for \$60 million is a mixed-use property. The property is being partly owner occupied and partly used for investment purposes. IAS 40 <i>Investment Property</i> states that where a property is held for mixed-use in this way, then the portions should be accounted for separately if they could be sold separately. This applies here. The investment property has an 'effective original cost' of \$15 million. Since the fair value model is being used to measure investment property, the investment property will not be depreciated but remeasured to fair value at 31 March 2017, with gains or losses on remeasurement being recognised in profit or loss. Therefore the year-end carrying amount of the investment property will be \$16 million (\$64 million x 25%) and a remeasurement gain of \$1 million (\$16 million – \$15 million) will be recognised in profit or loss. The investment property will be shown as a non-current asset in the statement of financial position. Since the lease is an operating lease, Epsilon (as lessor) will recognise rental income of \$2 million in profit or loss for the year ended 31 March 2017. The remainder of the property, having an original cost of \$45 million (\$60 million – \$15 million), will be accounted for as property, plant and equipment and measured under the cost model. The buildings component will be depreciated and the charge for the year ended 31 March 2017 will be \$400,000 (\$20 million x 1/50). This charge will be recognised in profit or loss. The carrying amount of the property, plant and equipment at 31 March 2015 will be \$44.6 million (\$45 million – \$400,000). This will be shown as a non-current asset in the statement of financial position	1 (explanation) 1/2 1 (explanation) + 1 (computation) 1/2 1 1 1 1 1 8
(ii) Since the brand has been separately purchased, IAS 38 <i>Intangible Assets</i> requires that it is initially recognised at its cost of \$80 million. Epsilon is unable to use the revaluation model to measure the brand because IAS 38 requires the existence of an active market in the asset before this can occur – this is clearly not present in this situation as the brand name is unique. Under the cost model, intangible assets are amortised over their useful lives. If the useful life is assessed as indefinite, then no amortisation is charged but the asset must be reviewed annually for impairment. In this case no impairment is evident as the value in use is \$85 million, so the brand will be shown as a non-current intangible asset at its original cost of \$80 million.	1 1 2 1 5 20

4 Query One

When an entity adopts International Financial Reporting Standards (IFRSs) for the first time, the entity needs to prepare an opening IFRS statement of financial position at the date of transition to IFRS. This is a requirement of IFRS 1 <i>First Time Adoption of International Financial Reporting Standards</i> .	1
The date of transition to IFRS is the beginning of the earliest period for which the entity provides comparative information. In our case, this date is 1 April 2015.	1
The opening IFRS statement of financial position should be prepared in accordance with IFRSs which are in force for the current reporting period – in this case, the year ended 31 March 2017.	1
The statement of profit or loss and other comprehensive income, and the statement of changes in equity, which are presented as comparative figures in the financial statements for the year ended 31 March 2017, shall also be prepared in accordance with IFRSs which are in force for the year ended 31 March 2017.	1
In the first set of financial statements we will need a reconciliation of those amounts which were previously reported under local standards in the previous year's financial statements.	1
The reconciliation will be between the amounts reported in previous periods under local standards and the equivalent amounts reported as comparatives in the current period under IFRSs.	1

	Marks
For us, this will mean reconciling equity at 1 April 2015 and 31 March 2016, plus total comprehensive income for the year ended 31 March 2016.	1
	<u>7</u>
Query Two	
The measurement basis for financial assets is set out in IFRS 9 <i>Financial Instruments</i> . The measurement basis depends on the business model for managing the financial asset and the contractual cash flow characteristics of the financial asset.	1
In order for the financial asset to be measured at amortised cost, the contractual terms should give rise to cash flows on specified dates which are solely payments of principal and interest on the amounts outstanding. This condition is satisfied in the case of the loan you are querying.	1
There is, however, another condition to be satisfied. The asset should be held under a business model whose objective is to hold the financial asset in order to collect the contractual cash flows. This condition is not satisfied, given the possibility of assigning the loan should interest rates rise.	1
A financial asset is measured at fair value through other comprehensive income where the 'contractual cash flow test' is passed and the asset is held under a business model whose objective is achieved both by collecting the contractual cash flows and by selling the financial asset. This appears to be the case here, so classification as fair value through other comprehensive income seems appropriate.	1
Where a financial asset is measured at fair value through other comprehensive income, the interest income which is included in profit or loss is the same amount as would be recorded were the asset to be measured at amortised cost. Therefore interest income of \$2.5 million will be recorded in profit or loss.	1
The increase in fair value of \$2 million (\$52 million – \$50 million) will be recorded in other comprehensive income.	1
	<u>6</u>
Query Three	
Under the provisions of IFRS 2 <i>Share-based Payment</i> , this arrangement is an equity settled share-based payment.	1
IFRS 2 regulates the treatment of vesting conditions based on whether they are market based or non-market based.	1
A market based vesting condition is taken into account by reflecting it in the measurement of the fair value of the option. It does not need to be considered subsequently as to do so would result in double-counting. Therefore the condition relating to the share price can be ignored after the fair value of \$1 is determined.	1
A non-market condition is taken into account by reflecting it in the calculation of the number of options ultimately expected to vest. In this case, that number would be 90,000 (900 x 100).	1
The cost of the arrangement is recognised over the vesting period, based on the fair value of the option at the grant date.	1
The amount recognised for the year ended 31 March 2017 would be \$18,000 (90,000 x \$1 x 1/5).	1
This amount is recognised as an employment cost (probably in profit or loss) and a corresponding credit to equity.	1
	<u>7</u>
	<u>20</u>

Diploma in International Financial Reporting

Friday 8 December 2017



Time allowed: 3 hours 15 minutes

ALL FOUR questions are compulsory and MUST be attempted.

Do NOT open this question paper until instructed by the supervisor.

This question paper must not be removed from the examination hall.

Think Ahead

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Accountants

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The question paper begins on page 3.

ALL FOUR questions are compulsory and MUST be attempted

- 1 Alpha has two subsidiaries, Beta and Gamma. The draft statements of financial position of the three entities at 30 September 2017 are as follows:

	Alpha \$'000	Beta \$'000	Gamma \$'000
Assets			
Non-current assets:			
Property, plant and equipment (Note 2)	610,000	310,000	160,000
Investments (Note 1)	370,700	Nil	Nil
	<u>980,700</u>	<u>310,000</u>	<u>160,000</u>
Current assets:			
Inventories (Note 3)	140,000	85,000	66,000
Trade receivables	95,000	70,000	59,000
Cash and cash equivalents	16,000	13,000	11,000
	<u>251,000</u>	<u>168,000</u>	<u>136,000</u>
Total assets	<u>1,231,700</u>	<u>478,000</u>	<u>296,000</u>
Equity and liabilities			
Equity:			
Share capital (\$1 shares)	240,000	120,000	100,000
Retained earnings	550,700	168,000	59,000
Other components of equity (Notes 2, 6 and 7)	202,000	Nil	Nil
Total equity	<u>992,700</u>	<u>288,000</u>	<u>159,000</u>
Non-current liabilities:			
Long-term borrowings (Note 7)	100,000	70,000	60,000
Deferred tax	59,000	38,000	35,000
Total non-current liabilities	<u>159,000</u>	<u>108,000</u>	<u>95,000</u>
Current liabilities:			
Trade and other payables	60,000	52,000	32,000
Short-term borrowings	20,000	30,000	10,000
Total current liabilities	<u>80,000</u>	<u>82,000</u>	<u>42,000</u>
Total equity and liabilities	<u>1,231,700</u>	<u>478,000</u>	<u>296,000</u>

Note 1 – Summary of Alpha's investments

The investments figure in the individual financial statements of Alpha is made up as follows:

	\$'000
Investment in Beta (Note 2)	236,500
Investment in Gamma (Note 3)	121,200
Other equity investments (Note 4)	13,000
	<u>370,700</u>

Note 2 – Alpha's investment in Beta

On 1 October 2012, Alpha acquired 90 million shares in Beta by means of a share exchange of two shares in Alpha for every three shares acquired in Beta. On 1 October 2012, the market value of an Alpha share was \$3.90. Alpha incurred directly attributable costs of \$2.5 million on acquisition of Beta relating to the cost of issuing its own shares.

On 1 October 2012, the individual financial statements of Beta showed retained earnings of \$60 million.

The directors of Alpha carried out a fair value exercise to measure the identifiable assets and liabilities of Beta at 1 October 2012. The following matters emerged:

- Property which had a carrying amount of \$150 million (land component \$45 million) had an estimated fair value of \$210 million (land component \$66 million). The buildings component of the property had an estimated remaining useful life of 30 years at 1 October 2012.
- Plant and equipment which had a carrying amount of \$122 million had an estimated fair value of \$145 million. The estimated remaining useful life of the plant at 1 October 2012 was four years.
- On 1 October 2012, the directors of Alpha identified a brand name relating to Beta which had a fair value of \$25 million. This brand name was not recognised in the individual financial statements of Beta as it was internally developed. The directors of Alpha considered that the useful life of the brand name was 25 years from 1 October 2012.
- The fair value adjustments have not been reflected in the individual financial statements of Beta. In the consolidated financial statements, the fair value adjustments will be regarded as temporary differences for the purposes of calculating deferred tax. The rate of deferred tax to apply to temporary differences is 20%.

No impairment of the goodwill on acquisition of Beta has been evident since 1 October 2012. On 1 October 2012, the directors of Alpha initially measured the non-controlling interest in Beta at its fair value on that date. On 1 October 2012, the fair value of an equity share in Beta (which can be used to measure the fair value of the non-controlling interest) was \$2.35.

Note 3 – Alpha's investment in Gamma

On 1 October 2016, Alpha acquired 80 million shares in Gamma by means of a cash payment of \$120 million. Alpha incurred due diligence costs of \$1.2 million associated with this purchase. The purchase agreement provided for an additional cash payment of \$56 million to the former holders of the 80 million acquired shares on 1 October 2018. An appropriate annual discount rate to use in any relevant discounting to measure the fair value of this additional cash payment is 8%.

On 1 October 2016, the individual financial statements of Gamma showed retained earnings of \$50 million.

On 1 October 2016, the fair values of the net assets of Gamma were the same as their carrying amount with the exception of some inventory which was recognised in the individual financial statements of Gamma at a cost of \$12 million. The directors of Alpha considered that this inventory had a fair value of \$15 million on 1 October 2016. This inventory was all sold by Gamma prior to 30 September 2017. The fair value adjustment was not reflected in the individual financial statements of Gamma. In the consolidated financial statements, the fair value adjustment will be regarded as a temporary difference for the purposes of calculating deferred tax. The rate of deferred tax to apply to temporary differences is 20%.

No impairment of the goodwill on acquisition of Gamma has been evident since 1 October 2016. On 1 October 2016, the directors of Alpha initially measured the non-controlling interest in Gamma at its fair value on that date. On 1 October 2016, the fair value of an equity share in Gamma was \$1.75.

Note 4 – Other equity investments by Alpha

Alpha has a portfolio of equity investments which are classified in accordance with IFRS 9 – *Financial Instruments* – as 'fair value through profit or loss'. The carrying amount included in the financial statements of Alpha represents the fair value of the portfolio at 1 October 2016, which has been correctly adjusted for purchases and disposals in the year. The fair value of the portfolio at 30 September 2017 was \$13.8 million.

Note 5 – Trade receivables and payables

On 29 September 2017, Gamma made a payment of \$8 million to Beta to eliminate the intra-group balances at that date. This payment was received and recorded by Beta on 2 October 2017.

Note 6 – Share-based payment

On 1 October 2015, Alpha granted 200 senior managers options to buy 100,000 shares each between 30 September 2018 and 31 December 2018. The options are due to vest on 30 September 2018 provided the relevant managers remain employed over the three-year vesting period ending on that date. Since 1 October 2015 the expectation of the number of managers for whom the options would vest has varied as follows:

Date	Expected number of managers for whom the options will vest
1 October 2015	200
30 September 2016	180
30 September 2017	190

In preparing the financial statements of Alpha for the year ended 30 September 2016, the directors of Alpha debited retained earnings and credited other components of equity with the appropriate amount required by IFRS 2 – *Share-based payment*. The directors of Alpha have made no additional accounting entries in respect of the options in the draft financial statements for the year ended 30 September 2017.

On 1 October 2015, the fair value of one option was estimated to be \$1.20. The fair value of the same option at 30 September 2016 and 2017 was estimated to be \$1.25 and \$1.30 respectively.

Note 7 – Long-term borrowing

On 1 October 2016, Alpha issued 60 million \$1 loan notes at par. The annual rate of interest (payable in arrears) on the loan notes is 6%. The loan notes are repayable at par on 30 September 2026. As an alternative to repayment, the holders of the loan notes can elect to convert their loan notes into equity shares of Alpha on 30 September 2026. Had the conversion option not been available, the investors in the loan notes would have required an annual return of 9%.

Discount factors which may be relevant at 6% and 9% are as follows:

Discount rate	Present value of \$1 receivable in 10 years	Present value of \$1 receivable at the end of years 1–10
6%	55.8 cents	\$7.36
9%	42.2 cents	\$6.42

In preparing the draft financial statements for the year ended 30 September 2017, the directors of Alpha credited \$60 million to long-term borrowings and showed the interest paid to the investors as a finance cost.

Required:

Prepare the consolidated statement of financial position of Alpha at 30 September 2017. You need only consider the deferred tax implications of any adjustments you make where the question specifically refers to deferred tax.

(40 marks)

2 Delta prepares its financial statements to 30 September each year. The financial statements for the year ended 30 September 2017 are shortly to be authorised for issue. The following events are relevant to these financial statements:

- (a) Delta operates a defined benefit retirement benefits plan on behalf of current and former employees. Delta receives advice from actuaries regarding contribution levels and overall liabilities of the plan to pay benefits. On 1 October 2016, the actuaries advised that the present value of the defined benefit obligation was \$60 million. On the same date, the fair value of the assets of the defined benefit plan was \$52 million. On 1 October 2016, the annual market yield on high quality corporate bonds was 5%.

During the year ended 30 September 2017, Delta made contributions of \$7 million into the plan and the plan paid out benefits of \$4.2 million to retired members. You can assume that both these payments were made on 30 September 2017.

The actuaries advised that the current service cost for the year ended 30 September 2017 was \$6.2 million. On 31 August 2017, the rules of the plan were amended with retrospective effect. These amendments meant that the present value of the defined benefit obligation was increased by \$1.5 million from that date.

During the year ended 30 September 2017, Delta was in negotiation with employee representatives regarding planned redundancies. The negotiations were completed shortly before the year end and redundancy packages were agreed. The impact of these redundancies was to reduce the present value of the defined benefit obligation by \$8 million. Before 30 September 2017, Delta made payments of \$7.5 million to the employees affected by the redundancies in compensation for the curtailment of their benefits. These payments were made out of the assets of the retirement benefits plan.

On 30 September 2017, the actuaries advised that the present value of the defined benefit obligation was \$68 million. On the same date, the fair value of the assets of the defined benefit plan were \$56 million.

(11 marks)

- (b) On 1 April 2017, Delta completed the construction of a power generating facility. The total construction cost was \$20 million. The facility was capable of being used from 1 April 2017 but Delta did not bring the facility into use until 1 July 2017. The estimated useful life of the facility at 1 April 2017 was 40 years.

Under legal regulations in the jurisdiction in which Delta operates, there are no requirements to restore the land on which power generating facilities stand to its original state at the end of the useful life of the facility. However, Delta has a reputation for conducting its business in an environmentally friendly way and has previously chosen to restore similar land even in the absence of such legal requirements. The directors of Delta estimated that the cost of restoring the land in 40 years' time (based on prices prevailing at that time) would be \$10 million. A relevant annual discount rate to use in any discounting calculations is 5%. When the annual discount rate is 5%, the present value of \$1 receivable in 40 years' time is approximately 14.2 cents.

(9 marks)

Required:

Explain and show how the two events would be reported in the financial statements of Delta for the year ended 30 September 2017. When considering the reporting of events in the statement of comprehensive income, you should distinguish between events being reported in profit or loss from events being reported in other comprehensive income, where this is relevant. However, you do not need to comment on potential future reclassification issues.

Note: The mark allocation is shown against both of the two events above.

(20 marks)

- 3** IFRS 16 – *Leases* – was issued in January 2016 and applies to accounting periods beginning on or after 1 January 2019. However, earlier application is permitted. IFRS 16 replaces IAS 17 – *Leases*. IFRS 16 makes substantial changes to the requirements for the recognition of rights and obligations under leasing arrangements for lessees.

Required:

(a) Explain:

- (i) Why the International Accounting Standards Board considered it necessary to make significant changes to the requirements for the recognition of rights and obligations under leasing arrangements in the financial statements of lessees.** (4 marks)
- (ii) How IFRS 16 requires lessees to recognise and measure rights and obligations under leasing arrangements.** (4 marks)
- (iii) Any exceptions to the usual requirements you have outlined in (ii) above. Your answer should briefly describe the accounting treatment required in the case of such exceptions and, where appropriate, the types of assets which these exceptions might apply to.** (4 marks)

Kappa prepares financial statements to 30 September each year. On 1 October 2016, Kappa began to lease a property on a 10-year lease. The annual lease payments were \$500,000, payable in arrears – the first payment being made on 30 September 2017. Kappa incurred initial direct costs of \$60,000 in arranging this lease. The annual rate of interest implicit in the lease is 10%. When the annual discount rate is 10%, the present value of \$1 payable at the end of years 1–10 is 6.145 dollars.

Required:

- (b) Explain and show how these transactions would be reported in the financial statements of Kappa for the year ended 30 September 2017 under IFRS 16 – *Leases*.** (8 marks)

(20 marks)

- 4 You are the financial controller of Omega, a listed entity which prepares consolidated financial statements in accordance with International Financial Reporting Standards (IFRS). You have recently prepared the financial statements for the year ended 30 September 2017 and these are due to be published shortly. The managing director has reviewed these financial statements and has prepared a list of queries arising out of the review.

Query One

I'm confused about our treatment of equity investments in listed entities that we don't control. There seem to be two different treatments in our financial statements. One of the notes to the financial statements says that the equity investments we hold to temporarily invest surplus cash balances are measured at fair value and that changes in fair value are recognised in profit or loss. Another note says that the equity investment we hold in a key supplier is measured at fair value and that changes in fair value are recognised in other comprehensive income (OCI). Earnings per share (EPS) is a key performance indicator for Omega, so please explain how it can be justified to use two different treatments for equity investments made by the same entity. Please also explain what the impact on EPS might be if a gain or loss is reported in OCI rather than profit or loss. (6 marks)

Query Two

I noticed that OCI includes a gain of \$64 million relating to the revaluation of our portfolio of properties. I looked in the notes to check that a corresponding amount of \$64 million had been added to property, plant and equipment. However, the note explaining movements in property, plant and equipment showed a revaluation increase of \$80 million. There was a reference to tax in one of the notes I looked at but I don't see why this is relevant. I know our rate of tax is 20% and this would explain the difference but we won't pay any tax on this gain unless we sell the properties. We have no intention of selling any of them in the foreseeable future, so what relevance does tax have? Please explain the difference between the \$64 million gain in OCI and the \$80 million gain added to property, plant and equipment. (6 marks)

Query Three

I'm aware that on 31 December 2016 we acquired a new subsidiary and therefore its results and net assets are included in our consolidated financial statements for the year ended 30 September 2017. I seem to recall from the discussions we held at the time that the year end of this subsidiary is 31 May rather than 30 September. How do we deal with the fact that the year ends are different when we prepare the consolidated financial statements? Do we have to prepare additional special information for this subsidiary when we consolidate? (4 marks)

Query Four

As you know, my son owns a business that supplies us with a very small proportion of the components that we use in our production process. This business is one of a number that supply us with these components and the overall quantity is totally insignificant to us. I was very surprised to see that details of these transactions with my son's business have been disclosed in the notes to the draft financial statements. This seems ridiculous when transactions with far more significant suppliers are not disclosed at all. Please explain the rationale of this disclosure to me. (4 marks)

Required:

Provide answers to the queries raised by the managing director. You should justify your answers with reference to relevant International Financial Reporting Standards.

Note: The mark allocation is shown against each of the four queries above.

(20 marks)

End of Question Paper

Answers

Marks

1 Consolidated statement of financial position of Alpha at 30 September 2017

Assets	\$'000	
Non-current assets:		
Property, plant and equipment (610,000 + 310,000 + 160,000) + [60,000 – 6,500] (W1))	1,133,500	$\frac{1}{2} + \frac{1}{2}$
Goodwill (W3)	88,711	9½ (W3)
Brand name (W1)	20,000	$\frac{1}{2}$
Investments	13,800	$\frac{1}{2}$
	<u>1,256,011</u>	
Current assets:		
Inventories (140,000 + 85,000 + 66,000)	291,000	$\frac{1}{2}$
Trade receivables (95,000 + 70,000 + 59,000 – 8,000 (intra-group))	216,000	$\frac{1}{2} + \frac{1}{2}$
Cash and cash equivalents (16,000 + 13,000 + 11,000 + 8,000 (cash in transit))	48,000	$\frac{1}{2} + \frac{1}{2}$
	<u>555,000</u>	
Total assets	<u><u>1,811,011</u></u>	
Equity and liabilities		
Equity attributable to equity holders of the parent		
Share capital	240,000	$\frac{1}{2}$
Retained earnings (W5)	603,280	16 (W5)
Other components of equity (W8)	219,068	2½ (W8)
	<u>1,062,348</u>	
Non-controlling interest (W4)	126,920	2 (W4)
Total equity	<u>1,189,268</u>	
Non-current liabilities:		
Long-term borrowings (W9)	219,191	2 (W9)
Deferred consideration (W10)	51,852	1 (W10)
Deferred tax (W11)	146,700	1 (W11)
Total non-current liabilities	<u>417,743</u>	
Current liabilities:		
Trade and other payables (60,000 + 52,000 + 32,000)	144,000	$\frac{1}{2}$
Short-term borrowings (20,000 + 30,000 + 10,000)	60,000	$\frac{1}{2}$
Total current liabilities	<u>204,000</u>	40
Total equity and liabilities	<u><u>1,811,011</u></u>	

WORKINGS – DO NOT DOUBLE COUNT MARKS. ALL NUMBERS IN \$'000 UNLESS OTHERWISE STATED.

Working 1 – Net assets table – Beta

	1 October 2012 \$'000	30 September 2017 \$'000	For W3	For W5
Share capital	120,000	120,000	½	
Retained earnings:				
Per accounts of Beta	60,000	168,000	½	½
Fair value adjustments:				
Property (210,000 – 150,000)	60,000	60,000	½	½
Extra depreciation due to buildings uplift ((144,000 – 105,000) x 5/30)		(6,500)		½
Plant and equipment (145,000 – 122,000)	23,000	Nil	½	½
Brand	25,000	25,000	½	½
Extra amortisation due to brand uplift (25,000 x 5/25)		(5,000)		½
Deferred tax on fair value adjustments:				
Date of acquisition (20% x 108,000 (see above))	(21,600)		½	
Year end (20% x 73,500 (see above))		(14,700)		½
Net assets for the consolidation	<u>266,400</u>	<u>346,800</u>		

The post-acquisition increase in net assets is 80,400 (346,000 – 266,400).

	½
<u>3</u>	<u>4</u>
⇒W3	⇒W5

Working 2 – Net assets table – Gamma

	1 October 2016 \$'000	30 September 2017 \$'000	For W3	For W5
Share capital	100,000	100,000	½	
Retained earnings:	50,000	59,000	½	½
Inventory adjustment	3,000	Nil	½	½
Deferred tax on inventory value adjustment:				
Date of acquisition (20% x 3,000 (see above))	(600)		½	
Year end (20% x nil (see above))		Nil		½
Net assets for the consolidation	<u>152,400</u>	<u>159,000</u>		

The post-acquisition increase in net assets is 6,600 (159,000 – 152,400)

	½
<u>2</u>	<u>2</u>
⇒W3	⇒W5

Working 3 – Goodwill on consolidation

	Beta \$'000	Gamma \$'000	
Costs of investment:			
Shares issued to acquire Beta (90,000 x 2/3 x \$3.90)	234,000		1
Cash paid to acquire shares in Gamma		120,000	½
Deferred consideration re: Gamma acquisition (56,000/(1.08) ²)		48,011	1
Non-controlling interests at date of acquisition:			
Beta – 30,000 x \$2.35	70,500		½ + ½
Gamma – 20,000 x \$1.75		35,000	½ + ½
Net assets at date of acquisition (W1/W2)	<u>(266,400)</u>	<u>(152,400)</u>	3 (W1) + 2 (W2)
	<u>38,100</u>	<u>50,611</u>	<u>9½</u>

The total goodwill is 88,711 (38,100 + 50,611)

Working 4 – Non-controlling interests

	Beta \$'000	Gamma \$'000	
At date of acquisition (W3)	70,500	35,000	$\frac{1}{2} + \frac{1}{2}$
Share of post-acquisition increase in net assets per workings 1 and 2:			
Beta – 25% x 80,400 (W1)	20,100		$\frac{1}{2}$
Gamma – 20% x 6,600 (W2)		1,320	$\frac{1}{2}$
	<u>90,600</u>	<u>36,320</u>	<u>2</u>

The total NCI is 126,920 (90,600 + 36,320)

Working 5 – Retained earnings

	\$'000	
Alpha	550,700	$\frac{1}{2}$
Adjustment for acquisition costs:		
Gamma	(1,200)	$\frac{1}{2}$
Finance cost on deferred consideration (8% x 48,011 (W3))	(3,841)	1
Alpha revaluation of FVTPL investments (13,800 – 13,000)	800	1
Additional charge for share-based payment (W6)	(8,000)	$2\frac{1}{2}$ (W6)
Additional finance cost on convertible loan (W7)	(759)	3 (W7)
Beta (75% x 80,400 (W1))	60,300	$\frac{1}{2} + 4$ (W1)
Gamma (80% x 6,600 (W2))	5,280	$\frac{1}{2} + 2$ (W2)
	<u>603,280</u>	<u>$15\frac{1}{2}$</u>

Working 6 – Additional charge for share-based payment

	\$'000	
Closing cumulative charge required \$(190 x 100,000 x \$1.20 x 2/3)	15,200	$\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$
Opening amount already taken to other components of equity \$(180 x 100,000 x \$1.20 x 1/3)	<u>(7,200)</u>	$\frac{1}{2} + \frac{1}{2}$
So additional charge required is	<u>8,000</u>	$2\frac{1}{2}$
		$\Rightarrow$ W5

Working 7 – Convertible loan

	\$'000	
Loan element		
Present value of interest stream (60,000 x 6% x 6.42)	23,112	1
Present value of repayment amount (60,000 x 0.422)	25,320	1
So loan component is	48,432	
Annual finance cost at 9% is	4,359	$\frac{1}{2}$
Finance cost charged in draft financial statements of Alpha (60,000 x 6%)	<u>(3,600)</u>	$\frac{1}{2}$
So adjustment equals	<u>759</u>	3
		$\Rightarrow$ W5

Working 8 – Other components of equity

	\$'000	
Alpha – per own financial statements	202,000	$\frac{1}{2}$
Cost of shares issued to acquire Beta	(2,500)	$\frac{1}{2}$
Adjustment caused by share-based payment (W6)	8,000	$\frac{1}{2}$
Equity component of convertible loan (60,000 – 48,432 (W7))	11,568	1
	<u>219,068</u>	<u>$2\frac{1}{2}$</u>

Working 9 – Long-term borrowings

	\$'000	
Alpha + Beta + Gamma	230,000	$\frac{1}{2}$
Remove incorrect carrying value of convertible	(60,000)	$\frac{1}{2}$
Add correct carrying value of convertible (48,432 + 759 (W7))	49,191	$\frac{1}{2} + \frac{1}{2}$
	<u>219,191</u>	<u>2</u>

Marks

Working 10 – Deferred consideration

	\$'000	
At date of acquisition (W3)	48,011	1/2
Finance cost to 30 September 2017 (W5)	3,841	1/2
	<u>51,852</u>	<u>1</u>

Working 11 – Deferred tax

	\$'000	
Alpha + Beta + Gamma	132,000	1/2
On fair value adjustments in Beta (W1)	14,700	1/2
	<u>146,700</u>	<u>1</u>

2 (a) All numbers in \$'000 unless otherwise stated

On 30 September 2017, Delta will report a **net pension liability** in the statement of financial position. The amount of the liability will be **12,000** (68,000 – 56,000). 1/2 + 1/2

For the year ended 30 September 2017, Delta will report the current service cost as an **operating cost** in the statement of profit or loss. The amount reported will be **6,200**. The **same treatment applies** to the past service cost of 1,500. 1/2 + 1/2 + 1/2

For the year ended 30 September 2017, Delta will report a **finance cost** in profit or loss based on the net pension liability at the start of the year of **8,000** (60,000 – 52,000). The amount of the finance cost will be **400** (8,000 x 5%). 1/2 + 1/2 + 1/2

The redundancy programme represents the partial **settlement of the curtailment of** a defined benefit obligation. The **gain on settlement of 500** (8,000 – 7,500) will be reported in the statement of profit or loss. 1/2 + 1/2

Other movements in the net pension liability will be reported as **remeasurement gains or losses** in **other comprehensive income**. 1/2 + 1/2

For the year ended 30 September 2017, the remeasurement loss will be 3,400 (working). 5

11

(b) The facility is depreciated from the date it is **ready for use**, rather than when it actually starts being used. In this case, then, the facility is depreciated from **1 April 2017**. 1/2 + 1/2

Although Delta has no legal obligation to restore the piece of land, it does have a **constructive obligation**, based on its **past practice and policies**. 1/2 + 1/2

The amount of the obligation will be **1,420**, being the **present value** of the anticipated future restoration expenditure (10,000 x 0.142). 1/2 + 1/2

This will be recognised as a **provision** under **non-current liabilities** in the statement of financial position of Delta at 30 September 2017. 1/2 + 1/2

As time passes the discounted amount **unwinds**. The unwinding of the discount for the year ended 30 September 2017 will be 35.5 (1,420 x 5% x 6/12). 1/2 + 1/2 + 1/2

The unwinding of the discount will be shown as a **finance cost** in the statement of profit or loss and the closing provision will be **1,455.5** (1,420 + 35.5). 1/2 + 1/2

The initial amount of the provision is **included in the carrying amount** of the non-current asset, which becomes **21,420** (20,000 + 1,420). 1/2 + 1/2

The depreciation charge in profit or loss for the year ended 30 September 2017 is 267.75 (**21,420** x 1/40 x 6/12). 1/2 + 1/2

The closing balance included in non-current assets will be **21,152.25** (21,420 – 267.75). 1/2

9

20

Working for part (a) – remeasurement gain or loss

	\$'000	
Liability at the start of the year (60,000 – 52,000)	8,000	½
Current service cost	6,200	½
Past service cost	1,500	½
Net finance cost	400	½
Gain on settlement	(500)	½
Contributions to plan	(7,000)	½
Benefits cancel out		½
Remeasurement loss (balancing figure)	3,400	½ + ½
Liability at the end of the year (68,000 – 56,000)	12,000	½
		5

- 3 (a) (i) IAS 17 – the previous financial reporting standard dealing with leasing – distinguished between two types of lease: finance and operating. ½
- IAS 17 required lessees to recognise rights and obligations under leasing arrangements in the case of finance leases but not in the case of operating leases. 1
- The distinction between finance leases and operating leases in IAS 17 was very subjective. ½
- Generally speaking, classifying leases as operating leases led to financial statements of lessees reporting a more favourable picture than classifying leases as finance leases. 1
- This incentive to treat leases as operating leases, together with the subjective nature of lease classification, meant that the requirements in IAS 17 needed amending. 1
- 4**
- (ii) IFRS 16 requires lessees to recognise a right of use asset and an associated liability at the inception of the lease. 1
- The initial measurement of the right of use asset and the lease liability will be the present value of the minimum lease payments. 1
- The discount rate used to measure the present value of the minimum lease payments is the rate of interest implicit in the lease – essentially the rate of return earned by the lessor on the leased asset. [NB: If this rate is not available to the lessee, then a commercial rate of interest can be used instead.] ½
- The right of use asset is subsequently depreciated in accordance with IAS 16 – *Property, Plant and Equipment* (assuming it is a tangible asset). ½
- The lease liability is effectively treated as a financial liability which is measured at amortised cost, using the rate of interest implicit in the lease as the effective interest rate. 1
- 4**
- (iii) A short-term lease is a lease which, at the date of commencement, has a term of 12 months or less. Lessees can elect to treat short-term leases by recognising the lease rentals as an expense over the lease term rather than recognising a 'right of use asset' and a lease liability. 1 + 1
- A similar election – on a lease-by-lease basis – can be made in respect of 'low value assets'. 1
- Examples of low-value underlying assets can include tablet and personal computers, small items of office furniture and telephones. (Note: Any reasonable attempt to describe a 'low-value' asset would receive credit.) 1
- 4**
- (b) The initial right of use asset and lease liability would be \$3,072,500 (500,000 x 6.145). 1
- The initial direct costs of the lessee would be added to the right of use asset to give an initial carrying amount of \$3,132,500 (\$3,072,500 + \$60,000). 1
- Depreciation would be charged over a ten-year period, so the charge for the year ended 30 September 2017 would be \$313,250 (\$3,132,500 x 1/10). 1
- The closing carrying amount of PPE in non-current assets would be \$2,819,250 (\$3,132,500 x 9/10). 1

	Marks
Kappa would recognise a finance cost in profit or loss of \$307,250 (\$3,072,500 x 10%).	1
The closing lease liability would be \$2,879,750 (\$3,072,500 + \$307,250 – \$500,000).	1
Next year's finance cost will be \$287,975 (\$2,879,750 x 10%), so the current liability at 30 September 2017 will be \$212,025 (\$500,000 – \$287,975).	$\frac{1}{2} + 1$
The balance of the liability of \$2,667,725 (\$2,879,750 – \$212,025) will be non-current.	$\frac{1}{2}$
	8
	20

4 Query One

The accounting treatment of equity investments which we do not control or significantly influence is dealt with in IFRS 9 – <i>Financial Instruments</i> .	$\frac{1}{2}$
Under IFRS 9, equity investments are financial assets which fail the ' contractual cash flow test '. Equity investments must be measured at fair value .	$\frac{1}{2} + \frac{1}{2}$
Under IFRS 9, gains or losses on the remeasurement of financial assets measured at fair value are normally taken to profit or loss.	$\frac{1}{2}$
In the case of equity investments not held for trading , it is possible to make an irrevocable election at initial recognition to recognise gains or losses on the remeasurement to fair value in other comprehensive income .	$\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$
The IASB <i>Conceptual Framework for Financial Reporting</i> makes no clear conceptual distinction between gains and losses reported in profit or loss and gains and losses reported in other comprehensive income.	$\frac{1}{2}$
The distinction between profit or loss and other comprehensive income does have some practical relevance, however.	$\frac{1}{2}$
The distinction is particularly important for listed entities. Such entities are required to report their earnings per share under IAS 33 – <i>Earnings per Share</i> . Gains and losses reported in profit or loss affect earnings per share whereas gains or losses reported in other comprehensive income do not .	$\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$

6

Query Two

The difference between the \$64 million gain in the statement of comprehensive income and the \$80 million gain included in property, plant and equipment is caused by deferred tax.	1
IAS 12 – <i>Income Taxes</i> – requires that deferred tax liabilities are recognised (with a very few exceptions) on all taxable temporary differences.	1
A taxable temporary difference arises when the carrying value of an asset increases but its 'tax base' does not.	1
When an asset is revalued, the carrying value increases but the tax base stays the same (as the future tax deductions are unaffected).	1
Therefore a revaluation of \$80 million causes a taxable temporary difference of \$80 million and (when the tax rate is 20%) an additional deferred tax liability of \$16 million (\$80 million x 20%).	1
This liability reduces the gain reported in the statement of comprehensive income to \$64 million (\$80 million – \$16 million).	1

6

Query Three

Under the provisions of IFRS 10 – <i>Consolidated Financial Statements</i> – the general rule is that the financial statements of all group members should have the same reporting date.	1
Where the reporting period of a subsidiary is different from the reporting period of the parent, that subsidiary should prepare, for consolidation purposes, additional financial information as of the same date as the financial statements of the parent.	1
Where it is 'impracticable' to prepare additional financial information, then the parent is permitted to consolidate the financial information of the subsidiary using the most recent financial information of the subsidiary 'adjusted for the effects of significant transactions or events in the intervening period'. 31 May 2017 to 30 September 2017 in this case.	1

For the above to be possible, the intervening period should be no longer than three months, so in this case additional interim financial information will have to be prepared.

Marks

1
4

Query Four

Under the provisions of IAS 24 – *Related Party Disclosures* – your son’s business is a related party to Omega.

1

Your son’s business is a related party because the business is controlled by your son, who is one of your ‘close family members’ and you are a part of Omega’s ‘key management’.

1

IAS 24 requires disclosure of all transactions with related parties irrespective of their size.

1

IAS 24 states that transactions with related parties are material by their nature.

1

4
20

Diploma in International Financial Reporting

Friday 8 June 2018



Time allowed: 3 hours 15 minutes

ALL FOUR questions are compulsory and MUST be attempted.

Do NOT open this question paper until instructed by the supervisor.

This question paper must not be removed from the examination hall.

Think Ahead

ACCA

IFR
in

The Association of
Chartered Certified
Accountants

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The question paper begins on page 3.

ALL FOUR questions are compulsory and MUST be attempted

- 1 Alpha holds investments in a number of entities, including Beta and Gamma. The statements of profit or loss and other comprehensive income and summarised statements of changes in equity of the three entities for the year ended 31 March 2018 were as follows:

Statements of profit or loss and other comprehensive income

	Alpha \$'000	Beta \$'000	Gamma \$'000
Revenue (Note 4)	628,000	560,000	450,000
Cost of sales (Notes 1, 2 and 4)	(378,000)	(335,000)	(270,000)
Gross profit	250,000	225,000	180,000
Distribution costs	(38,000)	(34,000)	(27,000)
Administrative expenses (Notes 5 and 7)	(64,000)	(56,000)	(51,000)
Investment income (Note 6)	32,000	Nil	Nil
Finance costs	(30,000)	(20,000)	(18,000)
Profit before tax	150,000	115,000	84,000
Income tax expense	(38,000)	(29,000)	(21,000)
Profit for the year	112,000	86,000	63,000
Other comprehensive income:			
Items that will not be reclassified to profit or loss			
Re-measurement gain/loss on defined benefit retirement pension plan (Note 7)	Nil	Nil	Nil
Total comprehensive income	112,000	86,000	63,000

Summarised statements of changes in equity

Balance on 1 April 2017	420,000	280,000	180,000
Comprehensive income for the year	112,000	86,000	63,000
Dividends paid on 31 December 2017	(42,000)	(32,000)	(21,000)
Balance on 31 March 2018	490,000	334,000	222,000

Note 1 – Alpha's investment in Beta

On 1 April 2011, Alpha acquired 75 million of the 100 million equity shares of Beta and gained control of Beta. Alpha acquired the equity shares in Beta by issuing one new share in Alpha for every two acquired in Beta. On 1 April 2011, the fair value of an equity share in Alpha was \$4.40.

On 1 April 2011, the net assets of Beta had a fair value of \$200 million, all of which had been disposed of, or settled by, 31 March 2017.

Alpha used the proportion of net assets method for measuring the non-controlling interest when recognising the goodwill on acquisition of Beta. No impairments of goodwill on acquisition of Beta have been necessary in the consolidated financial statements of Alpha up to and including 31 March 2017.

Beta is a single cash generating unit. On 31 March 2018, the annual impairment review indicated that the recoverable amounts of the net assets, including goodwill, of Beta at that date were \$350 million. Any impairments of goodwill should be charged to cost of sales.

Note 2 – Alpha's investment in Gamma

On 1 April 2012, Alpha acquired 40 million of the 50 million equity shares in Gamma and gained control of Gamma. Alpha paid \$145 million in cash for the equity shares.

On 1 April 2012, the carrying amounts of the net assets of Gamma in its individual financial statements were \$150 million and their fair values were \$170 million. The differences were caused by:

- Property – whose fair value exceeded the carrying amount by \$12 million. \$8.4 million of this difference referred to the depreciable component of this property. The estimated useful life of the depreciable component of the property at 1 April 2012 was eight years.
- Plant and equipment – whose fair value exceeded the carrying amount by \$8 million. The estimated remaining useful life of the plant and equipment of Gamma at 1 April 2012 was four years.

All depreciation of property, plant and equipment is charged to cost of sales.

Alpha used the fair value method for measuring the non-controlling interest when recognising the goodwill on acquisition of Gamma. The fair value of an equity share in Gamma on 1 April 2012 was \$3.50. This can be used to measure the fair value of the non-controlling interest in Gamma on 1 April 2012.

No impairments of goodwill on acquisition of Gamma have been necessary in the consolidated financial statements of Alpha up to and including 31 March 2017.

Note 3 – Disposal of shares in Gamma

On 30 November 2017, Alpha disposed of its entire equity shareholding in Gamma for a cash consideration of \$196 million. Income tax payable on this disposal is expected to be \$5 million. On 30 November 2017, Alpha credited the disposal proceeds to a suspense account and has made no other accounting entries. You can assume that the profits of Gamma for the year ended 31 March 2018 accrued evenly.

Note 4 – Intra-group trading

Alpha supplies a component which has been used by both Beta and Gamma. Alpha applies a mark-up of one-third to the cost of these supplies when computing the sales price. Details of sales of the component to Beta and Gamma in the current accounting period, and the holdings of inventory of the component by two entities, are as follows:

	Beta \$'000	Gamma \$'000
Sales of the component (for Gamma all sales before 30 November 2017)	25,000	15,000
Inventory of component at 31 March 2017 (at cost to Beta/Gamma)	4,800	4,000
Inventory of component at 31 March 2018 (at cost to Beta)	6,400	Nil

Note 5 – Leased asset

On 1 April 2017, Alpha began to lease a property. The lease term was for five years. The lease does not transfer ownership of the property to Alpha at the end of the lease term. Alpha does not have an option to purchase the property at the end of the lease term. The estimated useful life of the property at 1 April 2017 was 20 years. Rentals payable by Alpha for the use of the property were \$1 million per annum, payable annually in arrears. Alpha incurred direct costs of \$100,000 in arranging to lease the property. In the year ended 31 March 2018, Alpha charged both the annual rental of \$1 million and the direct costs of \$100,000 to administrative expenses.

The rate of interest implicit in this lease is 7% per annum. The present value of \$1 payable for five years annually in arrears at a discount rate of 7% is \$4.10.

All depreciation should be charged to cost of sales.

Note 6 – Investment income

The investment income, which is shown in Alpha's statement of profit or loss, represents dividends received from its subsidiary entities and also income arising from a portfolio of loan investments. This portfolio is classified by Alpha as fair value through other comprehensive income. The gain on re-measurement of the portfolio to fair value at 31 March 2018 was \$5.6 million. This gain has not yet been recognised in the financial statements of Alpha.

Note 7 – Retirement benefit plan

Alpha has established a defined benefit plan for its workforce. Relevant details are as follows:

- The net defined benefit obligation at 31 March 2017 was \$2.5 million.
- The net defined benefit obligation at 31 March 2018 was \$4 million.
- The current service cost for the year ended 31 March 2018 was \$5 million.
- The contributions paid by Alpha into the plan during the year ended 31 March 2018 were \$4.8 million.

- The benefits paid out by the plan to retired members during the year ended 31 March 2018 were \$2.5 million.
- On 1 April 2017, the market yield on high quality corporate bonds was 5% per annum.

In the year ended 31 March 2018, Alpha charged the contributions paid to administrative expenses but made no other accounting entries. The post-employment plans for the employees of Beta and Gamma are defined contribution plans. The relevant accounting entries in the financial statements of both Beta and Gamma are both correct.

Required:

Prepare the consolidated statement of profit or loss and other comprehensive income of Alpha for the year ended at 31 March 2018. You do not need to consider the deferred tax effects of any adjustments you make.

Note: You should show all workings to the nearest \$'000.

(40 marks)

- 2 Delta is an entity which prepares financial statements to 31 March each year. The functional currency of Delta is the dollar (\$). The following events have occurred which are relevant to the year ended 31 March 2018:

Event (a)

On 1 January 2018, Delta entered into a contract with a foreign supplier. The terms of the contract were that the supplier would construct a large machine for Delta's use and deliver the machine on 30 June 2018. The total construction price of 20 million groats (the currency of the supplier) is due for payment on 31 July 2018.

On 1 January 2018, Delta entered into an agreement for the forward purchase of 20 million groats. The settlement date for this forward purchase of foreign currency was 31 July 2018. Delta intends to use this forward purchase as a hedge of the expected cash outflow flows arising under the construction contract on 31 July 2018.

Delta wishes to use hedge accounting for this arrangement if this is possible under International Financial Reporting Standards. Delta has prepared all relevant documentation which is necessary to enable hedge accounting to be used if the qualifying conditions are met.

Data relevant to the construction contract and to the forward purchase of currency is as follows:

- Increase in expected cash flows arising under the construction contract between 1 January 2018 and 31 March 2018 = \$2,600,000.
- Positive fair value of forward currency purchase contract at 31 March 2018 = \$2,700,000. (9 marks)

Event (b)

On 1 February 2018, Delta purchased some inventory from a supplier whose functional currency was the dinar. The total purchase price was 3.6 million dinars. The terms of the purchase were that Delta would pay for the goods in two instalments. The first instalment payment of 1,260,000 dinars was due on 15 March 2018 and the second payment of 2,340,000 dinars on 30 April 2018. Both payments were made on the due dates. Delta did not undertake any activities to hedge its currency exposure arising under this transaction. Delta sold 60% of this inventory prior to 31 March 2018 for a total sales price of \$480,000. All sales proceeds were receivable in \$. After 31 March 2018, Delta sold the remaining inventory for sales proceeds which were in excess of their cost.

Relevant exchange rates are as follows:

- 1 February 2018 – 6.0 dinars to \$1.
- 15 March 2018 – 6.3 dinars to \$1.
- 31 March 2018 – 6.4 dinars to \$1. (11 marks)

Required:

Explain and show how the two events would be reported in the financial statements of Delta for the year ended 31 March 2018.

Note: The mark allocation is shown against each of the two events above.

(20 marks)

- 3 (a) One of the issues covered by IFRS 9 *Financial Instruments* (revised July 2014) is the classification and measurement of financial assets. The three possible measurement bases identified by the standard are:
- Amortised cost.
 - Fair value through other comprehensive income.
 - Fair value through profit or loss.

Required:

Explain how IFRS 9 requires entities to select the appropriate measurement basis for a financial asset. You should include any options available to entities regarding classification in your explanation.

Note: You are NOT required to define a financial asset.

(7 marks)

- (b) Epsilon prepares financial statements to 31 March each year. The following events have occurred which are relevant to the year ended 31 March 2018:
- (i) On 1 April 2017, Epsilon loaned \$30 million to another entity. Interest of \$1.5 million is payable annually in arrears. An additional final payment of \$35.3 million is due on 31 March 2020. Epsilon incurred direct costs of \$250,000 in arranging this loan. The annual rate of interest implicit in this arrangement is approximately 10%. Epsilon has no intention of assigning this loan to a third party at any time. (4 marks)
 - (ii) On 1 April 2017, Epsilon purchased 500,000 shares in a key supplier – entity X. The shares were purchased in order to protect Epsilon's source of supply and Epsilon has no intention of trading in these shares. The shares cost \$2 per share and the direct costs of purchasing the shares were \$100,000. On 1 January 2018, the supplier paid a dividend of 30 cents per share. On 31 March 2018, the fair value of a share in entity X was \$2.25. (5 marks)
 - (iii) On 1 January 2018, Epsilon purchased 100,000 call options to purchase shares in entity Y – an unconnected third party. Each option allowed Epsilon to purchase shares in entity Y on 31 December 2018 for \$6 per share. Epsilon paid \$1.25 per option on 1 January 2018. On 31 March 2018, the fair value of a share in entity Y was \$8 and the fair value of a share option purchased by Epsilon was \$1.60. This purchase of call options is not part of a hedging arrangement. (4 marks)

Required:

Explain and show how the three events should be reported in the financial statements of Epsilon for the year ended 31 March 2018. In part (b) you should assume that Epsilon only measures financial assets at fair value through profit or loss when *required* to do so by IFRS 9.

Note: The mark allocation is shown against each of the three events above.

(20 marks)

- 4 You are the financial controller of Omega, a listed entity which prepares consolidated financial statements in accordance with International Financial Reporting Standards (IFRS). The chief executive officer (CEO) of Omega has reviewed the draft consolidated financial statements of the Omega group and of a number of the key subsidiary companies for the year ended 31 March 2018. None of the subsidiaries are listed entities but all prepare their financial statements in accordance with IFRS. The CEO has sent you an email with the following queries:

Query One

I notice that the disclosures relating to operating segments in the consolidated financial statements appear to be based on the geographical location of the customers of the group. I am the non-executive director of another large listed entity and the segment disclosures in their consolidated financial statements are based on the type of products sold. Also some of our larger subsidiaries have customers located in more than one geographical region, yet they provide no segment disclosures whatsoever in their individual financial statements. I would like to see segment disclosures given in the individual subsidiary accounts as well. I really don't understand these inconsistencies given that all these financial statements have been prepared using IFRS. Please explain the reasons for these apparent inconsistencies.

(6 marks)

Query Two

When reading the accounting policies note in the consolidated financial statements I notice that we measure all of our freehold properties using a fair value model but that we measure our plant and equipment using a cost model. I further notice that both of these asset types are shown in the 'property, plant and equipment' figure which is a single component of non-current assets in the consolidated statement of financial position. It makes no sense to me that assets which are shown as property, plant and equipment are measured inconsistently. If it's OK to measure different parts of property, plant and equipment using two different measurement models, why not use the fair value model for the more readily accessible properties and use the cost model for the properties in remote locations to save on time and cost?

(6 marks)

Query Three

When I read the disclosure note relating to intangible non-current assets in the consolidated financial statements, I notice that this figure includes brand names associated with subsidiaries which we've acquired in recent years. However, the brand names which are associated directly with products sold by Omega (the parent entity) are not included within the non-current assets figure. This is another inconsistency that I don't understand. Please explain how this practice can be in line with IFRS requirements. One final question: would I be right in thinking that, as with property, plant and equipment, we can use the fair value model to measure intangible assets?

(8 marks)

Required:

Provide answers to the three queries raised by the chief executive officer. Your answers should refer to relevant provisions of International Financial Reporting Standards.

Note: The mark allocation is shown against each of the three issues above.

(20 marks)

End of Question Paper

Answers

		Marks
1 Consolidated statement of profit or loss and other comprehensive income of Alpha for the year ended 31 March 2018		
	\$'000	
Revenue (W1)	1,448,000	1 (W1)
Cost of sales (W2)	(856,940)	11½ (W2)
Gross profit	591,060	
Distribution costs (38,000 + 34,000 + 27,000 x 8/12)	(90,000)	½
Administrative expenses (W6)	(153,100)	2½ (W6)
Investment income (W7)	8,000	1½ (W7)
Profit on disposal of Gamma (W8)	4,560	10 (W8)
Finance costs (W12)	(62,412)	2½ (W12)
Profit before tax	298,108	
Income tax expense (W13)	(86,000)	1
Profit for the year	212,108	
Other comprehensive income:		
Items that will not be reclassified to profit or loss		
Re-measurement loss on defined benefit retirement pension plan (W14)	(1,175)	3½ (W14)
Items that may be reclassified subsequently to profit or loss		
Gains on the re-measurement of financial assets classified as fair value through other comprehensive income	5,600	1
Total comprehensive income for the year	216,533	
Profit attributable to:		
Owners of Alpha (balancing figure)	182,348	½
Non-controlling interest (W15)	29,760	3 (W15)
	212,108	
Total comprehensive income attributable to:		
Owners of Alpha (balancing figure)	186,773	½
Non-controlling interest (as above)	29,760	1
	216,533	
		40

WORKINGS – ALL NUMBERS IN \$'000 UNLESS OTHERWISE STATED.**Working 1 – Revenue**

	\$'000	
Alpha + Beta + 8/12 x Gamma	1,488,000	½
Intra-group revenue (25,000 + 15,000)	(40,000)	½
	1,448,000	1

Working 2 – Cost of sales

	\$'000	
Alpha + Beta + 8/12 x Gamma	893,000	½
Intra-group purchases (as W1)	(40,000)	½
Unrealised profit:		
Closing inventory (1/4 x 6,400)	1,600	½
Opening inventory (1/4 x (4,800 + 4,000))	(2,200)	½ + ½
Impairment of Beta goodwill (W3)	3,000	5½ (W3)
Extra depreciation on fair value adjustments:		
Property (8,400 x 1/8 x 8/12)	700	½ + ½ + ½
Depreciation of 'right of use asset' (W5)	840	2 (W5)
	856,940	11½

Marks**Working 3 – Impairment of Beta goodwill**

	\$'000	
Net assets at 31 March 2018 (as per SOCIE)	334,000	1/2
Goodwill arising on acquisition (W4)	15,000	3 (W4)
Notional grossing up of goodwill for impairment purposes (15,000 x 25/75)	5,000	1/2
	<u>354,000</u>	1/2
Recoverable amount	(350,000)	1/2
So impairment equals	<u>4,000</u>	
Recognise group share only (75%)	<u>3,000</u>	1/2
		<u>5 1/2</u>
		⇒W2

Working 4 – Goodwill arising on acquisition of Beta

	\$'000	
Cost of investment:		
Shares issued: (75,000 x 1/2 x \$4.40)	165,000	1/2 + 1/2 + 1/2
Non-controlling interest at date of acquisition (200,000 x 25%)	50,000	1
Net assets at date of acquisition	<u>(200,000)</u>	1/2
So goodwill equals	<u>15,000</u>	3
		⇒W3

Working 5 – Depreciation of right of use asset

	\$'000	
Present value of minimum lease payments (1,000 x \$4.10)	4,100	1
Direct costs of arranging lease	<u>100</u>	1/2
	<u>4,200</u>	
Depreciation (4,200 x 1/5)	<u>840</u>	1/2
		<u>2</u>
		⇒W2

Working 6 – Administrative expenses

	\$'000	
Alpha + Beta + 8/12 x Gamma	154,000	1/2
Reversal of incorrectly charged defined benefit plan contribution	(4,800)	1/2
Current service cost (award if alternatively taken to cost of sales)	5,000	1/2
Reversal of incorrectly charged lease charges (1,000 + 100)	<u>(1,100)</u>	1/2 + 1/2
	<u>153,100</u>	2 1/2

Working 7 – Investment income:

	\$'000	
Alpha	32,000	1/2
Intra-group dividends eliminated:		
– Beta (75% x 32,000)	(24,000)	1/2
– Gamma (paid post-disposal)	<u>(nil)</u>	1/2
	<u>8,000</u>	1 1/2

Working 8 – Profit on disposal of Gamma

	\$'000	
Disposal proceeds	196,000	1/2
Net assets of Gamma at date of disposal (W9)	(228,050)	4 1/2 (W9)
Goodwill of Gamma at date of disposal (W10)	(10,000)	2 1/2 (W10)
Non-controlling interest in Gamma at date of disposal (W11)	<u>46,610</u>	1/2 + 2 (W11)
So profit on disposal equals	<u>4,560</u>	10

Working 9 – Net assets of Gamma at date of disposal

	\$'000	
Net assets at the start of the year (per SOCIE)	180,000	1/2
8/12 of profit for the period per accounts of Gamma (63,000 x 8/12)	42,000	1
Remaining fair value adjustments		1/2
Property [(12,000 – 8,400) + 8,400 x 28/96]	6,050	1 + 1
Plant and equipment	Nil	1/2
So net assets equals	<u>228,050</u>	<u>4 1/2</u>
		⇒W8

Working 10 – Goodwill of Gamma at date of disposal

	\$'000	
Cost of investment in Gamma	145,000	1/2
Non-controlling interest in Gamma at date of acquisition (10,000 x \$3.50)	35,000	1
Fair value of net assets at date of acquisition:	(170,000)	1/2 + 1/2
So goodwill on acquisition equals	<u>10,000</u>	<u>2 1/2</u>
		⇒W8

Working 11 – Non-controlling interest in Gamma at date of disposal

	\$'000	
Non-controlling interest at date of acquisition (W10)	35,000	1/2
Increase since acquisition (20% (228,050 (W9) – 170,000 (W10)))	11,610	1/2 + 1/2 + 1/2
So non-controlling interest on disposal equals	<u>46,610</u>	<u>2</u>
		⇒W8

Working 12 – Finance cost

	\$'000	
Alpha + Beta + 8/12 x Gamma	62,000	1/2
Finance cost on leased asset (4,100 (W5) x 7%)	287	1/2 + 1/2
Unwinding of discount on net pension liability (2,500 x 5%)	125	1/2 + 1/2
	<u>62,412</u>	<u>2 1/2</u>

Working 13 – Income tax expense

	\$'000	
Alpha + Beta + 8/12 x Gamma	81,000	1/2
Income tax payable on the disposal of Gamma	5,000	1/2
	<u>86,000</u>	<u>1</u>

Working 14 – Re-measurement gain on defined benefit retirement pension plan

	\$'000	
Net pension liability on 1 April 2017	2,500	1/2
Current service cost	5,000	1/2
Unwinding of discount (W12)	125	1/2
Contributions	(4,800)	1/2
Benefits paid to retired members (cancels)	Nil	1/2
	<u>2,825</u>	
Actuarial loss (balancing figure)	1,175	1/2
Net pension liability on 31 March 2018	<u>4,000</u>	<u>1/2</u>
		<u>3 1/2</u>

Working 15 – Non-controlling interest in profit

	Beta \$'000	Gamma (8/12) \$'000	Total \$'000	
Profit after tax	<u>86,000</u>	42,000		1/2 + 1/2
Extra depreciation – Gamma (W2)		(700)		1/2
Relevant profit	<u>86,000</u>	<u>41,300</u>		1/2
Non-controlling interest (25%/20%)	<u>21,500</u>	<u>8,260</u>	<u>29,760</u>	1/2 + 1/2
				<u>3</u>

14

		Marks
3	(a) Under IFRS 9, the basis for classifying and measuring financial assets is the business model for managing the financial asset and the contractual cash flow characteristics of the financial asset. Where the business model for managing the financial asset is to hold the financial asset to collect the contractual cash flows and where the contractual terms of the financial asset give rise on specified dates to cash flows which are solely payments of principal and interest on the principal amount outstanding, then the financial asset is measured at amortised cost. Where the business model for managing the financial asset is to both hold the financial asset to collect the contractual cash flows and to sell the financial asset and where the contractual terms of the financial asset give rise on specified dates to cash flows which are solely payments of principal and interest on the principal amount outstanding, then the financial asset is measured at fair value through other comprehensive income. If a financial asset is not measured at amortised cost or fair value through other comprehensive income, then it is measured at fair value through profit or loss (the default category). An entity can make an optional irrevocable election on initial recognition that particular investments in equity instruments which would otherwise be measured at fair value through profit or loss be measured at fair value through other comprehensive income. This election is only possible if the equity investment is not 'held for trading'. Notwithstanding the above, an entity may, at initial recognition, irrevocably designate a financial asset as measured at fair value through profit or loss if to do so would eliminate or reduce a measurement or recognition inconsistency which would otherwise arise from measuring assets or liabilities or recognising gains or losses on them on different bases (an 'accounting mismatch').	1 $\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$ $\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$ $\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$ $\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$ 7
NB: Exact wordings NOT required for marks.		
(b)	(i) Since the business model is to collect the contractual cash flows and the cash flows consist solely of the repayment of principal and interest, this asset is measured at amortised cost. The initial carrying amount of the financial asset will be \$30.25 million (\$30 million fair value + \$250,000 transaction costs). The finance income recorded under investment income category in the statement of profit or loss for the year ended 31 March 2018 will be \$3.025 million (\$30.25 million x 10%). The carrying amount of the financial asset in the statement of financial position at 31 March 2018 will be \$31.775 million (\$30.25 million + \$3.025 million – \$1.5 million). (ii) Since this is an equity investment which Epsilon has no intention of selling, Epsilon can measure the investment at fair value through other comprehensive income (provided irrevocable election on initial recognition has been made). Since the financial asset is measured at fair value through other comprehensive income, the transaction cost (agent's commission) is included in the initial fair value of shares (500,000 x \$2 + \$100,000). The carrying amount of the financial asset in the statement of financial position at 31 March 2018 will be \$1.125 million based on fair value of shares at the year end (500,000 x \$2.25). The difference (fair value gain) of \$25,000 (\$1.125 million – \$1.1 million) will be recognised in other comprehensive income. Dividend income of \$150,000 (500,000 x 30 cents) will be recognised as other income in the statement of profit or loss. (iii) The call option cannot be measured at amortised cost or fair value through other comprehensive income, so it must be measured at fair value through profit or loss. The initial carrying value of the call option will be \$125,000 (100,000 x \$1.25). At the year end, the call option will be re-measured to its fair value of \$160,000 (100,000 x \$1.60).	1 (explanation) 1 1 1 4 1 2 1 1 1 5 1 1 1

	Marks
The fair value gain of \$35,000 (\$160,000 – \$125,000) will be recognised in the statement of profit or loss.	1
	4
	20

4 Query One

The relevant IFRS which deals with operating segments is IFRS 8 – *Operating Segments*. The definition of an operating segment in IFRS 8 is based around an entity's business model, which could be different from entity to entity and the disclosures focus on the information which management believes is important when running the business.

1 (principle)

IFRS 8 defines an operating segment as a component of an entity:

- Which engages in business activities from which it may earn revenues and incur expenses, and
- Whose operating results are regularly reviewed by the chief operating decision maker, and
- For which discrete financial information is available.

2 (up to 2 for detail of definition)

The 'chief operating decision maker' is a role rather than a title or it is a function and not necessarily a person. The role/function is defined around who monitors performance and allocates resources of the operating segments.

1

IFRS 8 is only compulsory for **listed** entities. If we wanted to include information regarding the operating segments of individual subsidiaries, then we **could** as IFRS 8 requires judgement in its application. However, the information in the individual financial statements would **either need to comply with IFRS 8 in all respects or the information cannot be described as 'segment information'**.

$\frac{1}{2} + \frac{1}{2} + 1$
6

Query Two

IAS 16 – *Property, Plant and Equipment* (PPE) – allows (but does not require) entities to revalue its PPE to fair value. However, it requires that the measurement model used (cost or fair value) for PPE should be consistent on a class by class basis.

1 (principle)

A class of PPE is a **grouping of assets of a similar nature and use in an entity's operations**. Based on this definition, it is **likely that property (or 'land and buildings') would form one distinct class of PPE and that plant and equipment would form another class**.

1 + 1

Therefore it is perfectly consistent with IFRS for property to be measured under the revaluation (fair value) model and plant and equipment to be measured under the cost model.

1

However, it would be inappropriate to 'cherry pick' or apply a 'mixed measurement model' to property (or land and buildings) based simply on its geographical location. This prevents entities only revaluing items which have increased in value and leaving other items at their (depreciated) cost.

1

If we do use the fair value model, then we need to make sure we revalue with sufficient regularity to ensure that the carrying amount of the revalued asset is a true reflection of its current value.

1

6

Query Three

Under the provisions of IAS 38 – *Intangible Assets* – the ability to recognise an intangible asset depends on how the potential asset arose. From the perspective of the Omega group, brand names generated by Omega are internally generated. The recognition criteria for such potential assets are very stringent and only costs associated with the development phase of an identifiable research and development project would satisfy them. This explains why the Omega brand names are not recognised.

1 (internally generated)
+ 2 (why cannot capitalise)

In contrast, intangible items which relate to an acquired subsidiary which exist at the date of acquisition are acquired as part of a business combination and for such assets the recognition criteria are different. Provided the fair value of such an intangible can be reliably measured at the date of acquisition, it is recognised in the consolidated statement of financial position based on its fair value at the date of acquisition.

1 (acquired with business combination)
+ 2 (mechanics of recognition)

The use of the fair value model for intangible non-current assets is restricted to those assets which are traded in an active market. This is relatively uncommon in the case of intangibles. It is most unlikely that brand names would be traded in such a market, so the fair value model is unlikely to be available here.

1 (principle)
+ 1 (conclusion)

8

20

Diploma in International Financial Reporting (Dip IFR)

Friday 7 December 2018



Time allowed: 3 hours 15 minutes

ALL FOUR questions are compulsory and MUST be attempted.

Do NOT open this question paper until instructed by the supervisor.

This question paper must not be removed from the examination hall.

IFR
Dip

Think Ahead

ACCA

The Association of
Chartered Certified
Accountants

This is a blank page.
The question paper begins on page 3.

ALL FOUR questions are compulsory and MUST be attempted

- 1 Alpha currently has investments in two other entities, Beta (Note 1) and Gamma (Note 2). The draft statements of financial position of Alpha and Beta at 30 September 2018 were as follows:

	Alpha \$'000	Beta \$'000
Assets		
Non-current assets:		
Property, plant and equipment (Notes 1 and 5)	775,000	380,000
Investments (Notes 1–3)	410,000	Nil
	<u>1,185,000</u>	<u>380,000</u>
Current assets:		
Inventories (Note 4)	150,000	95,000
Trade receivables (Note 4)	100,000	80,000
Cash and cash equivalents	18,000	15,000
	<u>268,000</u>	<u>190,000</u>
Total assets	<u><u>1,453,000</u></u>	<u><u>570,000</u></u>
Equity and liabilities		
Equity		
Share capital (\$1 shares)	520,000	160,000
Retained earnings	693,000	200,000
Total equity	<u>1,213,000</u>	<u>360,000</u>
Non-current liabilities:		
Long-term borrowings	100,000	80,000
Deferred tax	60,000	45,000
Total non-current liabilities	<u>160,000</u>	<u>125,000</u>
Current liabilities:		
Trade and other payables	60,000	55,000
Short-term borrowings	20,000	30,000
Total current liabilities	<u>80,000</u>	<u>85,000</u>
Total liabilities	<u>240,000</u>	<u>210,000</u>
Total equity and liabilities	<u><u>1,453,000</u></u>	<u><u>570,000</u></u>

Note 1 – Alpha's investment in Beta

On 1 October 2011, Alpha acquired 120 million shares in Beta and gained control of Beta on that date. The acquisition was financed by a cash payment by Alpha of \$144 million to the former shareholders of Beta on 1 October 2011 and a further cash payment of \$145.2 million to the former shareholders of Beta paid on 1 October 2013. The annual rate to use in any discounting calculations is 10% and the relevant discount factor is 0.826. Alpha correctly accounted for the payments made to the former shareholders of Beta in its own financial statements. The cost of investment figure in the financial statements of Alpha was rounded to the nearest \$ million.

Alpha incurred due diligence costs of \$1 million relating to the acquisition of Beta and included these costs in the carrying amount of its investment in Beta. On 1 October 2011, the individual financial statements of Beta showed retained earnings of \$80 million.

The directors of Alpha carried out a fair value exercise to measure the identifiable assets and liabilities of Beta at 1 October 2011. The following matters emerged:

- Property which had a carrying amount of \$120 million (land component \$40 million) had an estimated fair value of \$160 million (land component \$60 million). The buildings component of the property had an estimated remaining useful life of 40 years at 1 October 2011.
- Plant and equipment having a carrying amount of \$120 million had an estimated fair value of \$130 million. The estimated remaining useful life of this plant at 1 October 2011 was two years.
- The fair value adjustments have not been reflected in the individual financial statements of Beta. In the consolidated financial statements, the fair value adjustments will be regarded as temporary differences for the purposes of computing deferred tax. The rate of deferred tax to apply to temporary differences is 20%.

On 1 October 2011, the directors of Alpha initially measured the non-controlling interest in Beta at its fair value on that date. On 1 October 2011, the fair value of an equity share in Beta (which can be used to measure the fair value of the non-controlling interest) was \$1.70. No impairments of the goodwill on acquisition of Beta have been evident up to and including 30 September 2018.

Note 2 – Alpha’s investment in Gamma

On 1 October 2015, Alpha acquired 36 million shares in Gamma by means of a cash payment of \$145 million. Gamma’s issued share capital at that date was 120 million shares. On 1 October 2015 and 30 September 2018, the individual financial statements of Gamma showed retained earnings of \$45 million and \$65 million respectively. Since 1 October 2015, no other investor has owned more than 2% of the shares of Gamma.

Note 3 – Alpha’s investment in Delta

On 1 October 2012, Alpha issued 80 million of its own shares in exchange for an 80% shareholding in Delta. Delta has an issued share capital of 100 million shares. The fair value of an equity share in Alpha on that date was \$1.40. The fair values of the net assets of Delta at 1 October 2012 were the same as their carrying amounts.

On 1 October 2012, the directors of Alpha initially measured the non-controlling interest in Delta at its fair value on that date. On 1 October 2012, the fair value of an equity share in Delta (which can be used to measure the fair value of the non-controlling interest) was \$1.10.

The individual financial statements of Delta showed net assets at the following amounts:

- \$110 million on 1 October 2012.
- \$170 million on 30 September 2017.

In the year ended 30 September 2018, the individual financial statements of Delta showed a profit of \$24 million. On 31 March 2018, Delta paid a dividend of \$9 million.

On 30 June 2018, Alpha disposed of its shareholding in Delta for cash proceeds of \$180 million. The individual financial statements of Alpha recognised the correct profit on disposal of its shareholding in Delta. No impairment of the goodwill on acquisition of Delta had been necessary between 1 October 2012 and 30 June 2018.

Note 4 – Intra-group trading

Alpha supplies a component to Beta at a mark-up of 25% on its production cost. The trade receivables of Alpha at 30 September 2018 include \$10 million receivable from Beta in respect of sales of the component. Beta paid Alpha \$10 million to clear the outstanding balance on 29 September 2018. Alpha received and recorded this amount on 3 October 2018.

On 30 September 2018, the inventories of Beta included \$15 million in respect of components purchased from Alpha. All such inventory is measured at original cost to Beta.

Note 5 – Property lease

On 1 October 2017, Alpha began to lease a property under a 10-year lease. The annual rate of interest implicit in the lease was 5%. The lease rentals payable by Alpha were \$10 million, payable annually in arrears. The lease does not transfer ownership of the property to Alpha at the end of the lease term. The lease contains no option for Alpha to purchase the property at the end of the lease term. On 1 October 2017, Alpha incurred direct costs of \$4 million in arranging this lease. The only accounting entries made by Alpha in respect of this lease were to charge \$14 million to the statement of profit or loss. Using a discount rate of 5%, the cumulative present value of \$1 payable annually in arrears for ten years is \$7.72.

Required:

- (a) Compute the profit or loss on disposal of the investment in Delta which would be shown in the consolidated statement of profit or loss of Alpha for the year ended 30 September 2018. (7 marks)
- (b) Prepare the consolidated statement of financial position of Alpha at 30 September 2018. You need only consider the deferred tax implications of any adjustments you make where the question specifically refers to deferred tax. (33 marks)

Note: You should show all workings to the nearest \$'000.

(40 marks)

2 Epsilon is an entity which prepares financial statements to 30 September each year.

(a) Purchase of machine

On 1 April 2018, Epsilon accepted delivery of a large and complex machine from an overseas supplier. The agreed purchase price for the machine was 20 million francs – the functional currency of the supplier. Under the terms of the agreement with the supplier 12·6 million francs was payable on 31 July 2018, with the balance of 7·4 million francs being payable on 30 November 2018. The payment due on 31 July 2018 was made in accordance with the terms of the agreement. Epsilon does not use hedge accounting.

On 1 April 2018, Epsilon incurred direct costs of \$250,000 in installing the machine at its premises. Although the machine was ready for use from 1 April 2018, Epsilon did not bring the machine into use until 30 April 2018. During April 2018 Epsilon incurred costs of \$200,000 in training relevant staff to use the machine.

The directors of Epsilon estimate that the machine is capable of being usefully employed in the business until 31 March 2023, and that it will have no residual value at that date. (8 marks)

(b) Decommissioning

On 31 March 2023, Epsilon will be legally required to decommission the machine using the original supplier. The directors of Epsilon estimate that the cost of safely decommissioning the machine on 31 March 2023 will be 3 million francs.

Note: A relevant annual rate to be used in any discounting calculations is 8% and the appropriate discount factor is 0·681. (8 marks)

(c) Impairment review

During the final few months of the accounting period ending on 30 September 2018, Epsilon experienced difficult trading conditions. These difficulties did not affect the ability of Epsilon to operate as a going concern. In an impairment review of the machine at 30 September 2018, the directors of Epsilon estimated that the machine's recoverable amount was \$2·5 million. (4 marks)

Relevant exchange rates (francs to \$1) are as follows:

- 1 April 2018 – 10 francs to \$1.
- 30 April 2018 – 9·5 francs to \$1.
- 31 July 2018 – 9 francs to \$1.
- 30 September 2018 – 8 francs to \$1.
- Average rate for the period from 1 April 2018 to 30 September 2018 – 9·2 francs to \$1.

Required:

Explain and show with appropriate calculations how the above events would be reported in the financial statements of Epsilon for the year ended 30 September 2018. Marks will be awarded for BOTH figures AND explanations.

(20 marks)

- 3** IAS® 33 – *Earnings per Share* – sets out requirements for the calculation and presentation of earnings per share in financial statements of listed entities. The requirements include the disclosure of basic earnings per share and, where an entity has potential ordinary shares in issue, the additional disclosure of diluted earnings per share in certain circumstances.

Kappa is a listed entity with a number of subsidiaries. Extracts from the consolidated statement of profit or loss and other comprehensive income of Kappa for the year ended 30 September 2018 appear below:

	Attributable to Kappa \$'000	Non-controlling interest \$'000	Total \$'000
Profit for the year	39,000	3,000	42,000
Other comprehensive income	5,000	Nil	5,000
Total comprehensive income	44,000	3,000	47,000

The long-term finance of Kappa comprises:

- 200 million ordinary shares in issue at the start of the year. On 1 January 2018, Kappa issued 50 million new ordinary shares at full market value.
- 80 million irredeemable preference shares. These shares were in issue for the whole of the year ended 30 September 2018. The dividend on these preference shares is discretionary.
- \$180 million 6% convertible loan stock issued on 1 October 2016 and repayable on 30 September 2021 at par. Interest is payable annually in arrears. As an alternative to repayment at par, the lenders on maturity can elect to exchange their loan stock for 100 million ordinary shares in Kappa. On 1 October 2016, the prevailing market interest rate for five-year loan stock which had no right of conversion was 8%. Using an annual discount rate of 8%, the present value of \$1 payable in five years is \$0.68 and the cumulative present value of \$1 payable at the end of years one to five is \$3.99.

In the year ended 30 September 2018, Kappa declared an ordinary dividend of 10 cents per share and a dividend of 5 cents per share on the irredeemable preference shares.

The annual rate of income tax applicable to Kappa and its subsidiaries is 20%.

All transactions have been correctly accounted for in the financial statements of Kappa for the year ended 30 September 2018.

Required:

- Explain the meaning of the term 'potential ordinary shares' and provide TWO examples of potential ordinary shares OTHER THAN convertible loans.** (3 marks)
- Explain how the diluted earnings per share is calculated and when it needs to be disclosed.** (3 marks)
- Compute the finance cost of the convertible loan stock which will be shown in the consolidated statement of profit or loss of Kappa for the year ended 30 September 2018 and the related loan liability which will be shown in the consolidated statement of financial position of Kappa at 30 September 2018.** (6 marks)
- Compute the basic and diluted earnings per share amounts for Kappa for the year ended 30 September 2018 which will be presented in its consolidated financial statements for that year.** (8 marks)

(20 marks)

- 4 You are the financial controller of Omega, a listed entity which prepares consolidated financial statements in accordance with International Financial Reporting Standards (IFRS® Standards). The financial statements for the year ended 30 September 2018 are due to be published shortly. A trainee accountant who is assigned to your department is reviewing the financial statements as part of a training exercise. She has prepared a list of queries arising out of this review.

Query One

When I look at the statement of financial position, one of the categories of non-current assets is 'investment properties' and another category is 'property, plant and equipment' – in which all other properties are included. Surely we invest in all our properties, so why have two categories for them in the statement of financial position? How do we decide what goes where?

A note to the financial statements states that investment properties are measured at their fair values and not depreciated. Don't all non-current assets have to be depreciated over their estimated useful lives? Another note states that property included in property, plant and equipment is measured at cost less accumulated depreciation rather than at fair value. Shouldn't all properties be measured in the financial statements on a consistent basis?

Finally, I can't immediately see from the financial statements where the gains or losses relating to the measurement of investment properties are included. The profit statement seems to include two main components – profit or loss and other comprehensive income. Where would the gains or losses go? Presumably the treatment of gains and losses is the same for any non-current assets which are measured at fair value? (10 marks)

Query Two

When I looked at the note detailing the intangible assets we include in our consolidated statement of financial position, I noticed that several brand names associated with subsidiaries we acquired recently were included in this figure. Therefore I also expected to see a figure for the Omega brand name included within intangible assets. There doesn't appear to be any amount for the Omega brand name included within intangible assets and I don't understand why. The Omega brand name has been developed within Omega for a number of years and is well regarded by our customers. Surely it's a mistake not to include it as well? (6 marks)

Query Three

One of the notes to the financial statements refers to a legal claim made against Omega by Customer X. This relates to losses incurred by Customer X due to Omega supplying this customer with a faulty product. Further investigation revealed that the fault was due to one of Omega's suppliers, Supplier Y, supplying Omega with a faulty component. This component was used to manufacture the product supplied to Customer X. Therefore Omega made a legal claim against Supplier Y in respect of that faulty component. The note states that both legal claims will probably succeed. I don't understand why Omega's financial statements include a liability in respect of the expected settlement of Customer X's legal claim but do not include an asset in respect of the expected settlement of Omega's legal claim against Supplier Y. This seems inconsistent. (4 marks)

Required:

Provide answers to the queries raised by the trainee. You should justify your answers with reference to relevant IFRS Standards.

Note: The mark allocation is shown against each of the three queries above.

(20 marks)

End of Question Paper

Answers

1 (a) Computation of profit or loss on the disposal of Delta

Marks

	\$'000	
Disposal proceeds	180,000	$\frac{1}{2}$
Net assets at date of disposal (W1)	(179,000)	2 (W1)
Unimpaired goodwill at date of disposal (W2)	(24,000)	$2\frac{1}{2}$ (W2)
Non-controlling interest at date of disposal (W3)	35,800	2 (W3)
So profit on disposal equals	<u>12,800</u>	<u>7</u>

Working 1 – Net assets at date of disposal

	\$'000	
Net assets at 30 September 2017 per individual financial statements of Delta	170,000	$\frac{1}{2}$
Profit for the year of Delta to date of disposal ($9/12 \times 24,000$)	18,000	1
Dividend paid prior to date of disposal	(9,000)	$\frac{1}{2}$
Net assets at date of disposal in consolidated financial statements	<u>179,000</u>	<u>2</u>

Working 2 – Goodwill at date of disposal (note the same as at acquisition as there is no impairment)

	\$'000	
Cost of investment ($80,000 \times \$1.40$)	112,000	1
Non-controlling interest at date of acquisition ($20,000 \times \$1.10$)	22,000	1
Fair value of net assets at date of acquisition	(110,000)	$\frac{1}{2}$
So goodwill on consolidation equals	<u>24,000</u>	<u>$2\frac{1}{2}$</u>

Working 3 – Non-controlling interest at date of disposal

	\$'000	
Non-controlling interest at date of acquisition (W2)	22,000	$\frac{1}{2}$
Share of change in net assets to date of disposal ($20\% \times 69,000$ (W4))	13,800	$\frac{1}{2} + 1$ (W4)
So non-controlling interest at date of disposal equals	<u>35,800</u>	<u>2</u>

Working 4 – Change in net assets from date of acquisition to date of disposal

	\$'000	
Net assets at date of disposal (W1)	179,000	$\frac{1}{2}$
Net assets at date of acquisition	(110,000)	$\frac{1}{2}$
Change in net assets	<u>69,000</u>	<u>1</u>

⇒W3

Tutorial note: An alternative method of computing the gain or loss on disposal of Delta in the consolidated financial statements would be to compute the gain or loss shown by Alpha in its individual financial statements and adjust this to reflect the different post-acquisition treatment in the consolidated financial statements. This is shown in the working below:

	\$'000
Proceeds of disposal	180,000
Cost of investment	(112,000)
Profit made (and already recorded) by Alpha in its own financial statements	68,000
Group share (80%) of post-acquisition change in net assets ($69,000 - W4$) recorded in the consolidated financial statements but not in the financial statements of Alpha	<u>(55,200)</u>
Group profit	<u>12,800</u>

Candidates who adopt this approach will receive appropriate credit.

(b) Consolidated statement of financial position of Alpha at 30 September 2018

Assets	\$'000	
Non-current assets:		
Property, plant and equipment (775,000 + 380,000) + (40,000 – 3,500) (W1) + 73,080 (W7)	1,264,580	½ + ½ (principle) + 3 (W7)
Goodwill (W2)	52,000	5½ (W2)
Investment in Gamma (W5)	151,000	3 (W5)
	<u>1,467,580</u>	
Current assets:		
Inventories (150,000 + 95,000 – (15,000 x 25/125 – unrealised profit))	242,000	½ + ½ (principle) + ½
Trade receivables (100,000 + 80,000 – 10,000 (intra-group))	170,000	½ + ½
Cash and cash equivalents (18,000 + 15,000 + 10,000 (cash in transit))	43,000	½ + ½
	<u>455,000</u>	
Total assets	<u>1,922,580</u>	
Equity and liabilities		
Equity attributable to equity holders of the parent		
Share capital	520,000	½
Retained earnings (W4)	778,920	8 (W4)
	<u>1,298,920</u>	
Non-controlling interest (W3)	95,300	1½ (W3)
Total equity	<u>1,394,220</u>	
Non-current liabilities:		
Long-term borrowings (W11)	244,613	1½ (W11)
Deferred tax (W12)	112,300	1 (W12)
Total non-current liabilities	<u>356,913</u>	
Current liabilities:		
Trade and other payables (60,000 + 55,000)	115,000	½
Short-term borrowings (W13)	56,447	4 (W13)
Total current liabilities	<u>171,447</u>	
Total liabilities	<u>528,360</u>	
Total equity and liabilities	<u>1,922,580</u>	<u>33</u>
		<u>40</u>

WORKINGS – DO NOT DOUBLE COUNT MARKS. ALL NUMBERS IN \$'000 UNLESS OTHERWISE STATED:

Working 1 – Net assets table – Beta

	1 October 2011 \$'000	30 September 2018 \$'000	For W2	For W4
Share capital	160,000	160,000	½	
Retained earnings:				
Per accounts of Beta	80,000	200,000	½	½
Fair value adjustments:				
Property (160,000 – 120,000)	40,000	40,000	½	½
Extra depreciation due to buildings uplift ((100,000 – 80,000) x 7/40)		(3,500)		½
Plant and equipment (130,000 – 120,000)	10,000	Nil	½	½
Deferred tax on fair value adjustments:				
Date of acquisition (20% x 50,000 (see above))	(10,000)		½	
Year end (20% x 36,500 (see above))		(7,300)		½
Net assets for the consolidation	<u>280,000</u>	<u>389,200</u>		
The post-acquisition increase in net assets is 109,200 (389,200 – 280,000).				½
			<u>2½</u>	<u>3</u>
			⇒W2	⇒W4

Working 2 – Goodwill on consolidation of Beta

	\$'000	
Cost of investment:		
Cash payment made on 1 October 2011	144,000	$\frac{1}{2}$
Deferred cash payment made on 1 October 2013 ($145,200 / (1 \cdot 10)^2$)	120,000	$1\frac{1}{2}$
Non-controlling interest at date of acquisition ($40,000 \times \$1 \cdot 70$)	68,000	1
Net assets at date of acquisition (W1)	(280,000)	$2\frac{1}{2}$ (W1)
So closing goodwill equals	<u>52,000</u>	<u>$5\frac{1}{2}$</u>

Working 3 – Non-controlling interest in Beta

	\$'000	
At date of acquisition (W2)	68,000	$\frac{1}{2}$
Share of post-acquisition increase in net assets – $25\% \times 109,200$ (W1)	<u>27,300</u>	$\frac{1}{2} + \frac{1}{2}$
	<u>95,300</u>	<u>$1\frac{1}{2}$</u>

Working 4 – Retained earnings

	\$'000	
Alpha	693,000	$\frac{1}{2}$
Adjustment for Beta's acquisition costs:	(1,000)	$\frac{1}{2}$
Adjustment re: lease (W10)	2,020	$1\frac{1}{2}$ (W10)
Beta ($75\% \times 109,200$ (W1))	81,900	$\frac{1}{2} + 3$ (W1)
Unrealised profit on sales to Beta ($15,000 \times 25/125$)	(3,000)	$\frac{1}{2}$
Gamma (W6)	<u>6,000</u>	<u>$1\frac{1}{2}$</u>
	<u>778,920</u>	<u>8</u>

Working 5 – Investment in Gamma

	\$'000	
Cost ($\frac{1}{2}$ for figure and 1 for principle equity method used)	145,000	$1\frac{1}{2}$
Share of post-acquisition profits (W6)	<u>6,000</u>	<u>$1\frac{1}{2}$</u>
	<u>151,000</u>	<u>3</u>

Working 6 – Share of post-acquisition reserves of Gamma – equity method

	\$'000	
Retained earnings on 30 September 2018	65,000	
Retained earnings on 1 October 2015	(45,000)	
Post-acquisition retained earnings	<u>20,000</u>	1
Group share (30%)	<u>6,000</u>	$\frac{1}{2}$
		<u>$1\frac{1}{2}$</u>
		$\Rightarrow W4$

Working 7 – Right of use asset

	\$'000	
Present value of minimum lease payments ($10,000 \times 7 \cdot 72$)	77,200	1
Initial direct costs of arranging lease	<u>4,000</u>	1
	81,200	
Depreciation ($1/10$)	<u>(8,120)</u>	1
So closing right of use asset is	<u>73,080</u>	<u>3</u>

Working 8 – Lease liability and associated finance cost

	\$'000	
Initial liability (W7)	77,200	$\frac{1}{2}$
Finance cost (5%)	3,860	$\frac{1}{2}$
Lease rental payable in arrears	<u>(10,000)</u>	$\frac{1}{2}$
So closing lease liability equals	<u>71,060</u>	<u>$1\frac{1}{2}$</u>
		$\Rightarrow W9$

		Marks
Working 9 – Lease liability split		
	\$'000	
Overall liability at year-end (W8)	71,060	1½ (W8)
Finance cost for next year (5% x 71,060)	(3,553)	1
Lease rental payable in arrears	10,000	1
So closing current lease liability equals	<u>6,447</u>	<u>3½</u>
		⇒W13
Working 10 – Adjustment to consolidated retained earnings re: lease		
	\$'000	
Required charges to profit and loss:		
Finance cost (W8)	(3,860)	½
Depreciation (W7)	(8,120)	½
Reversal of amount incorrectly charged	14,000	½
So net adjustment equals	<u>2,020</u>	<u>1½</u>
		⇒W4
Working 11 – Long-term borrowings		
	\$'000	
Alpha + Beta	180,000	½
Non-current lease liability ((71,060 – 6,447) – (W9))	64,613	1
	<u>244,613</u>	<u>1½</u>
Working 12 – Deferred tax		
	\$'000	
Alpha + Beta	105,000	½
On fair value adjustments in Beta (W1)	7,300	½
	<u>112,300</u>	<u>1</u>
Working 13 – Short-term borrowings		
	\$'000	
Alpha + Beta	50,000	½
Current lease liability (W9)	6,447	3½ (W9)
	<u>56,447</u>	<u>4</u>

2 (a) Purchase of machine

The cost of purchasing the machine from the foreign supplier (20 million francs) will initially be recognised in the financial statements using the rate of exchange at **the date of delivery** (10 francs to \$1). Therefore **\$2 million** (20 million/10) will be included in Epsilon's property, plant and equipment (PPE).

½ + ½

PPE is a **non-monetary item**, so even though the exchange rate (francs to the \$) fluctuates during the accounting period, this will cause **no change** to the \$2 million carrying amount.

½

The liability to pay the supplier will initially be recognised at \$2 million (the \$ cost of the machine).

½

The part payment of the liability on 31 July 2018 will be recorded using the rate of exchange **on that date**. Therefore **\$1,400,000** (12,600,000/9) will be credited to cash and debited to the liability.

½ + ½

The closing liability is a monetary item, so on 30 September 2018 it needs to be re-measured using the rate of exchange in force at that date.

½ (principle)

The amount of the closing liability in \$ is **\$925,000** (7.4 million /8). This will be shown as a **current liability**.

½ + ½

Due to the strengthening of the franc against the \$, there will be an exchange loss on the re-measurement of the liability which must be recognised in the statement of profit or loss. The amount of the exchange loss is **\$325,000** (\$925,000 – (\$2,000,000 – \$1,400,000)).

½ (principle) + 1

The \$250,000 cost of installing the machine is a **directly attributable** cost of getting the machine ready for use and this amount will be **added** to the cost of PPE.

½ + ½

		Marks
The costs of \$200,000 incurred in training staff to use the machine are revenue items and cannot be included in the cost of PPE. These must be charged in the statement of profit or loss as an expense.		$\frac{1}{2} + \frac{1}{2}$
		<u>8</u>
(b) Decommissioning		
Epsilon has a legal obligation to dispose of the machine safely at the end of its useful life. This obligation is reliably measurable and so it must be recognised as a provision on 1 April 2018.		$\frac{1}{2}$ (principle)
The provision is recognised at the present value of the estimated future expenditure of 3 million francs (3 million $\times$ 0.681 = 2,043,000 francs).		$\frac{1}{2} + \frac{1}{2}$
The provision is added to the cost of the asset using the rate of exchange on 1 April 2018 (10 francs to \$1). Therefore \$204,300 (2,043,000/10) is added to the cost of PPE.		$\frac{1}{2} + \frac{1}{2}$
As the date for payment of the disposal costs draws closer the provision increases. This 'unwinding of the discount' is shown as a finance cost in the statement of profit or loss.		$\frac{1}{2}$ (principle)
The finance cost in francs is 81,720 (2,043,000 $\times$ 8% $\times$ 6/12). This will be translated into \$ using the average rate for the period from 1 April 2018 to 30 September 2018 (9.2 francs to \$1). Therefore the charge to the statement of profit or loss for the finance cost will be \$8,883 (81,720/9.2).		$\frac{1}{2} + 1$
The closing provision for decommissioning is a monetary item, so on 30 September 2018 it needs to be re-measured using the rate of exchange in force at that date.		$\frac{1}{2}$ (principle)
The provision in francs is 2,124,720 (2,043,000 + 81,720). The \$ equivalent of this is \$265,590 (2,124,720/8).		$\frac{1}{2} + \frac{1}{2}$
The provision will be shown as a non-current liability in the statement of financial position at 30 September 2018.		$\frac{1}{2}$
Due to the strengthening of the franc against the \$, there will be an exchange loss on the re-measurement of the provision which must be recognised in the statement of profit or loss. The amount of the exchange loss is \$52,407 (\$265,590 – (\$204,300 + \$8,883)).		$\frac{1}{2}$ (principle) + 1
		<u>8</u>
(c) Impairment review		
The total initial cost of the machine will be \$2,454,300 (\$2 million + \$250,000 + \$204,300).		$\frac{1}{2} + \frac{1}{2}$
The machine will be depreciated from 1 April 2018 over its five-year useful life, so the depreciation charge for the year ended 30 September 2018 will be \$245,430 (\$2,454,300 $\times$ 1/5 $\times$ 6/12).		$\frac{1}{2} + \frac{1}{2}$
The closing carrying amount of the machine in PPE will be \$2,208,870 (\$2,454,300 – \$245,430). This will be shown as a non-current asset in the statement of financial position at 30 September 2018.		$\frac{1}{2} + \frac{1}{2}$
The difficult trading conditions experienced by Epsilon in the final few months of the financial year is an indicator that the machine could have suffered impairment. Therefore a review is required. However, since the recoverable amount (\$2.5 million) of the machine is higher than its carrying amount, no impairment loss needs to be recorded.		$\frac{1}{2} + \frac{1}{2}$
		<u>4</u>
		<u>20</u>
3 (a)	Potential ordinary shares are financial instruments or other contracts which may entitle the holder to ordinary shares (credit given if point is made but worded differently).	1
	Examples of potential ordinary shares include convertible preference shares, share options and contingently issuable shares (credit given if other valid examples are provided).	2 (1 for each)
		<u>3</u>
(b)	The diluted earnings per share is calculated by computing what the earnings per share figure would have been if the potential ordinary shares had been converted into ordinary shares on the first day of the accounting period, or from their date of acquisition by the holder, if the potential ordinary shares were acquired during the current accounting period (credit given if point is made but worded differently).	2

		Marks
The diluted earnings per share figure only needs to be disclosed if it is lower than the basic earnings per share figure.		1
		<u>3</u>
(c) The carrying amount of the convertible loan at 1 October 2016 (in \$'000) will be 10,800 (180,000 x 6%) x 3.99 + 180,000 x 0.68 = 165,492.		1 + 1
The finance cost for the year ended 30 September 2017 will be 165,492 x 8% = 13,239.		1
So the loan liability at 30 September 2017 will be 167,931 (165,492 + 13,239 – 10,800).		1
The finance cost for the year ended 30 September 2018 will be 13,434 (167,931 x 8%).		1
So the closing loan liability at 30 September 2018 will be 170,565 (167,931 + 13,434 – 10,800).		1
		<u>6</u>
(d)	\$'000	
Basic earnings per share – Total profits:		
Profit attributable to Kappa	39,000	1
Dividend on irredeemable preference shares (80,000 x 0.05)	(4,000)	1
Profit attributable to the ordinary shareholders of Kappa	<u>35,000</u>	
Weighted average number of ordinary shares in issue:		
1 October 2017 to 31 December 2017: 200,000 x 3/12 + 250,000 x 9/12	<u>237,500</u>	1 + 1
So basic earnings per share equals	14.7 cents	½
Diluted earnings per share on total profits		
Earnings per basic EPS (credit for 'own figure' here)	35,000	½
Add: post-tax interest saving on 'conversion' of convertible loans (W1)	<u>10,747</u>	1 (W1)
Profit per diluted EPS	<u>45,747</u>	
Weighted average number per basic EPS (credit for 'own figure' here)	237,500	½
Add: shares issuable on 'conversion' of convertible loans	<u>100,000</u>	½
Weighted average number per diluted EPS	<u>337,500</u>	
So diluted earnings per share on total profits equals (disclose as smaller than basic EPS)	13.6 cents	½ + ½
		<u>8</u>
		<u>20</u>

Working 1 – Post-tax interest saving on 'conversion' of convertible loans

	\$'000	
Pre-tax interest saving (as per part (c))	13,434	½
Income tax relief lost (20% – own figure credit given here)	<u>(2,687)</u>	½
So post-tax interest saving equals	<u>10,747</u>	1

4 Query One

Properties which are held for investment purposes are dealt with in IAS® 40 – <i>Investment Properties</i> .	½
IAS 40 defines investment properties as property held for rental or capital appreciation or both rather than for use in the ordinary course of business (give credit if wording different but correct in principle).	1
Under IAS 40, there are two permitted methods of accounting for investment properties.	½ (principle)
One of these methods is the fair value method . Under this method investment properties are not depreciated , but are measured annually at fair value , with gains or losses on re-measurement being recognised in the statement of profit or loss .	½ + ½ + ½ + ½
We could have chosen to measure our investment properties under the cost model (the model we have used to measure our other properties (see below)).	½
Where a property is used in the ordinary course of business it is included in property, plant and equipment and subject to a different IFRS® Standards – IAS 16 – <i>Property, Plant and Equipment</i> .	½ (principle) + ½ (principle)

	Marks
IAS 16 allows properties to be measured under two alternative models.	½ (principle)
Under one of these models – the cost model – properties are measured at original cost less accumulated depreciation . This is the model we have chosen to use in our financial statements .	½ + ½ + ½
Under the revaluation model of IAS 16, gains on revaluation are generally recognised in other comprehensive income but losses (falling below carrying amount) are generally recognised in the statement of profit or loss . The only exception to recognising a surplus in other comprehensive income is when it reverses a previous deficit which was recognised in the statement of profit or loss . In such cases, the reversal is recognised in the statement of profit or loss also.	½ + ½ + ½ + ½ + ½ 10
Query two	
The accounting treatment of intangible assets is regulated by IAS 38 – <i>Intangible Assets</i> .	½ (principle)
Under IAS 38, the accounting treatment of intangible assets depends on how they arose.	½ (principle)
The intangible assets of acquired subsidiaries were acquired as a result of a business combination and the initial recognition requirements are contained in IFRS® 3 – <i>Business Combinations</i> .	½ (principle)
When a new subsidiary is acquired, the purchase consideration needs to be allocated to the identifiable assets and liabilities of the acquired subsidiary.	½ (principle)
A brand name (or any other intangible asset for that matter) is regarded as identifiable if it is separable (can be sold without selling the whole business) or arises from contractual or other legal rights (such as legally protecting its use).	½ + ½
Identifiable intangible assets associated with an acquired subsidiary can be recognised separately in the consolidated financial statements provided their fair value can be reliably estimated .	1
The Omega brand is an internally developed brand.	½ (principle)
IAS 38 does not allow the recognition of internally developed brands because of the inherent difficulties involved in identifying and measuring them.	½ + ½
This explains why the Omega brand is treated differently compared to the brands of acquired subsidiaries.	½ 6
Query three	
The accounting treatment of both items is governed by IAS 37 – <i>Provisions, Contingent Liabilities and Contingent Assets</i> .	½ (principle)
The legal claim against Omega is a provision as it is a liability of uncertain timing or amount.	½ (principle)
IAS 37 requires provisions to be recognised where there is a probable outflow of economic benefits which can be reliably measured.	½
The legal claim by Omega against Supplier Y is a contingent asset as it is a possible asset arising from past events.	½ (principle)
IAS 37 states that contingent assets should not be recognised in the financial statements but should be disclosed where there is a probable inflow of economic benefits.	½ + ½ + ½
This explains the distinction between the treatment of the two legal claims.	½ 4 20

Diploma in International Financial Reporting (Dip IFR)

Friday 7 June 2019



Time allowed: 3 hours 15 minutes

ALL FOUR questions are compulsory and MUST be attempted.

Do NOT open this question paper until instructed by the supervisor.

This question paper must not be removed from the examination hall.

IFR
Dip

Think Ahead

ACCA

The Association of
Chartered Certified
Accountants

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The question paper begins on page 3.

ALL FOUR questions are compulsory and MUST be attempted

- 1 Alpha has one subsidiary, Beta. The draft statements of profit or loss for both entities for the year ended 31 March 20X7 are given below:

	Alpha \$'000	Beta \$'000
Revenue (notes 3 and 4)	400,000	280,000
Cost of sales (notes 1–3)	(240,000)	(170,000)
Gross profit	160,000	110,000
Distribution costs	(40,000)	(25,000)
Administrative expenses (note 5)	(50,000)	(29,000)
Investment income (note 6)	45,000	nil
Finance costs	(35,000)	(20,000)
Profit before tax	80,000	36,000
Income tax expense	(25,000)	(12,000)
Profit for the year	55,000	24,000

Note 1 – Alpha's investment in Beta

On 1 April 20X5, Alpha acquired 90 million of Beta's 120 million issued equity shares for a cash payment of \$327 million. On 1 April 20X5, the directors of Alpha measured the non-controlling interest in Beta using Alpha's proportionate share of the net assets of Beta at that date.

On 1 April 20X5, the net assets of Beta as shown in the individual financial statements of Beta totalled \$380 million. The directors of Alpha carried out a fair value exercise to measure the fair value of the identifiable assets and liabilities of Beta at 1 April 20X5. The following matters emerged:

- Plant and equipment having a carrying amount of \$120 million had an estimated fair value of \$140 million. The estimated remaining useful life of this plant at 1 April 20X5 was four years.
- A brand name relating to Beta had a fair value of \$30 million. This brand name was not recognised in the individual financial statements of Beta as it was internally developed. The directors of Alpha considered that the useful life of this brand name was 10 years from 1 April 20X5.
- A contingent liability relating to a pending legal case was disclosed in the notes to the financial statements of Beta at 1 April 20X5. This contingent liability had a fair value of \$15 million at 1 April 20X5. The contingency was settled during the year ended 31 March 20X6.

The fair value adjustments have not been reflected in the individual financial statements of Beta. The fair value adjustments are temporary differences which attract deferred tax at a rate of 20%.

All depreciation and amortisation of non-current assets is to be charged to cost of sales in the consolidated financial statements.

On 1 April 20X5, Alpha made a loan to Beta of \$200 million. The loan carried an annual interest rate of 10%. Interest is payable annually in arrears and the loan is repayable by Beta on 31 March 20X9. The loan interest payable on both 31 March 20X6 and 31 March 20X7 was paid by Beta on the due date and recognised by Alpha as investment income.

Note 2 – Impairment review of goodwill on acquisition of Beta

The goodwill on acquisition of Beta was reviewed for impairment on 31 March 20X6 and no impairment was considered necessary. On 31 March 20X6, the individual financial statements of Beta showed net assets of \$390 million.

Beta paid a dividend of \$12 million on 1 March 20X7 (see note 6).

Beta is a single cash-generating unit for impairment purposes. On 31 March 20X7, the estimated recoverable amount of Beta as a single cash-generating unit was \$448 million.

Any impairment of goodwill should be charged to cost of sales.

Note 3 – Intra-group trading

Alpha provides Beta with a product which Beta uses as a raw material in its production process. Sales of the product by Alpha to Beta for the year ended 31 March 20X7 totalled \$30 million. Alpha supplies this product to Beta at a mark-up of 20% on its cost of production.

On 31 March 20X7, the inventories of Beta included \$6 million in respect of raw materials supplied by Alpha. On 31 March 20X6, the equivalent figure in the inventories of Beta was \$4.8 million.

Any adjustments for unrealised profits are temporary differences which attract deferred tax at a rate of 20%.

Note 4 – Alpha revenue

On 1 October 20X6, Alpha sold a machine to a customer for a total sales price of \$27 million. The terms of the sale were that Alpha would provide the customer with a three-year service warranty. The service warranty covered all repairs which might be necessary should the machine break down in the three-year period. The normal selling price of the machine without the inclusion of any service warranty would have been \$24 million. Alpha would normally charge a customer a total of \$6 million to provide a three-year service warranty covering breakdown costs on a machine of this nature.

On 1 October 20X6, Alpha recognised revenue of \$27 million and charged the cost of manufacture to cost of sales. Any costs incurred by Alpha under the service warranty arrangements during the period from 1 October 20X6 to 31 March 20X7 were charged as cost of sales. The service warranty arrangement does not represent an onerous contract for Alpha at 31 March 20X7.

Note 5 – Research and development project

On 1 April 20X6, Alpha began a research project. The aim of the project was to investigate ways of streamlining its production process. The initial costs of setting up the project were \$5 million. From 1 April 20X6 to 30 June 20X6 ongoing project costs were \$500,000 per month. On 1 July 20X6, the project was considered to be technically feasible and commercially viable and from this date project costs increased to \$600,000 per month. The project was completed on 31 December 20X6 and the new production process began to be used from 1 January 20X7. The new process is likely to produce economic benefits for Alpha for five years from 1 January 20X7. Alpha charged all the costs to complete the project to administrative expenses.

Note 6 – Alpha's investment income

The figure for investment income in the consolidated financial statements of Alpha comprises:

	\$'000
Dividend received from Beta (note 2)	9,000
Interest received from Beta (note 1)	20,000
Dividend received from investment in Gamma (note 7)	4,500
Dividends received from portfolio of equity investments (note 8)	11,500
	45,000

Note 7 – Alpha's investment in Gamma

On 1 October 20X6, Alpha purchased 18% of the equity shares of Gamma at a cost of \$102 million. No other single shareholder owns more than 5% of Gamma's equity shares and there are no agreements in place for any of the other equity shareholders to collaborate to influence Gamma's operating or financial policies. Alpha has the right to appoint four of the ten directors of Gamma.

Gamma prepares financial statements to 31 March 20X7 and its profit before tax for the year ended 31 March 20X7 was \$78 million. Its income tax expense for that year was \$6 million. Gamma's profits accrue evenly.

Gamma paid a dividend of \$25 million on 1 March 20X7.

Alpha's investment in Gamma has not suffered any impairment since 1 October 20X6.

Note 8 – Alpha's portfolio of equity investments

Alpha's portfolio of equity investments is held for short-term trading. During the year ended 31 March 20X7, Alpha made additional purchases at a total cost of \$8.5 million which were added to the portfolio. During the year ended 31 March 20X7, Alpha received \$7 million from the proceeds of sale of investments from the portfolio. These proceeds

were deducted from the carrying amount of the portfolio. On 31 March 20X6, the fair value of the portfolio was \$75 million and this amount was recognised in the financial statements of Alpha at that date. On 31 March 20X7, the fair value of the portfolio was \$84 million. No adjustments have yet been made to the financial statements of Alpha to reflect this change in fair value.

Required:

- (a) **Explain how Alpha should classify its investment in Gamma (note 7) in its consolidated financial statements for the year ended 31 March 20X7.** (2 marks)
- (b) **Compute the carrying amount of Alpha's investment in Gamma (note 7) in its consolidated statement of financial position at 31 March 20X7. Ignore deferred tax.** (2 marks)
- (c) **Prepare the consolidated statement of profit or loss of Alpha for the year ended 31 March 20X7. Unless specifically referred to in the notes, ignore deferred tax.** (36 marks)

Note: You should show all workings to the nearest \$'000.

(40 marks)

- 2 Gamma prepares its financial statements to 31 March each year. Notes 1 and 2 contain information relevant to these financial statements:

Note 1 – Sale and leaseback of property

On 1 April 20X6, Gamma sold a property to entity A for its fair value of \$1,500,000. The terms and conditions of the sale satisfy the sale and leaseback requirements of IFRS® 15 – *Revenue from Contracts with Customers*. The carrying amount of the property in the financial statements of Gamma at 1 April 20X6 was \$1,000,000. The estimated future useful life of the property on 1 April 20X6 was 20 years. On 1 April 20X6, Gamma entered into an agreement with entity A under which Gamma leased the property back. The lease term was for five years, with annual rentals of \$100,000 payable in arrears. The annual rate of interest implicit in the lease was 10% and the present value of the minimum lease payments on 1 April 20X6 was \$379,100. (12 marks)

Note 2 – Purchase of new machine

On 1 April 20X6, Gamma purchased a machine from a foreign supplier. The cost of the machine was 900,000 dinars. Gamma paid this amount to the supplier on 30 June 20X6. The estimated useful life of the machine at 1 April 20X6 was eight years. However, the machine contains a component which will need replacing after four years. On 1 April 20X6, the directors of Gamma estimated that 30% of the original cost of the machine was attributable to this component. Relevant exchange rates (dinars to \$1) were as follows:

Date	Exchange rate (dinars to \$1)
1 April 20X6	3
30 June 20X6	2.5
31 March 20X7	2.4

Gamma uses the cost model to measure all of its property, plant and equipment. (8 marks)

Required:

Using the information in notes 1 and 2 explain and show how the two events would be reported in the financial statements of Gamma for the year ended 31 March 20X7.

Note: The mark allocation is shown against each of the two notes above.

(20 marks)

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Question 3 begins on page 8.**

- 3 (a)** It has become increasingly common for entities to use share-based payment methods and the most common example is to grant employees share options as part of a remuneration package. These options often vest at the end of a specified period, and are subject to vesting conditions. IFRS 2 – *Share-based Payment* – has been issued to provide financial reporting guidance for entities which engage in this type of transaction.

Required:

- (i) Explain how share options granted to employees with a future vesting date and subject to vesting conditions should be recognised and measured in the financial statements of the employing entity. Your explanation need only include the treatment of non-market based vesting conditions. (6 marks)
- (ii) Explain what would be the changes to your answer if instead the entity granted share appreciation rights which are payable in cash to the employees at the end of the vesting period. (3 marks)
- (b)** Delta prepares financial statements to 31 March each year. The information in note 1 and 2 is relevant for the year ended 31 March 20X7.

Note 1 – Granting of options to sales staff

On 1 April 20X5, Delta granted share options to 100 sales staff. The options are due to vest on 31 March 20X8. The granting of the options was subject to two conditions:

- The staff member remains employed by Delta on 31 March 20X8.
- The sales revenue of Delta grows by a cumulative amount of at least 40% in the three-year period ending on 31 March 20X8 (see the table below).

Cumulative growth in revenue in the three-year period	Number of options each employee is entitled to (subject to satisfying other vesting conditions)
Between 40% and 50%	200
Over 50%	250

On 1 April 20X5, the fair value of a share option was \$4.20. This had increased to \$4.50 by 31 March 20X6 and to \$4.80 by 31 March 20X7.

During the two years ended 31 March 20X7, expectations of revenue growth and employee retention in the three-year period ending on 31 March 20X8 changed as follows:

	Growth in revenue		Employees leaving	
	In the year	Expected cumulative growth in the three-year period	In the year	Expected FUTURE departures in the three-year vesting period
Year ended 31 March				
20X6	12%	42%	10	20
20X7	18%	54%	5	9

You can assume that this transaction was correctly accounted for by Delta in its financial statements for the year ended 31 March 20X6. (6 marks)

Note 2 – Granting of share appreciation rights to senior executives

On 1 October 20X5, Delta granted 500 share appreciation rights to 20 senior executives. The rights are redeemable in cash on 30 September 20X9 provided the executives remain employed by Delta until at least 30 September 20X9.

On 1 October 20X5, Delta estimated that two of the 20 executives would leave in the period from 1 October 20X5 to 30 September 20X9 and this estimate remained unchanged at 31 March 20X6.

During the year ended 31 March 20X7, one executive left Delta and on that date Delta estimated that the other 19 executives would remain in employment until 30 September 20X9 and so be entitled to the share appreciation rights.

On 1 October 20X5, the fair value of a share appreciation right was estimated to be \$6. The fair value of a right had increased to \$6·20 by 31 March 20X6 and to \$6·40 by 31 March 20X7.

You can assume that this transaction was correctly accounted for by Delta in its financial statements for the year ended 31 March 20X6. (5 marks)

Required:

Briefly explain and show how the transactions described in notes 1 and 2 would be reported in the financial statements of Delta for the year ended 31 March 20X7.

Note: The mark allocation is shown against each of the two notes above.

(20 marks)

- 4 You are the financial controller of Epsilon, a listed entity. The financial statements of Epsilon for the year ended 31 March 20X7 are currently being prepared. Your managing director has sent you three questions regarding the financial statements. The questions appear in notes 1–3.

Note 1 – Farming subsidiary

I've recently been reviewing the financial statements of one of our subsidiaries. This subsidiary specialises in both dairy farming and beef farming. There are amounts included in both non-current and current assets:

- The non-current assets include farm machinery which has been purchased. I understand why this machinery has been included as we have spent money on it. However, the non-current assets figure also includes a figure for the dairy and beef herds. These existing herds were not purchased but are made up of animals the farming subsidiary has bred.
- The inventories include amounts for milk and beef. The milk comes from the dairy herd and the beef comes from the animals we have slaughtered.
- Is there an international financial reporting standard which deals with these issues and how does it require the subsidiary to value and account for the herds and the inventories? (8 marks)

Note 2 – Equity investments

I've been analysing Epsilon's equity investments and they appear to be being treated inconsistently in the financial statements. I have noted the following:

- We have a portfolio of equity investments which we use for the short-term investment of surplus cash. When we need cash for business purposes we sell some investments from this portfolio. The portfolio is measured at its fair value each year end. Any surpluses or deficits on re-measurement to fair value are recognised in investment income as part of the profit or loss for the period.
- We have two long-term equity investments in key suppliers which we have held for some time and have no intention of selling. These investments are also measured at fair value but changes in fair value are recognised as 'other comprehensive income'.

How can it be consistent to report changes in the fair values of our equity investments as different line items in the same financial statement? Please explain the measurement requirements of the relevant international financial reporting standard. Additionally, what difference does it make to Epsilon whether gains or losses are reported in other comprehensive income rather than as part of the profit or loss for the period? (7 marks)

Note 3 – Redundancy programmes

You will be aware that the board of directors met on 10 March 20X7 to discuss over-capacity in parts of the group. The decision was reluctantly taken to implement a programme of redundancies. The programme was to be implemented in two phases:

- Phase 1 involves 300 redundancies on 30 June 20X7. This phase of the programme was planned out in detail at the meeting on 10 March 20X7. The redundancy costs were calculated in some detail at the meeting and this first phase was made public to all affected parties on 25 March 20X7.
- Phase 2 involves 200 redundancies on 30 September 20X7. This phase of the programme was also planned out in detail at the meeting on 10 March. The redundancy costs were estimated at the meeting and this second phase was announced on 25 April 20X7.

The financial statements for the year ended 31 March 20X7 include a provision for the first phase of the redundancies but not the second phase. Both phases were agreed and the costs calculated at the same meeting. Surely both costs should be accounted for consistently? (5 marks)

Required:

Provide answers to the questions raised by your managing director. Your answers should refer to relevant provisions of International Financial Reporting Standards (IFRS® Standards).

Note: The mark allocation is shown against each of the three notes above.

(20 marks)

End of Question Paper

Answers

			Marks
1 (a)	Based on the information supplied in the question, Alpha's investment in Gamma will give Alpha significant influence over the operating and financial policies of Gamma.		1
	When a reporting entity has an investment which gives it significant influence, but not control, over the investee entity then, according to the requirements of IAS® 28 – <i>Investment in Associates</i> – the investment is recognised as an associate in the consolidated financial statements.		1
			<u>2</u>
(b)	The carrying amount of Alpha's investment in Gamma in its consolidated statement of financial position at 31 March 20X7 will be:		
		\$'000	
	Cost	102,000	½
	Share of post-acquisition profits:		
	6/12 of profit after tax (78,000 – 6,000)	36,000	½
	18% x 36,000 =	6,480	½
	Dividend received	(4,500)	½
	So carrying amount equals	<u>103,980</u>	<u>2</u>
(c)	Alpha – Consolidated statement of profit or loss for the year ended 31 March 20X7 – all numbers in \$'000		
		\$'000	
	Revenue (W1)	645,500	4½
	Cost of sales (W3)	<u>(395,280)</u>	17
	Gross profit	250,220	
	Distribution costs (40,000 + 25,000)	<u>(65,000)</u>	½
	Administrative expenses (W7)	<u>(75,400)</u>	1½
	Investment income (W8)	19,000	4½
	Finance costs (35,000 + 20,000 – 20,000)	<u>(35,000)</u>	1
	Share of profits of Gamma (W10)	6,480	1
	Profit before tax	100,300	
	Income tax expense (W11)	<u>(35,360)</u>	2½
	Profit for the year	<u>64,940</u>	
	Profit for the year attributed to:		
	Shareholders of Alpha (balancing figure)	60,540	½
	Non-controlling interest (W12)	<u>4,400</u>	2½
		<u>64,940</u>	½
			<u>36</u>
			<u>40</u>

WORKINGS – ALL NUMBERS IN \$'000

Working 1 – Revenue

	\$'000	
Alpha + Beta	680,000	½
Intra-group sales	<u>(30,000)</u>	½
Adjustment to Alpha revenue (W2)	<u>(4,500)</u>	3½ (W2)
	<u>645,500</u>	4½

Marks

Working 2 – Adjustment to Alpha revenue

	\$'000	
Total revenue to be recognised	27,000	½
Sum of the stand-alone selling prices of the components (24,000 + 6,000)	30,000	½
Allocate transaction price based on stand-alone prices	90%	½
Revenue from sale of goods (recognise in full) = $24/30 \times 27,000$	21,600	½
Revenue from rendering of services (recognise 6/36) = $6/30 \times 27,000 \times 6/36$	900	1
	<u>22,500</u>	
Revenue adjustment equals (27,000 – 22,500)	<u>4,500</u>	½
		<u>3½</u>
		⇒ W1

Working 3 – Cost of sales

	\$'000	
Alpha + Beta	410,000	½
Intra-group purchases	(30,000)	½
Unrealised profit on closing inventory (6,000 x 20/120)	1,000	1
Unrealised profit on opening inventory (4,800 x 20/120)	(800)	½
Additional depreciation on fair value adjustment to plant (20,000 x ¼)	5,000	1
Additional amortisation on fair value adjustment to brand (30,000 x 1/10)	3,000	1
Amortisation of development costs (3,600 (W7) x 1/5 x 3/12)	180	1½
Impairment of goodwill (W4)	6,900	11
	<u>395,280</u>	<u>17</u>

Working 4 – Impairment of goodwill on acquisition of Beta at 31 March 20X7

	\$'000	
Net assets of Beta per consolidated financial statements (W5)	429,200	4½ (W5)
Goodwill on acquisition of Beta (W6)	21,000	4½ (W6)
Notional grossing (25/75) up for impairment review purposes	<u>7,000</u>	1
	457,200	
Recoverable amount of Beta – a single cash-generating unit	<u>(448,000)</u>	½
So gross impairment at 31 March 20X7	<u>9,200</u>	
Amount recognised in the consolidated statement of profit or loss (75%)	<u>6,900</u>	½
		<u>11</u>

Working 5 – Net assets of Beta at 31 March 20X7 per the consolidated financial statements

	\$'000	
Net assets of Beta per own financial statements at 31 March 20X6	390,000	½
Profit of Beta for the year ended 31 March 20X7	24,000	½
Less dividend paid during the year (9,000 x 100/75)	<u>(12,000)</u>	1
Net assets of Beta per own financial statements at 31 March 20X7	402,000	
Residual impact of fair value adjustments at 31 March 20X7:		
– Plant and equipment (20,000 x 2/4)	10,000	1
– Brand (30,000 x 8/10)	24,000	1
– Deferred tax on fair value adjustments (20% x 34,000)	<u>(6,800)</u>	½
Net assets of Beta per consolidated financial statements at 31 March 20X7	<u>429,200</u>	4½
		⇒ W4

			Marks
Working 6 – Goodwill on acquisition of Beta			
	\$'000	\$'000	
Cost of investment in Beta		327,000	½
Net assets of Beta at date of acquisition:			
Per own financial statements	380,000		½
Fair value adjustments:			
Plant and equipment (140,000 – 120,000)	20,000		½
Brand	30,000		½
Contingent liability	(15,000)		½
Deferred tax on fair value adjustments (20%(20,000 + 30,000 – 15,000))	(7,000)		1
		(408,000)	
Non-controlling interest at date of acquisition: (25% x 408,000 – ½ for group structure)		102,000	1
So goodwill on acquisition equals		21,000	4½
			⇒ W4
Working 7 – Administrative expenses			
		\$'000	
Alpha + Beta		79,000	½
Development costs incorrectly charged to profit or loss (600,000 x 6)		(3,600)	1
		75,400	1½
Working 8 – Investment income			
		\$'000	
Alpha + Beta		45,000	½
Dividends and interest from Beta excluded (½ for each exclusion)		(29,000)	1
Dividend from Gamma excluded		(4,500)	1
Adjustment for fair value change (W9)		7,500	2
		19,000	4½
Working 9 – Adjustment for fair value of trading portfolio			
		\$'000	
Fair value of portfolio at 1 April 20X6		75,000	½
Purchases during the period		8,500	½
Proceeds of disposals during the period		(7,000)	½
		76,500	
Gain on revaluation to fair value (balancing figure)		7,500	½
Fair value of portfolio on 31 March 20X7		84,000	2
			⇒ W8
Working 10 – Share of profits of Gamma			
		\$'000	
Share of profits as computed in part (a) (½ for principle + ½ for OF)		6,480	1
Working 11 – Income tax expense			
		\$'000	
Alpha + Beta		37,000	½
Deferred tax movements on fair value adjustments (20% x (5,000 + 3,000 – see W3))		(1,600)	1
Deferred tax movements on unrealised profit adjustments (20% x (1,000 – 800 – see W3))		(40)	1
		35,360	2½

Working 12 – Non-controlling interest in profit of Beta

	\$'000	
Profit after tax of Beta	24,000	½
Adjustment re: plant and machinery depreciation	(5,000)	½
Adjustment re: brand amortisation	(3,000)	½
Deferred tax impact (see W11 above)	1,600	½
	<u>17,600</u>	
Non-controlling interest = 25% x 17,600	<u>4,400</u>	½
		<u>2½</u>

2 Note 1 – Sale and leaseback

Because the sale of the building by Gamma satisfies the requirements in IFRS® 15 – *Revenue from Contracts with Customers* – Gamma will de-recognise the building on 1 April 20X6.

1

Gamma will recognise a 'right of use asset' on 1 April 20X6.

1

The right of use asset will be measured as a percentage of the previous carrying amount of \$1 million which relates to the right of use retained by Gamma. This percentage is 25·27% (\$379,100/\$1·5 million). This means that the carrying amount of the right of use asset will be \$252,700 (\$1 million x 25·27%).

2

The gain on sale of property to be recognised in Gamma's statement of profit or loss is restricted to the rights transferred to entity A. The total gain is \$500,000 (\$1·5m – \$1m). The percentage of this gain to be recognised is 74·73% (100% – 25·27%). This means that the gain which will be recognised will be \$373,650 (\$500,000 x 74·73%).

2

The right of use asset will be depreciated over the **lease term**, which is five years. Therefore depreciation of \$50,540 (\$252,700 x 1/5) will be charged in the statement of profit or loss.

2

The statement of financial position at 31 March 20X7 will show a right of use asset of \$202,160 (\$252,700 – \$50,540) under non-current assets.

1

Gamma will show a finance cost of \$37,910 (\$379,100 x 10%) in the statement of profit or loss for the year ended 31 March 20X7.

1

The closing lease liability will be \$317,010 (\$379,100 + \$37,910 – \$100,000).

1

The amount of the overall liability which is current will be \$68,299 (\$100,000 – {\$317,010 x 10%}). The balance of the liability of \$248,711 (\$317,010 – \$68,299) will be non-current.

1

12

Tutorial note: *The amount of the gain on sale which is recognised by Gamma could alternatively be computed as follows:*

$$\text{The total gain} \times \frac{(\text{The fair value of the asset} - \text{the lease liability})}{\text{The fair value of the asset}}$$

In this case this would give:

$$\$500,000 \times ((\$1,500,000 - \$379,100)/\$1,500,000) = \$373,633 \text{ (difference to above } \$373,650 \text{ due solely to rounding)}$$

Candidates who adopt an approach of this nature will receive full credit.

Note 2 – New machine

The machine would **originally** be recognised in the financial statements on 1 April 20X6 using the rate of exchange in force at that date (3 dinars to \$1). Therefore the initial carrying amount of the **machine** would be \$300,000 (900,000/3). This will also be the initially recognised amount of the associated **liability**.

1

When the liability is settled on 30 June 20X6, Gamma will have to pay \$360,000 (900,000/2·5). The difference of \$60,000 (\$360,000 – \$300,000) between the original liability and the settlement amount will be an exchange loss which will be recognised in the statement of profit or loss as an operating expense.

2

Because the machine is a non-monetary item which is measured under the cost model, its carrying amount will not be affected by future currency fluctuations.

1

Because part of the machine will need to be replaced after four years, depreciation needs to be accounted for by splitting the asset into two depreciable components.

1

		Marks
The amount of the initial carrying amount which relates to the component which needs replacing after four years is \$90,000 ($(\$300,000 \times 30\%)$). Depreciation on this component in the year ended 31 March 20X7 will be \$22,500 ($\$90,000 \times \frac{1}{4}$).		1
Depreciation on the remainder of the asset for the year ended 31 March 20X7 will be \$26,250 ($\{ \$300,000 - \$90,000 \} \times \frac{1}{8}$).		1
The closing carrying amount of the asset which will be included as a non-current asset within property, plant and equipment will be \$251,250 ($\$300,000 - \$22,500 - \$26,250$).		1
		8
		20
3 (a) (i) IFRS 2 – <i>Share-based Payment</i> – requires that the total estimated cost of granting share options to employees be recognised over the vesting period.		$\frac{1}{2}$
The total estimated cost should be charged as a remuneration expense and credited to equity (IFRS 2 does not specify where in equity the credit should be made).		1
The cumulative charge at the end of each period should be a proportion of the total estimated cost. The proportion should be based on the proportion of the total vesting period which has accrued at the reporting date.		1
The incremental charge is a remuneration expense for any period and should be the difference between the cumulative charge at the end of the period and the cumulative charge at the start of the period.		1
The charge should be based on the fair value of the option at the grant date. This continues to be the case throughout the vesting period – subsequent changes in the fair value of the option are not adjusted for.		$1\frac{1}{2}$
Where the vesting conditions are non-market conditions (i.e. not directly related to any change in the entity's share price), then the cumulative cost at each year end should be estimated based on the expected number of options which will vest at the vesting date.		1
		6
(ii) If an entity grants cash-based share appreciation rights to employees rather than share options, then the basic principle of recognising the total estimated cost over the vesting period taking account of relevant vesting conditions is the same.		1
However, since any ultimate payment will be made in cash, the credit entry to account for the remuneration expense is to liabilities rather than equity.		1
Also, since any ultimate payment to the holders of share appreciation rights will normally be based on their fair value either at the vesting date or the payment date, subsequent changes in the fair value of the rights cannot be ignored. Measurement of the remuneration expense will be based on the fair value of the share appreciation rights at each reporting date.		1
		3
(b) Note 1 – Granting of options to sales staff		
The expected total cost of the scheme at 31 March 20X6 was \$58,800 $(100 - 10 - 20) \times 200 \times \4.20 .		2
Therefore cumulative cost accrued at 31 March 20X6 would have been \$19,600 ($\$58,800 \times \frac{1}{3}$).		1
The expected total cost of the scheme at 31 March 20X7 is \$79,800 $(100 - 10 - 5 - 9) \times 250 \times \4.20 .		2
The cumulative cost accrued at 31 March 20X7 is \$53,200 ($\$79,800 \times \frac{2}{3}$).		$\frac{1}{2}$
Therefore the amount charged as a remuneration expense to profit or loss for the year ended 31 March 20X7 will be \$33,600 ($\$53,200 - \$19,600$).		$\frac{1}{2}$
		6

	Marks
Note 2 – Granting of share appreciation rights to senior executives	
The expected fair value of the total liability at 31 March 20X7 will be \$60,800 (500 x 19 x \$6.40).	1½
The amount which will be shown as a liability in the statement of financial position at 31 March 20X7 will be the proportion based on the period elapsed since the rights were granted compared with the total vesting period. In this case that proportion is 18/48. Therefore the closing liability will be \$22,800 (\$60,800 x 18/48). This will be shown as a non-current liability.	1½
The liability which would have been recognised in the statement of financial position at 31 March 20X6 would have been \$6,975 (500 x 18 x \$6.20 x 6/48).	1
Delta would show a remuneration expense in profit or loss of \$15,825 (\$22,800 – \$6,975) in respect of the share appreciation rights for the year ended 31 March 20X7.	1
	5
	20
 4 Note 1 –Farming subsidiary	
There is an international financial reporting standard which is particularly applicable to entities such as farming companies. The standard is IAS 41 – <i>Agriculture</i> .	1 (principle)
IAS 41 would regard a dairy or beef herd as an example of a biological asset . A biological asset is a living plant or animal .	½ + 1
Given the impracticability of measuring the cost of biological assets, IAS 41 requires that they should be measured at each reporting date at their fair value less costs to sell , provided that fair value can be measured reliably . Gains and losses are reported in profit or loss.	1 + ½
Dairy and beef cows are regularly bought and sold and therefore there should be no problem in determining their fair value which will be equivalent to market value. This would allow the calculation of the carrying amount of the dairy and beef herd in the non-current assets of the subsidiary.	1
IAS 41 would regard milk and beef as agricultural produce. Agricultural produce is ‘harvested’ from the biological asset. In the case of the dairy herd, the ‘harvesting’ is the milking of the cows and in the case of the beef herd, the ‘harvesting’ is the slaughtering of the beef cows.	2
IAS 41 requires that agricultural produce be initially measured based on fair value at the point of harvesting. This then forms the ‘cost’ for the purposes of subsequently applying IAS 2 – <i>Inventories</i> .	1
	8
 Note 2 – Equity investments	
Equity investments are financial assets and are subject to the recognition and measurement requirements of IFRS 9 – <i>Financial Instruments</i> .	½
IFRS 9 identifies three classes for financial assets – amortised cost (AC), fair value through other comprehensive income (FVTOCI) or fair value through profit or loss (FVTPL).	1
IFRS 9 states that the class of into which a particular financial asset is allocated depends on the business model for managing the financial assets and the contractual cash flows associated with those assets. AC can only be used where the contractual cash flows consist solely of the receipt of interest and repayment of the principal sums outstanding. This does not apply to equity shares, so the AC method cannot be used.	1½
The default category for measuring equity investments is at FVTPL. This is the method which has been used for the portfolio which has been held for the short-term investment of surplus cash.	1
However, if an equity investment is not held for trading, it is possible to make an election on initial recognition to measure the investment at FVTOCI. This election has been made in respect of the equity investments in two key suppliers which we have held for the long term and have no intention of selling.	1½
The key difference between reporting a gain or loss as part of profit or loss or as part of other comprehensive income is that in the former case the gain or loss affects earnings per share, which is an important performance measure for listed entities like Epsilon.	1½
	7

	Marks
Note 3 – Treatment of redundancy programmes	
Provisions are subject to the requirements of IAS 37 – <i>Provisions, Contingent Assets and Contingent Liabilities</i> .	$\frac{1}{2}$
IAS 37 states that in order for a provision to be recognised, an obligation needs to exist at the reporting date which can be measured reliably.	1
The costs of both phases of the redundancy programme have been either estimated or calculated, so for both phases the potential obligation can be measured reliably.	$\frac{1}{2}$
The reason for the different treatments of the two phases is due to whether or not an obligation exists at the reporting date.	$\frac{1}{2}$ (principle)
An obligation can be legal or constructive; in this case the redundancy programme was determined internally by the company so the obligation is not a legal one.	$\frac{1}{2}$ (principle)
In the case of phase 1 of the programme, a constructive obligation does exist at the reporting date because the details have been announced to those affected by it, giving them a valid expectation that it will be carried through. Therefore IAS 37 requires a provision for the costs to be included in the financial statements. As no such obligation exists for phase 2 at the reporting date, since the announcement had not been made at that time, neither a provision or disclosure of a contingent liability is required.	2
	5
	20

Diploma in International Financial Reporting (Dip IFR)

Friday 6 December 2019



Time allowed: 3 hours 15 minutes

ALL FOUR questions are compulsory and MUST be attempted.

Do NOT open this question paper until instructed by the supervisor.

This question paper must not be removed from the examination hall.

IFR
Dip

Think Ahead

ACCA

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Chartered Certified
Accountants

ALL FOUR questions are compulsory and MUST be attempted

- 1 Alpha, a parent with a subsidiary Beta, is preparing the consolidated statement of financial position at 30 September 20X7. The draft statements of financial position for both entities as at 30 September 20X7 are given below:

	Alpha \$'000	Beta \$'000
Assets		
Non-current assets:		
Property, plant and equipment (note 1)	966,500	546,000
Development project (note 1)	0	20,000
Investment in Beta (note 1)	450,000	0
	<u>1,416,500</u>	<u>566,000</u>
Current assets:		
Inventories (note 2)	165,000	92,000
Trade receivables	99,000	76,000
Cash and cash equivalents	18,000	16,000
	<u>282,000</u>	<u>184,000</u>
Total assets	<u><u>1,698,500</u></u>	<u><u>750,000</u></u>
Equity and liabilities		
Equity		
Share capital (\$1 shares)	360,000	160,000
Retained earnings	570,000	360,000
Other components of equity	102,000	0
Total equity	<u>1,032,000</u>	<u>520,000</u>
Non-current liabilities:		
Long-term borrowings (note 3)	300,000	85,000
Pension liability (note 4)	187,500	0
Deferred tax (note 1 and 2)	69,000	54,000
Total non-current liabilities	<u>556,500</u>	<u>139,000</u>
Current liabilities:		
Trade and other payables	70,000	59,000
Short-term borrowings	40,000	32,000
Total current liabilities	<u>110,000</u>	<u>91,000</u>
Total equity and liabilities	<u><u>1,698,500</u></u>	<u><u>750,000</u></u>

Note 1 – Alpha's investment in Beta

On 1 April 20X7, Alpha acquired 120 million shares in Beta. Alpha made a payment of \$450 million in exchange for these shares. The individual interim financial statements of Beta showed a balance of \$340 million on its retained earnings on 1 April 20X7.

The directors of Alpha carried out a fair value exercise to measure the identifiable assets and liabilities of Beta at 1 April 20X7. The following matters emerged:

- Plant and equipment having a carrying amount of \$440 million had an estimated fair value of \$480 million. The estimated remaining useful life of this plant and equipment at 1 April 20X7 was four years.
- An in-process development project of Beta's had a carrying amount of \$8 million and a fair value of \$18 million. During the six-month period from 1 April 20X7 to 30 September 20X7, Beta incurred further development costs of \$12 million relating to this project. These costs were correctly capitalised in accordance with the requirements of IAS[®] 38 – *Intangible Assets*. No amortisation of the capitalised costs of this project was required prior to 30 September 20X7.

- The fair value adjustments have not been reflected in the individual financial statements of Beta. In the consolidated financial statements, the fair value adjustments will be regarded as temporary differences for the purposes of computing deferred tax. The rate of deferred tax to apply to temporary differences is 20%.

On 1 April 20X7, the directors of Alpha measured the non-controlling interest in Beta at its fair value on that date. On 1 April 20X7, the fair value of an equity share in Beta was \$3·80.

Note 2 – Intra-group trading

Since 1 April 20X7, Alpha has supplied a product to Beta. Alpha applies a mark-up of 25% to its cost of supplying this product. Sales of the product by Alpha to Beta in the period from 1 April 20X7 to 30 September 20X7 totalled \$30 million. One-third of the products which Alpha has supplied to Beta since 1 April 20X7 were still unsold by Beta at 30 September 20X7. Any adjustment which is necessary in the consolidated financial statements as a result of these sales will be regarded as a temporary difference for the purposes of computing deferred tax. The rate of deferred tax to apply to temporary differences is 20%. No amounts were owing to Alpha by Beta in respect of these sales at 30 September 20X7.

Note 3 – Long-term borrowings

Prior to 1 October 20X6, Alpha had no long-term borrowings. On 1 October 20X6, Alpha borrowed \$300 million to finance its future expansion plans. The term of the borrowings is five years and the annual rate of interest payable on the borrowings is 6%, payable in arrears. Alpha charged the interest paid on 30 September 20X7 as a finance cost in its financial statements for the year ended 30 September 20X7.

The borrowings are repayable in cash at the end of the five-year term or convertible into equity shares on that date at the option of the lender. If the borrowings had not contained a conversion option, the lender would have required an annual return of 8%, rather than 6%. Discount factors which may be relevant are as follows:

Discount factor	Present value of \$1 payable at the end of year 5	Cumulative present value payable at the end of years 1–5 inclusive
6%	74·7 cents	\$4·21
8%	68·1 cents	\$3·99

Note 4 – Pension liability

Alpha has established a defined benefit pension plan for its eligible employees. The statement of financial position of Alpha at 30 September 20X7 currently includes the estimated net liability at 30 September 20X6. The following matters relate to the plan for the year ended 30 September 20X7:

- The estimated current service cost was advised by the actuary to be \$60 million.
- On 30 September 20X7, Alpha paid contributions of \$70 million into the plan and charged this amount as an operating expense.
- The annual market yield on high quality corporate bonds on 1 October 20X6 was 8%.
- The estimated net liability at 30 September 20X7 was advised by the actuary to be \$205 million.

No benefits have been paid to date.

Required:

Using the draft statements of financial position of Alpha and its subsidiary Beta at 30 September 20X7, and the further information provided in notes 1–4, prepare the consolidated statement of financial position of Alpha at 30 September 20X7. Unless specifically told otherwise, you can ignore the deferred tax implications of any adjustments you make.

Note: You should show all workings to the nearest \$'000.

(25 marks)

- 2 Gamma prepares its financial statements to 30 September each year. Notes 1 and 2 contain information relevant to these financial statements:

Note 1 – Purchase of equity shares in a key supplier

On 1 October 20X6, Gamma purchased 200,000 equity shares in entity A, a key supplier. Entity A's shares are listed on the local stock exchange. This share purchase did not give Gamma control or significant influence over entity A but Gamma intends to retain the shares in entity A as a long-term strategic investment.

Gamma paid \$2.40 per share for these shares. This amount represents their fair value at the date of purchase. Additionally, brokers charge a fee of 2% of the amounts paid to buy or sell a share on the stock exchange on which entity A's shares are quoted.

On 31 March 20X7, entity A paid a dividend of 25 cents per share. For the last few years entity A has made just one dividend payment each year, in the month of March.

On 30 September 20X7, information received from the local stock exchange regarding entity A's share price was:

- Broker's bid price (the price the broker will pay to buy a share) – \$2.70 per share.
- Broker's ask price (the price which the broker requires when selling a share) – \$2.90 per share. (13 marks)

Note 2 – Jointly manufactured product

On 1 October 20X6, Gamma entered into an agreement with entity B to manufacture and sell a product.

Under the terms of the agreement, pricing decisions, manufacturing specifications and selling decisions must be agreed by both entities. Any relevant obsolescence risk or bad debt risk is jointly borne by both entities.

Entity B completes the first stage and the partially manufactured product is then transferred to Gamma who completes the manufacture and delivers the product to the customer. Gamma invoices the customer and collects payment.

Entity B receives no payment for the goods they have manufactured until they are sold and the customer has paid Gamma.

Revenue from the sale of the completed product is shared equally between Gamma and entity B. Each month Gamma pays entity B its share of any amounts received from customers in the previous month. Under the terms of the agreement, the payments to entity B must be made within two weeks of the end of each month.

Financial data relevant to the agreement for the year ended 30 September 20X7 is as follows:

Relating to the manufacture of the product:

	Entity B	Gamma
	\$m	\$m
Manufacturing costs	8	7
Inventories at 30 September 20X7	2	3.8 (note (i))

Relating to the sale of the product:

	\$m
Revenue	22
Trade receivables at 30 September 20X7 (note (ii))	5
Bad debts written off (note (iii))	0.1

Notes:

- (i) \$2.1 million of this cost related to costs incurred by entity B and \$1.7 million related to costs incurred by Gamma. All inventory is measured using IAS 2 – *Inventories*.
- (ii) Amounts received from customers during September 20X7 were \$1.5 million.
- (iii) No further bad debts are expected. (12 marks)

Required:

Explain and show how the two events detailed in notes 1 and 2 would be reported in the financial statements of Gamma for the year ended 30 September 20X7. Where alternative reporting treatments are permitted in note 1, you should explain and show both alternatives. Marks will be awarded for BOTH figures AND explanations.

Note: The mark allocation is shown against the two notes above.

(25 marks)

- 3 (a) IFRS[®] 15 – *Revenue from Contracts with Customers* – was issued in September 2015 and applies to accounting periods beginning on or after 1 January 2018. IFRS 15 replaces IAS 11 – *Construction Contracts* – and IAS 18 – *Revenue*. IFRS 15 contains principles which underpin the timing of the recognition of revenue from contracts with customers and the measurement of that revenue.

Required:

Explain the principles underpinning the TIMING of revenue recognition and the MEASUREMENT of that revenue which are outlined in IFRS 15. You should provide examples of revenue transactions to support your explanations of these key principles. (12 marks)

- (b) Delta prepares financial statements to 30 September each year. Notes 1 and 2 provide information on revenue transactions relevant to the year ended 30 September 20X7.

Note 1 – Sale of product with right of return

On 1 April 20X7 Delta sold a product to a customer for \$121,000. This amount is payable on 30 June 20X9. The manufacturing cost of the product for Delta was \$80,000. The customer had a right to return the product for a full refund at any time up to and including 30 June 20X7. At 1 April 20X7, Delta had no reliable evidence regarding the likelihood of the return of the product by the customer. The product was not returned by the customer before 30 June 20X7 and so the right of return for the customer expired. On both 1 April 20X7 and 30 June 20X7, the cash selling price of the product was \$100,000. A relevant annual rate to use in any discounting calculations is 10%. (7 marks)

Note 2 – Sale with a volume discount incentive

On 1 January 20X6 Delta began an arrangement to sell goods to a third party – entity B. The price of the goods was set at \$100 per unit for all sales in the two-year period ending 31 December 20X7. However, if sales of the product to entity B exceed 60,000 units in the two-year period ending 31 December 20X7, then the selling price of **all** units is retrospectively set at \$90 per item.

Sales of the goods to entity B in the nine-month period ending on 30 September 20X6 totalled 20,000 units and this volume of sales per month was not expected to change before 31 December 20X7.

However, in the year ended 30 September 20X7, total sales of the goods to entity B were 35,000 and based on current orders from entity B, the estimate was revised. The directors of Delta estimated that the total sales of the goods to entity B in the two-year period ending 31 December 20X7 would be more than 60,000 units. (6 marks)

Required:

Explain and show how the transactions in notes 1 and 2 would be reported in the financial statements of Delta for the year ended 30 September 20X7.

Note: The mark allocation is shown against the two transactions in the separate notes above.

(25 marks)

- 4 Epsilon, a company with a year end of 30 September 20X7, is listed on a securities exchange. A director of Epsilon has a number of questions relating to the application of International Financial Reporting Standards (IFRS® Standards) in its financial statements for the year ended 30 September 20X7. The questions appear in notes 1–3.

Note 1 – Inconsistencies

I have recently been appointed to the board of another company which is growing very quickly and will probably seek a securities exchange listing in the next few years. As part of my familiarisation process, I've been reviewing their financial statements which they state comply with IFRS Standards. I have been comparing them with the financial statements of Epsilon. There appear to be some inconsistencies between the two sets of financial statements:

- The financial statements of the other company contain no disclosure of the earnings per share figure and there is no segmental analysis despite this company having a number of divisions with different types of business. Epsilon gives both of these disclosures.
- Both Epsilon and this other company have received government grants to assist in the purchase of a non-current asset. We have deducted the grant from the cost of the non-current asset. They have recognised the grant received as deferred income.

Please explain the apparent inconsistencies to me.

(7 marks)

Note 2 – Pending legal cases

At a recent board meeting, we discussed legal cases which customers A and B are bringing against Epsilon in respect of the supply of products which were allegedly faulty. We supplied the goods in the last three months of the financial year.

We have reliably estimated that if the actions succeed, we are likely to have to pay out \$10 million in damages to customer A and \$8 million in damages to customer B.

Epsilon's legal advisers have reliably estimated that there is a 60% chance that customer A's claim will be successful and a 25% chance that customer B's claim will be successful.

I know we have insurance in place to cover us against claims like this. It is highly probable that any claims which were successful would be covered under our policy. Therefore I would have expected to see a provision for legal claims based on the likelihood of the claims succeeding. However, I would also have expected to see an equivalent asset in respect of amounts recoverable from the insurance company. The financial statements do contain a provision for \$10 million but no equivalent asset. Disclosure of the information relating to both of the claims and the associated insurance is made in the notes to the financial statements. How can it be the correct accounting treatment to include a liability but not the corresponding asset, given the above facts?

(12 marks)

Note 3 – Statement of profit or loss and other comprehensive income

I've been reviewing the statement of profit or loss and other comprehensive income and it appears to be in two sections. The first section appears to be entitled 'profit or loss' and the second 'other comprehensive income'. It appears that the tax charge is included in the 'profit or loss' section of the statement as there is no tax charge included in the 'other comprehensive income' section of the statement. I have a number of questions regarding this statement:

- How do we decide where to put a particular item of income or expenditure?
- Where does the tax relating to 'other comprehensive income' get shown?
- Do the above points have an impact on the computation of performance evaluation indicators which will be of interest to shareholders?

(6 marks)

Required:

Provide answers to the questions raised by the director in notes 1–3. You should justify your answers with reference to relevant International Financial Reporting Standards.

Note: The mark allocation is shown against each of the three notes above.

(25 marks)

End of Question Paper

Answers

Marks

- 1 Consolidated statement of financial position of Alpha at 30 September 20X7
(Note: All figures below in \$'000)

	\$'000	
Assets		
Non-current assets:		
Property, plant and equipment (966,500 + 546,000 + 35,000 (W1))	1,547,500	½ + ½
Goodwill (W2)	62,000	3½ (W2)
Intangible assets (20,000 + 10,000 (W1))	30,000	½ + ½
	<u>1,639,500</u>	
Current assets:		
Inventories (165,000 + 92,000 – (30,000 x 1/3 x 25/125%))	255,000	½ + 1
Trade receivables (99,000 + 76,000)	175,000	½
Cash and cash equivalents (18,000 + 16,000)	34,000	½
	<u>464,000</u>	
Total assets	<u>2,103,500</u>	
Equity and liabilities		
Equity attributable to equity holders of the parent		
Share capital (\$1 shares)	360,000	½
Retained earnings (W4)	571,310	7 (W4)
Other components of equity (W8)	113,380	4 (W8)
	<u>1,044,690</u>	
Non-controlling interest (W3)	156,000	1 (W3)
Total equity	<u>1,200,690</u>	
Non-current liabilities:		
Long-term borrowings (W10)	365,210	1½ (W10)
Deferred tax (W11)	131,600	1½ (W11)
Pension liability	205,000	½
Total non-current liabilities	<u>701,810</u>	
Current liabilities:		
Trade and other payables (70,000 + 59,000)	129,000	½
Short-term borrowings (40,000 + 32,000)	72,000	½
Total current liabilities	<u>201,000</u>	
Total equity and liabilities	<u>2,103,500</u>	25

WORKINGS – DO NOT DOUBLE COUNT MARKS. ALL NUMBERS IN \$'000 UNLESS OTHERWISE STATED.

Working 1 – Net assets table for Beta

	1 April 20X7 \$'000	30 September 20X7 \$'000	For W2	For W4
Share capital	160,000	160,000	½	
Retained earnings:				
Per financial statements of Beta	340,000	360,000	½	½
Fair value adjustments:				
Plant and equipment	40,000	35,000	½	1
Development project	10,000	10,000	½	½
Deferred tax on fair value adjustments:				
Date of acquisition (20% x (40,000 + 10,000))	(10,000)		½	
Year end (20% x (35,000 + 10,000))		(9,000)		½
Net assets for the consolidation	<u>540,000</u>	<u>556,000</u>	<u>2½</u>	<u>2½</u>
			⇒ W2	⇒ W4
Increase in net assets post-acquisition (556,000 – 540,000)	<u>16,000</u>			

Working 2 – Goodwill on acquisition of Beta

	\$'000	
Cost of investment:		
Cash paid	450,000	½
Non-controlling interest at date of acquisition (40,000 x \$3·80)	152,000	½
Net assets at date of acquisition (W1)	(540,000)	2½ (W1)
	<u>62,000</u>	<u>3½</u>

Working 3 – Non-controlling interest in Beta

	\$'000	
At date of acquisition (W2)	152,000	½
25% of post-acquisition increase in net assets of 16,000 (W1)	4,000	½
	<u>156,000</u>	<u>1</u>

Working 4 – Retained earnings

	\$'000	
Alpha – per draft SOFP	570,000	½
Adjustment for unrealised profit on unsold inventory (2,000 less 20% (deferred tax))	(1,600)	½
Adjustment for finance cost of loan (W6)	(4,090)	1 (W6)
Adjustment re: defined benefit retirement benefit plan (W7)	(5,000)	2 (W7)
Beta – 75% x 16,000 (W1)	12,000	½ + 2½ (W1)
	<u>571,310</u>	<u>7</u>

Working 5 – Equity component of long-term loan

	\$'000	
Total proceeds of compound instrument	300,000	½
Debt component:		
– Interest stream – 300,000 x 6% x \$3·99	(71,820)	½
– Principal repayment – 300,000 x \$0·681	(204,300)	½
So equity component equals	<u>23,880</u>	<u>1½</u>

Working 6 – Adjustment for finance cost of loan

	\$'000	
Actual finance cost – 8% (300,000 – 23,880 (W5))	22,090	½
Incorrectly charged by Alpha (300,000 x 6%)	(18,000)	½
So adjustment equals	<u>4,090</u>	<u>1</u>

Working 7 – Adjustment re: defined benefit retirement benefit plan

	\$'000	
Current service cost	60,000	½
Interest cost (8% x 187,500)	15,000	1
Contributions incorrectly charged to profit or loss	(70,000)	½
So adjustment equals	<u>5,000</u>	<u>2</u>

Working 8 – Other components of equity

	\$'000	
Alpha – per draft financial statements	102,000	½
Equity element of convertible loan (W5)	23,880	1½
Actuarial gain/(loss) on defined benefit retirement benefits plan (W9)	(12,500)	2
	<u>113,380</u>	<u>4</u>

Working 9 – Actuarial gain/(loss) on defined benefit pension plan

	\$'000	
Opening liability	187,500	½
Current service cost	60,000	½
Interest cost (principle mark already awarded)	15,000	
Contributions paid into plan	(70,000)	½
	<u>192,500</u>	
Actuarial loss on re-measurement (balancing figure)	12,500	½
Closing liability (principle mark already awarded)	<u>205,000</u>	
		<u>2</u>

Working 10 – Long-term borrowings

	\$'000	
Opening loan element (300,000 – 23,880 (W5))	276,120	½
Finance cost less interest paid (W6)	4,090	½
	<u>280,210</u>	
So closing loan element for Alpha equals		
Long-term borrowings of Beta	85,000	½
	<u>365,210</u>	
So consolidated long-term borrowings equals		<u>1½</u>

Working 11 – Deferred tax

	\$'000	
Alpha + Beta – per draft SOFP (69,000 + 54,000)	123,000	½
On closing fair value adjustments in Beta (W1)	9,000	½
On unrealised profits in inventory (2,000 x 20%)	(400)	½
	<u>131,600</u>	
		<u>1½</u>

2 Note 1 – Purchase of equity shares in a key supplier

Under the principles of IFRS® 9 – <i>Financial Instruments</i> – equity investments must be measured at fair value because the contractual terms associated with the investment do not entitle the holder to specific payment of interest and principal (sense of the point only needed).	1
The fair value of the investment in entity A at the date of purchase is \$480,000 (200,000 x \$2.40).	½
The amount actually paid for the shares (incorporating broker's fee) in entity A on 1 October 20X6 was \$489,600 (480,000 x 1.02).	½
The difference between the price paid for the shares and their fair value is \$9,600 (\$489,600 – \$480,000). This difference is regarded as a transaction cost by IFRS 13 – <i>Fair Value Measurement</i> .	1
IFRS 9 would normally require equity investments to be measured at fair value through profit or loss.	1 (principle)
Where financial assets are measured at fair value through profit or loss, transaction costs are recognised in profit or loss as incurred. Therefore in this case, \$9,600 would be taken to profit or loss on 1 October 20X6.	1
Under the principles of IFRS 13, the fair value of an asset is the amount which could be received to sell the asset in an orderly transaction. Where the asset is traded in an active market (as is the case for the investment in entity A), then fair value should be determined with reference to prices quoted in that market.	1 (principle)
Therefore the fair value of the investment in entity A at the year end is \$540,000 (200,000 x \$2.70).	1
The year-end fair value of \$540,000 is unaffected by the broker's fees which would be incurred if the shares were to be sold – these fees are not a component of fair value measurement.	½ (principle)
The change in fair value of \$60,000 (\$540,000 – \$480,000) between 1 October 20X6 and 30 September 20X7 would be taken to profit or loss at the end of the reporting period.	1
The dividend received of \$50,000 (200,000 x 25 cents) would be recognised as other income in profit or loss at 31 March 20X7.	1
Because the shares in entity A are not held for trading, Gamma has the option to make an irrevocable election on 1 October 20X6 to measure the shares at fair value through other comprehensive income.	1 (principle)

	Marks
Were this election to be made, then the transaction cost would be included in the initial carrying amount of the financial asset, making this \$489,600.	1
The difference between the closing fair value of the investment and its initial carrying amount is \$50,400 (\$540,000 – \$489,600). This is recognised in other comprehensive income.	1
The dividend income of \$50,000 is still recognised in profit or loss regardless of how the financial asset is measured.	½
	<u>13</u>

Note 2 – Joint manufacture of a product with entity B

Under the principles of IFRS 11 – <i>Joint Arrangements</i> – the agreement with entity B is a joint arrangement. This is because key decisions, e.g. pricing and selling decisions, manufacturing specifications, require the consent of both parties and so joint control is present.	2
IFRS 11 would regard the type of arrangement with entity B as a joint operation. This is because the two parties have rights to specific assets and liabilities relating to the arrangement and no specific entity has been established.	2
Because of the type of joint arrangement, each entity will recognise specific assets and liabilities relating to the arrangement (exact wording not necessary – just sense of the point).	1
This means that Gamma will recognise revenues of \$11 million (\$22 million x 50%).	1
Gamma will recognise bad debt expense of \$50,000 (\$100,000 x 50%).	1
Gamma's trade receivables at 30 September 20X7 will be \$2.5 million (\$5 million x 50%).	1
Gamma will show a payable to entity B of \$750,000 (\$1.5 million x 50%) 30 September 20X7.	1
Gamma's inventories at 30 September 20X7 will be \$1.7 million (\$3.8 million – \$2.1 million).	1½
Gamma's cost of sales will be \$5.3 million (\$7 million – \$1.7 million).	1½
	<u>12</u>
	<u>25</u>

3 (a) The timing of the recognition of revenue under IFRS 15 – <i>Revenue from Contracts with Customers</i> – depends on the type of performance obligation the entity has under the contract with the customer. A performance obligation is a distinct promise to transfer goods or services to the customer (sense of the point only required).	1 (principle)
IFRS 15 requires that revenue should be recognised when (or as) a particular performance obligation is satisfied.	1 (principle)
In many cases (e.g. the sale of goods in the ordinary course of business), performance obligations are satisfied at a point in time. In such cases, the revenue is recognised at the point control of the goods is transferred to the customer.	2
In some cases (e.g. a contract to construct an asset for use by a customer), performance obligations are satisfied over a period of time. In such cases, the proportion of the total revenue recognised is the proportion of the performance obligation which has been satisfied by the reporting date.	2
The measurement of revenue is based on the transaction price. The transaction price is the amount of consideration to which an entity expects to be entitled in exchange for transferring the promised goods and services to the customer.	1
In many cases, where the consideration for the transaction is fixed and payable immediately after the revenue has been recognised (e.g. most sales of goods), the transaction price is the invoiced amount less any sales taxes collected on behalf of third parties.	1
Where the due date for payment of the invoiced price is 'significantly different' (certainly more than 12 months) from the date of recognition of the revenue, then the time value of money should be taken into account when measuring the transaction price. This means that the revenue recognised on the sale of goods with deferred payment terms would be split into a 'sale of goods' component and a financing component.	2
Where the total consideration due from the customer contains variable elements (e.g. the possibility that the customer obtains a discount for bulk purchases depending on the total purchases in a period), then the transaction price should be based on the best estimate of the total amount receivable from the customer as a result of the contract.	2
	<u>12</u>

(b) Note 1 – Sale of product with right of return

Under the principles of IFRS 15, revenue cannot be recognised on 1 April 20X7 because at that date the consideration is variable and the amount of the variable consideration cannot be reliably estimated.

1

However, on 1 April 20X7 \$80,000 would be removed from inventory and included as a 'right to recover asset' (any reasonable description of this would be permitted).

1

Revenue of \$100,000 (the present value of \$121,000 receivable in two years) is recognised on 30 June 20X7 when the uncertainty regarding potential returns is resolved.

1

On the same day, the 'right to recover asset' will be de-recognised and transferred to cost of sales.

1

Delta will also recognise finance income of \$2,500 ($\$100,000 \times 10\% \times 3/12$) in the year ended 30 September 20X7.

2

At 30 September 20X7, Delta will recognise a trade receivable of \$102,500 ($\$100,000 + \$2,500$).

1

7

Note 2 – Sale to a customer with a volume discount incentive

The consideration payable by the customer is variable as it depends on the volume of sales in the two-year period. However, Delta can reliably estimate the outcome and that the volume discount threshold will not be exceeded (sales for 9 months: $20,000 \times 24/9 = 53,333$). The revenue included for the year ended 30 September 20X6 will be booked at \$100 per unit and will be \$2 million ($20,000 \times \100).

3

During the year ended 30 September 20X7, actual sales volumes and estimates change such that the cumulative revenue should now be booked at \$90 per unit. It is now expected that the volume discount threshold will be exceeded. This means that the **cumulative** revenue relating to these goods at 30 September 20X7 will be \$4,950,000 ($(20,000 + 35,000) \times \90).

2

The revenue which will actually be booked by Delta for the year ended 30 September 20X7 will be \$2,950,000 ($\$4,950,000 - \$2 \text{ million recognised in 20X6}$).

1

6

25

4 Note 1 – Inconsistencies

It is possible for two sets of financial statement to comply with IFRS standards and yet be inconsistent with each other. Some individual IFRS standards allow a choice of accounting treatment and some IFRS standards are only compulsory for listed entities like Epsilon.

2

Both IFRS 8 – *Operating Segments* – and IAS® 33 – *Earnings per Share* – are only compulsory for listed entities. The other company is not currently listed and is not required to give either of these disclosures but can do so on a voluntary basis. If the other company obtains a listing, then they will have to give these disclosures.

2

IAS 20 – *Accounting for Government Grants and Disclosure of Government Assistance* – requires government grants to be recognised in profit or loss on a systematic basis over the period in which the entity recognises as expenses the related cost. However, IAS 20 allows entities to choose from two alternative models for presenting the government grants. These are the approach, which Epsilon uses, which deducts the grant in arriving at the non-current asset's carrying amount and will result in a reduced depreciation charge through profit or loss. The other company uses the allowed alternative of setting up the grant as deferred income and releasing the grant systematically to profit or loss. The net effect on profit or loss will be the same, whichever approach is used. Consistency of choice is required **within** entities. Therefore the other company could continue to use the deferred income approach to present its government grants even after obtaining a listing.

3

7

Note 2 – Pending legal cases

Provisions are covered by IAS 37 – *Provisions, Contingent Liabilities and Contingent Assets*. IAS 37 states that for a provision to be recognised, an obligating event must have incurred before the year end. In this case, both customer A and B were sold the product before the year end so an obligating event has occurred.

2

	Marks
IAS 37 further states that a provision is only recognised when there is a probable outflow of economic benefits. IAS 37 interprets 'probable' to be 50% or more. This is only the case with the supply to customer A, so it is correct to only recognise a provision for customer A's claim.	3
IAS 37 also states that any provision should be measured based on the best estimate of the likely outflow of economic benefits. In this case, this amount is \$10 million.	2
Any liability arising from the legal case brought by customer B would be regarded as a contingent liability because there is only a possible (rather than a probable) chance of an outflow of economic benefits. In this case, it is dealt with by disclosure, rather than provision.	2
In addition to the recognition of a provision in the case of customer A's claim, it is also necessary to disclose key facts relating to the case in the notes to the financial statements.	1
The possible recovery of funds from the insurance company would be regarded as a contingent asset. This would always be the case for possible assets unless it is virtually certain (rather than highly probable) that there will be an inflow of economic benefits. Where there is a probability of an inflow of funds relating to a contingent asset, then this is dealt with by disclosure under IAS 37.	2
	<u>12</u>

Note 3 – Statement of profit or loss and other comprehensive income

The principles underpinning the overall presentation of financial statements are set out in IAS 1 – <i>Presentation of Financial Statements</i> . IAS 1 requires that all income and expenses are presented in a statement of profit or loss and other comprehensive income.	1
IAS 1 does not allow entities to choose whether to present income and expenses in the profit or loss or the other comprehensive income section of the statement. IAS 1 states that, unless required or permitted by a specific IFRS standard, all items of income and expense should be presented in the profit or loss section of the statement.	2
IAS 1 states that the tax relating to items of other comprehensive income is either shown as a separate line in the 'other comprehensive income' section of the statement or netted off against each component of other comprehensive income and disclosed in the notes to the financial statements.	2
The key implication of an item being presented in other comprehensive income rather than profit or loss is that the item would not be taken into account when measuring earnings per share, an important performance indicator for listed entities like Epsilon.	1
	<u>6</u>
	<u>25</u>

Diploma in International Financial Reporting (Dip IFR)

Friday 5 June 2020



Time allowed: 3 hours 15 minutes

ALL FOUR questions are compulsory and MUST be attempted.

Do NOT open this question paper until instructed by the supervisor.

This question paper must not be removed from the examination hall.

IFR
Dip

Think Ahead

ACCA

The Association of
Chartered Certified
Accountants

ALL FOUR questions are compulsory and MUST be attempted

- 1 Alpha, a parent company with one subsidiary, Beta, is preparing the consolidated statement of profit or loss and other comprehensive income for the year ending 31 March 20X5. The draft statements of profit or loss and other comprehensive income are as follows:

	Alpha \$'000	Beta \$'000
Revenue (Note 2)	64,800	39,000
Cost of sales (Notes 2 and 4)	(26,000)	(16,000)
Gross profit	38,800	23,000
Distribution costs	(5,000)	(2,000)
Administrative expenses	(9,000)	(3,500)
Investment income (Notes 1 and 3)	7,000	0
Finance costs (Note 1)	(4,000)	(2,500)
Profit before tax	27,800	15,000
Income tax expense	(7,000)	(4,000)
Profit for the year	20,800	11,000
Other comprehensive income:		
Items that will not be reclassified to profit or loss:		
Gains on property revaluation (Note 4)	5,000	3,000
Other comprehensive income for the year:	5,000	3,000
Total comprehensive income for the year	25,800	14,000

Note 1 – Alpha's investment in Beta

On 1 April 20X3, Alpha acquired 180 million equity shares in Beta. On that date Beta had 200 million equity shares in issue. Alpha made a cash payment of \$60 million to the former shareholders of Beta on 1 April 20X3 and agreed to make a further payment of \$26.62 million on 31 March 20X6.

Alpha had correctly accounted for the deferred payment in its financial statements for the year ended 31 March 20X4 but has made no further entries in its financial statements for the year ended 31 March 20X5. An appropriate annual rate to use in any discounting calculations is 10%. At a discount rate of 10% per annum the present value of \$1 payable in three years is \$0.7513.

On 31 December 20X4, Beta paid a dividend of \$5 million. This was the only dividend paid by Beta in the year ended 31 March 20X5 and was appropriately recognised by Alpha.

On 1 April 20X3, Alpha made a long-term loan to Beta of \$25 million. The loans are included in the financial statements of Beta at this amount. These long-term loans attract interest at an annual rate of 8%. Both Alpha and Beta have correctly accounted for this interest in their individual financial statements for the year ended 31 March 20X5.

No impairments of the goodwill on acquisition of Beta have been evident up to and including 31 March 20X5.

Note 2 – Intra-group trading

Alpha supplies Beta with a raw material which it uses in its production process. Alpha applies a mark-up of one-third to its cost. Sales of the raw material by Alpha to Beta in the year ended 31 March 20X5 totalled \$10 million. On 31 March 20X4 and 20X5, the inventories of Beta included goods costing \$2 million and \$3 million respectively which had been purchased from Alpha.

Note 3 – Alpha's other investments

Apart from its investments in the equity shares and loans of Beta, Alpha has a portfolio of equity investments which are correctly classified as fair value through profit or loss. The investment income of Alpha for the year ended 31 March 20X5 currently correctly includes dividend income from this portfolio. However, the carrying amount of the portfolio has not yet been adjusted to its fair value at 31 March 20X5. On 31 March 20X5, the carrying amount of the portfolio was \$32 million and its fair value \$33.5 million.

Note 4 – Revaluation of property, plant and equipment (PPE)

Both Alpha and Beta measure their PPE using the revaluation model. PPE is re-measured at the end of each financial year.

In previous periods Alpha had recorded net revaluation losses of \$3.5 million. These losses were correctly accounted for under the requirements of IAS® 16 – *Property, Plant and Equipment*.

In the financial statements of Alpha for the year ended 31 March 20X5, re-measurement gains of \$5 million were entirely recognised in other comprehensive income. These gains related to the same properties which had previously suffered revaluation losses.

Beta has only ever recorded revaluation gains. All depreciation and impairments of PPE are recognised in cost of sales.

Note 5 – Equity settled share based payment scheme

On 1 April 20X3, Alpha granted 500 senior executives 4,000 share options each. The options vest on 31 March 20X7. The options only vest for senior executives who remain employed by Alpha on 31 March 20X7. The following information is relevant:

Date	Fair value of option (\$)	Number of executives for whom the option is expected to vest
1 April 20X3	1.20	400
31 March 20X4	1.35	420
31 March 20X5	1.50	450

This transaction was correctly accounted for in the financial statements of Alpha for the year ended 31 March 20X4 and the cost was recognised as an administrative expense. However, no further entries have yet been made in the financial statements for the year ended 31 March 20X5.

Required:

Prepare the consolidated statement of profit or loss and other comprehensive income of Alpha for the year ended 31 March 20X5. Where relevant you should round all figures to the nearest \$'000.

Note: Ignore deferred tax.

(25 marks)

- 2 Gamma prepares consolidated financial statements to 31 March each year. Notes 1 and 2 contain information relevant to these financial statements:

Note 1 – Impairment of goodwill

On 1 April 20X3, Gamma purchased 75% of the equity shares of subsidiary X for a cash payment of \$99 million. The fair value of the net assets of subsidiary X on that date was \$108 million. Gamma measured the non-controlling interest in subsidiary X using the proportionate method. On 31 March 20X4, Gamma reviewed the goodwill on acquisition of subsidiary X for impairment but no impairment was evident.

On 31 March 20X5, the carrying amount of the net assets of subsidiary X in the consolidated financial statements of Gamma (excluding goodwill on acquisition) was \$115 million. Subsidiary X is a single cash-generating unit for impairment purposes. On 31 March 20X5, the value in use of subsidiary X was \$135 million and its fair value less costs of disposal was \$130 million. (8 marks)

Note 2 – Purchase of machine

On 1 January 20X4, Gamma entered into a firm commitment to purchase a machine from a supplier whose functional currency is the kroner. This firm commitment was not an onerous contract. The cost of the machine was 14·4 million kroner and the agreed delivery date was 30 June 20X4. Gamma was due to pay 14·4 million kroner to the supplier on 31 July 20X4.

On 1 January 20X4, Gamma entered into a forward exchange contract with a bank to purchase 14·4 million kroner for \$1·44 million on 31 July 20X4. The forward exchange contract was entered into so as to provide a hedge against the currency risk associated with the firm commitment to purchase the machine.

On 30 June 20X4, Gamma took delivery of the machine and immediately brought the machine into use. Gamma estimated that the machine would have a useful life of five years from 30 June 20X4, with no residual value.

On 31 July 20X4, Gamma paid 14·4 million kroner to the supplier of the machine and received payment of \$360,000 from the bank in settlement of the forward exchange contract (see below).

Gamma designated the forward exchange contract as a hedge of the cash flows expected to arise on the purchase of the machine. This contract was a perfectly effective hedge of those cash flows. Gamma wishes to use hedge accounting to reflect the above transactions in its financial statements.

Relevant exchange rates and fair values of the forward exchange contract are as follows:

Date	Exchange rate (kroners to \$1)	Fair value of forward contract (favourable to Gamma) \$'000	
1 January 20X4	10	Nil	
31 March 20X4	9·6	60	
30 June 20X4	9	160	
31 July 20X4	8	360	(17 marks)

Required:

Using the information in notes 1 and 2, explain and show how the two events would be reported in the consolidated financial statements of Gamma for the year ended 31 March 20X5.

Note: The mark allocations are indicated in each note above. Marks will be awarded for explanations as well as for computations.

(25 marks)

**This is a blank page.
Question 3 begins on page 6.**

- 3 Delta prepares financial statements to 31 March each year. Delta applies IAS 12 – *Income Taxes* – and IAS 41 – *Agriculture* – in the preparation of its financial statements.

IAS 12 requires that entities recognise deferred tax liabilities on taxable temporary differences and, in certain circumstances, deferred tax assets on deductible temporary differences. Temporary differences are determined by comparing the carrying amount of an asset or liability with its tax base.

IAS 41 sets out the principles of recognition and measurement for biological assets and harvested produce.

Note 1 – Temporary differences

On 1 October 20X4, Delta purchased an item of plant for \$4 million. The estimated useful life of the plant was five years, with no residual value. Under tax legislation in the country in which Delta is located, purchases of plant attract a tax deduction of 50% of the cost in the accounting period in which the plant is purchased and 25% of the cost in each of the following two accounting periods.

On 1 July 20X4, Delta borrowed \$20 million from a bank. The loan attracts interest at a rate of 8% per annum on the \$20 million borrowed. The interest is payable annually in arrears. The loan is repayable on 30 June 20X9. Under tax legislation in the country in which Delta is located, a tax deduction for the interest on loans is available in the accounting periods in which the interest is actually paid.

On 1 April 20X4, Delta purchased some land for \$15 million. Delta uses the revaluation model to measure land in its financial statements. On 31 March 20X5, Delta estimated that the value of the land was \$18 million and this amount was recognised in Delta's financial statements. Under tax legislation in the country in which Delta is located, gains on the value of land are not taxable unless or until the land is sold. Delta has no intention of disposing of this land in the foreseeable future.

The rate of corporate income tax in the country in which Delta is located is 20% per annum.

The directors of Delta anticipate that Delta will make taxable profits for the foreseeable future. Delta had no temporary differences at 31 March 20X4. (12 marks)

Note 2 – Agricultural activity

Delta is a farming entity specialising in milk production. Cows are milked on a daily basis. Milk is kept in cold storage immediately after milking and sold to retail distributors on a weekly basis.

On 1 April 20X4, Delta had a herd of 500 cows which were all three years old.

During the year, some of the cows became sick and on 30 September 20X4 20 cows died. On 1 October 20X4, Delta purchased 20 replacement cows at the market for \$210 each. These 20 cows were all one year old when they were purchased.

On 31 March 20X5, Delta had 1,000 litres of milk in cold storage which had not been sold to retail distributors. The market price of milk at 31 March 20X5 was \$2 per litre. When selling the milk to distributors, Delta incurs selling costs of 10 cents per litre. These amounts did not change during March 20X5 and are not expected to change during April 20X5.

Information relating to fair value and costs to sell is given below:

Date	Fair value of a dairy cow which is:				Costs to sell a cow at market
	1 year old	1½ years old	3 years old	4 years old	
	\$	\$	\$	\$	\$
1 April 20X4	200	220	270	250	10
1 October 20X4	210	230	280	260	10
31 March 20X5	215	235	290	265	11

(13 marks)

Required:

Using the information in notes 1 and 2, explain, with appropriate computations, how Delta should report these transactions in the financial statements for the year ended 31 March 20X5.

Note: The mark allocations are indicated in each note above. Marks will be awarded for explanations as well as for computations.

(25 marks)

- 4 Omega is a listed entity and you are the financial controller. The financial statements of Omega for the year ended 31 March 20X5 are currently being prepared. One of Omega's directors has sent you three questions regarding the financial statements.

Question 1 – Right-of-use asset

When I looked at the note which gave details of our property, plant and equipment, a separate component appeared for the first time this year. This component was described as a right-of-use asset. Upon further investigation, I discovered that this related to a warehouse which we started to lease on 1 October 20X4 to provide us with more capacity. The warehouse is being leased on a five-year lease contract at an annual rental of \$500,000, payable in arrears. There is no option to extend the lease at the end of the five-year period. Based on current annual interest rates (10%), these rentals have a total present value of \$1,895,000.

We incurred direct costs of \$105,000 when arranging this lease with the owner. The carrying amount of the right-of-use asset which is shown in the financial statements is \$1.8 million. I don't understand this at all. In particular, I have three questions about this that I would like you to answer:

- The warehouse would cost at least \$10 million to purchase outright and has a useful life of around 25 years. How can it be presented as Omega's asset in these circumstances?
- Where does the figure of \$1.8 million come from?
- Apart from the right-of-use asset, how else will this transaction affect our financial statements? I don't need detailed workings here, just explanations. (11 marks)

Question 2 – Segment reporting

I know that, because we're a listed entity, we are required to disclose details of the financial performance and financial position of different business segments in the notes to our financial statements. I thought it would be interesting to compare the segment report in our financial statements with that of a key competitor. When I did this, I found myself very confused. Our segment report was based on the performance and position by geographical area whereas our competitor's report was based on the performance and position by product type.

How can this be correct when both of us are preparing our financial statements in accordance with International Financial Reporting Standards (IFRS® Standards) – is there not a definition of a 'segment' that would be applied to all businesses? (8 marks)

Question 3 – Immaterial transactions

You may know that the contract for cleaning our Head Office has been given to a firm which is controlled by my brother. This contract was approved in the normal way and I was not involved in the approval process to avoid any perception of a conflict of interest as my brother and I are known to holiday and socialise together. The contract has normal commercial terms and is very insignificant in the context of Omega as an entity. I'm very surprised, therefore, to see details of this contract disclosed in our financial statements when many other much more financially significant contracts are not disclosed in the same detail. Surely this disclosure is unnecessary when the monetary amounts are so small and there is nothing 'out of the ordinary' about the contract? (6 marks)

Required:

Provide answers to the questions raised by one of Omega's directors relating to the financial statements for the year ended 31 March 20X5.

Note: The mark allocations are indicated in each question above.

(25 marks)

End of Question Paper

Answers

Marks

- 1 Consolidated statement of profit or loss and other comprehensive income of Alpha for the year ended 31 March 20X5
(Note: All figures below in \$'000)

	\$'000	
Revenue (W1)	93,800	1
Cost of sales (W2)	(28,750)	4½
Gross profit	65,050	½
Distribution costs (5,000 + 2,000)	(7,000)	½
Administrative expenses (W3)	(13,076)	4
Investment income (W5)	2,000	4
Finance costs (W6)	(6,700)	4
Profit before tax	40,274	½
Income tax expense (7,000 + 4,000)	(11,000)	½
Profit for the year	29,274	½
Other comprehensive income:		
Items that will not be reclassified to profit or loss:		
Gains on property valuation (W8)	4,500	1½
Other comprehensive income for the year:		
Total comprehensive income for the year	33,774	½
Profit for the year attributable to:		
Shareholders of Alpha (balancing figure)	28,174	½
Non-controlling interest in Beta (10% x 11,000)	1,100	1
	29,274	
Total comprehensive income for the year attributable to:		
Shareholders of Alpha (balancing figure)	32,374	½
Non-controlling interest in Beta (W9)	1,400	1
	33,774	25

WORKINGS – DO NOT DOUBLE COUNT MARKS. ALL NUMBERS IN \$'000 UNLESS OTHERWISE STATED.

Working 1 – Revenue

	\$'000	
Alpha + Beta (64,800 + 39,000)	103,800	½
Intra-group sales	(10,000)	½
	93,800	1

Working 2 – Cost of sales

	\$'000	
Alpha + Beta (26,000 + 16,000)	42,000	½
Intra-group purchases	(10,000)	½
Unrealised profit on closing Beta inventory (33/133 x 3,000)	750	½ + ½ + ½
Unrealised profit on opening Beta inventory (33/133 x 2,000)	(500)	½ + ½
Cumulative prior year revaluation deficit written back due to current year revaluation gain	(3,500)	1
	28,750	4½

Working 3 – Administrative expenses

	\$'000	
Alpha + Beta (9,000 + 3,500)	12,500	½
Charge for equity settled share-based payment (W4)	576	3½
	13,076	4

Marks

Working 4 – Charge for equity settled share-based payment

	\$'000	
Cumulative charge for the two years to 31 March 20X5 ($450 \times 4,000 \times \$1.20 \times 2/4$)	1,080	2
Charged in the year ended 31 March 20X4 ($420 \times 4,000 \times \$1.20 \times 1/4$)	(504)	1
So charge for the year ended 31 March 20X5 equals	<u>576</u>	<u>1/2</u>
		<u>3 1/2</u>
		→ W3

Working 5 – Investment income

	\$'000	
Alpha + Beta	7,000	1/2
Intra-group interest eliminated ($25,000 \times 8\%$)	(2,000)	1
Intra-group dividend eliminated ($5,000 \times 90\%$)	(4,500)	1
So dividend income from investment portfolio equals	<u>500</u>	<u>1/2</u>
Gain on re-measurement of investment portfolio ($33,500 - 32,000$)	1,500	1
	<u>2,000</u>	<u>4</u>

Working 6 – Finance costs

	\$'000	
Alpha + Beta ($4,000 + 2,500$)	6,500	1/2
Intra-group interest eliminated (give OF credit here)	(2,000)	1/2
Finance cost on deferred consideration (W7)	<u>2,200</u>	<u>3 (W7)</u>
	<u>6,700</u>	<u>4</u>

Working 7 – Finance cost on deferred consideration

	\$'000	
Deferred consideration on 1 April 20X3 ($26,620 \times 0.7513$)	20,000	1
Finance cost for y/e 31 March 20X4 ($20,000 \times 10\%$)	<u>2,000</u>	<u>1</u>
Deferred consideration at 31 March 20X4	22,000	1/2
So finance cost for y/e 31 March 20X5 equals ($22,000 \times 10\%$)	<u>2,200</u>	<u>1/2</u>
		<u>3</u>
		→ W6

Working 8 – Revaluation gains

	\$'000	
Alpha + Beta ($5,000 + 3,000$)	8,000	1/2
Portion of Alpha gain credited to profit or loss	(3,500)	1
So adjustment equals	<u>4,500</u>	<u>1 1/2</u>

Working 9 – Total comprehensive income attributable to NCI

	\$'000	
NCI in profit (give OF credit here)	1,100	1/2
NCI in Beta's revaluation gain ($3,000 \times 10\%$)	<u>300</u>	<u>1/2</u>
	<u>1,400</u>	<u>1</u>

2 Note 1 – Impairment of goodwill

Under the principles of IFRS® 3 – *Business Combinations* – the goodwill on acquisition of subsidiary X is the sum of the purchase consideration plus the non-controlling interest less the fair value of the identifiable net assets at the date of acquisition.

1/2 (principle)

In this acquisition, the non-controlling interest is measured using the proportionate share of net assets method, as permitted by IFRS 3. This means that the non-controlling interest at the date of acquisition is \$27 million ($\$108 \text{ million} \times 25\%$).

1/2

The goodwill arising on acquisition is therefore \$18 million ($\$99 \text{ million} + \$27 \text{ million} - \108 million).

1/2

IAS® 36 – *Impairment of Assets* – requires that goodwill is tested annually for impairment as part of the cash-generating unit(s) to which it relates.

1/2

	Marks
Where the non-controlling interest is initially measured using the proportionate share of net assets method, IAS 36 requires that the goodwill is notionally grossed up for impairment testing purposes.	½ (principle)
In this case, the goodwill would be grossed up to \$24 million (\$18 million x 100/75) and the carrying amount of the cash generating unit would be \$139 million (\$115 million + \$24 million).	1
The recoverable amount of the cash generating unit would be the higher of its value in use and its fair value less costs of disposal. In this case, the recoverable amount would be \$135 million.	1
Therefore the initial impairment loss would be calculated as \$4 million (\$139 million – \$135 million). This would be allocated first to the goodwill in the unit.	1
Because the goodwill used in the impairment calculation was notionally grossed up, only the group share of this loss actually needs to be recognised.	½ (principle)
The impairment loss which will be recognised in the consolidated statement of profit or loss will be \$3 million (\$4 million x 75%). There will be no impact on the non-controlling interest.	½ + ½
The carrying amount of the goodwill in Gamma's consolidated statement of financial position will be \$15 million (\$18 million – \$3 million). This will be shown as a non-current asset.	½ + ½
	8

Note 2 – Purchase of machine

The firm commitment to purchase the machine is a non-onerous executory contract until the date of delivery. Therefore, under the principles of IAS 37 – <i>Provisions, Contingent Liabilities and Contingent Assets</i> – no obligation would be recognised in the financial statements of Gamma until the machine was delivered.	½ (principle)
Under the principles of IFRS 9 – <i>Financial Instruments</i> – the forward exchange contract is a derivative financial instrument and so would be classified as fair value through profit or loss.	½
This would normally mean that gains or losses on re-measurement to fair value would be recognised in profit or loss.	½ (principle)
However, where the derivative contract is designated as a cash flow hedge of a future firm commitment, IFRS 9 allows the effective portion of the change in fair value to be recognised in other comprehensive income. They will be presented as gains which may subsequently be reclassified to profit or loss.	1 ½ (principle)
Because the hedge is 100% effective, then in this case the whole of the change in the fair value of the derivative will be recognised in other comprehensive income.	½ (principle)
This means that a gain of \$60,000 would be recognised in other comprehensive income of Gamma for the year ended 31 March 20X4 and a further gain of \$100,000 (\$160,000 – \$60,000) recognised in other comprehensive income of Gamma for the year ended 31 March 20X5 (up to 30 June 20X4).	1
Under the principles of IAS 21 – <i>The Effects of Change in Foreign Exchange Rates</i> – on 30 June 20X4 when the asset is delivered, the transaction will be translated using the spot rate at that date.	½ (principle)
This means that \$1.6 million (14.4 million/9) will be debited to property, plant and equipment and credited to trade payables.	1
Under the principles of IFRS 9, given that hedge accounting is used, the cumulative gains on re-measurement of the derivative which have been recognised to 30 June 20X4 as other comprehensive income will be included in the carrying amount of the property, plant and equipment.	1 (principle)
The cumulative gains will have been accumulated in a cash flow hedge reserve and the inclusion of these gains in property, plant and equipment will be achieved by a direct transfer out of this reserve. This transfer will not affect other comprehensive income.	1 (principle)
This means that \$160,000 (\$60,000 + \$100,000) will be debited to the cash flow hedge reserve and credited to property, plant and equipment.	½
The carrying amount of the property, plant and equipment following this transfer will be \$1.44 million (\$1.6 million – \$160,000).	½
The property, plant and equipment is a non-monetary asset so its carrying amount will not be affected by future exchange rate fluctuations.	½ (principle)
The property, plant and equipment will be depreciated over its useful life of five years from 30 June 20X4. Therefore depreciation of \$216,000 (\$1.44 million x 1/5 x 9/12) will be charged to profit or loss as an operating expense for the year ended 31 March 20X5.	½ + ½ + ½
The closing balance of property, plant and equipment on 31 March 20X5 will be \$1,224,000 (\$1.44 million – \$216,000).	½

	Marks
For the period from 30 June 20X4 to 31 July 20X4, the further change in fair value of the derivative of \$200,000 (\$360,000 – \$160,000) will be recognised as a gain in other comprehensive income.	$\frac{1}{2} + \frac{1}{2}$
The derivative is a financial asset and this asset will be de-recognised on 31 July 20X4 when \$360,000 is received from the bank.	$\frac{1}{2}$
The liability to pay for the property, plant and equipment will be discharged on 31 July 20X4 by a payment of \$1.8 million (\$14.4 million/8).	1
The loss on exchange of \$200,000 (\$1.8 million – \$1.6 million) will be recognised in profit or loss as an operating expense.	1
At the same time, the gain on re-measurement of the derivative between 30 June 20X4 and 31 July 20X4 of \$200,000 which had previously been recognised in other comprehensive income will be reclassified to profit or loss as a reclassification adjustment.	$\frac{1}{2}$
This means that the overall amount recognised in other comprehensive income for the year ended 31 March 20X5 will be a gain of \$100,000 (\$100,000 gain + \$200,000 gain – \$200,000 re-classification).	$1\frac{1}{2}$
	17
	25

3 Note 1 – Temporary differences

The tax base of an asset is the future tax deduction which will be available when the asset generates taxable economic benefits.	$\frac{1}{2}$ (principle)
The plant purchased by Delta will have a carrying amount of \$3.6 million (\$4 million – \$4 million x $\frac{1}{5}$ x $\frac{6}{12}$).	$\frac{1}{2}$
The tax base of the plant will be \$2 million (\$4 million – 50% x \$4 million).	$\frac{1}{2}$
Therefore this transaction will create a taxable temporary difference of \$1.6 million (\$3.6 million – \$2 million) and a deferred tax liability of \$320,000 (\$1.6 million x 20%).	$\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$
The tax base of a liability is its carrying amount, less the future tax deduction (if any) which will be available when the liability is settled (exact words not needed).	$\frac{1}{2}$
The carrying amount of the liability at 31 March 20X5 is \$21.2 million (\$20 million + \$20 million x 8% x $\frac{9}{12}$).	1
The tax deduction which will be available when the liability is settled will be \$1.2 million (\$20 million x 8% x $\frac{9}{12}$).	$\frac{1}{2}$
Therefore the tax base of the loan liability will be \$20 million (\$21.2 million – \$1.2 million) and the deductible temporary difference will be \$1.2 million (\$21.2 million – \$20 million).	$\frac{1}{2} + \frac{1}{2}$
The deductible temporary difference will create a potential deferred tax asset of \$240,000 (\$1.2 million x 20%).	$\frac{1}{2}$
This deferred tax asset can be recognised because Delta is expected to generate taxable income for the foreseeable future.	$\frac{1}{2}$ (principle)
The net result of the first two transactions is a charge to income tax expense in the statement of profit or loss of \$80,000 (\$320,000 – \$240,000).	$\frac{1}{2}$
Following revaluation of the land, its carrying amount is \$18 million and its tax base \$15 million, creating a taxable temporary difference of \$3 million and a deferred tax liability of \$600,000 (\$3 million x 20%).	$\frac{1}{2} + \frac{1}{2}$
Under IAS 12 – <i>Income Taxes</i> , this is recognised regardless of the fact that Delta has no intention of disposing of the land for the foreseeable future.	$\frac{1}{2}$
Because the revaluation gain is recognised in other comprehensive income as part of items that will not subsequently be reclassified to profit or loss, the related deferred tax is also recognised there as part of the tax relating to other comprehensive income.	1
In the statement of financial position, the deferred tax asset is netted off against the deferred tax liabilities because both relate to the same tax jurisdiction.	$\frac{1}{2}$ (principle)
The deferred tax liability which will be shown in the statement of financial position will be \$680,000 (\$320,000 – \$240,000 + \$600,000). IAS 12 requires that deferred tax liabilities should always be shown in non-current liabilities.	$\frac{1}{2} + 1$

12

Marks

Note 2 – Agricultural activity

Under the principles of IAS 41 – *Agriculture*, the herd of cows will be regarded as a biological asset. Biological assets are measured at their **fair value less costs to sell**.

$\frac{1}{2} + \frac{1}{2}$

The carrying amount of the herd at 1 April 20X4 will be \$130,000 ($500 \times \{\$270 - \$10\}$).

1

When the 20 cows die, \$5200 ($20 \times \260) will be credited to the herd asset and shown as an expense in the statement of profit or loss.

1

When the 20 cows are purchased for \$4,200 ($20 \times \210), the herd asset will be debited with \$4,000 ($20 \times \{\$210 - \$10\}$).

1

The difference of \$200 ($\$4,200 - \$4,000$) between the amount paid and the amount recognised as an asset will be shown as an expense in the statement of profit or loss.

1

The intermediate carrying amount of the herd before the year-end revaluation will be \$128,800 ($\$130,000 - \$5,200 + \$4,000$).

1

The carrying amount of the herd at 31 March 20X5 after revaluation will be \$126,400 ($480 \times \{\$265 - \$11\} + 20 \times \{\$235 - \$11\}$).

1

The change in the carrying amount of the herd due to the year-end revaluation of \$2,400 ($\$128,800 - \$126,400$) will be shown as an expense in the statement of profit or loss.

1

Therefore the total charge to profit or loss in respect of the herd for the year ended 31 March 20X5 will be \$7,800 ($\$5,200 + \$200 + \$2,400$).

1

The herd will be shown as a non-current asset in the statement of financial position and disclosed separately.

$\frac{1}{2}$

The milk held by Delta at the year end will be regarded as harvested produce.

$\frac{1}{2}$ (principle)

Under the principles of IAS 41, harvested produce is recognised in inventory at an initial carrying amount of fair value less costs to sell at the point of harvesting.

1 (principle)

In this case, the initially recognised amount will be **\$1,900** ($1,000 \times \{\$2 - \$0.10\}$). This will be the 'cost' of the inventory which will henceforth be accounted for under **IAS 2 – Inventories**.

$\frac{1}{2} + \frac{1}{2}$

The inventory of milk will be shown as a **current asset** in the statement of financial position of Delta. The market price of milk is not expected to decline in the near future so there is **no need** for a write-down to net realisable value.

$\frac{1}{2} + \frac{1}{2}$

13

25

4 Question 1 – Right-of-use asset

IFRS 16 – *Leases* – requires a lessee to recognise a right-of-use asset in all circumstances other than for very short leases (of one year or less) or for low value assets. A warehouse lease for five years is neither of these, so recognition of a non-current asset will be required in our financial statements.

2

The initial carrying amount of the right-of-use asset comprises the present value of the lease payments plus any direct costs we incurred in arranging the lease.

1 (principle)

In this case, therefore, the initial carrying amount at 1 October 20X4 will be \$2 million ($\$1,895,000 + \$105,000$).

1

The right-of-use asset is included as a separate component of property, plant and equipment and depreciated over the lease term.

1 (principle)

The depreciation of the asset for the year ended 31 March 20X5 will be \$200,000 ($\$2 \text{ million} \times \frac{1}{5} \times \frac{6}{12}$).

1

Therefore the carrying amount of the right-of-use asset at 31 March 20X5 will be \$1,800,000 ($\$2 \text{ million} - \$200,000$).

1

When the right-of-use asset is recognised, a lease liability is also recognised. It is initially measured at the present value of the lease payments – \$1,895,000 in this case.

1 (principle)

The liability will be increased by a finance cost. This cost is based on the carrying amount of the liability and the rate of interest implicit in the lease.

1 (principle)

The finance cost will be charged as an expense in the statement of profit or loss.

$\frac{1}{2}$ (principle)

When the lease rentals are paid, they will be treated as a repayment of the lease liability.

$\frac{1}{2}$ (principle)

Marks

Since a lease rental is due for payment six months after the year end, \$500,000 of the lease liability will be treated as a current liability. The balance will be non-current.

1 (principle)

11

Question 2 – Segment reporting

IFRS 8 – *Operating Segments* – requires entities to which it applies to provide a segment report based on its operating segments.

1 (principle)

An operating segment is a **business component** for which **discrete financial information is available** and whose operating results are regularly reviewed by the **chief operating decision maker** (exact words not needed).

3

The chief operating decision maker is the person (or persons) who assesses performance and allocates resources (exact words not needed).

1

Omega assesses performance and allocates resources on a geographical basis whereas our competitor more than likely does this on a 'product type' basis (mark for coming to a logical conclusion).

1

Notwithstanding the above, IFRS 8 normally requires **all** entities to give details of revenues by geographical area and by product type and non-current assets by geographical area.

1 (principle)

However, the above is not required if the information could only be made available at a prohibitive cost. This may explain the discrepancy between the segment reports.

1

8

Question 3 – Immaterial transactions

Under the principles of IAS 24 – *Related Party Disclosures* – your brother's firm is a related party of Omega.

1 (principle)

This is because the firm is controlled by the close family member (your brother) of a member of the key management personnel of Omega (yourself).

2

IAS 24 requires that the existence of all related party relationships be disclosed together with details of any transactions and outstanding balances (exact words not needed).

2

IAS 24 regards related party relationships as material by their nature so the fact that the transaction is financially insignificant and ordinary to Omega is not relevant in terms of requiring the disclosure.

1 (principle)

6

25

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Q 1

Alpha, a parent with one subsidiary, Beta, is preparing the consolidated statement of financial position as at 30 September 20X5.

1- statements of financial position (SOFP) of Alpha and Beta at 30 September 20X5

	Alpha \$'000	Beta \$'000
Assets		
Non-current assets		
Property, plant and equipment (Note 2)	250.000	170.000
Investment in equity instruments (Note 2 and 4)	180.000	Nil
Current assets		
Inventories (Note 3)	80.000	60.000
Trade receivables	90.000	55.000
Cash and cash equivalents	30.000	25.000
Total assets	<u>630.000</u>	<u>310.000</u>
Equity and liabilities		
Share capital (\$1 share)	160.000	80.000
Retained earnings	150.000	85.000
Other Components of equity	60.000	45.000
Total Equity	<u>370.000</u>	<u>210.000</u>
Non-current liabilities		
Long-term borrowings	90.000	15.000
Deferred tax	20.000	15.000
Pension liability (Note 5)	50.000	Nil
Total Non-current liabilities	<u>160.000</u>	<u>30.000</u>
Current liabilities		
Trade and other payables	70.000	50.000
Current Tax payable	30.000	20.000
Total current liabilities	<u>100.000</u>	<u>70.000</u>
Total Liabilities	<u>260.000</u>	<u>100.000</u>
Total equity and Liabilities	<u>630.000</u>	<u>310.000</u>

Notes

Note 1: Alpha investment in Beta

On 1 October 20X4, Alpha acquired 60 million shares in Beta and gained control of Beta. Alpha made a cash payment of \$175 million to the former shareholders of Beta on 1 October 20X4. Alpha incurred acquisition costs of \$5 million and has presented the total costs of \$180 million as investments in equity instruments.

A condition of the purchase agreement was that Alpha would make a further cash payment to the former shareholders of Beta on 30 September 20X7. The amount of this further cash payment depends on the performance of Beta in the three-year period from 1 October 20X4 to 30 September 20X7. On 1 October 20X4, the fair value of this conditional payment was \$60 million. Because the performance of Beta in the year ended 30 September 20X5 was below expectations, the fair value of the conditional payment had reduced to \$50 million by 30 September 20X5. Alpha has not made any entries in its own financial statements in respect of this conditional payment.

On 1 October 20X4, Beta had retained earnings of \$80 million and other components of equity of \$45 million.

On 1 October 20X4, the fair values of Beta's identifiable assets and liabilities were the same as their carrying amounts in the individual financial statements of Beta with the exception of property, plant and equipment which had a carrying amount of \$150 million and a fair value of \$205 million. On 1 October 20X4, the useful life of this property, plant and equipment was five years. The fair value adjustments should be regarded as temporary differences for the purposes

of computing deferred tax. The relevant rate of income tax to use for this purpose is 20%.

The directors of Alpha measured the non-controlling interest in Beta at its fair value at the date of acquisition. On 1 October 20X4, the fair value of the non-controlling interest was \$65 million.

Note 2: Intra Group Trading

Since 1 October 20X4, Beta has been supplying Alpha with a product. Beta earns a margin of 25% on this product. On 30 September 20X5, the inventories of Alpha included \$20 million in respect of the product. There were no outstanding intra-group balances at 30 September 20X5.

Note 3: Impairment review

Alpha undertook an impairment review of its investment in Beta at 30 September 20X5. Beta comprises three cash generating units for impairment review purposes. Relevant details are as follows:

Cash generating unit (CGU)	Percentage of net assets and goodwill	Recoverable amount of CGU at 30 September 20X5
	%	\$'000
A	40	100,000
B	35	110,000
C	25	80,000

Note 4: Retirement Plan

Alpha has established a defined benefit retirement plan for its current and former employees. Beta has not established such a plan. The statement of financial position of Alpha in Exhibit 1 shows the net defined benefit pension liability at 30 September 20X4.

During the year ended 30 September 20X5, Alpha made a payment of \$30 million to the plan. When making this payment, Alpha debited retained earnings and credited cash. This is the only accounting entry which has been made in relation to the plan for the year to 30 September 20X5.

The current service cost for the year ended 30 September 20X5 was \$25 million. The net interest cost on the pension liability for the year ended 30 September 20X5 was \$2.5 million.

On 30 September 20X5, the defined benefit pension liability was \$160 million and the fair value of the plan assets was \$105 million.

Requirement

Using the information in Exhibits 1 - 5, prepare the consolidated statement of financial position of Alpha at 30 September 20X5.

Note: Unless specifically referred to in the exhibits you should ignore deferred tax.

(25 marks)

Question 2

Point 1: Issue of convertible Loan

On 1 October 20X4 Gamma borrowed \$200 million. This amount is repayable on 30 September 20X9. The loan attracts interest at 8% per annum, payable annually in arrears on 30 September each year.

On 30 September 20X9, the lenders can elect to receive 50 million shares in Gamma as an alternative to receiving repayment. If this election were not available, the lenders would have required Gamma to pay interest at the prevailing market rate of 10% per annum, rather than 8%.

On 1 October 20X4, Gamma incurred costs of \$2 million in arranging the loan. The impact of the issue costs was to increase the effective interest rate to 10.3%.

Discount factors which may be relevant are as follows:

Discount factor	8%	10%
Present value of \$1 payable in:		
1 year	\$0.926	\$0.909
2 years	\$0.857	\$0.826
3 years	\$0.793	\$0.751
4 years	\$0.735	\$0.683
5 years	\$0.681	\$0.621
Cumulative present value of \$1 payable at the end of years 1–5	\$3.99	\$3.79

(10 marks)

Point 2: Purchase of machine

On 1 November 20X4, Gamma placed an order for machinery which was to be used in a new business venture. The initial cost of the machinery was \$30 million. The machinery was delivered on 30 November 20X4. The machine required further development and installation at Gamma's premises. This was carried out by the supplier and took from 1 December 20X4 until 30 April 20X5. The total additional cost of this development and installation was \$60 million. The supplier allowed Gamma two months credit from the date of completion of the installation. On 30 June 20X5, Gamma paid \$90 million to the supplier.

Following the installation of the machinery, the employees attended a training course to ensure they could operate the machinery. The training was completed on 15 May 20X5 at a total cost of \$1 million. Under legal regulations in the country in which Gamma is situated, a safety certificate is necessary for the machinery to be legally used. On 31 May 20X5, the machinery underwent a government inspection and a safety certificate was issued. The cost of the inspection and the safety certificate, paid on 30 June 20X5, was \$600,000. Due to economic uncertainties, the machinery was not brought into use until 31 July 20X5.

The new business venture in which the machinery is being used is one which qualifies for preferential loans. These loans are of 12 months duration and carry a fixed annual interest rate of 4%. They are available only on 1 November each year. Therefore on 1 November 20X4, Gamma borrowed \$90 million and repaid this amount, including accrued interest, on 31 October 20X5.

The estimated useful life of the machinery is ten years. However, the machinery's engine will require replacement after five years. The current replacement cost of the engine is \$24 million. Gamma estimates that the replacement cost of the engine in five years' time will be \$30 million.

(15 marks)

Gamma prepares financial statements to 30 September each year.

The following **exhibits**, available on the left-hand side of the screen, provide information relevant to the question:

1. Issue of convertible loan.
2. Purchase of machine.

This information should be used to answer the question **requirement** within your chosen **response option(s)**.

Question 3

Delta prepares financial statements to 30 September each year.

The following **exhibits**, available on the left-hand side of the screen, provide information relevant to the question:

1. Share-based payment – information on Delta's share-based payment scheme for senior executives.
2. Sale of two properties – information on the sale of surplus properties.
3. Sale of two business units – information on the sale of two of Delta's business units.

This information should be used to answer the question **requirements** within your chosen **response option(s)**.

Point 1: Share based payment

On 1 October 20X3, Delta granted 3,000 share options to 50 senior executives. The options are due to vest on 30 September 20X6. In order to be entitled to exercise the options, the executives had to remain in employment until at least 30 September 20X6.

On 1 October 20X3, Delta estimated that 10 executives would leave prior to 30 September 20X6. This estimate was confirmed when the financial statements for the year ended 30 September 20X4 were prepared. However, during the year ended 30 September 20X5, the estimate of the total number of executives expected to leave before 30 September 20X6 was revised to 12.

On 1 October 20X3, the fair value of a share option was \$2.50. At 30 September 20X4 and 20X5, the fair value of the option was \$2.00 and \$2.80 respectively.

On 1 April 20X5, because of disappointing financial results, Delta modified the terms of the arrangement with the senior executives by decreasing the exercise price. The results of this modification were to increase the fair value of a share option from \$2.10 to \$2.70.

Point 2: Sale of two properties

On 1 September 20X5, Delta decided to sell two properties which were surplus to requirements. Both properties were measured under the cost model.

Property 1

Property 1 was available and advertised for immediate sale in its current condition. This property had a carrying amount of \$50 million on 1 September 20X5. The property was being actively marketed at a realistic selling price of \$60 million. The advertising agents have advised that a sale should be achievable within three months of 1 September 20X5. The agents will charge a commission of 5% of the selling price.

Property 2

Property 2 required essential repair work to be undertaken on it prior to it being in a condition to be offered for sale. This work is planned for October 20X5 and is expected to cost \$10 million. This property had a carrying amount of \$40 million at 30 September 20X5. The selling agents have advised that once the work has been carried out, the property could realistically be sold for \$45 million. The agents' commission will also be 5% of the selling price.

Neither property 1 nor property 2 will be able to generate any income for Delta after 1 September 20X5, other than through sale.

(10 marks)

Point 3: Sale of two business units

On 1 June 20X5 Delta sold two business units. The first unit was a business segment in its own right. Delta made a decision to withdraw from this particular business segment and concentrate on its 'core' business. This segment generated post-tax profits of \$5 million from 1 October 20X4 to 31 May 20X5. On 1 June 20X5, the net assets of the segment were \$50 million. The sale proceeds were \$54 million.

The second sale was one of Delta's distribution centres as a result of a decision to rationalise the way in which Delta distributed its products. The net assets of the distribution centre were \$10 million and it was sold for \$12 million.

The income tax rate applicable to Delta is 20%.

(5 marks)

Question 4

You are the financial controller of Omega, a listed entity involved in the exploration for and evaluation of mineral resources. One of Omega's directors has raised some queries following his review of the consolidated financial statements for the year ended 30 September 20X5.

The following **exhibits**, available on the left-hand side of the screen, provide information relevant to the question:

1. Exploration and evaluation assets.
2. Events after 30 September 20X5.
3. Use of IFRS Standards.

This information should be used to answer the question **requirement** within the **response option** provided.

Point 1: Exploration and evaluation assets

When I looked at our financial statements, I saw a note which gave a breakdown of our exploration and evaluation assets. I compared it with that of a competitor and I have the following three questions.

First, both notes showed the breakdown of the exploration and evaluation assets figure into various categories but they are not presenting the same categories despite both companies operating in similar ways. How can this be right when both companies use IFRS Standards to prepare their financial statements?

Second, why does neither company include the costs of developing mineral resources as part of the exploration and evaluation assets figure? As a key part of both of our businesses, should these costs not be recognised as part of this figure?

Finally, the financial statements state that we measure our exploration and evaluation assets using the cost model while the competitor's state they use the revaluation model. Is this an acceptable inconsistency when both companies are preparing financial statements in accordance with IFRS Standards?

(7 marks)

Point 2: Events after 30 September 20X5

When I read two notes to our financial statements, they seemed to contradict each other. One of the notes referred to a legal case from December 20X4 in which we were being sued for damages by a customer. We originally thought Omega would have to pay damages of \$5 million but the case was finally settled for \$5.5 million on 20 October 20X5. The financial statements at 30 September 20X5 presented a liability for \$5.5 million, despite this only being confirmed after the year end.

A second note referred to the major fire in one of our factories on 15 October 20X5. The damage caused to the factory is estimated at \$5.75 million. However, the note says that no adjustments have been made to the amounts recognised in the financial statements for the year ended 30 September 20X5 in respect of the damage caused by the fire. This will have a significant, but temporary impact on the cash flow of the business, however, it will **not** cause our own going concern status to be in doubt.

The two events are not being treated consistently despite the financial amounts being similar. Please can you explain these apparent inconsistencies?

I am aware that a major customer, owing us a significant amount, became insolvent on 20 November 20X5. We are unlikely to recover much, if any, of this debt. Why don't the financial statements contain at least a note explaining to our shareholders what has happened?

I am aware that the financial statements were authorised for issue on 15 November 20X5.

(10 marks)

Point 3: Use of IFRS standards

You will know that we acquired a new subsidiary, Epsilon, on 1 October 20X4. Epsilon has a year end of 30 September and has prepared financial statements using national accounting standards, not IFRS Standards. Now that they have become part of the Omega group, we will of course require them to use IFRS Standards. We have incorporated their results into our consolidated financial statements using IFRS Standards but Epsilon needs to know what to do in its own financial statements. They have the IFRS Standard compliant financial statements for the year ended 30 September 20X5 but what about the comparative figures? Can they use the financial statements for their year ended 30 September 20X4, prepared under the national accounting standards, as comparative figures for their 20X5 financial statements? Please let me know how to advise the financial controller of Epsilon.

(8 marks)

Answers

Marks

1 Consolidated statement of financial position of Alpha at 30 September 20X5
(All numbers in \$'000)

	\$'000	
Assets		
Non-current assets		
Property, plant and equipment (250,000 + 170,000 + 44,000 (W1))	464,000	$\frac{1}{2}$
Goodwill (W2)	34,520	$6\frac{1}{2}$ (W2)
	<u>498,520</u>	
Current assets		
Inventories (80,000 + 60,000 – (20,000 x 25%))	135,000	$\frac{1}{2} + 1$
Trade receivables (90,000 + 55,000)	145,000	$\frac{1}{2}$
Cash and cash equivalents (30,000 + 25,000)	55,000	$\frac{1}{2}$
	<u>335,000</u>	
Total assets	<u><u>833,520</u></u>	
Equity and liabilities		
Equity attributable to equity holders of the parent		
Share capital (\$1 shares)	160,000	$\frac{1}{2}$
Retained earnings (W5)	138,540	$6\frac{1}{2}$ (W5)
Other components of equity (W7)	52,500	3 (W7)
	<u>351,040</u>	
Non-controlling interest (W4)	58,680	2 (W4)
Total equity	<u>409,720</u>	
Non-current liabilities		
Long-term borrowings (90,000 + 15,000))	105,000	$\frac{1}{2}$
Deferred tax (20,000 + 15,000 + 8,800 (W1))	43,800	$\frac{1}{2} + \frac{1}{2}$
Contingent consideration payable	50,000	$\frac{1}{2}$
Pension liability (160,000 – 105,000)	55,000	$\frac{1}{2}$
Total non-current liabilities	<u>253,800</u>	
Current liabilities		
Trade and other payables (70,000 + 50,000)	120,000	$\frac{1}{2}$
Current tax payable (30,000 + 20,000)	50,000	$\frac{1}{2}$
Total current liabilities	<u>170,000</u>	
Total liabilities	<u>423,800</u>	
Total equity and liabilities	<u><u>833,520</u></u>	<u><u>25</u></u>

Working 1 – Net assets table for Beta

	1 October 20X4 \$'000	30 September 20X5 \$'000	For W2	For W5
Share capital	80,000	80,000	$\frac{1}{2}$	
Retained earnings:				
Per financial statements of Beta	80,000	85,000	$\frac{1}{2}$	$\frac{1}{2}$
Fair value adjustments (post-acquisition additional depreciation 55,000 x $\frac{1}{5}$ = 11,000)	55,000	44,000	$\frac{1}{2}$	$\frac{1}{2}$
Deferred tax on fair value adjustments:	(11,000)	(8,800)	$\frac{1}{2}$	$\frac{1}{2}$
Unrealised profit on intra-group sales by Beta (25% x 20,000)		(5,000)		$\frac{1}{2}$
Other components of equity	45,000	45,000	$\frac{1}{2}$	$\frac{1}{2}$
Net assets for the consolidation	<u>249,000</u>	<u>240,200</u>	<u>$2\frac{1}{2}$</u>	<u>$2\frac{1}{2}$</u>
			→ W2	→ W5

Decrease in net assets (249,000 – 240,200) = 8,800

Working 2 – Goodwill on acquisition of Beta

	\$'000	
Cost of investment:		
Cash paid	175,000	½
Fair value of contingent consideration at date of acquisition	60,000	½
Non-controlling interest at date of acquisition	65,000	½
Net assets at date of acquisition (W1)	(249,000)	2½ (W1)
Goodwill at date of acquisition	51,000	
Impairment at 30 September 20X5 (W3)	(16,480)	2½ (W3)
Goodwill at 30 September 20X5	34,520	6½

Working 3 – Impairment of goodwill at 30 September 20X5

	Unit A \$'000	Unit B \$'000	Unit C \$'000	Total \$'000	
Fair value of identifiable net assets of Beta at 30 September 20X5 (40:35:25)	96,080	84,070	60,050	240,200	½
Goodwill on acquisition (W2) (40:35:25)	20,400	17,850	12,750	51,000	½
	116,480	101,920	72,800	291,200	
Recoverable amounts of CGUs	(100,000)	(110,000)	(80,000)		½
Impairment	16,480	Nil	Nil		1
					2½
					→ W2

Working 4 – Non-controlling interest in Beta

	\$'000	
At date of acquisition	65,000	½
25% of post-acquisition decrease in net assets (25% x 8,800 (W1))	(2,200)	½ + ½
25% of impairment of goodwill of (25% x 16,480 (W3))	(4,120)	½
	58,680	2

Working 5 – Retained earnings

	\$'000	
Alpha – per draft SOFP	150,000	½
Adjustment re: defined benefit retirement plan (W6)	2,500	1 (W6)
Reduction in fair value of contingent consideration (60,000 – 50,000)	10,000	1
Acquisition costs of Beta	(5,000)	½
75% of post-acquisition share of Beta (75% x 8,800 (W1))	(6,600)	½ + 2½ (W1)
75% of impairment of goodwill of (75% x 16,480 (W3))	(12,360)	½
	138,540	6½

Working 6 – Adjustment re: defined benefit retirement plan

	\$'000	
Current service cost and net interest cost	(27,500)	½
Contributions incorrectly charged to retained earnings	30,000	½
Adjustment to retained earnings	2,500	1
		→ W5

Working 7 – Other components of equity

	\$'000	
Alpha – per draft financial statements	60,000	½
Actuarial gain/(loss) on defined benefit retirement plan (W8)	(7,500)	2½ (W8)
	52,500	3

Working 8 – Actuarial gain/(loss) on defined benefit retirement plan

	\$'000	
Opening liability	50,000	½
Current service cost and net interest cost	27,500	½
Contributions paid into plan	(30,000)	½
	47,500	
Actuarial loss on re-measurement (balancing figure)	7,500	½
Closing liability (\$160,000 – \$105,000)	55,000	½
		2½
		→ W7

2 Exhibit 1 – Issue of convertible loan (all figures in \$'000)

Under the principles of IFRS® 9– *Financial Instruments* – convertible loans need to be split into their liability and equity elements by computing the liability element and deriving the equity element as the balancing figure.

½ (principle)

The liability element is computed by discounting the future amounts payable assuming the loan is repaid using the discount rate equivalent to the return which would be required by a lender without any conversion option – the market rate.

½ (principle)

In this case, the liability element is \$184,840,000 (\$16 million x 3.79) + \$(200 million x \$0.621)).

1 + 1

Therefore the equity element is \$15,160,000 (\$200 million – \$184,840,000) – OF rule applies here.

½

The issue costs are deducted from the equity and liability elements in proportion to their carrying amounts before such a deduction.

1 (principle)

Therefore the amount deducted from the liability element will be **\$1,848,000** (\$2 million x 184,840/200,000) and the amount deducted from the equity element will be **\$152,000** (\$2 million – \$1,848,000).

1 + ½

The resulting equity element – which is \$15,008,000 (\$15,160,000 – \$152,000) – will be **unchanged** from 1 October 20X4 and will be presented in the statement of financial position in the **equity** section as **other components of equity**.

½ + ½

The carrying amount of the loan element after deducting the issue costs will be \$182,992,000 (\$184,840,000 – \$1,848,000).

½

The finance cost for the year ended 30 September 20X5 will be **\$18,848,000** (\$182,992,000 x 10.3%) and the liability at 30 September 20X5 **\$185,840,000** (\$182,992,000 + \$18,848,000 – \$16 million).

½ + 1

The finance cost of \$18,848,000 for the year ended 30 September 20X5 will be presented in the statement of profit or loss and other comprehensive income as a finance cost.

½

The liability of \$185,840,000 at 30 September 20X5 will be presented as a non-current liability in the statement of financial position.

½

10

Exhibit 2 — Purchase of machine

Under the principles of IAS® 16 – *Property, Plant and Equipment* (PPE) – the machine will be recognised as an asset in PPE from 30 November 20X4, the date of delivery.

½ (principle)

Under the principles of IAS 16, the **installation costs and the costs of the inspection and the safety certificate** will be included in the initial carrying amount of PPE **because** these costs are necessarily incurred in getting the machine ready for use.

½ + ½

\$30 million will be added to PPE on 30 November 20X4, a further \$60 million in the period from 1 December 20X4 to 30 April 20X5, and \$600,000 on 15 May 20X5.

½

Under the principles of IAS 16, employee training costs **cannot** be recognised as part of the carrying amount of PPE. They are specifically excluded by IAS 16. Therefore these costs (of \$1 million) will be shown as an **operating expense** in the statement of profit or loss and other comprehensive income for the year ended 30 September 20X5.

½ + ½

Under the principles of IAS 23 – *Borrowing Costs* – **borrowing costs** which are **directly** attributable to the acquisition of an asset should be included as part of the carrying amount of that asset.

½ + ½ (principle)

	Marks
The costs which are eligible for such treatment are those incurred in the period starting from the date expenditure is incurred on the asset and ending on the date the asset is ready for use.	$\frac{1}{2}$ (principle)
In this case, that means that the relevant period is the six months from 1 December 20X4 until 31 May 20X5 and the relevant borrowing costs to capitalise will be \$1.8 million (\$90 million x 4% x 6/12).	$\frac{1}{2} + 1$
This means that the total depreciable amount of the PPE will be \$92.4 million (\$30 million + \$60 million + \$600,000 + \$1.8 million).	$\frac{1}{2}$
Under the principles of IAS 16, depreciation commences when an asset is ready for use (1 June 20X5) rather than when it is brought into use (31 July 20X5).	$\frac{1}{2}$ (principle)
Under the principles of IAS 16, a single physical asset which has two or more significant components with different useful lives is regarded as two assets for depreciation purposes.	$\frac{1}{2}$ (principle)
In this case, one component is the engine element with an initial carrying amount of \$24 million – its fair value at the date of acquisition . The estimated future replacement cost is not relevant.	$\frac{1}{2} + \frac{1}{2}$
The depreciation of this component for the year ended 30 September 20X5 will be \$1.6 million (\$24 million x $\frac{1}{5}$ x $\frac{4}{12}$).	$\frac{1}{2} + \frac{1}{2}$
The residual component has a carrying amount of \$68.4 million (\$92.4 million – \$24 million) and its depreciation for the year ended 30 September 20X5 will be \$2,280,000 (\$68.4 million x $\frac{1}{10}$ x $\frac{4}{12}$).	$\frac{1}{2} + \frac{1}{2}$
The total depreciation expense in the statement of profit or loss and other comprehensive income for the year ended 30 September 20X5 will be \$3,880,000 (\$1.6 million + \$2,280,000). This will be presented as an operating expense.	$\frac{1}{2} + \frac{1}{2}$
The balance in PPE on 30 September 20X5 will be \$88,520,000 (\$92.4 million – \$3,880,000). This will be presented under non-current assets .	$\frac{1}{2} + \frac{1}{2}$
The finance cost on the loan for the current year will be \$3.3 million (\$90 million x 4% x $\frac{11}{12}$). The amount not capitalised of \$1.5 million (\$3.3 million – \$1.8 million) will be shown as a finance cost in the statement of profit or loss and other comprehensive income .	$\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$
The closing loan balance will be \$93.3 million (\$90 million + \$3.3 million). This will be presented as a current liability.	$\frac{1}{2} + \frac{1}{2}$
	15
	25

3 Exhibit 1 – Share-based payment

Under the principles of IFRS 2 – <i>Share-based payment</i> – equity settled share-based payment obligations are measured using the fair value of the equity instruments to be issued at the grant date. In this case, therefore, the relevant fair value is \$2.50 per option.	$\frac{1}{2} + \frac{1}{2}$
Where vesting conditions apply (as is the case here) then, in the case of non-market conditions, the number of options expected to vest is adjusted to latest estimates at the end of the reporting period.	$\frac{1}{2}$ (principle)
Therefore, for the year ended 30 September 20X4, the expected total cost of the arrangement is \$300,000 (3,000 x 40 x \$2.50).	1
The cost is recognised in profit or loss over the vesting period. Therefore the amount recognised in profit or loss for the year ended 30 September 20X4 is \$100,000 (\$300,000 x $\frac{1}{3}$).	$\frac{1}{2} + \frac{1}{2}$
The expected total cost of the arrangement at 30 September 20X5 would be \$285,000 (3,000 x {50 – 12} x \$2.50).	1
Therefore the cumulative amount recognised in profit or loss up to 30 September 20X5 in respect of the original arrangement will be \$190,000 (\$285,000 x $\frac{2}{3}$) and the actual amount recognised for the year ended 30 September 20X5 will be \$90,000 (\$190,000 – \$100,000). This will be shown as an employment expense under operating expenses.	$\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$
The modification to the terms of the arrangement which takes place on 1 April 20X5 will be an additional cost which will be recognised over the remaining vesting period . This additional cost will be based on the increase in the fair value of an option caused by the modification.	$\frac{1}{2} + \frac{1}{2}$
In this case, the additional cost which will be recognised over the remaining vesting period will be \$68,400 (3,000 x 38 x {\$2.70 – \$2.10}).	1
The amount which will be recognised in the year ended 30 September 20X5 will be \$22,800 (\$68,400 x $\frac{6}{18}$) and so the total charge to profit or loss for the year ended 30 September 20X5 in respect of the arrangement will be \$112,800 (\$90,000 + \$22,800).	$\frac{1}{2} + \frac{1}{2}$

Marks

The cumulative total cost recognised to date of **\$212,800** (\$190,000 + \$22,800) will be shown in the equity section of the statement of financial position at 30 September 20X5.

$\frac{1}{2} + \frac{1}{2}$

10

Exhibit 2 – Sale of two properties

Under the principles of IFRS 5 – *Non-current Assets Held for Sale and Discontinued Operations* – property 1 **would** be classified as 'held-for-sale' from 1 September 20X5. This is **because** the property is available for immediate sale in its current condition, is being actively marketed at a reasonable price, and a sale is expected in less than 12 months.

$\frac{1}{2} + \frac{1}{2}$ (principle)

Property 1 is removed from non-current assets (PPE) and separately classified as a current asset on the statement of financial position as a 'held for sale' asset.

1

When an asset is classified as held-for-sale, it is **measured at the lower of its current carrying amount and its fair value less costs to sell**. Held-for-sale assets are **not** depreciated after classification.

1 + $\frac{1}{2}$ (principle)

The fair value less costs to sell for property 1 is \$57million (95% x \$60 million). Therefore property 1 will be measured at \$50 million.

1

Property 2 cannot be classified as held-for-sale because it is not available for immediate sale in its current condition. Therefore it will continue to be presented in PPE.

1

Based on the information available in the question, it would appear that property 2 has suffered impairment.

$\frac{1}{2}$ (principle)

An asset has suffered impairment if its recoverable amount is lower than its carrying amount. Recoverable amount is the higher of value-in-use and fair value less costs to sell.

1 (principle)

Since property 2 is not able to generate any future income for Delta other than through sale, then in this case the recoverable amount of the property is its fair value less costs to sell.

$\frac{1}{2}$ (principle)

The fair value less costs to sell of property 2 is \$32.75 million (\$45 million x 95% – \$10 million). The repair costs of \$10 million are necessarily incurred in getting the property into a saleable condition and so are deducted in computing its fair value less costs to sell.

1 + $\frac{1}{2}$

Property 2 will therefore be recognised in PPE at \$32.75 million.

$\frac{1}{2}$

An impairment loss of \$7.25 million (\$40 million – \$32.75 million) will be recognised as an operating expense in the statement of profit or loss and other comprehensive income.

$\frac{1}{2}$

10

Exhibit 3 – Sale of two business units during the year

Under the principles of IFRS 5, the segment would be regarded as a discontinued operation because it is a separate line of business which has been disposed of in the period.

1 (principle)

This means that, in the statement of profit or loss and other comprehensive income, the results and post-tax gain or loss on sale would be presented as a single amount below the profit after tax from continuing operations and described as profit or loss on discontinued operations.

1 (principle)

In this case, the amount would be \$8.2 million (\$5 million + ((\$54 million – \$50 million) x 80%)).

1

The sale of the distribution centres is not separately presented as it is not a discontinued operation – the distribution operations of Delta are being reorganised, not discontinued.

1 (principle)

The profit on disposal of the distribution centre of \$2 million (\$12 million – \$10 million) would be recognised as part of its pre-tax profit for the year.

1

5

25

4 Exhibit 1 – Exploration and evaluation assets

IFRS 6 – *Exploration for and Evaluation of Mineral Resources* – specifies financial reporting in this area.

$\frac{1}{2}$ (principle)

IFRS 6 does not specifically prescribe what expenditures should be included as exploration and evaluation assets. Relevant entities are allowed to determine an accounting policy which specifies which expenditures should be included as exploration and evaluation assets and must apply it consistently. (Exact wording not needed – just the overall sense of the point.)

2

	Marks
IFRS 6 states that, in making this determination, entities should consider the degree to which the expenditure can be associated with finding the specific mineral resources it is seeking.	1
Therefore it is quite possible that two entities in fairly similar sectors might make a different assessment of their accounting policies given very specific criteria which might apply to one entity or another. (Exact wording not needed – just the overall sense of the point.)	1
IFRS 6 does, however, specifically prohibit the inclusion of the costs of developing mineral resource in the exploration and evaluation assets figure. Such expenditures should be accounted for in accordance with IAS 38 – Intangible Assets .	1 + ½
IFRS 6 allows exploration and evaluation assets to be measured under either the cost model or the revaluation model.	1
	<u>7</u>

Exhibit 2 – Events occurring after 30 September 20X5

The accounting treatment of events occurring after the year-end date is set out in IAS 10 – <i>Events after the Reporting Period</i> .	½ (principle)
IAS 10 defines events after the reporting period as being those events occurring after the end of the reporting period up to the date the financial statements are authorised for issue (15 November 20X5).	1
IAS 10 classifies events after the reporting period into two types – adjusting and non-adjusting.	½ (principle)
Adjusting events provide additional evidence of conditions existing at the reporting date. (Exact wording not needed – just the overall sense of the point.)	1
The information about the legal case provides additional evidence about the final liability and so is an adjusting event, so it is proper to recognise the correct amounts (\$5.5m) in the financial statements. (Exact wording not needed – just the overall sense of the point.)	2
The fire at the factory does not relate to conditions at the reporting date and so is non-adjusting.	1
IAS 10 requires disclosure of the impact of non-adjusting events in the notes to the financial statements. The only exception to this rule would be if the event impacted on the going concern status of Omega. This is not the case based on the information provided.	1 + 1
The insolvency of the customer occurred after the financial statements were authorised for issue so it is not reportable in the financial statements for the year ended 30 September 20X5. (Exact wording not needed – just the overall sense of the point.)	2
	<u>10</u>

Exhibit 3 – Use of IFRS Standards in the financial statements of a subsidiary

The principles underpinning the first-time preparation of financial statements under IFRS Standards are set out in IFRS 1 – <i>First-time Adoption of International Financial Reporting Standards</i> .	½
IFRS 1 requires that both the financial statements for the current period and the comparative figures be presented using IFRS Standards in force at the first reporting date under IFRS Standards. In this case, this date is 30 September 20X5.	1
The starting point for the first-time adoption of IFRS Standards is to prepare the opening IFRS Standards statement of financial position. This is the statement of financial position at the start of the earliest period for which Epsilon presents comparative information in its first full IFRS Standards financial statements. In Epsilon's case, this date is 1 October 20X3 .	1 + ½
Unless there is objective evidence that they were in error, the accounting estimates used in the opening IFRS Standards statement of financial position should be consistent with those used in the financial statements of Epsilon's prepared using national standards.	1
The opening IFRS Standards statement of financial position needs to be published in Epsilon's first set of IFRS Standards financial statements. Therefore the financial statements at 30 September 20X5 will contain three statements of financial position, rather than the usual two.	1
Despite there being three statements of financial position in the financial statements for the year ended 30 September 20X5, there will be only two statements of profit or loss and other comprehensive income and statements of changes in equity in these financial statements.	1
There is likely to be a difference between the net assets at 1 October 20X3 using national standards and the net assets using IFRS Standards. This difference will be recognised in the statement of changes in equity for the comparative period, rather than in the statement of profit or loss and other comprehensive income.	1

The first set of IFRS Standards financial statements need to include reconciliations of equity at all dates previously reported under national standards to equity reported under IFRS Standards. In the case of Epsilon, reconciliations will be required at 1 October 20X3 and 30 September 20X4.

Marks
1
8
25

Statements of financial position at 31 March 20X5

	Alpha	Beta
	\$'000	\$'000
Assets		
Non-current assets		
Property, plant and equipment (Exhibit 2)	240,000	140,000
Financial assets (Exhibits 2 and 4)	<u>182,840</u>	<u>nil</u>
	<u>422,840</u>	<u>140,000</u>
Current assets		
Inventories (Exhibit 3)	70,000	50,000
Trade receivables (Exhibit 3)	80,000	45,000
Cash and cash equivalents (Exhibit 3)	<u>19,360</u>	<u>20,000</u>
	<u>169,360</u>	<u>115,000</u>
Total assets	<u>592,200</u>	<u>255,000</u>
Equity and liabilities		
Share capital (\$1 shares)	140,000	60,000
Retained earnings	120,000	45,000
Other components of equity	<u>52,200</u>	<u>35,000</u>
Total equity	<u>312,200</u>	<u>140,000</u>
Non-current liabilities		
Long-term borrowings	120,000	30,000
Deferred tax (Exhibits 2 and 3)	<u>60,000</u>	<u>15,000</u>
Total non-current liabilities	<u>180,000</u>	<u>45,000</u>
Current liabilities		
Trade and other payables	70,000	55,000
Current tax payable	30,000	15,000
Total current liabilities	<u>100,000</u>	<u>70,000</u>
Total liabilities	<u>280,000</u>	<u>115,000</u>
Total equity and liabilities	<u>592,200</u>	<u>255,000</u>

Jun 2021

Note 1:

On 1 April 20X3 Alpha acquired 48 million shares in Beta by means of a share exchange. This gave Alpha control of Beta. On 1 April 20X3 Alpha issued two shares in exchange for every three Beta shares acquired when the fair value of an Alpha share was \$4.20.

Alpha incurred costs of \$2.5 million relating to the issue of Alpha shares and \$3.5 million relating to due diligence costs. Alpha included the fair value of the shares issued, plus the above issue and due diligence costs of \$6 million, as part of financial assets. On 1 April 20X3 Beta had retained earnings of \$25 million and other components of equity of \$35 million.

On 1 April 20X3 the fair values of Beta's identifiable assets and liabilities were the same as their carrying amounts in the individual financial statements of Beta with the exception of:

- (i) Property, plant and equipment which had a fair value of \$20 million in excess of its carrying amount in the financial statements of Beta. On 1 April 20X3 the useful life of this property, plant and equipment was five years.
- (ii) An internally developed brand of Beta which had a fair value of \$15 million on 1 April 20X3. On 1 April 20X3 the useful life of this internally developed brand was ten years.
- (iii) A contingent liability which had a fair value of \$10 million on 1 April 20X3. This contingency was resolved during the year ended 31 March 20X4.

The fair value adjustments should be regarded as temporary differences for the purposes of computing deferred tax. The income tax rate is 20%.

The directors of Alpha measured the non-controlling interest in Beta at its fair value at the date of acquisition. On 1 April 20X3 the fair value of the non-controlling interest was \$33 million.

The goodwill is not impaired at 31 March 20X5.

Note 2:

Since 1 April 20X3 Alpha has been supplying goods to Beta. Alpha marks up its cost by 33.33% when computing Beta's invoiced price. On 31 March 20X5 the inventories of Beta included \$16 million in respect of these goods.

Any unrealised profits should be regarded as temporary differences for the purposes of computing deferred tax. The income tax rate is 20%.

On 28 March 20X5 Beta made a payment of \$15 million to Alpha relating to amounts owing in respect of the purchase of these goods. Alpha received and recorded this payment on 3 April 20X5. No other intra-group amounts were outstanding at 31 March 20X5.

Note 3

On 1 April 20X3 Alpha made a loan of \$40 million to a key supplier. Alpha incurred costs of \$2 million in arranging the loan. The terms of the loan were that interest of \$2.5 million is payable annually in arrears on 31 March. On 31 March 20X6 the loan is repayable at a premium. The effective annual rate of interest on this loan (which can be used in all relevant calculations) is approximately 7%. Alpha did not elect to measure this loan asset at fair value through profit or loss. On 1 April 20X3, Alpha estimated that the probability of payment of the interest due on 31 March 20X4 was 100% so that the 12-month expected credit losses relating to this loan were zero.

On 31 March 20X4, Alpha received the interest payment of \$2.5 million which was due on that date. On 31 March 20X4, Alpha measured the loan at its amortised cost with no loss allowance deemed necessary as the assessment of expected credit loss was unchanged from initial recognition.

During the year ended 31 March 20X5, the supplier began to face significant financial difficulties and just before 31 March 20X5 Alpha received reliable information that the supplier was insolvent. The supplier was not able to make the further payment of \$2.5 million which was due on 31 March 20X5 and Alpha was told that the only further amount which will be received in respect of this loan will be a payment of \$30 million on 31 March 20X6. Based on this information, Alpha considered that the loan to the supplier was credit impaired at 31 March 20X5.

The financial assets of Alpha at 31 March 20X5 as shown in exhibit 1 include the carrying amount of the loan to the supplier as correctly measured at 31 March 20X4. No entries have yet been made regarding this loan in the current period.

Question 2

Note 1:

On 1 October 20X4 Gamma began to lease a machine. The lease gave Gamma the sole right to direct the use of the machine and receive all the economic benefits arising from its use. The lease was for a five-year term, with annual rentals of \$200,000 being payable in advance. The first rental was paid on 1 October 20X4 and the final rental is due for payment on 1 October 20X8. The total estimated useful life of the machine on 1 October 20X4 was ten years. There are no terms in the lease agreement that allow the lease to be extended beyond the five-year term. The annual rate of interest implicit in the lease is 8%. On 1 October 20X4 when the first rental was paid Gamma debited \$200,000 to profit or loss. Gamma has made no other entries regarding this lease in its draft financial statements for the year ended 31 March 20X5.

8% discount factors which may be relevant are as follows:

Cumulative present value of \$1 payable in:

	\$
1 year	0.926
2 years	1.783
3 years	2.577
4 years	3.312
5 years	3.993

(9 marks)

Note 2:

On 1 April 20X4 Gamma purchased an overseas property on credit for 4.4 million crowns. Of the initial carrying amount, 60% of the value of the property was attributed to the buildings element. On 1 April 20X4 Gamma estimated that the useful life of the buildings element was 40 years. On 30 June 20X4 Gamma paid 4.4 million crowns to the seller.

Gamma uses the revaluation model to measure property. On 31 March 20X5 Gamma estimated that the fair value of the property was 4.8 million crowns.

The only entries made by Gamma in its draft financial statements regarding the purchase of the property were to record the cash paid on 30 June 20X4 as an operating expense in the statement of profit or loss.

Relevant exchange rates are:

Date	Exchange Rate
1 April 20X4	2 crowns to \$1
30 June 20X4	1.76 crowns to \$1
31 March 20X5	1.60 crowns to \$1

(8 marks)

Note 2:

1. The draft financial statements of Gamma for the year ended 31 March 20X5 show a profit after tax of \$10 million. This amount is before taking account of the implications of the information in exhibits 1 and 2.
 2. On 1 April 20X4 Gamma had 70 million ordinary shares and 50 million preference shares in issue. The preference shares are irredeemable, and any preference dividends are discretionary.
 3. On 1 October 20X4 Gamma made a 1 for 4 rights issue. The new shares were issued at a price of \$1 per share. On 1 October 20X4 the shares of Gamma had a listed price of \$1.50 immediately before the rights issue. The rights issue was fully taken up.
 4. On 31 December 20X4 Gamma paid a dividend of \$3 million to its ordinary shareholders and \$2 million to its preference shareholders. These were the only dividends paid by Gamma in the year ended 31 March 20X5.
-

Requirements

Gamma prepares financial statements to 31 March each year.

The following **exhibits**, available on the left-hand side of the screen, provide information relevant to the question:

1. Lease of machine – information on the lease of a machine during the year ended 31 March 20X5.
2. Purchase of property – details of a property purchased during the year ended 31 March 20X5.
3. Additional information – further information regarding the financial statements of Gamma for the year ended 31 March 20X5

This information should be used to answer the question **requirements** within your chosen **response option(s)**.

Question 3

Note 1:

Omega has a herd of 300 cattle which are all six months old on 31 March 20X5 and a herd of 200 sheep which are all one year old at 31 March 20X5. The herd of cattle will be sold when the cattle are two years old. The herd of sheep is expected to be sold within the next 12 months.

There are two markets available to Omega in which they could sell the cattle and the sheep, Market 1 and Market 2. Market 1 is the principal market in which cattle could be sold but Omega sells its sheep in both Market 1 and Market 2 in roughly equal proportions. Therefore, neither Market 1 nor Market 2 can be identified as the principal market in which Omega could sell sheep. Relevant market prices and relevant costs of sale at 31 March 20X5 are as follows:

	Market 1		Market 2	
	Cattle	Sheep	Cattle	Sheep
	\$	\$	\$	\$
Gross selling price per animal	80	61	85	63
Transport costs per animal	4	3	5	4
Selling costs per animal	2	2	3	4

(10 marks)

Note 2

Kappa has a portfolio of equity shares which is regarded as a trading portfolio. On 1 January 20X5 Kappa purchased 20,000 shares in a listed entity and added these shares to the trading portfolio. Kappa purchased the shares for \$5.25 per share and paid a commission to the broker of 20 cents per share. Due to favourable market conditions Kappa retained these shares and they were still part of the trading portfolio at 31 March 20X5. These shares are listed on a single stock exchange. Relevant market prices (per share) are as follows:

Date	Bid price	Offer price
	\$	\$
1 January 20X5	5.00	5.25
31 March 20X5	5.80	6.10

(8 marks)

Note 3:

On 1 October 20X4 Delta acquired a new subsidiary, Zeta. The net assets of Zeta included a factory with a carrying amount of \$6 million. \$3.2 million of this amount was attributable to the buildings element. The useful life of the buildings element at 1 October 20X4 is 40 years. Delta intends to continue to use the factory for the same purpose as it was being used by Zeta prior to its acquisition. However, the factory could be used for administrative purposes with virtually no conversion costs.

Relevant fair value measurements for the factory at 1 October 20X4 are as follows:

	Land element	Buildings element	Total	Future life of buildings element
	\$ million	\$ million	\$ million	
Use as a factory	3.4	3.8	7.2	40 years
Use for administrative purposes	3.5	4.0	7.5	50 years

Delta uses the cost model to measure its property, plant and equipment in its consolidated financial statements.

(7 marks)

Requirements:

Delta prepares financial statements to 31 March each year. Delta has a number of subsidiaries which operate in a number of different business sectors.

The following **exhibits**, available on the left-hand side of the screen, provide information relevant to the question:

1. Cattle and sheep – details of the cattle and sheep herds owned by subsidiary Omega which operates in the agricultural sector.
2. Purchase of shares – details of the purchase of shares in a trading portfolio by subsidiary Kappa.
3. Acquisition of subsidiary – information on the acquisition of subsidiary Zeta including the fair value of its factory.

This information should be used to answer the question **requirements** within your chosen **response option(s)**.

Question 4

Note 1

I know during the year ended 31 March 20X5 we acquired Newby. Newby is a small company which operates in the construction industry. I also know that the shares in Newby were previously owned equally by three family members, and that Newby's borrowing was a bank loan. I had a look at Newby's audited individual financial statements for the current year. The audit report identified no issues with how the financial statements had been prepared but I don't understand how this can be correct. Newby is located in the same country as we are and is subject to the same regulatory regime. The financial statements of Newby do not appear to be wholly compliant with full International Financial Reporting Standards (IFRS standards). For example, the notes to Newby's financial statements state that all borrowing costs are expensed as they are incurred despite some of these borrowings relating to the construction of a new factory. Furthermore, the notes to Newby's financial statements don't appear to contain all the disclosures required by full IFRS standards.

Please can you answer the following questions (I don't need to know the mechanics of the consolidation process – I know that already):

1. Please explain why Newby has been allowed to prepare individual financial statements which don't appear to wholly comply with full IFRS standards.
2. Please explain if Newby will need to use full IFRS standards in its own financial statements now that it's part of our group.

(8 marks)

Note 2

You will know that during the year we made a strategic long-term investment in Sandy, an entity which is a vital part of our supply chain. I believe we purchased 40% of the shares, which carry one vote each, and that this gave us the right to appoint four of the ten directors. The other six directors are independent of each other – they don't always agree when voting. I was expecting to see Sandy included as a subsidiary in our consolidated financial statements but instead the investment has been shown as a single figure in our consolidated statement of financial position. The carrying amount of the investment is presented as \$40 million but, given the share price, I have calculated the fair value as \$42 million. I thought that equity investments that weren't consolidated needed to be measured at fair value. Please explain:

1. Why we aren't including Sandy as a subsidiary in our consolidated financial statements.
2. What method will have been used to arrive at the carrying amount of \$40 million rather than measuring the investment at fair value.

(9 marks)

Note 3

The draft financial statements indicate that in the current period we began measuring our inventory of raw materials using the weighted average cost formula. In previous periods we measured all our inventories using the first in first out formula. I have a number of questions here:

1. Are we allowed to change the measurement method in this way?
2. If we do change the measurement method for our inventory of raw materials shouldn't we change it for all of our inventories?
3. How do we ensure that the financial statements for this year are comparable with those of last year given that a different measurement method has been used for raw materials inventory?

(8 marks)

Requirements

You are the financial controller of Epsilon, a listed entity with a number of subsidiaries. The consolidated financial statements of Epsilon for the year ended 31 March 20X5 are currently being prepared. One of the directors of Epsilon has raised some queries which have arisen as a result of her review of the draft consolidated financial statements.

The following **exhibits**, available on the left-hand side of the screen, provide information relevant to the question:

1. New subsidiary – the financial statements of Newby.
2. Investment – details of an equity investment.
3. Measurement change – details of a change in measurement method of inventory.

This information should be used to answer the question **requirements** within the **response option** provided.

Answers

Marks

1 Consolidated statement of financial position of Alpha at 31 March 20X5

[Note: all figures below in \$'000]

	\$'000	
Assets		
Non-current assets		
Property, plant and equipment (240,000 + 140,000 + 12,000 (W1))	392,000	$\frac{1}{2} + \frac{1}{2}$
Brand (W1)	12,000	$\frac{1}{2}$
Goodwill (W2)	27,400	5 (W2)
	<u>431,400</u>	
Current assets:		
Inventories (70,000 + 50,000 – 4,000 (W4))	116,000	$\frac{1}{2} + \frac{1}{2}$
Trade receivables (80,000 + 45,000 – 15,000)	110,000	$\frac{1}{2} + \frac{1}{2}$
Financial asset (W5)	28,037	$\frac{1}{2} + \frac{1}{2}$
Cash and cash equivalents (19,360 + 20,000 + 15,000 (cash in transit))	54,360	$\frac{1}{2} + \frac{1}{2}$
	<u>308,397</u>	
Total assets	<u><u>739,797</u></u>	
Equity and liabilities		
Equity attributable to equity holders of the parent		
Share capital (\$1 shares)	140,000	$\frac{1}{2}$
Retained earnings (W4)	114,257	9 (W4)
Other components of equity (W6)	49,700	1
	<u>303,957</u>	
Non-controlling interest (W3)	36,840	1 (W3)
Total equity	<u>340,797</u>	
Non-current liabilities		
Long-term borrowings (120,000 + 30,000)	150,000	$\frac{1}{2}$
Deferred tax (W7)	79,000	$1\frac{1}{2}$ (W7)
Total non-current liabilities	<u>229,000</u>	
Current liabilities		
Trade and other payables (70,000 + 55,000)	125,000	$\frac{1}{2}$
Current tax payable (30,000 + 15,000)	45,000	$\frac{1}{2}$
Total current liabilities	<u>170,000</u>	
Total liabilities	<u>399,000</u>	
Total equity and liabilities	<u><u>739,797</u></u>	<u><u>25</u></u>

WORKINGS – DO NOT DOUBLE COUNT MARKS. ALL NUMBERS ARE IN \$000 UNLESS OTHERWISE STATED.

Working 1 – Net assets table for Beta

	1 April 20X3 \$'000	31 March 20X5 \$'000	For W2	For W4
Share capital	60,000	60,000	$\frac{1}{2}$	
Retained earnings:				
Per financial statements of Beta	25,000	45,000	$\frac{1}{2}$	$\frac{1}{2}$
Fair value adjustment to PPE	20,000	12,000	$\frac{1}{2}$	$\frac{1}{2}$
Fair value adjustment to Brand	15,000	12,000	$\frac{1}{2}$	$\frac{1}{2}$
Fair value adjustment to contingent liability	(10,000)	Nil	$\frac{1}{2}$	$\frac{1}{2}$
Deferred tax on fair value adjustments:	(5,000)	(4,800)	$\frac{1}{2}$	$\frac{1}{2}$
Other components of equity	35,000	35,000	$\frac{1}{2}$	
Net assets for the consolidation	<u>140,000</u>	<u>159,200</u>	<u>$3\frac{1}{2}$</u>	<u>$2\frac{1}{2}$</u>
			⇒ W2	⇒ W4

Post-acquisition increase in net assets (159,200 – 140,000) = 19,200

Working 2 – Goodwill on acquisition of Beta

	\$'000	
Cost of investment:		
Shares issued by Alpha – 48 million x 2/3 x \$4.20	134,400	1
Non-controlling interest at date of acquisition	33,000	1/2
Net assets at date of acquisition (W1)	(140,000)	3 1/2 (W1)
Goodwill at date of acquisition	27,400	5

Working 3 – Non-controlling interest in Beta

	\$'000	
At date of acquisition	33,000	1/2
20% of post-acquisition increase in net assets (20% x 19,200 (W1))	3,840	1/2
	36,840	1

Working 4 – Retained earnings

	\$'000	
Alpha – per draft SOFP	120,000	1/2
Impairment of financial asset (W5)	(14,403)	3 1/2 (W5)
Due diligence costs re: acquisition of Beta	(3,500)	1/2
80% of post acquisition share of Beta' profits (80% x 19,200 (W1))	15,360	1/2 + 2 1/2 (W1)
Unrealised profit on sales to Beta (33·33/133·33 x 16,000)	(4,000)	1/2
Deferred tax on unrealised profit (20% x 4,000)	800	1/2 + 1/2
	114,257	9

Working 5 – Impairment of financial asset

	\$'000	
Carrying amount in the draft financial statements of Alpha:		
Original loan amount	40,000	1/2
Costs of issuing loan	2,000	1/2 + 1/2
	42,000	
Finance income recognised in the year ended 31 March 20X4 (7% x 42,000)	2,940	1/2
Interest payment received on 31 March 20X4	(2,500)	1/2
	42,440	
Recoverable amount at 31 March 20X5 (30,000/(1·07))	(28,037)	1/2 + 1/2
So impairment equals	14,403	3 1/2
		⇒ W4

Working 6 – Other components of equity

	\$'000	
Alpha – per draft SOFP	52,200	1/2
Cost of issuing shares to acquire Beta	(2,500)	1/2
	49,700	1

Working 7 – Deferred tax

	\$'000	
Alpha + Beta (60,000 + 15,000)	75,000	1/2
Deferred tax on fair value adjustments (W1)	4,800	1/2
Deferred tax on unrealised profit adjustment (W4)	(800)	1/2
	79,000	1 1/2

2 Lease of machine

Under the principles of IFRS® 16 – *Leases* – lessees need to create a 'right of use asset' and lease liability in respect of all leased assets, other than those leased on short-term leases or on 'low value' leases. Neither exception applies here.

(explanation of principle up to) 1

The initial carrying amount of the right of use (RoU) asset and lease liability will be the present value of the lease payments not yet paid using the rate of interest implicit in the lease (8% in this case) with the RoU asset adjusted by the initial payment of \$200,000.

1/2

	Marks
This initial carrying amount of the asset will be \$862,400 (\$200,000 + (\$200,000 x 3.312 = 662,400)).	½ + 1
The RoU asset will be depreciated over the shorter of lease term and the useful life of the leased assets. In this case, this means over five years from 1 October 20X4 so the depreciation charge for the year ended 31 March 20X5 will be \$86,240 (\$862,400 x 1/5 x 6/12).	½ + 1
The RoU asset at 31 March 20X5 will have a carrying amount of \$776,160 (\$862,400 – \$86,240). This amount will be presented under non-current assets.	½ + ½
The incorrect debiting of \$200,000 to profit or loss should be corrected by debiting to the RoU asset (see above) to calculate the correct depreciation charge.	½
The lease liability will attract a finance cost of \$26,496 (\$662,400 x 8% x 6/12).	½ + 1
The lease liability at 31 March 20X5 will be \$688,896 (\$662,400 + \$26,496). \$173,504 of this amount will be presented as a current liability (\$200,000 less 6 months finance charge \$26,496), with the balance of \$515,392 being non-current.	½ + ½ + ½
	9

Purchase of property

Under the principles of IAS® 21 – <i>The Effects of Changes in Foreign Exchange Rates</i> – the property will initially be recorded using the rate of exchange in force at the date of purchase.	(principle) 1
Therefore the property will be recorded at an initial carrying amount of \$2.2 million (4.4 million crowns/2). A liability of \$2.2 million will also be recorded.	½ + ½
When the liability is settled on 30 June 20X4, a payment of \$2.5 million will be required (4.4 million crowns/1.76). This will create an exchange loss of \$300,000 which will be debited to profit or loss.	½ + ½ + ½
Under the principles of IAS 16 – <i>Property, Plant Equipment</i> – the buildings element of the property will be depreciated over its useful life of 40 years. This means that depreciation of \$33,000 (\$2.2 million x 60% x 1/40) will be required for the year ended 31 March 20X5.	½ + 1
Since the property is measured using the revaluation model, the closing carrying amount will be its fair value in crowns translated into \$ using the rate of exchange in force at the year end. In this case, the closing \$ carrying amount will be \$3 million (4.8 million crowns/1.60).	1
The valuation gain of \$833,000 (\$3 million – (\$2.2 million – \$33,000)) will be recognised in other comprehensive income under the principles of IAS 16.	1 + ½
The property will be presented as a non-current asset in the statement of financial position at its closing carrying amount of \$3 million.	½
	8

Computation of earnings per share

\$10,254,264 (W1)/81,250,000 (W2)	4 (W1) + 3½ (W2)
So EPS equals 12.6 cents.	½
	8
	25

Working 1 – Earnings for EPS purposes

	\$	
Profit as per draft financial statements	10,000,000	½
Adjustments due to exhibits 1 and 2 (where figures have been incorrectly calculated earlier in the question but appropriately used as an adjustment then marks will be awarded here under the 'own figure' rule):		
Lease rental (exhibit 1)	200,000	½
Depreciation of right of use asset (exhibit 1)	(86,240)	½
Finance cost re: right of use asset (exhibit 1)	(26,496)	½
Payment for property incorrectly charged to P/L (exhibit 2)	2,500,000	½
Exchange loss on property (exhibit 2)	(300,000)	½
Depreciation of property (exhibit 2)	(33,000)	½
Dividend paid to preference shareholders	(2,000,000)	½
Earnings for EPS purposes	<u>10,254,264</u>	<u>4</u>

Marks

Working 2 – Number for EPS purposes

70 million $\times \frac{6}{12} \times \$1.50 / \$1.40$ (W3) + 70 million $\times \frac{5}{4} \times \frac{6}{12}$
So number equals 81.25 million.

$$\begin{array}{r} \frac{1}{2} + 1\frac{1}{2} \text{ (W3)} \\ + 1 + \frac{1}{2} \\ \hline 3\frac{1}{2} \end{array}$$

Working 3 – Theoretical ex-rights price

	Number	\$	
Pre-rights	4	6.00	$\frac{1}{2}$
Rights issue	1	1.00	$\frac{1}{2}$
Post-rights	<u>5</u>	<u>7.00</u>	

So theoretical ex-rights price is \$1.40.

$$\begin{array}{r} \frac{1}{2} \\ \hline 1\frac{1}{2} \\ \hline \Rightarrow \text{W2} \end{array}$$

3 Cattle and sheep

Under the principles of IAS 41 – *Agriculture* – cattle and sheep are biological assets which are measured at fair value less costs to sell in the financial statements.

1

Under the principles of IFRS 13 – *Fair Value Measurement* – the fair value of an asset is the price which would be received to sell the asset in an orderly transaction between market participants.

1

Where more than one market exists for the asset, attempts should be made to identify the principal market for the asset. Where the principal market is identified, this market price should be used to establish fair value.

1

In the case of Omega's cattle, these should be measured with reference to market prices in Market 1. The fair value will be the **market price** in market 1 less the costs of **transporting** the cattle to market. The selling costs will be a further deduction to arrive at the IAS 41 value.

$$\frac{1}{2} + \frac{1}{2}$$

Therefore the cattle of Omega will be measured at their fair value ($300 \times (\$80 - \$4) = \$22,800$) less costs to sell ($300 \times \$2 = \600). The net measurement will be \$22,200 ($\$22,800 - \600).

1

Because the cattle will be used by Omega for more than 12 months, the cattle will be presented as a non-current biological asset in Delta's consolidated statement of financial position at 31 March 20X5.

$\frac{1}{2}$

Where it is not possible to identify a principal market for the sale of an asset, then the entity should use the most advantageous market as a means of identifying fair value.

$\frac{1}{2}$

The most advantageous market is the one in which the expected net proceeds (after deducting selling costs) are the higher.

$\frac{1}{2}$

In the case of Omega's sheep, the expected net proceeds of sale of sheep in Market 1 are \$56 ($\$61 - \$3 - \2) and the expected net proceeds of sale in Market 2 are \$55 ($\$63 - \$4 - \4). Therefore Market 1 is the most advantageous market and should be used to measure the fair value of Omega's sheep.

$$\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$$

Therefore the sheep of Omega will be measured at their fair value ($200 \times (\$61 - \$3) = \$11,600$) less costs to sell ($200 \times \$2 = \400). The net measurement will be \$11,200 ($\$11,600 - \400).

1

Because the sheep will be sold by Omega within 12 months, the sheep will be presented as a current biological asset in both Omega and Delta's statement of financial position at 31 March 20X5.

1

10

Purchase of shares

Under the principles of IFRS 9 – *Financial Instruments* – the trading portfolio would be a **financial asset** which is measured at **fair value through profit or loss** because of the **business model** for managing the financial asset.

$$\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$$

Under the principles of IFRS 13, the fair value would be measured based on the price at which Kappa could sell the shares.

1

Therefore on 1 January 20X5, the shares would be recognised in financial assets at their fair value of \$100,000 ($20,000 \times \5).

1

The difference (of **\$9,000**) between the total price paid for the shares of \$109,000 ($20,000 \times (\$5.25 + \$0.20)$) and their initially recognised fair value of \$100,000 would be a **transaction cost which would be recognised in the statement of profit or loss** for the year ended 31 March 20X5.

$$1 + 1$$

On 31 March 20X5, the shares would be re-measured at their fair value of **\$116,000** (20,000 x \$5.80). The re-measurement difference of **\$16,000** (\$116,000 – \$100,000) would be recognised in **the statement of profit or loss** for the year ended 31 March 20X5. The shares would be presented under **current assets** in the consolidated statement of financial position of Delta at 31 March 20X5.

$\frac{1}{2} + \frac{1}{2} + 1 + \frac{1}{2}$
8

Acquisition

Under the principles of IFRS 3 – *Business Combinations* – the ‘cost’ of Zeta’s factory to Delta will be its fair value at the date of acquisition.

1

Under the principles of IFRS 13, the fair value of a **non-financial asset** is based on the **highest and best use** for a potential purchaser, **irrespective** of the use to which the asset is being put by the user. Therefore the fair value (and the deemed cost to Delta) of the factory at 1 October 20X4 will be \$7.5 million.

$\frac{1}{2} + \frac{1}{2} + 1$

The buildings element of the factory will be depreciated over its **useful life**. Given that Delta will continue to use the building as a factory, rather than for administrative purposes, this will be **40 years**.

$\frac{1}{2} + 1$

Therefore the depreciation charge for the year ended 31 March 20X5 will be \$50,000 (\$4 million x $\frac{1}{40}$ x $\frac{6}{12}$).

1

The closing carrying amount of the factory will be \$7,450,000 (\$7.5 million – \$50,000). This will be shown as a non-current asset in Delta’s consolidated statement of financial position.

$1 + \frac{1}{2}$

7

25

4 Newby

Because Newby was previously owned by three private shareholders and does not operate in the banking or finance sector, it is regarded as an entity which is not **publicly accountable**.

1 + 1

In these circumstances, Newby is **permitted, but not required**, to adopt the simplified form of financial reporting set out in the IFRS for Small and Medium Sized Entities (**the IFRS for SMEs**).

1 + 1

The IFRS for SMEs restricts the recognition of assets and liabilities in certain circumstances (e.g. borrowing costs are always expensed under the IFRS for SMEs). In addition, the disclosure requirements of the IFRS for SMEs are less than for full IFRS standards.

1 + 1

Even though Newby is now part of a group which will use full IFRS in its consolidated financial statements, Newby would **still be able** to use the IFRS for SMEs in its own individual financial statements. **Adjustments** would of course be required at consolidation level to make the consolidated financial statements fully IFRS standard compliant.

$1 + 1$

8

New investment

Under the principles of IFRS 10 – *Consolidated Financial Statements* – Sandy would be a subsidiary if we were in a position to control its operating and financial policies.

1

In this case, whilst the investment is long term and substantial, it does not give us control, so consolidation is inappropriate.

1

Under the principles of IAS 28 – *Investments in Associates and Joint Ventures* – the 40% shareholding in Sandy, being **greater than 20%**, would be presumed to give us **significant influence** over the operating and financial policies of Sandy.

1 + 1

Given the fact that we are **able to appoint four of the ten members of Sandy’s board of directors**, and there is **no evidence that the other shareholders or board members are acting in concert to prevent us from exercising this influence**, then the presumption of significant influence **would** appear to be appropriate in this case.

1 + 1

Therefore IAS 28 would regard Sandy as an associate.

1

IAS 28 requires that investments in associates are measured using the **equity method**. This method **initially measures the investment at cost**, but then **adjusts the carrying amount by the investing entity’s share (40% in this case) of the post-acquisition change in net assets of the investee entity (Sandy in this case)**. This amount is **not necessarily** the same as the fair value of the investment at any given date.

$\frac{1}{2} + 1 + \frac{1}{2}$

9

Marks

Measurement change

The decision to measure raw materials inventory using the weighted average cost formula rather than the first in first out formula represents a **change in accounting policy**. This is because it represents a change in the principles under which assets are measured.

1

Under the principles of IAS 8 – *Accounting Policies, Changes in Accounting Estimates and Errors* – accounting policy changes **are** appropriate if the new policy would result in the financial statements providing **reliable and more relevant information about the effects of transactions, other events or conditions on the entity's financial position, performance of cash flows**.

$\frac{1}{2} + 1$

Under the principles of IAS 2 – *Inventories* – decisions about the more relevant measurement formula for inventories are made for categories of inventory having a similar nature and use to the entity. Raw materials inventory would be regarded as having a different nature and use to other types of inventory, **so it is theoretically appropriate that they could be measured using the weighted average cost formula whilst other types of inventory are measured using the first in first out formula**.

1 + 1

Where an entity changes its accounting policies in any financial period, comparability is ensured by **re-stating** prior year figures which are presented as comparatives. The comparatives are presented as **they would have been had the previous financial statements been presented using the new accounting policy**.

$\frac{1}{2} + 1$

The difference between the opening and closing equity as presented in the previous year's financial statements and the equivalent figures measured using the new accounting policy is shown as an adjustment to the opening equity for the current period and the opening equity in the previous period. These differences are presented in the statement of changes in equity (and its comparative) and do not affect reported profit or loss.

(exact wording
not required –
up to) 2

8

25

Statements of profit or loss and other comprehensive income for the year ended 30 September 20X5	Alpha	Beta
	\$'000	\$'000
Revenue (exhibit 3)	290,000	240,000
Cost of sales (exhibits 2-3)	-130,500	-132,000
Gross profit	159,500	108,000
Other income (exhibits 2-4)	20,000	Nil
Distribution costs	-15,000	-12,000
Administrative expenses	-55,000	-50,000
Finance costs	-30,000	-28,000
Other expenses (exhibit 4)	-1,000	Nil
Profit before tax	78,500	18,000
Income tax expense (exhibit 2)	-15,000	-4,000
Profit for the year	63,500	14,000
Other comprehensive income:		
Items which may be reclassified subsequently to profit or loss:		
Cash flow hedges (exhibit 4)	18,000	Nil
Total comprehensive income for the year	81,500	14,000

Note 1 Alpha Investment in Beta

On 1 October 20X4, Alpha made a cash payment of \$185 million to purchase 48 million of Beta's 60 million issued equity shares and gain control of Beta.

On 1 October 20X4, the net assets of Beta as shown in the individual financial statements of Beta totalled \$180 million. The fair values of Beta's identifiable assets and liabilities were the same as their carrying amounts in the individual financial statements of Beta with the exception of:

- (i) Property, plant and equipment (PPE) which had a fair value of \$18 million in excess of its carrying amount in the financial statements of Beta. On 1 October 20X4, the useful life of this PPE was six years.
- (ii) An internally developed patent relating to one of Beta's products which had a fair value of \$20 million on 1 October 20X4. On 1 October 20X4, the useful life of this internally developed patent was ten years.
- (iii) Inventory which had a fair value of \$1.5 million in excess of its carrying amount in the financial statements of Beta. All this inventory was disposed of in the year ended 30 September 20X5.

The fair value adjustments should be regarded as temporary differences for the purposes of computing deferred tax. The relevant rate of income tax to use for this purpose is 20%.

On 1 October 20X4, the directors of Alpha measured the non-controlling interest in Beta based on Alpha's proportionate share of the net assets of Beta at the date of acquisition.

On 1 July 20X5, Beta paid a dividend of \$10 million. Alpha included its share of this dividend in 'other income' in its own individual financial statements.

On 30 September 20X5, the directors of Alpha tested the goodwill on acquisition of Beta for impairment as required by IAS 36 – *Impairment of Assets*. The directors decided that Beta represented a single cash-generating unit for this purpose and that its recoverable amount at 30 September 20X5 was \$225 million.

All depreciation, amortisation and impairment charges are made to cost of sales.

Notes 2 Intra Group - Trading

Since 1 October 20X4, Alpha has been supplying Beta with a product (product X). Alpha makes a profit of 25% on the invoiced price for these supplies of product X. During the year ended 30 September 20X5, Alpha sold \$20 million of product X to Beta and invoiced Beta for this amount. At 30 September 20X5, the inventories of Beta included \$3.2 million of product X purchased from Alpha. Since 1 October 20X4, Alpha has been providing Beta with administrative services. Alpha charged Beta a total of \$6 million for these services during the year ended 30 September 20X5. Alpha recognised this amount in 'other income' and Beta recognised the amount as an administrative expense.

Note 3 Alpha Hedging Transaction

Alpha uses cash flow hedge accounting for its hedging transactions whenever the relevant criteria set out in IFRS 9 – *Financial Instruments* – are met. Alpha recognises any hedge ineffectiveness in other income or other expenses as appropriate.

On 1 September 20X5, Alpha entered into two firm commitments to purchase products from overseas suppliers in the year ended 30 September 20X6. The first commitment to purchase products was for delivery on 1 November 20X5 (Contract A) and the second for delivery on 1 December 20X5 (Contract B). Alpha entered into two separate derivative contracts to hedge the currency risk associated with these firm commitments. Both of these contracts meet the required IFRS 9 criteria to enable hedge accounting to be used. The financial statements of Alpha for the year ended 30 September 20X5 include \$18 million relating to other cash flow hedges but do not contain any amounts in respect of either the fair values of the firm future commitments or the fair values of the hedging derivatives for Contract A or B. You are given the following details concerning the fair values at 30 September 20X5:

	Commitment for delivery on:	
	1 November 20X5 (Contract A)	1 December 20X5 (Contract B)
	\$'000	\$'000
Future commitment – increase in fair value at 30 September 20X5	5,500	6,000
Derivative contract – positive fair value at 30 September 20X5	5,600	5,800

Required

Using exhibits 1 - 4, prepare the consolidated statement of profit or loss and other comprehensive income of Alpha for the year ended 30 September 20X5. Unless specifically referred to in the exhibits you should ignore deferred tax.

Note: Explanations of consolidation procedures are not required.

(25 marks)

Question 2

You are the financial controller of Gamma. You report to the finance director. One of your key roles is to prepare the draft consolidated financial statements for approval by the board. Gamma prepares consolidated financial statements to 30 September each year. Gamma has a number of subsidiaries who operate in a number of different business sectors.

The following **exhibits**, available on the left-hand side of the screen, provide information relevant to the question:

1. Disposal of subsidiary – details of a disposal during the year ended 30 September 20X5.
2. Construction of power plant – details of the power generating plant constructed during the year ended 30 September 20X5, and your discussion with the finance director of Gamma.

This information should be used to answer the question **requirements** within your chosen **response option(s)**.

Exhibit 1 Disposal of Subsidiary:

On 31 May 20X5, Gamma disposed of its 75% holding in subsidiary A for \$75 million. Gamma acquired these shares many years ago for a cash consideration of \$40 million. Subsidiary A operates in a market sector which is different from that of the rest of the Gamma group. Its disposal was the result of a strategic decision by the directors of Gamma that the group should withdraw from that particular sector.

When Gamma purchased the shares in subsidiary A, the net assets of subsidiary A had a fair value of \$48 million. None of the assets and liabilities of subsidiary A which were measured in the initial fair value exercise undertaken at the date of subsidiary A's acquisition were included in the financial statements of subsidiary A at 30 September 20X4.

When Gamma acquired its controlling interest in subsidiary A, the directors elected to measure the non-controlling interest in subsidiary A at its fair value of \$13 million at the date of acquisition. No impairment of the goodwill on acquisition of subsidiary A has ever been necessary.

On 1 October 20X4, the net assets of subsidiary A had a total carrying amount of \$62 million. During the year ended 30 September 20X5, subsidiary A made a post-tax profit of \$6.6 million. This profit accrued evenly over the year. Subsidiary A had no other comprehensive income. Subsidiary A paid a dividend of \$3.6 million on 31 March 20X5. This was the only dividend paid by subsidiary A during the year ended 30 September 20X5.

Gamma incurred an income tax liability of \$7 million on the disposal of the shares in subsidiary A.

Exhibit 2 Construction of Power Plant:

On 1 November 20X4, Gamma commenced the construction of a power plant. The total cost of constructing the power plant was \$30 million. Gamma completed the construction of the power plant on 28 February 20X5 and began to use the power plant on 31 March 20X5. The estimated useful life of the power plant is 20 years from the date it is first depreciated.

The construction of the power plant caused a certain amount of environmental damage. The directors of Gamma estimate that, should the damage be rectified at the end of the useful life of the power plant, the cost of this rectification work would be \$20 million. There are no legal requirements for such work to be carried out in the jurisdiction in which Gamma operates. However, in the past whenever Gamma has caused environmental damage by its business processes, the company has always rectified the damage, whether or not legally required to do so.

An appropriate discount rate to use in any discounting calculations is 8% per annum. Using this rate at 28 February 20X5, the present value of \$1 payable in 20 years' time is approximately 21 cents.

The finance director has discussed the preparation of the financial statements with you. He has requested you not to include any of the implications of the environmental damage in the financial statements for the year ended 30 September 20X5. He has stated that Gamma plans on paying a profit-related bonus to all employees for the year ended 30 September 20X5. He said to you, 'I feel sure you agree with me that we need to report as healthy a profit as possible to ensure our efforts are rewarded with an appropriate bonus.'

Required

(a) Using the information in exhibits 1 and 2, explain and show how the following events would be reported in the consolidated financial statements of Gamma for the year ended 30 September 20X5:

(i) Disposal of subsidiary.

(12 marks)

(ii) Construction of power plant.

(9 marks)

Note:

- Marks will be awarded for BOTH figures AND explanations.
- In this part of the question you should IGNORE the implications of your discussion with the finance director.

(b) Using the information in exhibit 2, identify and explain the ethical threats you face as a result of your discussion with the finance director. Your explanation should refer to relevant fundamental ethical principles.

(4 marks)

Question 3

Delta prepares financial statements to 30 September each year, and operates in a number of different business sectors.

The following **exhibits**, available on the left-hand side of the screen, provide information relevant to the question:

1. Sale of a machine – details of the sale of a machine with a repair and maintenance service.
2. Sale and leaseback – details of the sale and leaseback of a factory.

This information should be used to answer the question **requirement** within your chosen **response option(s)**.

Exhibit 1 Sale of Machine:

On 1 April 20X5, Delta sold a machine to a customer. The machine was manufactured by Delta in March 20X5 and then included in Delta's inventories at its cost price of \$250,000. The machine was delivered to the customer on 1 April 20X5. As well as providing the machine, Delta also agreed to provide the customer with a maintenance and repair service of the machine for three years from the date of sale. Delta regularly provides maintenance and repair services on a 'stand-alone' basis to other customers. The total price payable by the customer for both the machine and the maintenance and repair service was \$500,000. The customer paid this amount on 31 May 20X5. The normal stand-alone selling price of the machine at 1 April 20X5 was \$420,000. The normal stand-alone selling price for a three-year repair and maintenance contract for such a machine at 1 April 20X5 was \$180,000.

On 1 September 20X5, the machine developed a major fault and Delta carried out repairs on the machine during September 20X5 costing a total of \$30,000. Following these repairs, the directors of Delta reviewed the condition of the machine and estimated that:

- (i) They would need to carry out further repairs to the machine in the future.
- (ii) The total additional cost of repairs to the machine between 1 October 20X5 and the end of the three-year maintenance and service period would be \$155,000.
- (iii) These repairs would occur evenly over the remaining term of the contract.

You can ignore the time value of money when preparing your answer to exhibit 1.

(14 marks)

Exhibit 2 Sale and Lease Back

On 1 October 20X4, Delta sold a factory to company X for \$30 million, its fair value at that date. The factory was included in the property, plant and equipment of Delta at a carrying amount of \$20 million. On 1 October 20X4, Delta entered into an agreement with X to lease the factory for a ten-year period. There was no provision in the lease to extend the lease beyond this non-cancellable period. The estimated useful life of the factory on 1 October 20X4 was 30 years.

Under the terms of the lease, Delta was required to make ten annual lease payments of \$2 million, the first payment being due on 30 September 20X5. The rate of interest implicit in the lease was 8% per annum and the present value of the lease payments was \$13.42 million. The payment due on 30 September 20X5 was made on the due date.

(11 marks)

Required

Using the information in exhibits 1 and 2, explain and compute the amounts which would be recognised by Delta in its financial statements for the year ended 30 September 20X5 and state where in these financial statements they should be presented. Marks will be awarded for BOTH figures AND explanations.

Note: The mark allocations are indicated against each exhibit.

(25 marks)

Question 4

You are the financial controller of Omega, a listed entity with a number of subsidiaries. Your managing director has recently returned from a seminar which discussed a wide range of business issues. Some of these issues related to the preparation of the financial statements. The managing director has prepared a list of questions for you which have arisen as a result of her attendance at the seminar.

The following **exhibits**, available on the left-hand side of the screen, provide information relevant to the question:

1. Conceptual Framework – details of a question from the managing director relating to the Conceptual Framework for Financial Reporting.
2. Brand names – details of a question regarding the inclusion of brand names in the statement of financial position.
3. Segment reports – a query from the managing director regarding the consistency of segment reports when compared with a competitor.

This information should be used to answer the question **requirement** within the **response option** provided.

Exhibit 1 Conceptual Frame Work:

One of the presenters at the seminar I attended was explaining the work of the International Accounting Standards Board (the Board). From time to time she referred to the *Conceptual Framework for Financial Reporting*. I thought the Board set individual international financial reporting standards (IFRS Standards) to deal with specific issues of financial reporting. What is this '*Conceptual Framework*' and how does it relate to individual IFRS standards issued by the Board? I don't want a detailed description of this *Conceptual Framework* but rather a very brief overview of its content and purpose and how it fits into the overall financial reporting process.

(8 marks)

Exhibit 2 Brand Names:

One of the topics covered during the seminar was a discussion on whether brand names should be included as assets in the financial statements. I looked at our consolidated financial statements and noticed the disclosure note for intangible assets included a separate heading 'Brands'. The finance director has provided me with an analysis of this figure, and it all relates to brands acquired through the acquisition of subsidiaries. However, the Omega brand name itself was not included at all. Surely this is inconsistent – the Omega brand name is associated with well known and popular products developed by Omega. This brand name is probably as valuable as the brand names associated with the subsidiaries we've acquired in recent years. I thought financial statements had to be consistent in their treatment of items. Please explain this apparent inconsistency to me. Please also explain how brand names which are recognised on acquisition are measured and whether they should be amortised.

(11 marks)

Exhibit 3 Segment Reporting:

The seminar referred to the need for companies to provide information about the financial performance and financial position of different segments of their business in a note to their financial statements. They provided an example of the disclosures provided by a listed entity of a similar size to Omega. On returning from the seminar, I compared the segmental disclosures we had been shown with the segmental disclosures which Omega makes. The way Omega identifies and discloses segmental information was totally different from the seminar example. How can this be right – I thought financial statements needed to be prepared on a consistent basis?

I also looked at the financial statements of one of our key competitors. This competitor is an unlisted family run business which has grown very rapidly and is now not much smaller in size than the Omega group. They operate in the same economic sectors as we do. However, their financial statements make no segmental disclosures. Please explain how not applying the segmental reporting requirements is acceptable when this company is preparing the financial statements using IFRS Standards.

(6 marks)

Required

Provide answers to the questions asked by the managing director in exhibits 1 - 3. You should justify your answers with reference to relevant International Financial Reporting Standards.

Note: The mark allocations are indicated against each exhibit.

(25 marks)

Answers

		Marks
1	Consolidated statement of profit or loss and other comprehensive income of Alpha for the year ended 30 September 20X5	
	[NB: all figures below in \$'000]	
	\$'000	
Revenue (290,000 + 240,000 – 20,000)	510,000	$\frac{1}{2} + \frac{1}{2}$
Cost of sales (W1)	(253,840)	12½ (W1)
Gross profit	256,160	
Other income (W6)	6,100	2½ (W6)
Distribution costs (15,000 + 12,000)	(27,000)	$\frac{1}{2}$
Administrative expenses (55,000 + 50,000 – 6,000 (management charge))	(99,000)	$\frac{1}{2} + \frac{1}{2}$
Finance costs (30,000 + 28,000)	(58,000)	$\frac{1}{2}$
Other expenses	(1,000)	$\frac{1}{2}$
Profit before tax	77,260	
Income tax expense (W7)	(17,700)	1½ (W7)
Profit for the year	59,560	
Other comprehensive income:		
Items that may be reclassified subsequently to profit or loss:		
Cash flow hedges (W8)	29,300	1½ (W8)
Total comprehensive income for the year	88,860	
Profit for the year attributable to:		
Shareholders of Alpha (balancing figure)	57,800	$\frac{1}{2}$
Non-controlling interest (W9)	1,760	2 (W9)
	59,560	
Total comprehensive income for the year attributable to:		
Shareholders of Alpha (88,860 – 1,760)	87,100	$\frac{1}{2}$
Non-controlling interest	1,760	$\frac{1}{2}$
	88,860	25

DO NOT DOUBLE COUNT MARKS. ALL NUMBERS IN \$'000 UNLESS OTHERWISE STATED.

Working 1 – Cost of sales

	\$'000	
Alpha + Beta (130,500 + 132,000)	262,500	$\frac{1}{2}$
Intra-group purchases	(20,000)	$\frac{1}{2}$
Unrealised profit (25% x 3,200)	800	$\frac{1}{2}$
Fair value adjustments:		
Plant (18,000 x 1/6)	3,000	$\frac{1}{2}$
Patent (20,000 x 1/10)	2,000	$\frac{1}{2}$
Inventory	1,500	$\frac{1}{2}$
Impairment of goodwill (W2)	4,040	9½ (W2)
	253,840	12½

Working 2 – Impairment of Beta goodwill

	\$'000	
Net assets of Beta on 30 September 20X5 (W3)	210,400	3 (W3)
Grossed up goodwill (15,720 (W5) x 100/80)	19,650	4 (W5) + 1
	230,050	
Recoverable amount	(225,000)	$\frac{1}{2}$
So gross impairment equals	5,050	$\frac{1}{2}$
Only recognise group share (80%)	4,040	$\frac{1}{2}$
		9½
		⇒ W1

Marks

Working 3 – Net assets of Beta at 30 September 20X5

	\$'000	
Net assets of Beta per own financial statements (W4)	184,000	1½ (W4)
Closing fair value adjustments:		
Plant (18,000 x 5/6)	15,000	½
Patent (20,000 x 9/10)	18,000	½
Related deferred tax (20% x (15,000 + 18,000))	(6,600)	½
Net assets of Beta per consolidated financial statements	210,400	3
		⇒ W2

Working 4 – Net assets of Beta per own financial statements

	\$'000	
Net assets at 30 September 20X4 (given)	180,000	½
Profit for the year to 30 September 20X5 per own financial statements	14,000	½
Dividend paid during the year ended 30 September 20X5	(10,000)	½
Net assets at 30 September 20X5	184,000	1½
		⇒ W3

Working 5 – Goodwill of Beta

	\$'000	\$'000	
Cost of investment:			
Immediate cash payment		185,000	½
Non-controlling interest at the date of acquisition:			
20% x 211,600 (see below)		42,320	½ + ½
Net assets at the date of acquisition:			
As per financial statements of Beta	180,000		½
Fair value adjustments:			
PPE	18,000		½
Patent	20,000		½
Inventory	1,500		½
Related deferred tax (20% x (18,000 + 20,000 + 1,500))	(7,900)		½
		(211,600)	
		15,720	4
			⇒ W2

Working 6 – Other income

	\$'000	
Alpha + Beta	20,000	½
Dividend received by Alpha from Beta (10,000 x 80%)	(8,000)	½
Management charge from Alpha to Beta	(6,000)	½
Ineffective portion of cash flow hedge on Contract A (5,600 – 5,500)	100	1
	6,100	2½

Working 7 – Income tax expense

	\$'000	
Alpha + Beta	19,000	½
Deferred tax on fair value adjustments (20% x (3,000 + 2,000 + 1,500 (W1)))	(1,300)	1
	17,700	1½

Working 8 – Cash flow hedges

	\$'000	
Alpha – per draft financial statements	18,000	½
Gain on effective portion of hedging derivative for commitment due on:		
Contract A	5,500	½
Contract B	5,800	½
	29,300	1½

Tutorial note: The portion of the gain or loss on the derivative contract which is effective (up to the value of the loss or gain on the future commitment cash flow) is recognised in other comprehensive income (cash flow hedge reserve). Any excess which is ineffective is recognised immediately in profit or loss (other income) – Contract A (\$5,600 – \$5,500 = \$100 (W6)).

Working 9 – Non-controlling interest

	\$'000	
Profit of Beta – per draft financial statements	14,000	½
Fair value adjustments to profit before tax (3,000 + 2,000 + 1,500 (W1))	(6,500)	½
Related deferred tax (20%)	1,300	½
	<u>8,800</u>	
Non-controlling interest (20%)	<u>1,760</u>	½
		<u>2</u>

2 (a) (i) Disposal of subsidiary

Under the principles of IFRS 5 – *Non-current Assets Held for Sale and Discontinued Operations* – Subsidiary A will be regarded as a discontinued operation by the Gamma group. This is because subsidiary A is a component of the group which has been disposed of during the period and which represents a separate major line of the business for the group. Gamma is completely withdrawing from this sector.

1

IFRS 5 requires that the Gamma group discloses a **single amount** in the statement of profit or loss and other comprehensive income comprising the **post-tax profit or loss** of subsidiary A for **the period up to the date of disposal** and the **post-tax profit or loss on the disposal of subsidiary A**. This single amount is required to be **analysed in further detail** but this analysis **can be shown in the notes** to the financial statements.

3

(6 x ½ mark)

The post-tax profit or loss of subsidiary A for the year to the date of disposal will be **\$4.4 million** (\$6.6 million x 8/12). Given that subsidiary A was a **75%** subsidiary, \$1.1 million (\$4.4 million x 25%) of this amount will be attributed to the **non-controlling interests** in subsidiary A.

1 + ½ + ½

The consolidated post-tax profit on disposal will be \$16.9 million (W1).

5½ (W1)

The total amount to be shown as a discontinued operation will be \$21.3 million (\$4.4 million + \$16.9 million).

½

12

Working 1 – Profit on disposal of subsidiary A

	\$'000	
Disposal proceeds	75,000	½
Net assets at date of disposal (62,000 + 6,600 x 8/12 – 3,600)	(62,800)	½ + ½ + ½
Unimpaired goodwill at date of disposal (40,000 + 13,000 – 48,000)	(5,000)	½ + ½ + ½
Non-controlling interest at date of disposal (13,000 + 25% (62,800 – 48,000))	16,700	½ + 1
Tax payable by Gamma on the disposal	(7,000)	½
	<u>16,900</u>	<u>5½</u>

(ii) Construction of power plant

Although Gamma has **no** legal obligation to rectify the environmental damage caused by the construction of the power plant, under the principles of IAS 37 – *Provisions, Contingent Liabilities and Contingent Assets* – Gamma has a **constructive obligation** to rectify the damage. This is **because**, by its past actions, Gamma has created a valid expectation that it will do so at the end of the power plant's life.

½ + ½ + ½

Under the principles of IAS 37, the provision will be measured at the **present value** of the future expected payment. The amount will be **\$4.2 million** (\$20 million x 0.21 (W1)).

½ + 1 (W1)

As the date for payment of the liability approaches, the discount unwinds. The unwinding of the discount is shown as a finance cost in the consolidated statement of profit or loss for the year ended 30 September 20X5.

(principle) ½

The relevant finance cost in this case will be for seven months – from the date construction of the asset is complete.

(principle) ½

Therefore the finance cost for the year ended 30 September 20X5 will be \$196,000 (\$4.2 million x 8% x 7/12 (W1)).

1

The closing provision will be \$4,396,000 (\$4.2 million + \$196,000 (W1)). This will be shown as a non-current liability in the consolidated statement of financial position of Gamma as at 30 September 20X5.

½ (W1) + ½

Marks

Under the **principles** of IAS 16 – *Property, Plant and Equipment* – the initial obligation to rectify the environmental damage will be shown as part of the initial construction cost of the power plant. Therefore the total initial cost will be \$34.2 million (\$30 million + \$4.2 million (W2)).

½ + ½ (W2)

Under the principles of IAS 16, the power plant will be depreciated from the date it is ready for use, which in this case is 28 February 20X5. Therefore the depreciation charge for the year ended 30 September 20X5 will be shown as an expense in the consolidated statement of profit or loss of \$997,500 (\$34.2 million x 1/20 x 7/12 (W2)).

½ + ½ (W2)

The carrying amount of the power plant at 30 September 20X5 in the consolidated statement of financial position will be \$33,202,500 (W2) (\$34.2 million – \$997,500). This will be shown as a **non-current asset**.

½ + ½ (W2)

9

Working 1 – Provision

	\$	
PV of provision (\$20 million x 0.21)	4,200,000	1
Unwinding of discount (\$4.2 million x 8% x 7/12)	196,000	1
Closing provision at 30 September 20X5	4,396,000	½
		2½

Working 2 – Carrying amount of power plant

	\$	
Cost of construction	30,000,000	
Environmental damage provision (\$20 million x 0.21)	4,200,000	
	34,200,000	½
Depreciation (\$34,200,000 x 1/20 x 7/12)	(997,500)	½
Carrying amount at 30 September 20X5	33,202,500	½
		1½

- (b) The situation that the financial controller has been presented with means that the fundamental principles of **objectivity** (not to compromise professional judgements because of conflict of interest or undue influence) and **professional competence and due care** (acting diligently and in accordance with IFRS standards – in this case IAS 37) are under threat.

The discussion with the finance director means that the financial controller faces a **self-interest threat**. This is because the financial controller is due to receive a bonus based on the reported profit for the period. Therefore there is a potential inducement to prepare the financial statements in such a way that reported profit is maximised. Inclusion of an environmental provision would lead to a finance cost and additional depreciation, both of which would depress reported profits.

In addition to a self-interest threat, the financial controller would also face an **intimidation threat**. This is because the financial controller reports to the finance director and would therefore be accustomed to following his directives. It would be difficult to avoid doing this even if these directives were apparently in breach of fundamental ethical principles.

4

25

Note: Other relevant points re: the ethics of this situation, sensibly made, will receive credit.

3 Sale of machine

Under the principles of IFRS 15 – *Revenue from Contracts with Customers* – the sale of the machine comprises two performance obligations – the delivery of the machine and the provision of a three-year repair and maintenance service.

1

In the case of the delivery of the machine, the performance obligation is satisfied **fully on 1 April 20X5**, when the customer took **control** of the machine. Therefore **all the revenue attributable to the delivery of the machine** is recognised on that date.

½ + ½

The machine will be removed from the inventory of Delta on 1 April 20X5 and its cost (\$250,000) recognised in cost of sales.

½

Marks

In the case of the repair and maintenance service, the performance obligation is satisfied **over time** – in the **three-year period from 1 April 20X5 to 31 March 20X8**. IFRS 15 would require that this revenue is recognised over that three-year period.

1/2 + 1/2

It is clear from the total invoiced amount and the stand-alone selling prices of the two components of the transaction that the machine is being sold at a discount.

1/2

Where a bundle of goods and/or services are sold at a discount, IFRS 15 requires that, unless the discount is obviously attributable to one or more of the components of the bundle, the discount should be allocated to the components in proportion to their stand-alone selling prices.

1

Therefore the revenue from the delivery of the machine will be \$350,000 (W1) and the revenue from the maintenance and repair service will be \$150,000 (W1).

1 (W1) + 1/2 (W1)

The revenue from the delivery of the machine of \$350,000 (W1) will be recognised **in full** in the year ended 30 September 20X5.

1/2

The revenue which will be recognised in respect of the maintenance service will be \$25,000 (W2). The unrecognised revenue will be shown as a contract liability (as deferred income). \$50,000 (W2) of this liability will be a current liability and the balance of \$75,000 (W2) will be a non-current liability.

2 1/2 (W2) +
1 (explanation)

The \$30,000 cost of repairing the machine in the six months ended 30 September 20X5 will be shown as an operating cost in the year ended 30 September 20X5 (probably under cost of sales).

1/2

Since the future expected repair costs to the machine are \$155,000 and the future revenue to be recognised under the repair and maintenance service is \$125,000, then under the principles of IAS 37 – *Provisions, Contingent Liabilities and Contingent Assets* – the contract has become an **onerous** contract.

1/2 + 1/2

Under the principles of IAS 37, Delta needs to make a **provision** at 30 September 20X5 for the **net cost** of fulfilling the service. The net cost of fulfilling the service is **\$30,000** (\$155,000 – \$125,000).

1/2 + 1/2

Since the net costs of the onerous contract are expected to accrue evenly over its remaining duration, the amount of the provision which will be shown as a current liability will be **\$12,000** (\$30,000 x 12/30). The balance of **\$18,000** (\$30,000 – \$12,000) will be non-current.

1

Marks available

14

Working 1 – Allocation of revenue between machine and maintenance and repair service

	\$	Allocation of transaction price (\$500,000)	
Stand-alone fair value of machine	420,000	420/600 x \$500,000 = \$350,000	1
Stand-alone fair value of maintenance and repair service	180,000	180/600 x \$500,000 = \$150,000	1/2
Total	600,000		1 1/2

Working 2 – Recognition of revenue on repair and maintenance service

Total revenue (W1)		\$150,000	1/2
Amount recognised in the year ended 30 September 20X5	(6/36 x \$150,000)	\$25,000	1/2
Deferred income	(\$150,000 – \$25,000)	\$125,000	1/2
Current liability	(\$150,000 x 12/36)	\$50,000	1/2
Non-current liability	(balance)	\$75,000	1/2
			2 1/2

Sale and leaseback

Because the factory is being leased back for only 10 of its 30 years of remaining useful life, the transaction would be regarded as a sale under the principles of IFRS 15.

1

Under the principles of IFRS 16 – *Leases* – the factory would be de-recognised by Delta and a 'right of use asset' recognised in its place.

(principle) 1

The initial carrying amount of the right of use asset will be a proportion of the previous carrying amount of the factory. This proportion will be the ratio of the present value of the lease payments compared with the fair value of the factory at the date of sale.

(principle) 1

The initial carrying amount of the right of use asset for Delta will therefore be \$8.95 million (\$20 million x \$13.42 million/\$30 million).

1

Delta will also recognise a lease liability of \$13.42 million.

1

Marks

The net result of derecognising the factory and recognising the right of use asset and the lease liability is that Delta will recognise a profit on sale of \$5.53 million** (\$30 million + \$8.95 million – \$20 million – \$13.42 million).

1½

The right of use asset will be depreciated over the 10-year lease term, so for the year ended 30 September 20X5 Delta will charge depreciation of \$895,000 (\$8.95 million x 1/10).

½ + ½

The closing carrying amount of the right of use asset will be \$8,055,000 (\$8.95 million – \$895,000). This will be shown as a non-current asset in Delta's statement of financial position.

½ + ½

Delta will recognise a finance cost of \$1,073,600 (W3). The closing lease liability will be \$12,493,600 (W3). \$1,000,512 (W3) of this liability will be a current liability and the balance of \$11,493,088 (W3) will be non-current (W3).

2½

11

25

**Tutorial note:

An alternative method of arriving at the profit on sale to be recognised is to calculate the **amount of any gain or loss** on the sale which relates to the **rights transferred** to the buyer.

Step 1: Calculate the total gain = fair value – carrying amount = \$30 million – \$20 million = **\$10 million**

Step 2: Calculate the gain which relates to the **rights retained** = gain x present value of lease payments/fair value = \$10 million x \$13.42 million/\$30 million = \$4.47 million

Step 3: The gain relating to **rights transferred** is the balancing figure: Gain – gain on rights retained = \$10 million – \$4.47 million = \$5.53 million

So the relevant journal entry would be:

	DR \$ million	CR \$ million
Cash	30	
Right-of-use asset	8.95	
PPE		20
Lease liability		13.42
Gain on sale (to P/L)		5.53

Working 3 – Computation and split of closing lease liability

Year ended 30 September	Opening liability (PV) \$	Finance cost (8%) \$	Rental payment \$	Closing liability \$	
20X5	13,420,000	8% x 13,420,000 = 1,073,600	(2,000,000)	12,493,600	1
20X6	12,493,600	8% x 12,493,600 = 999,488	(2,000,000)	11,493,088	1

The current liability at 30 September 20X5 is \$1,000,512 (\$12,493,600 – \$11,493,088).

½

2½

4 Conceptual Framework

The *Conceptual Framework (Framework)* is a document which sets out the **objectives** and **concepts** for general purpose financial reporting. The *Framework* provides the foundations for the International Financial Reporting Standards (IFRS Standards) but it is not a standard itself.

1 + ½

These concepts are set out in a number of **distinct chapters** in the document. These chapters address issues **such as** the overall objective of general purpose financial reporting which is to provide financial information which is useful to existing and potential investors, lenders and other creditors. A further chapter details the qualitative characteristics of useful financial information. (**Other examples of chapter titles up to 1 mark would be acceptable – the question makes clear that only a general overview is needed**)

½ + 1

A key purpose of the *Framework* is to **assist the International Accounting Standards Board (the Board)** in **developing** and revising individual IFRS Standards which are based on consistent concepts. Therefore the **concepts underpinning any specific IFRS Standard should generally be consistent** with those outlined in the *Framework*.

½ + ½

The *Framework* does not override the provisions of any specific IFRS Standards. In the rare circumstances that the Board decided to issue a new or revised standard which is in conflict with the *Framework*, the Board would highlight the fact and explain the reasons for the departure in the Basis for Conclusions to the standard.

(up to) 2

A further purpose of the *Framework* is to help preparers to develop consistent accounting policies for areas which are **not covered by a IFRS Standard (e.g. cryptocurrency)** or where there is choice of accounting policy, and to **assist all parties to understand and interpret IFRS Standards**.

$\frac{1 + 1}{8}$

Brand names

A brand name is an intangible asset and so the recognition and measurement requirements are to be found in IAS 38 – *Intangible Assets*.

$\frac{1}{2}$

IAS 38 states that the recognition of brand names (and other intangible assets) in the statement of financial position depends on **how they arose**. Brand names which are **purchased** can be recognised as assets.

$\frac{1}{2} + \frac{1}{2}$

Where a brand name is purchased in an individual transaction, then the brand name can be recognised at its original purchase cost.

1

When a parent company acquires a subsidiary company, the purchase consideration needs to be allocated to the individual assets and liabilities which are to be included in the consolidated statement of financial position. Any amount of the consideration which cannot be allocated is presented as goodwill on acquisition.

(overall principle, however worded) 1

A brand name acquired as part of the acquisition of a subsidiary can be recognised as an asset in the consolidated financial statements if it is **identifiable**. This **means** that the asset is either capable of being sold separately or arises from contractual or other legal rights, regardless of whether or not these rights are transferable. This is **even if** it is not recognised in the individual financial statements of the subsidiary.

(sense of the point) $\frac{1}{2} + 1 + \frac{1}{2}$

Where a brand name associated with the acquisition of a subsidiary is regarded as identifiable, then it is initially recognised at its **fair value at the date of acquisition**.

$\frac{1}{2}$

The brand name associated with Omega itself (the parent company) is an internally developed intangible asset from the perspective of Omega.

(principle) $\frac{1}{2}$

Unless internally developed intangibles relate to the cost of developing a specific product or process, they cannot be recognised as assets because their 'cost' cannot be established reliably. This explains why brand names associated with acquired subsidiaries can be recognised in the consolidated financial statements but the Omega brand name cannot.

(sense of the point) 1 + (conclusion) $\frac{1}{2}$

Brand names which are recognised should be included as intangible assets and written off (amortised) over their estimated useful lives.

1

Where the useful lives of brand names are assessed as being **indefinite**, then **no** amortisation charge is necessary but the brand name needs to be reviewed for possible impairment at the end of **every** financial reporting period, **irrespective** of whether or not indicators of impairment are present.

$\frac{1}{2} + \frac{1}{2} + \frac{1}{2} + \frac{1}{2}$

11

Segment reports

The issue of segmental disclosures is addressed in IFRS 8 – *Operating Segments*. IFRS 8 requires that segmental disclosures are made with reference to key operating segments of the business.

(overall sense of the point) 1

IFRS 8 says that an operating segment is one which **earns revenues** and incurs expenses, whose results are regularly reviewed by the **chief operating decision maker** and for which **discrete financial information** is available.

$\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$

The term 'chief operating decision maker' is a role, not a manager with a specific title. The function is to assess performance and allocate resources. This role is often undertaken by the chief executive officer but there could be circumstances where the role is undertaken by a group of directors.

The segments which are reported are identified because:

- (i) They exceed quantitative thresholds set out in IFRS 8; and
- (ii) It will allow users of the financial statements to evaluate the nature of the business activities and the economic environment in which it operates (nature of the products, the production processes, type of customer, distribution methods, regulatory environment).

2

Given that different entities could organise themselves in different ways, the operating segments which are identified and reported could theoretically differ between apparently similar entities.

(conclusion) $\frac{1}{2}$

IFRS 8 only applies to listed entities, so a large unlisted family business would not be required to given segmental disclosures.

Marks
1
6
25

ACCA IFRS DIPLOMA JUNE 2022 Questions

1 of 4

Alpha, a parent with one subsidiary, Beta, is preparing the consolidated statement of financial position as at 31 March 20X5.

The following **exhibits**, available on the left-hand side of the screen, provide information relevant to the question:

1. Financial statements extract – an extract of the statements of financial position (SOFI) of Alpha and Beta at 31 March 20X5.
2. Alpha's investment in Beta – details of Alpha's investment in Beta which are relevant to the question.
3. Intra-group trading – details of intra-group trading .
4. Power plant – details of Alpha's construction of a power plant during the year ended 31 March 20X5.
5. Convertible loan – details of a new convertible loan taken out by Alpha on 1 April 20X4.

This information should be used to answer the question **requirement** within the **response option** provided.

1. Financial statements extract

Statements of financial position of Alpha and Beta at 31 March 20X5

	Alpha \$'000	Beta \$'000
Assets		
Non-current assets		
Property, plant and equipment (Exhibits 2 and 4)	380,000	185,000
Investments in equity instruments (Exhibit 2)	<u>170,000</u>	<u>nil</u>
	550,000	185,000
Current assets		
Inventories (Exhibit 3)	90,000	65,000
Trade receivables	100,000	50,000
Cash and cash equivalents	<u>35,000</u>	<u>20,000</u>
	225,000	135,000
Total assets	<u>775,000</u>	<u>320,000</u>
EQUITY AND LIABILITIES		
Share capital (\$1 shares)	200,000	100,000
Retained earnings	160,000	80,000
Other components of equity	<u>70,000</u>	<u>20,000</u>
Total equity	<u>430,000</u>	<u>200,000</u>
Non-current liabilities		
Long-term borrowings (Exhibits 4 and 5)	200,000	20,000
Deferred tax	<u>20,000</u>	<u>10,000</u>
Total non-current liabilities	220,000	30,000
Current liabilities		
Trade and other payables	85,000	60,000
Current tax payable	<u>40,000</u>	<u>30,000</u>
Total current liabilities	<u>125,000</u>	<u>90,000</u>
Total liabilities	<u>345,000</u>	<u>120,000</u>
Total equity and liabilities	<u>775,000</u>	<u>320,000</u>

2. Alpha's investment in Beta

On 1 April 20X3, Alpha acquired 80 million shares in Beta and gained control of Beta. Alpha made a cash payment of \$160 million to the former shareholders of Beta on 1 April 20X3. Alpha incurred acquisition costs of \$10 million and has presented the total costs of \$170 million as investments in equity instruments.

A condition of the purchase agreement was that Alpha would make a further cash payment of \$66.55 million to the former shareholders of Beta on 31 March 20X6. Alpha has not made any entries in its own financial statements in respect of this deferred payment. A suitable discount rate to use, where relevant, is 10% per annum. Using this rate, the present value of \$1 payable in three years' time is approximately 75.132 cents.

On 1 April 20X3, Beta had retained earnings of \$60 million and other components of equity of \$20 million.

On 1 April 20X3, the fair values of Beta's identifiable assets and liabilities were the same as their carrying amounts in the individual financial statements of Beta with the exception of property, plant and equipment which had a carrying amount of \$160 million and a fair value of \$190 million. On 1 April 20X3, the useful life of this property, plant and equipment was five years. The fair value adjustments should be regarded as temporary differences for the purposes of computing deferred tax. The relevant rate of income tax to use for this purpose is 20%.

The directors of Alpha measured the non-controlling interest in Beta on 1 April 20X3 at its proportionate share of the net assets at that date. There has been no goodwill impairment since the date of acquisition.

3. Intra-group trading

Since 1 April 20X3, Alpha has been supplying Beta with a product. Alpha applies a mark-up of 20% to its production cost when establishing an invoiced price for sales of the product to Beta. On 31 March 20X5, the inventories of Beta included \$24 million in respect of these purchases.

There were no intra-group balances outstanding at 31 March 20X5.

4. Power plant

On 1 August 20X4, Alpha began to construct a power plant. The construction cost was \$60 million and the construction was completed on 30 November 20X4. The plant was available for use from that date. Following a formal opening ceremony, the plant was brought into use on 1 January 20X5. Alpha estimated that the useful life of the plant was ten years.

On 1 July 20X4, Alpha borrowed \$60 million to finance the construction of the power plant. The interest payable on this borrowing was 8% per annum, payable in arrears on 30 June each year.

On 31 March 20X5, the property, plant and equipment of Alpha incorrectly included \$62.01 million in respect of the power plant, made up as follows:

	\$'000
Cost of constructing power plant	60,000
Finance cost of loan taken out to finance construction of the power plant	
(\$60 million x 8% x 9/12)	<u>3,600</u>
	63,600
Depreciation from 1 January 20X5 (63,600 x 1/10 x 3/12)	<u>(1,590)</u>
	<u>62,010</u>

5. Convertible loan

On 1 April 20X4, Alpha borrowed \$80 million. The interest payable on this borrowing is 5% per annum, payable in arrears on 31 March each year. Alpha recorded the first interest payment of \$4 million on 31 March 20X5 as a finance cost and included \$80 million in respect of this borrowing in its long-term borrowings at 31 March 20X5.

The principal sum of \$80 million (together with any accrued interest due) is repayable on 31 March 20X9. The lenders have the option to receive equity shares in Alpha at 31 March 20X9 as an alternative to receiving repayment of the principal amount. If this option were not available, then the lenders would have required annual interest at a rate of 7% per annum.

Present value factors which may be relevant are as follows:

	5%	7%
Present value of \$1 payable in five years	78.4 cents	71.3 cents
Cumulative present value of \$1 payable at the end of years 1–5	\$4.329	\$4.10

Requirement (25 marks)

Using the information in exhibits 1-5, prepare the consolidated statement of financial position of Alpha at 31 March 20X5. Unless specifically referred to in the exhibits you should ignore deferred tax.

Notes: Explanations of consolidation procedures are not required.

(25 marks)

2 of 4

Gamma prepares financial statements to 31 March each year. You are a trainee accountant employed by Gamma and report to the finance director (FD) of Gamma. One of your key responsibilities is to prepare the first draft of Gamma's published financial statements. You have recently received an email from the FD regarding the financial statements for the year ended 31 March 20X5 but are unsure how to respond. You would like to ask the advice and assistance of a friend who is a fully ACCA qualified accountant with more technical knowledge, but they are not employed by Gamma.

The following exhibits, available on the left-hand side of the screen, provide information relevant to the question:

1. Email – an email from the director.
2. Attachment 1 to the email – provides details relating to shares granted to ten of Gamma's executives.
3. Attachment 2 to the email – details the revaluation of property.

This information should be used to answer the question requirements within your chosen response option(s).

1. Email

To: Trainee accountant
From: Finance director
Subject: Potential bonuses dependent on performance
Date: 5 April 20X5

It is very important that the upcoming set of financial results of Gamma show a favourable financial performance and position. If the results are good, then potentially there are big bonuses available for all staff, including you! There are a couple of complex transactions which have occurred in the year ended 31 March 20X5 which you may be unsure how to deal with in your preparation of the draft financial statements. They are set out in the two attachments to this email. I have also included the way in which I would like you to deal with them in your draft. I have tried to identify treatments which will show Gamma in as favourable a position as possible.

2. Attachment 1 to the email

On 1 April 20X4, we granted ten of our senior executives 12,000 shares each in Gamma. These shares will vest on 31 March 20X7 provided the executives remain employed by Gamma until then. One of these executives is likely to retire in the next couple of years but the other nine are almost certain to stay employed until at least 31 March 20X7. The shares will be issued on 31 March 20X7. As an alternative to receiving the 12,000 shares, each executive could, on 31 March 20X7, receive a cash payment equal to the value of 10,000 shares on that date. The market price of Gamma shares on 1 April 20X4 was \$10 per share and this has increased to \$12 by 31 March 20X5. My finance specialists tell me that the fair value of the share alternative was \$9 on 1 April 20X4, increasing to \$9.50 by 31 March 20X5.

Do not worry about all this detail as although we have given them the choice, the executives are almost certain to take up the shares rather than the cash, so all we need to do is to recognise the share issue when it happens on 31 March 20X7. Therefore, you do not have to include this in the financial statements until then

(10 marks)

3. Attachment 2 to the email

I want to measure Gamma's property at its market value from the start of the year (1 April 20X4). Gamma has not used the revaluation model before. The property was previously recognised in the financial statements on 1 April 20X4 at its carrying amount of \$20 million. \$10 million of this amount relates to the land element of the property and \$10 million to the buildings element. A report from a qualified surveyor has indicated that its market value on 1 April 20X4 was \$30 million. The report said that \$12 million of this value was attributed to the land element and \$18 million to the buildings element. The profit on revaluation will improve our reported pre-tax profit and provide a nice improvement to financial performance this year. It is likely the company will use this property for 20 more years from 1 April 20X4 but do not worry about accounting for depreciation – future increases in value of the property will be more than enough to cancel depreciation out.

If we sold the property, we would have to pay tax at 25% on any profit made. The tax department has informed me that the tax base of the property on 1 April 20X4 was nil because the property qualified for very favourable tax treatment when purchased. You need not worry about any of this though; we have no immediate intention of disposing of this property, so we can leave tax considerations related to the revaluation until later.

(10 marks)

Requirement (25 marks)

(a) Using the information in exhibits 2 and 3, explain and show how the transactions described should be accounted for in the financial statements of Gamma for the year ended 31 March 20X5. Your answer to (a) should NOT include discussion of any ethical issues.

(20 marks)

Notes:

- The mark allocations are indicated in each exhibit.
- Marks will be awarded for BOTH figures AND explanations.

(b) Using the information in exhibit 1, explain THREE ethical issues confronting you as a result of the email from the finance director and the associated attachments and whether you should ask for assistance from your fully ACCA qualified friend who is not employed by Gamma.

(5 marks)

Delta prepares financial statements to 31 March each year.

The following **exhibits**, available on the left-hand side of the screen, provide information relevant to the question:

1. Post-employment benefits – provides details of benefits for existing and previous employees.
2. Sale of goods – provides details of the sale of goods with a right of return.

This information should be used to answer the question **requirements** within your chosen **response option(s)**.

1. Post-employment benefits

Delta has provided two types of post-employment benefit plans for its employees (members). Both plans are administered by separate legal entities.

Plan A provides the benefits for the majority of the employees of Delta. The contributions paid into Plan A are invested to produce appropriate growth in the value of the plan. The ultimate level of post-employment benefits receivable by members of this plan depends on the level of contributions made and the returns received on the investment of those contributions.

Membership of plan B is restricted to the directors and other senior employees of Delta. The contributions paid into Plan B are invested to make optimal returns. However, post-employment benefits payable to Plan B members are based on the salary of the relevant employee at the date of their retirement and their length of service with Delta.

Relevant details of the two plans for the year ended 31 March 20X5 are as follows:

Plan A

	\$'000
Contributions payable by Delta to the plan for the year	45,000
Benefits paid to ex-employees in the year	30,000
Fair value of plan assets at 1 April 20X4	240,000
Fair value of plan assets at 31 March 20X5	275,000
Current service cost – year ended 31 March 20X5	42,000

Plan B

	\$'000
Contributions payable by Delta to the plan for the year	15,000
Benefits paid to ex-employees in the year	9,000
Present value of obligation to pay future benefits as at 1 April 20X4	190,000
Present value of obligation to pay future benefits as at 31 March 20X5	220,000
Fair value of plan assets at 1 April 20X4	140,000
Fair value of plan assets at 31 March 20X5	165,000
Current service cost – year ended 31 March 20X5	14,000

Details relevant to both plans are:

– Contributions into the plans and also benefits payable by the plans are paid evenly on a **monthly** basis across the year ended 31 March 20X5.

– Where required, a relevant discount rate to apply to any calculations is 8% per annum.

(14 marks)

2. Sales of goods

On 1 March 20X5, Delta sold and delivered 200 identical items to a customer for \$5,000 each. The items cost Delta \$3,000 each to manufacture. The terms of sale are that the customer has the right to return the goods within two months and will receive a full refund. After the two-month period has expired, the customer can no longer return the items and payment for all items becomes immediately due. Delta has entered into transactions of this type with this customer previously and can reliably estimate that 5% of the products are likely to be returned within the two-month period. During March 20X5, the customer returned six of the items. No change was necessary to the original estimate of the total number of goods which would be returned by the customer in the two-month period from 1 March 20X5 to 30 April 20X5.

(11 marks)

Requirement (25 marks)

Using the information in exhibits 1 and 2, explain and show how the transactions described there should be accounted for and reported in the financial statements of Delta for the year ended 31 March 20X5.

Notes:

- The mark allocations are indicated in each exhibit.
- Marks will be awarded for BOTH figures AND explanations.

(25 marks)

4 of 4

You are the financial controller of Omega, a listed entity. One of Omega's directors has raised some queries regarding the preparation of the consolidated financial statements of Omega for the year ended 31 March 20X5.

The following exhibits, available on the left-hand side of the screen, provide information relevant to the question:

1. Acquisition of subsidiary – three queries relating to the acquisition of a controlling interest in NewSub on 30 September 20X4.
2. Financial statements – two queries specifically on the consolidated statement of profit or loss and other comprehensive income.

This information should be used to answer the question **requirement** within the **response option provided**.

1. Acquisition of subsidiary

As you know, we acquired a controlling interest in NewSub on 30 September 20X4. NewSub is currently unlisted and has two separate business segments which will complement the activities of our existing group very well. I have been examining the most recent published financial statements of NewSub which are prepared using full IFRS Standards. There are a few things that I do not understand about these financial statements and I would appreciate your help.

Query 1

The most recent published financial statements of NewSub are for the year ended 31 December 20X4. Given that the Omega group year end is 31 March, this seems to pose a problem when preparing the consolidated financial statements. How do we incorporate the NewSub results given that they are prepared to a different year-end date? Could we require NewSub to change its year end, given we now control the company?

Query 2

A key reason for my reviewing NewSub's published financial statements was to find out how revenues and profits are split between its two business segments. I have found the segmental reports which we include in our consolidated financial statements very useful when considering the performance of the business segments of our existing group. However, when I examined the financial statements of NewSub, I found none of the segment disclosures that I see when I review the consolidated financial statements of Omega. How can NewSub's financial statements be in accordance with full IFRS Standards without this information? Does NewSub's lack of segmental reporting mean we can ignore segmental reporting for NewSub in our consolidated financial statements for the year ended 31 March 20X5?

Query 3

I have noticed that NewSub has some investment properties. A note to NewSub's financial statements states that these properties are measured using the cost model. I believe that the Omega group policy is to measure investment properties using the fair value model. This is in line with full IFRS Standards, so the NewSub policy must be wrong. On that basis, how should we deal with the investment properties of NewSub in the consolidated financial statements of Omega? Now that we control NewSub, should we require NewSub to change its accounting policy in its own individual financial statements?

(17 marks)

2. Financial statements

I thought it would be useful for me to review the consolidated financial statements of Omega for the year ended 31 March 20X4 to help me to assess those prepared for the year ended 31 March 20X5. I also looked at the financial statements of one of our key competitors, Rival. I have the following questions concerning the statements of profit or loss and other comprehensive income of Omega and Rival.

Query 1

I can see similarities between the statements for Omega and Rival. Both show revenue, finance costs, profit before tax, and income tax expense on the face of the statement. However, many of the other line items in the statements seem to be totally different. In particular, the classification of operating expenses into various categories in the Omega statement is completely different from the classification in the Rival statement. How can this be when both statements are allegedly prepared in accordance with full IFRS Standards?

Query 2

I am not clear how you decide which items are shown in the 'profit or loss' section and which are shown in the 'other comprehensive income' section. Are entities allowed a free choice in this matter and would it change how performance might be assessed?

(8 marks)

Requirement (25 marks)

Provide answers to the queries raised by one of Omega's directors detailed in exhibits 1 and 2, relating to the consolidated financial statements for the year ended 31 March 20X5.

Note: The mark allocations are indicated in each exhibit.

(25 marks)

Answers

1 Consolidated statement of financial position of Alpha at 31 March 20X5

[Note: all figures below in \$'000]

	\$'000
Assets	
Non-current assets	
Property, plant and equipment (380,000 + 185,000 + 18,000 (W1) – 2,463 (W5))	580,537
Goodwill (W2)	46,800
	<u>627,337</u>
Current assets	
Inventories (90,000 + 65,000 – 4,000 (W4))	151,000
Trade receivables (100,000 + 50,000)	150,000
Cash and cash equivalents (35,000 + 20,000)	55,000
	<u>356,000</u>
Total assets	<u><u>983,337</u></u>
Equity and liabilities	
Equity attributable to equity holders of the parent	
Share capital (\$1 shares)	200,000
Retained earnings (W4)	140,216
Other components of equity (W8)	76,560
	<u>416,776</u>
Non-controlling interest (W3)	42,880
Total equity	<u>459,656</u>
Non-current liabilities	
Long-term borrowings (200,000 + 20,000 – 5,419 (W6))	214,581
Deferred tax (20,000 + 10,000 + 3,600 (W1))	33,600
Total non-current liabilities	<u>248,181</u>
Current liabilities	
Trade and other payables (85,000 + 60,000)	145,000
Current tax payable (40,000 + 30,000)	70,000
Deferred consideration payable to former shareholders of Beta (W7)	60,500
Total current liabilities	<u>275,500</u>
Total liabilities	<u>523,681</u>
Total equity and liabilities	<u><u>983,337</u></u>

Working 1 – Net assets table for Beta

	1 April 20X3 \$'000	31 March 20X5 \$'000
Share capital	100,000	100,000
Retained earnings:		
Per financial statements of Beta	60,000	80,000
Fair value adjustment to PPE (post-acquisition additional depreciation = 30,000 x 2/5 = 12,000)	30,000	18,000
Deferred tax on fair value adjustment	(6,000)	(3,600)
Other components of equity	20,000	20,000
Net assets for the consolidation	<u>204,000</u>	<u>214,400</u>

Post-acquisition increase in net assets (214,400 – 204,000) = 10,400

Working 2 – Goodwill on acquisition of Beta

	\$'000
Cash cost of shares purchased	160,000
Deferred consideration (66,500 x 0.75132)	50,000
Non-controlling interest at date of acquisition (204,000 (W1) x 20%)	40,800
Net assets at date of acquisition (W1)	<u>(204,000)</u>
Goodwill on acquisition equals	<u>46,800</u>

Working 3 – Non-controlling interest in Beta

	\$'000
At date of acquisition (W2)	40,800
20% of post-acquisition increase in net assets (20% x 10,400 (W1))	2,080
	<u>42,880</u>

Working 4 – Retained earnings

	\$'000
Alpha – per draft SOFP	160,000
Adjustment to carrying amount of PPE (W5)	(2,463)
Adjustment to finance cost of convertible loan (5,141 (W6) – 4,000)	(1,141)
Acquisition costs	(10,000)
Finance costs of deferred consideration on acquisition of Beta (5,000 + 5,500 (W7))	(10,500)
80% of post-acquisition share of Beta' profits (80% x 10,400 (W1))	8,320
Unrealised profit on sales to Beta (20/120 x 24,000)	(4,000)
	<u>140,216</u>

Working 5 – Adjustment to carrying amount of PPE

	\$'000
Construction cost	60,000
Finance cost eligible for capitalisation (60,000 x 8% x 4/12)	1,600
	<u>61,600</u>
Depreciation (61,600 x 1/10 x 4/12)	(2,053)
Correct carrying amount	59,547
Carrying amount per draft financial statements of Alpha	(62,010)
Adjustment to carrying amount equals	<u>(2,463)</u>

Working 6 – Adjustment to carrying amount of convertible loan

	\$'000
Carrying amount on 1 April 20X4 (4,000 x 4·10 + 80,000 x 0·713)	73,440
Finance cost for year ended 31 March 20X5 (73,440 x 7%)	5,141
Cash interest paid on 31 March 20X5	(4,000)
	<u>74,581</u>
Carrying amount on 31 March 20X5	(80,000)
Adjustment to carrying amount equals	<u>(5,419)</u>

Working 7 – Deferred consideration payable to former shareholders of Beta

	\$'000
At 1 April 20X3 (W2)	50,000
Finance cost for year ended 31 March 20X4 (50,000 x 10%)	5,000
	<u>55,000</u>
Finance cost for year ended 31 March 20X5 (55,000 x 10%)	5,500
At 31 March 20X5	<u>60,500</u>

Working 8 – Other components of equity

	\$'000
Alpha – per draft SOFP	70,000
Equity component of convertible loan (80,000 – 73,440 (W6))	6,560
	<u>76,560</u>

2 Attachment 1 to email

The relevant standard is IFRS 2 – *Share-based Payment*. Under IFRS 2, the offer of shares to senior executives is a share-based payment transaction which must be recognised in the financial statements (*principle*).

This particular transaction (a share-based payment transaction with a cash alternative) is treated partly as an equity settled share-based payment transaction and partly a cash settled one (*principle*).

The fair value of the equity settled element at the grant date is computed by deducting the fair value of the cash alternative at the grant date from the overall fair value of the offer of the shares with the cash alternative (*exact words not necessary – principle*). This is because the executives (counterparty) and not the entity have the choice as to whether to take the shares or cash.

The fair value of the equity settled part of the transaction is \$72,000 [$12,000 \times \9 (the fair value of the overall share offer) $\times 9$ executives $- 10,000 \times \$10$ (the fair value of the cash alternative) $\times 9$].

The equity settled part of the arrangement is recognised as a remuneration expense over the three-year vesting period based on its fair value at the grant date and the number of shares which are actually expected to vest (*principle*).

Therefore the amount which is recognised in the year ended 31 March 20X5 is \$24,000 ($\$72,000 \times 1/3$).

The corresponding credit entry in the statement of financial position is to other components of equity and will not be re-measured.

The remuneration expense associated with the liability component of the arrangement is also recognised over the vesting period and based on the number of shares which are actually expected to be issued on vesting. However, the expense is measured based on the fair value of the liability component at the reporting date (*principle*).

Therefore the total amount which is recognised in profit or loss as a remuneration expense in the year ended 31 March 20X5 is $\$384,000 = ((9 \times 10,000 \times \$12 \times 1/3) = \$360,000 + \$24,000$ [above]).

The corresponding credit entry of \$360,000 in the statement of financial position is to non-current liabilities.

Tutorial note: Candidates may present as a journal:

DR Profit or loss – Remuneration expense	\$384,000	
CR Non-current liability		\$360,000
CR Other components of equity		\$24,000

Attachment 2 to email

The relevant standard is IAS 16 – *Property, Plant and Equipment* (PPE). Where PPE is revalued and the revaluation shows a surplus, then, unless the surplus is eliminating a previous revaluation deficit on the same asset, the surplus is recognised in other comprehensive income rather than profit or loss (*principle*).

Since this is a first time revaluation, then a surplus of \$10 million (\$30 million – \$20 million) will be recognised in other comprehensive income.

Regardless of future potential increases in value, assets which are revalued still need to be depreciated over their estimated future useful lives (*principle*).

Land generally has an indefinite life, so only the buildings element of the property needs to be depreciated (*principle*).

This means that the depreciation charge on the property for the year ended 31 March 20X5 will be \$0.9 million ($\$18 \text{ million} \times 1/20$). \$0.9 million will be charged as an expense in the statement of profit or loss.

The carrying amount of the property at 31 March 20X5 will be \$29.1 million ($\$30 \text{ million} - \0.9 million). This will be presented as part of non-current assets in the statement of financial position.

Under the principles of IAS 12 – *Income Taxes* – a deferred tax liability must be recognised on the revaluation of an asset even if there is no intention to dispose of the asset (*principle*).

IAS 12 requires that a deferred tax liability be recognised on the difference between the carrying amount of an asset and its tax base (*principle*).

So for this property, the deferred tax liability prior to its revaluation will be \$5 million ($25\% \times \$20 \text{ million} (- \$0 \text{ tax base})$).

After the revaluation, the deferred tax liability will increase to \$7.5 million ($25\% \times \$30 \text{ million} (- \$0 \text{ tax base})$).

The increase of \$2.5 million following the revaluation will be debited to other comprehensive income.

The net credit to other comprehensive income as a result of the revaluation will be \$7.5 million ($\$10 \text{ million} - \2.5 million). This net credit will be recognised as a revaluation surplus in the statement of financial position as part of 'other components of equity'.

The deferred tax liability on 31 March 20X5 will be \$7.275 million ($\$29.1 \text{ million} \times 25\%$). This will be presented as a non-current liability in the statement of financial position.

The reduction in the deferred tax liability between 1 April 20X4 and 31 March 20X5 will be \$0.225 million ($\$7.5 \text{ million} - \7.275 million). This will be shown as a credit to the income tax expense in the statement of profit or loss.

Tutorial note: Some candidates may mention the option given in IAS 16 for entities which measure PPE using the revaluation model to make a transfer between the revaluation surplus and retained earnings. This transfer is based on the difference between depreciation actually charged on the revalued asset – in this case \$0.9 million – and the depreciation which would have been

charged had the asset continued to be measured at historical cost. This amount would have been \$0.5 million (\$10 million x 1/20), so the gross transfer for the year ended 31 March 20X5 would have been \$0.4 million (\$0.9 million – \$0.5 million). Where deferred tax is taken into consideration, the transfer is made net of attributable taxation. The accounting entry in this case would be:

	\$m	\$m
Credit retained earnings (\$0.4 million x (100 – 25)%)		0.30
Debit revaluation reserve	0.30	

Candidates who take this approach will be awarded a maximum of 3 additional marks (but the total for attachment 2 cannot exceed 10 marks).

Email from finance director (FD)

You are in danger of breaching the fundamental ethical principle of objectivity. You have a personal interest in reporting a favourable profit because of the possibility of a profit related bonus.

You also may be breaching the fundamental ethical principle of professional competence. As only part qualified and only part-way through a training programme, you may well not be competent enough to make a decision on the complex transactions outlined by the FD.

You are also breaching the fundamental ethical principle of integrity. It is at least possible that the FD is deliberately seeking to falsify the financial statements. If you are complicit and comply with the instructions of the FD, then there is a danger that this principle will be breached.

It is not appropriate to reveal the detail in the attachments to that email to a friend who is not employed by Gamma. This clearly breaches the fundamental ethical principle of confidentiality.

3 Exhibit 1 – Post-employment benefit plans

The relevant standard to apply here is IAS 19 – *Employee Benefits*. Since the benefits payable to plan A members are dependent on the value of the investment fund, plan A is a defined contribution plan.

This means that the liability of Delta is limited to the payment of contributions into the plan. Delta has no responsibility for the adequacy of the plan or payments to the former employees.

Therefore the contributions payable by Delta for the period of **\$45 million** will be shown as an **employment expense in the statement of profit or loss**. The current service cost is irrelevant to the financial reporting of amounts relating to a defined contribution plan.

The benefits paid to the former employees are paid by the plan and so are not relevant to Delta. Neither is the fair value of the plan assets.

Since the benefits payable to plan B members are based on final salary and length of service of the relevant employee, plan B is a defined benefit plan.

This means that the difference between the present value of the obligation (the liability of the plan to pay future benefits) and the fair value of the plan assets is reflected in the statement of financial position of Delta as a net liability or a net asset (*principle*).

Therefore the statement of financial position of Delta will record a net liability of **\$55 million** (\$220 million – \$165 million) at 31 March 20X5. This will be shown as a **non-current liability**.

Since there is no guarantee that the contributions payable to the plan will be sufficient to fund the benefits, it is the current service cost which is shown as an operating expense in the statement of profit or loss (*principle*). In this case, the relevant expense is **\$14 million**.

Since, for plan B, Delta has a constructive obligation to fund any deficits, it is appropriate to recognise a net interest cost in the statement of profit or loss. This is the net of the interest cost on the liability and the interest income on the assets (*principle – just sense of the point rather than the exact words*).

In this case, the net interest cost would be \$3.4 million (\$14.84 million (W1) – 11.44 million (W1)).

The benefits paid to the former employees are paid by the plan and so are not relevant to Delta.

The liability of the plan to pay future benefits is an estimate which is usually computed with reference to actuarial advice. This means that there will almost always be a difference between the net closing liability/asset after accounting for the other movements recognised in the financial statements and the actuarial valuations at the year end of the plan assets and liability (*principle – just sense of the point rather than the exact words*).

This difference is referred to in IAS 19 as an **actuarial gain or loss** and is recognised in **other comprehensive income**.

In this case, the actuarial loss is \$2.6 million (W2).

Working 1 – Net interest cost – plan B

	Asset \$'000	Liability \$'000
Opening balance	140,000	(190,000)
6/12 of the contributions of \$15,000 to plan in the period (increasing the asset)	7,500	
6/12 of the benefits of \$9,000 paid to employees in the period (reducing both the asset and the liability)	(4,500)	4,500
Average carrying amount of asset and liability in the period	143,000	(185,500)
Interest at 8%	11,440	(14,840)

Working 2 – Actuarial gain or loss – plan B

NB numbers below in \$'000

	\$'000
Opening net liability (190,000 – 140,000)	(50,000)
Current service cost	(14,000)
Net interest cost (W1 (14,840) less 11,440) – NB: OF rule applies here	(3,400)
Contributions payable by Delta into plan	15,000
Actuarial (loss)/gain – balancing figure	(2,600)
Closing net liability (220,000 – 165,000)	(55,000)

Exhibit 2 – Sale of goods with right of return

The relevant standard to apply here is IFRS 15 – *Revenue from Contracts with Customers*.

In order to determine the amount and timing of the revenue to be recognised, Delta needs to identify the contract with the customer and to identify the performance obligations for Delta contained in the contract. In this case, the contract, and the performance obligation, is to supply the items to the customer (*sense of the point*).

Delta then needs to determine the transaction price. Where the contract gives the customer a right of return, then the transaction price contains a variable element (*principle*).

Since the variable element can be reliably measured, then it is taken into account in measuring the transaction price (*principle*). This means that the transaction price is \$950,000 (200 x \$5,000 x 95%).

The transaction price needs to be allocated to the separate performance obligations in the contract. Where there is only one performance obligation, this is a straightforward matter (*sense of the point*).

Delta then needs to recognise the revenue as the performance obligation is satisfied. Since the performance obligation is to supply the items to the customer, then the revenue is recognised in full on 1 March 20X5 when the items are delivered (*sense of the point*). The revenue recognised on this date is \$950,000.

On 1 March 20X5, \$1 million (200 x \$5,000) will be recognised as a trade receivable.

\$50,000 (\$1 million – \$950,000) will be recognised as a refund liability. This will be a current liability.

The **total** cost of the goods sold is \$600,000 (200 x \$3,000). This amount will be removed from inventory on 1 March 20X5.

Only \$570,000 (200 x \$3,000 x 95%) of the above amount will be recognised in cost of sales. The other \$30,000 (\$600,000 – \$570,000) will be shown as a right of return asset under current assets.

The return of the six items during March 20X5 does not affect the initial recognition of revenue or cost of sales since the original estimate of the total returns is still considered valid (*principle*).

The sales value of the goods returned of \$30,000 (6 x \$5,000) will be credited to trade receivables and debited to the refund liability (*principle*).

This means that the closing balance of trade receivables will be \$970,000 (\$1 million – \$30,000) and the closing refund liability will be \$20,000 (\$50,000 – \$30,000).

The inventory value of the goods returned of \$18,000 (6 x \$3,000) will be debited to inventory and credited to the right of return asset (*principle*).

The closing balance of the right of return asset will be \$12,000 (\$30,000 – \$18,000).

4 Exhibit 1

Query 1

IFRS 10 – *Consolidated Financial Statements* – deals with the procedures to be followed when preparing such statements (*principle*).

IFRS 10 states that the financial information relating to any subsidiary entity should normally be prepared to the same reporting date as the reporting date of the parent entity (*principle*).

Where a subsidiary has a reporting date which differs from that of the parent, then it is normally necessary to prepare additional financial information relating to that subsidiary as of the same date as the reporting date of the parent (*principle*).

If this is not practicable, then IFRS 10 allows the parent to prepare consolidated financial statements which incorporate financial information for the subsidiary drawn up to the most recent reporting date of the subsidiary (*principle*).

In such circumstances, IFRS 10 requires adjustments to be made for 'significant' transactions which occur between the reporting date of the subsidiary and the reporting date of the parent (*principle*).

The above facility is only possible where the reporting dates of the subsidiary and the parent differ by three months or less (*principle*).

Therefore it would be possible to use the financial statements of NewSub for the year ended 31 December 20X4 to prepare the consolidated financial statements of Omega for the year ended 31 March 20X5 (*conclusion*).

There is no requirement for NewSub to change its year end following its acquisition by Omega but this might make the consolidation process more straightforward in the future (*sense of the point*).

Query 2

Segmental disclosures are required by IFRS 8 – *Operating Segments*.

IFRS 8 only applies to listed entities, so it is not necessary for NewSub to give such disclosures in its own individual financial statements.

Given that NewSub is now part of the Omega group, then disclosures relating to its operating segments would be required in theory in the consolidated financial statements of Omega.

In practice, the operating segments of NewSub would need to meet the criteria for them to be reportable in the consolidated financial statements of Omega (*sense of the point*).

These criteria are that the operating segments would be regularly reviewed by the Omega group management (chief operating decision maker) and they are material in the context of the Omega group.

In this context, 'material' means that the reported revenues, profits or assets of the segment are 10% or more of the combined reported revenues, profits or assets of all of the operating segments of the Omega group, i.e. exceeds the quantitative thresholds in IFRS 8.

Notwithstanding the quantitative thresholds, however, IFRS 8 permits entities to disclose information about operating segments if, in the judgement of management, such information would be useful to users.

Query 3

Accounting for investment properties is set out in IAS 40 – *Investment Property*.

IAS 40 states that investment properties are initially accounted for at cost (*principle*).

IAS 40 allows an accounting policy choice for subsequent measurement of investment properties.

IAS 40 allows either the cost model or the fair value model but requires a consistent choice of measurement model for all investment property.

On the date when Omega acquires NewSub, the 'cost' of NewSub's investment properties from the perspective of the consolidated financial statements would be their fair value at the date of acquisition of NewSub.

This means that, for the purposes of the Omega group consolidation, NewSub's investment properties will need to be measured using the fair value model. This will require on-going adjustments to be made at group consolidation level.

It is not necessary for NewSub to adjust its accounting policy in its own financial statements but for practical purposes this might be the preferred option going forward (*sense of the point*).

Exhibit 2 – Statement of profit or loss and other comprehensive income

Query 1

The overall requirements for presentation of financial statements are set out in IAS 1 – *Presentation of Financial Statements* (*principle*).

IAS 1 requires that the statement of profit or loss and other comprehensive income discloses certain key elements, for example, revenue and income tax expense (*principle*).

As far as other detailed line items are concerned, IAS 1 states that they should be presented in a manner that is relevant to an understanding of the financial performance of the reporting entity (*principle*).

In particular, IAS 1 states that operating expenses should be presented based on either their nature or their function, whichever provides financial information which is more reliable or relevant (*principle*).

Therefore it is perfectly possible that the detailed line items in the respective statements of Omega and Rival could be quite different while still complying with full IFRS standards (*conclusion*).

Query 2

As far as the allocation of items between profit or loss and other comprehensive income is concerned, IAS 1 states that all items of income and expense should be presented in profit or loss unless another IFRS standard requires or permits otherwise (*principle*).

There is no theoretical distinction between 'profit or loss items' and 'other comprehensive income items'. However, it is more likely for gains, rather than losses, to be recognised in other comprehensive income (for example, revaluation gains on re-measurement of property, plant and equipment are usually recognised in other comprehensive income whereas revaluation losses are unusually recognised in profit or loss).

Gains or losses which are recognised in profit or loss contribute to the computation of earnings per share (EPS). Those recognised in other comprehensive income do not.

EPS is a key performance indicator for listed entities which must be disclosed in the published financial statements.

This would therefore matter for both Omega and Rival (*conclusion*).

	<i>Marks</i>
1 Non-current assets	
– PPE	4
– Goodwill	4
	<u>8</u>
Current assets	<u>2</u>
Equity	
– Retained earnings	5.5
– NCI	1
– Other	1.5
	<u>8</u>
Non-current liabilities	
– Long-term borrowings	3
– Deferred tax	1
	<u>4</u>
Current liabilities	
– Deferred consideration	2
– Others	1
	<u>3</u>
	<u>25</u>
 2 Attachment 1	
– Explanation of IFRS 2	7
– Calculations	3
	<u>10</u>
 Attachment 2	
– IAS 16 explanations	2
– IAS 16 calculations	2
– IAS 12 explanations	3
– IAS 12 calculations	3
	<u>10</u>
 Ethics	<u>5</u>
	<u>25</u>
 3 Exhibit 1 – IAS 19	
Plan A – Explanations	4
– Calculations	2
Plan B – Explanations	3
– Calculations – net interest cost	2
– actuarial gain or loss	3
	<u>14</u>
 Exhibit 2 – IFRS 15	
– Explanations	5
– Calculations	3
– Accounting and presentation on statement of financial position	3
	<u>11</u>
	<u>25</u>

	<i>Marks</i>
4 Exhibit 1	
Query 1:	
– IFRS 10 principles	3
– Application to NewSub	3
Query 2:	
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ACCA IFRS DIPLOMA DEC 2022 Questions

1 of 4

Alpha, a parent company with one subsidiary, Beta, is preparing the consolidated statement of financial position (SOFP) as at 30 September 20X2.

The following exhibits, available on the left-hand side of the screen, provide information relevant to the question:

1. SOFP of Alpha and Beta – draft statements of financial position for Alpha and Beta as at 30 September 20X2.
2. Alpha's investment in Beta – provides details of Alpha's investment in Beta.
3. Intra-group trading – provides details of intra-group trading between Alpha and Beta.
4. Investment in Drax – provides details of an investment in Drax on 1 October 20X1.
5. Restoration costs – provides details of costs relating to the extraction of minerals.

This information should be used to answer the question **requirement** within the **response option** provided.

1. SOFP of Alpha and Beta

Statements of financial position 30 September 20X2	Alpha	Beta
	\$000	\$000
Assets		
Non-current assets		
Property, plant and equipment (Exhibit 2)	680,000	430,000
Intangible assets (Exhibit 5)	3,000	
Investments (Exhibits 2 and 4)	398,000	
Total non-current assets	1,081,000	430,000
Current assets		
Inventories (Exhibit 3)	30,000	28,000
Trade receivables	16,700	9,800
Cash and cash equivalents	12,000	6,450
Total current assets	58,700	44,250
Total assets	1,139,700	474,250
Equity and liabilities		
Equity		
Share capital (\$1 shares)	380,000	100,000
Retained earnings	703,000	340,000
Total equity	1,083,000	440,000
Non-current liabilities		
Long-term borrowings	4,200	8,900
Deferred tax	3,750	4,500
Total non-current liabilities	7,950	13,400
Current liabilities		
Trade and other payables	18,960	11,400
Short-term borrowings	29,790	9,450
Total current liabilities	48,750	20,850
Total equity and liabilities	1,139,700	474,250

2. Alpha's investment in Beta

On 1 October 20X0, Alpha acquired 75 million shares in Beta, paying cash of \$380 million for these shares. Beta had a retained earnings balance of \$275 million on the date of acquisition. On the date of acquisition, the directors measured the non-controlling interest in Beta at its fair value of \$98 million.

The directors of Alpha carried out a fair value exercise to measure the identifiable assets and liabilities of Beta at 1 October 20X0 and identified the following:

- Plant and equipment with a carrying amount of \$220 million had a fair value of \$240 million. The estimated remaining useful life of this plant and equipment at 1 October 20X0 was five years.
- On 1 October 20X0, the notes to the financial statements of Beta disclosed a contingent liability. On 1 October 20X0, the fair value of this contingent liability was reliably measured at \$4 million. The contingency was resolved in the year ended 30 September 20X1.
- A customer list used by Beta had a fair value of \$1.6 million. This customer list was not recognised in the individual financial statements of Beta as it was internally generated. The directors of Alpha considered that the useful life of this list was four years from 1 October 20X0.

These fair value adjustments have not been reflected in the individual financial statements of Beta. In the consolidated financial statements, the fair value adjustments will be regarded as temporary differences for the purposes of calculating deferred tax. The relevant tax rate for determining deferred tax is 20%.

No impairment of the goodwill on acquisition of Beta was evident when the review was carried out on 30 September 20X1. On 30 September 20X2, the directors of Alpha carried out a further review and concluded that the recoverable amount of the net assets of Beta at that date was \$500 million. Beta is regarded as a single cash generating unit for the purpose of measuring goodwill impairment.

3. Intra-group trading

Alpha sells goods to Beta and applies a mark-up of 20% on the cost of these supplies. Sales of these goods from Alpha to Beta during the year to 30 September 20X2 totalled \$15 million. One quarter of these goods were still in Beta's inventory on 30 September 20X2.

Any adjustment which is necessary in the consolidated financial statements as a result of these sales will be regarded as a temporary difference for the purposes of calculating deferred tax. The relevant tax rate for determining deferred tax is 20%. No amounts were owed by Beta to Alpha in respect of these sales at 30 September 20X2.

4. Investment in Drax

On 1 October 20X1, Alpha purchased 25% of the equity shares of Drax at a cost of \$18 million giving it significant influence over Drax. On the date of purchase, Drax had net assets with a carrying amount of \$70 million. On 1 October 20X1, there was no significant difference between the fair values of the net assets of Drax and their carrying amounts. Drax's net assets on 30 September 20X2 were \$79 million.

Alpha's investment in Drax has not suffered any impairment since acquisition.

5. Restoration costs

On 1 October 20X1, Alpha purchased a licence to extract minerals from a new site for a five-year period. The costs of the extraction licence were recognised in intangible assets and amortised appropriately. Local legislation requires the site owner to restore any environmental damage at the end of the five-year licence. The cost of restoration includes landscaping and other groundworks which are expected to cost \$4 million and will take place at the end of the five-year period. Alpha will capitalise these costs as part of the extraction licence.

No entries have been recorded in the draft financial statements of Alpha for these restoration costs.

An appropriate discount rate for determining the present value of future payments is 10%. At this rate, the present value of \$1 payable in five years is 62.1 cents.

Requirement (25 marks)

Prepare the consolidated statement of financial position of Alpha at 30 September 20X2. You need only consider the deferred tax implications of any adjustments you make where the question specifically refers to deferred tax.

Note: You should show all workings to the nearest \$'000 and no explanations of consolidation adjustments are required.

(25 marks)

2 of 4

Gamma, a listed entity, prepares financial statements to 30 September each year. You are a trainee accountant employed by Gamma and report to the finance director (FD) of Gamma. You also own a small number of equity shares in Gamma. One of your key responsibilities is to prepare the first draft of Gamma's published financial statements. You have recently received an email from the FD regarding the financial statements for the year ended 30 September 20X5.

The following exhibits, available on the left-hand side of the screen, provide information relevant to the question:

1. Email – an email from the FD.
2. Attachment 1 to the email – provides details relating to a sale of goods with a two-year repair service.
3. Attachment 2 to the email – details the valuation of a property which is being rented out on short-term leases.

This information should be used to answer the question **requirements** within your chosen **response option(s)**.

1. Email

To: Trainee accountant
From: Finance director
Subject: Earnings per share (EPS) calculation
Date: 30 September 20X5

As you will know, we have issued 1.5 million new equity shares at full market value on 1 February 20X5, taking our total number of shares in issue to 6 million shares. It is very important that the upcoming set of financial results of Gamma show a favourable financial performance to impress the new shareholders. There are a couple of relatively complex events which have occurred in the year ended 30 September 20X5 which you may be unsure how to deal with in your preparation of the draft financial statements. These events are described in the two attachments to this email. I have also included the way in which I would like you to deal with them in the financial statements. Assuming you follow my instructions, then the profit for the year (after tax) of Gamma for the year will be \$1.8 million. Given that the number of shares in issue at the start of the year was 4.5 million, that would give EPS of 40 cents, which is highly satisfactory. Given you also own shares in Gamma, this should be to your advantage.

You should be aware that your annual performance appraisal, which I am responsible for, is due shortly.

2. Attachment 1 to the email

On 31 March 20X5, we sold a large machine to a major customer. The normal selling price of the machine is \$800,000 but we sold it to the customer for \$840,000. This is because the sale includes an agreement to provide an after-sales repair service for the machine for a two-year period from 31 March 20X5. We would normally expect to charge a fee of \$80,000 per annum to provide this service for a machine of this nature but we offered this customer a good deal because they provide us with so much business. I can reliably estimate that the machine will only cost us about \$50,000 each year to repair on average. So far, the only repair cost we have incurred is expenditure of \$20,000. I want you to recognise \$840,000 in revenue for the current period. I would like you to show the \$20,000 as an asset for now. Until we know the total actual repair costs for the two-year period, I do not want subjective amounts affecting our profit. Overall, my suggestions seem reasonable as the customer paid us \$840,000 on 30 June 20X5.

(12 marks)

3. Attachment 2 to the email

As you know, we have a large investment property which we rent out to tenants on short leases. We have chosen to apply the cost model to our investment property. The current carrying amount of the property is \$1.2 million. We have recently negotiated a lease with new tenants who will begin to rent the property from 1 October 20X5. Due to a surplus of properties available for rental, we have had to reduce the amount we are charging the new tenants. This has affected the resale value of the property, which is currently estimated at \$900,000 after selling costs. On the basis that we continue to rent the property out to tenants, then the present value of all future rental payments would be around \$1 million. We may be embarking on a restructuring in the near future, although nothing has been firmly decided yet. If we do restructure, then the property could be put to an alternative use and the present value of the future net cash inflows generated by the property could be reliably estimated as at least \$1.3 million. Therefore, I am satisfied that the current carrying amount of the property is fully justified.

(5 marks)

Requirement (25 marks)

(a) Using the information in exhibits 2 and 3, explain and show how the transactions described should be accounted for in the financial statements of Gamma for the year ended 30 September 20X5.

(17 marks)

Notes:

- The mark allocations are indicated in each exhibit.
- Marks will be awarded for BOTH figures AND explanations.
- Ignore taxation.
- Your answer to part (a) should NOT discuss any ethical issues.

(b) Using the information in exhibit 1, and your answer to part (a) of this question, compute the earnings per share of Gamma for the year ended 30 September 20X5.

Note: Explanations are NOT required for part (b).

(3 marks)

(c) Using the information in exhibit 1, explain the ethical issues which confront you as a result of the email sent to you from the finance director.

(5 marks)

3 of 4

Delta prepares financial statements to 30 September each year.

The following exhibits, available on the left-hand side of the screen, provide information relevant to the question:

1. Purchase of assets – provides details of the purchase of a brand name and inventory during the period.
2. Interest free loans – provides details of loans to employees made in the year ended 30 September 20X5.
3. Manufacturing process – provides details of a project to improve a manufacturing process.

This information should be used to answer the question **requirements** within your chosen **response option(s)**.

1. Purchase of assets

Hams, a well-known retailer, became insolvent on 1 April 20X5 and began to sell off its assets. On 1 July 20X5, Delta purchased the Hams brand name, together with a quantity of inventory. The purchase agreement provided for payments of \$60 million for the brand name and \$20 million for the inventory. Between 1 July 20X5 and 30 September 20X5, Delta sold 75% of the inventory for net proceeds of \$18 million. The remainder of the inventory related to a product range which was to be discontinued. On 15 October 20X5, Delta sold the remainder of this inventory to a single customer for net proceeds of \$4.5 million. Delta intends to continue to sell goods under the Hams brand name for the foreseeable future and as such, considers that the useful life of the brand name is indefinite. Apart from the product range which is to be discontinued, demand for products sold under the Hams brand name continues to be buoyant.

(9 marks)

2. Interest free loans

On 1 October 20X4, Delta made loans totalling \$12.1 million to some key employees. The loans are interest-free provided these employees continue to remain employed and provide services to Delta for the two-year period from 1 October 20X4 to 30 September 20X6, when the loans become repayable. All the employees who received these loans are expected to remain employed and provide services in this two-year period. The market rate for a similar loan from Delta would normally be 10% per annum.

(7 marks)

3. Manufacturing process

In the year ending 30 September 20X4, Delta had begun a project which was seeking to identify new and improved ways of manufacturing its key products. Expenditure incurred in that year was as follows:

- On 1 January 20X4: the purchase of machinery costing \$15 million to be used exclusively on the project. The directors estimated that at 30 June 20X5, the machinery would be sold for \$1.5 million as it would no longer be required.
- From 1 January 20X4 to 30 September 20X4: ongoing project costs totalling \$1 million per month.

On 30 September 20X4, the directors of Delta were unsure about the technical feasibility and commercial viability of this project.

Details of the project for the year ended 30 September 20X5 were as follows:

- From 1 October 20X4 to 31 December 20X4, the ongoing costs related to the project continued at a rate of \$1 million per month.
- On 31 December 20X4, the technical feasibility and commercial viability of the project was confirmed.
- From 1 January 20X5 until 30 June 20X5, Delta incurred expenditure on the project at a rate of \$2 million per month.
- The project was completed on 30 June 20X5 and the new manufacturing process became available to use from that date. The process was actually brought into use from 1 August 20X5.
- On 30 June 20X5, the directors of Delta considered that the project would provide Delta with a significant economic advantage over its rivals for a five-year period.
- On 30 June 20X5, the machinery purchased on 1 January 20X4 was advertised for sale. It was sold for \$1.8 million on 31 July 20X5.

(9 marks)

Requirement (25 marks)

(a) Using the information in exhibits 2 and 3, explain and show how the transactions described should be accounted for and reported in the financial statements of Delta for the year ended 30 September 20X5.

(16 marks)

b) Using the information in exhibit 3, explain and show how the transactions described there should be accounted for and reported in the financial statements of Delta for the years ended 30 September 20X4 and 20X5.

(9 marks)

Notes:

- The mark allocations are indicated in each exhibit.
- Marks will be awarded for BOTH figures AND explanations.

4 of 4

You are the financial controller of Omega. The consolidated financial statements of Omega for the year ended 30 September 20X5 were authorised for issue on 31 October 20X5. These statements were further discussed at a directors' meeting held on 15 November 20X5. One of the directors, who is not an accountant, has approached you with some queries relating to these financial statements.

The following exhibits, available on the left-hand side of the screen, provide information relevant to the question:

1. Assets of subsidiary – details the assets of a subsidiary of Omega operating in the farming sector.
2. Post year end – details of events occurring after the year end and discussed at a board meeting on 15 November 20X5.
3. Inventory – details of inventory bought from a foreign supplier.

This information should be used to answer the question **requirements** within the **response option** provided.

1. Assets of subsidiary

As you know, we acquired a new subsidiary during the year ended 30 September 20X4. This subsidiary operates several different farms, which contain both cattle and sheep. We dealt with all the initial consolidation procedures last year and I understand how all of that works. However, I am not sure how we have measured the assets of this subsidiary at 30 September 20X5. I thought that assets were generally measured based on what they cost. I understand how that would work for this subsidiary in the case of the purchase of farm machinery, or the purchase of cattle or sheep from the market. I am not clear, though, how you would measure the cattle and sheep subsequently born on the farm as there is no cost of purchase. The same would apply to inventory items like meat or milk. Please explain how we measured the assets of this subsidiary in its statement of financial position. When do profits and losses relating to farming assets get recognised, given that there is often no real 'cost' of acquisition?

(12 marks)

2. Post year end

At our board meeting, the finance director provided us with a summary of three events which had occurred in the period immediately after 30 September 20X5. These were:

1. The settlement of a legal case which a former employee had brought against one of our subsidiaries. The case was in respect of alleged unfair dismissal on 31 December 20X4. At 30 September 20X5, our legal team estimated that the case was likely to result in our paying \$500,000 to this employee. On 20 October 20X5, the case was settled, and the subsidiary was required to pay \$560,000, including court costs.
2. A fire at one of the factories of another subsidiary on 11 October 20X5. This fire caused damage which is likely to cost \$2 million to rectify. The subsidiary does have the necessary resources to finance this work. There was no insurance in place to cover this cost.
3. The launch of a new product on 10 November 20X5 by a competitor. This product is likely to provide significant competition to one of the key products of another subsidiary. As the subsidiary may need to reduce its selling prices, estimates suggest the net realisable value of the inventories of this subsidiary at 30 September 20X5 could be \$250,000 lower than its cost.

I'm a little confused about how these events should have been reflected in the financial statements for the year ended 30 September 20X5. I know that the group financial statements were authorised for issue on 31 October 20X5. Please explain the appropriate treatment of each item in our financial statements. (8 marks)

3. Inventory

On 1 August 20X5, Omega bought some inventory from a supplier based in a country whose currency is the groat. The invoiced amount was 840,000 groats. Omega paid for the goods on 31 August 20X5. Omega sold these goods to customers based in that country during October 20X5 for 1 million groats, and it looks like we made a healthy profit on the sale of those goods after the year end. I am unsure how this transaction would have been recognised in the financial statements for the year ended 30 September 20X5, given that the financial records of all of our group companies are prepared in \$ and the exchange rate has changed throughout the period of this transaction (see the table below). Please explain the appropriate financial reporting treatment to me.

Table of exchange rates

Date	Exchange rate (groats to \$1)
1 August 20X5	6
31 August 20X5	7
30 September 20X5	8

(5 marks)

Requirement (25 marks)

Provide answers to the queries raised by one of Omega's directors detailed in exhibits 1, 2, and 3, relating to the consolidated financial statements for the year ended 30 September 20X5.

Notes: The mark allocations are indicated in each exhibit.

(25 marks)

Answers

1 Consolidated statement of financial position of Alpha as at 30 September 20X2

		\$000
Assets		
Non-current assets		
Property, plant and equipment	(680,000 + 430,000 + 20,000 (W1) – 8,000 (W1))	1,122,000
Intangible assets	(3,000 + 1,600 (W1) – 800 (W1) + 2,484 (W8) – 497 (W8))	5,787
Investment in associate	(W5)	20,250
Goodwill	(W2)	49,760
		<u>1,197,797</u>
Current assets		
Inventories	(30,000 + 28,000 – 625 (W6))	57,375
Trade receivables	(16,700 + 9,800)	26,500
Cash and cash equivalents	(12,000 + 6,450)	18,450
		<u>102,325</u>
Total assets		<u><u>1,300,122</u></u>
Equity and liabilities		
Equity		
Share capital (\$1 shares)		380,000
Retained earnings	(W4)	720,505
Non-controlling interest	(W3)	103,500
Total equity		<u>1,204,005</u>
Non-current liabilities		
Provision	(2,484 (W8) + 248 (W8))	2,732
Long-term borrowings	(4,200 + 8,900)	13,100
Deferred tax	(3,750 + 4,500 + 2560 (W1) – 125 (W6))	10,685
Total non-current liabilities		<u>26,517</u>
Current liabilities		
Trade and other payables	(18,960 + 11,400)	30,360
Short-term borrowings	(29,790 + 9,450)	39,240
Total current liabilities		<u>69,600</u>
Total equity and liabilities		<u><u>1,300,122</u></u>

Workings**W1 Net assets – Beta**

	Acquisition \$000	Year end \$000	Movement \$000
Share capital	100,000	100,000	
Retained earnings	275,000	340,000	
FV adjustment: PPE	20,000	20,000	
FV depreciation (\$20 million/5 years x 2)		(8,000)	
Contingent liability	(4,000)	nil	
Customer list	1,600	1,600	
Amortisation of customer list (\$1.6m/4 years x 2)		(800)	
Deferred tax on fair value adjustment	(3,520)	(2,560)	
Net assets for consolidation	<u>389,080</u>	<u>450,240</u>	61,160
Post-acquisition increase in net assets (\$450,240 – \$389,080)			

W2 Goodwill – Beta

	\$000
Cost of investment	380,000
NCl at acquisition	98,000
	<u>478,000</u>
Less net assets (W1)	(389,080)
Goodwill at acquisition	88,920
Less impairment (W7)	(39,160)
Goodwill at 30 September 20X2	<u>49,760</u>

W3 Non-controlling interest in Beta

	\$000
At acquisition (W2)	98,000
NCl share of movement (25% x \$61,160 (W1))	15,290
Impairment (25% x \$39,160 (W7))	(9,790)
	<u>103,500</u>

W4 Retained earnings

	\$000
Alpha	703,000
Alpha % of Beta post-acquisition profits (75% x \$61,160 (W1))	45,870
Alpha % of associate (Drax) post acquisition (W5)	2,250
PURP (W6)	(500)
Impairment (75% x \$39,160) (W7)	(29,370)
Adjustments re provision (W8)	(745)
	<u>720,505</u>

W5 Investment in associate (Delta)

	\$000
Cost	18,000
25% of post-acquisition profits (\$79,000 – \$70,000 (W4))	2,250
Carrying amount at 30 September 20X2	<u>20,250</u>

W6 PURP

	\$000
Sales in inventory (\$15m x 25%)	3,750
Unrealised profit (\$3,750 x 20/120)	625
Deferred tax asset (\$625 x 20%)	125
Adjustment to retained earnings	<u>500</u>

W7 Impairment of Beta as at 30 September 20X2

	\$000
Net assets of Beta	450,240
Goodwill on acquisition	88,920
	<u>539,160</u>
Recoverable amount of Beta as a CGU	500,000
Impairment	<u>39,160</u>

W8 Adjustment re provision:

		\$000
Provision recognised on 1 October 20X1	(4,000 x 0.621)	2,484
Unwind discount on 30 September 20X2	(2,484 x 0.1)	248
		<u>2,732</u>
Amortisation at 30 September 20X2	(2,484/5)	497
Retained earnings adjustment (W4)	(248 + 497)	745

2 Attachment 1 to email

The relevant standard is IFRS 15 – *Revenue from Contracts with Customers*. Under IFRS 15, the sale of goods with an after-sales service must be considered as two separate performance obligations (principle).

Where the transaction price is a single amount, then it needs to be allocated to the individual performance obligations based on the relative stand-alone selling prices of the individual components (principle).

In this case, the sum of the selling prices of the individual components is \$960,000 [\$800,000 (the stand-alone selling price of the machine) + 2 x \$80,000 (the stand-alone selling price of a two-year repair contract)].

Given that the agreed price payable for the 'bundle' is \$840,000, then the revenue from the sale of the machine would be measured at **\$700,000** (\$840,000 x 800,000/960,000). This would be recognised in **full** in the year ended 30 September 20X5 as delivery of the machine means the performance obligation has been satisfied.

Therefore the revenue from the after-sales repair service would be **\$140,000** (\$840,000 – \$700,000). This revenue needs to be recognised over the two-year period from 1 April 20X5 – the period in which Gamma provides the service to the customer (principle).

This means that the revenue recognised from this source in the year ended 30 September 20X5 is \$35,000 (140,000 x 6/24).

The difference of \$105,000 between the amount received from the customer (\$840,000) and the amount recognised as revenue in the year ended 30 September 20X5 (\$700,000 + \$35,000 = \$735,000) will be shown as a contract liability (deferred income) in the statement of financial position of Gamma.

The contract liability will be split between current and non-current (principle). **\$70,000** (\$105,000 x 12/18) will be shown as a current liability and **\$35,000** as a non-current liability.

IFRS 15 requires that the costs of fulfilling a contract (the repair service) should initially be recognised as assets and taken to profit or loss on a systematic basis as goods or services are transferred to the customer (principle).

In this case, it would appear that the costs incurred to date (\$20,000) of fulfilling the repair service should be shown as a cost in profit or loss rather than as an asset in the statement of financial position (principle).

Given that the total costs of fulfilling the contract are estimated to be \$50,000 per annum, there is a case for arguing that \$25,000 (50,000 x 6/12) should be recognised in profit or loss (not just the \$20,000 incurred) as a cost in the year ended 30 September 20X5 with a liability of \$5,000 (25,000 – 20,000) recognised in current liabilities.

W1 – Spreadsheet workings: computation of revenue recognised

	Machine \$	Repair service \$	Total \$
Stand-alone selling price	800,000	160,000	960,000
'Bundle' price			840,000
Allocation of 'bundle price' in relevant proportions	700,000	140,000	840,000
Revenue recognised in the period	700,000	35,000	735,000
Amount received from customer in the period	(700,000)	(140,000)	(840,000)
So contract liability at year end equals	n/a	(105,000)	(105,000)
Settled within 12 months (12/18)	n/a	70,000	70,000
Settled after more than 12 months (6/18)	n/a	35,000	35,000

Attachment 2 to email

The relevant standard is **IAS 36 – Impairment of Assets**. IAS 36 requires that assets are reviewed for impairment whenever indicators of impairment are present (principle). The fact that there is currently a surplus of properties available for rental is *prima-facie* evidence that indicators are present in this case (principle).

An impairment review involves comparing the carrying amount of an asset with its recoverable amount. The recoverable amount of an asset is the higher of its value in use and its fair value less costs of disposal (principle).

The value in use of the asset in this case is **\$1 million**. IAS 36 requires that value in use be computed based on the existing use to which the asset is being put, with no account taken of potential changes in use due to possible future restructurings (principle). The fair value less costs of disposal is \$900,000 which is lower than the value in use.

Therefore the property has suffered impairment of **\$200,000** (\$1.2 million – \$1 million). This amount will be taken to **profit or loss** as an operating cost.

The revised carrying amount of the asset will be \$1 million. This will be shown as a non-current asset in the statement of financial position.

W2 – Spreadsheet workings: calculation of earnings per share

	\$
Earnings as per draft financial statements (exhibit 1)	1,800,000
Adjustments to revenue and for repair service costs (\$105,000 + \$20,000 – OF rule applies here. Adjustment of \$20,000 could alternatively have been \$25,000)	(125,000)
Impairment of property	(200,000)
Earnings as corrected	1,475,000
Weighted average number of shares = $4,500,000 \times 4/12 + 6,000,000 \times 8/12$	5,500,000
Therefore earnings per share equals $(1,475,000/5,500,000)$	26.8 cents

Ethical issue – Email from FD

You are in danger of breaching the fundamental ethical principle of objectivity. You have a personal interest in reporting a favourable profit because of the fact that you own shares in Gamma and a favourable profit could result in enhanced dividends and shareholder value.

You face a further danger of breaching the principle of objectivity because of the way the FD has linked your complying with this instructions to your upcoming staff appraisal (candidates who refer to an intimidation threat here will receive appropriate credit).

You also may be breaching the fundamental ethical principle of professional competence and due care. The treatments suggested by the FD are clearly inappropriate and not in compliance with IFRS standards. Were you to implement them, you would be in breach of your professional duty to conduct yourself in a competent manner.

3 (a) Exhibit 1 – Purchase of assets

IAS 38 – *Intangible Assets* states that intangible assets can only be recognised if it is probable that economic benefits attributable to the asset will flow to the entity and the cost of the asset can be measured reliably (principle).

In the case of the purchase of the brand name, both of these conditions are satisfied (conclusion).

IAS 38 states that intangible assets should be amortised **over their useful lives** where the useful life is considered to be **finite** (principle).

Where the useful life of an intangible asset is considered to be indefinite, then the asset should not be amortised and the useful life would be reviewed annually. Additionally, the brand should be reviewed annually for impairment, regardless of whether indicators of impairment are present (principle).

Based on the information provided, it would appear that **no impairment** is necessary and the asset can be shown at a carrying amount of **\$60 million**. \$60 million would be shown as a **non-current asset**.

\$18 million would be recognised in **revenue** for the inventories sold during the year ended 30 September 20X5.

In the same period, **\$15 million** (\$20 million x 75%) would be recognised in **cost of sales**. Both the \$18 million and the \$15 million would be included in the statement of **profit or loss** for the year ended 30 September 20X5.

Under the principles of **IAS 10 – Events After the Reporting Date** – the post year-end date sale of goods held in inventory at the year end is an **adjusting event**.

The goods held in inventory have a cost of **\$5 million** (\$20 million – \$15 million) but were sold for \$4.5 million. \$4.5 million is therefore their **net realisable value**.

Under the principles of IAS 2, inventories are measured at the **lower of cost and net realisable value**. Therefore inventories of **\$4.5 million** would be recognised as a **current asset**.

The required write down of **\$0.5 million** (\$5 million – \$4.5 million) would be recognised in the statement of **profit or loss** for the year ended 30 September 20X5.

Exhibit 2 – Interest free loans to employees

Under the principles of IFRS 9 – *Financial Instruments* – the loans are a **financial asset** of Delta. IFRS 9 states that financial assets should initially be recognised at fair value in the financial statements (**principle**).

In this case, the initially recognised amount will be \$10 million [$\$12 \cdot 10 / (1 \cdot 10)^2$].

The difference of \$2.1 million between the amount lent and the financial asset will be regarded as an employee benefit under IAS 19 *Employee Benefits*, and recognised as an expense over the two-year period from 1 October 20X4 to 30 September 20X6 (principle).

Therefore, in the year ended 30 September 20X5, an employment expense of **\$1.05 million** ($2 \cdot 10 / 2$) would be recognised in the statement of **profit or loss**.

The residual difference of **\$1.05 million** (\$2.1 million – \$1.05 million) would be recognised as a deferred employee compensation **prepayment** in the statement of financial position at 30 September 20X5. The prepayment will be shown as a **current asset**.

Since the cash flows expected from the loan asset are known in terms of their timing and amount and Delta expects to retain the asset and collect the cash flows as they fall due, the loan asset can be measured at amortised cost from 1 October 20X4 (principle – up to).

This means that Delta will recognise finance income of **\$1 million** (\$10 million x 10%) in its statement of **profit or loss** for the year ended 30 September 20X5.

The loan asset at 30 September 20X5 will be **\$11 million** (\$10 million + \$1 million). This will be shown as a **current asset** in the statement of financial position of Delta.

Tutorial note: Candidates who recognise the employment cost on an 'amortised cost' basis, i.e. \$1 million (\$10 million x 10%) in the year ended 30 September 20X5 and \$1.1 million (\$11 million x 10%) in the year ended 30 September 20X6 will receive full credit.

(b) Exhibit 3 – Manufacturing process

IAS 38 does not allow any expenditure on a research and development project to be recognised as an asset until the technical feasibility and commercial viability of the project has been established (principle).

After the technical feasibility and commercial viability of the project has been established, expenditure which has previously been shown as an expense in profit or loss cannot be restated as an intangible asset (principle).

This means that, for the year ended 30 September 20X4, the on-going project costs of **\$9 million** (9 x \$1 million) will have been expensed in the statement of **profit or loss** and the further **\$3 million** from 1 October to 31 December 20X4 will be expensed in the profit or loss for the year ending 30 September 20X5.

Under the principles of IAS 16 – *Property, Plant and Equipment* (PPE) – the machinery purchased on 1 January 20X4 will be regarded as PPE and depreciated over its useful life of 18 months (from 1 January 20X4 to 30 June 20X5).

The depreciable amount will be its cost less its estimated residual value (**principle**). In this case, the depreciable amount is **\$13.5 million** (\$15 million – \$1.5 million). Therefore the monthly depreciation will be **\$750,000** (\$13.5 million/18).

The depreciation of **\$6.75 million** (9 x \$750,000) for the nine months from 1 January 20X4 to 30 September 20X4 and \$2.25 million (3 x \$750,000) for the three months from 1 October to 20X4 to 31 December 20X4 will be shown as an **expense** in the statements of profit or loss for 20X4 and 20X5 respectively.

From 1 January 20X5, ongoing expenditure on the project will be able to be recognised as an intangible asset by Delta. This applies to both the on-going project costs and the depreciation of the machinery exclusively used on the project (**principle**).

Therefore at 30 June 20X5 (the date the project is concluded), the intangible asset will be \$16.5 million (6 x \$2 million + 6 x \$750,000).

IAS 38 requires that intangible assets with finite useful lives be amortised over those lives (principle already rewarded). Amortisation starts from the date the asset is **available for use**, rather than the date it is actually brought into use. In this case, that date is **30 June 20X5**.

Therefore amortisation for the year ended 30 September 20X5 will be **\$825,000** (\$16.5 million x 1/5 x 3/12).

The closing carrying amount of the intangible asset will be **\$15,675,000** (\$16.5 million – \$825,000). This will be shown as a **non-current asset** in the statement of financial position of Delta at 30 September 20X5.

On 30 June 20X5, the carrying amount of the machinery will be **\$1.5 million**. **No further depreciation will be charged** because the machinery is being advertised for sale from that date.

A profit on sale of the machinery of **\$300,000** (\$1.8 million – \$1.5 million) will be shown in the statement of **profit or loss** of Delta for the year ended 30 September 20X5.

4 Exhibit 1 – Assets of subsidiary

IAS 41 Agriculture deals with **agricultural activity**. Agricultural activity is the management by an entity of biological transformation and harvest of biological assets for sale or conversion into agricultural produce or into additional biological assets.

A biological asset is a living plant or animal. Cattle or sheep are examples of biological assets.

Agricultural produce is the harvested produce of biological assets. Both milk and meat are examples of agricultural produce.

Therefore IAS 41 applies to many of the assets of our farming subsidiary (conclusion).

IAS 41 states that biological assets should normally be measured at fair value less costs to sell in the statement of financial position on initial recognition and at each year end.

Where cattle or sheep are purchased at a market, this means a reliable fair value and related costs can be used to arrive at initial recognised costs and any subsequent increase/decrease at the year end.

In the case of newly born cattle or sheep, the same 'fair value less costs to sell' principle applies.

A gain or loss arising on initial recognition or arising from a change in fair value less costs to sell at the year end are included in profit or loss.

This means that there is immediate recognition of a gain (equal to fair value less costs to sell) in profit or loss as the relevant biological asset is recognised when cattle and sheep are newly born.

IAS 41 does allow the 'cost model' to be used for biological assets if fair values cannot be measured reliably but this is unlikely to be true for biological assets like cattle or sheep where market values are available.

IAS 41 states that agricultural produce should be measured at its fair value less costs to sell at the point of harvest (principle).

IAS 41 defines 'harvesting' as the detachment of produce from a biological asset (for example, the milking of a cow) or the cessation of a biological asset's life processes (for example, the slaughter of a cow or a sheep for its meat).

The initial recognition of agricultural produce in the statement of financial position is likely to lead to an equal gain being recognised in the statement of profit or loss.

From this point on, agricultural produce would be subject to the recognition and measurement requirements of IAS 2 – *Inventories*.

Profits or losses on the subsequent sale of agricultural produce would be recognised when such produce was actually sold.

Other assets of our farming subsidiary (for example, farmland, farm machinery or trade receivables) would be measured using the IFRS standards relevant to their nature.

Exhibit 2 – Post year end

There is an IFRS standard, **IAS 10 *Events after the Reporting Period*** which deals with this issue. IAS 10 defines an event after the reporting date as one occurring between the reporting date and the date the financial statements are authorised for issue.

IAS 10 further classifies events after the reporting date into adjusting and non-adjusting events (principle).

An adjusting event is one which provides **additional evidence of conditions existing at the reporting date**. The first event you have queried is **an example of an adjusting event because** it provides confirmation of the amount of a liability which existed at the reporting date (since the unfair dismissal occurred on 31 December 20X4, prior to the year end).

IAS 10 requires that the impact of adjusting events be recognised in the financial statements (principle). This means **that we should recognise a liability of \$560,000 in the statement of financial position at 30 September 20X5 in respect of this case** and an expense of \$560,000 in the statement of profit or loss for the year. We should also make **additional disclosures** if this would assist the users of the financial statements.

Non-adjusting events are those events and transactions which provide additional evidence of conditions which arose **after** the reporting date. The fire at the factory is an example of a non-adjusting event.

Non-adjusting events should not be recognised in the financial statements, but should be fully disclosed in the notes to the financial statements if material.

The only exception to the 'non-recognition' rule mentioned above is if the event would be likely to impact on the going concern status of the reporting entity. This exception does not apply here because the subsidiary has the resources to finance the cost of rectifying the fire damage.

The third event you mentioned is **not an 'event after the reporting date' in accordance with IAS 10** as far as our latest financial statements are concerned because it occurred after the financial statements had been authorised for issue. The impact of this event will be shown in the **financial statements for the year ended 30 September 20X6**.

Exhibit 3 – Purchase of inventory from a foreign supplier

This purchase is dominated in another currency and so is a foreign currency transaction. The accounting treatment for such transactions is set out in IAS 21 *The Effects of Changes in Foreign Exchange Rates*.

IAS 21 states that foreign currency transactions should initially be recorded at the rate of exchange in force when the transaction occurred (**principle**). This means that, in this case, an **inventory and a payable of \$140,000** (840,000/6) would be recorded.

The payable is settled on 31 August 20X5. The cash required to settle the payable would have been \$120,000 (840,000/7).

This means that an exchange gain of **\$20,000** (140,000 – 120,000) would be recognised in the **statement of profit or loss**.

The closing balance of inventory would have a cost of **\$140,000**. This is **because** the inventory measured at cost is a non-monetary item (i.e. it is not expressed in terms of a monetary amount receivable or payable) and is not retranslated at the year end.

IAS 2 – *Inventories* – requires that inventories be measured at the lower of cost and net realisable value (NRV) (principle).

The NRV of the inventory is **\$125,000** (\$1 million/8). The closing exchange rate of 8 is used because NRV is a **monetary** measure.

Therefore the closing inventory will be \$125,000 and a loss of \$15,000 (\$140,000 – \$125,000) will be recognised in the statement of profit or loss for the year ended 30 September 20X5.

	<i>Marks</i>
1 Non-current assets	
– PPE	1.5
– Intangible assets	2
– Investment in associate	1.5
– Goodwill	6
	<u>11</u>
Current assets	<u>2</u>
Equity	
– Share capital	0.5
– Retained earnings	5
– Non-controlling interests	1.5
	<u>7</u>
Non-current liabilities	
– Provision	2
– Other	2
	<u>4</u>
Current liabilities	<u>1</u>
	<u>25</u>
2 Attachment 1	
– Explanations per IFRS 15	7
– Calculations	5
	<u>12</u>
Attachment 2	
– Explanations per IAS 36	3.5
– Calculations	1.5
	<u>5</u>
EPS calculations	<u>3</u>
Ethics	<u>5</u>
	<u>25</u>

		<i>Marks</i>
3	Exhibit 1	
	– Explanations per IAS 38	4
	– Explanations per IAS 10	1
	– Explanations per IAS 2	2
	– Calculations	2
		<u>9</u>
	Exhibit 2	
	– Explanations per IFRS 9	4
	– Calculations	3
		<u>7</u>
	Exhibit 3	
	– Explanations per IAS 38	3
	– Calculations per IAS 38	2
	– Explanations per IAS 16	2
	– Calculations per IAS 16	2
		<u>9</u>
		<u>25</u>
4	Exhibit 1	
	– Explanations per IAS 41	10
	– Explanations per IAS 2	2
		<u>12</u>
	Exhibit 2	
	– Explanations per IAS 10	7
	– Calculations	1
		<u>8</u>
	Exhibit 3	
	– Explanations per IAS 21	2
	– Calculations	1
	– Explanations per IAS 2	1
	– Calculations	1
		<u>5</u>
		<u>25</u>

ACCA IFRS DIPLOMA JUNE 2023 Questions

1 of 4

Alpha, a parent with two subsidiaries, Beta and Gamma, is preparing the consolidated statement of profit or loss for the year ended 31 December 20X9.

The following exhibits, available on the left-hand side of the screen, provide information relevant to the question:

1. Draft financial statements – draft statements of profit or loss and summarised statements of changes in equity for Alpha, Beta and Gamma for the year ended 31 December 20X9.
2. Alpha's investment in Beta – details of Alpha's investment in Beta.
3. Alpha's investment in Gamma – details of Alpha's investment in Gamma and subsequent disposal of shares on 31 August 20X9.
4. Other information – details of intra-group trading and information on the investment income.

This information should be used to answer the question requirement within the response option provided.

1. Draft financial statements

Note: This spreadsheet has been copied into the spreadsheet Response Option			
Statements of profit or loss for the year ending 31 December 20X9			
	Alpha	Beta	Gamma
	\$'000	\$'000	\$'000
Revenue (exhibit 4)	1,935,000	280,000	900,000
Cost of sales (exhibits 2 - 4)	-495,000	-132,000	-540,000
Gross profit	1,440,000	148,000	360,000
Operating expenses	-679,000	-59,000	-156,000
Profit from operations	761,000	89,000	204,000
Investment income (exhibit 4)	128,000		
Finance costs	-30,000	-8,000	-36,000
Profit before tax	859,000	81,000	168,000
Income tax expense	-280,000	-19,000	-42,000
Profit for the year	579,000	62,000	126,000
Summarised statements of changes in equity for the year ending 31 December 20X9			
	Alpha	Beta	Gamma
	\$'000	\$'000	\$'000
Total equity on 1 January 20X9	840,000	180,000	211,000
Profit for the year	579,000	62,000	126,000
Dividends paid on 30 June 20X9	-143,000	-51,000	-67,000
Total equity on 31 December 20X9	1,276,000	191,000	270,000

2. Alpha's investment in Beta

On 1 April 20X4, Alpha acquired 80 million of the 100 million \$1 equity shares of Beta and gained control of Beta. Alpha acquired the equity shares in Beta by issuing one new share in Alpha for every two acquired in Beta. On 1 April 20X4, the fair value of an equity share in Alpha was \$3.20 and the fair value of an equity share in Beta was \$1.60. On 1 April 20X4, the net assets of Beta had a fair value of \$100 million and this was equal to the carrying amount of the net assets on this date. Alpha used the proportionate share of net assets method for measuring the non-controlling interest. No impairments of goodwill on acquisition of Beta have been necessary in the consolidated financial statements of Alpha up to and including 31 December 20X8. Beta is a single cash generating unit. On 31 December 20X9, the annual impairment review of goodwill indicated that the recoverable amounts of the net assets, including goodwill, of Beta at that date were \$235 million. Any impairments of goodwill are charged as part of cost of sales in the consolidated statement of profit or loss.

3. Alpha's investment in Gamma

Details of acquisition On 1 January 20X6, Alpha acquired 7.5 million of the 10 million \$1 equity shares in Gamma and gained control of Gamma. Alpha paid \$95 million in cash for the equity shares. On 1 January 20X6, the carrying amounts of the identifiable net assets of Gamma in its individual financial statements were \$70 million and their fair values were \$85 million. The difference was due to property whose fair value exceeded the carrying amount by \$15 million. \$11.4 million of this difference referred to the depreciable component of this property. The estimated useful life of the depreciable component of the property at 1 January 20X6 was eight years. All depreciation of property, plant and equipment is charged to cost of sales. Alpha used the fair value method for measuring the non-controlling interest when recognising the goodwill on acquisition of Gamma. The fair value of an equity share in Gamma on 1 January 20X6 was \$4.20 which can be used to measure the fair value of the non-controlling interest. No impairments of the goodwill in Gamma have occurred. Details of disposal On 31 August 20X9, Alpha disposed of its entire equity shareholding in Gamma for a cash consideration of \$330 million. Income tax payable on this disposal is expected to be \$38 million. On 31 August 20X9, Alpha credited the disposal proceeds to a suspense account. Gamma represented a separate major line of business which the Alpha Group was withdrawing from. You can assume that the profits of Gamma for the year ended 31 December 20X9 accrued evenly.

4. Other information

Intra-group trading

Beta has purchased goods from Alpha during the year. This is the first year in which intra-group trading took place. Alpha applies a mark-up of one-third to the cost of these goods when computing the sales price. Alpha sold goods with an invoice value of \$42 million to Beta during the year to 31 December 20X9. At the year end, Beta still held some of these goods, with an invoice value of \$19.2 million in inventory.

Investment income

The investment income, which is shown in Alpha's statement of profit or loss, includes the dividends received from its subsidiary entities.

Requirement (25 marks)

Using exhibits 1-4, prepare the consolidated statement of profit or loss of Alpha for the year ending 31 December 20X9. You do not need to consider the deferred tax effects of any adjustments you make. No explanations of consolidation adjustments are required.

(25 marks)

2 of 4

Theta, a listed entity, prepares financial statements to 30 June each year. You are a trainee accountant employed by Theta and report to the finance director (FD) of Theta. One of your key responsibilities is to prepare the first draft of Theta's published financial statements. You have recently received an email from the FD regarding the financial statements for the year ended 30 June 20X5. You are unsure how to respond to this email and have asked a friend of yours for advice. This friend is a qualified accountant who is not employed by Theta.

The following exhibits, available on the left-hand side of the screen, provide information relevant to the question:

1. Email – an email from the FD.
2. Attachment to the email – details information relating to the construction of new plant, a loan to finance the construction, and environmental damage.

This information should be used to answer the question requirements within your chosen response option(s).

1. Email

To: Trainee accountant
From: Finance director
Subject: Financial statement preparation
Date: 30 June 20X5

As you will know, we are just about to begin the preparation of the published financial statements for the year ended 30 June 20X5. It is very important that the upcoming set of financial results show a favourable financial performance. This will reflect well on the whole finance department, including you. I want these statements to report as high a profit as possible to satisfy the shareholders and boost the share price. I understand that you do not currently own any shares in Theta. It would be advantageous for you to purchase some shares immediately, before the latest results are published. If the results show a high profit, then the share price is likely to rise.

I would like you to prepare a draft of the financial statements for my review and approval. There is a relatively complex set of transactions which have occurred in the year ended 30 June 20X5 which you may be unsure how to deal with. These transactions are described in the attachment to this email. I have also included the way in which I would like you to deal with them in the financial statements. You should be aware that your annual performance appraisal, which I am responsible for, is due shortly.

2. Attachment to the email

We have constructed a plant and I have provided details of the costs of construction, a loan taken to finance the costs of construction and some details of environmental damage arising from the construction.

Cost of plant

On 1 January 20X5, we began to construct a plant which will produce fertiliser. This fertiliser can be sold to entities in the agricultural industry. We completed construction of the plant on 1 March 20X5 and then provided relevant employees with a comprehensive training course on the plant's operating method.

We could have begun to operate the plant from 1 April 20X5 but prior to beginning operations, we held an opening ceremony in late April 20X5 and invited a large number of potential customers to demonstrate that the plant was ready for production.

Although we started production on 15 May 20X5, this was only at a small fraction of the plant's operating capacity. We will begin to operate the plant at full capacity from 1 July 20X5.

The costs which we have incurred on this construction project to date and which I want you to include as part of property, plant and equipment (PPE) in the statement of financial position at 30 June 20X5 are as follows:

	\$'000
Materials used in the construction of the plant	4,000
Production overheads directly related to the construction of the plant	2,000
Allocation of general administrative overheads to the construction cost (using our normal overhead allocation model)	1,000
Salaries of construction staff from 1 January 20X5 to 30 June 20X5 (\$500,000 per month)	3,000
Costs of training staff in the use of the new plant	600
Cost of testing the plant's operating systems to ensure they are fit for purpose	200
Costs associated with the opening ceremony in April 20X5	250
	11,050

The estimated useful life of the plant is 20 years, and we should start to depreciate it on from 1 July 20X5 when it is operating at full capacity.

Loan

On 1 December 20X4, we borrowed \$8 million to partly finance construction of the plant. The lender charged a lending fee of \$200,000, so we actually received a net sum of \$7.8 million on 1 December 20X4. There is no interest payable on this borrowing, but we will repay \$8.52 million on 30 November 20X5. I want you to show a loan figure of \$8 million in the statement of financial position as at 30 June 20X5, and the lending fee of \$200,000 as an additional component of PPE. Do not account for the extra amount repayable on 30 November 20X5.

Environmental damage

The construction of the plant caused some environmental damage. When we stop using the plant in 20 years' time, the cost of rectifying this damage is estimated to be \$10 million. There is no legal obligation for us to rectify this damage. However, we have a reputation for rectifying all environmental damage we have caused. Since there is no legal obligation, you can forget about it from the point of view of the financial statements for the current year. A colleague of yours has stated that an annual discount rate appropriate to the risks associated with this construction project is 10% and therefore the present value of \$1 payable in 20 years' time is approximately 15 cents. However, ignore all this – I do not want any recognition of this potential future cost at all.

Requirement (25 marks)

(a) Using the information in exhibit 2, explain and show how the transactions described there should be accounted for in the financial statements of Theta for the year ended 30 June 20X5.

Notes:

- Marks will be awarded for BOTH figures AND explanations.
- Ignore taxation.
- Your answer to this part should NOT discuss any ethical issues.

(21 marks)

(b) Using the information in exhibit 1, identify and explain the ethical issues which confront you as a result of the email sent to you from the finance director and whether you should ask advice from your friend who is not employed by Theta.

(4 marks)

3 of 4

Delta prepares financial statements to 30 June each year.

The following exhibits, available on the left-hand side of the screen, provide information relevant to the question:

1. Construction contract – details information regarding the construction and installation of complex machinery.
2. Joint arrangement – details information regarding an arrangement with another entity, Drax.

This information should be used to answer the question requirement within your chosen response option(s).

1. Construction contract

On 1 March 20X5, Delta signed a contract for the construction and installation by Delta of complex machines. All work was to take place at the customer's business premises. Work began on the construction on 1 April 20X5. The terms of the contract are that all work is due to be completed by 30 September 20X5.

When the work is fully completed, the machines will be subject to an independent third-party inspection and the quality of the machines will be given a rating as: unsatisfactory, satisfactory, or premium. If the rating is satisfactory or premium, then Delta will have fulfilled its obligations under the contract. The costs of the inspection will be borne by the customer.

The total basic price payable by the customer for the construction and installation of the machines was \$12 million. However, this basic price is subject to the following conditions:

- (i) The contract price increases by \$100,000 for every full week that the work is satisfactorily completed and inspected **before** 30 September 20X5, subject to a maximum additional payment of \$800,000.
- (ii) The contract price reduces by \$100,000 for every full week that there is a delay in satisfactory completion and inspection of the work after 30 September 20X5, subject to a maximum reduction in the total payment of \$800,000.
- (iii) If the third-party inspection rates the quality of the suite of machines as premium, then the contract price increases by \$600,000. This increase applies irrespective of when the inspection is carried out.

At 30 June 20X5, the directors of Delta reasonably estimated that the work would be completed four weeks after the 30 September 20X5 and that the work would be given a premium rating by the inspector.

Delta uses input methods to estimate the stage of completion of its construction contracts.

Delta's latest estimate of the total costs of completing the work was \$9.5 million. The costs incurred up to 30 June 20X5 were \$5.33 million. Details are given below:

Total estimated costs and costs incurred to date

	Total	Costs
	estimated	incurred to
	costs	30 June 20X5
	\$'000	\$'000
Commission payable to a third party re: contract negotiation	300	300
Materials used on the contract	4,200	2,200
Direct labour used on the contract (Note 1)	2,000	1,100
Costs of wasted materials (Note 1)	Nil	250
Depreciation of assets of Delta used on the contract	1,200	600
Amounts paid to sub-contracted labour	800	400
Allocation of general overheads of Delta to the contract	1,000	480
	9,500	5,330

Note 1: In May 20X5, inefficient working practices meant materials, which cost Delta \$250,000, were wasted and had to be disposed of. These inefficient working practices also resulted in additional direct labour costs of \$100,000. These costs have been included in costs incurred to 30 June 20X5 but have not been included in the total estimated costs.

On 30 June 20X5, Delta sent an invoice to the customer for \$6 million. This amount is payable on 31 July 20X5 and there is no reason to doubt that it will be paid.
(15 marks)

2. Joint arrangement

On 1 April 20X5, Delta entered into a contractual arrangement with another entity, Drax, to jointly manufacture and distribute a product for sale. The manufacturing process for the product has two distinct stages. Both stages require particular specialised skills. The employees of Delta have the necessary skills to perform stage 1 of the manufacturing process and the employees of Drax have the necessary skills to perform stage 2. Under the terms of the arrangement, Delta purchases the raw materials and performs stage 1 of the manufacturing process. The partly completed products are then transferred to Drax at their cost of manufacture to date. Drax completes the manufacturing process and sells the products.

All the costs and revenues associated with this arrangement are shared equally by Delta and Drax irrespective of who initially incurs them. Settlement of amounts owed by Drax to Delta or vice-versa, including Delta's share of cash collected from customers, will be made every three months. All decisions regarding the manufacture and distribution of the product and the collection of revenues need to be agreed by both Delta and Drax.

Details of costs associated with the arrangement for the first three months were as follows:

	Delta \$'000	Drax \$'000
Purchase of raw materials	6,500	14,000 (Note 1)
Manufacturing costs	8,500	14,500
Cost of sales		(26,000)
Advertising and distribution costs	400	1,000

Note 1:

The 'purchase' of raw materials by Drax is the cost of partly completed goods transferred from Delta to Drax.

During the three-month period from 1 April 20X5 to 30 June 20X5, Drax sold products for a total invoiced price of \$40 million. In that period, Drax received \$32 million from customers relating to the sale of these products.

(10 marks)

Requirement (25 marks)

Using the information in exhibits 1 and 2, explain and show how the transactions described there should be accounted for and reported in the financial statements of Delta for the year ended 30 June 20X5. No marks will be awarded for simply stating the five-step revenue recognition model without appropriate application to the scenario.

Notes:

- The mark allocations are indicated in each exhibit.
- Marks will be awarded for BOTH figures and explanations.

(25 marks)

4 of 4

You are the financial controller of Omega, a listed entity with a number of subsidiaries. Omega prepares financial statements to 30 June each year. One of Omega's directors, who is not an accountant, has reviewed the first draft of the consolidated financial statements of Omega for the year ended 30 June 20X5. She has raised some queries as a result of her review.

The following exhibits, available on the left-hand side of the screen, provide information relevant to the question:

1. Disclosures – details transactions between group and non-group companies.
2. Investment in Newco – details an investment made in the year ended 30 June 20X5.
3. Financial statements of Tiny and Minor – details different consolidation adjustments required for two subsidiaries.

This information should be used to answer the question requirement within the response option provided.

1. Disclosures

You will be aware that most of our group companies engage the same non-group entity (Dixon) to distribute their products to customers. Transactions with, and outstanding balances owing to, Dixon are quite significant in the context of the group as a whole.

However, one of our subsidiaries (Apex) uses another distributor (Gower). Gower is a company which is controlled by the spouse of the managing director (MD) of Apex. The MD of Apex is also a director of Omega. Transactions with Gower are quite significant to Apex as a single entity but not to the Omega group as a whole.

I am very surprised, therefore, to see details of the transactions with Gower disclosed in the consolidated financial statements but not those with Dixon. Surely this should be the other way round. Please explain this to me. What details should I expect to see in any disclosures of this nature?

(7 marks)

2. Investment in Newco

During the last year, we acquired a 35% shareholding in Newco. We paid \$60 million for this investment. There are two other shareholders in Newco, one holding 28% of the shares and the other 37% of the shares. Each shareholder, including Omega, is allowed to appoint two of Newco's six directors. Decisions at board level are made based on a simple majority of votes cast.

Newco has not paid a dividend since we acquired our shareholding because Newco needs to invest cash generated during the period to expand the business. Our draft consolidated financial statements show a figure of \$63.5 million for the investment in Newco.

I do not understand why this single figure appears in our consolidated financial statements as a non-current asset. I thought that the consolidated financial statements showed the underlying assets and liabilities of subsidiaries rather than an investment figure.

Surely Newco is a subsidiary given our significant shareholding? Even if we did show a figure for the investment in Newco in Omega's consolidated financial statements, I would have expected

it to be \$60 million, the amount we paid for the shares. Is the \$63.5 million figure based on the value of the shares at the year end? Please explain this financial reporting treatment to me.

(8 marks)

3. Financial statements of Tiny and Minor

You may be aware that we acquired control of a new subsidiary, Minor, during the year ended 30 June 20X5 and have included its results in the draft consolidated financial statements for the first time. I noticed that various adjustments were made to the figures which were shown in Minor's own individual financial statements when including them in the consolidated financial statements of Omega.

One example of an adjustment is that development expenditure incurred by Minor, and charged as an expense in Minor's own financial statements, appears to be treated as an intangible asset in the consolidated financial statements.

When I examine the individual financial statements of Tiny, an unlisted and even smaller subsidiary which was acquired some years ago, it appears that development expenditure is treated as an intangible asset in Tiny's own financial statements. In this case, no adjustments are necessary in order to include the intangible asset in the consolidated financial statements.

Please explain this apparent inconsistency to me. It would seem to me that all research and development expenditure should be treated as an intangible asset, since it is likely to produce future benefits. Surely development expenditure should be treated consistently in financial statements? Is the different treatment caused by the fact that Minor is a relatively small unlisted company using a simplified version of IFRS standards and are all small companies required to use them?

(10 marks)

Requirement (25 marks)

Provide answers to the queries raised by the director relating to the consolidated financial statements for the year ended 30 June 20X5. The queries you need to address appear in exhibits 1 - 3. You should justify your answers with reference to relevant International Financial Reporting Standards.

Note: The mark allocations are indicated in each exhibit.

(25 marks)

Answers

1 Consolidated statement of profit or loss for Alpha for the year ended 31 December 20X9

	\$'000
Revenue (W1)	2,173,000
Cost of sales (W2)	(602,600)
Gross profit	1,570,400
Operating expenses (679,000 + 59,000)	(738,000)
Operating profit	832,400
Investment income (128,000 – 80% x 51,000 + 75% x 67,000)	36,950
Finance costs (30,000 + 8,000)	(38,000)
Profit before tax	831,350
Income tax expense (280,000 + 19,000)	(299,000)
Profit for the year from continuing operations	532,350
Profit from discontinued operations (W5 – 1 mark for principle)	165,469
Profit for the year	697,819
Attributable to:	
Shareholders of Alpha (balancing figure)	664,656
Non-controlling interest (W10)	33,163
	697,819

\$'000**Shareholders of Alpha:**

Profit for the period from continuing operations (532,350 – 12,400 (see below))	519,950
Profit for the period from discontinuing operations (165,469 – 20,763 (see below))	144,706
	664,656

Non-controlling interests:

Profit for the period from continuing operations (62,000 x 20%)	12,400
Profit for the period from discontinuing operations ((84,000 – 950 (W5)) x 25%)	20,763
	33,163

Workings**Working 1 – Revenue**

	\$'000
Alpha + Beta (\$1,935,000 + \$280,000)	2,215,000
Intra-group revenue	(42,000)
	2,173,000

Working 2 – Cost of sales

	\$'000
Alpha + Beta (\$495,000 + \$132,000)	627,000
Intra-group purchases	(42,000)
Unrealised profit (1/4 x \$19,200)	4,800
Impairment of Beta goodwill (W4)	12,800
	602,600

Working 3 – Goodwill on acquisition of Beta

	\$'000
Cost of investment (80m/2 = 40m x \$3.20)	128,000
NCI (20% x \$100m)	20,000
Less fair value of net assets at date of acquisition	(100,000)
Goodwill on acquisition	48,000

Working 4 – Impairment of goodwill in Beta

	\$'000
Net assets at 31 December 20X9	191,000
Add goodwill (grossed up \$48 million (W3) x 100/80)	60,000
Total	251,000
Recoverable amount	235,000
Impairment	16,000
Group share (80%)	12,800

Working 5 – Profit from discontinued operation

	\$'000
Profit of Gamma to 31 August 20X9 (\$126,000 x 8/12)	84,000
Fair value adjustment to profit (\$11.4m x 1/8 x 8/12)	(950)
Gain on disposal of Gamma (W6)	120,419
Tax on gain on disposal	(38,000)
Profit from discontinued operation	165,469

Working 6 – Gain or loss on disposal of Gamma

	\$'000
Disposal proceeds	330,000
Less net assets at date of disposal (W7)	(237,775)
Less goodwill at date of disposal (W8)	(20,500)
Add NCI at date of disposal (W9)	48,694
	120,419

Working 7 – Net assets of Gamma on date of disposal

	\$'000
At 1 January 20X9	211,000
Profit to date of disposal (\$126,000 x 8/12 – OF rule applies from W5)	84,000
Dividend paid 30 June 20X9	(67,000)
Fair value adjustment to property:	
Depreciable component (\$11.4m x 52/96)	6,175
Non-depreciable component (\$15m – \$11.4m)	3,600
	237,775

Working 8 – Goodwill of Gamma at date of disposal

	\$'000
Cost of investment	95,000
NCI in Gamma at date of acquisition (2.5m x \$4.20)	10,500
Less fair value of net assets of Gamma at date of acquisition	(85,000)
	20,500

Working 9 – NCI in Gamma at date of disposal

	\$'000
NCI at date of acquisition (W8)	10,500
25% of movement since acquisition (\$237,775 (W7) – \$85,000)	38,194
	48,694

Working 10 – Non-controlling interest

	\$'000
Beta – 20% x \$62,000	12,400
Gamma – 25% x (\$84,000 – \$950) (W5 – OF rule applies here)	20,763
	33,163

2 Attachment to email

The relevant standard is **IAS 16 – Property, Plant and Equipment (PPE)**. IAS 16 states that the cost of an item of PPE should be its purchase price plus any costs directly attributable to bringing the asset to the location and condition for it to be capable of operating in the manner intended by management (**principle**).

Under this principle, the **materials** used in the construction of the plant should be included in the cost of PPE and also the **production overheads** directly related to its construction.

However, IAS 16 does **not allow general administrative overheads** to be included as part of PPE. Such overheads (\$1 million in this case) should be recognised in the statement of profit or loss as an **operating expense**.

IAS 16 **allows** the cost of employee benefits payable to construction staff to be included in the cost of PPE, but **only** those costs incurred during the construction period, which is January and February 20X5. Therefore **\$1 million** ($2 \times \$500,000$) will be included in PPE whilst the other \$2 million will be recognised in the statement of profit or loss as an **operating expense**.

The costs of training staff to operate the new plant **cannot be recognised in PPE** since they are specifically disallowed by IAS 16. These costs (\$600,000) should be recognised in the statement of profit or loss as an **operating expense**.

The cost of \$200,000 to test the operating systems to ensure they are fit for purpose are necessary to enable the plant to be used and should be recognised in PPE.

The costs of an opening ceremony **cannot** be recognised in PPE and should be recognised in the statement of profit or loss as an **operating expense**.

Under the principles of IFRS 9 – *Financial Instruments* – the borrowing is a **financial liability** measured using the **amortised cost** method.

The initial carrying amount of the financial liability should be the **net proceeds** received from the lender of \$7.8 million. The borrowing fee should **not** be included in PPE (**principle**).

The difference of \$720,000 (\$8.52 million – \$7.8 million) between the initial carrying amount of the borrowing and the final repayment will be a finance (borrowing) cost (**principle**). In this case, the finance cost for the year ended 30 June 20X5 will be **\$420,000** ($\$720,000 \times 7/12$).

Under the principles of IAS 23 – *Borrowing Costs* – costs of borrowings taken out to finance the construction of an asset are recognised in PPE during the period in which activities are taking place in order to get the asset ready for use (**principle**). In this case, the borrowing (finance) costs which are recognised in this way will be those incurred in the three-month period from 1 January 20X5 to 1 April 20X5 of **\$180,000** ($\$720,000 \times 3/12$).

The remaining borrowing costs of **\$240,000** ($\$420,000 - \$180,000$) will be recognised in the **statement of profit or loss as a finance cost**.

The closing borrowings balance will be **\$8,220,000** ($\$7.8 \text{ million} + \$420,000$). This will be recognised in the statement of financial position as a **current liability**.

Under the principles of **IAS 37 – Provisions, Contingent Liabilities and Contingent Assets** – a provision for the environmental rectification cost is required **if** there is an obligation arising out of a past event which can be reliably measured.

Although there is no legal obligation to rectify the damage, Theta has, by its reputation, created a constructive obligation and will undertake this expenditure, so a provision is required – sense of the point.

Where the time value of money is material, IAS 37 requires that the provision be measured at the present value of the expected future expenditure (**principle**). Therefore the provision which should be recognised from **1 March 20X5** (the date construction is completed and the environmental damage caused) and measured at **\$1.5 million** ($\$10 \text{ million} \times 0.15$).

Under the **principles** of IAS 16 this recognition provision is included as part of the cost of PPE, so an additional **\$1.5 million** is included in PPE.

Therefore the total amount included in the cost of PPE at 30 June 20X5 is \$8,880,000 (W1).

Depreciation should be charged from 1 April 20X5, the date the asset is available for use (**principle**).

Therefore depreciation for the year ended 30 June 20X5 will be \$111,000 ($\$8,880,000 \times 1/20 \times 3/12$). This will be recognised in the **statement of profit or loss** as an operating expense.

The closing balance of PPE will be **\$8,769,000** ($\$8,880,000 - \$111,000$). This will be recognised as a **non-current asset** in the statement of financial position.

As the date for payment of the \$10 million rectification cost gets closer, the discount unwinds and the unwinding amount is added to the recognised provision (**principle**).

For the year ended 30 June 20X5, the amount of the unwinding is **\$50,000** ($\$1.5 \text{ million} \times 10\% \times 4/12$). \$50,000 will be recognised in the statement of profit or loss as a **finance cost**.

The closing provision will be **\$1,550,000** ($\$1.5 \text{ million} + \$50,000$). This will be recognised as a **non-current liability** in the statement of financial position.

W1 – Spreadsheet workings: total cost of PPE at 30 June 20X5

	\$'000
Material cost	4,000
Production overheads	2,000
Construction staff salaries	1,000
Costs of testing the operating systems	200
Attributable finance costs	180
Environmental rectification provision	1,500
	8,880

Ethical issue – Email from FD

You are in danger of breaching the fundamental ethical principle of integrity. The FD has suggested that you collude in the reporting an inflated profit figure and use this information for personal gain by purchasing shares in advance of an anticipated rise in the share price following the release of the results.

You face a danger of breaching the principle of objectivity because of the way the FD has linked your complying with these instructions to your upcoming staff appraisal (*candidates who refer to an intimidation threat here will receive appropriate credit*).

You are in danger of breaching the fundamental principle of confidentiality when you ask your friend for advice. This request is almost bound to mean that you disclose confidential information to your friend.

You also may be breaching the fundamental ethical principle of professional competence and due care. The treatments suggested by the FD are clearly inappropriate and not in compliance with IFRS standards. Were you to implement them, you would be in breach of your professional duty to conduct yourself in a competent manner.

3 Exhibit 1 – Construction contract

The financial reporting treatment of this contract is governed by **IFRS 15 – Revenue from Contracts with Customers**.

Delta has a single performance obligation, to construct and install a machines.

Delta must establish the timing of recognition of revenue as to **when the performance obligation is satisfied**. IFRS 15 allows for two scenarios, the performance obligation being satisfied **over time** or the performance obligation being satisfied **at a point in time**.

IFRS 15 states that a performance obligation is satisfied when control of the goods (or services) is transferred to the customer. In the current circumstances, given that Delta is constructing and installing the machines at the customer's premises, then 'control' of the machines is being transferred to the customer as they are being constructed. Therefore the performance obligation is being satisfied over time and the revenue is recognised on this basis – sense of the point.

Given that the performance obligation is being satisfied over time, it is necessary to measure the extent of its completion at the reporting date. The question tells us that Delta uses input methods to measure the extent of completion. This involves computing the costs incurred up to 30 June 20X5 as a proportion of the total expected costs of the project – sense of the point.

IFRS 15 states that costs which were **not originally envisaged** when the contract was planned, and are caused by inefficiencies or similar issues, should be charged to **profit or loss** as incurred rather than being included as a 'contract cost'. The **same applies** to any general or administrative overheads.

In this case, the cost of wasted materials and labour costs of disposal of wasted material of **\$350,000** (\$250,000 + \$100,000) as well as the 'allocated general overheads' of **\$480,000** should be charged to the statement of profit or loss for the year ended 30 June 20X5.

At 30 June 20X5, the performance obligation would be regarded as being 52.9% satisfied (W1).

The consideration for the contract includes a variable component (based on completion dates). Where this occurs, IFRS 15 states that the revenue should be based upon the estimated amount receivable from the customer in exchange for the promised goods – sense of the point.

The total revenue will be estimated as \$12.2 million (W2).

Therefore the revenue which will be recognised in the statement of profit or loss will be \$6,453,800 (\$12.2 million x 52.9%).

Costs associated with the contract which will be recognised in the statement of profit or loss will be \$4.5 million (W1).

The statement of financial position at 30 June 20X5 will show, as a **current asset**, a contract asset of **\$453,800** (W3).

W1 – % age of completion calculation

	Total estimated cost \$'000	Cost to date \$'000
Commission	300	300
Materials	4,200	2,200
Direct labour	2,000	1,000*
Depreciation	1,200	600
Sub-contractors	800	400
Total cost for completion calculation	<u>8,500</u>	<u>4,500</u>

* This represents the \$1.1 million labour costs incurred to date less the labour costs (\$100,000) relating to the inefficient working which are taken straight to profit or loss.

Thus the contract is regarded as 52.9% complete $((4,500/8,500) \times 100\%)$.

W2 – Estimate of total revenue on the contract

	\$'000
Original contracted price	12,000
Reduction for expected four-week overrun (4 x \$100,000)	(400)
Expected additional amount due to premium quality of the work	600
Total expected revenue	<u>12,200</u>

W3 – Contract asset at 30 June 20X5

	\$'000
Revenue recognised by Delta (52.9% x \$12.2m)	6,453.8
Less: invoiced by 30 June 20X5	(6,000)
Contract asset	<u>453.8</u>

Exhibit 2 – Joint arrangement

The financial reporting treatment of this arrangement is governed by **IFRS 11 – Joint Arrangements**. IFRS 11 states that a joint arrangement is one of which two or more parties have joint control.

The arrangement between Delta and Drax is a joint arrangement because all the decisions relating to the product must be agreed by both parties, so they have joint control (sense of the point).

An arrangement is a joint operation **when the parties to the arrangement have rights to the assets and obligations for the liabilities** of the arrangement. This is the type of arrangement which Delta and Drax have entered into.

When accounting for a joint operation, each operator includes its share of the assets, liabilities, revenues and expenses of the operation (sense of the point).

This means that Delta will recognise the following amounts in the **statement of profit or loss** for the year ended 30 June 20X5:

Revenue of **\$20 million** (\$40 million x 50%).

Cost of sales of **\$13 million** (\$26 million x 50%).

Advertising and distribution costs of **\$700,000** (50% x (\$400,000 + \$1 million)).

Delta will recognise the following amounts under **current assets** in the **statement of financial position** at 30 June 20X5:

Trade receivables of **\$4 million** (50% x (\$40 million – \$32 million)).

Inventories **\$1.75 million** (W1).

An amount receivable from Drax of **\$15.95 million** (W2).

W1 – Inventories of Delta at 30 June 20X5

	Total \$'000	Delta share (50%) \$'000
Raw materials purchased by Delta	6,500	3,250
Manufacturing costs incurred by Delta	8,500	4,250
Manufacturing costs incurred by Drax	14,500	7,250
Transferred to cost of sales	<u>(26,000)</u>	<u>(13,000)</u>
So closing inventories equals	<u>3,500</u>	<u>1,750</u>

W2 – Balance receivable from Drax on 30 June 20X5

	Debit \$'000	Credit \$'000
Raw materials purchased by Delta (Drax share)	3,250	
Manufacturing costs incurred by Delta (Drax share)	4,250	
Manufacturing costs incurred by Drax (Delta share)		7,250
Advertising and distribution costs incurred by Delta (Drax share)	200	
Advertising and distribution costs incurred by Drax (Delta share)		500
Cash collected from customers by Drax (Delta share)	16,000	
Balance carried forward (debit)		15,950
	<u>23,700</u>	<u>23,700</u>

4 Exhibit 1 – Disclosures

The transactions with Gower need to be disclosed because Gower is a **related party** of Omega (the reporting entity) according to IAS 24 – **Related Party Disclosures**.

IAS 24 states that a director of an entity is a member of the key management personnel (KMP) of that entity. Key management personnel are automatically related parties. Therefore the MD of Gower is a related party of Omega as he is a director of Omega.

IAS 24 further states that close family members of the related parties of an entity are themselves related parties. Therefore the spouse of the director would also be a related party of Omega.

Finally, IAS 24 states that because Gower is **controlled** by the spouse of a director of Omega, then Gower is itself a related party of Omega.

Disclosures required relating to Gower in the consolidated financial statements would be the nature of the related party relationship, the amount of transactions in the period, and the amount of any outstanding balances with Gower (likely to be payables) at the year end.

The nature of related party relationships is such that materiality is considered using qualitative measures as well as quantitative ones. Therefore despite their relatively small amounts, transactions with Gower might need to be disclosed in the consolidated financial statements of Omega to enable the users to assess their significance (sense of the point).

Dixon is not a related party of Omega, so disclosure of transactions and balances would only be necessary if this was considered relevant to the overall understanding of the consolidated financial statements (sense of the point).

Exhibit 2 – Investment in Newco

Newco is not a subsidiary of Omega. Based on the principles outlined in **IFRS 10 – Consolidated Financial Statements** – a subsidiary entity is one which is **controlled** by the investor. The facts here indicate that Omega cannot exercise control over Newco, **based on** a shareholding of only 35% and an ability to appoint only two out of its six directors.

The ability to appoint two of the six directors, and the ownership of 35% of the shares would, however, given the rights of appointment of the other directors, and the ownership of the other shares, appear to give Omega the ability to exercise significant influence over Newco – sense of the point.

Under the principles of **IAS 28 – Investments in Associates and Joint Ventures** – Newco would be regarded as an **associate** of Omega because of the ability of Omega to exercise significant influence. IAS 28 contains a rebuttable presumption that ownership of **20%** or more of the equity shares of an entity gives the investor the ability to exercise significant influence.

Where the investor prepares consolidated financial statements (the case for Omega), then IAS 28 requires the investor to account for the investment in the associate under the **equity method**. Under the equity method, the investment in the associate is shown at **cost plus the investor's share of the post-acquisition change in net assets of the associate**. The post-acquisition increase in the carrying amount of the investment is shown in **profit or loss or other comprehensive income**.

If there are transactions between the associate and the investor, then any profits made by either party are eliminated to the extent of the investor's share in the associate. If, at the year end, the investment in the associate has suffered impairment, then the investment should be written down to its recoverable amount.

The increase in the carrying amount of Omega's investment in Newco **implies** that, since acquisition, the net assets of Newco have increased by \$10 million and Newco's share of this increase is \$3.5 million.

This means that the carrying amount of \$63.5 million for the investment in Newco is not necessarily the value of the shares at the year end. This value will be determined by market forces – sense of the point.

Exhibit 3 – Financial statements of Tiny and Minor

Based on the principles outlined in **IFRS 10 – Consolidated Financial Statements** – all group entities should be reflected in the consolidated financial statements by applying uniform accounting policies. If individual group entities prepare their financial statements using accounting policies which differ from those of the parent, then appropriate adjustments should be made when reflecting their assets, liabilities, profits and losses in the consolidated financial statements.

It would suggest that due to the size of the company, Minor is preparing its financial statements using the IFRS for SMEs (SMEs Standard) while Tiny is applying the full International Financial Reporting Standards (IFRS standards) – sense of the point.

The ability to use the SMEs Standard, however, does not depend on the size of the reporting entity, but on whether or not the entity is 'publicly accountable'. It is likely therefore that Minor is not 'publicly accountable'.

Entities which are not publicly accountable have the right, but not the obligation, to use the SMEs Standard rather than full IFRS standards. This could explain why Minor is using the SMEs Standard but Tiny is not.

The SMEs Standard contains less detailed reporting requirements than full IFRS standards and provides for more straightforward accounting treatments in certain cases – sense of the point.

A specific example of the above is that under the SMEs Standard, all research and development costs are charged as an expense in the statement of profit or loss in all circumstances.

Accounting for research and development costs under full IFRS is governed by **IAS 38 – Intangible Assets**. IAS 38 requires that development costs are recognised as an intangible asset once there is a separately defined project, with clearly identifiable expenditure, adequate resources to complete the project, and reasonable certainty that future economic benefits will exceed the capitalised costs. IAS 38 requires research costs to be charged as an expense to profit or loss in all circumstances because at the research stage there is no definite prospect of future benefit for the reporting entity – sense of the point.

In future periods it might be beneficial to require Minor to use full IFRS standards in the preparation of its individual financial statements to make the consolidation process more straightforward as no adjustments would be required.

	<i>Marks</i>
1 Statement of profit or loss	
– Revenue	1
– Cost of sales	2
– Impairment of Beta goodwill	5.5
– Investment income	1.5
– Operating expenses, finance costs, income tax	1.5
	<u>11.5</u>
Profit from discontinued operations	
– Gain on disposal of Gamma	7
– Profit share, fair value adjustment, tax	3.5
	<u>10.5</u>
Profit for the year	
– Shareholders of Alpha	0.5
– Non-controlling interest	2.5
	<u>3</u>
	<u>25</u>
2 Attachment 1	
– Explanations per IAS 16	5.5
– Calculations	1
– Explanations per IFRS 9	3
– Calculations	2.5
– Explanations per IAS 23	1
– Calculations	0.5
– Explanations per IAS 37	5
– Calculations	2.5
	<u>21</u>
Ethics	<u>4</u>
	<u>25</u>
3 Exhibit 1	
– Explanations per IFRS 15	8
– Calculations	7
	<u>15</u>
Exhibit 2	
– Explanations per IFRS 11	5
– Calculations	5
	<u>10</u>
	<u>25</u>

	<i>Marks</i>
4 Exhibit 1	
– Explanations per IAS 24	<u>7</u>
Exhibit 2	
– Explanations per IFRS 10	1
– Explanations per IAS 28	<u>7</u>
	8
Exhibit 3	
– Explanations per IFRS 10	2
– Explanations IFRS for SMEs	5
– Explanations per IAS 38	<u>3</u>
	10
	25

ACCA IFRS DIPLOMA December 2023 Questions

1 of 4

Alpha, a parent with one subsidiary, Beta, is preparing its consolidated statement of financial position (SFP) as at 31 December 20X9.

The following exhibits, available on the left-hand side of the screen, provide information relevant to the question:

1. Financial statements – draft SFP for Alpha and Beta as at 31 December 20X9.
2. Alpha's investment in Beta – details of Alpha's investment in Beta.
3. Alpha's other investments – a summary of Alpha's other investments, including the investment in Gamma.
4. Inter-company trading – details of trading between Alpha and Beta, and Alpha and Gamma.
5. Convertible loan – a convertible loan taken out by Alpha on 1 January 20X9.

This information should be used to answer the question requirement within the response option provided.

1. Financial statements

Note: This spreadsheet has been copied into the spreadsheet Response Option.

Statements of financial position at 31 December 20X9

	Alpha \$'000	Beta S'000
Assets		
Non-current assets		
Property, plant and equipment (Exhibit 2)	350,000	225,000
Financial assets (Exhibits 2 and 3)	290,000	Nil
	640,000	225,000
Current assets		
Inventories (Exhibit 4)	105,000	80,000
Trade receivables (Exhibit 4)	95,000	70,000
Cash and cash equivalents (Exhibit 4)	30,000	35,000
	230,000	185,000
Total assets	870,000	410,000
Equity and liabilities		
Share capital (\$1 shares)	200,000	100,000
Retained earnings	170,000	65,000
Other components of equity	100,000	55,000
	470,000	220,000
Total equity	470,000	220,000
Non-current liabilities		
Long-term borrowings (Exhibit 5)	140,000	50,000
Deferred tax	110,000	25,000
	250,000	75,000
Total non-current liabilities	250,000	75,000
Current liabilities		
Trade and other payables	100,000	90,000
Current tax payable	50,000	25,000
	150,000	115,000
Total current liabilities	150,000	115,000
Total liabilities	400,000	190,000
Total equity and liabilities	870,000	410,000

2. Alpha's investment in Beta

On 1 January 20X8, Alpha acquired 80 million shares in Beta and gained control of Beta. Alpha acquired the shares in Beta by issuing one Alpha share for every two shares acquired in Beta. Alpha incurred costs of \$2 million when issuing these shares. Alpha included these issue costs as part of the carrying amount of its investment in Beta in its own statement of financial position. On 1 January 20X8, the fair value of an Alpha share was \$5.40.

On 1 January 20X8, the individual financial statements of Beta showed a balance on retained earnings and other components of equity of \$30 million and \$55 million respectively. On 1 January 20X8, the carrying amounts of the individual assets and liabilities of Beta in its own financial statements were the same as their fair values, with the exception of:

- Property, plant and equipment which had a carrying amount of \$100 million and a fair value of \$120 million. The estimated useful life of this property, plant and equipment at 1 January 20X8 was five years.
- A contingent liability which had a fair value of \$25 million on 1 January 20X8. The contingent liability was resolved during 20X8 and did not exist at 31 December 20X8.

The directors of Alpha elected to measure the non-controlling interest in Beta on 1 January 20X8 using the fair value method. On 1 January 20X8, the fair value of a share in Beta was \$2.00.

3. Alpha's other investments

On 1 January 20X8, Alpha purchased 20 million of Gamma's 50 million \$1 equity shares for a cost of \$41 million. The purchase of these shares allowed Alpha to appoint two of Gamma's five directors. The other three directors of Gamma act independently of each other.

On 1 January 20X8, the individual financial statements of Gamma showed a balance on retained earnings of \$20 million. On 1 January 20X8, the carrying amounts of the individual assets and liabilities of Gamma in its own financial statements were the same as their fair values. The balance of retained earnings of Gamma in its own individual financial statements at 31 December 20X9 was \$35 million.

The remaining financial assets of Alpha consist of a portfolio of equity investments. These investments are held for trading purposes. The carrying amount of the portfolio in the individual financial statements of Alpha represents the fair value of the portfolio at 1 January 20X9, adjusted for purchases into and sales out of the portfolio during 20X9. On 31 December 20X9, the fair value of the portfolio was \$36 million.

4. Inter-company trading

Alpha sells products to both Beta and Gamma. Alpha applies a mark-up of 50% to the cost of these products when invoicing them to Beta and Gamma. On 31 December 20X9, the inventories of Beta and Gamma included goods purchased from Alpha. The amounts included in inventories were:

- \$15 million in the inventories of Beta.
- \$12 million in the inventories of Gamma.

On 29 December 20X9, Beta and Gamma owed Alpha for some of these goods and sent payments of \$10 million and \$6 million respectively to Alpha in respect of amounts owing for the purchase of products from Alpha. Alpha received and recorded both payments after 31 December 20X9.

5. Convertible loan

On 1 January 20X9, Alpha took out a long-term loan of \$100 million. The loan does not require any payment of interest but is repayable five years after 1 January 20X9 at an amount of \$150 million. As an alternative to receiving this repayment, the lenders can elect to convert their loan asset to equity shares in Alpha.

Were the conversion option not available, the lenders would have required an annual return of 10%. At a discount rate of 10% per annum, the present value of \$1 receivable in five years' time is approximately 62 cents.

The individual statement of financial position of Alpha shows this loan within non-current liabilities at a carrying amount of \$100 million.

Requirement (25 marks)

Using exhibits 1-5, and the pre-populated spreadsheet response option, prepare the consolidated statement of financial position of Alpha as at 31 December 20X9.

Notes:

- No explanations of consolidation adjustments are required. Marks will not be awarded for explanations.
- You do not need to consider the deferred tax effects of any adjustments you make.
- You should show all workings to the nearest \$'000.

(25 marks)

2 of 4

Delta, a listed entity, prepares financial statements to 30 September each year. You are a trainee accountant employed by Delta and report to the finance director (FD) of Delta. One of your key responsibilities is to prepare the first draft of Delta's published financial statements. You have recently received an email from the FD regarding the financial statements for the year ended 30 September 20X9.

The following exhibits, available on the left-hand side of the screen, provide information relevant to the question:

Email – an email from the FD.

Attachment 1 to the email – details information relating to the treatment of a defined benefit pension plan.

Attachment 2 to the email – details information relating to the decline in the resale price of a product. This information should be used to answer the question requirements within your chosen response option(s).

1. Email

To: Trainee accountant
From: Finance director
Subject: Financial statement preparation
Date: 25 October 20X9

As you will know, we are just about to begin the preparation of the published financial statements for the year ended 30 September 20X9. They need to be approved and issued no later than 30 November 20X9. It is very important that the upcoming set of financial results show a favourable financial performance. If the earnings per share (EPS) for the year exceed 50 cents, then all staff will receive a cash bonus.

I have made an initial assessment of our financial performance for the year ended 30 September 20X9 and this shows that our reported profit for the year is likely to be \$42 million. Since we had 80 million equity shares in issue on 1 October 20X8, the start of the year, then the EPS will be 52.5 cents per share (\$42m/80m). Therefore, we will achieve the EPS target which triggers off The payment of the bonus. We issued 20 million equity shares at full market value on 1 July 20X9 but that will not affect the computation of the EPS figure for the year ended 30 September 20X9 since these shares were only in issue for three months.

Since you are a trainee accountant, there are certain transactions affecting Delta which you may be unsure how to report in the financial statements. I have therefore attached details of two separate transactions and the manner in which I would like you to report them in the financial statements. The initially computed draft profit figure of \$42 million is computed based on my instructions.

I would like you to follow my instructions and not to discuss them with anyone else. You will then receive your share of the staff bonus which is dependent on the EPS. I will also be sure to remember this favourably when conducting your annual performance appraisal which is due before 31 December 20X9.

2. Attachment 1 to the email

Delta operates a defined benefit pension plan and all employees are eligible to join the plan. Delta pays contributions into the plan and the managers of the plan pay benefits to retired employees at the end of each financial year. I have been provided with the following information relating to the defined benefit pension plan. You can assume that all these numbers are accurate:

	\$m
Present value of obligations at 30 September 20X8	60
Present value of obligations at 30 September 20X9	67
Fair value of plan assets at 30 September 20X8	54
Fair value of plan assets at 30 September 20X9	58

Amounts related to year ended 30 September 20X9:

– Contributions paid into plan	11
– Current service cost	12.5
– Benefits paid	7

The statement of financial position at 30 September 20X8 showed a net defined benefit liability of \$6 million (\$60 million – \$54 million). I do not believe the net liability should be in the financial statements of Delta at all – it is a net liability of the defined benefit pension plan, not of Delta.

Therefore, in computing the draft profit of \$42 million, I have used \$6 million of the \$11 million contributions paid by Delta to debit the liability and charged the remaining \$5 million of contributions as an operating cost in the statement of profit or loss and other comprehensive income. You can ignore the amounts paid out to retired employees completely – the plan pays these out, not Delta. Other than my accounting for these contributions, nothing should appear in the financial statements of Delta.

You may have noticed that there is a note on the file of information relating to the pension plan which states that the annual rate of return on high quality corporate bonds has been 8% throughout the year ended 30 September 20X9. You can ignore this though; you do not need this information to carry out my instructions.

(10 marks)

3. Attachment 2 to the email

You will know that two of our most popular inventory lines are product X and product Y. Relevant financial details are as follows:

	Product X	Product Y
Number of units held in inventory at 30 September 20X9	10 million	6 million
Manufacturing cost per unit	\$2.00	\$3.00
Advertised selling price at 30 September 20X9 per unit	\$2.80	\$3.60
Selling price at 3 October 20X9 per unit following entry of new competitor into the market (see below)	\$1.80	\$3.60
Selling costs per unit	\$0.08	\$0.10

On 28 September 20X9, a new competitor entered the market selling goods very similar to product X. This had a significant impact on our ability to sell our product X inventory and so on 3 October 20X9, we were forced to reduce our sales prices to stay competitive. Our sales of product X which have been made since 30 September 20X9 have all been at this reduced price.

In computing the draft profit of \$42 million, I have not made any adjustments to the carrying amount of inventory at 30 September 20X9 in respect of this though because the price reduction did not occur until October 20X9 – after the year end. Any losses we might make on future sales of product X items are more than offset by potential gains on product Y items.

(6 marks)

Requirement (25 marks)

(a) Using the information in exhibits 2 and 3, explain and show how the transactions described there should be accounted for in the financial statements of Delta for the year ended 30 September 20X9.

Notes:

- Marks will be awarded for BOTH figures AND explanations.
- The mark allocations are indicated in each exhibit.
- Ignore taxation.
- Where your proposed treatment differs from that suggested by the finance director you should specifically comment on the reasons for this.
- Your answer to this part should NOT discuss any ethical issues.

(16 marks)

(b) Using the information in exhibit 1 and your answer from part (a), compute the earnings per share of Delta for the year ended 30 September 20X9.

(5 marks)

(c) Using the information in exhibit 1, identify and explain the ethical issues that confront you as a result of the email sent to you from the finance director.

(4 marks)

3 of 4

Epsilon prepares financial statements to 30 June each year. You are Epsilon's financial controller and are responsible for preparing the financial statements for the year ended 30 June 20X5.

The following exhibits, available on the left-hand side of the screen, provide information relevant to the question:

- 1. Memorandum – a memorandum from a trainee accountant requesting information about the recognition and measurement of deferred tax balances .**
- 2. Tax transactions – provides details of transactions for which deferred tax balances need to be computed.**

This information should be used to answer the question requirements within your chosen response option(s).

1. Memorandum

There are a number of trainee accountants who report to you. One of these trainee accountants, trainee A, is learning about deferred tax. Trainee A knows that deferred tax is the tax on temporary differences but is unsure about how to compute deferred tax balances in the financial statements and has sent the following memorandum:

Memorandum

To: Financial controller
From: Trainee accountant

I know that deferred tax is the tax on temporary differences. However, I do not understand:

(i) How to compute temporary differences.

(ii) How to compute deferred tax balances in the statement of financial position once those temporary differences are calculated.

(iii) Whether there is any difference between the recognition criteria for deferred tax liabilities and deferred tax assets.

(iv) Whether deferred tax liabilities and deferred tax assets can be netted off against each other in the statement of financial position.

(v) What the impact will be on the statement of profit or loss and other comprehensive income when a deferred tax liability or asset is recognised in the statement of financial position.

Please can you explain each of these to me?

(9 marks)

2. Tax transactions

(a) On 1 July 20X3, Epsilon purchased a large machine for \$60 million. The useful life of the machine was estimated to be five years from 1 July 20X3, after which its residual value would be zero. In the tax jurisdiction in which Epsilon is located, this machine purchase qualifies for a tax deduction of \$30 million in the year of purchase, followed by a deduction of \$15 million for each of the next two years.

(b) On 1 July 20X4, Epsilon borrowed \$40 million. No annual interest is payable on the loan. Instead the loan is repayable on 30 June 20X8 at an amount of \$58.564 million (cumulative PV of principal and interest). The cumulative interest will be allowed as a tax deduction when the loan is repaid during the year ended 30 June 20X8. This loan carries an effective interest rate of 10% per annum.

(c) Epsilon has a wholly owned subsidiary, Fred. Fred is located in the same tax jurisdiction as Epsilon. On 30 June 20X5, the carrying amount of the net assets of Fred in the consolidated financial statements of Epsilon was \$100 million. This figure did not include goodwill arising on acquisition of Fred of \$20 million.

On 30 June 20X5, the directors of Epsilon carried out an impairment review of the goodwill arising on acquisition of Fred. Fred was considered to be a single cash-generating unit. On 30 June 20X5, the directors of Epsilon estimated that the value in use of Fred was \$105 million and its fair value less costs of disposal was \$90 million.

The annual rate of income tax payable by Epsilon on its profits can be assumed to be 20%. Assume that Epsilon will generate taxable income in every accounting period for the foreseeable future.

(16 marks)

Requirement (25 marks)

(a) Answer queries (i) - (v) in exhibit 1.

(b) Using the information in exhibit 2, explain and show how the deferred tax impacts should be accounted for and presented in the financial statements of Epsilon for the year ended 30 June 20X5.

Notes:

- The mark allocations are indicated in each exhibit.
- In requirement (b) marks will be awarded for BOTH figures AND explanations.

(25 marks)

4 of 4

You are the financial controller of Omega, a listed entity with a number of subsidiaries. Omega prepares financial statements to 30 June each year. Omega's sales director, who is not an accountant, has reviewed the first draft of the consolidated financial statements of Omega for the year ended 30 June 20X5. The sales director raised some queries as a result of the review.

The following exhibits, available on the left-hand side of the screen, provide information relevant to the question:

1. Fair values – details the use of fair values in Omega's financial statements .
2. Properties – details of measurement of properties in Omega's financial statements.
3. Assets – details of the assets included in the financial statements of two subsidiariess .

This information should be used to answer the question requirement within the response option provided.

1. Fair values

When I reviewed the financial statements, it appeared that the measurement of most of Omega's assets was based on historical cost – what we paid for them. However, it appears from the notes to the financial statements that some assets are measured at fair value. A specific example of such a practice is the portfolio of equity shares which Omega has in a number of listed entities. It seems very inconsistent to measure some assets based on historical cost and others based on fair value.

I know that, in the specific case of equity shares, there is a quoted price which must be paid to buy them in the market, but a different quoted price at which a current owner could sell them in the market, and they may be traded on a number of security exchanges. I am unsure which one to use when identifying 'market price'.

In summary I would like you to address the following queries:

- How do we know when to use historical cost and when to use fair value?
- When we do use fair value, how do we measure fair value?
- How do we decide which of the quoted prices we should use for equity shares?
- What do we do if there is no market price? For example, in the case of shares in a company which is not listed.

(8 marks)

2. Properties

I am very confused by the accounting for properties in Omega's financial statements. We appear to measure all our properties at fair value in the financial statements. Please explain:—How we work out the fair value of a property if we do not actually advertise it for sale and we have no intention of selling any of our properties in the foreseeable future? There also seems to be a significant inconsistency in the frequency with which we compute fair value of properties and treat gains or losses on the re-measurement of properties in our financial statements. For example:—It appears that properties which we rent out to others are re-measured to fair value every year and that all gains and losses on their re-measurement are recognised in profit or loss;—When it comes to properties which we actually use ourselves, like our factories and warehouses, it appears that we re-measure to fair value less frequently, maybe once every three years or so; and—Gains or losses on the re-measurement of properties like this appear to be recognised in other comprehensive income most of the time, but occasionally in profit or loss. This all seems very inconsistent – surely we should adopt one approach for all our properties? Please explain the apparent inconsistencies in our approach to me.

(10 marks)

3. Assets

You will know that we have two subsidiaries, Aston and Bern, which have fairly similar business models and sell very similar products, albeit in different geographical markets. Aston is a subsidiary which the Omega Group created and incorporated ten years ago. The Omega Group only acquired a controlling interest in Bern a couple of years ago although it has been trading for about ten years.

The two subsidiaries have very similar asset profiles and I would have expected to see that their impact on the consolidated financial statements would be very similar, but there are significant differences:

- The consolidated financial statements have a goodwill figure relating to Bern but not relating to Aston.
- The Bern brand name is recognised in the consolidated financial statements but not the Aston brand name.
- The carrying amount of Bern's property, plant and equipment is significantly higher than that of Aston despite the underlying assets being very similar.

Please explain why there are these differences in the consolidated financial statements.

(7 marks)

Requirement (25 marks)

Provide answers to the queries raised by the sales director relating to the consolidated financial statements for the year ended 30 June 20X5. The queries you need to address appear in exhibits 1 - 3. You should justify your answers with reference to relevant IFRS Accounting Standards.

Note: The mark allocations are indicated in each exhibit.

(25 marks)

Answers

1 Consolidated statement of financial position of Alpha at 31 December 20X9
 [Note: all figures below in \$'000]

	\$'000
Assets	
Non-current assets	
Property, plant and equipment (350,000 + 225,000 + 12,000 (W1))	587,000
Goodwill (W2)	76,000
Investment in associate (W5)	45,400
Financial assets	36,000
	<u>744,400</u>
Current assets	
Inventories (105,000 + 80,000 – 5,000 (W4))	180,000
Trade receivables (95,000 + 70,000 – 10,000 (cash in transit))	155,000
Cash and cash equivalents (30,000 + 35,000 + 10,000 (cash in transit))	75,000
	<u>410,000</u>
Total assets	<u><u>1,154,400</u></u>
Equity and liabilities	
Equity attributable to equity holders of the parent	
Share capital (\$1 shares)	200,000
Retained earnings (W4)	204,700
Other components of equity (W8)	107,000
	<u>511,700</u>
Non-controlling interest (W3)	50,400
Total equity	<u>562,100</u>
Non-current liabilities	
Long-term borrowings (W7)	192,300
Deferred tax (110,000 + 25,000)	135,000
Total non-current liabilities	<u>327,300</u>
Current liabilities	
Trade and other payables (100,000 + 90,000)	190,000
Current tax payable (50,000 + 25,000)	75,000
Total current liabilities	<u>265,000</u>
Total liabilities	<u>558,200</u>
Total equity and liabilities	<u><u>1,154,400</u></u>

Working 1 – Net assets table for Beta

	1 January 20X8 \$'000	31 December 20X9 \$'000
Share capital	100,000	100,000
Other components of equity	55,000	55,000
Retained earnings:		
Per financial statements of Beta	30,000	65,000
Fair value adjustments:		
Property, plant and equipment (post-acquisition additional depreciation 20,000/5 years x 2 = 8,000)	20,000	12,000
Contingent liability	(25,000)	–
Net assets for the consolidation	<u>180,000</u>	<u>232,000</u>

Increase in net assets (232,000 – 180,000) = 52,000

Working 2 – Goodwill on acquisition of Beta

	\$'000
Fair value of shares issued (80,000 x 1/2 x \$5.40)	216,000
Non-controlling interest at date of acquisition (20,000 x \$2.00)	40,000
Net assets at date of acquisition (W1)	(180,000)
Goodwill at 1 January 20X9	<u>76,000</u>

Working 3 – Non-controlling interest in Beta

	\$'000
At date of acquisition (W2)	40,000
20% of post-acquisition increase in net assets (20% x 52,000 (W1))	10,400
	<u>50,400</u>

Working 4 – Retained earnings

	\$'000
Alpha – per draft SOFP	170,000
80% of post acquisition share of Beta (80% x 52,000 (W1))	41,600
Unrealised profit on sales to Beta (15,000 x 50/150)	(5,000)
Acquisition costs of Beta	(2,000)
Share of profits of Gamma (W5)	4,400
Finance cost of convertible loan (W7)	(9,300)
Gain on financial asset portfolio (W9)	5,000
	<u>204,700</u>

Working 5 – Investment in Gamma

	\$'000
Cost of investment	41,000
Share of post-acquisition profits (W6)	4,400
	<u>45,400</u>

Working 6 – Share of post-acquisition profits of Gamma

	\$'000
Per Gamma's own financial statements – 40% (35,000 – 20,000)	6,000
Unrealised profit in inventory – 40% x 12,000 x 50/150	(1,600)
	<u>4,400</u>

Working 7 – Long-term borrowings

	\$'000
Loan element of convertible loan (150,000 x \$0.62)	93,000
Finance cost (93,000 x 10%)	9,300
Alpha's remaining long-term borrowings (140,000 – 100,000)	40,000
Beta's long-term borrowings	50,000
	<u>192,300</u>

Working 8 – Other components of equity

	\$'000
Alpha – per draft financial statements	100,000
Equity element of convertible loan (100,000 – 93,000 (W7))	7,000
	<u>107,000</u>

Working 9 – Gain on financial asset portfolio

	\$'000
Carrying amount per draft financial statements of Alpha	290,000
Carrying amounts of investments in:	
Beta (216,000 (W3) + 2,000)	(218,000)
Gamma (W5)	(41,000)
	<u>31,000</u>
Carrying amount of financial asset portfolio per draft financial statements of Alpha	31,000
Gain on revaluation of the portfolio (balancing figure)	5,000
	<u>36,000</u>
Fair value of the portfolio at 31 December 20X9	

2 (a) Attachment 1 to the email

The relevant standard is IAS 19 – *Employee Benefits*. IAS 19 states that in the case of a defined benefit retirement plan, the contributing company should recognise the net defined benefit obligation/asset (pension liability less pension asset) in its own statement of financial position. Therefore the treatment of this amount in the statement of financial position at 30 September 20X8 is correct but will need to be updated to reflect the position at 30 September 20X9 and cannot be ignored per the FD's suggestion. The net defined benefit obligation will be \$9 million (\$67 million – \$58 million).

IAS 19 states that the current service cost (the increase in the defined benefit pension liability as a result of service in the current reporting period) should be recognised as an operating expense in the statement of profit or loss for the year. In the case of Delta, this expense is \$12.5 million and not the \$5m presently charged to PL.

IAS 19 further requires that an interest charge on the net pension liability be shown as a finance cost in the statement of profit or loss. This charge should be based upon the opening net defined benefit liability using the rate of return on high quality corporate bonds at the start of the reporting period.

In this case, the finance cost for the year ended 30 September 20X9 will be \$480,000 (\$6 million x 8%).

The contributions payable by Delta to the defined benefit plan will be invested by the plan managers as plan assets and in effect reduce the closing amount of the net defined benefit liability. It cannot be used simply to reduce the liability as suggested by the FD or indeed expensed to profit or loss.

The benefits paid to retired plan members will reduce both the overall defined benefit liability and the assets of the plan, so will have no impact on the overall financial position of the net defined benefit obligation shown on Delta's statement of financial position.

Any difference between the opening and closing net liability and the impact of the transactions already described will be treated as an actuarial gain or loss. Any such gain or loss will be recognised in other comprehensive income.

In this case the actuarial loss will be \$1.02 million (W1).

Attachment 2 to the email

Accounting for inventories is governed by IAS 2 – *Inventories*. IAS 2 states that inventories should be measured at the lower of cost and net realisable value.

IAS 2 states that the net realisable value of inventories should be determined for each category of inventory rather than for inventory as a whole. Therefore the fact that the net realisable value of product Y items is in excess of their cost is irrelevant in determining the net realisable of product X items.

The reduction in the selling price of product X items in October 20X9 is an event after the reporting period as defined in IAS 10 – *Events after the Reporting Period* – because it occurred after the reporting date but before the financial statements were authorised for issue.

The entry is an adjusting event because it provided more information about the likely sales proceeds (and therefore net realisable value) of inventory at the reporting date.

The net realisable value of an item of inventory is the anticipated sales proceeds net of selling costs.

Therefore the net realisable value of the product X items is \$17.2 million (10 million x \$1.72 [\$1.80 – \$0.08]). This amount should be shown as a current asset in the statement of financial position at 30 September 20X9. This requires a write down through profit of loss of \$2.8 million (\$20 million cost less NRV \$17.2 million).

No adjustment is needed to product Y as cost (\$3) is lower than NRV (\$3.50).

(b) Earnings (W2) = \$31.22 million

Number = 80 million x 9/12 + 100 million x 3/12 = 85 million

So EPS equals **36.7 cents** (\$31.22 million/85 million shares).

W1 – Spreadsheet workings: actuarial loss for the year ended 30 September 20X9

	\$'000
Opening net liability	6,000
Current service cost	12,500
Interest cost on net liability	480
Contributions paid	(11,000)
	7,980
Actuarial loss (balancing figure)	1,020
Closing net liability (67,000 – 58,000)	9,000

Alternative working for separate obligation/asset column

	<i>Asset \$'000</i>	<i>Obligation \$'000</i>
Opening	54,000	60,000
Current service cost		12,500
Contributions paid	11,000	
Benefits paid	(7,000)	(7,000)
Interest	4,320	4,800
	62,320	70,300
Remeasurement loss/actuarial gain	(4,320)	3,300
	58,000	67,000

Net to OCI (4,320 – 3,300) = 1,020

W2 – Spreadsheet workings: earnings for EPS purposes for the year ended 30 September 20X9

	<i>\$'000</i>
Profits per draft financial statements	42,000
Add: contributions incorrectly charged to P/L	5,000
Deduct: current service cost	(12,500)
Deduct: interest cost on net defined benefit liability	(480)
Deduct: actuarial loss (charged to OCI)	nil
Deduct: write down of inventory (20,000 – 17,200)	(2,800)
Corrected profits for EPS purposes	31,220

(c) Ethical issue – Email from FD

You are in danger of breaching the fundamental ethical principle of integrity. The FD has suggested that you collude in the reporting an inflated profit figure and, as a result, share in a profit related bonus (*candidates who referred to a self-interest threat here received appropriate credit*).

You could also be said to be potentially breaching the fundamental principle of integrity in these circumstances in the sense that colluding in the reporting of an inflated profit figure would present a misleading picture to the shareholders of Delta.

You face a danger of breaching the principle of objectivity because of the way the FD has linked your complying with these instructions to your upcoming staff appraisal (*candidates who referred to an intimidation threat received appropriate credit*).

You also may be breaching the fundamental ethical principle of professional competence and due care. The treatments suggested by the FD are clearly inappropriate and not in compliance with IFRS Accounting Standards. Were you to implement them, you would be in breach of your professional duty to conduct yourself in a competent manner.

3 Exhibit 1 – Memorandum

To: Trainee accountant

From: Financial controller

- (i) IAS 12 – *Income Taxes* requires us to compute temporary differences for **each** asset and liability. A temporary difference is the difference between the **carrying amount** of an asset or liability and its **tax base**.

The tax base of an asset or liability is the amount attributed to that asset or liability for tax purposes.

If the temporary difference is such that the subsequent settlement of the relevant asset or liability will generate taxable amounts, then the temporary difference is a taxable temporary difference.

If the temporary difference is such that the subsequent settlement of the relevant asset or liability will result in an allowable deduction for tax purposes, then the temporary difference is a deductible temporary difference.

- (ii) Deferred tax liabilities or assets should be measured by multiplying the relevant temporary difference by the **rate of corporate income tax which is expected to apply** when the relevant temporary difference generates taxable income or qualifies for a tax deduction. This rate should be computed with reference to **legislation which has been enacted or substantively enacted by the end of the reporting period**.

- (iii) With a very limited number of exceptions, deferred tax liabilities should be recognised on **all taxable temporary differences**.

Deferred tax assets should be recognised in respect of deductible temporary differences **to the extent that it is probable that taxable profits will be available against which the deductible temporary difference can be utilised**.

- (iv) Deferred tax liabilities and assets can be offset in the statement of financial position provided the relevant temporary differences relate to the same tax jurisdiction and the reporting entity intends to settle the relevant taxable amounts on a net basis.
- (v) The movement in a relevant deferred tax liability or asset from one reporting period to another would normally result in an **adjustment to the income tax charge in the statement of profit or loss**. However, if the movement in the relevant deferred

tax amount was as a result of a transaction which is recognised directly in other comprehensive income (for example, most revaluations of property, plant and equipment), then the deferred tax consequences of the transaction would be recognised in other comprehensive income also.

Exhibit 2 – Transactions

Transaction (a)

The carrying amount of the asset on 30 June 20X5 is \$36 million (\$60 million x 3/5).

The tax base of the asset at 30 June 20X5 is \$15 million (\$60 million – \$30 million – \$15 million).

Therefore the **taxable** temporary difference is **\$21 million** (\$36 million – \$15 million) and the relevant deferred tax liability is **\$4.2 million** (\$21 million x 20%).

The carrying amount of the asset on 30 June 20X4 would have been **\$48 million** (\$60 million X 4/5). Its tax base at that date would have been **\$30 million** (\$60 million – \$30 million).

Therefore the taxable temporary difference on 30 June 20X4 would have been **\$18 million** (\$48 million – \$30 million) and the relevant deferred tax liability would have been **\$3.6 million** (\$18 million x 20%).

The increase in the deferred tax liability of \$0.6 million (\$4.2 million – \$3.6 million) will be charged to profit or loss.

Transaction (b)

Under the principles of IFRS 9 – *Financial Instruments* – the interest free loan would have incurred a finance cost of **\$4 million** (\$40 million x 10%). This means that the carrying amount of the loan liability at 30 June 20X5 will be **\$44 million** (\$40 million + \$4 million).

The tax base of the loan will be \$40 million as the entire interest is tax deductible but only when the loan is repaid in 20X8.

Therefore the **deductible** temporary difference will be **\$4 million** (\$44 million – \$40 million) and the relevant potential deferred tax asset **\$0.8 million** (\$4 million x 20%). This asset **can be recognised because it is anticipated that Epsilon will generate sufficient taxable income in future periods to offset the potential future tax deduction.**

Transaction (c)

Under the principles of IAS 36 – *Impairment of Assets* – the goodwill on acquisition of Fred will be reviewed for impairment as **part of the overall cash-generating unit (CGU)**. The carrying amount of the CGU (including goodwill) will be **\$120 million** (\$100 million + \$20 million).

An impairment review involves comparing the carrying amount of the unit with its recoverable amount. Recoverable amount is the **higher of value-in-use and fair value less costs of disposal.**

In this case, the recoverable amount of the CGU is **\$105 million**. This means that the unit has suffered impairment of **\$15 million** (\$120 million – \$105 million).

The impairment loss of \$15 million will reduce the carrying amount of goodwill in Epsilon's consolidated financial statements. IAS 12 prohibits the recognition of deferred tax on the initial recognition and subsequent impairment of goodwill and therefore there is no deferred tax consequence arising from the goodwill impairment.

Overall presentation

The net deferred tax liability at 30 June 20X5 will be **\$3.4 million** (\$4.2 million – \$0.8 million). Offsetting of deferred tax liabilities and assets is justified because they relate to the **same** tax jurisdiction. The net liability will be shown as a non-current liability in the statement of financial position at 30 June 20X5.

The opening deferred tax position regarding these transactions would have been a liability of **\$3.6 million** (see above). Therefore the reduction in the overall liability over the year will be **\$0.2 million** (\$3.6 million – \$3.4 million). This amount will be shown as a **reduction in the tax charge in the statement of profit or loss** (since all the transactions which have generated these temporary differences affect profit or loss).

Tabular working – Deferred tax position at 30 June 20X5 and PL movement

Item	Carrying amount \$'000	Tax base \$'000	Taxable/(deductible) temporary difference \$'000	Deferred tax liability/(asset) \$'000
Machine – at 30 June 20X5	36,000	(15,000)	21,000	4,200
Loan – at 30 June 20X5	(44,000)	40,000	(4,000)	(800)
Overall position at 30 June 20X5				3,400
Machine – at 30 June 20X4	48,000	(30,000)	18,000	3,600

The credit to profit or loss in the year is the difference between the closing liability (\$3.4 million) and the opening liability (\$3.6 million). This difference is \$0.2 million.

4 Exhibit 1 – Fair values

The use (or otherwise) of fair value as a measurement basis is covered by specific IFRS Accounting Standards. Overall, the requirements of specific IFRS Accounting Standards lead to a mixed measurement model being used.

The accounting standard which is relevant to the use of fair values is **IFRS 13 – Fair Value Measurement**. As its title implies, IFRS13 deals with the **measurement of fair value rather than when** fair value should actually be used as a measurement basis.

IFRS 13 states that the fair value of an asset is the **amount which could be expected to be received from its disposal in an orderly transaction between market participants**. Transaction costs are **not** deducted in computing fair value.

Therefore fair value is an exit measure rather than an entry measure. **In the case of shares in a listed entity, for which a 'buy' and a 'sell' price is quoted, it is the 'sell price' which is relevant for fair value measurement.**

Where possible, fair value should be based on **observable** market prices. If there is **more than one** 'market' on which the asset is traded (which could easily be the case for equity shares in a listed entity), then fair value measurement should be based on the **principal market** in which the asset is traded.

Where no specific market prices are available for an individual asset, then IFRS 13 requires that fair values are **estimated** using a range of possible approaches. In the case of shares in an unquoted entity, these **could include** basing fair value on the market prices of the shares of a similar listed entity, discounted for relative lack of marketability, or basing fair value on the projected future earnings, discounted at an appropriate discount rate.

Exhibit 2 – Properties

The fair value of a property would be computed using the **principles set out in IFRS 13**.

In the specific case of properties, fair values could almost certainly be estimated based on the market prices of similar properties which had recently been sold on the open market in the same location.

This estimate would need to reflect **alternative uses** to which the property could be put compared with its current usage. This is **because IFRS 13 requires us to base fair value measurement on the highest and best use** to which the property could be put and which 'market participants' would consider in making a decision to acquire the property.

There are **two separate** IFRS Accounting Standards dealing with the recognition and measurement of properties. These are **IAS 40 – Investment Properties** and **IAS 16 – Property, Plant and Equipment (PPE)**.

IAS 40 **defines** an investment property as one which is held to earn rentals and/or capital appreciation. The properties which we rent out clearly meet this definition.

IAS 40 requires that investment properties are measured using **either** the cost model **or** the fair value model. It **appears** that Omega uses the fair value model to measure its investment properties.

Under the fair value model as set out in IAS 40, investment properties are revalued **annually** to fair value, with gains or losses recognised in **profit or loss**.

Owner occupied properties are dealt with under IAS 16. IAS 16 states that a particular class of PPE is measured using **either** the cost model **or** the revaluation model. Therefore it is **perfectly possible** that owner occupied properties are measured using fair value.

Under the revaluation model, properties are revalued with sufficient regularity to ensure that their year-end carrying amount does not differ significantly from their year-end fair value. This does not necessarily have to mean a new revaluation every year.

Where the revaluation of an owner occupied property results in a **surplus**, then the surplus is recognised in **other comprehensive income** unless it is reversing a revaluation deficit on the same asset which was **previously** recognised in profit or loss.

Where the revaluation results in a **deficit**, then the deficit is recognised in **profit or loss** unless it is reversing a revaluation surplus on the same asset which was **previously** recognised in other comprehensive income.

Exhibit 3 – Assets

The reason for the different treatment of the assets of Aston and Bern in the consolidated financial statements is due to the way the subsidiaries joined the group.

The assets of Aston arose as a result of the internal development of the company as part of the Omega group.

The goodwill attaching to Aston and its brand name are internally developed intangible assets. Recognition and measurement of such assets is dealt with in accordance with the requirements of IAS 38 – *Intangible Assets*.

IAS 38 prohibits the recognition of internally developed intangible assets unless they arise as part of a research and development project. Therefore it is inappropriate to recognise the goodwill attaching to Aston and its brand name in the consolidated financial statements of Omega.

The subsidiary Bern was acquired as a business combination. Accounting for business combinations is dealt with by IFRS 3 – *Business Combinations*.

IFRS 3 requires that, in the case of a business combination, the difference between the fair value of the consideration given and the fair values of the net assets acquired be recognised as goodwill arising on acquisition.

IFRS 3 requires that the assets and liabilities of a newly acquired subsidiary are separately identified and measured at fair value.

Therefore, provided the brand name attaching to Bern can be reliably fair valued, it would be recognised as an intangible asset in the consolidated financial statements of Omega.

The carrying amount of Bern's property, plant and equipment in the consolidated financial statements of Omega would be based on its fair value at the date of acquisition by Omega, whereas the carrying amount of Aston's property, plant and equipment in the consolidated financial statements of Omega would be based on its historical cost to Aston (and the group), presumably a lower figure.

	<i>Marks</i>
1 Consolidated statement of financial position	
Non-current assets	
– PPE and financial assets	1·5
– Goodwill	4
– Investment in associate	2·5
Current assets	2·5
Equity	
– Share capital and other components of equity	2
– Retained earnings	7
– Non-controlling interest	1·5
Non-current liabilities	
– Long-term borrowings	2·5
– Deferred tax	0·5
Current liabilities	1
	25
2 (a)	
– Explanations per IAS 19	5·5
– Calculations	4·5
– Explanations per IAS 2	3
– Calculations	1·5
– Explanations per IAS 10	1·5
	16
(b) Earnings per share calculation	5
(c) Ethics	4
	25
3 Exhibit 1	
– Explanations per IAS 12	9
Exhibit 2	
Transaction (a)	
– Explanations IAS 12	1
– Calculations	4
Transaction (b)	
– Explanations IFRS 9	1
– Explanations IAS 12	1
– Calculations	2
Transaction (c)	
– Explanation IAS 36	2
– Calculations IAS 36	1·5
– Explanation IAS 12	0·5
Presentation IAS 12	3
	25
4 Exhibit 1	
– Explanations per IFRS 13	8
Exhibit 2	
– Explanations per IFRS 13	2
– Explanations per IAS 16	5
– Explanations per IAS 40	3
Exhibit 3	
– Explanations per IAS 38	2·5
– Explanations IFRS 3	4·5
	25

ACCA IFRS DIPLOMA JUNE 2024 Questions

1 of 4

Alpha is preparing its consolidated statement of financial position as at 31 December 20X8.

The following exhibits, available on the left-hand side of the screen, provide information relevant to the question:

1. Draft SOFP – draft statements of financial position (SOFP) for Alpha and Beta as at 31 December 20X8.
2. Alpha's investment in Beta – details of Alpha's investment in Beta.
3. Beta goodwill – details of an impairment review of the goodwill on acquisition of Beta.
4. Inter-company trading – details of trading between Alpha and Beta.
5. Alpha hedge – details of the hedge of a future firm commitment taken out on 30 September 20X7.

This information should be used to answer the question requirement within the response option provided.

2. Draft SOFP

Note: This spreadsheet has been copied into the spreadsheet Response Option

Statements of financial position at 31 December 20X8

	Alpha \$'000	Beta \$'000
Assets		
Non-current assets		
Property, plant and equipment (Exhibit 2 and 5)	500,000	260,000
Financial assets (Exhibit 2)	210,000	nil
	<u>710,000</u>	<u>260,000</u>
Current assets		
Inventories (Exhibit 4)	125,000	90,000
Trade receivables	100,000	80,000
Cash and cash equivalents	40,000	30,000
	<u>265,000</u>	<u>200,000</u>
Total assets	<u>975,000</u>	<u>460,000</u>
Equity and liabilities		
Share capital (\$1 shares)	200,000	120,000
Retained earnings	295,000	85,000
Other components of equity	80,000	35,000
	<u>575,000</u>	<u>240,000</u>
Total equity	<u>575,000</u>	<u>240,000</u>
Non-current liabilities		
Long-term borrowings	150,000	60,000
Deferred tax	100,000	40,000
Total non-current liabilities	<u>250,000</u>	<u>100,000</u>
Current liabilities		
Trade and other payables	90,000	80,000
Current tax payable	60,000	40,000
Total current liabilities	<u>150,000</u>	<u>120,000</u>
Total liabilities	<u>400,000</u>	<u>220,000</u>
Total Equity and liabilities	<u>975,000</u>	<u>460,000</u>

2. Alpha's investment in Beta

On 1 January 20X6, Alpha acquired 90 million shares in Beta and gained control of Beta. Alpha made a cash payment of \$207.9 million to acquire these shares. Alpha incurred legal costs of \$2.1 million relating to the acquisition of Beta. Alpha included these legal costs as part of the carrying amount of its investment in Beta in its own statement of financial position.

On 1 January 20X6, the individual financial statements of Beta showed a balance on retained earnings and other components of equity of \$35 million and \$25 million respectively. On 1 January 20X6, the carrying amounts of the individual assets and liabilities of Beta in its own financial statements were the same as their fair values with the exception of:

- Property, plant and equipment which had a carrying amount of \$90 million and a fair value of \$108 million. The estimated useful life of this property, plant and equipment at 1 January 20X6 was four years.

- An internally developed brand name which had a fair value of \$30 million on 1 January 20X6. The directors of Alpha estimated that the brand name had a useful life of ten years from 1 January 20X6.

The fair value adjustments should be regarded as temporary differences for the purposes of computing deferred taxation. The relevant rate of income tax to apply is 20%. The directors of Alpha elected to measure the non-controlling interest in Beta on 1 January 20X6 using the proportionate share of net assets method.

3. Beta goodwill

Three years after acquisition, on 31 December 20X8, the directors of Alpha carried out an impairment review of the goodwill on acquisition of Beta. For the purposes of the impairment review, the directors of Alpha considered that Beta was a single cash-generating unit.

The results of the impairment review at 31 December 20X8 showed the following:

	CGU
	\$'000
Value in use	305,600
Fair value less costs of disposal	280,500

No impairment of the goodwill on acquisition of Beta had been necessary on 31 December 20X6 or 31 December 20X7.

4. Inter-company trading

Alpha sells products to Beta. Alpha applies a mark-up of one-third to the cost of these products when invoicing them to Beta. On 31 December 20X8, the inventories of Beta included products which had been purchased from Alpha. The invoiced amount of these products by Alpha to Beta was \$20 million.

At 31 December 20X8, there were no amounts owing by Beta to Alpha in respect of the purchase of these products.

5. Alpha hedge

On 30 September 20X7, Alpha entered into a firm commitment to purchase a large machine from an overseas supplier on 31 March 20X8, agreeing to pay in dinars, the functional currency of the supplier. On 30 September 20X7, Alpha entered into a derivative contract with a bank in order to provide protection against possible future currency movements between the \$ and the dinar. This derivative contract was an effective hedge.

On 31 December 20X7, the derivative had a positive fair value of \$22 million. The directors of Alpha correctly applied the relevant provisions of IFRS 9 Financial Instruments to this transaction in the financial statements for the year ended 31 December 20X7.

On 31 March 20X8, the derivative had a positive fair value of \$32 million. On 31 March 20X8, the bank made a cash payment of \$32 million to Alpha. The only accounting in the current year by Alpha has been to debit cash with \$32 million and credit the derivative asset with \$22 million and credit \$10 million to profit or loss.

You do not need to consider the adjustment to property, plant and equipment for any depreciation on the purchased asset.

Requirement (25 marks)

Using exhibits 1-5, and the pre-populated spreadsheet response option, prepare the consolidated statement of financial position of Alpha as at 31 December 20X8.

Notes:

- No written explanations of consolidation adjustments are required. Marks will not be awarded for explanations.
- Unless specifically referred to in the question you do not need to consider the deferred tax effects of any adjustments you make.
- You should show all workings to the nearest \$'000.

(25 marks)

Delta, a listed entity, prepares financial statements to 31 December each year. You are a trainee accountant employed by Delta. One of your key responsibilities is to prepare the first draft of Delta's published financial statements. One of the directors of Delta has contacted you by email regarding the financial statements for the year ended 31 December 20X8. You are unsure how to respond to some of the issues raised by this director so you have asked a friend for advice. Your friend is a qualified accountant not employed by Delta.

The following exhibits, available on the left-hand side of the screen, provide information relevant to the question:

1. Email – an email from the director.
2. Attachment 1 to the email – details information relating to the treatment of a share-based payment plan.
3. Attachment 2 to the email – details information relating to the lease of new business premises.

This information should be used to answer the question requirements within your chosen response option(s).

1. Email

To: Trainee accountant
From: A director
Subject: Financial statement preparation
Date: 15 January 20X9

It is very important that the upcoming set of financial results show a favourable financial performance as we will shortly be seeking new finance in the form of a share issue. Since you are a trainee accountant, there are certain transactions affecting Delta which you may be unsure how to report in the financial statements. I have therefore attached details of two separate transactions to this email. I have outlined the transactions concerned and the manner in which I would like you to report them in the financial statements. The methods I have chosen will ensure that our profits are maximised. This will benefit Delta and ensure a successful share issue.

I would like you to follow my instructions and on no account to discuss them with anyone else. The level of profits which will be reported if you follow my instructions will ensure that a healthy bonus will be payable to all staff, including you. I also should remind you I will be conducting your annual performance appraisal which is due shortly after the financial statements are published.

2. Attachment 1 to the email

You will be aware that on 1 January 20X7, Delta entered into a share option arrangement with all employees. Each employee was granted options to buy 1,000 shares at a price of \$12 per share on 31 December 20X9 provided the employee remained in employment until 31 December 20X9. 800 employees were granted options of this nature. When we granted the options, we thought that 20 employees would leave employment in the three-year period and so would not be entitled to the options. The following information on employees is relevant:

-During 20X7, 10 employees left and on 31 December 20X7, we estimated that a further 15 employees would leave in the two-year period from 1 January 20X8 to 31 December 20X9.

–During 20X8, eight employees left and on 31 December 20X8, we estimated that a further nine employees would leave in 20X9.

We made no accounting entries of any kind in respect of this arrangement in the financial statements for the year ended 31 December 20X7 on the basis that there will be no cash cost to Delta, simply a share issue. This share issue will not occur until shortly after 31 December 20X9 and can be ignored until then. I do not want any entries in the financial statements for the year ended 31 December 20X8 either.

You will note from the documentation relating to this arrangement that the fair values of these share options have varied in the two years since they were granted as follows:

–Fair value of an option on 1 January 20X7 = \$2.40

–Fair value of an option on 31 December 20X7 = \$2.80

–Fair value of an option on 31 December 20X8 = \$3.00

You can ignore the information regarding the fair value of share options though. I have already said I do not want any accounting entries made in respect of this arrangement, even though the potential share issue associated with these options is likely to be a material matter for us in both of the years ended 31 December 20X7 and 20X8. I consider this a matter of judgement and not an error.

(12 marks)

3. Attachment 2 to the email

You probably heard that in the current year we leased new business premises. Further details of the agreement, and the accounting treatment I want you to adopt, are given below:

Details of lease agreement

Under this agreement, we entered into a 25-year lease of the premises, beginning on 1 July 20X8. Lease rentals of \$250,000 per annum are payable annually in arrears. We incurred direct costs of \$130,000 in arranging this lease. There is no need to charge any rental expense in the year to 31 December 20X8 since the first lease payment is not due until 30 June 20X9. I want you to show the arrangement costs of \$130,000 as a prepayment in the financial statements for the year ended 31 December 20X8. We will charge these to expenses once we start paying rentals.

The lease agreement states that the rate of interest implicit in this lease is 8% per annum and that the cumulative present value of an annual amount of \$1 payable in arrears for each of the next 25 years is \$10.68. You can ignore all that legal jargon though.

(9 marks)

Requirement (25 marks)

(a) Using the information in exhibits 2 and 3, explain and show how the transactions described there should be accounted for in the financial statements of Delta for the year ended 31 December 20X8.

Notes:

- Marks will be awarded for BOTH figures AND explanations.
- The mark allocations are indicated in each exhibit.
- Where your proposed treatment differs from that suggested by the director you should specifically comment on the reasons for this.

(21 marks)

(b) Using the information in exhibit 1, identify and explain the ethical issues that confront you as a result of the email sent to you from the director and for which you have sought advice from your friend, who is not an employee of Delta.

(4 marks)

3 of 4

Epsilon prepares financial statements to 30 September each year. You are Epsilon's financial controller and are responsible for preparing the financial statements for the latest year ended 30 September 20X6. The financial statements are due to be authorised for issue on 30 November 20X6.

One of the trainee accountants who reports to the financial controller is unsure how to decide whether potential liabilities should be recognised in the financial statements, disclosed in the notes to the financial statements, or ignored on the basis that the likelihood of their occurrence is remote.

The following exhibits, available on the left-hand side of the screen, provide information relevant to the question:

1. Memorandum – a memorandum from a trainee accountant requesting information about the recognition, measurement and disclosure of potential liabilities.
2. Recent transactions – provides details of transactions for which potential liabilities may need to be recognised and/or disclosed.

This information should be used to answer the question requirements within your chosen response option(s).

1. Memorandum

Memorandum

To: Financial controller
From: Trainee accountant
Subject: Financial statements
Date: 28 October 20X6

I know that many liabilities, for example, trade payables and loans, clearly need to be recognised in the financial statements and can be measured reliably and easily. However, there are other potential liabilities, for example, potential legal claims, where the likelihood of an actual payment is subject to a significant amount of uncertainty. In addition to this, there is also sometimes the issue of the measurement of any potential payment. I feel sure there must be an IFRS Accounting Standard which addresses these issues. Specifically I have the following queries:

- (i) Is there a specific IFRS Accounting Standard which deals with the issue of 'potential liabilities' and if so, how does it distinguish 'potential liabilities' from liabilities like trade payables and loans?
- (ii) What are the conditions which must be in place before a potential liability is recognised in the financial statements and how is it measured?
- (iii) How should a potential liability be measured at initial recognition and would timing of settlement of the liability affect this measurement?
- (iv) When a potential liability is recognised, the credit always goes to liabilities and the debit normally goes to profit or loss. Are there any circumstances where the debit is dealt with in some other way?
- (v) If a potential liability is not recognised, is there an alternative treatment for the financial statements which will inform users of its existence and possible impact?
- (vi) What are the rules for recognising potential assets? Are they the mirror image of the rules for recognising potential liabilities?

If you can help me with these queries, I would be very grateful.

(9 marks)

2. Recent transaction

(a) On 1 April 20X5, Epsilon purchased some land for \$20 million. Epsilon intended to use the land to construct a copper mine. In the six months from 1 April 20X5 to 30 September 20X5, Epsilon constructed a copper mine on the land at a total cost of \$12 million. The construction process was completed by 30 September 20X5 and Epsilon began to extract copper from the mine on 1 October 20X5 and was operational for the year to 30 September 20X6.

The directors of Epsilon estimated that copper could be extracted from the mine for a 20-year period from 1 October 20X5.

On 1 April 20X5, Epsilon had purchased a licence which allowed the extraction of copper from the site from the date the copper mine was completed and operational. The cost of the licence was \$4 million.

A condition of the licence, which has stringent environmental clean-up requirements, was that at the end of the extraction period Epsilon should dismantle the mine and restore the land to its original condition. The land would then be suitable to be sold to a third party for property development if the clean-up is done to the required standards. The directors of Epsilon plan to meet these standards and have estimated that the total cost of the dismantling and restoration, payable at the end of the extraction process, would be \$10 million.

A suitable annual rate to use in any discounting calculations is 6%. The present value of \$1 payable in 20 years time at a discount rate of 6% is 31.2 cents.

(b) On 25 October 20X6, Epsilon received notice of a legal claim made by Customer C for loss of profits allegedly due to the supply of faulty goods by Epsilon to Customer C on 30 June 20X6. The amount claimed by Customer C was \$8 million. The directors of Epsilon have estimated the following outcomes in respect of this legal claim:

– A 30% chance the claim will not succeed.

– A 50% chance the claim will succeed and Customer C will be awarded damages of \$5 million.

– A 20% chance the claim will succeed and Customer C will be awarded damages of \$8 million.

Legal costs related to the claim are estimated to be \$1 million. Any settlement of the claim is likely to be made before 30 June 20X7. These estimates can be considered to be reliable as the directors took expert legal advice.

In the event of the claim succeeding, the directors of Epsilon are confident that amounts paid out, including legal costs, will be covered by its insurers and will have no impact on the going concern status of Epsilon. Negotiations with the insurers have started but have not yet reached a conclusion. The financial statements are due to be authorised for issue on 30 November 20X6.

(16 marks)

Requirement (25 marks)

(a) Using the information in exhibit 1, draft a reply to the memorandum from the trainee accountant.

(b) Using the information in exhibit 2, explain and show how these transactions should be accounted for and reported in the financial statements of Epsilon for the year ended 30 September 20X6.

Notes:

- The mark allocations are indicated in each exhibit.
- In requirement (b) marks will be awarded for BOTH figures AND explanations.
- You can ignore the taxation effects of the transactions.

(25 marks)

You are the financial controller of Omega, a listed entity with a number of subsidiaries. Omega prepares financial statements to 30 September each year. One of Omega's trainee accountants, is responsible for preparing the first draft of the consolidated financial statement for the year ended 30 September 20X5. The trainee accountant has raised a series of questions relating to those financial statements.

The following exhibits, available on the left-hand side of the screen, provide information relevant to the question:

1. Segment disclosures – raises questions about the consistency of disclosures of operating segments in the financial statements of group entities.
2. Financial assets – raises questions on how Omega measures financial assets in its financial statements.
3. Contracts – questions how Omega recognises revenue on construction contracts when the overall price and costs are uncertain.

This information should be used to answer the question requirement within the response option provided.

1. Segment disclosures

I know that we are required to disclose details of the financial performance and financial position of different business segments in the notes to our consolidated financial statements.

You will be aware that during the current financial period we acquired two new subsidiaries, Iota and Kappa. Both are unlisted and are very similar in terms of levels of profit and net assets. I thought it would be interesting to compare the segment disclosures made by Iota and Kappa in their own individual financial statements with the disclosures which we make in our consolidated financial statements.

When I did this, I found myself very confused and noted:

– Omega's segmental disclosures appear to be based on the financial performance and position by geographical area.

– Iota's disclosures appear to be based on the financial performance and position by product type.

– Kappa does not appear to be providing any segmental disclosures at all.

Both Iota and Kappa prepare their financial statements in accordance with IFRS Accounting Standards, as Omega does. How can there be different approaches to segmental disclosures in three sets of financial statements, all of which purport to be prepared in accordance with IFRS Accounting Standards?

(7 marks)

2. Financial assets

The trainee accountant is confused by the treatment of financial assets in Omega's financial statements. The notes to the financial statements from previous periods state that Omega measures some financial assets at 'fair value' and some at 'amortised cost'. Where financial assets are measured at fair value, it appears that some fair value changes are recognised in profit or loss whilst others are recognised in other comprehensive income.

Please answer the following questions to assist the trainee accountant:

- (i) What do we mean by the term 'financial asset'?
 - (ii) Is 'fair value' the same as resale value?
 - (iii) What is meant by the term 'amortised cost'?
 - (iv) Is there a choice of using either fair value or amortised cost to measure financial assets and how do entities decide which measurement basis to use?
 - (v) If fair value is used, how do entities decide whether changes in fair value are recognised in profit or loss, or in other comprehensive income?
- (10 marks)

3. Contracts

A number of Omega's subsidiaries enter into contracts with customers to construct assets for the use by those customers. The ultimate amount receivable from the customer often depends on the speed of completion of the construction to an agreed standard. Additional uncertainty is sometimes caused by offering the customer a discount if the customer pays within a specified time period.

Could you address the following queries on the accounting for these construction contracts?

- (i) When should revenue be recognised for a construction contract – should Omega wait until the construction is complete before recognising any revenue?
- (ii) Should the timing of recognition of costs of the contract follow the same pattern as the recognition of the revenue or should we simply debit the costs incurred to date to cost of sales?
- (iii) What do we do if we assess a contract is likely to be loss making?
- (iv) Does Omega need to wait until we know the precise amount to be received before recognising any revenue?

Note: You should only apply the IFRS 15 five model where relevant.

(8 marks)

Requirement (25 marks)

Provide answers to the queries raised by the trainee accountant relating to the consolidated financial statements for the year ended 30 September 20X5. The queries you need to address appear in exhibits 1 -3. You should justify your answers with reference to relevant IFRS Accounting Standards.

Notes:

- The mark allocations are indicated in each exhibit.

- References to IFRS Accounting Standards will only attract marks if they are relevant to the specific questions the trainee accountant has asked.
- (25 marks)

Answers

1 Consolidated statement of financial position of Alpha at 31 December 20X8
[all numbers in '000]

	\$'000
Assets	
Non-current assets	
Property, plant and equipment (W7)	732,500
Goodwill (W2)	33,900
Intangible asset (W1)	21,000
	<u>787,400</u>
Current assets	
Inventories (125,000 + 90,000 – 5,000 (W5))	210,000
Trade receivables (100,000 + 80,000)	180,000
Cash and cash equivalents (40,000 + 30,000)	70,000
	<u>460,000</u>
Total assets	<u><u>1,247,400</u></u>
Equity and liabilities	
Equity attributable to equity holders of the parent	
Share capital (\$1 shares)	200,000
Retained earnings (W5)	291,700
Other components of equity (W6)	65,500
	<u>560,200</u>
Non-controlling interest (W4)	65,100
Total equity	<u>625,300</u>
Non-current liabilities	
Long-term borrowings (150,000 + 60,000)	210,000
Deferred tax (W8)	145,100
Total non-current liabilities	<u>355,100</u>
Current liabilities	
Trade and other payables (90,000 + 80,000)	170,000
Current tax payable (60,000 + 40,000)	100,000
Total current liabilities	<u>270,000</u>
Total liabilities	<u>625,100</u>
Total equity and liabilities	<u><u>1,247,400</u></u>

Workings (all numbers in \$'000)

Working 1 – Net assets table for Beta

	1 January 20X6 \$'000	31 December 20X8 \$'000
Per financial statements of Beta		
Share capital	120,000	120,000
Retained earnings:	35,000	85,000
Fair value adjustments:		
Property, plant and equipment (post-acquisition additional depreciation = 18,000 x 1/4 x 3 = 13,500)	18,000	4,500
Brand (post-acquisition amortisation = 30,000 x 1/10 x 3 = 9,000)	30,000	21,000
Deferred tax on fair value adjustments (20%)	(9,600)	(5,100)
Other components of equity	25,000	35,000
Net assets for the consolidation	<u>218,400</u>	<u>260,400</u>

Increase in net assets (260,400 – 218,400) = 42,000. 10,000 of this relates to other components of equity and the balance of 32,000 (42,000 – 10,000) to retained earnings.

Note: Marks for the split awarded in W5 and W6.

Working 2 – Goodwill on acquisition of Beta

	\$'000
Cost of investment	207,900
Non-controlling interest at date of acquisition (218,400 (W1) x 25%)	54,600
Net assets at date of acquisition (W1)	(218,400)
	<u>44,100</u>
Impairment at 31 December 20X8 (W3)	(10,200)
Goodwill at 31 December 20X8	<u>33,900</u>

Working 3 – Impairment of Beta Goodwill

	\$'000
	Total
Net assets of Beta at 31 December 20X8	260,400
Grossed up goodwill (44,100 x 100/75)	58,800
	<u>319,200</u>
Recoverable amount (higher of VIU and FVLCD)	305,600
So gross impairment equals	13,600
Group share only recognised	<u>10,200</u>

Working 4 – Non-controlling interest in Beta

	\$'000
At date of acquisition (W2)	54,600
25% of post-acquisition increase in net assets (25% x 42,000 (W1))	10,500
	<u>65,100</u>

Working 5 – Retained earnings

	\$'000
Alpha – per draft SOFP	295,000
75% of post-acquisition share of Beta (75% x 32,000 (W1))	24,000
Unrealised profit on sales to Beta (20,000 x 1/4)	(5,000)
Acquisition costs of Beta	(2,100)
Impairment of Beta goodwill (W4)	(10,200)
Reversal of profit on de-recognition of derivative	(10,000)
	<u>291,700</u>

Working 6 – Other components of equity

	\$'000
Alpha – per draft SOFP	80,000
75% of post-acquisition share of Beta (75% x 10,000 (W1))	7,500
20X7 derivative gain set against the cost of hedged PPE	(22,000)
	<u>65,500</u>

Working 7 – Property, plant and equipment

	\$'000
Alpha + Beta (per own financial statements – 500,000 + 260,000)	760,000
Fair value adjustment (W1)	4,500
Gain on hedging derivative set against cost	(32,000)
	<u>732,500</u>

Working 8 – Deferred tax

	\$'000
Alpha + Beta (per own financial statements – 100,000 + 40,000)	140,000
Deferred tax on fair value adjustments (W1)	5,100
	<u>145,100</u>

2 (a) Attachment 1 to the email

The relevant standard is **IFRS 2 – Share-based Payment**. Under the principles of IFRS 2, the arrangement is an **equity settled share-based payment** since it potentially involves the issue of equity instruments.

IFRS 2 states that where equity settled share-based awards are made to employees, then they are effectively **employee remuneration**. The cost of the awards should be recognised in **profit or loss as an operating expense**.

Where the award is dependent on the future actions of the employee (in this case whether or not they remain in employment over the three-year period ending on 31 December 20X9), then the award is subject to a **vesting condition**.

IFRS 2 states that the cost of the award should be recognised in profit or loss over the vesting period based on the number of awards which are expected to vest in the employees at the end of the vesting period.

During 20X7 and 20X8, a total of 18 employees (10 + 8) left employment and forfeited their rights to the options.

A further nine employees are expected to leave employment in 20X9, so the total number of employees who are expected to ultimately become entitled to exercise the options measured at 31 December 20X8 is 773 (800 – 18 – 9).

The appropriate fair value measure to use to measure the value of the award is the fair value of the option at the **grant date**. Therefore the total expected cost of the award is **\$1,855,200** (773 x \$2.40 x 1,000).

IFRS 2 states that the cost of the award should be recognised over the vesting period. This means that the cumulative cost which should have been recognised in profit or loss up to 31 December 20X8 is **\$1,236,800** (\$1,855,200 x 2/3).

The credit entry which is required when the cost is debited to profit or loss is to equity. IFRS 2 does not specify a designation for this component of equity, in practice it is often described as a 'share option reserve'.

The financial statements for the year ended 31 December 20X7 should have included appropriate amounts relating to this option award. They therefore contained an error which had a material impact on those statements.

Reporting of errors of this nature is governed by **IAS 8 – Accounting Policies, Changes in Accounting Estimates and Errors**.

IAS 8 states that the impact of material errors in the financial statements of previous periods should be recognised **retrospectively** in the financial statements of the current period. In practice, this involves **computing the impact of the error and recognising it by making an appropriate adjustment to opening equity**.

When the financial statements for the year ended 31 December 20X7 were prepared, the directors should have estimated that 25 employees (10 + 15) would leave over the three-year vesting period and **775** (800 – 25) would become entitled to the awards.

The cost which should have been debited to profit or loss and credited to equity in the financial statements for the year ended 31 December 20X7 should have been \$620,000 (775 x \$2.40 x 1,000 x 1/3).

Therefore, in the financial statements for the year ended 31 December 20X8, an adjustment to opening equity should have been made, debiting retained earnings with \$620,000 and crediting a share option reserve or similar component with \$620,000.

The statement of profit or loss for the year ended 31 December 20X8 should include an employee remuneration expense of **\$616,800** (\$1,236,800 – \$620,000).

The closing balance on the share option reserve (or similar) will be \$1,236,800.

Spreadsheet working for share-based payment amounts

Date	Expected options vesting on 31 December 20X9	Total expected cost (FV at grant date \$2.40)	Cost to date	Movement
		\$	\$	\$
31 December 20X7	775,000 [775 (800 – 10 – 15) x 1,000]	1,860,000	620,000	620,000
31 December 20X8	773,000 [773 (800 – 18 – 9) x 1,000]	1,855,200	1,236,800	616,800

(b) Attachment 2 to the email

The relevant standard is **IFRS 16 – Leases**. In the scenario described here, Delta is the lessee.

The general requirements of IFRS 16 are that, at the commencement of a lease, the lessee should recognise a lease liability equal to the present value of the lease payments not paid at the date.

As far as the lease of the business premises is concerned, this liability should be \$2,670,000 (\$250,000 x 10.68).

IFRS 16 also requires recognition of a right-of-use (ROU) asset, equal to the present value of the lease payments (the initial measurement of the lease liability) plus any initial direct costs incurred by the lessee. These initial direct costs do not form part of the opening lease liability.

As far as the lease of the business premises is concerned, this ROU asset should be \$2,800,000 (\$2,670,000 + \$130,000). The prepayment will therefore be derecognised and the \$130,000 transferred to the ROU asset.

The lease liability will attract a **finance cost**. For the year ended 31 December 20X8, this cost will be **\$106,800** (\$2,670,000 x 8% x 6/12).

The closing lease liability will be **\$2,776,800** (\$2,670,000 + \$106,800).

\$2,633,600 (W1) of this liability will be non-current and the balance of **\$143,200** (\$2,776,800 – \$2,633,600) will be current.

The right of use asset will be **depreciated over the 25-year lease term**, so the depreciation for the year ended 31 December 20X8 will be \$56,000 (\$2,800,000 x 1/25 x 6/12).

The closing balance of the right of use asset will be **\$2,744,000** (\$2,800,000 – \$56,000). This will be shown as a non-current asset.

W1 – Spreadsheet workings: non-current lease liability at 31 December 20X8

	\$
Liability at 1 January 20X9	2,776,800
Finance cost to 30 June 20X9	106,800
Rental payment on 30 June 20X9	(250,000)
Liability at 30 June 20X9	<u>2,633,600</u>

Tutorial note: As an alternative to computing the non-current element of the lease liability and inserting the current element as the balancing figure, candidates could have focused on the computation of the current element and the insertion of the non-current element as the balancing figure. This would be done as follows:

	\$
Rental payment due on 30 June 20X9	250,000
Deduct: finance cost from 1 January 20X9 to 30 June 20X9 (not part of closing liability at 1 January 20X9)	<u>(106,800)</u>
So current liability at 31 December 20X8 equals	<u>143,200</u>

Candidates who adopt this approach will receive full credit.

(c) Ethical issue – Email from director

You are in danger of breaching the fundamental ethical principle of integrity. The director has suggested that you collude in the reporting of an inflated profit figure and, as a result, share in a profit-related bonus (*candidates who refer to a self-interest threat here will receive appropriate credit*).

You face a danger of breaching the principle of objectivity because of the way the director has linked your complying with these instructions to your upcoming staff appraisal (*candidates who refer to an intimidation threat here will receive appropriate credit*).

You also may be breaching the fundamental ethical principle of professional competence and due care. The treatments suggested by the director are clearly inappropriate and not in compliance with IFRS Accounting Standards. Were you to implement them, you would be in breach of your professional duty to conduct yourself in a competent manner.

Your decision to discuss these issues with your friend, who is not employed by Delta, means that you are in danger of breaching the fundamental ethical principle of confidentiality.

3 Exhibit 1 – Memorandum

To: Trainee accountant
From: Financial controller

- (i) **Is there a specific IFRS Accounting Standard which deals with the issue of 'potential liabilities' and if so, how does it distinguish 'potential liabilities' from liabilities like trade payables and loans?**

There is an IFRS Accounting Standard which deals with the measurement and disclosure of potential liabilities and assets. The standard is IAS 37 *Provisions, Contingent Liabilities and Contingent Assets*.

IAS 37 defines a liability as a present obligation arising from past events the settlement of which is expected to result in an outflow of resources embodying economic benefits and defines a provision as a **liability of uncertain timing or amount**. This distinguishes provisions (potential liabilities) from trade payables and loans where there is no uncertainty.

- (ii) **What are the conditions which must be in place before a potential liability is recognised in the financial statements and how is it measured?**

IAS 37 states that, in order for a provision to be recognised, the reporting entity needs to have a **present obligation** (legal or constructive) arising out of a **past event** which is expected to lead to an **outflow of resources embodying economic benefits to settle the obligation** and a **reliable estimate** can be made of the obligation.

- (iii) *How should a potential liability be measured at initial recognition and would timing of settlement of the liability affect this measurement?*

IAS 37 further states that, when a provision is recognised, it is measured at the amount the entity would pay to settle the obligation at the end of the reporting period.

Where the obligation is not expected to be settled until a significant time period has elapsed (usually more than 12 months), then the **time value of money** should be taken into account and the provision should be measured at the **present value** of the expected future outflow of economic benefits.

As the date for settlement of the liability draws closer, the present value of the expected future outflow increases and so does the measurement of the liability. This increase in the measurement is shown as a finance cost in the statement of profit or loss.

- (iv) *When a potential liability is recognised, the credit always goes to liabilities and the debit normally goes to profit or loss. Are there any circumstances where the debit is dealt with in some other way?*

Where a provision is recognised, the debit entry is **not** always to profit or loss. **For example**, when a new mine or oil rig is opened with an associated obligation for future environmental clean-up, then the associated provision is shown as part of the **cost of the relevant asset** (debited to PPE).

- (v) *If a potential liability is not recognised, is there an alternative treatment for the financial statements which will inform users of its existence and possible impact?*

A potential liability which is not recognised, either because the potential obligation is possible, but not probable, or because the potential outflow of economic benefits is possible, but not probable, is known as a contingent liability.

Details of contingent liabilities are **disclosed in the notes** to the financial statements. This would not apply if the possibility of an outflow of economic benefits was **remote**, in which case no disclosure is required.

The disclosure note for a contingent liability should, where practicable, estimate the financial effect, indicate the uncertainties relating to the amount or timing and the possibility of any reimbursement.

- (vi) *What are the rules for recognising potential assets? Are they the mirror image of the rules for recognising potential liabilities?*

The treatment of potential assets is **not** the mirror image of the treatment of potential liabilities. Potential assets are only recognised in the financial statements if they are **virtually certain** to be realised.

IAS 37 defines a contingent asset as a possible asset which arises from past events, and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the entity.

The existence of contingent assets should be disclosed where an inflow of economic benefits is probable.

Exhibit 2 – Transactions

Transaction (a)

The purchase of the land for \$20 million, and the cost of constructing the mine of \$12 million, would be classified as property, plant and equipment (PPE) in the financial statements of Epsilon, in accordance with **IAS 16 – Property, Plant and Equipment**. Therefore **\$32 million** would be included in PPE.

On 1 October 20X5, Epsilon **would need to recognise a provision** for the cost of restoring the site in 20 years' time. The provision recognised would be the **present value** of the future amount expected to be paid. In this case, the amount recognised would be **\$3.12 million** (\$10 million x 0.312).

This amount would be added to the carrying amount of the PPE to give a total carrying amount of **\$35.12 million** at 1 October 20X5.

The PPE would be **depreciated** over its expected useful life of 20 years. The land element would **not** be depreciated **because** its useful life is expected to be indefinite (it can be sold on for development purposes at the end of the 20-year period). Therefore the depreciation charged to profit or loss in the year ended 30 September 20X6 would be **\$756,000** [(\$35.12 million – \$20 million) x 1/20].

The closing carrying amount of the PPE would be **\$34.364 million** (\$35.12 million – \$756,000). This would be shown as a **non-current asset** in the statement of financial position at 30 September 20X6.

The licence to extract minerals would be regarded as an intangible asset in accordance with the provisions of **IAS 38 Intangible Assets**. The cost can be recognised in the financial statements since it is a **separately purchased** intangible asset.

IAS 38 requires that intangible assets with finite useful lives are **amortised** over their expected lives. The amortisation would begin from the date the licence began to generate economic benefits for Epsilon – 1 **October** 20X5. In this case, the amortisation of the licence for the year ended 30 September 20X6 would be \$200,000 (\$4 million x 1/20). **\$200,000** would be charged to **profit or loss** for the year ended 30 September 20X6.

The balance of the intangible asset at 30 September 20X6 would be **\$3.8 million** (\$4 million – \$200,000). This would be shown as a **non-current asset** in the statement of financial position at 30 September 20X6.

As the date for settlement of the restoration liability draws closer, the measurement of the provision changes as the discount **unwinds**. The unwinding of the discount for the year ended 30 September 20X6 would be **\$187,200** (\$3.12 million x 6%). This will be shown as a **finance cost in the statement of profit or loss**.

The closing balance of the provision will be \$3,307,200 (\$3.12 million + \$187,200). This will be shown as a **non-current liability** in the statement of financial position at 30 September 20X6.

Spreadsheet workings for Transaction (a)

Working 1. Property, plant and equipment (PPE)

	\$m
Land cost	20
Construction cost	12
Environmental provision (W3)	3.12
Total PPE cost	<u>35.12</u>
Depreciation $[(35.12 - 20) \times 1/20]$	<u>(0.756)</u>
Carrying amount at 30 September 20X6	<u>34.364</u>

Working 2. Intangible asset

	\$m
Cost of licence	4
Amortisation (1/20)	<u>(0.2)</u>
Carrying amount at 30 September 20X6	<u>3.8</u>

Working 3. Provision

	\$'000
Opening provision	3,120
Unwinding of discount (finance cost) at 6%	<u>187.2</u>
Closing provision	<u>3,307.2</u>

Transaction (b)

The information received about the legal claim was received **after the year end but before the financial statements are due to be authorised for issue**. Therefore the provisions of **IAS 10 Events after the Reporting Period** are relevant to this issue.

Since the legal claim relates to the alleged supply of faulty goods on 30 June 20X6, it refers to a condition **existing at the reporting date** and would be regarded as an **adjusting event** under the provisions of IAS 10. Therefore, if the conditions of IAS 37 are satisfied, a liability should be recognised.

Based on the information in the question, there is a 70% probability the claim will succeed, so a provision for the likely cost of the claim, plus the associated legal costs, will be appropriate.

Where there is uncertainty regarding the exact amount of the outflow of economic benefits and there are a finite number of discrete possibilities, IAS 37 requires that the individual most likely outcome be recognised as a provision.

Therefore in this case, a provision of **\$6 million** (\$5 million + \$1 million) should be recognised as a **current liability** in the statement of financial position at 30 September 20X6 and an expense in the statement of profit or loss.

Under the provisions of IAS 37, the potential recovery from the insurers is a contingent asset because the outcome of the negotiations with the insurance company is uncertain.

This means that **no asset** should be recognised in respect of this potential asset but **disclosure** of its existence is appropriate because the directors are **confident** it will be paid.

4 Exhibit 1 – Segment disclosures

The accounting standard which is relevant here is **IFRS 8 – Operating Segments**. IFRS 8 requires entities to which it applies to provide segmental disclosures based on its **operating segments**.

IFRS 8 is only compulsory for **listed entities**. Unlisted entities may choose to provide segmental disclosures but if they do so, these disclosures must be made in accordance with the requirements of IFRS 8. This **probably explains** why Iota provides segmental disclosures but Kappa does not.

IFRS 8 defines an operating segment as a business component for which discrete financial information is available and whose operating results are regularly reviewed by the chief operating decision maker.

The chief operating decision maker is the person (or persons) who assesses performance and allocates resources.

It would appear that Omega assesses performance and allocates resources on a geographical basis whereas Iota does this on a 'product type' basis (*mark for coming to a logical conclusion*).

Notwithstanding the above, IFRS 8 normally requires all entities to give details of revenues by geographical area and by product type and non-current assets by geographical area.

However, the geographical area disclosure is not required if the information could only be made available at an **excessive cost**. This fact, however, must be disclosed.

This would appear to explain the discrepancy between our segmental disclosures and those of Iota.

Exhibit 2 – Financial assets

(i) *What do we mean by the term ‘financial asset’?*

A financial asset is defined in **IAS 32 – Financial Instruments: Presentation**. IAS 32 defines a financial asset as:

- **Cash.**
- An **equity instrument** of another entity.
- A **contractual right** to receive cash.
- A contractual right to **exchange financial assets or liabilities under potentially favourable conditions**.

(ii) *Is ‘fair value’ the same as resale value?*

The accounting standard which is relevant to the measurement of fair values is **IFRS 13 Fair Value Measurement**. IFRS 13 states that the fair value of an asset is the **amount which could be expected to be received to sell an asset** in an orderly transaction between market participants at the measurement date.

(iii) *What is meant by the term ‘amortised cost’?*

Amortised cost is defined in **IFRS 9 – Financial Instruments**. IFRS 9 defines amortised cost as **the amount at which the financial asset is measured at initial recognition plus or minus the cumulative amortisation using the effective interest method of any difference between that initial amount and the maturity amount** and, for financial assets, adjusted for any loss allowance.

Any difference is interest income. This income is recognised at a rate which exactly discounts the estimated future cash receipts to the initially recognised amount of the financial asset.

(iv) *Is there a choice of using either fair value or amortised cost to measure financial assets and how do entities decide which measurement basis to use?*

Under IFRS 9, the method of measuring financial assets depends on how they are **classified**. IFRS 9 refers to three classifications:

Fair value through profit or loss

Fair value through other comprehensive income

Amortised cost

IFRS 9 states that a financial asset should be classified at amortised cost if **two** conditions are met:

- (i) The reason (**business model**) for holding the financial asset is to collect the contractual cash flows expected to arise from the asset.
- (ii) The **contractual terms** of the financial asset give rise on specified dates to cash flows which are solely receipts of principal and interest on the amounts outstanding.

If the business model has as an objective to **both** collect the contractual cash flows and to sell the financial asset **and** the contractual terms of the financial asset give rise on specified dates to cash flows which are solely receipts of principal and interest on the amounts outstanding, then the financial asset should be measured at **fair value through other comprehensive income**.

(v) *If fair value is used, how do entities decide whether changes in fair value are recognised in profit or loss or in other comprehensive income?*

Where the financial asset is an **equity instrument** which is **not held for trading**, then it is possible to make an **irrevocable election** at the date of initial recognition to use **fair value through other comprehensive income** as the measurement basis.

Any **other** financial assets which are an equity instrument should be measured at **fair value through profit or loss**.

Notwithstanding the above, IFRS 9 allows entities to **irrevocably designate at the date of initial recognition any financial asset at fair value through profit or loss to reduce a measurement inconsistency**.

Exhibit 3 – Contracts

(i) *When should revenue be recognised for a construction contract – should Omega wait until the construction is complete before recognising any revenue?*

The recognition of revenue and costs relating to construction contracts is regulated by the provisions of **IFRS 15 Revenue from Contracts with Customers**. IFRS 15 states that contracts with customers create **performance obligations**. IFRS 15 states that, as a general principle, revenue should be recognised **as performance obligations are satisfied**.

IFRS 15 recognises that performance obligations are either recognised at a particular point in time or over a period of time. In the case of construction contracts, performance obligations are recognised over a period of time. Therefore revenue should be recognised over a period of time as the performance obligation is satisfied.

- (ii) *Should the timing of recognition of costs of the contract follow the same pattern as the recognition of the revenue or should we simply debit the costs incurred to date to cost of sales?*

IFRS 15 does not specify a precise method of measurement of the extent of completion of a performance obligation which is satisfied over time. However, IFRS 15 **does** provide guidance regarding methods which may be suitable. Suitable methods are broadly categorised as either **output** methods (proportion of the total value of the contract completed) or **input** methods (proportion of the total expected costs of the contract incurred). Once a suitable method is decided upon, it should be applied **consistently** to contracts of a similar type.

IFRS 15 states if the criteria are met, then the direct costs of fulfilling the performance obligations relating to a construction contract should initially be recognised as an asset but then amortised (taken to cost of sales) in a manner which is consistent with the recognition of revenue on the contract.

- (iii) *What do we do if we assess a contract is likely to be loss making?*

If, for a particular contract, the future anticipated revenue to be recognised is less than the future expected costs (loss making), then an impairment loss equal to that difference should be recognised in profit or loss immediately.

In the above circumstances, the contract would be regarded as an onerous contract in accordance with the principles of IAS 37 *Provisions, Contingent Liabilities and Contingent Assets*. IAS 37 would require recognition of the future net cost of fulfilling the contract.

- (iv) *Does Omega need to wait until we know the precise amount to be received before recognising any revenue?*

IFRS 15 recognises that, for some contracts, the amount receivable will contain a **fixed** and a **variable** element and therefore the precise amount may not be known when the contract is agreed.

IFRS 15 does **not** specify a single method of measurement of variable consideration. IFRS 15 states that either the **expected value method** (using probabilities) or the **single most likely method** should be used. Once a suitable method is decided upon, it should be applied **consistently** throughout the contract.

	<i>Marks</i>
1 Consolidated statement of financial position	
Non-current assets	
– PPE	2
– Goodwill	8
– Intangible asset	0.5
Current assets	2
Equity	
– Share capital and other components of equity	2.5
– Retained earnings	6.5
– Non-controlling interest	1
Non-current liabilities	
– Long-term borrowings	0.5
– Deferred tax	1
Current liabilities	1
	25
2 (a)	
– Explanations per IFRS 2	4
– Calculations	4
– Explanations per IAS 8	2
– Calculations	2
	12
(b)	
– Explanations per IFRS 16	4
– Calculations	5
	9
(c) Ethics	4
	25
3 Exhibit 1	
– Reply to memorandum per IAS 37	9
Exhibit 2	
Transaction (a)	
– Explanations IAS 16	2
– Calculations	2
– Explanation per IAS 37	1
– Calculations	2
– Explanation per IAS 38	3
– Calculations	1
–	11
Transaction (b)	
– Explanations IAS 10	1.5
– Explanations IAS 37	3
– Calculations	0.5
	5
	25

	<i>Marks</i>
4 Exhibit 1	
Explanations per IFRS 8	<u>7</u>
Exhibit 2	
Explanations per IAS 32	1
Explanations per IFRS 13	1
Explanations per IFRS 9	<u>8</u>
	<u>10</u>
Exhibit 3	
Explanations per IFRS 15	6·5
Explanations IAS 37	<u>1·5</u>
	<u>8</u>
	<u>25</u>

ACCA IFRS DIPLOMA JUNE 2024 Questions

1 of 4

Alpha, a parent with two subsidiaries, Beta and Gamma, is preparing the consolidated statement of profit or loss for the year ended 30 June 20X4.

The following exhibits, available on the left-hand side of the screen, provide information relevant to the question:

1. Draft financial statements - draft statements of profit or loss for Alpha and Beta for the year ended 30 June 20X4.
2. Alpha's investment in Beta - details of Alpha's investment in Beta and details of a potential goodwill impairment.
3. Alpha's investment in Gamma - details of Alpha's investment in Gamma and subsequent disposal of shares on 1 January 20X4.
4. Other information - details of trading between Alpha and Beta.

This information should be used to answer the question requirement within the response option provided.

1. Draft financial statements

Note: This spreadsheet has been copied into the spreadsheet Response Option

Statements of profit or loss for the year ending 30 June 20X4

	Alpha \$000	Beta \$000
Revenue (exhibit 4)	2,721,000	819,000
Cost of sales (exhibit 2 and 4)	-1,243,600	-386,700
Gross profit	1,477,400	432,300
Distribution expenses	-212,000	-22,400
Administrative expenses	-205,575	-61,900
Profit from operations	1,059,825	348,000
Investment income (exhibit 2 and 4)	206,600	-
Finance costs (exhibit 2)	-20,000	-31,000
Profit before tax	1,246,425	317,000
Income tax expense (exhibit 3)	-247,000	-43,000
Profit for the year	999,425	274,000

2. Alpha's investment in Beta

Alpha acquired 40 million of the total 50 million \$1 shares in Beta on 1 July 20X2 when Beta's retained earnings were \$136 million. Alpha made a cash payment of \$60 million to the former shareholders of Beta on 1 July 20X2 and agreed to make a further payment of \$280 million on 30 June 20X5. Alpha had correctly accounted for the deferred payment in its financial statements on 1 July 20X2 and for the year ended 30 June 20X3 but has made no further entries in its financial statements for the year ended 30 June 20X4. An appropriate annual rate to use in any discounting calculations is 10%. At a discount rate of 10% per annum, the present value of \$1 payable in three years is \$0.7513. The fair values of the identifiable assets acquired and liabilities assumed by Alpha at the date of acquisition were the same as their carrying amounts, with the exception of plant and machinery which was estimated to have a fair value of \$70 million in excess of its carrying amount. The plant and machinery was assessed as having a remaining useful life of 10 years at 1 July 20X2. Depreciation of plant and machinery is recognised in cost of sales. Alpha used the proportionate share of net assets method for measuring the non-controlling interest when recognising the goodwill on acquisition of Beta. On 30 June 20X4, the directors of Alpha tested the goodwill on acquisition of Beta for impairment as required by IAS 36 – Impairment of Assets. The directors decided that Beta represented a single cash-generating unit for this purpose. The individual financial statements of Beta showed a net assets figure at 30 June 20X4 of \$520 million. The value in use of Beta on 30 June 20X4 was determined to be \$605 million and the fair value less costs of disposal on this date was \$580 million. All goodwill impairment is charged to administrative expenses.

3. Alpha's Investment In Gamma

Alpha acquired its holding of 32.5 million \$1 shares in Gamma several years ago for \$230 million when Gamma's retained earnings were \$162 million and share capital was \$50 million. The fair values of the identifiable assets acquired and liabilities assumed by Alpha at the date of acquisition were the same as their carrying amounts. Gamma's revenue and costs accrued evenly over the current year. Alpha measures non-controlling interests and goodwill on acquisition of Gamma using the proportionate share of net assets method.

Disposal

On 1 January 20X4, Alpha sold all of its 32.5 million \$1 shares in Gamma, for \$613 million. The disposal proceeds were credited to a suspense account. Gamma's retained earnings at 1 July 20X3 were \$333 million. Gamma's total comprehensive income for the year ended 30 June 20X4 was \$62 million. Income tax on this disposal is expected to be \$63 million.

No impairment of goodwill arose in the current year for Gamma, however, cumulative impairments of \$22 million had been recognised at 1 July 20X3.

Gamma represented a separate major line of business which the Alpha Group was withdrawing from.

4. Other information

Intra-group trading

Alpha has purchased goods from Beta during the year. This is the first year in which intra-group trading took place. During the year, Beta sold goods to Alpha for \$32 million earning a gross margin of 15%. At the year end, Alpha still held a quarter of these goods.

Investment income

Alpha and Beta paid a dividend of \$1.20 and \$4.00 per share respectively during the year ended 30 June 20X4.

Long-term loan

On 1 December 20X2, Alpha made a long-term loan to Beta of \$400 million. The effective interest on the long-term loan is an annual rate of 5%. Both Alpha and Beta have correctly accounted for the loan and interest in their individual financial statements for the year ended 30 June 20X4.

Requirement (25 marks)

Using exhibits 1-5, and the pre-populated spreadsheet response option, prepare the consolidated statement of profit or loss of Alpha for the year ended 30 June 20X4.

Notes:

- No explanations of consolidation adjustments are required. Marks will not be awarded for explanations.
- You do not need to consider the deferred tax effects of any adjustments you make.
- You should show all workings to the nearest \$'000. (25 marks)

2 of 4

Delta, a listed entity with several subsidiaries, is preparing its financial statements for the year ended 30 June 20X3.

The following exhibits, available on the left-hand side of the screen, provide information relevant to the question:

1. Customer contract - information relating to a contract to construct a manufacturing facility for customer C.
2. Share portfolio - information relating to a share portfolio of a subsidiary acquired during the accounting period.
3. Ethics - details of potential ethical issues for a trainee accountant.

This information should be used to answer the question requirements within your chosen response option(s).

1. Customer contract

On 31 October 20X2, Delta and customer C signed a contract which outlined the terms and conditions of an agreement to construct a manufacturing facility:

1.1 January 20X3 – customer C paid a non-refundable deposit of \$6 million to Delta and Delta began work on the construction.

2.30 June 20X4 – the work will be carried out in accordance with customer C's instructions and completed in 18 months. The contract does not contain a significant financing component.

3. Customer C will make the following payments:

\$8 million on 30 June 20X3 when 30% complete
\$8 million on 31 December 20X3 when 60% complete
\$11 million on 30 June 20X4 on completion and transfer of the facility

4. If the facility is not completed and made available by 30 June 20X4, then the final payment will be reduced by \$1,000,000 for every complete month the transfer is later than 30 June 20X4.

The management of Delta have made the following additional estimates:

1. Plant purchased by Delta for \$16 million on 1 January 20X3 would be used exclusively on the contract with customer C until its completion then used on other contracts. At the date of purchase, the estimated useful life of this plant was five years.

2. Delta will incur material and direct labour costs of \$1.2 million per month to fulfil the contract with customer C. The costs will continue at this rate until the facility is completed. There are no inventories of unused materials at any time.

Materials which had been purchased for use on the contract with customer C were damaged due to the negligence of Delta's employees. This resulted in Delta incurring a one-off additional cost of \$2 million during April 20X3 to rectify this damage. As a result, Delta now expects the facility to be transferred to customer C by 15 August 20X4.

The contract is expected to be profitable overall. On 30 June 20X3, the contract was confirmed to be exactly 30% complete, so customer C made the payment due on this date. Customer C is reliably expected to make the payment due under the contract on 31 December 20X3 on this date. (14 marks)

2. Share portfolio

On 1 April 20X3, Delta acquired a new subsidiary, New Sub. Delta is in the process of computing the fair value of the identifiable net assets of New Sub on 1 April 20X3 for inclusion in the consolidated financial statements of Delta.

New Sub invests any cash surpluses in a portfolio of shares in listed entities. The purpose of Holding the portfolio is to generate dividend income and profits from the purchase and sale of such shares.

All the shares in the portfolio are traded on two different stock exchanges, Exchange A and Exchange B. Details of the totals of the listed prices of the shares in the portfolio on 1 April 20X3 and on 30 June 20X3 are as follows:

	Exchange A		Exchange B	
	Bid price	Ask price	Bid price	Ask price
	\$'000	\$'000	\$'000	\$'000
On 1 April 20X3	840	880	850	885
On 30 June 20X3	900	940	910	945

Both stock exchanges levy transaction costs relating to the purchase or sale of shares at 2% of the total amounts paid to buy shares, or received from the sale of shares. The majority of the trading in the portfolio takes place via Exchange A.

Note:

Bid price – the price which a shareholder receives when they sell the share on the relevant stock exchange.

Ask price – the price which a prospective shareholder must pay to purchase the share on the relevant stock exchange.

(7 marks)

3. Ethics

You are a trainee accountant who has recently been employed by Delta to prepare the first draft of Delta's published financial statements. You are unsure how to respond to the issues raised by a director in the following email, so you have asked a friend for advice. Your friend is also a trainee accountant employed by Delta.

(9 marks)

To: Trainee accountant
From: Director
Subject: Financial statement preparation
Date: 31 July 20X3

It is very important the upcoming set of financial results shows a favourable financial performance. Delta will very shortly be seeking to raise additional finance by means of a fresh issue of equity shares. If the financial statements show a healthy profit, it will significantly increase the chances of a successful issue.

Since you are a trainee accountant, there are certain transactions affecting Delta which you may be unsure how to report in the financial statements. I will shortly specify accounting treatments which I would like you to use for these transactions. These treatments may not strictly follow the IFRS Accounting Standards but they will maximize reported profits. This is more important than following IFRS Accounting Standards, as the success of the share issue is at stake here.

I would like you to follow the accounting treatments I will specify completely. Your cooperation in this matter will be taken into account when the directors meet shortly to discuss salary increases and annual bonuses.

Requirement (25 marks)

(a) Using the information in exhibits 1 and 2, explain and show how the transactions described there should be accounted for in the consolidated financial statements of Delta for the year ended 30 June 20X3.

Notes:

- Marks will be awarded for BOTH figures AND explanations.
- Ignore taxation.

(21 marks)

(b) Using the information in exhibit 3, identify and explain the ethical issues which confront you as a result of the email sent to you from the director and for which you have sought advice from a fellow trainee.

(4 marks)

3 of 4

Epsilon prepares financial statements to 31 March each year. You are Epsilon's financial controller and are responsible for preparing the financial statements.

The following exhibits, available on the left-hand side of the screen, provide information relevant to the question:

1. Email - an email from a trainee accountant requesting information about the recognition and measurement of transactions which are denominated in a foreign currency.
2. Foreign currency transactions - provides details of specific transactions denominated in a foreign currency.

This information should be used to answer the question **requirements** within your chosen **response option(s)**.

1. Email

One of Epsilon's accountants, trainee F, has encountered, for the first time, transactions which are denominated in a foreign currency. Therefore, trainee F has sent you the following email:

To: Financial controller
From: Trainee F
Date: 12 April 20X6
Subject: Foreign currency transactions

I have noticed in the last few years we have purchased property, plant and equipment (PPE) which we have paid for in francs (the currency used by the supplier). I do not really understand how to recognise and measure these assets (and any associated liabilities) in our financial statements given we prepare our financial statements in our functional currency, the dollar (\$). I know the exchange rate between the franc and the \$ is constantly changing and this makes it very difficult to compute a \$ figure for assets and liabilities which are denominated in francs. Please explain to me:

- (i) How we decide which exchange rate to use to measure assets or liabilities denominated in francs when we **first recognise** them.
- (ii) How we deal with a situation where the exchange rate between the franc and the \$ changes **after** the asset or liability is initially recognised but before the asset is realized or the liability is settled.
- (iii) How we reflect the subsequent revaluation of an item of PPE which was originally denominated and revalued in francs given our financial statements are prepared in \$.
- (iv) How do we account for the subsequent payment of a supplier in francs when the liability is recorded in \$ and the exchange rate has continued to change.

2. Foreign currency transactions

(a) On 1 January 20X5, Epsilon purchased a consignment of inventory from a foreign supplier, S. The invoice from S showed a total purchase price of 600,000 francs. Epsilon paid 600,000 francs to S to settle the invoice on 30 April 20X5. Between 1 January 20X5 and 31 March 20X5, Epsilon sold 75% of the goods purchased from S to domestic customers for a total invoiced price of \$120,000. The directors of Epsilon accurately estimated on 31 March 20X5 the inventory purchased from S which was unsold at this date had a net realisable value of \$39,000.

(b) On 1 April 20X4, Epsilon purchased a large machine for 800,000 francs. The directors of Epsilon accurately estimated the useful life of the machine was eight years, with no residual value. The machine was measured using the revaluation model and on 31 March 20X5, the directors of Epsilon accurately estimated the fair value of the machine was 720,000 francs.

During the year ended 31 March 20X6, the demand for products the machine was being used to manufacture fell due to adverse economic circumstances. On 31 March 20X6, the directors of * Epsilon estimated the value in use of the machine was 600,000 francs and the fair value less costs of disposal of the machine was 580,000 francs. The original estimate of the useful life of the machine was unchanged.

Relevant exchange rates (francs to \$1) were as follows:

Date(s)	Exchange rate (francs to \$1)
1 April 20X4	5
1 January 20X5	4
31 March 20X5	3·8
30 April 20X5	3·75
31 March 20X6	3·5

Requirement (25 marks)

(a) Answer queries (i) - (iv) in exhibit 1.

(8 marks)

(b) Using the information in exhibit 2, explain and show how these transactions should be accounted for and presented in the financial statements of Epsilon for the years ended 31 March 20X5 and 20X6.

Note: In requirement (b), marks will be awarded for BOTH figures AND explanations.

(25 marks)

You are the financial controller of Omega, a listed entity with a number of subsidiaries and other investments. Omega prepares financial statements to 31 December each year. Your assistant, D, who is a trainee accountant, is responsible for preparing the first draft of the consolidated financial statements of Omega for the year ended 31 December 20X5. D is uncertain about how to recognise and measure certain transactions carried out by the group during the year and has asked you for advice.

The following **exhibits**, available on the left-hand side of the screen, provide information relevant to the question:

1. Exploration expenditure - questions from assistant D about the treatment of exploration expenditure in the consolidated financial statements.
2. New investments - queries from assistant D about two new investments in the consolidated financial statements.
3. Farming subsidiary - questions from assistant D about the assets of a farming subsidiary which have not actually been purchased.

This information should be used to answer the question **requirement** within your chosen **response option**.

1. Exploration expenditure

One of our subsidiaries, Extractor, is involved in the mining of minerals. Extractor is constantly seeking out and evaluating sites which could be used to extract the minerals it sells. I am not sure whether the costs incurred in these exploration and evaluation processes should be regarded as expenses or assets. I would be very grateful if you would answer the following questions:

- (i) Is there an IFRS Accounting Standard which deals with the accounting treatment of exploration and evaluation expenditure and if so, what type of expenditure does it cover?
- (ii) How do we decide whether to treat exploration and evaluation expenditure as an asset or as an expense?
- (iii) How do we subsequently classify and measure any exploration and evaluation assets we might recognise?
- (iv) I am fairly sure there is also an IFRS Accounting Standard which deals with the accounting treatment of research and development expenditure. To what extent do the requirements of this IFRS Accounting Standard apply to exploration and evaluation expenditure?

(8 marks)

2. New investments

Another of our major subsidiaries, Sinker, has made two significant investments during the current period which involves collaboration with two other investors. Brief details of the two investments are as follows:

Investment 1

Sinker has incorporated a new entity, Distributor, with two other investors, Tee and Uno. The sole purpose of Distributor is to distribute products sold by Sinker, Tee and Uno. All key decisions made regarding Distributor's operations require the unanimous consent of Sinker, Tee and Uno. Sinker, Tee and Uno have invested an equal amount of capital in order to finance the purchase of a fleet of delivery vehicles and to provide funds to pay the delivery drivers and other operating costs of Distributor.

Investment 2

Sinker has incorporated another new entity, Newco, with Tee and Uno. The purpose of incorporating Newco was to provide a means of jointly developing and selling a new range of products which are not being directly sold by any of the investors. All key decisions made regarding Newco's operations require the unanimous consent of Sinker, Tee and Uno. Sinker, Tee and Uno have provided an equal amount of share capital on incorporation of Newco. Newco has also received funding from other lenders to help finance its operations. I would have thought these two investments should be treated in the same way in our consolidated financial statements. However, one of my friends, another trainee accountant working for Omega, has suggested they might need to be treated differently. Would you please explain the appropriate accounting treatment for each investment? If the treatments are different, then please explain why.

(11 marks)

3. Farming subsidiary

Another of our subsidiaries, Rural, operates a farming business. Rural keeps a herd of cows which it uses in the production and sale of milk and a herd of sheep which it uses to provide meat products. I have not encountered this type of business before, and I want to understand how such a business produces its financial statements. I would imagine it would be very difficult to fully represent the assets of a farming business in the financial statements given the animals themselves are not always 'purchased' but born from the herd. Please help me with the following specific questions:

(i) Is there a separate IFRS Accounting Standard which deals with the financial statements of a farming business? If so, what is its scope?

(ii) How are the assets (cows and sheep herds) of Rural recognised, measured and presented in the financial statements?

(iii) I am sure the IFRS Accounting Standard which deals with inventories requires inventories are measured at cost. How do we arrive at the cost of inventories of milk and meat when they have not been purchased or manufactured?

(6 marks)

Requirement (25 marks)

Provide answers to assistant D's questions relating to the consolidated financial statements for the year ended 31 December 20X5. The questions appear in exhibits 1-3. You should justify your answers with reference to relevant IFRS Accounting Standards.

Note: The mark allocations are indicated in each exhibit.

(25 marks)

Answers

1 Consolidated statement of profit or loss for the year ended 30 June 20X4

	\$'000
Revenue (\$2,721m + \$819m – \$32m)	3,508,000
Cost of sales (W1)	(1,606,500)
Gross profit	1,901,500
Distribution expenses (\$212m + \$22.4m)	(234,400)
Administrative expenses (W2)	(309,839)
Operating profit	1,357,261
Investment income (W3)	26,600
Finance costs (W4)	(54,140)
Profit before tax	1,329,721
Income tax expense (\$247m + \$43m)	(290,000)
Profit from continuing operations	1,039,721
Profit from discontinued operations (W12)	241,700
Profit for the year	1,281,421
Attributable to:	
Shareholders of Alpha (balancing figure)	1,217,411
Non-controlling interest (W8)	64,010
	1,281,421

Profit for the year attributable to:

	\$'000
Shareholders of Alpha:	
Profit for the period from continuing operations (\$1,039,721 – \$53,160 (see below))	986,561
Profit for the period from discontinued operations (\$241,700 – \$10,850 (see below))	230,850
	1,217,411
Non-controlling interests:	
Profit for the period from continuing operations (20% x (\$274,000 – \$7,000 – \$1,200))	53,160
Profit for the period from discontinued operations (35% x (\$62,000 x 6/12))	10,850
	64,010

Workings**Working 1 – Cost of sales**

	\$'000
Alpha + Beta	1,630,300
Intra-group trading	(32,000)
Fair value depreciation adjustment (\$70m x 1/10)	7,000
Unrealised profit (1/4 x \$32m x 15%)	1,200
	1,606,500

Working 2 – Administrative expenses

	\$'000
Alpha + Beta	267,475
Impairment of goodwill in Beta (W7)	42,364
	309,839

Working 3 – Investment income

	\$'000
Alpha	206,600
Less intercompany loan interest (5% x \$400m)	(20,000)
Less intercompany dividend (40m x \$4.00)	(160,000)
Total	26,600

Working 4 – Finance cost

	\$'000
Alpha + Beta	51,000
Intercompany loan interest (5% x \$400m)	(20,000)
Unwinding of discount on deferred consideration (W5)	23,140
	<u>54,140</u>

Working 5 – Deferred consideration

	\$'000
Deferred consideration on 1 July 20X2 ($\$280\text{m} \times 0.7513$)	210,364
Finance cost for year ended 30 June 20X3 ($\$210.364\text{m} \times 10\%$)	21,036
Deferred consideration on 30 June 20X3	231,400
Finance cost for year ended 30 June 20X4 ($\$231.400\text{m} \times 10\%$)	23,140

Working 6 – Goodwill in Beta

	\$'000
Cost ($\$60\text{m} + \210.364m (W5))	270,364
Non-controlling interest ($20\% \times \$256\text{m}$)	51,200
Less fair value of net assets ($\$50\text{m} + \$136\text{m} + \$70\text{m}$)	(256,000)
Goodwill on acquisition	<u>65,564</u>

Working 7 – Impairment of goodwill in Beta

	\$'000
Net assets at 30 June 20X4 ($\$520\text{m} + \$70\text{m} - (\$70\text{m} \times 2/10)$)	576,000
Goodwill (grossed up $\$65.564\text{m}$ (W6) $\times 100/80$)	81,955
Total	657,955
Recoverable amount ($\$605\text{m}$ is higher than $\$580\text{m}$)	605,000
Impairment	<u>52,955</u>
Group share (80%)	42,364

Working 8 – Non-controlling interest (NCI)

	\$'000
Beta ($20\% \times (\$274\text{m} - \7m (W1) $- \$1.2\text{m}$ (W1)))	53,160
Gamma ($35\% \times (\$62\text{m} \times 6/12)$)	10,850
Total	<u>64,010</u>

Working 9 – Net assets of Gamma at date of disposal

	\$'000
At 1 July 20X3 ($\$50\text{m} + \333m)	383,000
Plus profit to date of disposal ($\$62\text{m} \times 6/12$)	31,000
Total	<u>414,000</u>

Working 10 – Goodwill in Gamma at date of disposal

	\$'000
Cost	230,000
Non-controlling interest ($35\% \times (\$162\text{m} + \$50\text{m})$)	74,200
Less net assets at date of acquisition ($\$50\text{m} + \162m)	(212,000)
Goodwill at date of acquisition	92,200
Less cumulative impairment	(22,000)
At date of disposal	<u>70,200</u>

Working 11 – Gain or loss on disposal

	\$'000
Proceeds	613,000
Less net assets at date of disposal (W9)	(414,000)
Less goodwill at date of disposal (W10)	(70,200)
Add non-controlling interest at date of disposal ($35\% \times \$414\text{m}$ (W9))	144,900
Gain on disposal	<u>273,700</u>

Working 12 – Profit from discontinued operation

	\$'000
Gain on disposal (W11)	273,700
Tax on gain on disposal	(63,000)
Profit for six months to date of disposal (W9)	31,000
	241,700

2 (a) Exhibit 1: Customer contract

The relevant standard is **IFRS 15 – Revenue from Contracts with Customers**. A contract is **clearly evident** in this case, so the provisions of IFRS 15 apply.

Once a contract has been identified, then IFRS 15 requires us to identify the **performance obligation** or obligations which the contract places on Delta. In this case, the performance obligation is to **construct the manufacturing facility** on behalf of customer C.

IFRS 15 states that revenue should be recognised **as (or when) a performance obligation is satisfied**. IFRS 15 further states that a performance obligation is **either satisfied over time or at a point in time**, depending on the provisions of the contract.

Where the performance obligation is the creation of an asset which is controlled by the customer as it is created, then IFRS 15 would classify the performance obligation as one satisfied **over time**. This is the case for the contract between Delta and customer C.

Given the information provided in the question, it is reasonable to assume on 30 June 20X3 the progress Delta has made towards satisfaction of the performance obligation is 30% complete.

The next stage of the revenue recognition process is to **measure the expected transaction price** (total revenue receivable) under the contract. In this case, the expectation of total revenue would have been reduced by the fact that a delay is expected to the completion of the contract by Delta. Therefore, there is an **element of variable consideration**. IFRS 15 requires us to take this into account provided the variable element can be reliably measured.

The expected total revenue receivable by Delta is \$32 million (W1).

Since the contract is 30% complete by 30 June 20X3, Delta should recognise revenue of **\$9.6 million** (\$32 million x 30%) in the current period. \$9.6 million will be recognised in the **statement of profit or loss** for the year ended 30 June 20X3.

The costs which relate directly to the contract include:

- the month-by-month labour and material costs; and
- the depreciation of the plant and equipment which is being used on the contract.

Delta would also need to recognise the following cost as an expense when incurred:

- the cost of wasted materials which were not reflected in the initial pricing of the contract.

Therefore, the total direct costs of fulfilling the contract to 30 June 20X3 will be **\$8.8 million** (W2). The wasted materials of \$2 million would also need to be expensed, but do not relate directly to the contract so would likely be recorded within administrative expenses. All of the costs (\$10.8 million) will be recognised in **profit or loss**.

IFRS 15 requires the statement of financial position should show a contract asset or contract liability, depending on the relationship between the revenues and the amounts received from customers.

In this case, Delta will recognise a contract liability of **\$4.40 million** (W3). This will be shown as a **current** liability in the statement of financial position at 30 June 20X3.

The plant and equipment used on the contract will be shown as a **non-current** asset in the statement of financial position at 30 June 20X3. Its carrying amount will be **\$14.4 million** (\$16 million – \$1.6 million (W2)).

Exhibit 2: Share portfolio

IFRS 3 – *Business Combinations* – states that when an entity acquires a controlling interest in another entity, then the assets and liabilities of the acquired entity must be measured at their fair values at the date of acquisition. This means, at 1 April 20X3, Delta must measure the share portfolio at its fair value.

The methodology for measuring fair values is set out in IFRS 13 – *Fair Value Measurement*. IFRS 13 does not state when fair values should be used (such matters are dealt with in other IFRS Accounting Standards) but rather how fair value should be measured when its use is deemed appropriate.

IFRS 13 states that the fair value of an asset is the amount which would be received to sell the asset in an orderly transaction between market participants.

Where the asset is traded in more than one market, fair value should be measured based on the amount receivable from a trade in the principal market, provided such a market can be identified. Therefore, in this case, the measure should be based on prices prevailing in Exchange A.

Since IFRS 13 regards fair value as an exit price, it is the **bid price** which is relevant for fair value measurement. In this case, the fair value of the portfolio on 1 April 20X3 would be measured at **\$840,000**. Under IFRS 13, **transaction costs are ignored in computing fair values**.

Following initial recognition, the portfolio will be measured under the provisions of IFRS 9 – *Financial Instruments*. The portfolio would be regarded as a **financial asset**.

IFRS 9 states that the measurement base for financial assets depends on the reasons for holding the asset (the business model) and the types of cash flow receivable from the asset (the contractual cash flows).

In the case of a portfolio of shares of the type held by New Sub, the measurement method which would be appropriate is **fair value through profit or loss**. This is primarily due to the fact that the portfolio of shares is a trading portfolio.

Gains on re-measurement of the portfolio plus any dividend income from the portfolio would be recognised in the consolidated statement of profit or loss of Delta for the year ended 30 June 20X3.

Tutorial note: Paragraphs 70–71 of IFRS 13 state that, for assets such as quoted shares ‘*the price within the bid-ask spread that is most representative of fair value in the circumstances shall be used to measure fair value*’. These paragraphs further state that ‘*this IFRS does not preclude the use of mid-market pricing as a practical expedient for fair value measurements within a bid-ask spread*’. Candidates who made references to these paragraphs received appropriate credit.

W1 – Spreadsheet workings – expected total revenue receivable by Delta

Date	Amount \$'000	Explanation
1 January 20X3	6,000	Initial deposit
30 June 20X3	8,000	Payment 1
31 December 20X3	8,000	Payment 2
15 August 20X4 (\$11m – \$1m)	10,000	Final payment reduced by \$1 million due to late completion
	<u>32,000</u>	

W2 – Spreadsheet workings – costs to date on the contract

Cost type	Incurred to date \$'000
Overheads (\$1.2 million per month x 6)	7,200
Depreciation (\$16 million x 6/60)	1,600
30 June 20X3	<u>8,800</u>

W3 – Spreadsheet workings – contract liability at 30 June 20X3

	Dr \$'000	Cr \$'000
Revenue recognised to date	9,600	
Payments received from C to date		14,000
Contract liability at 30 June 20X3	4,400	
	<u>14,000</u>	<u>14,000</u>

(b) Ethical issues – Email from FD

You are in danger of breaching the fundamental ethical principle of integrity. The director has suggested that you collude in the reporting of an inflated profit figure to improve the likelihood of a successful share issue. The director has indicated a willingness to be an advocate for you in salary discussions should you follow the instructions given to you (*candidates who refer to a self-interest threat here received appropriate credit*).

You face a danger of breaching the principle of objectivity because of the way the director has linked your complying with these instructions to your upcoming salary and bonus review (*candidates who refer to an intimidation threat here received appropriate credit*).

You also may be breaching the fundamental ethical principle of professional competence and due care. Treatments which seek to maximise reported profits are not likely to be in compliance with IFRS Accounting Standards. Were you to implement them, you would be in breach of your professional duty to conduct yourself in a competent manner.

Your decision to discuss these issues with your friend, a trainee accountant, may cause you to further breach the fundamental ethical principle of professional competence and due care. Given your friend's trainee status, they may not have the necessary expertise to advise you on these matters.

Note: No marks for discussing confidentiality, as they both work for Delta.

3 Exhibit 1 – Memorandum

To: Trainee accountant
From: Financial controller

Generally, accounting for transactions denominated in a foreign currency is dealt with under the provisions of IAS 21 – *The Effects for Foreign Exchange Rates*. Your specific queries are dealt with below:

- (i) *How we decide which exchange rate to use to measure assets or liabilities denominated in francs when we first recognise them.*

IAS 21 requires us to initially recognise all foreign currency transactions using the rate of exchange in force on the date the transaction is recognised (spot rate).

- (ii) *How we deal with a situation where the exchange rate between the franc and the \$ changes after the asset or liability is initially recognised but before the asset is realised or the liability is settled.*

The impact of subsequent exchange rate changes on foreign currency assets and liabilities which have already been recognised depends on whether or not the relevant amounts are monetary or non-monetary in nature.

A monetary item is one which is realisable or payable for a fixed or determinable monetary amount.

Assets such as **cash balances or trade receivables are monetary** whereas assets such as inventories or property, plant and equipment (PPE) are non-monetary. Almost all liabilities are monetary.

IAS 21 requires that monetary items which are denominated in a foreign currency should be retranslated using the rate of exchange in force **at the reporting date**. Any resulting exchange differences should be recognised in **profit or loss**.

Unless they are revalued (see below), non-monetary assets should continue to be translated using the rate of exchange in force at the date they were initially recognised.

- (iii) *How we reflect the subsequent revaluation of an item of PPE which was originally denominated and revalued in francs given our financial statements are prepared in \$.*

Where the carrying amount of a non-monetary asset denominated in a foreign currency is changed as the result of revaluation, then the \$ equivalent should be measured using the rate of exchange in force at the date the revaluation occurred.

The recognition of the resulting exchange difference **depends** on where the underlying revaluation difference would be recognised under the relevant IFRS Accounting Standards. **If** this is in other comprehensive income, then the exchange component of the revaluation would also be in other comprehensive income.

- (iv) *How do we account for the subsequent payment of a supplier in francs when the liability is recorded in \$ and the exchange rate has continued to change.*

On the final de-recognition of an asset or settlement of a liability, any difference between the amount received or paid and the current carrying amount of the asset or liability would be recognised in profit or loss.

Exhibit 2 – Transactions

Transaction (a)

The carrying amount of the inventory on 1 January 20X5 would have been recorded using the rate of exchange **on that date of 4 francs** to \$1. Therefore, the initially recognised amount would have been **\$150,000** (600,000 Francs/4).

\$150,000 would have been debited to **inventories** and credited to **trade payables**.

The inventories are **non-monetary** assets and so would **not** be retranslated when the exchange rate changes.

Since 75% of the inventories were sold between 1 January 20X5 and 31 March 20X5, then **\$112,500** (\$150,000 x 75%) would be recognised as cost of sales in the statement of **profit or loss** for this period.

The sales revenue of \$120,000 would be recognised in the statement of profit or loss for the year ended 31 March 20X5.

The closing cost of the inventories of unsold goods would be **\$37,500** (\$150,000 x 25%). The net realisable value of the goods is \$39,000 and under the principles of IAS 2 – *Inventories* – inventories are measured at the **lower of** cost and net realisable value – in this case \$37,500. This amount will be shown as a **current asset in the statement of financial position** at 31 March 20X5.

The trade payable would be regarded as a **monetary item** and so would be retranslated at the **closing rate to \$157,895** (600,000/3.8). The resulting exchange loss of **\$7,895** (\$157,895 – \$150,000) would be recognised in **profit or loss** for the year ended 31 March 20X5. The trade payable would be recognised as a **current liability in the statement of financial position** at 31 March 20X5.

The amount paid to settle the liability on 30 April 20X5 will be **\$160,000** (600,000/3.75). This will lead to a further exchange loss of **\$2,105** (\$160,000 – \$157,895) being recognised in the **statement of profit or loss** for the year ended 31 March 20X6.

See working 1 for spreadsheet workings.

Transaction (b)

Under the principles of IAS 21, the machine will initially be measured in the financial statements using the rate of exchange in force on 1 April 20X4 – **5 francs** to \$1. Therefore the initial carrying amount of the machine will be **\$160,000** (800,000/5).

The machine will be classified as property, plant and equipment. Under the principles of IAS 16 – *Property, Plant and Equipment* – the machine will need to be **depreciated over its useful life**. The depreciation charge in this case will be **\$20,000** (\$160,000/8). \$20,000 will be charged to **profit or loss** for the year ended 31 March 20X5.

The carrying amount of the machine at 31 March 20X5 prior to its revaluation will be **\$140,000** (\$160,000 – \$20,000).

When the machine is revalued, the revalued amount will be measured using the rate of exchange in force on **31 March 20X5** – the date of the revaluation. Therefore the revalued amount will be **\$189,474** (720,000/3·8) and **this** will be the carrying amount in the statement of financial position at 31 March 20X5.

Since the carrying amount is increased as a result of the revaluation, the increase of **\$49,474** (\$189,374 – \$140,000) will be recognised in **other comprehensive income** for the year ended 31 March 20X5.

The remaining useful life of the machine at 1 April 20X5 will be **seven years**. Therefore, depreciation of **\$27,068** (\$189,474/7) will be charged to profit or loss for the year ended 31 March 20X6.

Under the principles of IAS 36 – *Impairment of Assets* – the fall in demand for products manufactured by the machine is an **indicator** the machine may have suffered impairment. Therefore an **impairment review** is required.

An impairment review involves comparing the carrying amount of the asset with its **recoverable** amount.

The recoverable amount of an asset is the **higher of its value in use and its fair value less costs of disposal**. In this case, therefore, the recoverable amount of the asset in Francs is 600,000.

Given the financial statements are prepared in \$, the recoverable amount **needs to be measured in \$** also. This is done using the **rate of exchange in force on the date the impairment review is carried out**, in this case 31 March 20X6.

Therefore the recoverable amount in \$ will be **\$171,429** (600,000/3·5). The carrying amount of the machine in \$ prior to the impairment review would have been **\$162,406** (\$189,474 – \$27,068). Therefore **no impairment write down** is required.

The machine will be shown as a **non-current asset** in the statement of financial position at 31 March 20X6. Unless the machine is revalued (and there is no necessity for annual revaluations) the carrying amount will be **\$162,406**.

See working 2 for spreadsheet workings.

Tutorial note: Candidates who state the machine could be revalued to fair value on 31 March 20X6, with an appropriate credit to other comprehensive income, were awarded credit.

Spreadsheet workings

Transaction (a)

Date		Statement of financial position \$	Profit or loss \$
1 January 20X5 – purchase	600,000 francs/4	150,000	
31 March 20X5 – retranslation at reporting date	600,000 francs/3·8	157,895	
Year ended 31 March 20X5			7,895
30 April 20X5 – settlement	600,000 francs/3·75	160,000	
Year ended 31 March 20X6			2,105

Transaction (b)

Date		Statement of financial position \$	Profit or loss \$	Other comprehensive income \$
1 April 20X4 – purchase	800,000 francs/5	160,000		
Depreciation for year ended 31 March 20X5	\$160,000/8 years	(20,000)	20,000	
Carrying amount		140,000		
Revaluation 31 March 20X5	720,000 francs/3·8	189,474		
Gain to OCI				49,474
Depreciation for year ended 31 March 20X6	\$189,474/7 years	(27,068)	27,068	
Carrying amount		162,406		
Recoverable amount	600,000 francs/3·5	171,429		
		=> no impairment		

4 Exhibit 1 – Exploration expenditure

- (i) *Is there an IFRS Accounting Standard which deals with the accounting treatment of exploration and evaluation expenditure and if so what type of expenditure does it cover?*

There is an IFRS Accounting Standard which deals with the accounting treatment of exploration and evaluation expenditure. The standard is **IFRS 6 – Exploration for and Evaluation of Mineral Resources**.

IFRS 6 only applies to exploration and evaluation expenditure relating to a **specific period**. IFRS 6 identifies this period as being the period **after** legal rights have been obtained to explore a specific area but **before** the technical feasibility and commercial viability of the relevant mineral resource is demonstrated.

IFRS 6 provides specific examples of expenditure which might be regarded as exploration and evaluation expenditure in nature. These include acquisition of exploration rights and the costs of exploratory drilling – the list provided in IFRS 6 is not exhaustive.

- (ii) *How do we decide whether to treat exploration and evaluation expenditure as an asset or as an expense?*

IFRS 6 **allows** entities to determine their **own** accounting policy specifying which types of exploration and evaluation expenditures should be treated as expenses and which as assets and apply the policy **consistently**.

- (iii) *How do we subsequently classify and measure any exploration and evaluation assets we might recognise?*

Any exploration and evaluation assets should be classified as **tangible or intangible, depending on their nature**. They are initially recognised at cost. They can then be measured using **either the cost model or the revaluation model**.

- (iv) *I am fairly sure there is an IFRS Accounting Standard which deals with the accounting treatment of research and development expenditure. To what extent do the requirements of this IFRS Accounting Standard apply to exploration and evaluation expenditure?*

There is an IFRS Accounting Standard which deals with the accounting treatment of research and development expenditure. This standard is **IAS 38 – Intangible Assets**.

IAS 38 requires research costs to be treated as expenses in profit or loss but requires development costs which satisfy certain criteria be treated as intangible assets in the financial statements.

You could argue that the exploration and evaluation costs covered by IFRS 6 would more generally be described as ‘research costs’. As we have already stated, IFRS 6 allows entities to develop their own policies for the treatment of such costs relating to this specific area.

Once a particular ‘exploration and evaluation project’ reaches the stage where the technical feasibility and commercial viability of the project has been demonstrated, then any assets which had been recognised at this date would be assessed for reclassification under the principles of IAS 38 or IAS 16 after assessing them for impairment.

Exhibit 2 – New investments

The relevant IFRS Accounting Standard which covers both investments is **IFRS 11 – Joint Arrangements**. A joint arrangement is one in which two or more investors have **joint control**.

Joint control is the contractually agreed sharing of control of an arrangement, which exists only when decisions about the relevant activities require the **unanimous consent** of the parties sharing control. This is **the case** for both investments described in exhibit 2.

IFRS 11 specifies two different types of joint arrangement – a joint operation and a joint venture.

The distinction between a joint operation and a joint venture depends on whether the investors have direct rights and obligations connected with the separate assets and liabilities of the arrangement or whether they have an interest in the net assets of the joint arrangement.

Where the joint arrangement is merely a vehicle for the more effective operation of the existing businesses of the investors, then it is likely that the investors have direct rights and obligations connected with the separate assets and liabilities of the arrangement.

In the above circumstances, the joint arrangement is likely to be regarded as a **joint operation**. This would be the conclusion for **investment 1**.

Investors in a joint operation should include their share of the individual assets, liabilities, revenues and expenses of the joint operation in their separate financial statements.

In the case of investment 1, it is likely that the cash invested by Sinker will be used to purchase delivery vehicles and pay for their operation. Therefore, Sinker will show their share of the purchased vehicles as property, plant and equipment in its separate financial statements, together with its share of the running costs as expenses.

Where a joint arrangement carries out a business which is basically separate from the businesses directly carried out by the individual investors, then the joint arrangement is likely to be regarded as a **joint venture**. This would be the conclusion for **investment 2**.

Investors in a joint venture should measure their investment as a single amount using the equity method of accounting.

The equity method involves measuring the investment as the investor’s share of the net assets of the investee at the reporting date. This is the treatment which Sinker will adopt.

The equity method effectively means that the investor’s share of the post acquisition profits of the investee will be recognised in profit or loss over the life of the investment.

Exhibit 3 – Farming subsidiary

- (i) *Is there a separate IFRS Accounting Standard which deals with the financial statements of a farming business? If so, what is its scope?*

The relevant IFRS Accounting Standard is **IAS 41 – Agriculture**. IAS 41 deals with **agricultural activity** rather than with the overall financial statements of a farming business. Other assets of a farming business are subject to the IFRS Accounting

Standard which would be appropriate for any business. **For example**, the property, plant and equipment of a farming business would be subject to IAS 16 – *Property, Plant and Equipment*.

IAS 41 identifies a category of asset which is specific to a farming business – a **biological asset**. A biological asset is a **living plant or animal**. The herd of dairy cows and the herd of sheep would **both** be examples of a biological asset.

- (ii) *How are the assets and liabilities of Rural recognised, measured and presented in the financial statements?*

IAS 41 states that biological assets should be recognised when control is established. In the case of Rural, this would be when cows or sheep are purchased or born and appropriately marked to establish ownership.

IAS 41 states that biological assets should be measured at **fair value less costs to sell** at the date of initial recognition and at subsequent accounting dates. Changes in the fair value less costs to sell of biological assets should be recognised in **profit or loss**.

IAS 1 – *Presentation of Financial Statements* – states that biological assets should be presented as a **separate category of asset** in the statement of financial position.

- (iii) *I am sure the IFRS Accounting Standard which deals with inventories requires inventories are measured at cost. How do we arrive at the cost of inventories of milk and meat when they have not been purchased or manufactured?*

IAS 41 also defines **agricultural produce** as the **harvested produce of an entity's biological assets**. The milk from a dairy herd and the meat from the sheep herd are **both** examples of agricultural produce.

IAS 41 states agricultural produce should be measured at the point of 'harvesting' at its fair value less costs to sell.

At the point of harvesting, agricultural produce should be recognised as inventory. Fair value less costs to sell will represent the initial 'cost' of the inventory for the purpose of applying IAS 2 – *Inventories*.

	<i>Marks</i>
1 Consolidated statement of profit or loss	
Revenue	1
Cost of sales	
– Intra-group and unrealised profit	2
– FV depreciation	0.5
Distribution expenses	0.5
Administrative expenses	
– Impairment of goodwill	
o Net assets at 30 June 20X4	1.5
o Goodwill and gross up calculation	3
o Recoverable amount	1
o Impairment and group share	1
Investment income	1
Finance costs	
– Aggregation and inter company	1
– Unwinding of discount on deferred consideration	2.5
Income tax	0.5
Profit from discontinued operations	
– Gain or loss on disposal	
o Net assets at date of disposal	1.5
o Goodwill at date of disposal	2
o Non-controlling interest at date of disposal	1
– Tax on gain	0.5
– Profit for six months to date of disposal	0.5
Split of profit between parent and non-controlling interest	3
Allocation between continuing and discontinuing	1
	25
2 (a) Exhibit 1	
– Explanations per IFRS 15	8.5
– Calculations	5.5
Exhibit 2	
– Explanations per IFRS 3	0.5
– Explanations per IFRS 13	3
– Explanations per IFRS 9	3.5
	21
(b) Ethics	4
	25
3 (a) – Answers to queries	8
(b) Transaction (a)	
– Explanations per IAS 21	2.5
– Calculations	6
Transaction (b)	
– Explanations per IAS 21	4
– Calculations	4.5
	17
	25

	<i>Marks</i>
4 Exhibit 1	
– Explanations per IFRS 6	5·5
– Explanations per IAS 38	2·5
Exhibit 2	
– Explanations per IFRS 11	4
– Explanation and conclusion for investment 1	3·5
– Explanation and conclusion for investment 2	3·5
Exhibit 3	
– Explanations per IAS 41	4·5
– Explanations for IAS 1 and IAS 2	1·5
	<u>25</u>